

THE ESSENTIALS OF LOCAL GOVERNMENT LAW IN THE PHILIPPINES

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PREFACE TO THE FIRST EDITION

Since the enactment of Republic Act No. 7160, The Local Government Code of 1991, only few works on the subject have been made, many of which followed the format of the statute with commentaries in every article as it appears in the law. This book presents the subject differently and in a way that is hopefully appealing to the readers as it endeavors to present the law in *thematic* and *narrative* approach. As will be seen, the various sections in R.A. No. 7160 are organized under common topics in order to give the reader instant glimpse of the related statutory provisions which are, however, scattered in the statute.

Local government law is a branch of political law, hence, emphasis is likewise given in this book on the laws and principles governing the distribution of governmental powers to the national and local governments, including the relationships between local governments and other public institutions such as Congress and the President of the Philippines.

Since local governments are public corporations, this book also offers separate and distinct chapters that emphasize local governments' public or governmental powers (local taxation power, local police power, and local eminent domain power) along with their corporate powers. As will be observed, a lot of cases have reached the Supreme Court when local governments exercise their governmental and corporate powers as these affect private rights. Jurisprudence or Supreme Court cases on these topics are therefore carefully selected in order present to the reader what may be considered jugular and relevant.

In view of the differing opinions of the Supreme Court in the so-called "*League of Cities Case*" (involving the constitutionality of the cityhood laws of sixteen [16] cities) spreading the years 2008 to 2011 and in at least four (4) flip-flopping decisions, this book also offers a comprehensive presentation on the laws and jurisprudence about the criteria and requirements in the creation of local government units.

Special attention is likewise given to the laws and jurisprudence governing qualifications and disqualifications of elective local officials, including what is perceived as complicated and least understood "*three-term limit rule*." A significant number of Supreme Court decisions dealing with the "*three-term limit rule*" is reflected in this book in order to explain the nuances in the application of this rule to different scenarios.

Finally, and because a municipal corporation or local government is a corporate body, endowed with distinct and separate personality, a chapter on Liability for Damages is likewise specially included in this book, not to mention the fact that the subject itself becomes more and more relevant nowadays in view of the increasing activities and transactions local governments become involved in.

As to style, and aside from presenting the subject in thematic and narrative form, the book also endeavors to present the jurisprudential principles in local government law in a different manner with the end view of making it easier for the readers to understand the legal and factual milieu of the important Supreme Court decisions without need of immediately going to the text of the decisions. This book is therefore intended to be a handy reference in the study of local government law or public corporation law. A more comprehensive and deeper understanding of the Supreme Court decisions cited in this book will, of course, require that the reader go to the text of the decisions.

Annexed to this book are the codal provisions of R.A. No. 7160 that have not been given emphasis here as they relate to very detailed aspects of the statute that are not usually covered in the study of local government law or public corporation law. One of these is the whole book (Book II) on Local Government Taxation, as this subject naturally and properly pertains to Taxation Law. As mentioned earlier, one Chapter in this book deals, however, with the basic and jugular principles in Local Taxation.

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Chapter 1

INTRODUCTION

The Different Meanings and Concepts of "Local Government"

1. Distribution of Powers to Local Governments as Limitation to Political Authority

In most states, the powers of government are distributed horizontally and vertically. The idea of distributing these governmental powers is one of the basic and minimum characteristics of the concept of the *rule of law*, that concept which suggests that political authority should be limited.

There are various ways of limiting political authority. One is by providing for certain procedures in the manner of exercising the powers of government as in the case of law-making process. Another is by providing for certain prohibitions against unwarranted exercise of governmental powers, such as those found in the Bill of Rights of many constitutions. Distributing, horizontally and vertically, the powers of government in order to prevent over-concentration of powers in one branch or agency of the government is another way of limiting political authority.

By *horizontal distribution of government powers*, the powers of government are distributed among the three (3) branches of the national government, namely: *legislative*, *executive* and *judicial*. The distribution of these powers may either be complete or partial. In most Presidential systems, such as in the United States of America and the Philippines, there is *complete separation of powers* between the three (3) branches, *except* to the extent that some of these governmental powers are being shared by constitutional fiat. In most Parliamentary systems, there is only partial distribution of these powers as both legislative and executive branches are fused in one agency, resulting in having a Chief Executive, say the Prime Minister, who is also the head of the Legislative Department. There are systems of government though which combine certain

characteristics of Presidential and Parliamentary systems, as in the case of France.

By *vertical distribution of governmental powers*, the powers of government are distributed among at least two (2) levels of government, the upper and the lower levels. At the upper level is the *national* government, the government of the whole country. At the lower level are the *local* governments, the governments of the parts.

The distribution of governmental powers among at least two (2) levels of government guarantees liberty and democracy. In the words of *Alexis de Tocqueville* in his work "Democracy in America," he said: "*The strength of free nations resides in the local community. Local institutions are to liberty, what primary schools are to science; they bring it within people's reach, they teach people to use and enjoy it. Without local institutions, a nation may establish a free government, but it cannot have the spirit of liberty.*"

In the classic *Area and Power* edited by Maass, local government is presented as a manner of dividing power by area or territory. An essay by *Ylvisaker* in the same volume pointed to liberty, equality and welfare as rationale for local government. On the governmental and individual level, according to *Ylvisaker*, local government promotes liberty by "providing additional and more readily available points of access, pressure and control; it promotes equality by providing for wide-scale participation and fostering, on the part of the government, responsiveness and flexibility"; it provides welfare, or service in terms of assuring "that demands will be heard and that needs will be served." (Maass, 1959:34)¹

2. Local Governments as Political and Territorial Subdivisions of the State

In a case, a *local government* is defined as a "*political subdivision of a nation or state which is constituted by law and has substantial control of local affairs.*"²

¹Tapales, Cuaresma and Cabo, *Local Government in the Philippines: A Book of Readings*, Vol. 1 (1998), pp. 10-11.

²Metropolitan Manila Development Authority (MMDA) v. Bel-Air Village Association, Inc., 328 SCRA 836 (2000).

Local government unit is also defined in Section 15 of the Local Government Code of 1991³ as a “*body politic and corporate endowed with powers to be exercised by it in conformity with law.*” As such, it “shall exercise powers as a political subdivision of the National Government...”

Recognizing at least two (2) levels of government also signify that local governments are *political and territorial subdivisions of the state*. How these levels of government relate with each other is, in many cases, the concern of the study of local government. The power relations between these levels of government vary depending on the system of local government adopted by a certain jurisdiction.

Generally, a system of government involving vertical distribution of powers is either *unitary* or *federal*.

In *unitary* states like the Philippines, the national government supervises local government affairs, as the local governments derive both their existence and powers from the national government. In a *federal* system, like the United States and Canada, local governments are supreme within their own spheres such that they actually become “quasi-sovereign” states although still subordinate to the national government in some respects, such as in the area of foreign affairs, defense, currency, and commerce.

The element of subordination, therefore, appears in any definition of local government for by nature, local governments are subordinate entities, having no inherent powers and must look up to the higher governmental level for delegation of authority.⁴ Thus, the United Nations defines local governments as “political subdivisions of a nation or state” (UN, 1962); some authorities refer to them as “parts” of the government of a nation or state “of a country,” non-sovereign communities... with “subordinate status,” governments which are “below the central or senior government.”⁵

However, the concept of local government does not only connote higher authority, it also includes territorial boundary of governance. The International Union of Local Authorities, for example, refers to local governments as “*geographic subdivisions.*” Two (2) important elements are therefore found in any definition of local government — the *presence of a higher authority* and *territorial boundary*.⁶

³R.A. 7160 (This law will be referred to in this book as “LGC of 1991” or the “Code,” for brevity).

⁴Tapales, Cuaresma and Cabo, *supra*, p. 6.

⁵*Ibid.*

⁶*Ibid.*

Thus, in the Philippines, the state is politically and territorially subdivided into different provinces and cities (component, independent and highly urbanized). A province is further politically and territorially subdivided into municipalities and/or component cities, while independent and highly urbanized cities are further subdivided into *barangays*. Municipalities and component cities are also further subdivided into *barangays*. Otherwise stated, a cluster of *barangays* compose a municipality or city, while a cluster of municipalities and/or component cities compose a province. **Section 1, Article X, of the 1987 Philippine Constitution** even expressly calls as the territorial and political subdivisions of the Republic of the Philippines, the provinces, cities, municipalities, and *barangays*. The Muslim Mindanao and the Cordilleras are considered autonomous regions.

3. Local Governments as Municipal Corporations

Kyd defines a corporation, or a body politic, or body incorporate, as “a collection of individuals united in one body, under a special denomination, having perpetual succession under an artificial form, and vested by the policy of the law with the capacity of acting in several respects as an individual, particularly of taking and granting property, of contracting obligations, and of suing and being sued; of enjoying privileges and immunities in common, and of exercising a variety of political rights, more or less extensive, according to the design of its institution, or the powers conferred upon it, either at the time of its creation, or at any subsequent period of its existence.”⁷

While corporations aggregate are but associations of individuals, joined together to accomplish some purpose, the “distinguishing feature, far above all others,” says *Nelson, C.J.*, “is the capacity conferred by which a perpetual succession of different persons shall be regarded in the law as one and the same body, and may at all times act in the fulfillment of the objects of the association as a single individual. In this way, a legal existence, a body corporate, an artificial being is constituted.”⁸

Local governments are essentially municipal corporations. As such, it is a *body politic* and *corporate* constituted by the incorporation

⁷I Kyd on Corp. 13, approved in 8 *The Laws of England (Halsbury)*, p. 301, and Glover, *Mun. Corp.* 4 (cited in I *McQuillin*, *ibid.*).

⁸Eugene McQuillin, *The Law on Municipal Corporations*, Sec. 102, Vol. I (2nd Ed.).

of the inhabitants of a city or town for the purpose of local government thereof. Municipal corporations are established by law partly as an agent of the state to assist in the civil government of the country, but chiefly to regulate and administer the local internal affairs of the city, town, or district incorporated.⁹

In the Philippines, these dual functions of local government are expressly recognized in the Local Government Code of 1991 itself. Section 15 thereof states: "Every local government unit created or recognized under this Code is a body politic and corporate endowed with powers to be exercised by it in conformity with law. As such, it shall exercise powers as a *political subdivision of the national government and as a corporate entity representing the inhabitants of its territory.*"

As a result of this concept of local governments as municipal corporations, the "*corporation*" is therefore legally considered distinct from its members. In law, the individual corporators, or members, of which it is composed are sometimes wholly different from the corporation itself, for a corporation is a legal personality, in like manner as an individual. A creditor of a corporation must look into the legal personality for payment, which is to be satisfied out of the corporate assets; the individual not being liable unless so made by the law under which the corporation is created and exists.¹⁰ More on this concept will be discussed elsewhere in this work.

Local Government System in the Philippines

1. History of Local Governments in the Philippines

Before the arrival of the Spaniards, there were already ancient community governments headed by the *Datu* who exercised all three (3) governmental powers: *executive, legislative, and judicial* powers, often upon consultation with a Council of Elders. These Pre-Spanish *Barangays* (from the local term "*balangay*") were already known to be organized by the *Datu* taking charge of government. However, these *Barangays* were not yet perceived as local governments, but rather had the status of city-states, which were independent and not subordinate to any higher government.

⁹John Forest Dillon, *Municipal Corporations*, Vol. 1 (1911).

¹⁰Eugene McQuillin, *The Law on Municipal Corporations*, Sec. 103, Vol. I (2nd Ed.).

When the Spaniards came, centralization became their main tool in colonizing and effectively controlling the country. Parcels of lands (*encomiendas*) were given to some privileged and favored persons who assisted them in the pacification of the islands. They also created *cabildos* (cities), *pueblos* (municipalities), and *provincias* (provinces) in ascending hierarchy, which assisted the Spaniards in Manila in fully colonizing the country. The *Barangays* were reduced into *barrios*, and the *Datus* were demoted into *Cabezas de Barangay*, whose only function was to assist the higher levels of government in collecting tribute. Thus, the sovereign and powerful *Barangays* became the lowest rung in the ascending order of the government power.¹¹

While the Philippine Republic organized by Aguinaldo and Mabini gave more attention to the local units, autonomy could not be given the local governments because at that time, it was important to retain the unity of the islands. Thus, centralism remained.¹²

When the Americans came, they continued the convenient system of centralization introduced to the country by the Spaniards. *Provincias* were renamed provinces, *cabildos* to cities, and *pueblos* to municipalities, keeping the hierarchical chain of command from Manila undisturbed.¹³

Centralism therefore, while foreign imposition, thrived in the Philippines for centuries, and was kept intact by the Philippine government after political independence in 1946. The Constitution drafted in 1935 mentioned local government in only one section; Section 10, Article VII provided that "the President shall exercise general supervision over local governments as may be provided by law." Until 1972, the President and Congress determined the relationship between the national and local governments by statutes and executive orders, and they were interpreted by the Courts in ways befitting the temper of the times and those of the justices.¹⁴

Martial Law in 1972 strengthened the President's power over local government, despite the provision of an article in the Constitution of 1973 and a creation of a Department of Local Government and Community development by virtue of Presidential

¹¹De Guzman and Tapales (1973).

¹²Laurel (1924).

¹³Tapales, Cuaresma and Cabo, *Local Government in the Philippines: A Book of Readings*, Vol. 1 (1998), pp. 10-11.

¹⁴De Guzman and Tapales (1973).

Decree No. 1. By Presidential Decree, President Marcos created and abolished offices, rapidly changing the relationship between the local and national governments.¹⁵

After the People Power in 1986, the national government became more responsive to the lower units of government. The 1987 Constitution provided for special forms of local government in response to ethnic peculiarities in Muslim Mindanao and the Cordilleras. Moreover, Congress passed the Local Government Code of 1991, which has far-reaching effect in national-local relations because it provided for devolution of powers and services.¹⁶

2. Structures and System of Philippine Local Government

2.1. Creation

Although the Local Government Code of 1991 provides for a devolution of powers, the Philippines remains a unitary state. As such, local governments are creatures of the national government. The national government, by law, creates, merges, or abolishes local government units, endows them with powers within their jurisdiction, and determines national-local government relations.¹⁷

The first Local Government Code (enacted in 1983 by B.P. 337) provided for criteria to be used in creating local units. Before 1983, there were no criteria except 500 population for *barrio*, such that Congress and the President abused their power of creation. The Code now provides for the following general criteria: for the province, land area of at least 2,000 square kilometers, population of not less than 250,000 as certified by the National Statistics Office (now Philippine Statistics Authority), and income of at least P20 million, as certified by the Department of Finance; for the city, at least P20 million income (P100 million in the case of a municipality converted into a city or in the case of cluster of *barangays* to be formed as new city under R.A. 9009), land area of at least 100 square kilometers, and population of 150,000; for the municipality, the minimum income is P2.5 million, the population requirements is 25,000, and the land area should at least be 50 square kilometers; for the *barangay*, the only criterion is a population of at least 2,000. However, *barangays*

¹⁵Tapales, Cuaresma and Cabo, *supra* note 13.

¹⁶*Ibid.*

¹⁷*Ibid.*

in Metropolitan Manila should have a minimum population of 5,000.¹⁸

While these local units may be created by law (or by ordinance in case of certain *barangays*), the Code mandates that the residents of the areas affected by the creation should approve the measure in a **plebiscite**. The Code mandates also that the creation of the local unit “shall not reduce the land area, population and income of the original unit or units at the time of the creation to less than the prescribed minimum requirements.”¹⁹

2.2. Tiers of Local Government

In the Philippines, there are several levels of local authority. The province is the intermediate unit, providing supervision to the municipalities and component cities under it, and performing services for national government. The basic unit of local government, or those performing services for people who live together in a community are the cities and municipalities (and *barangays*). The Philippines is one of few countries with a submunicipal unit, the *barangay*, which provides the opportunity for face-to-face interaction among the people.²⁰

Before the first Local Government Code, all cities were autonomous from the province. Batas Pambansa Blg. 337 classified cities into two (2) component cities and highly urbanized cities. **Highly urbanized cities** are those which are considered viable enough to perform their functions and services, and thus allowed to retain their autonomy from the province. The new Code provides the following criteria: at least 200,000 inhabitants and P50 million income (P100 million in the case of cities created from cluster of *barangays* or in the case of municipalities converted to cities under R.A. 9009). Residents of highly urbanized cities do not vote for provincial officials. **Component cities** are under the direct supervision of the provinces.²¹

2.3. The Unitary System of Government

In a Unitary System of Government, municipal governments are only agents of the national government. Local councils exercise

¹⁸*Ibid.*

¹⁹Sec. 8, R.A. 7160, LGC of 1991.

²⁰*See also* De Guzman and Tapales (1973), *supra* note 14.

²¹*Ibid.*

only delegated legislative powers conferred upon them by Congress as the national lawmaking body. The delegate cannot be superior to the principal or exercise powers higher than those of the latter. The national government is the policy-making agency of the government. By "policy-making" power, we refer to the discretion to decide what that law shall be on a particular matter. Whether same-sex marriage, for instance, shall be permitted is for national legislative body to decide not for local legislative assemblies, the matter of marriage being placed in the hands of the national government. This is particularly true in the Philippines.

The basic relationship between the national legislature and the local government units has not been enfeebled by the new provisions in the Constitution strengthening the policy of local autonomy. It is still understood that Congress retains control of the local government units although in significantly reduced degree now than under our previous Constitutions. The power to create still includes the power to destroy. The power to grant still includes the power to withhold or recall. True, there are certain notable innovations in the Constitution, like the direct conferment on the local government units of the power to tax (*citing* Section 5, Article X, Constitution), which cannot now be withdrawn by mere statute. By and large, however, the national legislature is still the principal of the local government units, which cannot defy its will or modify or violate it.²²

The Philippines is still a unitary form of Government, not a federal state. Being so, any form of autonomy granted to local governments will necessarily be limited and confined within the extent allowed by the central authority. Besides, the principle of local autonomy under the 1987 Constitution simply means "*decentralization*." It does not make local governments sovereign within the state or an "*imperium in imperio*."²³ In a unitary system of government, such as the government under the Philippine Constitution, local governments can only be an *intra sovereign subdivision* of one *sovereign nation*. Local government in such a system can only mean a measure of decentralization of the function of government.²⁴

²²See *Magtajas v. Pryce Properties*, 234 SCRA 255 (1994).

²³See *Lina, Jr. v. Paño*, G.R. No. 129093, August 30, 2001.

²⁴*Basco v. Philippine Amusements and Gaming Corp.*, G.R. No. 91649, May 14, 1991.

Chapter 2

GENERAL PRINCIPLES

Corporation

A **corporation** is an artificial being created by operation of law, having the right of succession and the powers, attributes, and properties expressly authorized by law or incident to its existence.¹ It is an artificial being, invisible, intangible, and existing only in contemplation of law.² It is a legal institution devised to confer upon individuals of which it is composed of powers, privileges, and immunities which they would not otherwise possess, the most important of which are continuous legal identity or unity, and perpetual or indefinite succession under the corporate name, notwithstanding successive changes, by death or otherwise, in the corporators or members.³

The attributes and characteristics of a corporation are generally applicable to local governments as well. That a corporation has a **distinct and separate personality**, for instance, also holds true to local governments as municipal corporations. It has, thus, been ruled that the **Municipality** stands on the same footing as an ordinary private corporation with the **municipal council acting as its board of directors**. Consequently, and as a corporation, a Municipality **has a personality separate and distinct from its officers or persons composing it** and the latter are not as a rule co-responsible in an action for damages for tort or negligence (*culpa aquiliana*) committed by the corporation's employees or agents unless there is a showing of bad faith or gross or wanton negligence on their part.⁴

¹Sec. 2, The 2018 Revised Corporation Code of the Philippine (R.A. 11232).

²Dartmouth College Case, 4 Wheat. (U.S.) 518-675, 4 L. Ed. 629.

³John Forest Dillon, *Commentaries on Law of Municipal Corporations*, Vol. 1 (5th Ed.).

⁴*Torio v. Fontanilla*, G.R. No. L-29993, L-30183, October 23, 1978; *Municipality of Tangkal, Province of Lanao Del Norte v. Hon. Balindong*, G.R. No. 193340, January 11, 2017.

Classification

A corporation may be classified as either **public**, **private** or **quasi-public** corporation.

A **public corporation** is one that is organized for government of a portion of a state, such as a local government unit. It is created for the public use.⁵

A **private corporation** is one that is formed for some private purpose, benefit, aim or end, such as a business corporation formed and organized under a general law on corporation (*e.g.*, Corporation Code of the Philippines). It is created for private objects.⁶

A **quasi-public corporation**, on the other hand, is a private corporation that renders public service or supplies public wants, such as utility companies. It combines the elements of both public and private. Though organized for private profit, they are compelled by law or contract to render public service.⁷

There are also special classes of corporations that are recognized as such generally by reason of equitable considerations. In a **de facto corporation**, the consent of the state is implied rather than expressed, by the general consent to that kind of corporation, even though the conditions of incorporation are not substantially complied with.⁸ As to **corporation by prescription**, under the principles of common law, where a body of men have been for a long time in the exercise of corporate powers, a presumption arises of an ancient charter, granted to their predecessors, making the exercise of such powers by them lawful and rightful, a lost grant or charter from the crown being presumed.⁹ **Corporation by estoppel**, on the other hand, was succinctly stated by Fletcher in this wise: "While as against the state a corporation cannot be created by the mere agreement or other act or omission of private persons, yet as between private litigants they may, by their agreements, admissions, or conduct, place themselves where they would not be permitted to deny the fact of the existence of the corporation."¹⁰

⁵Roger W. Cooley, *Handbook of the Law of Municipal Corporations* (1914).

⁶*Ibid.*

⁷*Ibid.*

⁸Teodorico C. Martin (1986).

⁹14 C.J. 93; *see also* Barlin v. Ramirez, 7 Phil. 41 and Teodorico C. Martin (1986).

¹⁰1 Fletcher 660.

Public and Private Corporations, Distinguished

Public corporations are established for purposes connected with the administration of civil or local governments; **private corporations** are created for private aim, gain or benefits of its members. Public corporations are creations of the state either by general or special act, hence involuntary consequence of legislation; while private corporations are created by the will of the incorporators with the recognizance of the state, hence constitute voluntary agreement by and among the members thereof.¹¹ While public corporations are **created directly by law**, private corporations are **created pursuant to a general law**.

One test in determining whether a corporation is public or private is the *purpose* of its creation. If the corporation is created as an agent of the State to carry out governmental functions, then it is public, otherwise, it is private.

The relationship of the corporation to the State, *i.e.*, if created by the State as its own agency to help the State in carrying out its governmental functions, also becomes a relevant factor. Thus, it has been said that the true test in determining whether a corporation is public or private is **not just the purpose for which the corporation was organized but the relation of the corporation to the State**. If the corporation is created by the State as its own agency or instrumentality in carrying out its governmental functions, then the said corporation is considered public, otherwise, it is private.¹²

Authorities are of the view that the purpose alone of the corporation cannot be taken as a safe guide, for the fact is that almost all corporations are nowadays created to promote the interest, good, or convenience of the public. A bank, for example, is a private corporation; yet, it is created for a public benefit. Private schools and universities are likewise private corporations; and yet, they are rendering public service. Private hospitals and wards are charged with heavy social responsibilities. More so with all common carriers. On the other hand, there may exist a public corporation even if it is endowed with gifts or donations from private individuals.

The true criterion, therefore, to determine whether a corporation is public or private is found in the **totality of the relation of the corporation to the State**. If the corporation is created by the

¹¹Rufus Rodriguez, *Local Government Code of 1991 Annotated* (2003).

¹²Nicanor M. Patricio, *Notes on Public Corporations* (1977), p. 10, citing Martin, R.G., *Public Corp.*, p. 3 which also cited Elliot, *Mun. Corp.*, 3rd Ed., Sec. 6.

State as the latter's own agency or instrumentality to help it in carrying out its governmental functions, then that corporation is considered public; otherwise, it is private. Applying the above test, provinces, chartered cities, and *barangays* can best exemplify public corporations. They are created by the State as its own device and agency for the accomplishment of parts of its own public works.¹³

Interestingly, Article 44 of the New Civil Code of the Philippines¹⁴ enumerates the *juridical persons* as including (1) the State and its political subdivisions, (2) other corporations, institutions and entities for public interest or purpose, and (3) corporations, partnerships and associations for private interest or purpose. Not all corporations, however, which are not government owned or controlled, are *ipso facto* to be considered private corporations as there exists another distinct class of corporations or chartered institutions which are otherwise known as "*public corporations*." These corporations are treated by law as agencies or instrumentalities of the government which are not subject to the tests of ownership or control and economic viability but to different criteria relating to their public purposes/interests or constitutional policies and objectives and their administrative relationship to the government or any of its Departments or Offices. *Economic Viability and Ownership and Control Tests* are *inapplicable* to Public Corporations.¹⁵

Public Corporation, Classified

Public corporations are further classified into either a *quasi-public corporation*, which is created by the State for a limited purpose, or a *municipal corporation*, which is, as earlier discussed, a body politic and corporate constituted by the incorporation of the inhabitants for the purpose of local government. Municipal corporations refer to local governments units.

Municipal Corporations

A *municipal corporation* is a body politic or corporate established by law to assist in the civil government of the state, with

¹³Philippine Society for the Prevention of Cruelty to Animals v. Commission on Audit, G.R. No. 169752, September 25, 2007.

¹⁴R.A. 386.

¹⁵Boy Scouts of the Philippines v. Commission on Audit, G.R. No. 177131, June 7, 2011. (Note: Now, the BSP and the GSP have been classified as a "*sui generis*" GOCC by the Governance Commission through its Memorandum Order No. 2013-42.

delegated authority to regulate and administer the local or internal affairs of a city, town or district which is incorporated.¹⁶

It is a perfect public corporation, established under and by virtue of a sovereign act of legislation, uniting the people and land within a prescribed boundary into a body corporate and politic for the purposes of local and self-government, and invested with the powers necessary therefor.¹⁷

States and territories are not municipal corporations.¹⁸

Regular Public Corporations and Quasi-public Corporations, Distinguished

The fact that a certain juridical entity is impressed with public interest does not, by that circumstance alone, make the entity a public corporation, inasmuch as a corporation may be private although its charter contains provisions of a public character, incorporated solely for the public good. This class of corporations may be considered **quasi-public corporations**, which are **private corporations that render public service, supply public wants,**¹⁹ or **pursue other eleemosynary objectives.** While purposely organized for the gain or benefit of its members, they are required by law to discharge functions for the public benefit. Examples of these corporations are **utility,**²⁰ **railroad, warehouse, telegraph, telephone, water supply corporations and transportation companies.**²¹ It must be stressed that a quasi-public corporation is a species of private corporations, but the qualifying factor is the type of service the former renders to the public: if it performs a public service, then it becomes a quasi-public corporation.²²

Municipal Corporations and Quasi-public Corporations, Distinguished

The object of a **municipal corporation** is public, although incidents connected with it may be of private nature, and so far as it is subject to the rules of liability controlling private corporations

¹⁶Eugene McQuillin, *The Law on Municipal Corporations*, Sec. 107, Vol. 1.

¹⁷Roger W. Cooley, *Handbook of the Law of Municipal Corporations*, *supra*.

¹⁸*Ibid.*

¹⁹Ruperto G. Martin, *Public Corporations* 2 (1983).

²⁰*Id.*

²¹*Id.* at 3.

²²Philippine Society for the Prevention of Cruelty to Animals v. Commission on Audit, *supra* note 13.

in the ownership of property, while the quasi-public corporation is of a private nature and object, with incidents only that are public. The **municipal corporation is the only corporation standing as the representative of the purely public corporation.**²³

Elements of Municipal Corporations

The elements of the municipal corporation, as formulated by Lord Coke of England,²⁴ and afterwards generally adopted in the United States and in the Philippines, are:

1. **Legal Creation/Incorporation.** This refers to the law creating or authorizing the creation or incorporation of a municipal corporation.

In the Philippines, this law refers to the statute creating the local government unit or, in case of *barangays*, the ordinance of a Province or a Highly Urbanized City creating it, although a *barangay* may also be created through a statute.

(Note: The effects of the declaration of nullity or unconstitutionality of the law creating a local government unit will be discussed later in this work.)

2. **Corporate Name.** This refers to the name of the municipal corporation by which it is incorporated and known and in which all corporate acts are done (e.g., City of Cebu).

Under the Code,²⁵ the *Sangguniang Panlalawigan* may, in consultation with the Philippine Historical Institute, change the name of component cities and municipalities, upon the recommendation of the *Sanggunian* concerned, provided that the same shall be effective only upon ratification in a plebiscite conducted for the purpose in the political unit directly affected.

The municipal corporation should have a name not only by which it could be identified but likewise in which corporate acts are done.²⁶

²³See Roger W. Cooley, *Handbook of the Law of Municipal Corporations*, *supra*, p. 16 (citations omitted).

²⁴Coke, Littleton 250 a.

²⁵Sec. 13, LGC of 1991.

²⁶Nicanor M. Patricio, *Notes on Public Corporations* (1977), p. 18.

A change of name will not dissolve nor destroy the identity of the municipal corporation, nor affect its rights, privileges or liabilities.²⁷

It is, however, prohibited to use the names of living persons²⁸ except for justifiable reasons such as the use of the name of a family in a particular community whose members significantly contributed to the welfare of the Filipino people.²⁹

3. **Inhabitants.** This refers to the natural persons, the constituents, who compose the municipal corporation.

Under the Code, certain numbers of inhabitants are required in the creation of a local government unit. (*Note: This will be discussed elsewhere in this work.*)

It should be noted that it is for the civil government of the inhabitants and the regulation or administration of their local affairs that municipal corporations are constituted; or otherwise put, there would be no need for municipal corporations without inhabitants.³⁰

4. **Territory.** This refers to the land mass where the inhabitants reside, together with the waters, and the air space above the land and water. The territory also corresponds to the jurisdiction of a municipal corporation in the discharge of its powers and functions, subject to constitutional and statutory limitations.

As a rule, territorial boundaries of municipal corporations must be definite, fixed, or certain; in fact, an incorporation is void where the boundaries of the municipal corporation are not described with certainty.³¹

Dual Nature and Functions of Municipal Corporations

A municipal corporation or local government has twin functions, *governmental* (public or political) and *proprietary* (private, patrimonial or corporate).

²⁷Eugene McQuillin, *The Law on Municipal Corporations*, Vol. II (2nd Ed.).

²⁸Sec. 13(d), LGC of 1991.

²⁹See Art. 23(7), Rules and Regulations Implementing the LGC of 1991, as cited in Joseph Emmanuel Angeles, *Restatement of the Law on Local Governments* (2005).

³⁰Nicanor M. Patricio, *Notes on Public Corporations* (1977), p. 19.

³¹Nicanor M. Patricio, *Notes on Public Corporations* (1977), p. 26, citing McQuillin, *Municipal Corp.*, 3rd Ed., p. 256.

The **governmental function** of a local government involves the administration of the power of the State and promoting the public welfare. The **proprietary function** of a local government is exercised for the special benefit and advantage of the community and for the attainment of their collective needs. The local government exercises **governmental functions as agents of the state**. It exercises its **proprietary functions as an entity representing the inhabitants**.³² To the former belongs the passage of traffic ordinances, preservation of public peace and other regulatory measures. To the latter belongs the maintenance of parks, cemeteries and *fiesta* celebrations.

Section 15 of Republic Act No. 7160 expressly recognizes these dual functions as follows:

“Section 15, LGC. Political and Corporate Nature of Local Government Units. — Every local government unit created or recognized under this Code is a body politic and corporate endowed with powers to be exercised by it in conformity with law. As such, it shall exercise powers as a political subdivision of the national government and as a corporate entity representing the inhabitants of its territory.” (Emphasis added)

Characterizing these dual functions is not just for academic purposes. The importance of this distinction can be exemplified in at least two (2) respects, namely: (1) in the liability of municipalities for their acts and those of their officers; and (2) in the extent of legislative control over the same.³³ (Note: This relevance is discussed in the Chapter on Liability for Damages.)

Many times, this characterization also provides for some bases in resolving legal issues brought before the courts.

In ***Bara Lidasan v. COMELEC***,³⁴ for example, one of the relevant issues was whether or not a cluster of just nine (9) *barangays*, after the 12 *barangays* of a 21-*barangay* proposed municipality was declared invalidly included in the proposed municipality, can compose a municipality. There, the Supreme Court in effect states that because of the second function of the local government unit, i.e., it serves as agency of the community in the administration of local

³²See Jose M. Aruego, *The Law on Municipal Government in the Philippines* (1968), p. 18.

³³See Jose M. Aruego, *supra*, p. 20.

³⁴21 SCRA 496 (1967).

affairs, a local government unit must be “self-sufficient to enable it to exercise its ‘corporate powers’ and serve its constituents.” In this case, the Supreme Court found the nine (9) remaining *barangays* or *barrios* as insufficient to constitute a separate municipality. It was said that municipal corporations perform twin functions. *Firstly*, they serve as an *instrumentality of the State* in carrying out the functions of government. *Secondly*, they act as an *agency of the community* in the administration of local affairs. It is in the latter character that they are a separate entity acting for their own purposes and not a subdivision of the State.

In *Surigao Electric Co., Inc. v. Municipality of Surigao*,³⁵ the issue was whether or not a local government unit can be considered as an “instrumentality of the national government.” It was relevant in determining whether or not a local government unit wanting to operate a public utility company (electric company) was exempt from obtaining a *certificate of public convenience* as provided for in the law, the Public Service Act. The Supreme Court ruled that “as early as 1916, in *Mendoza v. de Leon*, there has been a recognition by this Court of the dual character of a municipal corporation, one as governmental, being a branch of the general administration of the state, and the other as quasi-private and corporate. A well-known authority, Dillon, was referred to by us to stress the undeniable fact that “legislative and governmental powers” are “conferred upon a municipality, the better to enable it to aid a state in properly governing that portion of its people residing within its municipality, such powers [being] in their nature public, ... *Governmental affairs do not lose their governmental character by being delegated to the municipal governments*. Nor does the fact that such duties are performed by officers of the municipality which, for convenience, the state allows the municipality to select, change their character. To preserve the peace, protect the morals and health of the community and so on is to administer government, whether it be done by the central government itself or is shifted to a local organization.”

In discussing the rationale for giving local government units delegated police power, the Supreme Court in *Tatel v. Municipality of Virac, Catanduanes*,³⁶ also said that “municipal corporations are agencies of the State for the promotion and maintenance of local self-government and as such are endowed with police powers in

³⁵24 SCRA 898 (1968).

³⁶207 SCRA 57 (1992).

order to effectively accomplish and carry out the declared objects of their creation. Its authority emanates from the general welfare clause under the Administrative Code.”

In many ways, characterizing these twin functions also determines liability or non-liability of the local government. For example, the rule in the law of municipal corporations is that a municipality is not liable for the torts committed by its regular employees in the discharge of governmental functions. The municipality is answerable only when it is acting in a proprietary capacity. This was illustrated in the case of *Municipality of San Fernando v. Firme*,³⁷ although such ruling is now qualified by the express provision of Section 24 of Republic Act No. 7160 which makes local government units not exempt from liability for death or injury to persons or damage to property. This later provision does not contain any qualification. But for cases that were decided before Republic Act No. 7160, the doctrine in *Municipality of San Fernando v. Firme* appears to be the applicable rule.

In the area of garnishment of funds, liability of local governments for contracts, and control of Congress over local governments, especially in matters of disposition of properties held by the latter and extent of their exercise of specific powers or local autonomy, the distinction between governmental and proprietary functions also becomes far more relevant, as will be discussed here elsewhere.

Sources of Powers of Philippine Local Governments

In the Philippines, local governments derive their powers from the 1987 Constitution (*Section 25, Article II; Sections 5-7, Article X*), the Local Government Code of 1991 (R.A. 7160, their Charters — the statute creating them), and other laws, decrees, executive orders, proclamations and administrative regulations (*e.g., Revised Administrative Code of the Philippines*).

Classification of Powers

Powers of local government units may be classified into either express, implied, inherent (powers necessary and proper for governance, *e.g.*, promote health and safety, enhance prosperity, improve morals of the inhabitants). They may also be classified

³⁷195 SCRA 692 (1991).

into either public/governmental or private/propriety, intramural or extramural, mandatory or directory, and ministerial or discretionary.³⁸

Specifically, and under the Code and the Rules and Regulations Implementing the Local Government Code of 1991, local government may exercise four (4) general kinds of powers, namely: *a) those that are expressly granted to them, b) those that are implied from those that are granted to them, c) those that are necessary, appropriate, or incidental for their efficient and effective governance, and d) those that are essential to the promotion of the general welfare of their inhabitants.*³⁹

Kinds of Municipal Corporations

Municipal corporations are either *de jure* or *de facto*. A municipal corporation is considered *de jure* if its creation perfectly complied with all the requirements of incorporation. On the other hand, a municipal corporation is considered *de facto* when not all requirements were complied with in its incorporation, but there are, at least, the following, namely: (a) valid law authorizing incorporation, (b) attempt in good faith to organize it, (c) colorable compliance with law, and (d) assumption of corporate powers.

(Note: The subject of de facto municipal corporations and its elements will be discussed comprehensively in Chapter 7.)

³⁸Rufus Rodriguez, *The Local Government Code of 1991 Annotated* (2003).

³⁹Aquilino Pimentel, *The Local Government Code of 1991: The Key to National Development* (1993), p. 15.

Chapter 3

LOCAL AUTONOMY AND DECENTRALIZATION

Local Autonomy

Under the 1987 Constitution, the State is mandated to “*ensure the autonomy of local governments.*”¹ It is further mandated that “*the territorial and political subdivisions shall enjoy local autonomy.*”²

According to Pimentel, local governments now enjoy a greater measure of self-government compared to their very limited powers in the past. The political umbilical cord that attached them to the central government through a system of patronage and dependence has been cut, to some extent, so that they can now more or less chart the course of their own development.³

In a case, it was also affirmed that even *barangays* are meant to possess genuine and meaningful local autonomy so that they may develop fully as “self-reliant communities.”⁴

Local autonomy signifies “a more responsive and accountable local government structure instituted through a system of decentralization.” The grant of autonomy is intended to “break up the monopoly of the national government over the affairs of local governments, x x x not to end the relation of partnership and interdependence between the central administration and local government units.” Paradoxically, local governments are still subject to regulation, however limited, for the purpose of enhancing self-government.⁵

¹Sec. 25, Art. II, 1987 Constitution.

²Sec. 2, Art. X, 1987 Constitution.

³Aquilino Pimentel, *The Local Government Code of 1991: The Key to National Development* (1993), p. 5.

⁴*See De Leon v. Esguerra*, 153 SCRA 603 (1987).

⁵*Ganzon v. CA*, 200 SCRA 271 (1991).

The principle of *subsidiarity*, a principle which expresses a preference for governance at the most local level consistent with achieving government's purpose⁶ justifies the grant of local autonomy. Advocates of subsidiarity in the European Community trace the concept to twentieth-century Catholic social philosophy, citing a 1931 Papal Encyclical of Pius XI entitled *Quadragesimo anno*. According to that document, subsidiarity requires that "[s]maller social units... not be deprived of the possibility and the means for realizing that of which they are capable [and] [l]arger units... restrict their activities to spheres which surpass the powers and abilities of the smaller units."⁷

Prior to the enactment of Republic Act No. 7160, various measures have been enacted to promote local autonomy. These include the Barrio Charter of 1959,⁸ the Local Autonomy Act of 1959,⁹ the Decentralization Act of 1967¹⁰ and the Local Government Code of 1983.¹¹ Despite these initiatives, however, the shackles of dependence on the national government remained. Local government units were faced with the same problems that hamper their capabilities to participate effectively in the national development efforts, among which are: (a) inadequate tax base, (b) lack of fiscal control over external sources of income, (c) limited authority to prioritize and approve development projects, (d) heavy dependence on external sources of income, and (e) limited supervisory control over personnel of national line agencies.¹²

1. Decentralization of Administration and Decentralization of Power

In *Limbona v. Mangelin*,¹³ the Supreme Court, ruling under the auspices of the old Local Government law, pronounced that autonomy (in general) is either decentralization of administration or decentralization of power.

⁶George A. Bermann, *Taking Subsidiarity Seriously: Federalism in the European Community and the United States*, Columbia Law School Scholarship Archive (1994).

⁷*Ibid*; citations omitted.

⁸R.A. 2370 (1959).

⁹R.A. 2264 (1959).

¹⁰R.A. 5185 (1967).

¹¹B.P. 337 (1983).

¹²Sponsorship Remarks of Cong. Hilario De Pedro III, Records of the House of Representatives, 3rd Regular Session (1989-1990), Vol. 8, p. 757, cited in *National Power Corporation v. City of Cabanatuan*, 401 SCRA 259 (2003).

¹³170 SCRA 786, 794-795 (1989).

There is *decentralization of administration* when the central government delegates administrative powers to political subdivisions in order to broaden the base of government power and in the process to make local governments "more responsive and accountable," and "ensure their fullest development as self-reliant communities and make them more effective partners in the pursuit of national development and social progress." At the same time, it relieves the central government of the burden of managing local affairs and enables it to concentrate on national concerns. The President exercises "general supervision" over them, but only to "ensure that local affairs are administered according to law." He has no control over their acts in the sense that he can substitute their judgments with his own.¹⁴

Decentralization of power, on the other hand, involves an abdication of political power in favor of local government units declared to be autonomous. In that case, the autonomous government is free to chart its own destiny and shape its future with minimum intervention from central authorities. According to a constitutional author, decentralization of power amounts to "self-immolation," since in that event, the autonomous government becomes accountable not to the central authorities but to its constituency.¹⁵

An autonomous government that enjoys autonomy of the latter category (decentralization of power) is *subject alone to the decree of the organic act creating it and accepted principles on the effects and limits of "autonomy."* On the other hand, an autonomous government of the former class (decentralization of administration) is *under the supervision of the national government acting through the President.* Consequently, the acts, for example of *Sanggunian*, of a local unit which is autonomous in the latter sense, are, debatably, beyond the domain of the Supreme Court in perhaps the same way that the internal acts, say, of the Congress of the Philippines are beyond its jurisdiction. But if it is autonomous in the former category only, it comes unarguably under the Court's jurisdiction.¹⁶

In a later case, however, the Supreme Court noted that under the Philippine concept of local autonomy, the national government has *not* completely relinquished all its powers over local governments, including autonomous regions. *Only administrative powers over*

¹⁴*Ibid.*

¹⁵*Ibid.*

¹⁶*Ibid.*

local affairs are delegated to political subdivisions. The purpose of the delegation is to make governance more directly responsive and effective at the local levels. In turn, economic, political and social development at the smaller political units are expected to propel social and economic growth and development. But to enable the country to develop as a whole, the programs and policies effected locally must be integrated and coordinated towards a common national goal. Thus, *policy-setting for the entire country still lies in the President and Congress.*¹⁷

Local autonomy, under the Constitution, *involves a mere decentralization of administration*, *not* of power, in which local officials remain accountable to the central government in the manner the law may provide. Autonomy does not contemplate making mini-states out of local government units. Autonomy, in the constitutional sense, is subject to the guiding star, though not control, of the legislature, albeit the legislative responsibility under the Constitution — and as the “supervision clause” itself suggests — is to wean local government units from overdependence on the central government. It is noteworthy that under the Charter, “local autonomy” is *not instantly self-executing*, but subject to, among other things, the passage of a local government code, a local tax law, income distribution legislation, and a national representation law, and measures designed to realize autonomy at the local level.¹⁸

The constitutional guarantee of local autonomy in the Constitution (Section 2, Article X) *refers to the administrative autonomy of local government units* or, cast in more technical language, the decentralization of government authority. (*Villegas v. Subido*, G.R. No. L-31004, January 8, 1971, 37 SCRA 1) Local autonomy is not unique to the 1987 Constitution, it being guaranteed also under the 1973 Constitution (Section 10, Article II).¹⁹

While certain cases mentioned above point to decentralization of administration as that type of decentralization that operates under our system, a distinction, however, must be made between two (2) *groups of local government units*, namely the *regular territorial and political subdivisions* on one hand and the *regional units* on

¹⁷*See Pimentel v. Aguirre*, G.R. No. 132988, July 19, 2000; *see also Pimentel v. Executive Secretary*, G.R. No. 195770, July 17, 2012 and *Kida v. Senate of the Philippines*, G.R. No. 196271, October 18, 2011.

¹⁸*Ganzon v. CA*, *supra* note 5.

¹⁹*Cordillera Broad Coalition v. COA*, G.R. No. 79956, January 29, 1990.

the other. The first referring to provinces, cities, municipalities and barangays, while the second referring to the autonomous regions. These two groups of LGUs enjoy decentralization in distinct ways. The decentralization of power has been given to the regional units (namely, the Autonomous Region for Muslim Mindanao [ARMM] and the constitutionally-mandated Cordillera Autonomous Region [CAR]). The other group of LGUs (*i.e.*, provinces, cities, municipalities and *barangays*) enjoy the decentralization of administration. It is to be underscored, however, that the decentralization of power in favor of the regional units is not unlimited but involves only the powers enumerated by Section 20, Article X of the 1987 Constitution and by the acts of Congress.²⁰

Indeed, while local autonomy refers mainly to decentralization of administrative powers, the creation of autonomous regions in Muslim Mindanao and the Cordilleras, which is peculiar to the 1987 Constitution, contemplates the grant of political autonomy and not just administrative autonomy to these regions. Thus, the provision in the Constitution for an autonomous regional government with a basic structure consisting of an executive department and a legislative assembly and special courts with personal, family and property law jurisdiction in each of the autonomous regions (Section 18, Article X).²¹

The concept, scope and consequences of local autonomy had been applied in various power relations issues that reached the Supreme Court involving local government units in relation to the national government.

In *San Juan v. Civil Service Commission*,²² the issue before the Court, although it involved validity of the appointment of a Provincial Budget Officer, actually was the tug-of-war between the Secretary of Budget and Management and the Governor of the Province of Rizal over a position that involved the application of a most important constitutional policy and principle of local autonomy. The controversy started when the applicant for Provincial Budget Officer nominated by the Governor was found to be not qualified, the Secretary of Budget and Management insisted on appointing another who was qualified but was not nominated by the Governor. The Supreme Court ruled in favor of the Governor, who was allowed

²⁰Mandanas v. Ochoa, Jr., G.R. Nos. 199802 and 208488, July 3, 2018.

²¹See Cordillera Broad Coalition v. COA, *supra* note 19.

²²196 SCRA 69 (1991).

to nominate another applicant qualified to the position because the Governor was seen to be in a much better position than the Secretary in determining local needs, stating the need to obey the clear mandate on local autonomy. Where a law is capable of two (2) interpretations, one in favor of centralized power in Malacañang and the other beneficial to local autonomy, the scales must be weighed in favor of autonomy, the Supreme Court ruled. So, when the Civil Service Commission interpreted the recommending power of the Provincial Governor as purely directory, it went against the letter and spirit of the constitutional provisions on local autonomy.

However, in *Laguna Lake Development Authority (LLDA) v. CA*,²³ the Supreme Court found in favor of the National Government. In that case, the issue was whether or not the LLDA had the authority to order local governments along Laguna de Bay to cease and desist from issuing fishing privileges, which power, the local governments claimed, was granted to local governments by the Local Government Code of 1991. The Supreme Court, however, observed that the power of the local government units to issue fishing privileges was clearly granted for revenue purposes and not for regulatory purposes. On the other hand, the power of the LLDA to grant permits for fish pens, fish cages and other aqua-culture structures was found to be for the purpose of effectively regulating and monitoring activities in the Laguna de Bay region (Section 2, E.O. No. 927) and for lake quality control and management. It does partake of the nature of police power which is the most pervasive, the least limitable and the most demanding of all State powers including the power of taxation. Accordingly, the charter of the LLDA which embodies a valid exercise of police power should prevail over the Local Government Code of 1991 on matters affecting Laguna de Bay.

In *Pimentel v. Ochoa*,²⁴ petitioners therein sought to stop the implementation by DSWD of certain provisions of Republic Act No. 10147 or the General Appropriation Act of 2011 which provides a P21 billion budget allocation for the Conditional Cash Transfer Program (CCTP) headed by the Department of Social Welfare & Development (DSWD). Petitioners therein argued that the implementation of the said program directly by the national government (through DSWD)

²³G.R. Nos. 120865-71, December 7, 1995.

²⁴*Pimentel, Jr. v. Ochoa*, G.R. No. 195770, July 17, 2012; *see also* *Imbong v. Ochoa*, G.R. No. 204819, April 8, 2014.

and bypassing the LGUs, would amount to a “*recentralization*” of government functions that have already been devolved from the national government to the local government units. Ruling in favor of the national government in view of a specific provision of law applicable to the controversy, the Supreme Court said that to yield unreserved power of governance to the local government unit as to preclude any and all involvement by the national government in programs implemented in the local level would be to shift the tide of monopolistic power to the other extreme, which would amount to a decentralization of power explicated in *Limbona v. Mangelin* as beyond our constitutional concept of autonomy. Indeed, a complete relinquishment of central government powers on the matter of providing basic facilities and services cannot be implied as the Local Government Code itself weighs against it. The national government is, thus, not precluded from taking a direct hand in the formulation and implementation of national development programs especially where it is implemented locally in coordination with the LGUs concerned.²⁵

2. Local Fiscal Autonomy

Under existing law, local government units, in addition to having administrative autonomy in the exercise of their functions, enjoy fiscal autonomy as well.

Fiscal autonomy means that local governments have the power to create their own sources of revenue in addition to their equitable share in the national taxes released by the national government, as well as the power to allocate their resources in accordance with their own priorities. It extends to the preparation of their budgets, and local officials in turn have to work within the constraints thereof. They are not formulated at the national level and imposed on local governments, whether they are relevant to local needs and resources or not.²⁶

Reinforcing local fiscal autonomy, Section 6, Article X of the 1987 Constitution mandates that local government units shall have a just share, as determined by law, in the *national taxes which shall be automatically released to them*. Thus, it was held that Section 4 of Administrative Order No. 372 which mandates that “pending the

²⁵*Ibid.*

²⁶*Pimentel v. Aguirre*, G.R. No. 132988, July 19, 2000; *Province of Batangas v. Romulo*, 429 SCRA 736 (2004).

assessment and evaluation by the Development Budget Coordinating Committee of the emerging fiscal situation, the amount equivalent to 10% of the internal revenue allotment to local government units shall be withheld” contravenes the mandate in Section 6, Article X of the 1987 Constitution and Article 286 of the LGC of 1991 that the share of each local government unit in the national taxes (IRA) shall be “automatically released” to them and shall “not be subject to any lien or holdback that may be imposed by the National Government for whatever purpose.”²⁷

System of Decentralization

The Local Government Code of 1991 declares as the policy of the State that the territorial and political subdivisions of the State shall enjoy genuine and meaningful local autonomy to enable them to attain their fullest development as self-reliant communities and make them more effective partners in the attainment of national goals. Toward this end, the State is mandated to provide for a more responsive and accountable local government structure instituted through a *system of decentralization* whereby local government units shall be given more powers, authority, responsibilities, and resources. The process of decentralization shall proceed from the national government to the local government units.²⁸

Decentralization can be considered as the decision by the central government to empower its subordinates, whether geographically or functionally constituted, to exercise authority in certain areas. It involves decision-making by subnational units, and is typically a delegated power, whereby a larger government chooses to delegate authority to more local governments. It is also a process, being the set of policies, electoral or constitutional reforms that transfer responsibilities, resources or authority from the higher to the lower levels of government. It is often viewed as a shift of authority towards local governments and away from the central government, with total government authority over society and economy imagined as fixed.²⁹

As a system of transferring authority and power from the National Government to the LGUs, decentralization in the

²⁷Pimentel v. Aguirre, *supra*.

²⁸See Sec. 2, LGC of 1991.

²⁹Mandanas v. Ochoa, Jr., G.R. Nos. 199802 and 208488, July 3, 2018 (citations omitted).

Philippines may be categorized into four, namely: (1) political decentralization or devolution; (2) administrative decentralization or deconcentration; (3) fiscal decentralization; and (4) policy or decision-making decentralization.³⁰

1. Political Decentralization or Devolution

Political decentralization or devolution occurs when there is a transfer of powers, responsibilities, and resources from the central government to the LGUs for the performance of certain functions. It is a more liberal form of decentralization because there is an actual transfer of powers and responsibilities. It aims to grant greater autonomy to the LGUs in cognizance of their right to self-government, to make them self-reliant, and to improve their administrative and technical capabilities. It is an act by which the National Government confers power and authority upon the various LGUs to perform specific functions and responsibilities. It encompasses reforms to open sub-national representation and policies to “devolve political authority or electoral capacities to subnational actors.” Section 16 to Section 19 of the LGC characterize political decentralization in the LGC as different LGUs empowered to address the different needs of their constituents. In contrast, devolution in favor of the regional units is more expansive because they are given the authority to regulate a wider array of subjects, including personal, family and property relations.³¹

Devolution shall include the transfer to local government units of the records, equipment, and other assets and personnel of national agencies and offices corresponding to the devolved powers, functions, and responsibilities.

Local government units shall endeavor to be self-reliant and shall continue exercising the powers and discharging the duties and functions currently vested upon them. They shall also discharge the functions and responsibilities of national agencies and offices devolved to them pursuant to the Code. Local government units shall likewise exercise such other powers and discharge such other functions and responsibilities as are necessary, appropriate, or incidental to efficient and effective provision of the basic services and facilities enumerated in the Code. National agencies or offices

³⁰*Ibid.*

³¹*Ibid.*

concerned shall devolve to local government units the responsibility for the provision of basic services and facilities enumerated in Section 17 within six (6) months after the effectivity of the Code.³² This should not be interpreted, however, to mean that no devolution shall ever take place after the lapse of the six (6)-month period. The more reasonable understanding of the six (6)-month period is that the framers of the law provided for the period to prompt the national government to speedily devolve the existing services to the LGUs. It was not intended as a prescriptive period, as to absolutely prohibit the national government from devolving services beyond the period.³³ In any case, the LGC of 1991 mandates an interpretation that is in favor of devolution.

The specific devolved powers, which were previously exercised only by the national government, are enumerated in Section 17 of the Code and distributed to the different local government levels. This provision is the core devolution of central government powers to local government units.³⁴ However, public works and infrastructure projects and other facilities, programs and services: 1) funded by the national government under the annual General Appropriations Act, other special laws, pertinent executive orders; and 2) those wholly or partially funded from foreign sources, are not covered by Section 17 on devolution, unless the local government unit concerned is duly designated as implementing agency for such projects, facilities, programs, and services.³⁵

Devolution, however, does not prohibit the National Government or next higher level of local government from providing or augmenting the basic services and facilities assigned to a lower level of local government unit when such services or facilities are not made available, or, if made available, are inadequate to meet the requirements of its inhabitants.³⁶

2. Administrative Decentralization or Deconcentration

Administrative decentralization or deconcentration involves the transfer of functions or the delegation of authority and responsibility

³²Sec. 17, LGC of 1991.

³³Mangune v. Ermita, G.R. No. 182604, September 27, 2016.

³⁴Aquilino Pimentel, *The Local Government Code of 1991: The Key to National Development* (1993).

³⁵See Sec. 17(c), LGC of 1991, as cited in Joseph Emmanuel Angeles, *Restatement of the Law on Local Governments* (2005).

³⁶See Sec. 17(f), LGC of 1991.

from the national office to the regional and local offices. Consistent with this concept, the LGC has created the Local School Boards, the Local Health Boards and the Local Development Councils, and has transferred some of the authority from the agencies of the National Government, like the Department of Education and the Department of Health, to such bodies to better cope up with the needs of particular localities.³⁷

Deconcentration, thus, refers to the transfer of authority and power to the appropriate regional offices or field offices of national agencies or offices whose major functions are not devolved to local government units.³⁸ The national government is mandated to effect deconcentration within six (6) months after the effectivity of the Code.

3. Fiscal Decentralization

Fiscal decentralization or local fiscal autonomy means that the LGUs have the power to create their own sources of revenue in addition to their just share in the national taxes released by the National Government. It includes the power to allocate their resources in accordance with their own priorities. It thus extends to the preparation of their budgets, so that the local officials have to work within the constraints of their budgets. The budgets are not formulated at the national level and imposed on local governments, without regard as to whether or not they are relevant to local needs and resources. Hence, the necessity of a balancing of viewpoints and the harmonization of proposals from both local and national officials, who in any case are partners in the attainment of national goals, is recognized and addressed. Fiscal decentralization emanates from a specific constitutional mandate that is expressed in several provisions of Article X (Local Government) of the 1987 Constitution, specifically: Section 5, Section 6, and Section 7.³⁹

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The constitutional authority extended to each and every LGU to create its own sources of income and revenue has been formalized from Section 128 to Section 133 of the LGC. To implement the LGUs' entitlement to the just share in the national taxes, Congress has enacted Section 284 to Section 288 of the LGC. Congress has further enacted Section 289 to Section 294 of the LGC to define the share of the LGUs in the national wealth. Indeed, the requirement for the

³⁷*Ibid.*

³⁸Sec. 528, LGC of 1991.

³⁹*Ibid.*

automatic release to the LGUs of their just share in the national taxes is but the consequence of the constitutional mandate for fiscal decentralization.⁴⁰

For sure, fiscal decentralization or local fiscal autonomy does not signify the absolute freedom of the LGUs to create their own sources of revenue and to spend their revenues unrestrictedly or upon their individual whims and caprices. Congress has subjected the LGUs' power to tax to the guidelines set in **Section 130 of the LGC** and to the limitations stated in **Section 133 of the LGC**. The concept of local fiscal autonomy does not exclude any manner of intervention by the National Government in the form of supervision if only to ensure that the local programs, fiscal and otherwise, are consistent with the national goals.⁴¹

4. **Policy or Decision-making Decentralization**

Policy or decision-making decentralization exists if at least one sub-national tier of government has exclusive authority to make decisions on at least one policy issue.⁴²

Operative Principles of Decentralization - basis to question the acts of LGUs

The formulation and implementation of policies and measures on local autonomy shall be guided by the following operative principles:

- (a) There shall be an effective allocation among the different local government units of their respective powers, functions, responsibilities, and resources;
- (b) There shall be established in every local government unit an accountable, efficient, and dynamic organizational structure and operating mechanism that will meet the priority needs and service requirements of its communities;
- (c) Subject to civil service law, rules and regulations, local officials and employees paid wholly or mainly from local funds shall be appointed or removed, according to merit and fitness, by the appropriate appointing authority;

⁴⁰*Ibid.*

⁴¹*Ibid.*

⁴²*Ibid.*

- (d) The vesting of duty, responsibility, and accountability in local government units shall be accompanied with provision for reasonably adequate resources to discharge their powers and effectively carry out their functions; hence, they shall have the power to create and broaden their own sources of revenue and the right to a just share in national taxes and an equitable share in the proceeds of the utilization and development of the national wealth within their respective areas;
- (e) Provinces with respect to component cities and municipalities, and cities and municipalities with respect to component *barangays*, shall ensure that the acts of their component units are within the scope of their prescribed powers and functions;
- (f) Local government units may group themselves, consolidate or coordinate their efforts, services, and resources for purposes commonly beneficial to them;
- (g) The capabilities of local government units, especially the municipalities and *barangays*, shall be enhanced by providing them with opportunities to participate actively in the implementation of national programs and projects;
- (h) There shall be a continuing mechanism to enhance local autonomy not only by legislative enabling acts but also by administrative and organizational reforms;
- (i) Local government units shall share with the national government the responsibility in the management and maintenance of ecological balance within their territorial jurisdiction, subject to the provisions of this Code and national policies;
- (j) Effective mechanisms for ensuring the accountability of local government units to their respective constituents shall be strengthened in order to upgrade continually the quality of local leadership;
- (k) The realization of local autonomy shall be facilitated through improved coordination of national government policies and programs and extension of adequate technical and material assistance to less developed and deserving local government units;

- (l) The participation of the private sector in local governance, particularly in the delivery of basic services, shall be encouraged to ensure the viability of local autonomy as an alternative strategy for sustainable development; and
- (m) The national government shall ensure that decentralization contributes to the continuing improvement of the performance of local government units and the quality of community life.⁴³

The centerpiece of LGC is the system of decentralization as expressly mandated by the Constitution. Indispensable to decentralization is *devolution* and the LGC expressly provides that “[a]ny provision on a power of a local government unit shall be liberally interpreted in its favor, and in case of doubt, any question thereon shall be resolved in favor of devolution of powers and of the lower local government unit. Any fair and reasonable doubt as to the existence of the power shall be interpreted in favor of the local government unit concerned.”⁴⁴

⁴³Sec. 3, LGC of 1991.

⁴⁴*Tano v. Socrates*, G.R. No. 119249, August 21, 1997.

Chapter 4

LOCAL GOVERNMENTS AND UNIONS OR FEDERATIONS OF LOCAL GOVERNMENTS IN THE PHILIPPINES

Local Units and Autonomous Regions

The 1987 Philippine Constitution provides that “the territorial and political subdivisions of the Republic of the Philippines are the provinces, cities, municipalities, and *barangays*. There shall be autonomous regions in Muslim Mindanao and the Cordilleras as hereinafter provided.”¹

This above provision of the Constitution, however, does not create local government units. A particular local government unit should still be created by law. It only constitutionally ensures the existence of these territorial and political units in our structure.² Hence, a law cannot, for example, abolish all *barangays*.

As the basic political unit, the *barangay* serves as the primary planning and implementing unit of government policies, plans, programs, projects, and activities in the community, and as a forum wherein the collective views of the people may be expressed, crystallized and considered, and where disputes may be amicably settled.³

The municipality, consisting of a group of *barangays*, serves primarily as a general purpose government for the coordination and delivery of basic, regular and direct services and effective governance of the inhabitants within its territorial jurisdiction.⁴

¹Sec. 1, Art. X, 1987 Constitution.

²See Joaquin Bernas, SJ, *The 1987 Constitution of the Republic of the Philippines: A Commentary* (2009 Ed.).

³Sec. 384, LGC of 1991.

⁴Sec. 440, LGC of 1991.

The city, consisting of more urbanized and developed *barangays*, serves as a general-purpose government for the coordination and delivery of basic, regular, and direct services and effective governance of the inhabitants within its territorial jurisdiction.⁵

The province, composed of a cluster of municipalities, or municipalities and component cities, and as a political and corporate unit of government, serves as a dynamic mechanism for developmental processes and effective governance of local government units within its territorial jurisdiction.⁶

The *Provinces, Cities, Municipalities, and Barangays* can be properly called the regular local government units and, the Muslim Mindanao and Cordilleras as *Autonomous Regions*.

Cities are, however, further classified into **Highly Urbanized Cities, Independent Component Cities and Component Cities.**⁷ Cities that comply with statutory requirements on income may be declared as *Highly Urbanized*. Cities whose charters prohibit their voters from voting and being voted for provincial elective offices, shall be independent of the province, and are known as *Independent Component Cities*.⁸ All other cities are called *Component Cities* of the province in which they are geographically located.⁹ The voters of component cities within a province, whose charters contain no such prohibition, shall not be deprived of their right to vote for elective provincial officials.¹⁰

Section 12, Article X of the Constitution is explicit that aside from highly-urbanized cities, component cities whose charters prohibit their voters from voting for provincial elective officials are independent of the province. In the same provision, it provides for other component cities of provinces whose charters do not provide a similar prohibition. Thus, in the case of *Abella v. COMELEC*,¹¹ involving Ormoc City, the Supreme Court ruled that component cities like Ormoc City whose charters prohibit their voters from voting for provincial elective officials are treated like highly urbanized cities which are outside the supervisory power of the province to

⁵Sec. 448, *supra*.

⁶Sec. 459, *supra*.

⁷Sec. 451, LGC of 1991.

⁸*Ibid*.

⁹Sec. 452(b), LGC of 1991.

¹⁰See Sec. 12, Art. X, 1987 Constitution.

¹¹201 SCRA 253 (1991).

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which they are geographically attached. This independence from the province carries with it the prohibition or mandate directed to their registered voters *not to vote and be voted for the provincial elective offices*. Moreover, the Supreme Court continued, Section 89 of Republic Act 179 (Charter of Ormoc City), independent of the constitutional provision, prohibits registered voters of Ormoc City from voting and being voted for elective offices in the province of Leyte. The Supreme Court therefore agreed with the COMELEC *en banc* that the phrase “shall not be qualified and entitled to vote in the election of the provincial governor and the members of the provincial board of the Province of Leyte” connotes two (2) prohibitions — *one, from running* for and the *second, from voting* for any provincial elective official.

There are no other “political subdivisions or regions” that are recognized by the Constitution other than provinces, cities, municipalities, *barangays*, the autonomous regions and special metropolitan political subdivisions (discussed below). Thus, the creation of the Bangsamoro Juridical Entity (BJE) in 2008 under the framework of the Memorandum of Agreement on the Ancestral Domain (MOA-AD) Aspect of the GRP-MILF Tripoli Agreement on Peace of 2001, which was given powers similar to an “associate” state in public international law (such as the power to enter into economic and trade relations with foreign countries, which is not a power granted to local governments under the Constitution), cannot exist under our system.¹²

Special Metropolitan Political Subdivisions - not an LGU but still needs plebiscite

Congress may, by law, create *Special Metropolitan Political Subdivisions*, subject to a plebiscite as set forth in Section 10, Article X of the 1987 Constitution. The component cities and municipalities shall retain their basic autonomy and shall be entitled to their own local executives and legislative assemblies. The jurisdiction of the metropolitan authority that will be created shall be limited to basic services requiring coordination.¹³

It should be noted that these special metropolitan political subdivisions are **not legally considered separate local government**

¹²The Province of North Cotabato v. The Government of the Republic of the Philippines Peace Panel on Ancestral Domain, G.R. No. 183591, October 14, 2008.

¹³Sec. 11, Art. X, 1987 Constitution.

units, such that the metropolitan authority cannot exercise local political powers, though the creation of a metropolitan authority still requires plebiscite. Thus, in *Metro Manila Development Authority (MMDA) v. Bel-Air Village*,¹⁴ the Supreme Court found MMDA as **not** even a special metropolitan political subdivision because there was no plebiscite when it was created and the President exercises not just supervision but control over it. The Chairman of the MMDA is not an official elected by the people, but appointed by the President with the rank and privileges of a cabinet member. MMDA has purely administrative functions.

Loose Federations

Local government units may, however, enter into some **loose federations of local government units**. According to the Local Government Code of 1991, local government units may group themselves, consolidate or coordinate their efforts, services, and resources for purposes commonly beneficial to them in accordance with law.¹⁵ Loose Federations may be **created through appropriate ordinances enacted by the local government units concerned** as they group themselves, consolidate, or coordinate their efforts, services, and resources for purposes commonly beneficial to them. In support of such undertakings, the local government units involved may, upon approval by the *Sanggunian* concerned after a **public hearing** conducted for the purpose, contribute funds, real estate, equipment, and other kinds of property and appoint or assign personnel under such terms and conditions as may be agreed upon by the participating local units through **Memoranda of Agreement**. This federation, however, cannot be considered a new corporate body.

there must be public hearing and MOA

Regional Development Councils

The **President** shall provide for **regional development councils** and other similar bodies composed of local government officials, regional heads of departments and other government offices, and representatives from non-governmental organizations within the regions for purposes of **administrative decentralization to strengthen the autonomy of the units therein and to accelerate the economic and social growth and development of the units in the region**.¹⁶ Regional

¹⁴G.R. No. 135962, March 27, 2000.

¹⁵See also Sec. 13, Art. X, 1987 Constitution.

¹⁶Sec. 14, Art. X, 1987 Constitution.

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Development Councils are established by the President without need of authorization from Congress.

The "merger" of local government units into a new local government unit, or a special metropolitan political subdivision, or an autonomous region is basically a legislative function. However, the creation of "*administrative regions*" is traditionally an executive function being essentially part of the supervisory power of the president over local government units. However, these administrative regions are not meant to be separate local government units.

Chapter 5

THE LOCAL GOVERNMENT CODE OF 1991

Constitutional Mandate

The 1987 Constitution mandates Congress to enact a local government code which shall provide for a more responsive and accountable local government structure instituted through a system of decentralization with effective mechanisms of recall, initiative, and referendum, allocate among the different local government units their powers, responsibilities, and resources, and provide for the qualifications, election, appointment and removal, term, salaries, powers and functions and duties of local officials, and all other matters relating to the organization and operation of local units.¹ Hence, Republic Act No. 7160 was enacted into law in 1991 and became effective on January 1, 1992. It is now known as the Local Government Code of 1991.²

This paradigm shift results from the realization that genuine development can be achieved only by strengthening local autonomy and promoting decentralization of governance. For a long time, the country's highly centralized government structure has bred a culture of dependence among local government leaders upon the national leadership. It has also "dampened the spirit of initiative, innovation and imaginative resilience in matters of local development on the part of local government leaders."

Scope of Application

The Code shall apply to all provinces, cities, municipalities, *barangays*, and other political subdivisions as may be created by law, and, to the extent herein provided, to officials, offices, or agencies of the national government.³

¹Sec. 3, Art. X, 1987 Constitution.

²Hereinafter also referred to in this work as "Code."

³Sec. 3, Art. X, 1987 Constitution.

As for the local government units in the Autonomous Regions, the Code shall apply to all provinces, cities, municipalities and *barangays* in the autonomous regions until such time as the regional government concerned shall have enacted its own local government code.⁴

All existing tax ordinances or revenue measures of local government units shall continue to be in force and effect after the effectivity of the Code unless amended by the *sanggunian* concerned, or inconsistent with, or in violation of, the provisions of the Code.⁵

On the other hand, all general and special laws, acts, city charters, decrees, executive orders, proclamations and administrative regulations, or part or parts thereof which are inconsistent with any of the provisions of the Code were repealed or modified accordingly.⁶

Rules of Interpretation

In the interpretation of the provisions of the Code, the following rules shall apply:

- (a) Any provision on a power of a local government unit shall be liberally interpreted in its favor, and in case of doubt, any question thereon shall be resolved in favor of devolution of powers and of the lower local government unit. Any fair and reasonable doubt as to the existence of the power shall be interpreted in favor of the local government unit concerned;
- (b) In case of doubt, any tax ordinance or revenue measure shall be construed strictly against the local government unit enacting it, and liberally in favor of the taxpayer. Any tax exemption, incentive or relief granted by any local government unit pursuant to the provisions of the Code shall be construed strictly against the person claiming it;
- (c) The general welfare provisions in the Code shall be liberally interpreted to give more powers to local government units in accelerating economic development and upgrading the quality of life for the people in the community;

⁴See Sec. 526, LGC of 1991.

⁵See Sec. 529, LGC of 1991.

⁶See Sec. 534(f), LGC of 1991.

- (d) Rights and obligations existing on the date of effectivity of the Code and arising out of contracts or any other source of prestation involving a local government unit shall be governed by the original terms and conditions of said contracts or the law in force at the time such rights were vested; and
- (e) In the resolution of controversies arising under the Code where no legal provision or jurisprudence applies, resort may be had to the customs and traditions in the place where the controversies take place.⁷

In view of the constitutional mandate to grant territorial and political subdivisions genuine local autonomy,⁸ interpretative rules should, as far as practicable, be made in favor of local governments and of devolution. This is only necessary and proper. However, one should distinguish between the question of whether a particular local government can exercise a specific power on one hand, and the question of who, between the particular local government and the national government (or its agency), can exercise a specific power on the other.

In the former, the specific power involved is optional to the government which may or may not be exercised, while in the latter such specific power is compulsory and is therefore understood to be vested in the government and must be exercised. In the former, the rules on interpretation shall favor the local government. In the latter, however, centralization of power prevails. This must be so because under our system of government, while local autonomy is guaranteed, residual powers⁹ are still retained by the President of the Philippines and Congress still exercises plenary power. Thus, the grant and release of hospitalization and health care insurance benefits given to local government officials and employees were affirmed in favor of the Province of Negros Occidental in *Province of Negros Occidental v. COA*.¹⁰ Likewise, while Sections 16 and 76 of the Local Government Code do not confer authority upon any local government unit to create a separate or supplementary retirement benefit plan, the same was upheld in favor of the City of

⁷See Sec. 5, LGC of 1991.

⁸Sec. 2, Art. X, 1987 Constitution.

⁹Sec. 20, Title I, Book III, E.O. 292 (The Revised Administrative Code of the Philippines).

¹⁰G.R. No. 182574, September 28, 2010.

General Santos in *City of General Santos v. COA*.¹¹ On the other hand, on the issue of whether municipalities can grant franchises to operate CATV system, it has been held in *Zoomzat, Inc. v. People* that they do not have such power “in the absence of constitutional or legislative authorization,”¹² the power to regulate CATV system or similar activity being mandatory on the part of the government.

¹¹G.R. No. 199439, April 22, 2014.

¹²*Zoomzat, Inc. v. People*, G.R. No. 135535, February 14, 2005.

Chapter 6

CREATION, CONVERSION, DIVISION, MERGER, SUBSTANTIAL CHANGE OF BOUNDARY AND ABOLITION OF LOCAL GOVERNMENT UNITS

Political Subdivisions

Section 10, Article X of the 1987 Constitution provides:

“No province, city, municipality, or barangay shall be created, divided, merged, abolished or its boundary substantially altered, **except in accordance with the criteria established in the local government code** and subject to approval by a majority of the votes cast in a plebiscite in the political units directly affected.” (Emphasis supplied)

As mandated by the 1987 Constitution, Congress must prescribe in the Local Government Code all criteria for the creation, division, merger, abolition, and substantial alteration of boundaries of local governments. This means that the Constitution itself prohibits Congress from enacting any other law, other than a law called the “Local Government Code,” setting forth these criteria. This of course appears to be problematic in the context of statutory construction in view of the fact that both are laws enacted by Congress. For example, assuming that the Local Government Code comes under the category of a general law and another law setting forth a different criterion is considered a special law, as when it is a law that creates a local government, it is basic rule in statutory construction that when a special law is found to be inconsistent with a general law, the special law prevails and must be treated as amendatory to the general law under the principle *lex specialis derogat legi generali*. Further, even assuming that both the Local Government Code and a law subsequently enacted by Congress are of the same category, either as general laws or special laws, the other rule in statutory construction provides that the later law will have the effect of amending or repealing the earlier law under the principle *lex posterior derogat priori*.

It appears that these rules in statutory construction will have to step aside as the 1987 Constitution mandates that no other criteria shall be followed other than those that are established in the Local Government Code.

In one of the most controversial cases ever decided by the Supreme Court involving 16 municipalities that were converted into cities, the Supreme Court took several positions before putting the issue to rest in 2011. For being naturally within the domain of constitutional law, the procedural issues involving the voting requirements in the Supreme Court that led to the rendition of at least four (4) decisions or resolutions in these cases are here dispensed with for the sake of brevity. The following discussion will focus on the substantive aspects of the decisions of the Supreme Court.

The first decision was handed down in 2008. In the *League of Cities of the Philippines v. COMELEC*¹ (hereinafter “First League of Cities decision” while the subsequent decisions or resolutions as “Second League of Cities decision, *et. seq.*”), the Supreme Court found 16 laws enacted by Congress in 2007 as “unconstitutional” for having been passed without following the criterion on income as provided for in Section 450 of the Local Government Code of 1991 as amended by Republic Act No. 9009, as mandated by the 1987 Constitution.

The *League of Cities cases* stemmed from the enactment of certain laws, called “*cityhood laws*” converting 16 municipalities into cities in the year 2007 after the effectivity of Republic Act No. 9009 in 2001. It all started when during the 11th Congress (1998-2001), Congress enacted into law 33 bills converting 33 municipalities into cities, but did not act on bills converting 24 other municipalities into cities. However, during the 12th Congress (2001-2004), Congress enacted into law Republic Act No. 9009 which took effect on 30 June 2001. Republic Act No. 9009 specifically amended Section 450 of the Local Government Code by increasing the annual income requirement for conversion of a municipality or cluster of *barangays* into a component city from P20 million to P100 million.

The rationale for the amendment was to restrain, in the words of Senator Aquilino Pimentel, “*the mad rush*” of municipalities to convert into cities solely to secure a larger share in the Internal

¹G.R. No. 176951, November 18, 2008 (*En Banc*).

Revenue Allotment despite the fact that they are incapable of fiscal independence. After the effectivity of Republic Act No. 9009, the House of Representatives of the 12th Congress adopted Joint Resolution No. 29, which sought to exempt from the P100 million income requirement in Republic Act No. 9009 the 24 municipalities whose cityhood bills were not approved in the 11th Congress. However, the 12th Congress ended without the Senate approving Joint Resolution No. 29. During the 13th Congress (2004-2007), however, the House of Representatives re-adopted Joint Resolution No. 29 as Joint Resolution No. 1 and forwarded it to the Senate for approval. Again, the Senate failed to approve the Joint Resolution. However, following the advice of Senator Aquilino Pimentel, 16 municipalities filed, through their respective sponsors, individual cityhood bills. The 16 cityhood bills contained a common provision exempting all the 16 municipalities from the P100 million income requirement in Republic Act No. 9009. On December 22, 2006, the House of Representatives approved the cityhood bills. The Senate also approved the cityhood bills in February 2007, except that of Naga, Cebu which was passed on June 7, 2007. The cityhood bills lapsed into law on various dates from March to July 2007 due to executive inaction. Thereafter, the Cityhood Laws direct the COMELEC to hold plebiscites to determine whether the voters in each respondent municipality approve of the conversion of their municipality into a city.²

A petition was filed by the League of Cities of the Philippines to declare the Cityhood Laws unconstitutional for violation of Section 10, Article X of the Constitution, as well as for violation of the equal protection clause. The Petition also avers that the wholesale conversion of municipalities into cities will reduce the share of existing cities in the Internal Revenue Allotment (IRA) because more cities will share the same amount of internal revenue set aside for all cities under Section 285 of the Local Government Code.³

The Supreme Court first granted the petition and declared the Cityhood Laws unconstitutional for the reason that the Constitution specifically and deliberately makes the Local Government Code as the only repository of the criteria and standards for the creation of any local government unit such that no other law not even the charter of the city (cityhood law), can govern such creation. The

²See First League of Cities decision, *supra*.

³*Supra*.

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Supreme Court declared that the clear intent of the Constitution is to insure that the creation of cities and other political units must follow the same uniform, non-discriminatory criteria found solely in the Local Government Code. Apparently, the Supreme Court found Republic Act No. 9009 not as a separate law but merely an amendatory law to, and therefore part of, Section 450 of the Local Government Code of 1991. The Supreme Court said, thus:

“The Constitution is clear. The creation of local government units must follow the **criteria established in the Local Government Code** and not in any other law. There is only one Local Government Code. The Constitution requires Congress to stipulate in the Local Government Code all the criteria necessary for the creation of a city, including the conversion of a municipality into a city. Congress cannot write such criteria in any other law, like the Cityhood Laws.

The clear intent of the Constitution is to insure that the creation of cities and other political units must follow **the same uniform, non-discriminatory criteria found solely in the Local Government Code**. Any derogation or deviation from the criteria prescribed in the Local Government Code violates Section 10, Article X of the Constitution.

R.A. 9009 amended Section 450 of the Local Government Code to increase the income requirement from P20 million to P100 million for the creation of a city. **This took effect on 30 June 2001. Hence, from that moment the Local Government Code required that any municipality desiring to become a city must satisfy the P100 million income requirement.** Section 450 of the Local Government Code, as amended by R.A. 9009, does not contain any exemption from this income requirement.

In enacting R.A. 9009, Congress did not grant any exemption to respondent municipalities, even though their cityhood bills were pending in Congress when Congress passed R.A. 9009. The Cityhood Laws, all enacted *after* the effectivity of R.A. 9009, explicitly exempt respondent municipalities from the increased income requirement in Section 450 of the Local Government Code, as amended by R.A. 9009. **Such exemption clearly violates Section 10, Article X of the Constitution and is thus patently unconstitutional. To be valid, such exemption must be written in the Local Government Code and not in any other law, including the Cityhood Laws.**” (First League of Cities decision, *supra.*, citations omitted; emphasis added)

On Motion for Reconsideration, the Supreme Court reversed itself in 2009 and declared the 16 cityhood laws not unconstitutional. The Supreme Court, through Associate Justice Velasco, Jr., said that:

“Consistent with its plenary legislative power on the matter, Congress can, via either a consolidated set of laws or a much simpler, single-subject enactment, impose the said verifiable criteria of viability. These criteria need not be embodied in the local government code, albeit this code is the ideal repository to ensure, as much as possible, the element of uniformity. Congress can even, after making a codification, enact an amendatory law, adding to the existing layers of indicators earlier codified, just as efficaciously as it may reduce the same. In this case, the amendatory R.A. 9009 upped the already codified income requirement from PhP 20 million to PhP 100 million. At the end of the day, the passage of amendatory laws is no different from the enactment of laws, i.e., the cityhood laws specifically exempting a particular subdivision from the criteria earlier mentioned. Congress, in enacting the exempting law/s, effectively decreased the already codified indicators.”⁴

In this second *League of Cities* case, the Supreme Court noted that the intent of the lawmakers when they approved the cityhood bills was really to exempt these bills from the requirements of Republic Act No. 9009 considering that these cityhood bills were proposed much earlier than the approval of Republic Act No. 9009.

On August 24, 2010, however, the Supreme Court, through Associate Justice Carpio, reverted to the 2008 first *League of Cities* case on yet another Motion for Reconsideration. The Supreme Court affirmed the primacy of the constitutional requirement that the creation of local governments shall only be based on uniform criteria set forth in only one law, the Local Government Code of 1991 as Amended by Republic Act No. 9009, on the income requirement for the creation of cities. The Court reiterated its reasoning in the first *League of Cities* case.⁵

On a Third Motion for Reconsideration, however, the Supreme Court on February 15, 2011 reversed itself for the second time and reverted to its December 21, 2009 ruling. Penned by Associate Justice Bersamin this time, the Supreme Court said:

⁴Second *League of Cities* decision, December 21, 2009.

⁵See Third *League of Cities* decision, August 24, 2010, citations omitted.

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"While R.A. 9009 was being deliberated upon, Congress was well aware of the pendency of conversion bills of several municipalities, including those covered by the Cityhood Laws, desiring to become component cities which qualified under the P20 million income requirement of the old Section 450 of the LGC. The interpellation of Senate President Franklin Drilon of Senator Pimentel is revealing, thus —

THE PRESIDENT. The Chair would like to ask for some clarificatory point.

SENATOR PIMENTEL. Yes, Mr. President.

THE PRESIDENT. This is just on the point of the **pending bills in the Senate which propose the conversion of a number of municipalities into cities and which qualify under the present standard.**

We would like to know the view of the sponsor: **Assuming that this bill becomes a law, will the Chamber apply the standard as proposed in this bill to those bills which are pending for consideration?**

SENATOR PIMENTEL. Mr. President, it might not be fair to **make this bill, on the assumption that it is approved, retroact to the bills that are pending in the Senate conversion from municipalities to cities.**

THE PRESIDENT. Will there be an appropriate language crafted to reflect that view? Or does it not become a policy of the Chamber, assuming that this bill becomes a law tomorrow, that it will apply to those bills which are already approved by the House under the old version of the Local Government Code and are now pending in the Senate? The Chair does not know if we can craft a language which will limit the application to those which are not yet in the Senate. Or is that a policy that the Chamber will adopt?

SENATOR PIMENTEL. Mr. President, personally, I do not think it is necessary to put that provision because what we are saying here will form part of the interpretation of this bill. Besides, if there is no retroactivity clause, I do not think that the bill would have any retroactive effect.

THE PRESIDENT. So the understanding is that those bills which are already pending in the Chamber will not be affected.

SENATOR PIMENTEL. These will not be affected, Mr. President.

THE PRESIDENT. Thank you Mr. Chairman.

Clearly, based on the above exchange, Congress intended that those with pending cityhood bills during the 11th Congress would not be covered by the new and higher income requirement of P100 million imposed by R.A. No. 9009. When the LGC was amended by R.A. No. 9009, the amendment carried with it both the letter and the intent of the law, and such were incorporated in the LGC by which the compliance of the Cityhood Laws was gauged.

Notwithstanding that both the 11th and 12th Congress failed to act upon the pending cityhood bills, both the letter and intent of Section 450 of the LGC, as amended by R.A. No. 9009, were carried on until the 13th Congress, when the Cityhood Laws were enacted. The exemption clauses found in the individual Cityhood Laws are the express articulation of that intent to exempt respondent municipalities from the coverage of R.A. No. 9009.⁷⁶ (Emphasis supplied)

On April 12, 2011, the Supreme Court had finally put to rest this very controversial issue that spawned a lot of heated discussions by the bench and the bar. The motion for reconsideration filed by the League of Cities on the Court's February 15, 2011 Decision was denied with finality. The Supreme Court resolved:

"We should not ever lose sight of the fact that the 16 cities covered by the Cityhood Laws not only had conversion bills pending during the 11th Congress, but have also complied with the requirements of the LGC prescribed prior to its amendment by R.A. No. 9009. Congress undeniably gave these cities all the considerations that justice and fair play demanded. Hence, this Court should do no less by stamping its *imprimatur* to the clear and unmistakable legislative intent and by duly recognizing the certain collective wisdom of Congress."⁷⁷

As intimated earlier, the only constitutionally-recognized political subdivisions are the provinces, cities, municipalities, *barangays* and the autonomous regions of Muslim Mindanao and the Cordilleras. Only a constitutional amendment can allow the recognition of another political subdivisions. Thus, in the case of *Province of North Cotabato v. GRP*,⁸ the Supreme Court struck

⁷⁶See Fourth League of Cities decision, February 15, 2011, citations omitted.

⁷⁷See Fifth League of Cities decision, April 12, 2011 and Resolution dated June 18, 2011.

⁸G.R. No. 183591, October 14, 2008.

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down the creation of a Bangsamoro Juridical Entity (BJE) pursuant to a Memorandum of Agreement on Ancestral Domains (MOA-AD) entered into by the Government and the Moro Islamic Liberation Front (MILF) as this BJE was clothed with certain political functions and powers making it in fact an "associated state" if not a political subdivision of the Philippines. The Supreme Court said:

"The concept of an 'associated state' is not sanctioned by the Constitution. Under Art. X, the following are the only recognized 'political subdivisions' in the Philippines: Provinces, Cities, Municipalities, Barangays and the Autonomous Regions of Muslim Mindanao and the Cordilleras."

Creation and Conversion

1. General Requirements:

1.1. Law or Ordinance

A local government unit may be created, divided, merged, abolished, or its boundaries substantially altered either **by law enacted by Congress** in the case of a province, city, municipality, or any other political subdivision, or **by ordinance** passed by the *Sangguniang Panlalawigan* or *Sangguniang Panlungsod* concerned in the case of a *barangay* located within its territorial jurisdiction, subject to such limitations and requirements prescribed in the Code.⁹

The creation of a municipal corporation is the appropriate and exclusive function of sovereign legislative power. That it is an act of sovereign legislative power results from the very nature of the corporation, its objects and functions. Every municipal corporation possesses certain elements of sovereign power, such as legislative power and power of eminent domain. Neither of these powers can emanate from any source except the sovereign.¹⁰

Interestingly, the Local Government Code speaks of a law to be "enacted by Congress." Apparently, the Local Government Code now specifically emphasizes that the creation of a local government is a legislative function, fearing therefore a repeat of what happened in *Pelaez v. Auditor General*,¹¹ where municipalities were created through Executive Orders, which also had the force and effect of laws.

⁹Sec. 6, LGC of 1991.

¹⁰Roger W. Cooley, *Handbook of the Law of Municipal Corporations* (1914).

¹¹(1965).

It now seems, in view of the use of the phrase "enacted by Congress," that even in a situation where Congress is not functioning, the Chief Executive cannot create local governments. In the case, however, of a creation by law of a *barangay*, although in most cases a *barangay* is created through the appropriate ordinance, the law need not be enacted by Congress.

Congress has, however, retained the power to create *barangays* under Section 386 of the Code in indigenous cultural communities to "enhance the delivery of basic services" and in municipalities within the Metropolitan Manila Area as provided under Article 14 of the Implementing Rules because there is no *Sangguniang Panlalawigan* to discharge that duty in behalf of the said municipalities.¹²

The power to create a municipal corporation **cannot**, in the absence of constitutional provisions permitting it, be delegated by the Legislature to any inferior and subordinate tribunal or board.¹³ Jose M. Aruego, however, opines that while Congress cannot delegate to any other agency the power to create local areas of local governments, the same may, perhaps be delegated to the President in the exercise of emergency powers under the Constitution.¹⁴ In the context of the 1987 Philippine Constitution, however, it is doubtful if the opinion of Mr. Aruego still holds true, considering the strict limitations now imposed on the President's exercise of emergency powers.¹⁵

1.2. Plebiscite

Except in those states where the constitution and statutes require popular assent to the creation of a municipality, it is not necessary that a special charter shall be assented to by the people.¹⁶ Since the municipality is created at the legislative discretion, and for the public welfare, as an instrumentality of the government, it is not essential that the inhabitants or residents of the municipal boundaries shall give consent to the charter, as is required in the case of private corporations.¹⁷ In the Philippines, however, the Constitution specifically requires that a plebiscite should be held in order to lawfully create a municipal corporation.

¹²Aquilino Pimentel, *supra*, p. 25.

¹³Roger W. Cooley, *Handbook of the Law of Municipal Corporations* (1914).

¹⁴Jose M. Aruego, *The Law on Municipal Government in the Philippines* (1968), p. 2.

¹⁵See Sec. 23(2), Art. VI, 1987 Constitution.

¹⁶*Ibid.*

¹⁷*Smith v. Crutcher*, 92 Ky. 586, 18 S. W. 521, cited in Cooley (1914).

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Indeed, **Section 10, Article X**, of the 1987 Constitution provides that “no province, city, municipality, or *barangay* may be created, divided, merged, abolished, or its boundary substantially altered, except in accordance with the criteria established in the Local Government Code and subject to approval by a majority of the votes cast in a plebiscite in the political units directly affected.”

Plebiscite is required in our system of creating municipal corporations in order to enable the registered voters of a locality affected by the creation, division, merger, abolition, or alteration of the boundaries of a local government unit to check the power of Congress or of the local government unit concerned to carry out such actions.¹⁸

An interesting question was brought to the Supreme Court in the case of *Miranda v. Aguirre*¹⁹ about the requirement of plebiscite in cases of downward conversion of an independent component city into a mere component city of a province. In 1998, by virtue of Republic Act No. 8528, the City of Santiago, Isabela was converted from an independent component city to a component city. The constitutionality of Republic Act No. 8528 was assailed on the ground of lack of provision in the said law submitting the same for ratification by the people of Santiago City in a proper plebiscite. The issue was whether the downward conversion of Santiago City from an independent component city to a mere component requires the approval of the people of Santiago City. The resolution of the issue depended on whether or not the downgrading of Santiago City falls within the meaning of creation, division, merger, abolition or substantial alteration of boundaries of municipalities as provided for in Section 10, Article X of the 1987 Constitution. The Supreme Court ruled that plebiscite was required in Santiago City. The Court observed that the common denominator in Section 10, Article X of the 1987 Constitution is the material change in the political and economic rights of the local government units directly affected as well as the people therein. It is precisely for this reason that the Constitution requires the approval of the people in the political units “directly affected.” Further, Section 10, Chapter 2 of the Local Government Code and Par. (f)(1), Article 6, Rule II of the Implementing Rules and Regulations of the Local Government Code reiterates the constitutional requirement.

¹⁸Aquilino Pimentel, *The Local Government Code of 1991: The Key to National Development* (1993).

¹⁹G.R. No. 133064, September 16, 1999.

While in the case of **downward** conversion of an independent component city to a mere component city, the **plebiscite is to be conducted city-wide only**, the case of **upward** conversion from mere component city to highly urbanized city **requires a province-wide plebiscite**. This rule is illustrated in the landmark case of *Umali v. COMELEC*²⁰ where it has been held that the upward conversion of a component city into a highly urbanized city is a case of “substantial alteration of boundaries” which phrase is not be limited to the mere physical one, referring to the metes and bounds of the local government, but also to its “political boundaries” as the new highly urbanized city will now be beyond the supervision of the province. Hence, the mother province to which the component city originally belonged must participate in the plebiscite for its conversion into a highly urbanized for its (province’s) boundary is substantially altered. In this type of upward conversion, the Supreme Court also noted not only the **political impact**, but also the **territorial and economic impact**, on the province concerned, necessitating indeed the latter’s participation in the plebiscite.

The plebiscite requirement requires the participation of residents of the original local government unit and not just those residing in the local government unit sought to be created.²¹ The case of *Paredes v. Exec. Secretary* is not a doctrinal and binding precedent.²²

Thus, in *Padilla v. COMELEC*,²³ the contention that the Supreme Court’s ruling in *Tan v. COMELEC* has been superseded with the ratification of the 1987 Constitution, thus reinstating the earlier ruling in *Paredes v. COMELEC* was found untenable. Petitioner there opines that since *Tan v. COMELEC* was based on Section 3 of Article XI of the 1973 Constitution the ruling in said case is no longer applicable under Section 10 of Article X of the 1987 Constitution, especially since the latter provision deleted the words “unit or.” The Supreme Court disagreed and ruled that, the deletion of the phrase “unit or” in Section 10, Article X of the 1987 Constitution from its precursor, Section 3 of Article XI of the 1973 Constitution has not affected their ruling in *Tan v. COMELEC*. It stands to reason that when the law states that the plebiscite shall be conducted “in the political units directly affected,” it means that

²⁰G.R. No. 203974, April 22, 2014.

²¹*Tan v. COMELEC*, 142 SCRA 727 (1986).

²²Nachura (2006).

²³214 SCRA 735, October 19, 1992.

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residents of the political entity who would be economically dislocated by the separation of a portion thereof have a right to vote in said plebiscite. Evidently, what is contemplated by the phrase “*political units directly affected*,” is the plurality of political units which would participate in the plebiscite.

Thus, for example, where a new province A is to be carved out of an already existing province B, all such political units directly affected are the municipalities and/or component cities composing province A as well as those in the parent province B.

However, **merger of administrative regions**, which pertains to the executive branch, will not require plebiscite. The requirement of plebiscite in a merger expressly applies only to provinces, cities, municipalities or *barangays*.²⁴

The law creating the local government unit schedules the conduct of the plebiscite following the timeframe provided for by the LGC of 1991, that is, within 120 days from the effectivity of the law. However, this scheduled plebiscite specified in the law may, however, be validly postponed by the COMELEC when the circumstances so warrant. This is so because the COMELEC has “exclusive charge of the enforcement and administration of all laws relative to the conduct of elections for the purpose of ensuring free, orderly and honest elections.” The text and intent of Section 2(1) of Article IX(C) of the 1987 Constitution is to give COMELEC “all the *necessary* and *incidental* powers for it to achieve the objective of holding free, orderly, honest, peaceful and credible elections.” Thus, the scheduled plebiscite in the creation of the Province of Davao Occidental, which was 60 days after the effectivity of the law (April 6, 2013), was validly moved or postponed by the COMELEC to October 28, 2013, a date scheduled for the 2013 Barangay Elections.²⁵

1.3. Compliance with Criteria on Income, Population and/or Land Area

As a general rule, the creation of a local government unit or its conversion from one level to another level shall be based on verifiable indicators of viability and projected capacity to provide services, *to wit*:

²⁴See *Abbas v. COMELEC*, 179 SCRA 287 (1989).

²⁵*Cagas v. COMELEC*, G.R. No. 209185, October 25, 2013.

- (a) **Income.** — It must be sufficient, based on acceptable standards, to provide for all essential government facilities and services and special functions commensurate with the size of its population, as expected of the local government unit concerned;
- (b) **Population.** — It shall be determined as the total number of inhabitants within the territorial jurisdiction of the local government unit concerned; and
- (c) **Land Area.** — It must be contiguous, unless it comprises two or more islands or is separated by a local government unit independent of the others; properly identified by metes and bounds with technical descriptions; and sufficient to provide for such basic services and facilities to meet the requirements of its populace.

Compliance with the foregoing indicators shall be attested to by the Department of Finance (DOF), the National Statistics Office (NSO) (now, Philippine Statistics Authority [PSA]), and the Land Management Bureau (LMB) of the Department of Environment and Natural Resources (DENR).²⁶

1.3.1. Income

As for *income*, it is defined in the Local Government Code to be all revenues and receipts collected or received forming the gross accretions of funds of the local government unit. Department of Finance Order No. 35-93 correctly encapsulizes the full import of the above disquisition when it defined *annual income* to be “revenues and receipts realized by provinces, cities and municipalities from regular sources of the Local General Fund including the internal revenue allotment and other shares provided for in Sections 284, 290 and 291 of the Code, but *exclusive* of non-recurring receipts, such as other national aids, grants, financial assistance, loan proceeds, sales of fixed assets, and similar others.”²⁷

The Internal Revenue Allotments (IRAs) are items of income because they form part of the gross accretion of the funds of the local government unit. The IRAs regularly and automatically accrue to

²⁶Sec. 7, LGC of 1991.

²⁷*Alvarez v. Guingona*, 252 SCRA 695 (1996).

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the local treasury without need of any further action on the part of the local government unit. Thus, they constitute income, which the local government can invariably rely upon as the source of much needed funds.²⁸

Note should be taken, however, in the case of conversion of a municipality into a city or a cluster of *barangays* to be formed into a new component city because Republic Act No. 9009, enacted on June 30, 2001 and amending Section 450 of the Code, IRAs are no longer included in the computation of the annual income for purposes of complying with the income requirement, which was also increased to P100 million from the original P20 million. Republic Act No. 9009 speaks only of "*locally generated average annual income*" as basis for determining compliance with the income requirement for conversion of municipality or a cluster of *barangays* into a new component city.

It also appears that Republic Act No. 9009 is inapplicable to a case involving conversion of a component city to highly urbanized city as this does not involve either conversion of a municipality into a city or a cluster of *barangays* to be formed into a new component city.

1.3.2. Population

There must likewise be *population or inhabitants* in order to constitute a local government or municipal corporation. It should be noted that it is for the civil government of the inhabitants and the regulation or administration of their local affairs that municipal corporations are constituted; or otherwise put, there would be no need for municipal corporations without inhabitants.²⁹

Compliance with the population requirement, however, can only be confirmed by the head office of the National Statistics Office (NSO) (now, Philippine Statistics Authority [PSA]), and not by any other agency, office or officer of the NSO or PSA. Thus, a special census conducted by the Provincial Government of Surigao del Norte in Dinagat Islands to determine its actual population in support of the House Bill creating the Province of Dinagat Islands, although it was conducted with the assistance of an NSO District Census Coordinator, was declared by the Supreme Court

²⁸*Ibid.*

²⁹Nicanor M. Patricio, *Notes on Public Corporations* (1977), p. 19.

as insufficient proof of compliance with the population requirement without a certification by the NSO (now, PSA) Head Office itself.³⁰ Interestingly, however, the creation of the Province of Dinagat Islands was affirmed valid upon an Urgent Motion to Recall Entry of Judgment as will be discussed later in this work.

1.3.3. Land Area

As for the *land area* or *territory*, its boundaries must, as a rule, be definite, fixed, or certain; in fact, an incorporation is void where the boundaries of the municipal corporation are not described with certainty.³¹

Apparently therefore, the territorial jurisdiction of the local government unit to be created or converted should also be properly identified by metes and bounds with technical descriptions, as Section 7 of the Code specifically requires this. However, in the case of *Mariano v. COMELEC*,³² the omission of Republic Act No. 7854 (An Act Converting the Municipality of Makati Into a Highly Urbanized City to be Known as the City of Makati) to describe the territorial boundaries of the city by metes and bounds did not make Republic Act No. 7854 unconstitutional or illegal. The Supreme Court said that the Constitution does not provide for a description by metes and bounds as a condition *sine qua non* for the creation of a local government unit or its conversion from one level to another. The criteria provided for in Section 7 of Republic Act No. 7854 are not absolute, for, as a matter of fact, the section starts with the clause "*as a general rule.*" Reliance on Section 450 of Republic Act No. 7160 was found unavailing. Said section only applies to the conversion of a municipality or a cluster of *barangays* into a COMPONENT CITY, not a highly urbanized city.

The importance of drawing with precise strokes the territorial boundaries of a local unit of government cannot be overemphasized. The boundaries must be clear for they define the limits of the territorial jurisdiction of a local government unit. It can legitimately exercise powers of government only within the limits of its territorial

³⁰Navarro v. Ermita, G.R. No. 180050, February 10, 2010.

³¹See Nicanor M. Patricio, *Notes on Public Corporations* (1977), p. 26, citing Mcquillin, *Municipal Corp.*, 3rd Ed., p. 256.

³²242 SCRA 211 (1995).

jurisdiction. Beyond these limits, its acts are *ultra vires*. Needless to state, any uncertainty in the boundaries of local government units will sow costly conflicts in the exercise of governmental powers, which ultimately will prejudice the people's welfare. This is the evil sought to be avoided by the Local Government Code in requiring that the land area of a local government unit must be spelled out in metes and bounds, with technical descriptions.³³ The Supreme Court in *Mariano case*, however, found that where there is no such evil because precisely, the law creating the new Highly Urbanized City of Makati expressly stated that its territory should be that already particularly described in the law creating the municipality of Makati, the lack of technical description in the law creating the City of Makati did not make the law unconstitutional.

The territory of a local government, however, refers only to its land area, unless expanded by law to include the maritime area.³⁴

Compliance with criteria on Income, Land and Population is a question of fact. In administrative law, findings of facts by the administrative agencies are generally binding and conclusive. Hence, findings of facts by the DOF, NSO, and DENR deserve respect and also enjoy presumption of regularity being acts of government agencies, unless there is grave abuse of discretion amounting to lack or excess of jurisdiction or clear error of facts.

It must be noted, however, that in the law on municipal corporations, the interest of the citizens and of the public in arm of the government is too great to allow little things to imperil its existence.³⁵ Here applies the maxim, "*De minimis non curat lex*." The erection of a municipality is not academic, but political; and so the courts apply, in cases challenging the existence of the corporations, those larger rules of life and action which pertain to public affairs, and give substantial justice.³⁶ Failure to comply with provisions of the statute which are merely directory will not render the incorporation invalid, and a substantial compliance with the law is generally held sufficient.³⁷

³³*Ibid.*

³⁴*Republic v. Provincial Government of Palawan*, G.R. Nos. 170867 and 185941, December 4, 2018.

³⁵See Roger W. Cooley, *Handbook of the Law of Municipal Corporations* (1914).

³⁶*Ibid.*

³⁷*Ibid.*, citations omitted.

2. Specific Requirements

2.1. *Barangay*

A *barangay* may be created, divided, merged, abolished, or its boundary substantially altered, by law or by an ordinance of the *Sangguniang Panlalawigan* or *Sangguniang Panlungsod*, subject to approval by a majority of the votes cast in a plebiscite to be conducted by the COMELEC in the local government unit or units directly affected within such period of time as may be determined by the law or ordinance creating said *barangay*. In the case of the creation of *Barangays* by the *Sangguniang Panlalawigan*, the recommendation of the *Sangguniang Bayan* concerned shall be necessary.³⁸

A *barangay* may be created out of a contiguous territory which has a population of at least 2,000 inhabitants as certified by the National Statistics Office (now, Philippine Statistics Authority) except in cities and municipalities within Metro Manila and other metropolitan political subdivisions or in highly urbanized cities where such territory shall have a certified population of at least 5,000 inhabitants. The creation, however, shall not reduce the population of the original *barangay* or *barangays* to less than the minimum requirement prescribed in the Code.

To enhance the delivery of basic services in the indigenous cultural communities, *barangays* may be created in such communities by an Act of Congress, notwithstanding the above requirement.³⁹

The territorial jurisdiction of the new *barangay* shall be properly identified by metes and bounds or by more or less permanent natural boundaries. The territory need not be contiguous if it comprises two (2) or more islands.⁴⁰

The governor or city mayor may prepare a consolidation plan for *barangays*, based on the criteria prescribed in Section 386 of LGC of 1991, within his territorial jurisdiction. The plan shall be submitted to the *Sangguniang Panlalawigan* or *Sangguniang Panlungsod* concerned for appropriate action. In the case of municipalities within the Metropolitan Manila area and other metropolitan political subdivisions, the *barangay* consolidation plan shall be prepared and approved by the *Sangguniang Bayan* concerned.⁴¹

There is no income requirement for the creation of a *barangay*.

³⁸Sec. 385, LGC of 1991.

³⁹Sec. 386(a), LGC of 1991.

⁴⁰Sec. 386(b), LGC of 1991.

⁴¹Sec. 386(c), LGC of 1991.

2.2. Municipality

A municipality may be created, divided, merged, abolished, or its boundary substantially altered **only by an Act of Congress** and subject to the approval by a majority of the votes cast in a plebiscite to be conducted by the COMELEC in the local government unit or units directly affected. Except as may otherwise be provided in the said Act, the plebiscite shall be held within 120 days from the date of its effectivity.⁴²

A municipality may be created if it has an average annual income, as certified by the provincial treasurer, of at least **P2,500,000 for the last two (2) consecutive years** based on the 1991 constant prices; a population of at least **25,000** inhabitants as certified by the National Statistics Office (now, Philippine Statistics Authority); and a **contiguous territory of at least 50 square kilometers** as certified by the Lands Management Bureau (LMB), provided, that the creation thereof shall not reduce the land area, population or income of the original municipality or municipalities at the time of said creation to less than the minimum requirements prescribed in the Code.⁴³

The territorial jurisdiction of a newly-created municipality shall be properly identified by metes and bounds. The requirement on land area, however, shall **not** apply where the municipality proposed to be created is composed of **one (1) or more islands**. The territory need not be contiguous if it comprises two (2) or more islands.⁴⁴

The average annual income shall include the income accruing to the **general fund** of the municipality concerned, **exclusive** of special funds, transfers and non-recurring income.⁴⁵

Municipalities existing as of the date of the effectivity of the Code shall continue to exist and operate as such. Existing municipal districts organized pursuant to presidential issuances or executive orders and which have their respective set of elective municipal officials holding office at the time of the effectivity of the Code shall henceforth be considered as regular municipalities.⁴⁶

⁴²Sec. 441, LGC of 1991.

⁴³See Sec. 441, LGC of 1991.

⁴⁴See Sec. 442(b), LGC of 1991.

⁴⁵Sec. 442(c), LGC of 1991.

⁴⁶See Sec. 442(d), LGC of 1991.

2.3. City

A city may be created, divided, merged, abolished, or its boundary substantially altered, **only by an Act of Congress**, and subject to approval by a majority of the votes cast in a plebiscite to be conducted by the COMELEC in the local government unit or units directly affected. Except as may otherwise be provided in such Act, the plebiscite shall be held within 120 days from the date of its effectivity.⁴⁷

A municipality or a cluster of *barangays* may be converted into a component city if it has a locally generated average annual income, as certified by the Department of Finance, of at least P100 million for the last two (2) consecutive years based on 2,000 constant prices, and if it has either of the following requisites:

- (i) a **contiguous territory of at least 100 square kilometers**, as certified by the Land Management Bureau; or
- (ii) a population of not less than **150,000** inhabitants, as certified by the National Statistics Office (now, Philippine Statistics Authority).⁴⁸

The creation thereof shall not reduce the land area, population and income of the original unit or units at the time of said creation to less than the minimum requirements prescribed in the Code.⁴⁹

The territorial jurisdiction of a newly-created city shall be properly identified by metes and bounds. The requirement on land area, however, shall not apply where the city proposed to be created is composed of one (1) or more islands. The territory need not be contiguous if it comprises two (2) or more islands.

The average annual income shall include the income accruing to the **general fund**, **exclusive** of special funds, transfers, and non-recurring income. It should now be noted that the annual income requirement for converting a municipality or a cluster of *barangays* into a city is now raised to P100 million from the former P20 million and that the components of the income, as intimated earlier, shall now be limited to locally generated income, **excluding** therefore the internal revenue allotments (IRAs) as provided for by Republic Act No. 9009.

⁴⁷Sec. 449, LGC of 1991.

⁴⁸Sec. 450, LGC of 1991, as amended by R.A. 9009, June 30, 2001.

⁴⁹*Ibid.*

2.4. Highly Urbanized City

Cities with a minimum population of **200,000** inhabitants, as certified by the National Statistics Office (now, Philippine Statistics Authority), and with the latest annual income of at least P50 million based on 1991 constant prices, as certified by the city treasurer, shall be classified as highly urbanized cities.⁵⁰

Cities which do not meet the above requirements shall be considered component cities of the province in which they are geographically located. **If a component city is located within the boundaries of two (2) or more provinces, such city shall be considered a component of the province of which it used to be a municipality.**⁵¹

Qualified voters of highly urbanized cities shall remain excluded from voting for elective provincial officials. Unless otherwise provided in the Constitution or the Code, qualified voters of independent component cities shall be governed by their respective charters, as amended, on the participation of voters in provincial elections. Qualified voters of cities who acquired the right to vote for elective provincial officials prior to the classification of said cities as highly-urbanized after the ratification of the Constitution and before the effectivity of the Code, shall continue to exercise such right.⁵²

It shall be the duty of the President to declare a city as highly urbanized within 30 days after it shall have met the minimum requirements prescribed in the immediately preceding section, upon proper application therefor and ratification in a plebiscite by the qualified voters therein.⁵³

2.5. Province

The province, composed of a cluster of municipalities, or municipalities and component cities, and as a political and corporate unit of government, serves as dynamic mechanism for developmental processes and effective governance of local government units within its territorial jurisdiction.⁵⁴

⁵⁰Sec. 452(a), LGC of 1991.

⁵¹Sec. 452(b), LGC of 1991.

⁵²Sec. 452(c), LGC of 1991.

⁵³Sec. 453, LGC of 1991.

⁵⁴Sec. 459, LGC of 1991.

A province may be created, divided, merged, abolished, or its boundary substantially altered, only by an Act of Congress and subject to approval by a majority of the votes cast in a plebiscite to be conducted by the COMELEC in the local government unit or units directly affected. The plebiscite shall be held within 120 days from the date of effectivity of said Act, unless otherwise provided therein.⁵⁵

A province may be created if it has an average annual income, as certified by the Department of Finance, of not less than **P20 million** based on 1991 constant prices and either of the following requisites:

- (i) a **contiguous territory of at least 2,000 square kilometers**, as certified by the Lands Management Bureau; or
- (ii) a population of not less than **250,000** inhabitants as certified by the National Statistics Office (now, Philippine Statistics Authority).⁵⁶

The territory need not be contiguous if it comprises two (2) or more islands or is separated by a chartered city or cities which do not contribute to the income of the province.⁵⁷

The creation of the Province of Dinagat Islands in Surigao del Norte was a bit controversial. After failing to officially comply with the land and population requirements set forth in the LGC of 1991, the proponents to the creation of the Dinagat Islands as separate province turned to the provision of the Rules and Regulations Implementing the Local Government Code of 1991 (IRR), which provides in Article 9 thereof that *"The land area requirement shall not apply where the proposed province is composed of one (1) or more islands,"* a provision which is not found in the Code.

In the first decision of the Supreme Court in *Navarro v. Ermita*⁵⁸ in 2010, the Supreme Court nullified Article 9 of the IRR of the LGC of 1991 on the ground that an implementing rule cannot supplant nor add the statute it seeks to implement. The Supreme Court found that the IRR went beyond the criteria prescribed by Section 461 of the Local Government Code when it added a provision stating that "[t]he land area requirement shall not apply where

⁵⁵Sec. 460, LGC of 1991.

⁵⁶Sec. 461(a), LGC of 1991.

⁵⁷Sec. 461(b), LGC of 1991.

⁵⁸G.R. No. 180050, February 10, 2010.

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the proposed province is composed of one (1) or more islands” for nowhere in the Local Government Code is the said provision stated or implied. Under Section 461 of the Local Government Code, the only instance when the territorial or land area requirement need not be complied with is when there is already compliance with the population requirement.

However, in 2011, the Supreme Court reversed itself and found that the said provision in the IRR is within the spirit of the law and intent of the framers of the Code. The 2011 Supreme Court reasoned that since the Code also exempts a municipality or a component city from complying with the land area requirement when it consists of one (1) or more islands, there is “no rhyme or reason” why the same is not made applicable to a province that also consists of one (1) or more islands. The Supreme Court said:

“But it must be pointed out that when the local government unit to be created consists of one (1) or more islands, it is exempt from the land area requirement as expressly provided in Section 442 and Section 450 of the LGC if the local government unit to be created is a municipality or a component city, respectively. This exemption is absent in the enumeration of the requisites for the creation of a province under Section 461 of the LGC, although it is expressly stated under Article 9(2) of the LGC-IRR.

There appears neither rhyme nor reason why this exemption should apply to cities and municipalities, but not to provinces. In fact, considering the physical configuration of the Philippine archipelago, there is a greater likelihood that islands or group of islands would form part of the land area of a newly-created province than in most cities or municipalities. It is, therefore, logical to infer that the genuine legislative policy decision was expressed in Section 442 (for municipalities) and Section 450 (for component cities) of the LGC, but was inadvertently omitted in Section 461 (for provinces). Thus, when the exemption was expressly provided in Article 9(2) of the LGC-IRR, the inclusion was intended to correct the congressional oversight in Section 461 of the LGC — and to reflect the true legislative intent. It would, then, be in order for the Court to uphold the validity of Article 9(2) of the LGC-IRR.

This interpretation finds merit when we consider the basic policy considerations underpinning the principle of local autonomy.”⁶⁹

⁶⁹Navarro v. Ermita, G.R. No. 180050, April 12, 2011.

Justices Carpio, Peralta, and Brion made strong dissents in this 2011 ruling of the Supreme Court and maintain that:

“The Local Government Code contains **no exception** to the income and population or land requirements in creating provinces. What the Code relaxed was the contiguity rule for provinces consisting of “two (2) or more islands or is separated by a chartered city or cities which do not contribute to the income of the province.” The minimum land area of 2,000 square kilometers in the Code for the creation of a province was never changed, and **no exception was ever created by law**. Hence, **the exception created in the implementing rule** of the Local Government Code, exempting provinces “composed of one (1) or more islands” from the minimum land area requirement, is void for being *ultra vires*, granting a statutory exception that the Local Government Code clearly withheld. The implementing rule, being a mere administrative regulation to implement the Local Government Code, cannot amend the Code but must conform to the Code. Only Congress, and not any other body, is constitutionally empowered to create, through amendatory legislation, exceptions to the land area requirement in Section 461 of the Code.”⁶⁰

Whether this thinking of the majority will stay in our jurisprudence remains to be seen.

It should likewise be noted that in the case of a province, as well as in the case of creation of a component city, the land area and population requirements are alternative additional criteria to income. Thus, a province for instance, may be validly created even if it has a population of less than 250,000 for as long as it complies with the income and land area requirements. This province with less than 250,000 inhabitants is also entitled to at least one legislative district because a province, regardless of population, is entitled to at least one district representative under Section 5(3), Article VI of the 1987 Constitution.⁶¹

⁶⁰See Justice Carpio's dissent in the 2011 decision.

⁶¹Aquino III v. COMELEC, G.R. No. 189793, April 7, 2010.

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Tabulation of Specific Requirements:⁶²

LGU	Income	Population	Land Area
<i>Barangay</i>	None	2,000, 5,000 in Metro Manila, Special Metropolitan Political Subdivisions and Highly Urbanized Cities	None
Municipality	P2.5 million ave. for two (2) consecutive preceding years	AND 25,000	AND 50 sq.km., except if an island
Component City	P100 million in the case of conversion of a municipality or a cluster of <i>barangays</i> into a city per Republic Act No. 9009 (June 30, 2001)	AND 150,000	OR 100 sq.km.
Highly Urbanized City	P50 million latest annual income P100 million	AND 200,000	Not anymore stated in the law because it already provided for the land area requirement for a city in general.

⁶²Note: There is currently a proposed legislation, House Bill No. 6177 (August 9, 2017) which seeks to increase the average income requirements for Municipalities to P12.5 million (apparently including IRAs still) and for Highly Urbanized Cities to P250 million (locally-generated income only), for the last two (2) consecutive years.

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Province	P20 million ave. annual income (but, IRR says average for two [2] consecutive years)	<u>AND</u> 250,000	<u>OR</u> Contiguous territory of 2,000 sq.km. (exc. Island); need not be contiguous if it consists of islands or separated by cities that do not contribute to the income of the province concerned.
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Merger and Division

The division and merger of existing local government units shall comply with the same requirements prescribed for their creation. It is provided however that such division shall not reduce the income, population, or land area of the local government unit or units concerned to less than the minimum requirements prescribed in the Code and that the income classification of the original local government unit or units shall not fall below its current income classification prior to such division. The income classification of local government units shall be updated within six (6) months from the effectivity of the Code to reflect the changes in their financial position resulting from the increased revenues as provided therein.⁶³

The general rule is that the territory to be annexed to a municipality must be contiguous or adjacent.⁶⁴ By the term "*contiguous*" is meant such lands as touch the municipal boundaries, while "*adjacent*" may include those lying near to, but not actually touching, the existing boundary of the municipality.

Where two (2) or more municipal corporations are consolidated under one government, the old corporations become extinct in most instances, unless otherwise provided in applicable laws.⁶⁵

⁶³Sec. 8, LGC of 1991.

⁶⁴*In re Heidler*, 122 Pac. 653, 16 Atl. 97; *City of Emporia v. Smith*, 42 Kan. 433, 22 Pac. 616; *Union Pac. Ry. Co. v. City of Kansas City*, 42 Kan. 497, 22 Pac. 633, cited in Cooley, *supra*.

⁶⁵*See Eugene McQuillin, The Law of Municipal Corporations*, Vol. II (2nd Ed.).

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When there has been consolidation, until the common council of the consolidated city shall enact a code of ordinances for the government of the new municipality, the ordinances of the two (2) former cities will be and remain in force within the territory of the old cities, respectively.⁶⁵

When a municipal corporation is legislated out of existence and its territory permanently annexed to other corporations, the latter, unless the legislature otherwise provides, become entitled to all its assets, property and immunities,⁶⁷ are severally liable for a proportionate share of all its then subsisting legal debts,⁶⁸ and are vested with the power to raise revenue with which to pay them by levying taxes on the property transferred and on the persons residing there.⁶⁹ The annexed territory would be dissolved and become part of and fall under the jurisdiction of the annexing corporation,⁷⁰ its officers or agents would terminate their official relations with their offices,⁷¹ its title to properties would be passed on or transferred without compensation to,⁷² and, its debts and obligations contracted prior to annexation assumed by, the annexing corporation, unless otherwise so provided in the law.⁷³

Substantial Alteration of Boundaries

No substantial alteration of boundaries of local government units shall take effect unless approved by a majority of the votes cast in a **plebiscite** called for the purpose in the political unit or units directly affected. The plebiscite shall be conducted by COMELEC within 120 days from the date of effectivity of the law or ordinance effecting such action, unless said law or ordinance fixes another date.⁷⁴

As the phrase implies, '**substantial alteration of boundaries**' involves and necessarily entails a change in the geographical configuration of a local government unit or units. However, the

⁶⁵Camp v. Minneapolis, 33 Minn. 461, 23 N.W. 845; Village of North Springfield v. Springfield, 140 Ill. 165, 29 N.E. 849, cited in Roger W. Cooley, *supra*.

⁶⁷See Eugene McQuillin, *The Law of Municipal Corporations*, Vol. II (2nd Ed.).

⁶⁸*Ibid.*

⁶⁹*Ibid.*

⁷⁰62 Corpus Juris Secundum, 180.

⁷¹62 Corpus Juris Secundum, 184.

⁷²*Ibid.*

⁷³*Ibid.*

⁷⁴Sec. 10, LGC of 1991.

phrase 'boundaries' should not be limited to the mere physical one, referring to the metes and bounds of the LGU, but also to its political boundaries. It also connotes a modification of the demarcation lines between political subdivisions, where the LGU's exercise of corporate power ends and that of the other begins. Hence, a Resolution of a City Council mandating that the Real Property Tax Declaration of a taxpayer be transferred from one *barangay* to another, effectively alters the boundaries of the *barangays* concerned, which is not permitted unless there be a law/ordinance and a plebiscite as required by the LGC of 1991.⁷⁶

Settlement of Boundary Disputes

It is mandated that boundary disputes between and among local government units shall, as much as possible, be settled amicably. The following rules govern the amicable settlement of boundary disputes, thus:

- (a) Boundary disputes involving two (2) or more *barangays* in the same city or municipality shall be referred for settlement to the *Sangguniang Panlungsod* or *Sangguniang Bayan* concerned.
- (b) Boundary disputes involving two (2) or more municipalities within the same province shall be referred for settlement to the *Sangguniang Panlalawigan* concerned.
- (c) Boundary disputes involving municipalities or component cities of different provinces shall be jointly referred for settlement to the *sanggunians* of the provinces concerned.
- (d) Boundary disputes involving a component city or municipality on the one hand and a highly urbanized city on the other, or two (2) or more highly urbanized cities, shall be jointly referred for settlement to the respective *sanggunians* of the parties.
- (e) In the event the *sanggunian* fails to effect an amicable settlement within 60 days from the date the dispute was referred thereto, it shall issue a certification to that effect. Thereafter, the dispute shall be formally tried by the *sanggunian* concerned which shall decide the issue

⁷⁶City of Parañaque v. Katipunan ng mga Mamamayan ng Bagong Parañaque, Inc., G.R. No. 225158, September 7, 2016.

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within 60 days from the date of the certification referred to above.⁷⁶

Within the time and manner prescribed by the Rules of Court, any party may elevate the decision of the *sanggunian* concerned to the proper **Regional Trial Court (RTC) having jurisdiction over the area in dispute**. The Regional Trial Court (RTC) shall decide the appeal within one (1) year from the filing thereof. Pending final resolution of the disputed area prior to the dispute shall be maintained and continued for all legal purposes.⁷⁷

Unlike Republic Act No. 6128 and Batas Pambansa Blg. 337, the LGC of 1991 grants an expanded role on the *Sangguniang Panlalawigan* concerned in resolving cases of municipal boundary disputes. Aside from having the function of bringing the contending parties together and intervening or assisting in the amicable settlement of the case, the *Sangguniang Panlalawigan* is now specifically vested with *original* jurisdiction to actually hear and decide the dispute in accordance with the procedures laid down in the law and its implementing rules and regulations. This situation, in effect, reverts to the old rule under the RAC, prior to its amendment by Republic Act No. 6128, under which the provincial boards were empowered to investigate, hear the parties and eventually decide the case on the basis thereof. On the other hand, under the LGC of 1991, the trial court loses its power to try, at the first instance, cases of municipal boundary disputes. Only in the exercise of its *appellate* jurisdiction can the proper RTC decide the case, on appeal, should any party aggrieved by the decision of the *Sangguniang Panlalawigan* elevate the same.⁷⁸ In other words, the RTC has already lost its power to try, at the first instance, cases of boundary disputes, and it is only when the intermediary steps have failed that resort to the RTC will follow as provided in the laws.⁷⁹

There is a "boundary dispute" when a portion or the whole of the territorial area of an LGU is claimed by two or more LGUs. Nothing in this definition excludes an "island." So, as long as the island is claimed by different local government units, there exists a "boundary dispute." Accordingly, the RTC cannot immediately

⁷⁶Sec. 118, LGC of 1991.

⁷⁷Sec. 119, LGC of 1991.

⁷⁸*Municipality of Sta. Fe v. Mun. of Aritao*, G.R. No. 140474, September 21, 2007.

⁷⁹*Barangay Mayamot, Antipolo City v. Antipolo*, G.R. No. 187349, August 17, 2016.

take jurisdiction over the dispute without observing the appropriate procedure in the LGC of 1991.⁸⁰

Abolition

The power of the Legislature to dissolve a municipal corporation and thus terminate its existence is recognized.⁸¹

A local government unit may be abolished when its income, population, or land area has been *irreversibly* reduced to less than the minimum standards prescribed for its creation under Book III of the Code, as certified by the national agencies mentioned in Section 17 thereof to Congress or to the *sanggunian* concerned, as the case may be.

Under the LGC of 1991, the abolition of a local government unit may be done by Congress in the case of a province, city, municipality, or any other political subdivision. In the case of a *barangay*, except in Metropolitan Manila area and in cultural communities, it may be done by the *Sangguniang Panlalawigan* or *Sangguniang Panglungsod* concerned subject to the mandatory requirement of a plebiscite conducted for the purpose in the political units affected. Under the Omnibus Election Code, every *barangay* is entitled to at least one (1) precinct. Thus, the act of the COMELEC in delisting a precinct from the list of precincts for being a “ghost precinct” would tantamount to an abolition of a *barangay* which the COMELEC cannot legally do.⁸²

The law or ordinance abolishing a local government unit shall specify the province, city, municipality, or *barangay* with which the local government unit sought to be abolished will be incorporated or merged.⁸³ No abolition shall take effect unless approved by a majority of the votes cast in a plebiscite called for the purpose in the political unit or units directly affected. Said plebiscite shall be conducted by COMELEC within 120 days from the date of effectivity of the law or ordinance affecting such action unless such law or ordinance fixes another date.⁸⁴

⁸⁰Province of Antique and Municipality of Caluya v. Hon. Calabocal, G.R. No. 209146, June 8, 2016.

⁸¹Roger W. Cooley, *supra* note 35.

⁸²Sarangani v. COMELEC, G.R. No. 135927, June 26, 2000.

⁸³Sec. 9, LGC of 1991.

⁸⁴Sec. 10, LGC of 1991.

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When a local government unit suffers irreversible reduction to less than the minimum standards required by law, the local government unit concerned is not *ipso facto* dissolved or abolished. Such condition only offers a ground for abolition. Hence, a further act, law or ordinance, is still required to effect abolition.⁸⁵

Autonomous Regions (Muslim Mindanao and the Cordilleras)

1. Creation

The 1987 Constitution itself mandates the creation of autonomous regions in Muslim Mindanao and in the Cordilleras consisting of provinces, cities, municipalities, and geographical areas sharing common and distinctive historical and cultural heritage, economic and social structures, and other relevant characteristics within the framework of the Constitution and the national sovereignty as well as territorial integrity of the Republic of the Philippines.⁸⁶

Thus, Congress is mandated to enact an organic act for each autonomous region with the assistance and participation of the regional consultative commission composed of representatives appointed by the President from a list of nominees from multisectoral bodies.

The *organic act* shall define the basic structure of government from the region consisting of the executive department and legislative assembly, both of which shall be elective and representative of the constituent political units. The organic acts shall likewise provide for special courts with personal, family, and property law jurisdiction consistent with the provisions of this Constitution and national laws.⁸⁷

The creation of the autonomous region shall be effective when approved by majority of the votes cast by the constituent units in a plebiscite called for the purpose, provided that only provinces, cities, and geographic areas voting favorably in such plebiscite shall be included in the autonomous region.⁸⁸

⁸⁵See DILG Opinion No. 17, s. 2006.

⁸⁶See Sec. 15, Art. X, 1987 Constitution.

⁸⁷See Sec. 18, *ibid.*

⁸⁸Sec. 18, *ibid.*

The first Congress elected under the 1987 Constitution was mandated to pass the organic acts for the autonomous regions in Muslim Mindanao and the Cordilleras within 18 months from the time of organization of both Houses.⁸⁹

So far, however, only the autonomous region of Muslim Mindanao, now known as the ARMM, had been effectively created as the plebiscite held for the creation of the Cordillera Autonomous Region was not successful.

It is to be noted that the creation of an autonomous region is different from the creation of a regular local unit, say, a province. While the plebiscite to be held for the purpose of creating the province is to determine whether the inhabitants of the affected political units will approve the creation of the new province, there are two (2) objectives in the plebiscite held for the purpose of creating an autonomous region, *one*, in order to determine the will of the inhabitants to create an autonomous region, and *second*, in order to determine which local government units will form part of the newly created autonomous region. Only those local units with favorable majority votes shall compose the autonomous region.

In *Ordillo v. COMELEC*,⁹⁰ the question raised was whether or not the province of Ifugao, being the only province which voted favorably for the creation of the Cordillera Autonomous Region can, alone, legally and validly constitute such Region. The Supreme Court ruled that the sole province of Ifugao cannot validly constitute the Cordillera Autonomous Region.

It is explicit in Section 15, Article X, 1987 Constitution that “there shall be created autonomous regions in Muslim Mindanao and in the Cordilleras consisting of provinces, cities, municipalities and geographical areas sharing common and distinctive historical and cultural heritage, economic and social structures, and other relevant characteristics within the framework of this Constitution and the national sovereignty as well as territorial integrity of the Republic of the Philippines.”

According to the Supreme Court in the *Ordillo* case, the keywords provinces, cities, municipalities and geographical areas connote that “region” is to be made up of *more than one constituent unit*. The term “region” used in its ordinary sense means two (2) or

⁸⁹See Sec. 19, *ibid*.

⁹⁰192 SCRA 100 (1990).

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more provinces. This is supported by the fact that the 13 regions into which the Philippines is divided for administrative purposes are groupings of contiguous provinces. (Integrated Reorganization Plan [1972], which was made as part of the law of the land by P.D. 1; P.D. 742) Ifugao is a province by itself. To become part of a region, it must join other provinces, cities, municipalities, and geographical areas. It joins other units because of their common and distinctive historical and cultural heritage, economic and social structures and other relevant characteristics.

Abbas v. COMELEC,⁹¹ laid down the rule on the meaning of majority in the phrase "by majority of the votes cast by the constituent units called for the purpose" found in Section 18, Article X, 1987 Constitution. It stated: "It is thus clear that what is required by the Constitution is simple majority of votes approving the Organic Act in individual constituent units and not a double majority of the votes in all constituent units put together, as well as in the individual constituent units."

As pointed out earlier, the creation of autonomous regions in Muslim Mindanao and the Cordilleras, which is peculiar to the 1987 Constitution, contemplates the grant of *political autonomy* and not just administrative autonomy to these regions. The provision in the Constitution for an autonomous regional government with a basic structure consisting of an executive department and a legislative assembly and special courts with personal, family and property law jurisdiction in each of the autonomous regions.⁹²

2. Status of Cordillera Administrative Region (CAR)

What Executive Order No. 220 (creating the Cordillera Administrative Region) actually envisions is the consolidation and coordination of the delivery of services of line departments and agencies of the National Government in the areas covered by the administrative region as a step preparatory to the grant of autonomy to the Cordilleras. It does not create the autonomous region contemplated in the Constitution. It merely provides for transitory measures in anticipation of the enactment of an organic act and the creation of an autonomous region.⁹³

⁹¹G.R. No. 89651, November 10, 1969.

⁹²Cordillera Broad Coalition v. COA, G.R. No. 79956, January 29, 1990.

⁹³*Ibid.*

The CAR is not a public corporation or a territorial and political subdivision. It does not have a separate juridical personality, unlike provinces, cities and municipalities. Neither is it vested with the powers that are normally granted to public corporations, e.g., the power to sue and be sued, the power to own and dispose of property, the power to create its own sources of revenue, etc.⁹⁴

Considering the control and supervision exercised by the President over the CAR and the offices created under Executive Order No. 220, and considering further the indispensable participation of the line departments of the National Government, the CAR may be considered more than anything else as a regional coordinating agency of the National Government, similar (but more sophisticated version) to the regional development councils which the President may create under the Constitution (Section 14, Article X).⁹⁵

Beginning of Corporate Existence

Before the effectivity of the Local Government Code of 1991, the rule was that a public corporation is created and comes into existence from the moment the law or charter that creates it becomes effective.⁹⁶

Under the Local Government Code of 1991, when a new local government unit is created, its corporate existence shall commence upon the election and qualification of its chief executive and a majority of the members of its *sanggunian*, unless some other time is fixed therefor by the law or ordinance creating it.⁹⁷

In other words, the beginning of corporate existence is that time fixed by the law or ordinance creating the local government unit. Where the law or ordinance is silent, the local government unit's corporate existence is deemed to be upon the election and qualification of the local chief executive and majority of the *Sanggunian* members. This is only logical as the quorum required in the *Sanggunian* is also majority of its members. In which case, the local government unit can now legally transact business and be represented by the chief executive. The local chief executive and the *Sanggunian* members are qualified upon the taking of oath of their respective offices.

⁹⁴*Ibid.*

⁹⁵*Ibid.*

⁹⁶*Mejia v. Balolong*, 81 Phil. 486 (1948).

⁹⁷Sec. 14, LGC of 1991.

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The understanding before, as in *Meja case*, was when its corporate existence has not yet begun, the local government unit cannot yet *act* as such juridical institution or entity, but it may *exist*, before the officers provided by law to represent and act in its behalf or representation had been appointed or elected.

Thus, in *Meja case*, after Act No. 170 which created the City of Dagupan took effect, and before the organization of the government of the City of Dagupan, the political subdivision which comprises the territory of the Municipality of Dagupan had continued to act as a municipality, because the government of the city had not yet been organized and the officers thereof appointed or elected. The conversion of that municipality into a city by the above-mentioned Act No. 170 did not make *ipso facto* the acts of the elected officers of the said municipality acts of the City of Dagupan, because the latter can only act as a city through the city officers designated by law after they have been appointed or elected and have qualified. In the meantime or during the period of transition the Municipality of Dagupan had to *act* or function temporarily as such; otherwise, there would be chaos or no government at all within the boundaries of the territory. The status of the Municipality of Dagupan may be likened to that of a public officer who can not abandon his office although his successor has already been appointed, and has to continue in office, whatever the length of time of the *interregnum*, until his successor qualifies or takes possession of the office.

This doctrine may now be considered superseded by the specific provision of the Local Government Code of 1991 as the corporate existence of a newly created local government unit may now legally begin even before the election and qualification of the local chief executive and majority of the legislative assembly when the law or ordinance so provides.

The phrase "*upon qualification*" of the officials named therein, which was also found in Section 2168 of the old Revised Administrative Code which then governed the beginning of the corporate existence of a municipality, was interpreted by Jose M. Aruego to refer to the act accepting the office as indicated by the "*taking of the oath of office*" or by "*commencing in the performance of duty*."⁸⁸ Pimentel defines this to mean "having assumed office."⁸⁹

⁸⁸Jose M. Aruego, *The Law on Municipal Government in the Philippines* (1968), p. 14.

⁸⁹Aquilino Pimentel, *supra*, p. 44.

Chapter 7

DE JURE AND DE FACTO MUNICIPAL CORPORATIONS

As stated earlier, municipal corporations are either *de jure* or *de facto*. If its creation properly complies with all the requirements of an incorporation, a municipal corporation is considered *de jure*. When not all of the requirements are complied with, a municipal corporation may be considered *de facto*, provided there is colorable compliance with the elements of *de jure* municipal corporation.

The Concept of *De Facto* Municipal Corporation

A *de facto* corporation is one so defectively created as not to be a *de jure* corporation, but nevertheless the result of a *bona fide* attempt to incorporate under existing statutory authority, coupled with the exercise of corporate powers, and recognized by the courts as such on the ground of public policy in all proceedings except a direct attack by the state questioning its corporate existence.¹

Where there is authority in law for a municipal corporation, the organization of the people of a given territory as such a corporation under a color of delegated authority, followed by a user in good faith of the governmental powers incidental thereto, will be recognized by the law as a municipal corporation *de facto*, wherever through the failure to comply with the constitutional or statutory requirements, the corporation cannot be said to exist *de jure*.² These municipal corporations have exercised their powers for a long period without objection on the part of the government that although no charter is in existence, it is presumed that they were duly incorporated in the first place and that their charters had been lost.³

¹Eugene McQuillin, *The Law of Municipal Corporations*, Vol. I (2nd Ed.).

²C.W. Tooke, "De Facto Municipal Corporations under Unconstitutional Statutes," 37 Yale Law Journal 935 (1928).

³37 Am. Jur., 629-630.

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Acts of a *de facto* municipal corporation will be respected and will be recognized as valid and binding as if it is a *de jure* corporation. The **Doctrine of Operative Fact**, thus, applies to the acts of a *de facto* municipal corporation.⁴

Elements of *De Facto* Municipal Corporation

To be a *de facto* municipal corporation, the following elements must be present:

1. Valid law authorizing incorporation;
2. Attempt in good faith to organize it;
3. Colorable compliance with law; and
4. Assumption of corporate powers.⁵

In determining the existence of a *de facto* municipal corporation, an early article in the Yale Law Journal offers the following analysis:

"It appears that the true basis for denying to the corporation a *de facto* status lay in the absence of any legislative act to give vitality to its creation. An examination of the cases holding, some of them unreservedly, that a *de facto* office or municipal corporation can exist under color of an unconstitutional statute will reveal that in no instance did the invalid act give life to the corporation, but that either in other valid acts or in the constitution itself the office or the corporation was potentially created . . .

"The principle that color of title under an unconstitutional statute can exist only where there is some other valid law under which the organization may be effected, or at least an authority *in potencia* by the state constitution, has its counterpart in the negative propositions that there can be no color of authority in an unconstitutional statute that plainly so appears on its face or that attempts to authorize the ousting of a *de jure* or *de facto* municipal corporation upon the same territory, in the one case the fact would imply the imputation of bad faith, in the other the new organization must be regarded as a mere usurper . . .

⁴Malabang v. Benito, 27 SCRA 533 (1969).

⁵Ward v. Gradin, 15 N. D. 649, 109 N. W. 57; Board of Education of Flatwoods Dist. v. Berry, 62 W. Va. 433, 59 S. E. 169, 125 Am. St. Rep. 975, cited in Roger W. Cooley (1914); Eugene McQuillin, *The Law of Municipal Corporations*, Vol. I (2nd Ed.).

"As a result of this analysis of the cases the following principles may be deduced which seem to reconcile the apparently conflicting decisions:

"I. The color of authority requisite to the organization of a *de facto* municipal corporation may be:

'1. A valid law enacted by the legislature.

'2. An unconstitutional law, valid on its face, which has either (a) been upheld for a time by the courts or (b) not yet been declared void; provided that a warrant for its creation can be found in some other valid law or in the recognition of its potential existence by the general laws or constitution of the state.

"II. There can be no *de facto* municipal corporation unless either directly or potentially, such a *de jure* corporation is authorized by some legislative fiat.

"III. There can be no color of authority in an unconstitutional statute alone, the invalidity of which is apparent on its face.

"IV. There can be no *de facto* corporation created to take place of an existing *de jure* corporation, as such organization would clearly be an usurper."⁶

In *Pelaez v. Auditor General*,⁷ the Supreme Court denied to the President the power to create a local government unit because the creation of local governments is essentially legislative. Thus, the executive orders of the President in that *Pelaez case* which created certain municipalities were declared unconstitutional. The Supreme Court said that whereas the power to fix a common boundary, in order to avoid or settle conflicts of jurisdiction between adjoining municipalities, may partake of an administrative nature — involving, as it does, the adoption of means and ways to carry into effect the law creating said municipalities — the authority to create municipal corporations is essentially legislative in nature. Administrative power is thus limited to implementing the law creating a municipality. It is obvious that any alteration of boundaries that is not in accordance with the law creating a municipality is not the carrying into effect of that law but its amendment. The Supreme Court observed that since January 1, 1960, when Republic Act No.

⁶Cited in *Malabang v. Benito*, *supra* note 4.

⁷15 SCRA 182 (1965).

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2370 became effective, *barrios* may “not be created or their boundaries altered nor their names changed” except by Act of Congress or of the corresponding provincial board “upon petition of a majority of the voters in the areas affected” and the “recommendation of the council of the municipality or municipalities in which the proposed *barrio* is situated.” This statutory denial of the presidential authority to create a new *barrio* implies a negation of the bigger power to create municipalities, each of which consists of several *barrios*.

Recognition of a *de facto* municipal corporation as such is primarily based on the premise that municipal corporations can exist by prescription. Municipal corporations may exist by prescription where it is shown that the community has claimed and exercised corporate functions, with the knowledge and acquiescence of the legislature, and without interruption or objection for period long enough to afford title by prescription.⁸

Thus, in *Sultan Osop Camid v. Office of the President*,⁹ the Supreme Court confirmed that municipal corporations may exist by prescription where it is shown that the community has claimed and exercised corporate functions,¹⁾ with the knowledge and acquiescence of the legislature,³⁾ and without interruption or objection for period long enough to afford title by prescription. What is clearly essential is a factual demonstration of the continuous exercise by the municipal corporation of its corporate powers, as well as the acquiescence thereto by the other instrumentalities of the state.

In *Municipality of San Narciso, Quezon v. Mendez, Sr.*,¹⁰ the questioned municipality of San Andres, Quezon was created on August 20, 1959 by Executive Order No. 353 issued by President Carlos P. Garcia. Executive Order No. 353 was not one of the 33 issuances annulled by *Pelaez* in 1965. The legal status of the Municipality of San Andres was first challenged only in 1989, through a petition for *quo warranto* filed with the Regional Trial Court of Gumaca, Quezon, which did cite *Pelaez* as authority. The RTC dismissed the petition for lack of cause of action, and the petitioners therein elevated the matter to the Supreme Court. In dismissing the petition, the Court delved in the merits of the petition, if only to resolve further doubt on the legal status of San Andres. It noted a circumstance which is not present in that case

⁸Cooley, *Municipal Corporations*, p. 52.

⁹G.R. No. 161414, January 17, 2005.

¹⁰239 SCRA 11 (1994).

— that San Andres was in existence for nearly 30 years before its legality was challenged. The Court did not declare the executive order creating San Andres null and void. Still, acting on the premise that the said executive order was a complete nullity, the Court noted “peculiar circumstances” that led to the conclusion that San Andres had attained the unique status of a “*de facto* municipal corporation.” It noted that *Pelaez* limited its nullificatory effect only to those executive orders specifically challenged therein, despite the fact that the Court then could have very well extended the decision to invalidate San Andres as well. The Court also considered the applicability of Section 442(d) of the LGC of 1991. It clarified the implication of the provision as follows: Equally significant is Section 442(d) of the Local Government Code to the effect that municipal districts “organized pursuant to presidential issuances or executive orders and which have their respective sets of elective municipal officials holding office at the time of the effectivity of (the) Code shall henceforth be considered as regular municipalities.”

In this *Municipality of San Narciso* case, the Supreme Court considered the following *factors* as having validated the creation of a municipal corporation which was created by executive order of the President before the ruling in *Pelaez v. Auditor General*: (1) the fact that for nearly 30 years the validity of the creation of the municipality had never been challenged; (2) the fact that following the ruling in *Pelaez* no *quo warranto* suit was filed to question the validity of the executive order creating such municipality; and (3) the fact that the municipality was later classified as a 5th class municipality, organized as part of a municipal circuit court and considered part of a legislative district in the Constitution apportioning the seats in the House of Representatives. Above all, it was held, that whatever doubt there might be as to the *de jure* character of the municipality must be deemed to have been put to rest by the Local Government Code of 1991 (R.A. 7160), Section 442(d) of which provides that “municipal districts organized pursuant to presidential issuances or executive orders and which have their respective sets of elective officials holding office at the time of the effectivity of this Code shall henceforth be considered as regular municipalities.”

In *Sultan Osop Camid* case, the Supreme Court cautioned, however, that Section 442(d) of the Code does **not** apply to just any municipality. Where the executive order creating the municipality

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has already been annulled by the Supreme Court and where the alleged continued exercise of powers has not been factually established in a trial, Section 442(d) of the Code cannot be applied.

In *Municipality of Candijay v. CA*,¹¹ the juridical personality of the Municipality of Alicia, created in a 1949 executive order, was challenged only beginning in 1984. *Pelaez* was again invoked in support of the challenge, but the Court refused to invalidate the municipality, citing *San Narciso* at length. The Court noted that the situation of the Municipality of Alicia was strikingly similar to that in *San Narciso*; hence, the town should likewise "benefit from the effects of Section 442(d) of the Local Government Code, and should be considered as a regular, *de jure* municipality."

In *Municipality of Jimenez v. Baz, Jr.*,¹² the valid existence of Municipality of Sinacaban, created in a 1949 executive order, was among the issues raised in *Jimenez*. The Court, through Justice Mendoza, provided an expert summation of the evolution of the rule. The principal basis for the view that Sinacaban was not validly created as a municipal corporation is the ruling in *Pelaez v. Auditor General* that the creation of municipal corporations is essentially a legislative matter and therefore the President was without power to create by executive order the Municipality of Sinacaban. The ruling in this case has been reiterated in a number of cases later decided. However, the Supreme Court has since held that where a municipality created as such by executive order is later impliedly recognized and its acts are accorded legal validity, its creation can no longer be questioned.

In *Municipality of Jimenez case*, Sinacaban was considered to have attained *de facto* status at the time the 1987 Constitution took effect on February 2, 1987, and was not subject to the plebiscite requirement. This requirement applies only to new municipalities created for the first time under the Constitution. Actually, the requirement of plebiscite was originally contained in Section 3, Article XI of the previous Constitution which took effect on January 17, 1973. It cannot, therefore, be applied to municipal corporations created before, such as the Municipality of Sinacaban in this *Municipality of Jimenez case*.

¹¹251 SCRA 530 (1995).

¹²265 SCRA 182 (1996).

How to Challenge a *De Facto* Municipal Corporation

While municipal corporations can exist by prescription, long use of corporate powers cannot silence the State. Hence, the State may still assail the existence of a municipal corporation despite long use of corporate powers. But, no collateral attack shall lie against a municipal corporation. An inquiry into the legal existence of a municipal corporation is **reserved to the State** in a direct proceeding for *quo warranto*.¹³ This rule naturally results from the source and nature of municipal power. The state has created the municipality as an agency of government. It may terminate that existence at will.¹⁴

But, the **prohibition on collateral attack applies only when the municipal corporation is at least a *de facto* corporation**.¹⁵ For where it is neither a corporation *de jure* nor *de facto*, but a nullity, the rule is that its existence may be questioned collaterally or directly in any action or proceeding by any one whose rights or interests are affected thereby, including the citizens of the territory incorporated unless they are estopped by their conduct from doing so.¹⁶

In the same *Municipality of Jimenez case*, it was ruled that under the old Section 16, Rule 66 of the Rules of Court, a *quo warranto* suit against a corporation for forfeiture of its charter must be commenced within five (5) years from the time the act complained of was done or committed. **Under the 1997 and the 2019 Rules of Civil Procedure, the prescriptive period has been reduced to one (1) year.** However, this prescriptive period does not apply to *quo warranto* cases directly initiated by the State through the Office of the Solicitor General. The long line of cases decided by the Supreme Court since the 1900's, which specifically explained the spirit behind the rule providing a prescriptive period for the filing of an **action for *quo warranto*, reveals that such limitation can be applied only against private individuals claiming rights to a public office, not against the State.** This is where the difference between a *quo warranto* filed by a private individual as opposed to one filed by the State through the Solicitor General lies.¹⁷

¹³Malabang v. Benito, *supra* note 4.

¹⁴Roger W. Cooley, *Handbook of the Law of Municipal Corporations* (1914).

¹⁵*Ibid.*

¹⁶*Ibid.*

¹⁷Republic of the Phils. v. Sereno, G.R. No. 237428, June 19, 2018.

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Nevertheless, as earlier mentioned, defective incorporation may be obviated and a *de facto* unit rendered *de jure* by subsequent legislative recognition or validation by the State. The state may even be estopped from denying the validity of the incorporation where the municipality has existed and exercised corporation functions for a long time with the consent of the state;¹⁸ and whenever the question of the validity of incorporation is raised, there is a strong tendency by the courts, in recognition of the *status quo*, to uphold the validity and power of the municipality.¹⁹

¹⁸State ex rel. Young v. Village of Harris, 102 Minn. 340, cited by Roger W. Cooley, *supra*.

¹⁹Smith v. Crutcher, 92 Ky. 586; State v. Young, 3 Kan. 445, *supra*.

Chapter 8

POWER RELATIONS WITH NATIONAL GOVERNMENT, SUPREME COURT, PRESIDENT AND CONGRESS; INTER-GOVERNMENTAL RELATIONS AND HIERARCHICAL RELATIONS AMONG LOCAL GOVERNMENT UNITS

One of the most important areas in the study of local government law is the relationship between local governments and other agencies of the government. Political law, of which local government law is a branch, deals mainly in the study of the distribution of powers to, and relationship of, the different governmental organs. Below are the relevant relationships local governments have with different governmental agencies.

LGUs and National Government in General: *LGUs are Agents of the State*

Municipal governments are only agents of the national government. Local councils exercise only delegated legislative powers conferred on them by Congress as the national lawmaking body. The delegate cannot be superior to the principal or exercise powers higher than those of the latter. It is a heresy to suggest that the local government units can undo the acts of Congress, from which they have derived their power in the first place, and negate by mere ordinance the mandate of the statute.¹ Thus, when the Philippine Amusement and Gaming Corporation (PAGCOR) operated casino in Cagayan de Oro City, a power granted to it by Congress under its charter, the city government of Cagayan de Oro cannot validly pass an ordinance prohibiting casino in its territorial jurisdiction.² In the same vein, the operation of lotto in the Province of Laguna cannot also be prohibited in its locality as its operation is sanctioned by the national government, through Congress which grants the Philippine

¹Magtajas v. Pryce Properties, 234 SCRA 255 (1994).

²*Ibid.*

Charity Sweepstakes Office (PCSO) such authority to operate lotto under its franchise.³

LGUs and the Supreme Court: *LGUs' Acts are Subject to Judicial Review*

The judicial power shall be vested in one Supreme Court and in such lower courts as may be established by law.⁴

Acts of local government units are very well subject to judicial review, as under Section 4(2), 1987 Constitution, the Supreme Court has jurisdiction over all cases involving the constitutionality of a treaty, international or executive agreement, which shall be heard by the Supreme Court *en banc*, and all other cases which under the Rules of Court are required to be heard *en banc*, including those involving the constitutionality, application, or operation of presidential decrees, proclamations, orders, instructions, *ordinances*, and other regulations.

LGUs and the President: *President Exercises General Supervision*

The President of the Philippines shall exercise general supervision over local governments. Provinces with respect to component cities and municipalities, and cities and municipalities with respect to component *barangays* shall ensure that the acts of their component units are within the scope of their prescribed powers and functions.⁵

The President shall likewise exercise general supervision over autonomous regions to ensure that the laws are faithfully executed.⁶

Consistent with the basic policy on local autonomy, the President shall exercise general supervision over local government units to ensure that their acts are within the scope of their prescribed powers and functions. The President shall exercise supervisory authority directly over provinces, highly urbanized cities, and independent component cities; through the province with respect to component cities and municipalities; and through the city and municipality with respect to *barangays*.

³Lina, Jr. v. Paño, G.R. No. 129093, August 30, 2001.

⁴Sec. 1, Art. VIII, 1987 Constitution.

⁵Sec. 4, Art. X, 1987 Constitution.

⁶Sec. 16, Art. X, 1987 Constitution.

National agencies and offices with project implementation functions shall coordinate with one another and with the local government units concerned in the discharge of these functions. They shall ensure the participation of local government units both in the planning and implementation of said national projects.

The President may, upon request of the local government unit concerned, direct the appropriate national agency to provide financial, technical, or other forms of assistance to the local government unit. Such assistance shall be extended at no extra cost to the local government unit concerned.

National agencies and offices including government-owned or -controlled corporations with field units or branches in a province, city, or municipality shall furnish the local chief executive concerned, for his information and guidance, monthly reports including duly certified budgetary allocations and expenditures.⁷

In *Drilon v. Lim*,⁸ Section 187 of the Local Government Code of 1991, which authorizes the Secretary of Justice to review the constitutionality or legality of the tax ordinance and, if warranted, to revoke it on either or both of these grounds, was questioned as unconstitutional for it allegedly allows the President, through the Justice Secretary, to exercise control over local government units. The Supreme Court held that the Secretary of Justice, as alter ego of the President, could not exercise control under Section 187 because when he alters or modifies or sets aside a tax ordinance, he is not also permitted to substitute his own judgment for the judgment of the local government that enacted the measure. In this case, Secretary Drilon did set aside the Manila Revenue Code, but he did not replace it with his own version of what the Code should be. He did not pronounce the ordinance unwise or unreasonable as a basis for its annulment. He did not say that in his judgment it was a bad law. What he found only was that it was illegal. All he did in reviewing the said measure was determine if the petitioners were performing their functions in accordance with law, that is, with the prescribed procedure for the enactment of tax ordinances and the grant of powers to the city government under the Local Government Code. As the Supreme Court saw it, that was an act not of control but of mere supervision.

⁷Sec. 25, LGC of 1991.

⁸335 SCRA 141 (1994).

An officer in control lays down the rules in the doing of an act. If they are not followed, he may, in his discretion, order the act undone or re-done by his subordinate or he may even decide to do it himself. Supervision does not cover such authority. The supervisor or superintendent merely sees to it that the rules are followed, but he himself does not lay down such rules, nor does he have the discretion to modify or replace them. If the rules are not observed, he may order the work done or re-done but only to conform to the prescribed rules. He may not prescribe his own manner for the doing of the act. He has no judgment on this matter except to see to it that the rules are followed. In the opinion of the Court, Secretary Drilon did precisely this, and no more nor less than this, and so performed an act not of control but of mere supervision.⁹

In *Ganzon v. CA*,¹⁰ the power of the President to discipline local government officials was not considered incompatible with the President's general supervisory power over local government units and that such power to discipline does not amount to control.

It is also noteworthy that in spite of autonomy, the Constitution places the local governments under the general supervision of the Executive. It is noteworthy finally, that the Charter allows Congress to include in the Local Government Code provisions for removal of local officials, which suggests that Congress may exercise removal powers, and as the existing Local Government Code has done, delegate its exercise to the President.

The Constitution did not, however, intend, for the sake of local autonomy, to deprive the legislature of all authority over municipal corporations, in particular, concerning discipline. The change in constitutional language did not exempt local governments from legislative regulation provided regulation is consistent with the fundamental premise of autonomy.

An interesting question is whether or not the President's power of general supervision extends to the *Liga Ng Mga Barangay*, which is not a local government unit. The Supreme Court in *The National Liga ng mga Barangay v. Paredes*,¹¹ ruled in the affirmative. In Opinion No. 41, Series of 1995, the Department of Justice ruled that

⁹Drilon v. Lim, G.R. No. 112497, August 4, 1994.

¹⁰200 SCRA 271 (1991).

¹¹G.R. No. 130775, September 27, 2004.

the *Liga Ng Mga Barangay* is a government organization, being an association, federation, league or union created by law or by authority of law, whose members are either appointed or elected government officials. The Local Government Code defines the *Liga Ng Mga Barangay* as an organization of all *barangays* for the primary purpose of determining the representation of the *liga* in the *sanggunians*, and for ventilating, articulating and crystallizing issues affecting *barangay* government administration and securing, through proper and legal means, solutions thereto.

The Supreme Court said that the rationale for making the *Liga* subject to DILG supervision is quite evident, whether from the perspectives of logic or of practicality. The *Liga* is an aggroupment of *barangays* which are in turn represented therein by their respective *punong barangays*. The representatives of the *Liga* sit in an *ex-officio* capacity at the municipal, city and provincial *sanggunians*. As such, they enjoy all the powers and discharge all the functions of regular municipal councilors, city councilors or provincial board members, as the case may be. Thus, the *Liga* is the vehicle through which the *barangay* participates in the enactment of ordinances and formulation of policies at all the legislative local levels higher than the *Sangguniang Barangay*, at the same time serving as the mechanism for the bottom-to-top approach of development.

In the said *Liga Ng Mga Barangay case*, however, the President's supervision extended to *Liga Ng Mga Barangay* but the DILG went beyond its "general supervision" power when DILG Secretary laid down the supplemental guidelines for the 1997 synchronized elections of the provincial and metropolitan chapters and for the election of the national chapter of the *Liga Ng Mga Barangay*; scheduled dates for the new provincial, metropolitan and national chapter elections; and appointed respondent Rayos as president of *Liga-Calooocan Chapter*, observed the Supreme Court.

In *Ampatuan v. Puno*,¹² the Supreme Court ruled that DILG Secretary did not take over control of the powers of the ARMM. After law enforcement agents took the Governor of ARMM into custody for alleged complicity in the Maguindanao massacre, the ARMM Vice-Governor, Adiong, assumed the vacated post on December 10, 2009

¹²G.R. No. 190259, June 7, 2011.

pursuant to the rule on succession found in Section 12, Article VII of Republic Act No. 9054. In turn, Acting Governor Adiong named the then Speaker of the ARMM Regional Assembly, Sahali-Generale, Acting ARMM Vice-Governor. The DILG Secretary did not take over the administration or operations of the ARMM.

LGUs and Congress: *LGUs Derive Their Existence and Powers from Congress*

No province, city, municipality, or *barangay* may be created, divided, merged, abolished, or its boundary substantially altered, except in accordance with the criteria established in the Local Government Code and subject to approval by a majority of the votes cast in a plebiscite in the political units directly affected.¹³

Municipal corporations, therefore, owe their origin to, and derive their powers and rights wholly from the legislature. It breathes into them the breath of life, without which they cannot exist. As it creates, so it may destroy. As it may destroy, it may abridge and control. Unless there is some constitutional limitation on the right, the legislature might, by a single act, and if we can suppose it capable of so great a folly and so great a wrong, sweep from existence all of the municipal corporations in the State, the corporation could not prevent it. They are, so to phrase it, the mere tenants at will of the legislature.¹⁴

However, each local government unit shall still have the power to create its own sources of revenues and to levy taxes, fees, and charges subject to such guidelines and limitations as the Congress may provide, consistent with the basic policy of local autonomy. Such taxes, fees, and charges shall accrue exclusively to the local governments.¹⁵

Mother LGU and Component LGU: *Mother LGU Reviews Acts of Component LGU*

1. In General

The President of the Philippines shall exercise general supervision over local governments. Provinces with respect to component cities and municipalities, and cities and municipalities

¹³Sec. 10, Art. X, 1987 Constitution.

¹⁴*Magtajas v. Pryce Properties*, *supra* note 1.

¹⁵Sec. 5, Art. X, 1987 Constitution.

with respect to component *barangays* shall ensure that the acts of their component units are within the scope of their prescribed powers and functions.¹⁶

2. Provincial Relations with Component Cities and Municipalities

The province, through the governor, shall ensure that every component city and municipality within its territorial jurisdiction acts within the scope of its prescribed powers and functions. Highly urbanized cities and independent component cities shall be independent of the province.¹⁷

3. City and Municipal Relations with Component Barangays

The city or municipality, through the city or municipal Mayor concerned, shall exercise general supervision over component *barangays* to ensure that said *barangays* act within the scope of their prescribed powers and functions.¹⁸

Two Types of Reviews by a Mother LGU of Acts of Component LGU:

1. Executive: Local Chief Executive (LCE) of Mother LGU reviews Executive Orders (EOs) of LCE of Component LGU.

Except as otherwise provided under the Constitution and special statutes, the governor shall review all executive orders promulgated by the component city or municipal Mayor within his jurisdiction. The city or municipal Mayor shall review all executive orders promulgated by the *Punong Barangay* within his jurisdiction. Copies of such orders shall be forwarded to the governor or the city or municipal mayor, as the case may be, within three (3) days from their issuance. In all instances of review, the local chief executive concerned shall ensure that such executive orders are within the powers granted by law and in conformity with provincial, city, or municipal ordinances. If the governor or the city or municipal mayor fails to act on said executive orders within 30 days after

¹⁶Sec. 4, Art. X, 1987 Constitution.

¹⁷Sec. 29, LGC of 1991.

¹⁸Sec. 32, LGC of 1991.

their submission, the same shall be deemed consistent with law and therefore valid.¹⁹

2. Legislative: Sanggunian of Mother LGU reviews Ordinances of Sanggunian and EOs of LCE of Component LGU.

2.1. Component City and Municipal Ordinances and Resolutions (approving the local development plans and public investment programs formulated by the Local Development Councils).

Within three (3) days after approval, the secretary to the *Sanggunian Panlungsod* or *Sangguniang Bayan* shall forward to the *Sangguniang Panlalawigan* for review, copies of approved ordinances and the resolutions approving the local development plans and public investment programs formulated by the local development councils.²⁰

Within 30 days after receipt of copies of such ordinances and resolutions, the *Sangguniang Panlalawigan* shall examine the documents or transmit them to the provincial attorney, or if there be none, to the provincial prosecutor for prompt examination. The provincial attorney or provincial prosecutor shall, within a period of 10 days from receipt of the documents, inform the *Sangguniang Panlalawigan* in writing of his comments or recommendations, which may be considered by the *Sangguniang Panlalawigan* in making its decision.²¹

If the *Sangguniang Panlalawigan* finds that such an ordinance or resolution is beyond the power conferred upon the *Sangguniang Panlungsod* or *Sangguniang Bayan* concerned, it shall declare such ordinance or resolution invalid in whole or in part. The *Sangguniang Panlalawigan* shall enter its action in the minutes and shall advise the corresponding city or municipal authorities of the action it has taken.²²

If no action has been taken by the *Sangguniang Panlalawigan* within 30 days after submission of such an

¹⁹Sec. 30, LGC of 1991.

²⁰Sec. 56, LGC of 1991.

²¹*Ibid.*

²²*Ibid.*

ordinance or resolution, the same shall be presumed consistent with law and therefore valid.²³

2.2. *Barangay Ordinances*

Within 10 days after its enactment, the *Sangguniang Barangay* shall furnish copies of all *barangay* ordinances to the *Sangguniang Panlungsod* or *Sangguniang Bayan* concerned for review as to whether the ordinance is consistent with law and city or municipal ordinances.

If the *Sangguniang Panlungsod* or *Sangguniang Bayan*, as the case may be, fails to take action on *barangay* ordinances within 30 days from receipt thereof, the same shall be deemed approved.

If the *Sangguniang Panlungsod* or *Sangguniang Bayan*, as the case may be, finds the *barangay* ordinances inconsistent with law or city or municipal ordinances, the *sanggunian* concerned shall, within 30 days from receipt thereof, return the same with its comments and recommendations to the *Sangguniang Barangay* concerned for adjustment, amendment, or modification; in which case, the effectivity of the *barangay* ordinance is suspended until such time as the revision called for is effected.²⁴

Pursuant to these mechanisms aforementioned, the *Sanggunian* of mother local government units have been directly and specifically empowered to review all ordinances of component local government units. Interestingly, however, these *Sanggunians* of mother local government units are also specifically empowered to review even executive orders issued by local chief executives of their component local government units. Said review mechanisms of ordinances and executive orders are however limited only to determining "whether or not these are within the scope of the prescribed powers" (*ultra vires*) of the component local government unit's *Sanggunian* or Local Chief Executive.²⁵

The Supreme Court has ruled that the disapproval by the provincial *sanggunian* of a resolution of the municipal *sanggunian* for being *ultra vires* is a quasi-judicial function. Similarly, a governor,

²³*Ibid.*

²⁴Sec. 57, LGC of 1991.

²⁵See Sec. 447(a)(1)(i), Sec. 458(a)(1)(i), and Sec. 468(a)(1)(i), LGC of 1991.

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city or municipal mayor performs a quasi-judicial function where it exercises its power of supervision and declares that an executive order is beyond the power of the pertinent local chief executive or not in conformity with provincial, city or municipal ordinances. As such, the action of the governor, city or municipal mayor is properly reviewable by the writ of *certiorari*.²⁶

LGUs and National Agencies and Offices (with project implementation functions): *Prior Consultation and Approval before Implementation*

National agencies and offices with project implementation functions shall coordinate with one another and with the local government units concerned in the discharge of these functions. They shall ensure the participation of local government units both in the planning and implementation of said national projects.²⁷

No project or program shall be implemented by government authorities unless the consultations mentioned in Sections 2(c) and 26 of the LGC are complied with, and prior approval of the *sanggunian* concerned is obtained, provided that occupants in areas where such projects are to be implemented shall not be evicted unless appropriate relocation sites have been provided, in accordance with the provisions of the Constitution.²⁸

It must be noted, however, that the requirement of Prior Consultations found in Sections 2(c) and 27 of the LGC apply only to national programs and/or projects that are to be implemented in a particular local community. Thus, since lotto is neither a program nor a project of the national government, but of a charitable institution, the PCSO, the provision on prior consultation will not apply.²⁹

It must likewise be emphasized that the projects and programs mentioned in Section 27 should be interpreted to mean projects and programs whose effects are among those enumerated in Sections 26 and 27, *to wit*, those that: (1) may cause pollution; (2) may bring about climatic change; (3) may cause the depletion of non-renewable resources; (4) may result in loss of crop land, range-land, or forest

²⁶Joseph Emmanuel Angeles, *Restatement of the Law on Local Governments* (2005), p. 83, citing *Municipal Council of Lemery v. Provincial Board of Batangas*, 56 Phil. 260 (1931).

²⁷Sec. 25(b), LGC of 1991.

²⁸Sec. 27, LGC of 1991.

²⁹*See Lina, Jr. v. Paño*, G.R. No. 129093, August 30, 2001.

cover; (5) may eradicate certain animal or plant species from the face of the planet; and (6) other projects or programs that may call for the eviction of a particular group of people residing in the locality where these will be implemented.³⁰

It has been opined that the failure to comply with the consultation and approval requirement renders the assailed government act *void ab initio* on the basis of the Civil Code provision³¹ that makes acts executed against the provisions of mandatory or prohibitory laws void.³² Indeed, two requisites must be met before a national project that affects the environmental and ecological balance of local communities can be implemented: *prior consultation* with the affected local communities, and *prior approval* of the project by the appropriate *sanggunian*. Absent either of these mandatory requirements, the project's implementation is illegal.³³

The duty to consult the concerned local government units and the stakeholders belongs to the national government agency or GOCC authorizing or involved in the planning and implementation of the project — not the private sector proponent. The LGC does not prohibit the agency from acting through a medium such as the project proponent.³⁴ Likewise, the issuance of the Environmental Compliance Certificate (ECC) does not exempt the project from compliance with Sections 26 and 27 of the LGC of 1991, which require the government agency authorizing the project to conduct local consultation and secure prior consent for ecologically impactful project.³⁵

The duty to consult, however, does not require adherence to the opinions submitted during the consultation process as consultation is merely the act of seeking advice or information or of seeking guidance.³⁶

³⁰Lina, Jr. v. Paño, *supra*; Bangus Fry Fisherfolk, *et al.* v. Lanzanas, 405 SCRA 530 (2003); Province of Rizal v. Executive Secretary, G.R. No. 129546, December 13, 2005; Republic v. Spouses Lazo, G.R. No. 195594, September 29, 2014.

³¹Art. 5, New Civil Code of the Philippines.

³²See Joseph Emmanuel Angeles, *Restatement of the Law on Local Governments* (2005), pp. 78-79.

³³Province of Rizal v. Executive Secretary, G.R. No. 129546, December 13, 2005.

³⁴Braga v. Abaya, G.R. No. 223076, September 13, 2016.

³⁵*Ibid.*

³⁶*Ibid.*

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**LGUs and National Agencies, Offices and GOCCs (with field units
in the LGU): *Monthly Reportorial Requirement for Information
and Guidance***

National agencies and offices including government-owned or -controlled corporations with field units or branches in a province, city, or municipality shall furnish the local chief executive concerned, for his information and guidance, monthly reports including duly certified budgetary allocations and expenditures.³⁷

**LGUs and National Agencies, Offices and GOCCs (with
environmental programs): *Consultation***

It shall be the duty of every national agency or government-owned or -controlled corporation authorizing or involved in the planning and implementation of any project or program that may cause pollution, climatic change, depletion of non-renewable resources, loss of crop land, range-land, or forest cover, and extinction of animal or plant species, to consult with the local government units, nongovernmental organizations, and other sectors concerned and explain the goals and objectives of the project or program, its impact upon the people and the community in terms of environmental or ecological balance, and the measures that will be undertaken to prevent or minimize the adverse effects thereof.³⁸

**LGUs and the Philippine National Police (PNP), Fire Protection
Unit and Jail Management Personnel: *Operational Supervision
and Control by LGU Through the Local Chief Executive***

The extent of operational supervision and control of local chief executives over the police force, fire protection unit, and jail management personnel assigned in their respective jurisdictions shall be governed by the provisions of Republic Act No. 6975, otherwise known as "*The Department of the Interior and Local Government Act of 1990*," and the rules and regulations issued pursuant thereto.³⁹

In the case of *Andaya v. RTC*,⁴⁰ the issue was whether or not the Mayor of Cebu City can require the Regional Director to include

³⁷Sec. 25(d), LGC of 1991.

³⁸Sec. 26, LGC of 1991.

³⁹Sec. 28, LGC of 1991.

⁴⁰319 SCRA 696 (1999).

the Mayor's protégé in the list of five (5) eligibles to be recommended by the regular Police Director to the position of Chief of Police. In ruling against the move of the Mayor, the Supreme Court ruled that as deputy of the National Police Commission (NAPOLCOM), the authority of the mayor is very limited, such that in reality, he has no power of appointment and that he has only the limited power of selecting one from among the list of five (5) eligibles to be named the chief of police. Actually, under the law (*see* Section 51 of R.A. 6975), the power to appoint the Chief of Police of Cebu City is vested in the Regional Director, Regional Police Command No. 7, and not in the City Mayor. Much less may the Mayor require the Regional Director, Regional Police Command, to include the name of any officer, no matter how qualified, in the list of five (5) to be submitted to the Mayor. The purpose is to enhance police professionalism and to isolate the police service from political domination.

For reference, the relevant portion of Section 51 of Republic Act No. 6975 is hereunder reproduced as follows:

"Section 51. Powers of Local Government Officials Over the PNP Units or Forces. Governors and mayors shall be deputized as representatives of the Commission in their respective territorial jurisdiction. As such, the local executives shall discharge the following functions:

(a) Provincial Governor:

(1) Power to Choose the Provincial Director. The provincial governor shall choose the provincial director from a list of three (3) eligible recommended by the PNP regional director.

(2) Overseeing the Provincial Public Safety Plan Implementation. The governor, as chairman of the provincial peace and order council, shall oversee the implementation of the provincial public safety plan, which is prepared taking into consideration the integrated community safety plans, as provided under paragraph (b) (2) of this section.

(b) City and Municipal Mayors:

(1) *Operational Supervision and Control.* The city and municipal mayors shall exercise operational supervision and control over PNP units in their respective jurisdiction except during the thirty (30)-day period

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immediately preceding and the thirty (30) days following any national, local and barangay elections. During the said period, the local police forces shall be under the supervision and control of the Commission on Elections.

The term "*operational supervision and control*" shall mean the power to direct, superintend, oversee and inspect the police units and forces.

It shall include the power to employ and deploy units or elements of the PNP, through the station commander, to ensure public safety and effective maintenance of peace and order within the locality. For this purpose, the term "employ" and "deploy" shall mean as follows:

"*Employ*" refers to utilization of units or elements of the PNP for purposes of protection of lives and properties, enforcement of laws, maintenance of peace and order, prevention of crimes, arrest of criminal offenders and bringing the offenders to justice, and ensuring public safety, particularly in the suppression of disorders, riots, lawless violence, rebellious seditious conspiracy, insurgency, subversion or other related activities.

"*Deploy*" shall mean the orderly organized physical movement of elements or units of the PNP within the province, city or municipality for purposes of employment as herein defined.

(2) *Integrated Community Safety Plans.* The municipal/city mayor shall, in coordination with the local peace and order council of which he is the chairman pursuant to Executive Order No. 309, as amended, develop and establish an integrated area/community public safety plan embracing priorities of action and program thrusts for implementation by the local PNP stations.

It shall, likewise, be the duty of the city or municipal mayor to sponsor periodic seminars for members of the PNP assigned or detailed in his city or municipality in order to update them regarding local ordinances and legislations.

(3) *Administrative Disciplinary Powers.* In the areas of discipline, city and municipal mayors shall have the powers to impose, after due notice and summary hearings, disciplinary penalties for minor offenses committed by members of the PNP assigned to their respective jurisdictions, as provided in Section 41 of this Act.

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(4) *Other Powers.* In addition to the aforementioned powers, city and municipal mayors shall have the following authority over the PNP units in their respective jurisdictions:

- (i) Authority to choose the chief of police from a list of five (5) eligibles recommended by the provincial police director, preferably from the same province, city or municipality;
- (ii) Authority to recommend the transfer, reassignment or detail of PNP members outside of their respective city or town residences; and
- (iii) Authority to recommend, from a list of eligibles previously screened by the peace and order council, the appointment of new members of the PNP to be assigned to their respective cities or municipalities without which no such appointment shall be attested.

Indeed, a local chief executive exercises operational supervision over the police.⁴ However, it may exercise control only in the *day-to-day operations* of the police and not necessarily in times of emergency, emergency powers being solely vested in the President of the Philippines under Section 23, Article VI of the 1987 Constitution. In times of emergency, the President may exercise directly the power of control over the PNP, through the National Police Commission, pursuant to his Control power under Section 17, Article VII of the Constitution. That the local chief executive may only exercise control only in day-to-day operations of the police force is supported by the Record of the Deliberations of the Constitutional Commission, thus:

“Mr. Natividad:

By experience, it is not advisable to provide either in our Constitution or by law full control of the police by the local chief executive and local executives, the mayors. By our experience, this has spawned warlordism, bossism and sanctuaries for vices and abuses. If the national government does not have a mechanism to supervise these 1,500 legally,

⁴Carpio v. Executive Secretary, G.R. No. 96409, February 14, 1992, 206 SCRA 290.

technically separate police forces, plus 61 city police forces, fragmented police system, we will have a lot of difficulty in presenting a modern professional police force. So that a **certain amount of supervision and control will have to be exercised by the national government.**

For example, if a local government, a town cannot handle its peace and order problems or police problems, such as riots, conflagrations or organized crime, the national government may come in, especially if requested by the local executives. Under that situation, if they come in under such an extraordinary situation, they will be in control. But if the day-to-day business of police investigation of crime, crime prevention, activities, traffic control, is all lodged in the mayors, and if they are in complete operational control of the day-to-day business of police service, what the national government would control would be the administrative aspect.

XXX XXX XXX

Mr. de los Reyes:

so the operational control on a day-to-day basis, meaning, the usual duties being performed by the ordinary policemen, will be under the supervision of the local executives?

Mr. Natividad:

Yes, Madam President.

XXX XXX XXX

Mr. de los Reyes:

But in exceptional cases, even the operational control can be taken over by the National Police Commission?

Mr. Natividad:

If the situation is beyond the capacity of the local governments.⁴² (Emphases supplied)

That it is still the President who is authorized to exercise supervision and control over the police, through the National Police

⁴²Record of the Constitutional Commission, October 1, 1986, Wednesday, pp. 293-294 (Emphasis added).

Commission, is also supported by the following exchanges of the framers of the 1987 Constitution, thus:

“Mr. Rodrigo:

Just a few questions. The President of the Philippines is the Commander-in-Chief of all the armed forces.

Mr. Natividad:

Yes, Madam President.

Mr. Rodrigo:

Since the national police is not integrated with the armed forces, I do not suppose they come under the Commander-in-Chief powers of the President of the Philippines.

Mr. Natividad:

They do, Madam President. By law, they are under the supervision and control of the President of the Philippines.

Mr. Rodrigo:

Yes, but the President is not the Commander-in-Chief of the national police.

Mr. Natividad:

He is the President.

Mr. Rodrigo:

Yes, the Executive. But they do not come under that specific provision that the President is the Commander-in-Chief of all the armed forces.

Mr. Natividad:

No, not under the Commander-in-Chief provision.

Mr. Rodrigo:

There are two other powers of the President. The President has control over ministries, bureaus and offices, and supervision over local governments. Under which does the police fall, under control or under supervision?

Mr. Natividad:

Both, Madam President.

Mr. Rodrigo:

Control and supervision.

Mr. Natividad:

Yes, in fact, the National Police Commission is under the Office of the President.⁴³

In the discussions of the Constitutional Commission regarding the above provision it is clear that the framers never intended for local chief executives to exercise unbridled control over the police in emergency situations. This is without prejudice to their authority over police units in their jurisdiction as provided by law, and their prerogative to seek assistance from the police in day to day situations, as contemplated by the Constitutional Commission. But as a civilian agency of the government, the police, through the NAPOLCOM, properly comes within, and is subject to, the exercise by the President of the power of executive control.⁴⁴

The power of operational supervision and control of the local chief executives is limited only to the PNP units in their respective jurisdiction except during the 30-day period immediately preceding and the 30 days following any national, local and *barangay* elections (for by then, the PNP units shall be under the supervision and control of the COMELEC). This power does not extend to the Armed Force of the Philippines (AFP) assigned in their respective jurisdiction as the AFP is under the command of the President of the Philippines. Thus, a local chief executive does not have the power to call out the armed forces in its territorial jurisdiction.⁴⁵

On the other hand, while a local chief executive is empowered to enact and implement emergency measures in times of calamities and disasters, whether man-made or natural (under subparagraph [viii], par. 1 of Article 465 of the LGC of 1991, for instance in the case of a Governor), this does not include common crimes such as kidnapping and similar incidents.⁴⁶ Neither does subparagraph (vi), paragraph 2 of the same provision grants a Governor (or any local chief executive for that matter) the power to call out the armed forces. The Armed Forces of the Philippines does not fall under the category of a "national law enforcement agency," to which the National Police Commission (NAPOLCOM) and its departments belong. Its mandate is to uphold the sovereignty of the Philippines, support the

⁴³*Ibid.*

⁴⁴Kulayan v. Tan, G.R. No. 187298, July 3, 2012.

⁴⁵Sec. 18, Art. VII, 1987 Constitution; *see also* IBP v. Zamora, 392 Phils. 618 (2000) and Kulayan v. Tan, *supra*.

⁴⁶Kulayan v. Tan, *supra* note 44.

Constitution and defend the Republic against all enemies, foreign and domestic. Its aim is also to secure the integrity of the national territory.⁴⁷ Also, under the same provision, there must be evidence that the local police forces are inadequate to cope with the situation or apprehend the violators. In such a case, the recourse of the local chief executive is to ask the assistance of the Secretary of Interior and Local Government, or such other authorized officials, for the assistance of national law enforcement agencies.⁴⁸

LGUs and NGOs: *LGUs shall Support, and may Give Assistance to, NGOs*

Local government units shall promote the establishment and operation of people's and nongovernmental organizations to become active partners in the pursuit of local autonomy.⁴⁹ They may enter into joint ventures and such other cooperative arrangements with people's and nongovernmental organizations to engage in the delivery of certain basic services, capability-building and livelihood projects, and to develop local enterprises designed to improve productivity and income, diversify agriculture, spur rural industrialization, promote ecological balance, and enhance the economic and social well-being of the people.⁵⁰ Also, a local government unit may, through its local chief executive and with the concurrence of the *sanggunian* concerned, provide assistance, financial or otherwise, to such people's and nongovernmental organizations for economic, socially-oriented, environmental, or cultural projects to be implemented within its territorial jurisdiction.⁵¹

⁴⁷Sec. 3, Art. II, 1987 Constitution.

⁴⁸Kulayan v. Tan, *supra* note 44.

⁴⁹Sec. 34, LGC of 1991.

⁵⁰Sec. 35, LGC of 1991.

⁵¹Sec. 36, LGC of 1991.

Chapter 9

LOCAL TAXATION AND RELATED POWERS AND PRIVILEGES

Considered as the most revolutionary piece of legislation on local autonomy,¹ the LGC of 1991 effectively deals with the fiscal constraints faced by LGUs. It widens the tax base of LGUs to include taxes which were prohibited by previous laws such as the imposition of taxes on forest products, forest concessionaires, mineral products, mining operations, and the like. The LGC of 1991 likewise provides enough flexibility to impose tax rates in accordance with their needs and capabilities. It does not prescribe graduated fixed rates but merely specifies the minimum and maximum tax rates and leaves the determination of the actual rates to the respective *sanggunian*.²

Power to Create Sources of Revenues and to Levy Taxes, Fees and Charges

1. Local Taxation Power

Under the 1987 Constitution, it is mandated that each local government unit shall have the power to create its own sources of revenues and to levy taxes, fees, and charges subject to such guidelines and limitations as the Congress may provide, consistent with the basic policy of local autonomy, and that such taxes, fees, and charges shall accrue exclusively to the local governments.³

While the local governments' *general* power to tax is constitutionally guaranteed, such that no legislative act can take that power away from them, their *specific* power to tax still remains a delegated power subject to the "guidelines and limitations as Congress may provide."

¹Aquilino Pimentel, *supra*.

²National Power Corporation v. City of Cabanatuan, G.R. No. 149110, April 9, 2003.

³Sec. 5, Art. X, 1987 Constitution, *see also* Sec. 129, LGC of 1991.

Thus, despite the provision on local autonomy and decentralization, the traditional understanding that local governments do not have the inherent power to tax except to the extent that such power might be delegated to them either by the basic law or by statute is still prevailing even under the 1987 Constitution. Under Article X of the same 1987 Constitution, therefore, only a general delegation of that power has been given in favor of local government units. Where there is neither a grant nor a prohibition by statute, the tax power must be deemed to exist although Congress may provide statutory limitations and guidelines.⁴

This new perspective is best articulated by Fr. Joaquin G. Bernas, S.J., himself a Commissioner of the 1986 Constitutional Commission which crafted the 1987 Constitution, thus: "*What is the effect of Section 5 on the fiscal position of municipal corporations?*" Section 5 does not change the doctrine that municipal corporations do not possess inherent powers of taxation. What it does is to confer municipal corporations a general power to levy taxes and otherwise create sources of revenue. They no longer have to wait for a statutory grant of these powers. The power of the legislative authority relative to the fiscal powers of local governments has been reduced to the authority to impose limitations on municipal powers. Moreover, these limitations must be "consistent with the basic policy of local autonomy."

The important legal effect of Section 5 is thus to reverse the principle that doubts are resolved against municipal corporations. Henceforth, in interpreting statutory provisions on municipal fiscal powers, doubts will be resolved in favor of municipal corporations. It is understood, however, that taxes imposed by local government must be for a public purpose, uniform within a locality, must not be confiscatory, and must be within the jurisdiction of the local unit to pass.⁵

The basic rationale for the current rule is to safeguard the viability and self-sufficiency of local government units by directly granting them general and broad tax powers. Nevertheless, the fundamental law did not intend the delegation to be absolute and unconditional; the constitutional objective obviously is to ensure that, while the local government units are being strengthened and

⁴Manila Electric Company v. Province of Laguna, G.R. No. 131359, May 5, 1999.

⁵City Government of Quezon City v. Bayan Telecom, Inc., G.R. No. 162015, March 6, 2006.

made more autonomous, the legislature must still see to it that: (a) the taxpayer will not be over-burdened or saddled with multiple and unreasonable impositions; (b) each local government unit will have its fair share of available resources; (c) the resources of the national government will not be unduly disturbed; and (d) local taxation will be fair, uniform, and just.⁶

Illustrative of this relationship between Congress and the local governments insofar as tax power is concerned is the case of ***Basco v. PAGCOR***.⁷ In this case, it was contended that Presidential Decree No. 1869, which exempts Philippine Amusement and Gaming Corporation (PAGCOR), a government owned or controlled corporation, from paying any "tax of any kind or form, income or otherwise, as well as fees, charges or levies of whatever nature, whether National or Local," constitutes a waiver of the right of the City of Manila to impose taxes and legal fees and that the exemption clause in Presidential Decree No. 1869 is violative of the principle of local autonomy. Finding these contentions to be without merit, the Supreme Court laid down the following reasons, *viz.*:

(a) The City of Manila, being a mere Municipal corporation has no inherent right to impose taxes. (*Santos v. Mun. of Caloocan*, 7 SCRA 643) Thus, "the Charter or statute must plainly show an intent to confer that power or the municipality cannot assume it." (*Medina v. City of Baguio*, 12 SCRA 62) Its "power to tax" therefore must always yield to a legislative act which is superior having been passed upon by the state itself which has the "inherent power to tax." (*Bernas, The Revised [1973] Philippine Constitution, Vol. 1, 1983 Ed., p. 445*)

(b) The Charter of the City of Manila is subject to control by Congress. It should be stressed that "municipal corporations are mere creatures of Congress" (*Unson v. Lacson, G.R. No. 7909, January 18, 1957*) which has the power to "create and abolish municipal corporations" due to its "general legislative powers." (*Merdanillo v. Orandia*, 5 SCRA 541) Congress, therefore, has the power of control over Local government. (*Hebron v. Reyes, G.R. No. 9124, July 2, 1950*) And if Congress can grant the City of Manila the power to tax certain matters, it can also provide for exemptions or even take back the power.

⁶Manila Electric Company v. Province of Laguna, *supra*.

⁷197 SCRA 52 (1991).

(c) The City of Manila's power to impose license fees on gambling, has long been revoked. As early as 1975, the power of local governments to regulate gambling thru the grant of "franchise, licenses or permits" was withdrawn by Presidential Decree No. 771 and was vested exclusively on the National Government. Necessarily, the power to demand or collect license fees which is a consequence of the issuance of "licenses or permits" is no longer vested in the City of Manila.

(d) Local governments have no power to tax instrumentalities of the National Government. PAGCOR is a government owned or controlled corporation with an original charter, Presidential Decree No. 1869. All of its shares of stocks are owned by the National Government. In addition to its corporate powers (Section 3, Title II, P.D. 1869) it also exercises regulatory powers. PAGCOR has a dual role, to operate and to regulate gambling casinos. The latter role is governmental, which places it in the category of an agency or instrumentality of the Government. Being an instrumentality of the Government, PAGCOR should be and actually is exempt from local taxes. Otherwise, its operation might be burdened, impeded or subjected to control by a mere Local Government.

(e) Petitioners also argue that the Local Autonomy Clause of the Constitution will be violated by Presidential Decree No. 1869. This is a pointless argument. The power of local government to "impose taxes and fees" is always subject to "limitations" which Congress may provide by law. Since Presidential Decree No. 1869 remains an "operative" law until "amended, repealed or revoked" (Section 3, Article XVIII, 1987 Constitution), its "exemption clause" remains as an exception to the exercise of the power of local governments to impose taxes and fees. It cannot therefore be violative but rather is consistent with the principle of local autonomy.

Besides, the principle of local autonomy under the 1987 Constitution simply means "decentralization." (*III Records of the 1987 Constitutional Commission*, pp. 436-436, as cited in *Bernas, The Constitution of the Republic of the Philippines*, Vol. II, First Ed., 1988, p. 374) It does not make local governments sovereign within the state or an "*imperium in imperio*."

As to what state powers should be “decentralized” and what may be delegated to local government units remains a matter of policy, which concerns wisdom. It is therefore a political question. (*Citizens Alliance for Consumer Protection v. Energy Regulatory Board*, 162 SCRA 539) What is settled is that the matter of regulating, taxing or otherwise dealing with gambling is a State concern and hence, it is the sole prerogative of the State to retain it or delegate it to local governments.

Since the power to tax is inherently lodged in Congress, it is only Congress, and not any administrative or executive agency, can define and limit such power of local governments.⁸

As stated elsewhere, the confirmation that ours is still a Unitary system and the mandate in 1987 Constitution that local governments shall enjoy local autonomy, drew a lot tensions every now and then, especially in the area of taxation.

In *Basco v. PAGCOR*,⁹ as intimated above, the Supreme Court confirmed that a local government does not have the inherent power to tax such that its “power to tax” therefore must always yield to a legislative act which is superior having been passed upon by the state itself which has the “inherent power to tax.” Consequently, according to the Supreme Court, if Congress can grant the City of Manila the power to tax certain matters, it can also provide for exemptions or even take back the power. Thus, in resolving the issue of whether or not a local government can tax an instrumentality of the National Government like PAGCOR, the Supreme Court ruled in the negative upholding the authority of Congress to provide guidelines and limitations to the power to tax by local governments.

In *Mactan Cebu International Airport Authority (MCIAA) v. Marcos*,¹⁰ however, the Supreme Court took a different path on the same issue of whether or not a local government, in this case the City of Cebu, can tax a government-owned or -controlled corporation created by the National Government like the Mactan Cebu International Airport Authority, which was created by Congress through a special law. Upholding this time local autonomy as the prevailing framework each time Congress exercises its

⁸See *Philippine Petroleum Corp. v. Mun. of Pililla, Rizal*, G.R. No. 90776, June 3, 1991.

⁹*Supra*.

¹⁰G.R. No. 120082, September 11, 1996.

power to establish guidelines and limitations to local power to tax, the Supreme Court refused to apply *Basco doctrine*, which the Supreme Court found inapplicable having been decided before the effectivity of the Local Government Code of 1991 (January 1, 1992). The Supreme Court found in the Code a provision that effectively withdrew all existing tax exemptions and privileges enjoyed by all persons, natural or artificial, before the effectivity of the Code, thus:

"The power to tax is primarily vested in the Congress; however, in our jurisdictions, it may be exercised by local legislative bodies, no longer merely by virtue of a valid delegation as before, but pursuant to direct authority conferred by Section 5, Article X of the Constitution. Under the latter, the exercise of the power may be subject to such guidelines and limitations as the Congress may provide which, however, must be consistent with the basic policy of local autonomy. The LGC, enacted pursuant to Section 3, Article X of the Constitution, provides for the exercise by local government units of their power to tax, the scope thereof or its limitations, and the exemptions from taxation. Section 133 of the LGC prescribes the common limitations on the taxing powers of local government units.

Section 234 of the LGC provides for the exemptions from payment of real property taxes and withdraws previous exemptions therefrom granted to natural and juridical persons, including government-owned and -controlled corporations, except as provided therein. These exemptions are based on the ownership, character, and use of the property. Thus:

(a) **Ownership Exemptions.** Exemptions from real property taxes on the basis of ownership are real properties owned by: (i) the Republic, (ii) a province, (iii) a city, (iv) a municipality, (v) a barangay, (vi) registered cooperatives.

(b) **Character Exemptions.** Exempted from real property taxes on the basis of their character are: (i) charitable institutions, (ii) houses and temples of prayer like churches, parsonages or convents appurtenant thereto, mosques, and (iii) non-profit or religious cemeteries.

(c) **Usage Exemptions.** Exempted from real property taxes on the basis of the actual, direct and exclusive use to which they are devoted are: (i) all lands, buildings and improvements which are actually, directly and exclusively used for religious, charitable or educational purposes; (ii) all machineries and equipment actually, directly and exclusively used by local water districts or by government-owned or controlled corporations engaged in the supply and distribution of water and/or generation

and transmission of electric power; and (iii) all machinery and equipment used for pollution control and environmental protection. To help provide a healthy environment in the midst of the modernization of the country, all machinery and equipment for pollution control and environmental protection may not be taxed by local governments.

2. Other Exemptions Withdrawn. All other exemptions previously granted to natural or juridical persons including government-owned or -controlled corporations are withdrawn upon effectivity of the Code.”

Surprisingly, however, after 10 years, and on exactly the same factual and legal issues, the Supreme Court reverted to *Basco doctrine*, although the majority opinion did not categorically brush aside the *MCIAA v. Marcos* ruling as it simply ignored and did not apply such earlier ruling.

This is the case of *Manila International Airport Authority (MIAA) v. CA*,¹¹ where the Supreme Court ruled that MIAA is exempt from real property taxation by the local government because, first, MIAA is not a government-owned or -controlled corporation but an instrumentality of the National Government and thus exempt from local taxation and second, the real properties of MIAA are owned by the Republic of the Philippines and thus exempt from real estate tax. The Supreme Court reasoned in this manner, thus:

“A government-owned or controlled corporation must be “organized as a stock or non-stock corporation.” MIAA is not organized as a stock or non-stock corporation. MIAA is not a stock corporation because it has no capital stock divided into shares. MIAA has no stockholders or voting shares. MIAA is also not a non-stock corporation because it has no members. Thus, MIAA is a government instrumentality vested with corporate powers to perform efficiently its governmental functions. MIAA is like any other government instrumentality, the only difference is that MIAA is vested with corporate powers. When the law vests in a government instrumentality corporate powers, the instrumentality does not become a corporation. Unless the government instrumentality is organized as a stock or non-stock corporation, it remains a government instrumentality exercising not only governmental but also corporate powers.

¹¹G.R. No. 155650, July 20, 2006.

Section 234(a) of the Local Government Code exempts from real estate tax any “[r]eal property owned by the Republic of the Philippines.” This exemption should be read in relation with Section 133(o) of the same Code, which prohibits local governments from imposing “[t]axes, fees or charges of any kind on the National Government, its agencies and instrumentalities.” The real properties owned by the Republic are titled either in the name of the Republic itself or in the name of agencies or instrumentalities of the National Government. The Administrative Code allows real property owned by the Republic to be titled in the name of agencies or instrumentalities of the national government. Such real properties remain owned by the Republic and continue to be exempt from real estate tax.

x x x

Local governments have no power to tax the national government, its agencies and instrumentalities, except as otherwise provided in the Local Government Code pursuant to the saving clause in Section 133 stating “[u]nless otherwise provided in this Code.” This exception — which is an exception to the exemption of the Republic from real estate tax imposed by local governments — refers to Section 234(a) of the Code. The exception to the exemption in Section 234(a) subjects real property owned by the Republic, whether titled in the name of the national government, its agencies or instrumentalities, to real estate tax if the beneficial use of such property is given to a taxable entity.”

The Supreme Court in the *MIAA case* also invoked the *Basco doctrine* which it declared already inapplicable 10 years ago in the *MCIAA case*.

Expectedly, the *MIAA case* met a lot of criticisms, the basis of which can be gleaned from the following dissent of Justice Tinga, thus:

“The majority would overturn *sub silencio*, among others, at least one dozen precedents enumerated below:

- 1) *Mactan-Cebu International Airport Authority v. Hon. Marcos*, the leading case penned in 1997 by recently retired Chief Justice Davide, which held that the express withdrawal by the Local Government Code of previously granted exemptions from realty taxes applied to instrumentalities and government-owned or -controlled corporations (GOCCs) such as the Mactan-Cebu International Airport Authority (MCIAA). The majority invokes the ruling in *Basco v. Pagcor*, a precedent discredited in *Mactan*, and a vanguard of a doctrine so noxious to the

concept of local government rule that the Local Government Code was drafted precisely to counter such philosophy. The efficacy of several rulings that expressly rely on *Mactan*, such as *PHILRECA v. DILG Secretary, City Government of San Pablo v. Hon. Reyes* is now put in question.

2) The rulings in *National Power Corporation v. City of Cabanatuan*, wherein the Court, through Justice Puno, declared that the National Power Corporation, a GOCC, is liable for franchise taxes under the Local Government Code, and succeeding cases that have relied on it such as *Batangas Power Corp. v. Batangas City*. The majority now states that deems instrumentalities as defined under the Administrative Code of 1987 as purportedly beyond the reach of any form of taxation by LGUs, stating "[l]ocal governments are devoid of power to tax the national government, its agencies and instrumentalities." Unfortunately, using the definition employed by the majority, as provided by Section 2(d) of the Administrative Code, GOCCs are also considered as instrumentalities, thus leading to the astounding conclusion that GOCCs may not be taxed by LGUs under the Local Government Code.

3) *Lung Center of the Philippines v. Quezon City*, wherein a unanimous *en banc* Court held that the Lung Center of the Philippines may be liable for real property taxes. Using the majority's reasoning, the Lung Center would be properly classified as an instrumentality which the majority now holds as exempt from all forms of local taxation.

4) *City of Davao v. RTC*, where the Court held that the Government Service Insurance System (GSIS) was liable for real property taxes for the years 1992 to 1994, its previous exemption having been withdrawn by the enactment of the Local Government Code. This decision, which expressly relied on *Mactan*, would be directly though silently overruled by the majority.

5) The common essence of the Court's rulings in the two *Philippine Ports Authority v. City of Iloilo*, cases penned by Justices Callejo and Azcuna respectively, which relied in part on *Mactan* in holding the Philippine Ports Authority (PPA) liable for realty taxes, notwithstanding the fact that it is a GOCC. Based on the reasoning of the majority, the PPA cannot be considered a GOCC. The reliance of these cases on *Mactan*, and its rationale for holding governmental entities like the PPA liable for local government taxation is mooted by the majority.

6) The 1963 precedent of *Social Security System Employees Association v. Soriano*, which declared the Social

Security Commission (SSC) as a GOCC performing proprietary functions. Based on the rationale employed by the majority, the Social Security System is not a GOCC. Or perhaps more accurately, “no longer” a GOCC.

7) The decision penned by Justice (now Chief Justice) Panganiban, *Light Rail Transit Authority v. Central Board of Assessment*. The characterization therein of the Light Rail Transit Authority (LRTA) as a “service-oriented commercial endeavor” whose patrimonial property is subject to local taxation is now rendered inconsequential, owing to the majority’s thinking that an entity such as the LRTA is itself exempt from local government taxation, irrespective of the functions it performs. Moreover, based on the majority’s criteria, LRTA is not a GOCC.

8) The cases of *Teodoro v. National Airports Corporation* and *Civil Aeronautics Administration v. Court of Appeals*, wherein the Court held that the predecessor agency of the MIAA, which was similarly engaged in the operation, administration and management of the Manila International Agency, was engaged in the exercise of proprietary, as opposed to sovereign functions. The majority would hold otherwise that the property maintained by MIAA is actually patrimonial, thus implying that MIAA is actually engaged in sovereign functions.

9) My own majority in *Phividec Industrial Authority v. Capitol Steel*, wherein the Court held that the Phividec Industrial Authority, a GOCC, was required to secure the services of the Office of the Government Corporate Counsel for legal representation. Based on the reasoning of the majority, Phividec would not be a GOCC, and the mandate of the Office of the Government Corporate Counsel extends only to GOCCs.

10) Two decisions promulgated by the Court just last month (June 2006), *National Power Corporation v. Province of Isabela* and *GSIS v. City Assessor of Iloilo City*. In the former, the Court pronounced that “[a]lthough as a general rule, LGUs cannot impose taxes, fees, or charges of any kind on the National Government, its agencies and instrumentalities, this rule admits of an exception, i.e., when specific provisions of the LGC authorize the LGUs to impose taxes, fees or charges on the aforementioned entities.” Yet the majority now rules that the exceptions in the LGC no longer hold, since “local governments are devoid of power to tax the national government, its agencies and instrumentalities.” The ruling in the latter case, which held the GSIS as liable for real property taxes, is now put in jeopardy by the majority’s ruling.

There are certainly many other precedents affected, perhaps all previous jurisprudence regarding local government taxation *vis-à-vis* government entities, as well as any previous definitions of GOCCs, and previous distinctions between the exercise of governmental and proprietary functions (a distinction laid down by this Court as far back as 1916). What is the reason offered by the majority for overturning or modifying all these precedents and doctrines? None is given, for the majority takes comfort instead in the pretense that these precedents never existed. Only children should be permitted to subscribe to the theory that something bad will go away if you pretend hard enough that it does not exist.” (Citations omitted)

The foregoing dissent, however, did not prevent the Supreme Court in affirming Its 2006 MIAA decision in the 2015 *Mactan-Cebu International Airport Authority (MCIAA) v. City of Lapu-Lapu and Pacaldo*.¹² Indeed, and this should be the best legal justification for abandoning the 1996 MCIAA case, airport lands and buildings should be exempt from real property taxes by local governments as they are properties belonging to the public dominion pursuant to Article 420 of the Civil Code of the Philippines (those intended for public use, such as ports) and are, therefore, deemed owned by the Republic of the Philippines or the State. The term “ports” includes seaports and airports as they are “intended for public use” notwithstanding that terminal and landing fees are imposed for their use. Unless the President issues a Proclamation withdrawing the Airport lands and building from public use, these properties remain properties of public dominion and are inalienable and, thus, not subject to levy on execution or foreclosure sale.¹³ Under Section 234 of the LGC of 1991, real properties owned by the Republic of the Philippines or any of its political subdivisions (except when the beneficial use thereof has been granted to a taxable person) are exempt from real property tax.

In the 2006 MIAA case, the Supreme Court also noted that the Republic of the Philippines has not granted the beneficial use of these airport lands and buildings to a taxable person because the MIAA is not a taxable person under Section 133(o) of the LGC of 1991 because MIAA is a government instrumentality. Of course, portions of the

¹²G.R. No. 181756, June 15, 2015; *see also* Light Rail Transit Authority v. Quezon City, G.R. No. 221626, October 9, 2019.

¹³Manila International Airport Authority (MIAA) v. CA, *supra* note 11.

airport lands and buildings that MIAA leases to private entities are not exempt from property tax by the local government for by then it can be said that “beneficial use” of such land areas for consideration has already been “granted to a taxable person.”¹⁴

2. Construction of Local Taxation

As in national taxation, local tax measures, being in derogation of property rights must also be construed strictly against the local government unit enacting it and liberally in favor of the taxpayer in case of doubt.¹⁵ However, since taxation is the “*lifeblood*” of the local government, any tax exemption, incentive or relief granted by any local government shall be construed strictly against the person claiming it.¹⁶ Thus, the principle that “taxation is the rule and exemption the exception” still applies in local taxation.¹⁷

3. Fundamental Principles in Local Taxation

The following fundamental principles shall govern the exercise of the taxing and other revenue-raising powers of local government units:

- (a) Taxation shall be uniform in each local government unit;
- (b) Taxes, fees, charges and other impositions shall:
 - (1) be equitable and based as far as practicable on the taxpayer’s ability to pay;
 - (2) be levied and collected only for public purposes;
 - (3) not be unjust, excessive, oppressive, or confiscatory;
 - (4) not be contrary to law, public policy, national economic policy, or in restraint of trade;
- (c) The collection of local taxes, fees, charges and other impositions shall in no case be let to any private person;

¹⁴*Ibid.*; see also *Lung Center of the Philippines v. Quezon City*, G.R. No. 144104, June 29, 2004.

¹⁵See Sec. 5(b), LGC of 1991.

¹⁶*Ibid.*

¹⁷*City of Iloilo v. Smart Communications, Inc.*, G.R. No. 167260, February 27, 2009.

(d) The revenue collected pursuant to the provisions of the Code shall inure solely to the benefit of, and be subject to disposition by, the local government unit levying the tax, fee, charge or other imposition unless otherwise specifically provided in the Code; and

(e) Each local government unit shall, as far as practicable, evolve a progressive system of taxation.¹⁸

4. Taxing Authority

The power to impose a tax, fee, or charge or to generate revenue under the Code shall be exercised by the *sanggunian* of the local government unit concerned through an appropriate ordinance.¹⁹

5. Common Limitations on the Taxing Powers

Unless otherwise provided in the Code, the exercise of the taxing powers of provinces, cities, municipalities, and *barangays* shall **not** extend to the levy of the following:

(a) Income tax, **except** when levied on banks and other financial institutions;

(b) Documentary stamp tax;

(c) Taxes on estates, inheritance, gifts, legacies and other acquisitions *mortis causa*, except as otherwise provided in the Code;

(d) Customs duties, registration fees of vessel and wharfage on wharves, tonnage dues, and all other kinds of customs fees, charges and dues **except** wharfage on wharves constructed and maintained by the local government unit concerned;

(e) Taxes, fees and charges and other impositions upon goods carried into or out of, or passing through, the territorial jurisdictions of local government units in the guise of charges for wharfage, tolls for bridges or otherwise, or other taxes, fees or charges in any form whatsoever upon such goods or merchandise;

(f) Taxes, fees or charges on agricultural and aquatic products when **sold by marginal farmers or fishermen**;

¹⁸See Sec. 130, LGC of 1991.

¹⁹See Sec. 132, LGC of 1991.

(g) Taxes on business enterprises certified to by the Board of Investments as pioneer or non-pioneer for a period of six (6) and four (4) years, respectively from the date of registration;

(h) Excise taxes on articles enumerated under the National Internal Revenue Code, as amended, and taxes, fees or charges on petroleum products;

(i) Percentage or value-added tax (VAT) on sales, barter or exchanges or similar transactions on goods or services except as otherwise provided in the Code;

(j) Taxes on the gross receipts of transportation contractors and persons engaged in the transportation of passengers or freight by hire and common carriers by air, land or water, **except** as provided in the Code;

(k) Taxes on premiums paid by way of reinsurance or retrocession;

(l) Taxes, fees or charges for the registration of motor vehicles and for the issuance of all kinds of licenses or permits for the driving thereof, **except** tricycles;

(m) Taxes, fees, or other charges on Philippine products actually exported, **except** as otherwise provided in the Code;

(n) Taxes, fees, or charges, on Countryside and Barangay Business Enterprises and cooperatives duly registered under Republic Act No. 6810 and Republic Act No. 6938 otherwise known as the "*Cooperatives Code of the Philippines*" respectively; and

(o) Taxes, fees or charges of any kind on the National Government, its agencies and instrumentalities, and local government units.²⁰

Section 133 of the Code limits the grant to local governments of the power to tax, and not merely the exercise of a delegated power to tax. Section 133 states that the taxing powers of local governments "shall not extend to the levy" of any kind of tax on the national government, its agencies and instrumentalities. There is no clearer limitation on the taxing power than this.²¹

²⁰See Sec. 133, LGC of 1991.

²¹MIAA v. CA, *supra* note 11; see also Republic v. Philippine Reclamation Authority (PRA), G.R. No. 191109, July 18, 2012.

Since Section 133 prescribes the “common limitations” on the taxing powers of local governments, Section 133 logically prevails over Section 193 which grants local governments such taxing powers. By their very meaning and purpose, the “common limitations” on the taxing power prevail over the grant or exercise of the taxing power. If the taxing power of local governments in Section 193 prevails over the limitations on such taxing power in Section 133, then local governments can impose any kind of tax on the national government, its agencies and instrumentalities — a gross absurdity.²²

Local governments have no power to tax the national government, its agencies and instrumentalities, except as otherwise provided in the Local Government Code pursuant to the saving clause in Section 133 stating “[u]nless otherwise provided in this Code.” This exception — which is an exception to the exemption of the Republic from real estate tax imposed by local governments — refers to Section 234(a) of the Code. The exception to the exemption in Section 234(a) subjects real property owned by the Republic, whether titled in the name of the national government, its agencies or instrumentalities, to real estate tax if the beneficial use of such property is given to a taxable entity.²³

6. Procedural Matters Affecting Tax Ordinances and Measures

6.1. Public Hearing

As a mandatory requirement, public hearings shall always be conducted for the purpose prior to the enactment of tax ordinances and measures.²⁴

6.2. Questions on Constitutionality or Legality of Tax Measures

Any question on the constitutionality or legality of tax ordinances or revenue measures may be raised on appeal within 30 days from the effectivity thereof to the Secretary of Justice who shall render a decision within 60 days from the date of receipt of the appeal. Such appeal shall not have the effect of suspending the effectivity of the ordinance and the accrual and payment of the tax,

²²*Ibid.*

²³*Ibid.*

²⁴See Sec. 187, LGC of 1991.

fee, or charge levied therein, provided, that within 30 days after receipt of the decision or the lapse of the 60-day period without the Secretary of Justice acting upon the appeal, the aggrieved party may file appropriate proceedings with a court of competent jurisdiction.²⁵

6.3. Publication and Public Dissemination

Within 10 days after their approval, certified true copies of all provincial, city, and municipal tax ordinances or revenue measures shall be published in full for three (3) consecutive days in a newspaper of local circulation, provided, however, that in provinces, cities and municipalities where there are no newspapers of local circulation, the same may be posted in at least two (2) conspicuous and publicly accessible places.²⁶

Copies of all provincial, city, and municipal and barangay tax ordinances and revenue measures shall be furnished the respective local treasurers for public dissemination.²⁷

7. Enforcement of Void or Suspended Tax Measure

The enforcement of any tax ordinance or revenue measure after due notice of the disapproval or suspension thereof shall be sufficient ground for administrative disciplinary action against the local officials and employees responsible therefor.²⁸

8. Tax Rate Adjustment

Local government units have the authority to adjust the tax rates as prescribed in the Code not oftener than once every five (5) years, but in no case shall such adjustment exceed 10% of the rates fixed under the Code.²⁹

9. Tax Exemption Privileges

Local government units may, through ordinances duly approved, grant tax exemptions, incentives or reliefs under such terms and conditions as they may deem necessary.³⁰

²⁵*Ibid.*

²⁶Sec. 188, LGC of 1991.

²⁷Sec. 189, LGC of 1991.

²⁸Sec. 190, LGC of 1991.

²⁹See Sec. 191, LGC of 1991.

³⁰Sec. 192, LGC of 1991.

Under the Code, however, and unless otherwise provided therein, tax exemptions or incentives granted to, or enjoyed by all persons, whether natural or juridical, including government-owned or -controlled corporations, except local water districts, cooperatives duly registered under Republic Act No. 6938, non-stock and non-profit hospitals and educational institutions, were effectively withdrawn upon the effectivity of the Code.³¹

It may be recalled that in Section 133 (Common Limitations on Taxing Powers), local government cannot impose taxes, fees or charges of any kind on the National Government, its agencies and instrumentalities. ***How does Section 193 (Withdrawal of Tax Exemptions or Incentives) affect Section 133?*** This question was answered in the *MIAA case* as follows:

“First, there is no conflict whatsoever between Sections 133 and 193 because Section 193 expressly admits its subordination to other provisions of the Code when Section 193 states “[u]nless otherwise provided in this Code.” By its own words, Section 193 admits the superiority of other provisions of the Local Government Code that limit the exercise of the taxing power in Section 193. When a provision of law grants a power but withholds such power on certain matters, there is no conflict between the grant of power and the withholding of power. The grantee of the power simply cannot exercise the power on matters withheld from its power.

Second, Section 133 is entitled “Common Limitations on the Taxing Powers of Local Government Units.” Section 133 limits the grant to local governments of the power to tax, and not merely the exercise of a delegated power to tax. Section 133 states that the taxing powers of local governments “shall not extend to the levy” of any kind of tax on the national government, its agencies and instrumentalities. There is no clearer limitation on the taxing power than this.

Since Section 133 prescribes the “common limitations” on the taxing powers of local governments, Section 133 logically prevails over Section 193 which grants local governments such taxing powers. By their very meaning and purpose, the “common limitations” on the taxing power prevail over the grant or exercise of the taxing power. If the taxing power of local governments in Section 193 prevails over the limitations on such taxing power in Section 133, then local governments can impose any kind of tax on the national government, its agencies and instrumentalities — a gross absurdity.”³²

³¹Sec. 193, LGC of 1991.

³²*MIAA v. CA*, *supra* note 11.

While Section 193 of the Code had effectively withdrawn all tax exemptions or incentives granted to, or enjoyed by all persons, whether natural or juridical, including government-owned or -controlled corporations, Congress may however enact a law restoring such exemption or privileges enjoyed by these persons.³³

Just Share in the National Taxes

Local government units shall have a just share, as determined by law, in the national taxes which shall be automatically released to them.³⁴ A basic feature of local fiscal autonomy is the automatic release of the shares of LGUs in the national internal revenue.³⁵ Pursuant to the constitutional mandate that this share in the national taxes, called Internal Revenue Allotment (IRA), be *automatically released* to the local governments, the Code specifically mandates that “the share of each local government unit shall be released, without need of any further action, directly to the provincial, city, municipal or *barangay* treasurer, as the case may be, on a quarterly basis within five (5) days after the end of each quarter, and which shall not be subject to any lien or holdback that may be imposed by the national government for whatever purpose.”³⁶ As a rule, the term “shall” is a word of command that must be given a compulsory meaning. The provision is, therefore, imperative.³⁷

Thus, in *Pimentel v. Aguirre*, the Supreme Court nullified Section 4 of Administrative Order No. 372 which ordered the withholding, effective January 1, 1998, of 10% of the LGUs’ IRA “pending the assessment and evaluation by the Development Budget Coordinating Committee of the emerging fiscal situation” in the country. Such withholding, according to the Supreme Court, clearly contravenes the Constitution and the law because although temporary, it is equivalent to a holdback, which means “something held back or withheld, often temporarily.” Hence, the “temporary” nature of the retention by the national government does not matter. Any retention is prohibited.³⁸

³³See *City Government of Quezon City v. Bayan Telecom, Inc.*, G.R. No. 162015, March 6, 2006.

³⁴Sec. 6, Article X, 1987 Constitution.

³⁵*Pimentel v. Aguirre*, G.R. No. 132988, July 19, 2000.

³⁶Sec. 286, LGC of 1991.

³⁷See *Pimentel v. Aguirre*, *supra* note 35.

³⁸*Ibid.*

1. Amount of Shares

Under Section 284 of the Code, local government units shall have a share in the national internal revenue taxes based on the collection of the 3rd fiscal year preceding the current fiscal year as follows: (a) On the first year of the effectivity of the Code, 30%; (b) On the 2nd year, 35%; and (c) On the 3rd year and thereafter, 40%. In the event that the national government incurs an unmanageable public sector deficit, the President of the Philippines is authorized, upon the recommendation of Secretary of Finance, Secretary of Interior and Local Government and Secretary of Budget and Management, and subject to consultation with the presiding officers of both Houses of Congress and the presidents of the *Liga*, to make the necessary adjustments in the internal revenue allotment of local government units but in no case shall the allotment be less than 30% of the collection of national internal revenue taxes of the 3rd fiscal year preceding the current fiscal year, provided, that in the 1st year of the effectivity of the Code, the local government units shall, in addition to the 30% internal revenue allotment which shall include the cost of devolved functions for essential public services, be entitled to receive the amount equivalent to the cost of devolved personal services.³⁹

Section 284, in limiting the “just share” of LGUs to the share in the “national internal revenue taxes” only (effectively excluding other “national taxes” such as customs duties), has, however, been found by the Supreme Court in the 2018 case of *Mandanas v. Ochoa, Jr.*⁴⁰ as a deviation from the plain language of Section 6, Article X of the 1987 Constitution. Indeed, although the power of Congress to make laws is plenary in nature, congressional lawmaking remains subject to the limitations stated in the 1987 Constitution. The phrase ~~national internal revenue taxes~~ engrafted in Section 284 is undoubtedly more restrictive than the term *national taxes* written in Section 6, Article X, of the Constitution. As such, Congress has actually departed from the letter of the 1987 Constitution stating that *national taxes* should be the base from which the *just share* of the LGU comes. Such departure is impermissible. *Verba legis non est recedendum* (from the words of a statute there should be no departure). Equally impermissible is that Congress has also thereby

³⁹See Sec. 284, LGC of 1991.

⁴⁰G.R. Nos. 199802 and 208488, July 3, 2018.

curtailed the guarantee of fiscal autonomy in favor of the LGUs under the 1987 Constitution.⁴¹

There are therefore several requisites before the President may interfere in local fiscal matters: (1) an unmanaged public sector deficit of the national government; (2) consultations with the presiding officers of the Senate and the House of Representatives and the presidents of the various local leagues; and (3) the corresponding recommendation of the secretaries of the Department of Finance, Interior and Local Government, and Budget and Management. Furthermore, any adjustment in the allotment shall in no case be less than 30% of the collection of national internal revenue taxes of the 3rd fiscal year preceding the current one.⁴²

2. Allocation of Shares

The share of local government units in the internal revenue allotment shall be allocated in the following manner:

- (a) Provinces —23%;
- (b) Cities —23%;
- (c) Municipalities —34%; and

(d) *Barangays* —20%; *Provided, however, That the share of each province, city, and municipality shall be determined on the basis of the following formula:*

- (a) Population —50%;
- (b) Land Area —25%; and

(c) Equal sharing —25%; *Provided, further, That the share of each barangay with a population of not less than 100 inhabitants shall not be less than P80,000 per annum chargeable against the 20% share of the barangay from the internal revenue allotment, and the balance to be allocated on the basis of the following formula:*

- (a) On the 1st year of the effectivity of the Code:
 - (1) Population —40%; and
 - (2) Equal Sharing —60%

⁴¹Mandanas v. Ochoa, Jr., *supra*, citations omitted.

⁴²Pimentel v. Aguirre, *supra* note 35.

- (b) On the 2nd year:
 - (1) Population —50%; and
 - (2) Equal Sharing —50%
- (c) On the 3rd year and thereafter:
 - (1) Population —60%; and
 - (2) Equal Sharing —40%; *Provided, finally,*
That the financial requirements of *barangays* created by local government units after the effectivity of this Code shall be the responsibility of the local government unit concerned.⁴³

Uniform and non-discriminatory criteria as prescribed in the Local Government Code are essential to implement a fair and equitable distribution of national taxes to all local government units.⁴⁴ If the criteria in creating local government units are not uniform and discriminatory, there can be no fair and just distribution of the national taxes to local government units.⁴⁵

3. Appropriation and Utilization of Share by the Local Government

To ensure that these IRAs will benefit the local community the Code also mandates that “each local government unit shall appropriate in its annual budget no less than 20% of its annual internal revenue allotment for development projects.”⁴⁶ Copies of the development plans of local government units shall be furnished the Department of Interior and Local Government (DILG) for monitoring purposes and to ensure that local governments deliver the basic services to their constituents. These “development projects,” as commonly understood, may include desirable social, economic and environmental outcomes essential to the attainment of the constitutional objective of a quality of life for all.⁴⁷

⁴³Sec. 285, LGC of 1991.

⁴⁴See First League of Cities of the Philippines case (2008), *supra*.

⁴⁵*Ibid.*

⁴⁶Sec. 287, LGC of 1991.

⁴⁷Villafuerte, Jr. v. Robredo, G.R. No. 195390, December 10, 2014.

Equitable Share in the Proceeds of the Utilization and Development of the National Wealth Within their Respective Areas

Local governments shall be entitled to an equitable share in the proceeds of the utilization and development of the national wealth within their respective areas, in the manner provided by law, including sharing the same with the inhabitants by way of direct benefits.⁴⁸

An LGU's territorial jurisdiction refers to its territorial boundaries or to its territory. The territory of LGUs, in turn, refers to their land area, unless expanded by law to include the maritime area. Accordingly, only the utilization of natural resources found within the land area as delimited by law is subject to the LGU's equitable share under Sections 290 and 291 of the Local Government Code. This conclusion finds support in the deliberations of the 1986 Constitutional Commission which cited, as examples of national wealth the proceeds from which the LGU may share, the Tiwi Geothermal Plant in Albay, the geothermal plant in Macban, Makiling-Banahaw area in Laguna, the Maria Cristina area in Central Mindanao, the great rivers and sources of hydroelectric power in Iligan, in Central Mindanao, the geothermal resources in the area of Palimpiñon, Municipality of Valencia and mountainous areas, which are all situated inland.⁴⁹ Thus, and based on their statutory territorial descriptions, the municipalities of Palawan do not include the continental shelf where the Camago-Malampaya reservoir is concededly located.⁵⁰

Before the enactment of the Code, government-owned or -controlled corporations like the PNOC did not pay anything to the LGUs for the use and development of natural resources of the land. Now, as PNOC report shows, millions of pesos are paid to the LGUs where projects which exploit natural resources are located.⁵¹

⁴⁸Sec. 7, Article X, 1987 Constitution; Sec. 289, LGC of 1991.

⁴⁹Republic v. Provincial Government of Palawan, G.R. Nos. 170867 and 185941, December 4, 2018.

⁵⁰*Ibid.*

⁵¹Pimentel v. Aguirre, *supra* note 35.

1. Amount of Share

Local government units shall, in addition to the internal revenue allotment, have a share of 40% of the gross collection derived by the national government from the preceding fiscal year from mining taxes, royalties, forestry and fishery charges, and such other taxes, fees, or charges, including related surcharges, interests, or fines, and from its share in any co-production, joint venture or production sharing agreement in the utilization and development of the national wealth within their territorial jurisdiction.⁵²

2. Share of the Local Governments from GOCCs

Local government units shall have a share based on the preceding fiscal year from the proceeds derived by any government agency or government-owned or -controlled corporation engaged in the utilization and development of the national wealth based on the following formula whichever will produce a higher share for the local government unit:

(a) 1% of the gross sales or receipts of the preceding calendar year; or

(b) 40% of the mining taxes, royalties, forestry and fishery charges and such other taxes, fees or charges, including related surcharges, interests, or fines the government agency or government-owned or -controlled corporation would have paid if it were not otherwise exempt.⁵³

The share shall be distributed in the following manner:

(a) Where the natural resources are located in the province:

(1) Province —20%;

(2) Component city/municipality —45%; and

(3) *Barangay* —35%; *Provided, however, That* where the natural resources are located in two (2) or more provinces, or in two (2) or more component cities or municipalities or in two (2) or more *barangays*, their respective shares shall be computed on the basis of:

⁵²Sec. 290, LGC of 1991.

⁵³Sec. 291, LGC of 1991.

(1) Population —70%; and

(2) Land area —30%.

(b) Where the natural resources are located in a highly urbanized or independent component city:

(1) City —65%; and

(2) *Barangay* —35%; *Provided, however, That* where the natural resources are located in such two (2) or more cities, the allocation of shares shall be based on the formula on population and land area as specified in Par. (a) of Section 292 of the Code.⁵⁴

3. Remittance of the Share

The share of local government units from the utilization and development of national wealth shall be remitted in accordance with Section 286 of the Code. However, in the case of any government agency or government-owned or -controlled corporation engaged in the utilization and development of the national wealth, such share shall be directly remitted to the provincial, city, municipal or *barangay* treasurer concerned within five (5) days after the end of each quarter.⁵⁵

4. Appropriation and Utilization of the Share by the Local Government

The proceeds from the share of local government units from the utilization and development of national wealth shall be appropriated by their respective sanggunian to finance local development and livelihood projects: *Provided, however, That* at least 80% of the proceeds derived from the development and utilization of hydrothermal, geothermal, and other sources of energy shall be applied solely to lower the cost of electricity in the local government unit where such a source of energy is located.⁵⁶

⁵⁴Sec. 292, LGC of 1991.

⁵⁵See Sec. 293, LGC of 1991.

⁵⁶Sec. 294, LGC of 1991.

Power to Dispose of Patrimonial Properties for Welfare Purposes

Not only are local governments empowered to create their own sources of revenue and to levy taxes, fees, and charges, to have a just share in national taxes and to have an equitable share in the proceeds from the utilization and development of the national wealth and resources within their respective territorial jurisdictions, they are also given the authority by the Code to acquire, develop, lease, encumber, alienate, or otherwise dispose of real or personal property held by them in their proprietary capacity and to apply their resources and assets for productive, developmental, or welfare purposes, in the exercise or furtherance of their governmental or proprietary powers and functions. All these powers are given to local governments to ensure their development into self-reliant communities and active participants in the attainment of national goals.⁶⁷

⁶⁷See Sec. 18, LGC of 1991.

Chapter 10

LOCAL POLICE POWER

The General Welfare Clause

Police Power is the inherent power of the State to regulate conduct for the promotion of the general welfare. The police power has been described as the most pervasive and the least limitable of the inherent powers of the State. It is based on the ancient doctrines of *salus populi est suprema lex* (the welfare of the people is the supreme law) and *sic utere tuo ut alienum non laedas* (use your own property in such a manner as not to injure the rights of others). In the early case of *Rubi v. Provincial Board of Mindoro* (39 Phil. 660), the Supreme Court through Mr. Justice George A. Malcolm stated thus: "The police power of the State . . . is a power co-extensive with self-protection, and is not inaptly termed the 'law of overruling necessity.' It may be said to be that inherent and plenary power in the State which enables it to prohibit all things hurtful to the comfort, safety and welfare of society. Carried onward by the current of legislation, the judiciary rarely attempts to dam the onrushing power of legislative discretion, provided the purposes of the law do not go beyond the great principles that mean security for the public welfare or do not arbitrarily interfere with the right of the individual."¹

Invariably described as "the most essential, insistent, and illimitable of powers" and "in a sense, the greatest and most powerful attribute of government, the exercise of the power may be judicially inquired into and corrected only if it is capricious, 'whimsical, unjust or unreasonable, there having been a denial of due process or a violation of any other applicable constitutional guarantee.'"² Thus, the state, in order to promote the general welfare, may interfere with personal liberty, with property, and with business and occupations.

¹See *Lim v. Pacquing*, 240 SCRA 649 (1995).

²*Ortigas v. Feati Bank*, 94 SCRA 533 (1979).

Persons may be subjected to all kinds of restraints and burdens, in order to secure the general comfort health and prosperity of the state and to this fundamental aim of our Government, the rights of the individual are subordinated. "Police power legislation then is not likely to succumb to the challenge that thereby contractual rights are rendered nugatory."³

Police Power is essentially legislative in character and is inherently vested in Congress of the Philippines. It is inherent in the State, but not in municipal corporations. Before a municipal corporation may exercise such power, there must be a valid delegation of power by the Legislature which may be through express delegation or inferred by the mere fact of creation of the municipal corporation.⁴

In matters that are deemed within the competence of local governments to handle, Congress delegates this power to local governments under the Local Government Code, through Section 16 thereof, the General Welfare Clause.

This clause provides that "every local government unit shall exercise the powers expressly granted, those necessarily implied therefrom, as well as powers necessary, appropriate, or incidental for its efficient and effective governance, and those which are essential to the promotion of the general welfare. Within their respective territorial jurisdictions, local government units shall ensure and support, among other things, the preservation and enrichment of culture, promote health and safety, enhance the right of the people to a balanced ecology, encourage and support the development of appropriate and self-reliant scientific and technological capabilities, improve public morals, enhance economic prosperity and social justice, promote full employment among their residents, maintain peace and order, and preserve the comfort and convenience of their inhabitants."⁵

The general welfare clause has two branches: One branch attaches itself to the main trunk of municipal authority, and relates to such ordinances and regulations as may be necessary to carry into effect and discharge the powers and duties conferred upon the municipal council by law. With this class we are not here directly

³*Ibid.*

⁴*Binay v. Domingo*, 201 SCRA 508 (1991).

⁵*See* Sec. 16, LGC of 1991.

concerned. The second branch of the clause is much more independent of the specific functions of the council which are enumerated by law. It authorizes such ordinances as shall seem necessary and proper to provide for the health and safety, promote the prosperity, improve the morals, peace, good order, comfort, and convenience of the municipality and the inhabitants thereof, and for the protection of property therein. It is a general rule that ordinances passed by virtue of the implied power found in the general welfare clause must be reasonable, consonant with the general powers and purposes of the corporation, and not inconsistent with the laws or policy of the State.⁶

In other words, Section 16 of LGC of 1991 comprehends two (2) branches of delegated powers, namely: the *general legislative power* and the *police power proper*.⁷

Being legislative in character, local police power is exercised by the *Sanggunian* of the local government through the enactment of the appropriate ordinances. Under Section 5 of LGC 1991, the general welfare provision *shall be liberally construed to give more powers to the LGU*.

Valid Exercise of Local Police Power

1. Requisites

For an ordinance to be valid, it must not only be within the corporate powers of the municipality to enact but must also be passed according to the procedure prescribed by law, and must be in consonance with certain well established and basic principles of a substantive nature.⁸ These principles require that a municipal ordinance: (1) must not contravene the Constitution or any statute, (2) must not be unfair or oppressive, (3) must not be partial or discriminatory, (4) must not prohibit but may regulate trade, (5) must be general and consistent with public policy, and (6) must not be unreasonable.⁹

⁶*See* De la Cruz v. Paras, 123 SCRA 569 (1983), citing United States v. Salaveria, 39 Phil. 102 (1918).

⁷*Mosqueda v. Pilipino Banana Growers and Exporters Association, Inc.*, G.R. Nos. 189185 and 189305, August 16, 2016.

⁸*Tatel v. Mun. of Virac, Catanduanes*, G.R. No. 40243, March 11, 1992.

⁹*Ibid.*

In sum, to be considered as a valid police power measure, an ordinance must pass a *two-pronged test or requisite*: the *formal* (i.e., whether the ordinance is enacted within the corporate powers of the local government unit, and whether it is passed in accordance with the procedure prescribed by law); and the *substantive* (i.e., involving inherent merit, like the conformity of the ordinance with the limitations under the Constitution and the statutes, as well as with the requirements of fairness and reason, and its consistency with public policy). The formalities in enacting an ordinance are laid down in Section 53 and Section 54 of The Local Government Code.¹⁰

As with the State, and insofar as the substantive requisite is concerned, the local government may be considered as having properly exercised its police power only if the following requisites are met: (1) the interests of the public generally, as distinguished from those of a particular class, require the interference of the State, and (2) the means employed are reasonably necessary for the attainment of the object sought to be accomplished and not unduly oppressive upon individuals. Otherwise stated, there **must be a concurrence of a lawful subject and lawful method.**¹¹

In *Lim v. Pacquing*,¹² the national government questioned Manila Ordinance No. 7065 which purported to grant to a private corporation, the Associated Development Corporation (ADC), a franchise to conduct *Jai-alai* operations. The national government contended that said Ordinance is void and *ultra vires* because Republic Act No. 954, approved on June 20, 1953, or very much earlier than said Ordinance No. 7065, the latter having been approved on September 7, 1971, in Section 4 thereof, requires a *legislative franchise*, not a municipal franchise, for the operation of *Jai-alai*. Additionally, according to the national government in this case, even assuming, *arguendo*, that the abovementioned ordinance is valid, ADC's franchise was nonetheless effectively revoked by Presidential Decree No. 771, issued on August 20, 1975, Section 3 of which expressly revoked *all* existing franchises and permits to operate all forms of gambling facilities (including the *Jai-alai*) issued by local governments. The Supreme Court upheld the contention of the national government stating that *Jai-alai* is

¹⁰*Legaspi v. City of Cebu*, G.R. No. 159110, December 10, 2013; *Mosqueda v. Pilipino Banana Growers and Exporters Association, Inc.*, *supra* note 7.

¹¹*Lucena Grand Central Terminal, Inc. v. JAC Liner*, G.R. No. 148339, February 23, 2005.

¹²240 SCRA 649 (1995).

not a mere economic activity which the law seeks to regulate but is essentially gambling so that whether it should be permitted and, if so, under what conditions are questions primarily for the lawmaking authority to determine, taking into account national and local interests. The Supreme Court added that the police power of the State (not of local government) is paramount.

In *Balacuit v. CFI of Agusan del Norte*,¹³ the petitioners there, mostly theater owners, attacked the validity and constitutionality of Ordinance No. 640 of Butuan City on the grounds that it is ultra vires and an invalid exercise of police power. The said ordinance penalized any person engaged in the business of selling admission tickets to any movie or other public exhibitions, games, contests, or other performances who would require children between seven (7) and 12 years of age to pay full payment for admission tickets intended for adults. The said ordinance further required that these persons should charge only one-half of the value of the said tickets. The issue resolved by the Supreme Court was whether or not the power of Butuan City to regulate and fix the amount of license fees for theaters, theatrical performances, cinematographs, public exhibitions and other places of amusement which has been expressly granted to the City of Butuan under its charter, included the authority to interfere in the fixing of prices of admission to these places of exhibition and amusement whether under its general grant of power or under the general welfare clause as invoked by the City. Discussing on the requirement of "reasonableness" for a valid exercise of local police power, the Supreme Court ruled, thus:

"To invoke the exercise of police power, not only must it appear that the interest of the public generally requires an interference with private rights, but the means adopted must be reasonably necessary for the accomplishment of the purpose and not unduly oppressive upon individuals. The legislature may not, under the guise of protecting the public interest, arbitrarily interfere with private business, or impose unusual and unnecessary restrictions upon lawful occupations. In other words, the determination as to what is a proper exercise of its police power is not final or conclusive, but is subject to the supervision of the courts.

¹³163 SCRA 182 (1988).

[The Supreme Court] agrees with petitioners that the ordinance is not justified by any necessity for the public interest. The police power legislation must be firmly grounded on public interest and welfare, and a reasonable relation must exist between purposes and means. The evident purpose of the ordinance is to help ease the burden of cost on the part of parents who have to shell out the same amount of money for the admission of their children, as they would for themselves. A reduction in the price of admission would mean corresponding savings for the parents; however, the petitioners are the ones made to bear the cost of these savings. The ordinance does not only make the petitioners suffer the loss of earnings but it likewise penalizes them for failure to comply with it. Furthermore, as petitioners point out, there will be difficulty in its implementation because as already experienced by petitioners since the effectivity of the ordinance, children over 12 years of age tried to pass off their age as below 12 years in order to avail of the benefit of the ordinance. The ordinance does not provide a safeguard against this undesirable practice and as such, the respondent City of Butuan now suggests that birth certificates be exhibited by movie house patrons to prove the age of children. This is, however, not at all practicable. The Court can see that the ordinance is clearly unreasonable if not unduly oppressive upon the business of petitioners. Moreover, there is no discernible relation between the ordinance and the promotion of public health, safety, morals, and the general welfare."

In De la Cruz v. Paras,¹⁴ the Municipality of Bocaue, Bulacan, prohibited the operation of night clubs and the employment of hostesses in order to promote and foster public morals. It was observed that the operation of night clubs that employ hostesses encouraged the proliferation of prostitution and immoral conducts. On the issue of whether or not Bocaue municipality can prohibit the exercise of a lawful trade, the operation of night clubs, and the pursuit of a lawful occupation, such clubs employing hostesses, it was contended that the ordinance was tainted with nullity, the municipality being devoid of power to prohibit a lawful business, occupation or calling. The Supreme Court ruled that "municipal corporations cannot prohibit the operation of night clubs. They may be regulated, but not prevented from carrying on their business." The Supreme Court continued that if night clubs were merely then regulated and not prohibited, certainly the assailed ordinance would pass the test of validity.

¹⁴123 SCRA 569 (1983).

The Supreme Court had stressed reasonableness, consonant with the general powers and purposes of municipal corporations, as well as consistency with the laws or policy of the State. It cannot be said that such a sweeping exercise of a lawmaking power by Bocaue could qualify under the term reasonable. The objective of fostering public morals, a worthy and desirable end can be attained by a measure that does not encompass too wide a field. Certainly, the ordinance on its face is characterized by overbreadth. The purpose sought to be achieved could have been attained by reasonable restrictions rather than by an absolute prohibition. The admonition in *Salaveria* should be heeded: "The Judiciary should not lightly set aside legislative action when there is not a clear invasion of personal or property rights under the guise of police regulation." It is clear that in the guise of a police regulation, there was in this instance a clear invasion of personal or property rights, personal in the case of those individuals desirous of patronizing those night clubs and property in terms of the investments made and salaries to be earned by those therein employed.¹⁵

In *Lucena Grand Central Terminal, Inc. v. JAC Liner, Inc.*,¹⁶ the City of Lucena passed an ordinance closing the operation of terminals within the city. The *Sangguniang Panlungsod* of Lucena City had identified the cause of traffic congestion to be the indiscriminate loading and unloading of passengers by buses on the streets of the city proper, hence, the conclusion that the terminals contributed to the proliferation of buses obstructing traffic on the city streets. However, the Supreme Court ruled that terminals *per se* do not impede or help impede the flow of traffic. How the outright proscription against the existence of all terminals, apart from that franchised to petitioner therein, can be considered as reasonably necessary to solve the traffic problem, the Supreme Court has not been enlightened. It said that if terminals lack adequate space such that bus drivers are compelled to load and unload passengers on the streets instead of inside the terminals, then reasonable specifications for the size of terminals could be instituted, with permits to operate the same denied those which are unable to meet the specifications. In the subject ordinances, however, the scope of the proscription against the maintenance of terminals was so broad that even entities which might be able to provide facilities better than the franchised terminal are barred from operating at all.

¹⁵*De la Cruz v. Paras*, *supra* note 6.

¹⁶G.R. No. 148339, February 23, 2005.

Under Section 447(a)(3)(i) of the LGC of 1991, the *Sangguniang Panglungsod* is empowered to enact ordinances declaring, preventing or abating noise and other forms of nuisance. It bears stressing, however, that the *Sangguniang Bayan* cannot declare a particular thing as a nuisance *per se* and order its condemnation. It does not have the power to find, as a fact, that a particular thing is a nuisance when such thing is not a nuisance *per se*; nor can it authorize the extrajudicial condemnation and destruction of that as a nuisance which in its nature, situation or use is not such. Those things must be determined and resolved in the ordinary courts of law. If a thing be in fact, a nuisance due to the manner of its operation, that question cannot be determined by a mere resolution of the *Sangguniang Bayan*.¹⁷

As *parens patriae*, the State has the inherent right and duty to aid parents in the moral development of their children, and, thus, assumes a supporting role for parents to fulfill their parental obligations. In *Bellotti (Bellotti v. Baird)*, 443 U.S. 622; 99 S. Ct. 3035; 61 L. Ed. 2d 797 [1979] U.S. LEXIS 17), it was held that "[l]egal restriction on minors, especially those supportive of the parental role, may be important to the child's chances for the full growth and maturity that make eventual participation in a free society meaningful and rewarding. Under the Constitution, the State can properly conclude that parents and others, teachers for example, who have the primary responsibility for children's well-being are entitled to the support of the laws designed to aid discharge of that responsibility." *Curfew Ordinances*, therefore, are but examples of legal restrictions designed to aid parents in their role of promoting their children's well-being. These ordinances further compelling State interests (particularly, the promotion of juvenile safety and the prevention of juvenile crime), which necessarily entail limitations on the primary right of parents to rear their children. Minors, because of their peculiar vulnerability and lack of experience, are not only more exposed to potential physical harm by criminal elements that operate during the night; their moral well-being is likewise imperiled as minor children are prone to making detrimental decisions during this time. Likewise, Curfew Ordinances aimed at promoting juvenile safety and prevention of juvenile crime, inarguably serve the interest of public safety. The restriction on the minor's movement and activities within the

¹⁷*Estate of Francisco v. CA*, G.R. No. 91279, July 25, 1991; *AC Enterprises, Inc. v. Frabelle Properties Corp.*, G.R. No. 166744, November 2, 2006.

confines of their residences and their immediate vicinity during the curfew period is perceived to reduce the probability of the minor becoming victims of or getting involved in crimes and criminal activities. This was the pronouncement of the Supreme Court in the 2017 *Curfew Ordinances case*¹⁸ when certain curfew ordinances for minors were challenged on grounds, among others, that these ordinances violate (a) the natural and primary right of parents in the rearing of the youth and (b) the minors' right to travel.

2. Tests

There are two (2) tests that are usually applied to police power ordinances: (1) **Rational Relation Test** and the (2) **Strict Scrutiny Test**. Using the *rational basis examination*, laws or ordinances are upheld if they rationally further a legitimate governmental interest. Governmental interest is extensively examined and the availability of less restrictive measures is considered. Applying *strict scrutiny*, the focus is on the presence of compelling, rather than substantial, governmental interest and on the absence of less restrictive means for achieving that interest.¹⁹

In *Fernando v. St. Scholastica's College*,²⁰ the *Sangguniang Panlungsod* of Marikina City enacted Ordinance No. 192, entitled "*Regulating the Construction of Fences and Walls in the Municipality of Marikina*." It provided, among others, a standard height of fences or walls in the front yard of all properties for residential, commercial, industrial or special purposes to "no more than one (1) meter in height." Fences in excess of one (1) meter shall be of an "open fence type, at least eighty percent (80%) see-thru." The ordinance was passed to discourage, suppress or prevent the concealment of prohibited or unlawful acts inside private properties. In this case, the Supreme Court was not convinced that an 80% see-thru fence would provide better protection and a higher level of security, or serve as a more satisfactory criminal deterrent, than a tall solid concrete wall. It may even be argued that such exposed premises could entice and tempt would-be criminals to the property, and that a see-thru fence would be easier to bypass and breach. It was also ruled that requiring the exposure of the residents' property *via* a see-thru fence is violative of their right to privacy.

¹⁸Samahan ng mga Progresibong Kabataan v. Quezon City, G.R. No. 225442, August 8, 2017 (citations omitted).

¹⁹Fernando v. St. Scholastica's College, G.R. No. 161107, March 12, 2013.

²⁰G.R. No. 161107, March 12, 2013.

In an earlier case of *Ermita-Malate Hotel and Motel Operators Association, Inc. v. City Mayor of Manila*,²¹ the Supreme Court had, however, affirmed the validity of a mere regulatory ordinance that required the owner, manager, keeper or duly authorized representative of a hotel, motel, or lodging house to refrain from entertaining or accepting any guest or customer or letting any room or other quarter to any person or persons without his filling up the prescribed form in a lobby open to public view at all times and in his presence, wherein the surname, given name and middle name, the date of birth, the address, the occupation, the sex, the nationality, the length of stay and the number of companions in the room, if any, with the name, relationship, age and sex would be specified, with data furnished as to his residence certificate as well as his passport number, if any, coupled with a certification that a person signing such form has personally filled it up and affixed his signature in the presence of such owner, manager, keeper or duly authorized representative, with such registration forms and records kept and bound together.

However, in *White Light Corporation v. City of Manila*,²² the Supreme Court nullified another Manila City ordinance regulating operation of hotels, motels, pension houses and similar establishments as “overbreadth” (although, the Supreme Court has normally applied the overbreadth doctrine only in cases of transgression of right to free speech or inhibition to speech-related conduct). The case involved Manila City Ordinance No. 7774 that prohibits hotels, motels, pension houses, and similar establishments from offering short-time admission, as well as pro-rated or “wash up” rates for such abbreviated stays. The goal of the Ordinance was to minimize, if not eliminate, the use of the covered establishments for illicit sex, prostitution, drug use and alike. Characterizing the ordinance as overbreadth, and therefore void, the Supreme Court reiterated its ruling in an earlier case of *City of Manila v. Laguio, Jr.*,²³ where the Court affirmed the nullification of a city ordinance barring the operation of motels and inns, among other establishments, within the Ermita-Malate area. The Supreme Court observed that the behavior which the Ordinance sought to curtail was in fact already prohibited and could in fact be diminished simply by applying existing laws. Applying strict scrutiny doctrine, the Supreme Court said:

²¹G.R. No. L-24693, July 31, 1967.

²²G.R. No. 122846, January 20, 2009.

²³455 SCRA 308 (2005).

"Less intrusive measures such as curbing the proliferation of prostitutes and drug dealers through active police work would be more effective in easing the situation. So would the strict enforcement of existing laws and regulations penalizing prostitution and drug use. These measures, the Supreme Court continued, would have minimal intrusion on the businesses of the petitioners and other legitimate merchants. Further, it is apparent that the Ordinance can easily be circumvented by merely paying the whole day rate without any hindrance to those engaged in illicit activities. Moreover, drug dealers and prostitutes can in fact collect 'wash rates' from their clientele by charging their customers a portion of the rent for motel rooms and even apartments."²⁴

A local government's assessment of what may or may not promote the general welfare of its constituents is apparently not a political question that the local legislative body may exclusively decide. This must be so as the police power of local governments remains a delegated power, which must therefore be exercised only pursuant to the authority granted. Thus, in the twin *Social Justice cases*,²⁵ when the City of Manila barred the continued operation of oil companies in certain identifiable areas in the City of Manila, the Supreme Court still affirmed the right of the people to life over the property rights of oil companies even when the City of Manila later on changes its policy in favor of business. The Supreme Court ruled, thus:

As a result of the zoning, the continued operation of the businesses of the oil companies in their present location will no longer be permitted. The power to establish zones for industrial, commercial and residential uses is derived from the police power itself and is exercised for the protection and benefit of the residents of a locality... The depot is perceived, rightly or wrongly, as a representation of western interests which means that it is a terrorist target. As long as it there is such a target in their midst, the residents of Manila are not safe. It therefore became necessary to remove these terminals to dissipate the threat. **The people's Right to life prevails over petroleum companies Right to Property.**²⁶

²⁴White Light Corporation v. City of Manila, *supra* note 20.

²⁵Social Justice Society v. Atienza, Jr., G.R. No. 156052, February 13, 2008; Social Justice Society Officers v. Lim, G.R. Nos. 187836 and 187916, November 25, 2014.

²⁶*Ibid.*

Interpretation of General Welfare Ordinances**1. Liberal Interpretation**

While local police power is a delegated power, the general welfare clause must however be interpreted liberally. Thus, Section 5(c) of the LGC explicitly mandates that the general welfare provisions of the LGC “shall be liberally interpreted to give more powers to the local government units in accelerating economic development and upgrading the quality of life for the people of the community.”²⁷

2. Presumption of Constitutionality

Like statutes, general welfare ordinances enjoy the presumption of constitutionality. To overthrow this presumption, there must be a clear and unequivocal breach of the Constitution, not merely a doubtful or argumentative contradiction. In short, the conflict with the Constitution must be shown beyond reasonable doubt. Where doubt exists, even if well-founded, there can be no finding of unconstitutionality. To doubt is to sustain.²⁸

Indeed, ordinances, like laws, enjoy a presumption of validity. However, this presumption may be rendered naught by a clear demonstration that the ordinance is irreconcilable with a constitutional or legal provision, that it runs afoul of morality or settled public policy, that it prohibits trade, or that it is oppressive, discriminatory, or unreasonable. Thus, unless invalidity or unreasonableness is ostensibly apparent, one seeking a judicial declaration of the invalidity of an ordinance is duty-bound to adduce evidence that is convincingly indicative of its infirmities or defects. Courts must exercise the highest degree of circumspection when called upon to strike down an ordinance; for, to invalidate legislation on baseless suppositions would be, to borrow the words of a former Chief Justice, “an affront to the wisdom not only of the legislature that passed it, but also of the executive that approved it.”²⁹

Invariably described as “the most essential, insistent, and illimitable of powers” and “in a sense, the greatest and most powerful attribute of government, the exercise of the power may be judicially inquired into and corrected only if it is capricious, “whimsical,

²⁷Tano v. Socrates, G.R. No. 119249, August 21, 1997.

²⁸*Ibid.*

²⁹City of Cagayan De Oro v. Cagayan Electric Power and Light Co., Inc., G.R. No. 224825, October 17, 2018 (citations omitted).

unjust or unreasonable, there having been a denial of due process or a violation of any other applicable constitutional guarantee.³⁰ Thus, while non-impairment of contracts is constitutionally guaranteed, the rule is not absolute, since it has to be reconciled with the legitimate exercise of police power, *i.e.*, “the power to prescribe regulations to promote the health, morals, peace, education, good order or safety and general welfare of the people. Police power legislation then is not likely to succumb to the challenge that thereby contractual rights are rendered nugatory.”³¹

The rule on presumption of constitutionality in favor of ordinances, of course, does not apply in regulations affecting or restricting most fundamental rights or high-value or preferred freedoms (*e.g.*, freedom of expression) as the Strict Scrutiny Doctrine burdens the State instead to establish that there is a compelling state interest that would justify the restriction of these freedoms, as illustrated in *Fernando v. St. Scholastica's College* case cited above. This is especially true in content-based regulations restricting freedom of expression. The burden is shifted to the State in these cases involving preferred freedoms.

Police power had also been described as “elastic and must be responsive to various social conditions; it is not, confined within narrow circumscriptions of precedents resting on past conditions; it must follow the legal progress of a democratic way of life.”³²

In *Zoomzat, Inc. v. People*,³³ the *Sangguniang Panlungsod* of Gingoog City passed Resolution No. 261 which resolved “to express the willingness of the City of Gingoog to allow Zoomzat to install and operate a cable TV system.” Later, respondents enacted Ordinance No. 19 which granted a franchise to Gingoog Spacelink Cable TV, Inc. to operate a cable television for a period of 10 years, subject to automatic renewal. Nullifying Ordinance No. 19, the Supreme Court ruled that there was no law specifically authorizing the LGUs to grant franchises to operate CATV system as whatever authority the LGUs had before, the same had been withdrawn when President Marcos issued Presidential Decree No. 1512 “terminating all franchises, permits or certificates for the operation of CATV

³⁰*Ortigas v. Feati Bank*, 94 SCRA 533 (1979).

³¹*Ibid.*

³²*Philippine Long Distance Telephone Company v. City of Davao, et al.*, L-23080, October 20, 1965, 15 SCRA 244, 247-248.

³³G.R. No. 135535, February 14, 2005.

system previously granted by local governments.” Today, pursuant to Section 3 of Executive Order No. 436 NTC has that power. The Supreme Court ruled:

“It is clear that in the absence of constitutional or legislative authorization, municipalities have no power to grant franchises. Consequently, the protection of the constitutional provision as to impairment of the obligation of a contract does not extend to privileges, franchises and grants given by a municipality in excess of its powers, or *ultra vires*.

There is no dispute that respondent Sangguniang Panlungsod, like other local legislative bodies, has been empowered to enact ordinances and approve resolutions under the general welfare clause of B.P. Blg. 337, the Local Government Code of 1983. That it continues to possess such power is clear under the new law, R.A. No. 7160 (The Local Government Code of 1991).

Indeed, under the general welfare clause of the Local Government Code, the local government unit can regulate the operation of cable television but only when it encroaches on public properties, such as the use of public streets, rights of ways, the founding of structures, and the parceling of large regions. Beyond these parameters, its acts, such as the grant of the franchise to Spacelink, would be *ultra vires*.”

In *Tan v. Pereña*,³⁴ one of the issues there was whether or not the Local Government Code has rendered inoperative the Cockfighting Law. The Supreme Court said that while the Local Government Code expressly repealed several laws, the Cockfighting Law was not among them. It observed that Section 534(f) of the Local Government Code declares that all general and special laws or decrees inconsistent with the Code are hereby repealed or modified accordingly, but such clause is not an express repealing clause because it fails to identify or designate the acts that are intended to be repealed.

Indeed, it is a cardinal rule in statutory construction that implied repeals are disfavored and will not be so declared unless the intent of the legislators is manifest. As laws are presumed to be passed with deliberation and with knowledge of all existing ones

³⁴G.R. No. 149743, February 18, 2005.

on the subject, it is logical to conclude that in passing a statute it is not intended to interfere with or abrogate a former law relating to the same subject matter, unless the repugnancy between the two (2) is not only irreconcilable but also clear and convincing as a result of the language used, or unless the latter Act fully embraces the subject matter of the earlier.³⁵

Certainly, applying the test of implied repeal, these two provisions can stand together. While the *sanggunian* retains the power to authorize and license the establishment, operation, and maintenance of cockpits, its discretion is limited in that it cannot authorize more than one cockpit per city or municipality, unless such cities or municipalities have a population of over one hundred thousand, in which case two cockpits may be established. Considering that Section 447(a)(3)(v) speaks essentially of the identity of the wielder of the power of control and supervision over cockpit operation, it is not inconsistent with previous enactments that impose restrictions on how such power may be exercised. In short, there is no dichotomy between affirming the power and subjecting it to limitations at the same time.³⁶

Perhaps more essential than the fact that the two (2) controverted provisions are not inconsistent when put together, the Supreme Court recognized that Section 5(d) of the Cockfighting Law arises from a valid exercise of police power by the national government. Local governments are similarly empowered under Section 16 of the Code. The national government ought to be attuned to the sensitivities of devolution and strive to be sparing in usurping the prerogatives of local governments to regulate the general welfare of their constituents. The Supreme Court acknowledged the ability of the national government to implement police power measures that affect the subjects of municipal government, especially if the subject of regulation is a condition of universal character irrespective of territorial jurisdictions. Cockfighting is one such condition. It was observed that it is a traditionally regulated activity, due to the attendant gambling involved or maybe even the fact that it essentially consists of two (2) birds killing each other for public amusement.³⁷

³⁵Tan v. Pereña, *supra*.

³⁶*Ibid*.

³⁷*Ibid*.

Local Police Power and *Mandamus*

The exercise of local police power is discretionary in nature and cannot be compelled by *mandamus*. This was the ruling of the Supreme Court in *Laygo v. Municipal Mayor of Solano*³⁸ where it was said that the privilege of operating a market stall under license is always subject to the police power of the city government and may be refused or granted for reasons of public policy and sound public administration. Being a delegated police power falling under the general welfare clause of Section 16 of the LGC of 1991, the grant or revocation of the privilege is, therefore, discretionary in nature. This rule should not, however, be confused with the twin *Social Justice Society* cases mentioned earlier where the decision of local government of the City of Manila concerning its exercise of police power (zoning ordinance) was subordinated by a paramount interest of the right to life of its own people.

The exercise of the power to issue business permit is a delegated police power and hence, discretionary in nature. A mayor cannot, therefore, be compelled by *mandamus* to issue a business permit. This was the pronouncement of the Supreme Court in *Roble Arrastre, Inc. v. Hon. Villaflor*³⁹ and *Rimando v. Naguilian Emission Testing Center, Inc.*⁴⁰ where a determination was made on the nature of the power of a mayor to grant business permits under the Local Government Code. It would be important, however, to consider The Anti-Red Tape Act of 2007 (R.A. 9485) particularly in Section 9 thereof, which provides that “the permit, license or authority shall be automatically extended when its application and/or request for renewal is not acted upon by the government agency concerned within the prescribed period of five (5) days (for simple transaction) or 10 days (for complex transaction) until a decision or resolution is rendered on the application or renewal.” While this law grants automatic extension of permits or licenses when applications thereof have not yet been acted upon, this does not, however, change the fact that the grant of such permits or licenses is still discretionary on the part of the local government concerned.

³⁸G.R. No. 188448, January 11, 2017.

³⁹531 Phil. 30 (2006).

⁴⁰G.R. No. 198860, July 23, 2012.

Territorial Limitations

The corporation boundaries usually mark the limit for the exercise of the police power of the municipality.⁴¹ But in many instances, for the preservation of the public health especially, the municipality is granted police power beyond its boundaries.⁴² Thus, it has been held that the municipality may exercise police power in the protection of the territory... to insure cleanliness, and prevent any business and conduct likely to corrupt the fountain of water supply for the city.⁴³ The same principle was applied in a case allowing a municipal corporation to establish a quarantine beyond municipal boundaries and thus protect the citizens from epidemic of any contagious or infectious disease.⁴⁴

⁴¹*Gass v. Corporation of Greenville*, 36 Tenn. (4 Sneed) 62, cited in Roger W. Cooley, *supra*.

⁴²*Chicago Packing and Provision Co. v. City of Chicago*, 88 Ill. 221, 30 Am. Rep. 545.

⁴³*Dunham v. City of New Britain*, 55 Conn. 378, 11 Atl. 354; *People v. Borda*, 105 Cal. 636, 38 Pac. 1110, cited in Roger W. Cooley, *supra*.

⁴⁴*Thomas v. Town of Mason*, 39 W. Va. 526, 20 S.E. 580, 26 L.R.A. 727, cited in Roger W. Cooley, *supra*.

Chapter 11

LOCAL EMINENT DOMAIN

Scope

Eminent domain is the right or power of a sovereign state to appropriate private property to particular uses to promote public welfare. It is an indispensable attribute of sovereignty; a power grounded in the primary duty of government to serve the common need and advance the general welfare. Thus, the right of eminent domain appertains to every independent government without the necessity for constitutional recognition.¹

The power of eminent domain is essentially legislative in nature. It is firmly settled, however, that such power may be validly delegated to local government units, other public entities and public utilities, although the scope of this delegated legislative power is necessarily narrower than that of the delegating authority and may only be exercised in strict compliance with the terms of the delegating law.² Thus, it had been held that despite the existence of this legislative grant in favor of local governments, it is still the duty of the courts to determine whether the power of eminent domain is being exercised in accordance with the delegating law. In fact, the courts have adopted a more censorious attitude in resolving questions involving the proper exercise of this delegated power by local bodies, as compared to instances when it is directly exercised by the national legislature.³

¹Heirs of Alberto Suguitan v. City of Mandaluyong, G.R. No. 135087, March 14, 2000, citing *Jeffress v. Town of Greenville*, 70 S.E. 919, 921, 154 N.C. 490, cited in *Words and Phrases*, Vol. 14, p. 469 (1952); *Ryan v. Housing Authority of City of Newark*, 15 A.2d 647, 650, 125 N.J.L. 336; *Schrader v. Third Judicial Dist. Court in and for Eureka County*, 73 P. 2d 493, 495, 58 Nev. 188.

²*City of Manila v. Chinese Community of Manila*, G.R. No. 14355, October 31, 1919, also cited in *Heirs of Alberto Suguitan v. City of Mandaluyong*, *supra*.

³*Heirs of Alberto Suguitan v. City of Mandaluyong*, *supra* note 1.

Indeed, the right of expropriation is not an inherent power in a municipal corporation, and before it can exercise the right some law must exist conferring the power upon it. When the courts come to determine the question, they must not only find (a) that a law or authority exists for the exercise of the right of eminent domain, but (b) also that the right or authority is being exercised in accordance with the law.⁴ Strictly speaking, therefore, the power of eminent domain delegated to an LGU is in reality not eminent but “inferior” since it must conform to the limits imposed by the delegation and thus partakes only of a share in eminent domain.⁵ The national legislature is still the principal of the LGUs and the latter cannot go against the principal’s will or modify the same.⁶

Requisites

In addition to the general requirements on necessity, private property, taking, public use, just compensation and due process, Section 19 of the Local Government Code spells out the specific requirements in Local Eminent Domain, thus:

“A local government unit may, through its chief executive and acting pursuant to an ordinance, exercise the power of eminent domain for public use, or purpose, or welfare for the benefit of the poor and the landless, upon payment of just compensation, pursuant to the provisions of the Constitution and pertinent laws: *Provided, however,* That the power of eminent domain may not be exercised unless a valid and definite offer has been previously made to the owner, and such offer was not accepted: *Provided, further,* That the local government unit may immediately take possession of the property upon the filing of the expropriation proceedings and upon making a deposit with the proper court of at least fifteen percent (15%) of the fair market value of the property based on the current tax declaration of the property to be expropriated: *Provided, finally,* That, the amount to be paid for the expropriated property shall be determined by the proper court, based on the fair market value at the time of the taking of the property.”

⁴City of Manila v. Chinese Community of Manila, *supra* note 2.

⁵Municipality of Parañaque v. V.M. Realty Corporation, 292 SCRA 676, July 20, 1998.

⁶Beluso v. Municipality of Panay (Capiz), G.R. No. 153974, August 7, 2006.

As can be gleaned from the above provision, the specific requirements for local eminent domain are:

- a. It is exercised through its chief executive and acting pursuant to an ordinance;
- b. It is for public use, or purpose, or welfare for the benefit of the poor and the landless;
- c. Payment of just compensation, pursuant to the provisions of the Constitution and pertinent laws; and
- d. A valid and definite offer has been previously made to the owner, and such offer was not accepted.⁷

1. Exercised through its Chief Executive and Acting Pursuant to an Ordinance

In *Municipality of Parañaque v. V.M. Realty Corporation*,⁸ where a mere resolution was passed authorizing the local chief executive to initiate an expropriation proceeding, the Supreme Court ruled that the Local Government Code of 1991, which was the law already applicable, specifically requires “ordinance,” such that a mere “resolution” will not suffice. Brushing aside the contention that the passed resolution had the same force and effect of an ordinance required of the LGC of 1991, the Supreme Court said that there is a difference between an ordinance and a resolution in that the former has the force and effect of laws while the latter is merely an expression of the sentiment of the local legislative body. Further, as observed by the Supreme Court, an ordinance takes effect after three (3) readings while a mere resolution can take effect after two (2) readings only.

However, mere form should not affect the validity of the action of the council if its adoption be attended by all the solemnities which the law requires in the case of an act complying with the prescribed form. A resolution concerning a subject which is inherently legislative in its character and for which an ordinance is required, will, if adopted with all the formalities required in the case of an ordinance, be regarded as an ordinance and given effect accordingly. The substance, and not the form, of the corporate act

⁷*Ibid.*

⁸*Ibid.*

is what governs.⁹ But if the charter requires the act to be done by ordinance, a resolution cannot receive effect as an ordinance if it is not affirmatively established that it was passed with all the formalities and published in the same manner as an ordinance.¹⁰

It was, however, also stated that when the statute requires that an act of a municipality be done in the form of an ordinance, or if such requirement is implied by necessary or clear inference, the act can only be done in that form, or perhaps its legal equivalent, and a resolution, especially if not adopted with all the formalities of an ordinance, is not sufficient.¹¹

The ordinance authorizing the local chief executive to initiate expropriation proceeding cannot be set aside by the reviewing *Sanggunian* because such authority is limited only to determining whether or not the component *Sanggunian's* exercise of power, through the ordinance, is "*ultra vires*." The power of eminent domain is explicitly granted to a local government unit by law and cannot therefore be *ultra vires*. Thus, in *Moday v. Court of Appeals*,¹² the Supreme Court ruled that the *Sangguniang Panlalawigan's* disapproval of Municipal Resolution No. 43-89 is an infirm action which does not render said resolution null and void. The law, as expressed in Section 153 of Batas Pambansa Blg. 337, grants the *Sangguniang Panlalawigan* the power to declare a municipal resolution invalid on the sole ground that it is beyond the power of the *Sangguniang Bayan* or the Mayor to issue.

2. For Public Use, or Purpose, or Welfare for the Benefit of the Poor and the Landless

Traditionally, the concept of "*public use*" was limited to uses that are readily available to any member of the community like in the case of a public road, bridge, or public plaza. This concept of "*public use*," however, had already been expanded to mean "promotion of the general welfare." Thus, while the conversion of a slum area into a model housing community would directly benefit only those fortunate enough to acquire dwellings in the home site,

⁹John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), page 895, citing *Alma v. Guaranty Sav. Bank*, 60 Fed. Rep. 203.

¹⁰John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), page 896.

¹¹John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), pages 896-897, citing *Nat. Bank of Commerce v. Grenada*, 44 Fed. Rep. 262.

¹²G.R. No. 107916, February 20, 1997.

nevertheless, the people as a whole would profit indirectly from the elimination of many problems engendered in the slums, such as fire hazards, lack of proper sanitation, ugliness, disease, and the adverse effects of these sub-human conditions in the place upon the slum-dwellers in general. Slum clearance is therefore now regarded as a valid object of expropriation under the modern expanded interpretation of public use.¹³

Under the Implementing Rules of the Local Government Code of 1991, the following shall, among others, be considered as public use, purpose, or welfare:

- (a) Socialized housing;
- (b) Construction or extension of roads, streets, sidewalks, viaducts, bridges, ferries, levees, wharves, or piers;
- (c) Construction or improvement of public buildings;
- (d) Establishment of parks, playgrounds, or plazas;
- (e) Establishment of market places;
- (f) Construction of artesian wells or water supply systems;
- (g) Establishment of cemeteries or crematories;
- (h) Establishment of drainage systems, cesspools, or sewerage systems;
- (i) Construction of irrigation canals or dams;
- (j) Establishment of nurseries, health centers, or hospitals;
- (k) Establishment of abattoirs; and
- (l) Building of research, breeding, or dispersal centers for animals.¹⁴

In acquiring private property for public use or purpose, LGU shall first establish the suitability of the property to be acquired for the use intended, then proceed to obtain from the proper authorities the necessary locational clearance and other requirements imposed under existing laws, rules and regulations.¹⁵

¹³Isagani Cruz (2003), citing *Murray v. La Guardia*, 52 N.E. 884.

¹⁴Sec. 33, Rules and Regulations Implementing the LGC of 1991.

¹⁵Sec. 34, Rules and Regulations Implementing the LGC of 1991.

Where the taking by the State of private property is done for the benefit of a small community which seeks to have its own sports and recreational facility, notwithstanding that there is such a recreational facility only a short distance away, such taking cannot be considered to be for public use. Its expropriation is not valid. In this case, the Court defines what constitutes a genuine necessity for public use. This is the ruling of the Supreme Court in *Lourdes de la Paz Masikip v. City of Pasig*.¹⁶ There, the Supreme Court pronounced thus:

"The power of eminent domain is lodged in the legislative branch of the government. It delegates the exercise thereof to local government units, other public entities and public utility corporations, subject only to Constitutional limitations. Local governments have no inherent power of eminent domain and may exercise it only when expressly authorized by statute.

Judicial review of the exercise of eminent domain is limited to the following areas of concern: (a) the adequacy of the compensation, (b) the necessity of the taking, and (c) the public use character of the purpose of the taking.

The right to take private property for public purposes necessarily originates from "the necessity" and the taking must be limited to such necessity. In *City of Manila v. Chinese Community of Manila*, we held that the very foundation of the right to exercise eminent domain is a genuine necessity and that necessity must be of a public character. Moreover, the ascertainment of the necessity must precede or accompany and not follow, the taking of the land. In *City of Manila v. Arellano Law College*, we ruled that "necessity within the rule that the particular property to be expropriated must be necessary, does not mean an absolute but only a reasonable or practical necessity, such as would combine the greatest benefit to the public with the least inconvenience and expense to the condemning party and the property owner consistent with such benefit."

The taking of a private land in expropriation proceedings is always conditioned on its continued devotion to its public purpose. As a necessary corollary, once the purpose is terminated or peremptorily abandoned, then the former owner, if he so desires, may seek its reversion, subject of course to the return, at the very least, of the just compensation received. If the genuine public

¹⁶G.R. No. 136349, January 23, 2006.

necessity of expropriation of a private land ceases or disappears, then there is no more cogent point for the government's retention of the expropriated land. The same legal situation should hold if the government devotes the property to another public use very much different from the original or deviates from the declared purpose to benefit another private person.¹⁷

Reversing the 1921 *Fery v. Municipality of Cabanatuan case*, the Supreme Court ruled in *MCIAA v. Lozada, Sr.*¹⁸ that the expropriator should commit to use the property pursuant to the purpose stated in the petition for expropriation filed, failing which, it should file another petition for the new purpose. If not, it is then incumbent upon the expropriator to return the said property to its private owner, if the latter desires to reacquire the same. The 1921 *Fery v. Municipality of Cabanatuan case* had been the basis for the rule that when the land has been acquired for public use in fee simple, unconditionally, either by the exercise of eminent domain or by purchase, the former owner retains no right in the land, and the public use may be abandoned, or the land may be devoted to a different use, without any impairment of the estate or title acquired, or any reversion to the former owner.¹⁹ In *MCIAA v. Lozada, Sr. case*, the Supreme Court justified its reversal of the *Fery doctrine* as follows:

“On this note, we take this opportunity to revisit our ruling in *Fery*, which involved an expropriation suit commenced upon parcels of land to be used as a site for a public market. Instead of putting up a public market, respondent Cabanatuan constructed residential houses for lease on the area. Claiming that the municipality lost its right to the property taken since it did not pursue its public purpose, petitioner Juan Fery, the former owner of the lots expropriated, sought to recover his properties. However, as he had admitted that, in 1915, respondent Cabanatuan acquired a fee simple title to the lands in question, judgment was rendered in favor of the municipality, following American jurisprudence, particularly *City of Fort Wayne v. Lake Shore & M.S. RY. Co.*, *McConihay v. Theodore Wright*, and *Reichling v. Covington Lumber Co.*, all uniformly

¹⁷Anunciacion *Vda. de Ouano v. Republic*, G.R. No. 168770, February 9, 2011.

¹⁸G.R. No. 176625, February 25, 2010.

¹⁹42 Phil. 28 (1921).

holding that the transfer to a third party of the expropriated real property, which necessarily resulted in the abandonment of the particular public purpose for which the property was taken, is not a ground for the recovery of the same by its previous owner, the title of the expropriating agency being one of fee simple.

Obviously, *Fery* was not decided pursuant to our now sacredly held constitutional right that private property shall not be taken for public use without just compensation. It is well settled that the taking of private property by the Government's power of eminent domain is subject to two mandatory requirements: (1) that it is for a particular public purpose; and (2) that just compensation be paid to the property owner. These requirements partake of the nature of implied conditions that should be complied with to enable the condemnor to keep the property expropriated.

More particularly, with respect to the element of public use, the expropriator should commit to use the property pursuant to the purpose stated in the petition for expropriation filed, failing which, it should file another petition for the new purpose. If not, it is then incumbent upon the expropriator to return the said property to its private owner, if the latter desires to reacquire the same. Otherwise, the judgment of expropriation suffers an intrinsic flaw, as it would lack one indispensable element for the proper exercise of the power of eminent domain, namely, the particular public purpose for which the property will be devoted. Accordingly, the private property owner would be denied due process of law, and the judgment would violate the property owner's right to justice, fairness, and equity.

In light of these premises, we now expressly hold that the taking of private property, consequent to the Government's exercise of its power of eminent domain, is always subject to the condition that the property be devoted to the specific public purpose for which it was taken. Corollarily, if this particular purpose or intent is not initiated or not at all pursued, and is peremptorily abandoned, then the former owners, if they so desire, may seek the reversion of the property, subject to the return of the amount of just compensation received. In such a case, the exercise of the power of eminent domain has become improper for lack of the required factual justification."²⁰

²⁰*Mactan-Cebu International Airport Authority v. Lozada, Sr.*, G.R. No. 176625, February 25, 2010, citations omitted.

The 2010 *MCIAA v. Lozada, Sr. case* was further affirmed in the 2011 *Ouano v. Republic*,²¹ 2015 *Republic v. Borbon*²² and 2016 *Republic v. Roque*²³ cases.

The public purpose requirement, however, need not be proven or established first before the local government can take immediate possession of the property upon deposit of 15% of the fair market value of the property. In the case of *Francia v. Meycauayan*,²⁴ the property owner questioned the authority of the expropriating local government to take immediate possession of his property that was subjected to an expropriation proceeding on the ground that the public purpose of the expropriation has not yet been determined. The Supreme Court said:

“Before a local government unit may enter into the possession of the property sought to be expropriated, it must (1) file a complaint for expropriation sufficient in form and substance in the proper court and (2) deposit with the said court at least 15% of the property’s fair market value based on its current tax declaration. **The law does not make the determination of a public purpose a condition precedent to the issuance of a writ of possession.**” (Emphasis supplied)

If the expropriation is for a national government infrastructure project, it is governed by Republic Act No. 8974. Unlike in local expropriation where only a deposit of 15% of the property’s fair market value is required to allow the expropriator to take immediate possession of the property, among the requirements for authorizing the national government’s immediate entry in expropriation proceedings is the payment of 100% of the property’s value based on the current Bureau of Internal Revenue zonal valuation.²⁵

3. Payment of Just Compensation

Section 9, Article II of the 1987 Constitution provides that “no private property shall be taken for public use without payment of just compensation.” “Just compensation” is described as a full and fair equivalent of the property taken from the private owner

²¹*Supra* note 17.

²²G.R. No. 165354, January 12, 2015.

²³G.R. No. 203610, October 10, 2016 (citing *Ouano v. Republic*, *supra* note 17).

²⁴G.R. No. 170432, March 24, 2008.

²⁵*City Government of Valenzuela v. Spouses Abacan*, G.R. No. 211231 (Notice), April 3, 2019.

by the expropriator. This is to indemnify the owner for the loss he has sustained as a result of the expropriation.²⁶ Where only a portion of the private property is expropriated, the owner is entitled to a just compensation on the basis of the fair market value of the property plus consequential damages less consequential benefits. The consequential benefits, however, shall in no case exceed the consequential damages because the fair market value of the property must be given at all times.

The concept of "*fair market value*" also presupposes that it shall be paid within a reasonable time or it is no fair market value at all. To give teeth to the requirement that payment of the just compensation should be made within a reasonable time, the Supreme Court had in fact interpreted this to mean that the expropriator must pay the property owner just compensation within five (5) years from the finality of the judgment in the expropriation proceeding. In the case of *Republic v. Lim*,²⁷ the Supreme Court even mandated that "*the landowner is entitled to recover possession of the property expropriated if the government fails to fully pay just compensation to the owner within a period of five (5) years from the finality of the judgment in an expropriation proceeding.*"

The amount to be paid for the expropriated property shall be determined by the proper court, based on the fair market value at the time of the taking of the property.²⁸ While Section 4 of Rule 67 of the Rules of Court provides that just compensation shall be determined at the time of the filing of the complaint for expropriation, such rule cannot prevail over Republic Act No. 7160, which is a substantive law.²⁹

4. A Valid and Definite Offer has been Previously Made to the Owner, and such Offer was not Accepted

As required, the local government must first make an offer to buy the private property before it can legally initiate an expropriation proceeding so that if the owner of the property agrees to sell it, the local government need not expropriate the property. The offer to buy private property for public use or purpose shall be

²⁶Isagani Cruz (2003).

²⁷G.R. No. 161656, June 29, 2005.

²⁸Sec. 37, Rules and Regulations Implementing the LGC of 1991.

²⁹City of Cebu v. Dedamo, G.R. No. 142971, May 7, 2002.

in writing. It shall specify the property sought to be acquired, the reasons for its acquisition, and the price offered. If the owner or owners accept the offer in its entirety, a contract of sale shall be executed and payment forthwith made. If the owner or owners are willing to sell their property but at a price higher than that offered to them, the local chief executive shall call them to a conference for the purpose of reaching an agreement on the selling price. The chairman of the appropriation or finance committee of the *sanggunian*, or in his absence, any member of the *sanggunian* duly chosen as its representative, shall participate in the conference. When an agreement is reached by the parties, a contract of sale shall be drawn and executed.³⁰

It is incumbent upon the condemnor to exhaust all reasonable efforts to obtain the land it desires by agreement. Failure to prove compliance with the mandatory requirement will result in the dismissal of the complaint. The offer must be complete, indicating with sufficient clearness the kind of contract intended and definitely stating the essential conditions of the proposed contract. An offer would require, among other things, a clear certainty on both the object and the cause or consideration of the envisioned contract. A reasonable offer in good faith, not merely perfunctory or *pro forma* offer, to acquire the property for a reasonable price must be made to the owner or his privy. A single *bona fide* offer that is rejected by the owner will suffice. The expropriating authority is burdened to make known its definite and valid offer to all the owners of the property. However, it has a right to rely on what appears in the certificate of title covering the land to be expropriated. Hence, it is required to make its offer only to the registered owners of the property. After all, it is well-settled that persons dealing with property covered by a Torrens certificate of title are not required to go beyond what appears on its face.³¹

If the LGU fails to acquire a private property for public use, purpose, or welfare through purchase, LGU may expropriate said property through an ordinance of the *sanggunian* authorizing its chief executive to initiate expropriation proceedings. The local chief executive shall cause the provincial, city, or municipal attorney concerned or, in his absence, the provincial or city prosecutor, to file

³⁰Sec. 35, Rules and Regulations Implementing the LGC of 1991.

³¹*Jesus is Lord Christian School Foundation, Inc. v. Municipality (now City) of Pasig*, G.R. No. 152230, August 9, 2005.

expropriation proceedings in the proper court in accordance with the Rules of Court and other pertinent laws. The LGU may immediately take possession of the property upon the filing of expropriation proceedings and upon making a deposit with the proper court of at least 15% of the fair market value of the property based on the current tax declaration of the property to be expropriated.³²

The Local Government Code does not require that local government units must first secure the approval of the Department of Agrarian Reform (DAR) for conversion of lands from agricultural to non-agricultural before they can institute expropriation proceeding. Neither does the CARL provide that the power of the local government unit to expropriate agricultural lands is subject to the control of the DAR. Besides, determination of public use is "legislative," not "executive" (*e.g.*, thru the DAR).³³

Expropriation for Urban Land Reform and Housing

In expropriation of private properties for purposes of urban land reform and housing, however, additional legal requirements must be observed. The governing law that deals with the subject of expropriation for purposes of urban land reform and housing is Republic Act No. 7279 (Urban Development and Housing Act of 1992) and Sections 9 and 10 of which specifically provide as follows:

"Sec. 9. *Priorities in the acquisition of Land.* — Lands for socialized housing shall be acquired in the following order:

(a) Those owned by the Government or any of its subdivisions, instrumentalities, or agencies, including government-owned or -controlled corporations and their subsidiaries;

(b) Alienable lands of the public domain;

(c) Unregistered or abandoned and idle lands;

(d) Those within the declared Areas for Priority Development, Zonal Improvement sites, and Slum Improvement and Resettlement Program sites which have not yet been acquired;

(e) Bagong Lipunan Improvement of Sites and Services or BLISS sites which have not yet been acquired; and

³²Sec. 36, Rules and Regulations Implementing the LGC of 1991.

³³See *Province of Camarines Sur v. CA*, 222 SCRA 173 (1993).

(f) Privately-owned lands.

Where on-site development is found more practicable and advantageous to the beneficiaries, the priorities mentioned in this section shall not apply. The local government units shall give budgetary priority to on-site development of government lands.”

“Sec. 10. *Modes of Land Acquisition.* — The modes of acquiring lands for purposes of this Act shall include, among others, community mortgage, land swapping, land assembly or consolidation, land banking, donation to the Government, joint-venture agreement, negotiated purchase, and expropriation: *Provided, however,* That expropriation shall be resorted to only when other modes of acquisition have been exhausted: *Provided, further,* That where expropriation is resorted to, parcels of land owned by small property owners shall be exempted for purposes of this Act: *Provided, finally,* That abandoned property, as herein defined, shall be reverted and escheated to the State in a proceeding analogous to the procedure laid down in Rule 91 of the Rules of Court.

For the purpose of socialized housing, government-owned and foreclosed properties shall be acquired by the local government units, or by the National Housing Authority primary through negotiated purchase: *Provided,* That qualified beneficiaries who are actual occupants of the land shall be given the right of first refusal.”

It bears stressing that courts have a duty to judiciously scrutinize and determine whether the local government’s exercise of the delegated power of eminent domain is in accordance with the delegating law.³⁴ Bare allegations and unsupported generalizations do not suffice, considering the drastic effect of the exercise of such power to constitutionally-protected rights. In the case of *Estate or Heirs of the Late Ex-Justice Jose B.L. Reyes v. City of Manila*³⁵ and in the 2019 case of *City of Manila v. Prieto*³⁶ the Supreme Court emphatically ruled that the above-quoted provisions (Sections 9 and 10 of R.A. 7279) are **strict limitations** on the exercise of the power of eminent domain by local government units, especially with respect to: (1) the order of priority in acquiring land for socialized housing; and (2) the resort to expropriation proceedings as a means

³⁴Beluso v. Municipality of Panay (Capiz), 529 Phil. 773 (2006).

³⁵467 Phil. 165 (2004).

³⁶G.R. No. 221366, July 8, 2019.

of acquiring it. Compliance with these conditions is **mandatory** because these are the only safeguards of oftentimes helpless owners of private property against what may be a tyrannical violation of due process when their property is forcibly taken from them allegedly for public use.³⁷

³⁷*Ibid.*

Chapter 12

POWER TO RECLASSIFY LANDS

Requisites

A city or municipality may, through an ordinance passed by the *sanggunian* after conducting public hearings for the purpose, authorize the reclassification of agricultural lands and provide for the manner of their utilization or disposition (1) when the land ceases to be economically feasible and sound for agricultural purposes as determined by the Department of Agriculture or (2) where the land shall have substantially greater economic value for residential, commercial, or industrial purposes, as determined by the *sanggunian* concerned.

Limitations

However, such reclassification shall be limited to the following percentage of the total agricultural land area at the time of the passage of the ordinance:

- (1) For highly urbanized and independent component cities, 15%;
- (2) For component cities and first to third class municipalities, 10%; and
- (3) For fourth to sixth class municipalities, 5%: *Provided, further, That agricultural lands distributed to agrarian reform beneficiaries pursuant to Republic Act No. 6657, otherwise known as "The Comprehensive Agrarian Reform Law," shall not be affected by the said reclassification and the conversion of such lands into other purposes shall be governed by Section 65 of said Act.*

The President may, when public interest so requires and upon recommendation of the National Economic and Development Authority, authorize a city or municipality to reclassify lands in excess of the limits set forth above.

The local government units shall, in conformity with existing laws, continue to prepare their respective comprehensive land use plans enacted through zoning ordinances which shall be the primary and dominant bases for the future use of land resources, provided that the requirements for food production, human settlements, and industrial expansion shall be taken into consideration in the preparation of such plans. Where approval by a national agency is required for reclassification, such approval shall not be unreasonably withheld. Failure to act on a proper and complete application for reclassification within three (3) months from receipt of the same shall be deemed as approval thereof.¹

It is not the tax declaration that governs, but the “use,” of the property that is relevant for purposes of zoning.²

The Local Government Code of 1991 has not in any way amended, modified, repealed, or set aside Republic Act No. 6657. In *Nicolas Laynesa v. Uy*,³ the pivotal issue in there was whether the reclassification of a lot by a municipal ordinance, without the Department of Agrarian Reform's (DAR's) approval, suffices to oust the jurisdiction of the DARAB over a petition for legal redemption filed by the tenants. The Supreme Court ruled that despite the reclassification of an agricultural land to non-agricultural land by a local government unit under Section 20 of Republic Act No. 7160, the DARAB still retains jurisdiction over a complaint filed by a tenant of the land in question for threatened ejectment and redemption. Section 20(e) of Republic Act No. 7160 is unequivocal that nothing in said section shall be construed “as repealing, amending or modifying in any manner the provisions of Republic Act No. 6657.” As such, Section 50 of Republic Act No. 6657 on quasi-judicial powers of the DAR has not been repealed by Republic Act No. 7160. The DARAB, therefore, retains jurisdiction over disputes arising from agrarian reform matters even though the landowner or respondent interposes the defense of reclassification of the subject lot from agricultural to non-agricultural use.

¹Sec. 20, LGC of 1991.

²See *Patalinghug v. CA*, 229 SCRA 554 (1994).

³G.R. No. 149553, February 29, 2008.

The issue of whether or not the power of the local government units to reclassify lands is subject to the approval of the DAR is no longer novel, this having been decided by this Court in the case of *Province of Camarines Sur, et al. v. Court of Appeals* (222 SCRA 173, 182 [1993]) wherein it was held that local government units need not obtain the approval of the DAR to convert or reclassify lands from agricultural to non-agricultural use.⁴

Reclassification and Conversion

One should not confuse "reclassification" by the local government under Section 20 of LGC of 1991 with "conversion" by the Department of Agrarian Reform (DAR). Conversion and reclassification are separate procedures.⁵ Par. B(3), Part VI of DAR Administrative Order No. 12-94, for instance, allows conversion when the land will have greater economic value for residential, commercial or industrial purposes as certified by the Local Government Unit. In conversion procedure, the law does not require an ordinance from the local government unit concerned as the law only requires "certification" by the local government unit. Thus, it was held that the two Resolutions, one issued by the *Sangguniang Bayan* of Silang, the other by the *Sangguniang Panlalawigan* of Cavite, while not strictly for purposes of reclassification, are sufficient compliance with the requirement of the Conversion Order.⁶

It should also be noted that the reclassification of an agricultural land by the local government does not *ipso facto* allow the landowner thereof to change its use. He must still apply for conversion of the reclassified land in order to use the same for the said purpose.⁷ It is of no moment whether the reclassification of agricultural lands to residential, commercial, industrial or other non-agricultural uses was done by the LGUs or by way of Presidential Proclamations because either way they must still undergo conversion process. It bears stressing that the act of reclassifying agricultural lands to non-agricultural uses simply specifies how agricultural lands shall be utilized for non-agricultural uses and does not automatically convert agricultural

⁴Fortich v. Corona, 298 SCRA 678 (1998).

⁵Alarcon v. Court of Appeals, G.R. No. 152085, July 8, 2003; Ayala Land, Inc. v. Castillo, G.R. No. 178110, June 15, 2011.

⁶Ayala Land, Inc. v. Castillo, *supra*.

⁷DILG Opinion No. 22, s. 2020, January 31, 2020.

lands to non-agricultural uses or for other purposes.⁸ Any reclassification of agricultural lands to residential, commercial, industrial or other non-agricultural uses either by the LGUs or by way of Presidential Proclamations enacted on or after 15 June 1988 (date of effectivity of R.A. 6657, the Comprehensive Agrarian Reform Law) must undergo the process of conversion, despite having undergone reclassification, before agricultural lands may be used for other purposes.⁹

⁸Chamber of Real Estate and Builders Associations, Inc. v. Secretary of Agrarian Reform, G.R. No. 183409, June 18, 2010.

⁹*Ibid.*

Chapter 13

CLOSURE AND OPENING OF ROAD, ALLEY, PARK OR SQUARE

A local government unit may, pursuant to an ordinance, permanently or temporarily close or open any local road, alley, park, or square falling within its jurisdiction. This is expressly provided for by law, but it is submitted that such power to close or open public places shall be deemed implied in the General Welfare power of every local government unit.

Closure of road, alley, park or square may be permanent or temporary. It may also involve local or national road, alley park or square.

Permanent Closure

In case of permanent closure, the ordinance authorizing it must be approved by at least 2/3 of all the members of the *sanggunian* concerned, and when necessary, an adequate substitute for the public facility that is subject to closure is provided.

No such way or place or any part thereof shall be permanently closed without making provisions for the maintenance of public safety therein. A property thus permanently withdrawn from public use may be used or conveyed for any purpose for which other real property belonging to the local government unit concerned may be lawfully used or conveyed. However, no freedom park shall be closed permanently without provision for its transfer or relocation to a new site.¹

In addition, no permanent closure of any local road, street, alley, park, or square shall be affected unless there exists a compelling reason or sufficient justification therefor such as, but not limited to, change in land use, establishment of infrastructure

¹Sec. 21, LGC of 1991.

facilities, projects, or such other justifiable reasons as public welfare may require.²

In *Macasiano v. Diokno*,³ the Supreme even required that aside from the requirement of due process which should be complied with before closing a road, street or park, the closure should be for the sole purpose of withdrawing the road or other public property from public use when circumstances show that such property is no longer intended or necessary for public use or public service.

In order to comply with the due process requirement announced earlier in the case of *Macasiano v. Diokno*, the Implementing Rules now specifically require that public hearings shall first be conducted before any ordinance authorizing permanent closure of any local roads, alley, park, or square is enacted. Notices of such hearings and copies of the proposed ordinance shall be posted for a minimum period of three (3) consecutive weeks in conspicuous places in the provincial capitol, or in the city, municipal, or barangay hall of the local government unit and within the vicinity of the street or park proposed to be closed.⁴

In *Cebu Oxygen and Acetylene Co. v. Bercilles*,⁵ the City Council of Cebu, through a resolution (which was then the legal requirement), declared the terminal road of M. Borces Street, Mabolo, Cebu City as an abandoned road, the same not being included in the City Development Plan. Thereafter, the City Council passed another resolution authorizing the sale of the said abandoned road through public bidding. The Supreme Court held therein that the City of Cebu is empowered to close a city street and to vacate or withdraw the same from public use. Such withdrawn portion becomes patrimonial property which can be the object of an ordinary contract.

As a rule, property of public dominion ceases to be such and becomes private property of the State only upon a declaration by the government through the executive or legislative departments to the effect that it is no longer needed for public use or service.⁶ It is submitted, however, that Congress has already declared, through the LGC of 1991, that "a property thus permanently withdrawn

²Art. 44(a), Rules and Regulations Implementing the LGC of 1991.

³212 SCRA 464 (1992).

⁴Art. 44(e), Rules and Regulations Implementing the LGC of 1991.

⁵66 SCRA 481 (1975).

⁶See *Cebu Oxygen and Acetylene v. Bercilles*, *supra*.

from public use may be used or conveyed for any purpose for which other real property belonging to the local government unit concerned may be lawfully used or conveyed.”⁷ Indeed, as a general rule, local roads used for public service are considered public property under the absolute control of Congress; hence, local governments have no authority to control or regulate their use. However, under Section 21 of LGC of 1991, Congress delegated to political subdivisions some control of local roads.⁸

To convert a *barrio* road into patrimonial property, the law requires the LGU to enact an ordinance, approved by at least 2/3 of the *Sanggunian* members, permanently closing the road. A resolution will not suffice.⁹

Temporary Closure

Any national or local road, alley, park, or square may be temporarily closed during an actual emergency, or *fiesta* celebrations, public rallies, agricultural or industrial fairs, or an undertaking of public works and highways, telecommunications, and waterworks projects, the duration of which shall be specified by the local chief executive concerned in a written order.¹⁰ In case of *fiesta* celebrations, the closure should not exceed nine (9) days.¹¹ No national or local road, alley, park, or square shall be temporarily closed for athletic, cultural, or civic activities not officially sponsored, recognized, or approved by the local government unit concerned.

Any city, municipality, or barangay may, by a duly enacted ordinance, temporarily close and regulate the use of any local street, road, thoroughfare, or any other public place where shopping malls, Sunday, flea or night markets, or shopping areas may be established and where goods, merchandise, foodstuffs, commodities, or articles of commerce may be sold and dispensed to the general public.¹²

No Just Compensation in General

The closure of a road, alley, park or square presupposes an exercise of police power. Hence, for any loss or inconvenience caused

⁷Sec. 21(c), LGC of 1991.

⁸*Figuracion v. Spouses Libi*, G.R. No. 155688, November 28, 2007.

⁹*Alolino v. Flores*, G.R. No. 198774, April 4, 2016.

¹⁰Sec. 21, LGC of 1991.

¹¹Art. 45(1), Rules and Regulations Implementing the LGC of 1991.

¹²Sec. 21, LGC of 1991.

to a property owner, is a “*damnum absque injuria*” (literally “damage without injury”), hence, no compensation.¹³

The argument in *Sangalang v. IAC*,¹⁴ that the demolition of the gates at Orbit and Jupiter Streets in order to open a road to vehicular traffic amounts to deprivation of property without due process of law or expropriation without just compensation was brushed aside by the Supreme Court as there was no taking of property involved there. The act of the Mayor that was challenged in that case was, rather, in the concept of police power. Indeed, unlike the power of eminent domain, police power is exercised without provision for just compensation. Article 436 of the Civil Code of the Philippines also explicitly provides that when any property is condemned or seized by competent authority in the interest of health, safety or security, the owner thereof shall not be entitled to compensation, unless he can show that such condemnation or seizure is unjustified. However, it may not be done arbitrarily or unreasonably. But the burden of showing that it is unjustified lies on the aggrieved party.

Power to Close Roads, etc., Discretionary to the LGU

The local legislative body has the competence to determine whether or not a certain property is still necessary for public use. Such power therefore is discretionary and this discretion will not ordinarily be controlled or interfered with by the courts, absent a plain case of abuse or fraud or collusion. Faithfulness to the public trust will be presumed. So the fact that some private interests may be served incidentally will not invalidate the vacation ordinance.¹⁵

In *Pilapil v. CA*,¹⁶ the establishment, closure or abandonment of the *camino vecinal* was found to be the sole prerogative of the Municipality. The Sanggunian has the power to adopt zoning and subdivision ordinances or regulations subject to the provisions of existing laws, and to provide for the construction, improvement, repair and maintenance of municipal streets, avenues, alleys, sidewalks, bridges, parks and other public places, regulate the use thereof and prohibit the construction or placing of obstacles or encroachments on them. There the Supreme Court ruled, thus:

¹³See *Cabrera v. CA*, 195 SCRA 314 (1991).

¹⁴176 SCRA 719 (2009).

¹⁵*Favis v. City of Baguio*, G.R. No. L-29910, April 25, 1969.

¹⁶216 SCRA 33 (1992).

CHAPTER 13
CLOSURE AND OPENING OF ROAD, ALLEY, PARK OR SQUARE

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"The property of provinces, cities and municipalities is divided into property for public use and patrimonial property. The first consists of the provincial roads, city streets, municipal streets, squares, fountains, public waters, promenades, and public works for public service paid for by the said provinces, cities or municipalities. They are governed by the same principles as property of public dominion of the same character.

A *camino vecinal* is a **municipal road**. It is also property for **public use**. Pursuant, therefore, to the above powers of a local government unit, the Municipality of Liloan had the unassailable authority to: (a) prepare and adopt a land use map, (b) promulgate a zoning ordinance which may consider, among other things, the municipal roads to be constructed, maintained, improved or repaired, and (c) close any municipal road."

Chapter 14

CORPORATE POWERS

As mentioned earlier, a local government unit, as a municipal corporation, is likewise a body politic and a corporate entity representing the inhabitants of the territory. As such, it exercises corporate powers as a juridical entity. Like a private corporation, a local government unit can enter into contracts, sue and be sued, hold and convey property, among others.

Specific Corporate Powers

The Local Government Code, thus, mandates that every local government unit, as a corporation, shall have the following powers:

- (1) To have continuous succession in its corporate name;
- (2) To sue and be sued;
- (3) To have and use a corporate seal;
- (4) To acquire and convey real or personal property;
- (5) To enter into contracts; and
- (6) To exercise such other powers as are granted to corporations, subject to the limitations provided in this Code and other laws.¹

➤ 1. To have continuous succession in its corporate name

In order to be able to act as a juridical entity and exercise such corporate powers granted to a local government, it must first have a corporate name.

An example of a corporate name is “City of Cebu” as provided for in the Charter creating the City of Cebu. Thus, in contracts it would enter into, the City of Cebu would be identified as such party in the contract.

¹See Sec. 22, LGC of 1991.

Under the Code,² the *Sangguniang Panlalawigan* may, in consultation with the Philippine Historical Institute, **change the name of component cities and municipalities**, upon the recommendation of the *Sanggunian* concerned, provided that the same shall be effective only upon ratification in a plebiscite conducted for the purpose in the political unit directly affected.

A change of name, however, **will not dissolve nor destroy the identity of the municipal corporation, nor affect its rights, privileges or liabilities.**³ It is **prohibited** to use the names of living persons⁴ **except** for justifiable reasons such as the use of the name of a family in a particular community whose members significantly contributed to the welfare of the Filipino people.⁵

The term “corporate” signifies that a local government unit has “distinct and separate personality.” Consequently, an action that is actually against the “entity” cannot be filed against the officers (*e.g.*, mayor) only in lieu of the local government unit. If a judgment is rendered against the officers alone, the same cannot bind the local government unit because it has a “separate and distinct personality” as that of the officers, and assets owned by the local government unit cannot be made to satisfy the judgment against the officers.

On the other hand, local government units may be held liable for acts of its officers only when they acted “by authority” of the local government (because by then the act becomes that of the local government unit) and when they acted “in conformity with the requirements of the law.” Otherwise, the officers will be held personally liable. Most common example of acts “without authority” and/or “not in conformity with the requirements of the law” are acts done “in bad faith and with malice.” This is so because the law does not sanction bad faith and malice. Conversely, the liability of the local government unit cannot also be enforced against its officers, unless there is a valid judgment to the contrary.

The term “corporate” also signifies that as an entity, the local government unit generally acts through a “governing body” (like the Board in private corporation), through the “legislative body.” It is, for example, required that before the Mayor can enter into contracts, he or she must have the authority of the *Sanggunian*, the local legislative body.⁶

²Sec. 13, LGC of 1991.

³Eugene McQuillin, *The Law on Municipal Corporations*, Vol. II (2nd Ed.).

⁴Sec. 13(d), LGC of 1991.

⁵See Art. 23(7), Rules and Regulations Implementing the LGC of 1991, as cited in Joseph Emmanuel Angeles, *Restatement of the Law on Local Governments* (2005).

⁶Sec. 22(c), LGC of 1991.

2. To sue and be sued

As a corporate body, the local government must have the power to sue and be sued, otherwise it cannot securely enter into transactions in the performance of its functions. While not an inherent power of municipal corporations, this power is vested in local government units not only by the LGC of 1991, but also in the charters creating them.

This explicit grant of the power to sue and be sued is one form of an express consent on the part of the State to be sued.

A distinction should, however, be made between *suability* and *liability*. **Suability** depends on the consent of the state to be sued, while **liability** depends on the applicable law and the established facts. The circumstance that a state is suable does not necessarily mean that it is liable; on the other hand, it can never be held liable if it does not first consent to be sued. Liability is not conceded by the mere fact that the state has allowed itself to be sued. When the state does waive its sovereign immunity, it is only giving the plaintiff the chance to prove, if it can, that the defendant is liable.⁷

As a rule, the local government unit sues through its local chief executive and as authorized by the *Sanggunian*. Interestingly, in the old case of **City Council of Cebu v. Cuizon**,⁸ the City of Cebu sued through its councilors in a “representative suit” and as “taxpayers.” It was held in that case that therein plaintiffs’ suit was one filed on behalf of the City of Cebu, instituted by them in pursuance of their prerogative and duty as city councilors and taxpayers, in order to question and declare null and void a contract which according to their complaint was executed by defendant city mayor purportedly on behalf of the city without valid authority and which had been expressly declared by the Auditor-General to be null and void *ab initio* and therefore could not give rise to any valid or allowable monetary claims against the city. The case should, however, be considered peculiar in the sense that the local chief executive, the Mayor of Cebu City could not have represented the local government unit as he was in fact the defendant in that case. As to the ruling of the court that the councilors were real parties in interest as “taxpayers,” it is humbly submitted that this ruling should only

⁷Municipality of San Fernando, La Union v. Firme, G.R. No. L-52179, April 8, 1991.

⁸G.R. No. L-28972, October 31, 1972.

be confined to that case because it is well-settled that “taxpayers suit” is not applicable to municipal contracts and applicable only in cases that involve funds appropriated by Congress.⁹ The right of local lawmakers to sue in order to question a contract entered into by the local chief executive without prior authorization from the *Sanggunian* was also affirmed in the case of *Lao, Jr. v. LGU of Cagayan De Oro City*.¹⁰

2.1. Hiring of Private Lawyers

As a rule, local government units cannot be represented by private lawyers in suits filed by or against them. Local government units must be represented by “accountable public officers” like a City Attorney or a Provincial Fiscal when appropriate. It is only when the government lawyer is clearly disqualified to handle the case that the local government unit may hire private lawyers. In *Ramos v. Court of Appeals*,¹¹ it was held that:

“Under Section 1683 of the Revised Administrative Code, complemented by Section 3, Republic Act No. 2264, the Local Autonomy Law, only provincial fiscal and the municipal attorney can represent a province or municipality in their lawsuits. The provision is mandatory. The municipality’s authority to employ a private lawyer is expressly limited only to situations where the provincial fiscal is disqualified to represent it.

For the aforementioned exception to apply, the fact that the Provincial Fiscal is disqualified to handle the Municipality’s case must appear on record. In the instant case, there is nothing in the records to show that the provincial fiscal is disqualified to act as counsel for the Municipality of Pililla on appeal, hence the appearance of herein private counsel is without authority of law.

The provincial fiscal’s functions as legal officer and adviser for the civil cases of a province and corollarily, of the municipalities thereof, were subsequently transferred to the provincial attorney.

The foregoing provisions of law and jurisprudence show that only the provincial fiscal, provincial attorney, and municipal attorney should represent a municipality in its lawsuits. Only

⁹See *Bugnay Construction and Development Corporation v. Laron*, 176 SCRA 240 (1989) and *Tatad v. Garcia*, 243 SCRA 337 (1995).

¹⁰G.R. No. 187869, September 13, 2017.

¹¹269 SCRA 34 (1997).

in exceptional instances may a private attorney be hired by a municipality to represent it in lawsuits.

These exceptions are enumerated in the case of *Alinsug v. RTC Br. 58, San Carlos City, Negros Occidental, to wit*: 'Indeed, it appears that the law allows a private counsel to be hired by a municipality only when the municipality is an adverse party in a case involving the provincial government or another municipality or city within the province. This provision has its apparent origin in the ruling in *De Guia v. The Auditor General* (44 SCRA 169, March 29, 1979) where the Court held that the municipality's authority to employ a private attorney is expressly limited only to situations where the provincial fiscal would be disqualified to serve and represent it. With Sec. 1683 of the old Administrative Code as legal basis, the Court therein cited *Enriquez, Sr. v. Gimenez* (107 Phil 932 [1960]) which enumerated instances when the provincial fiscal is disqualified to represent in court a particular municipality; if and when original jurisdiction of case involving the municipality is vested in the Supreme Court, when the municipality is a party adverse to the provincial government or to some other municipality in the same province, and when, in a case involving the municipality, he, or his wife, or child, is pecuniarily involved, as heir legatee, creditor or otherwise.'

Thereafter, in *Ramos v. Court of Appeals* (108 SCRA 728, October 30, 1981), the Court ruled that a municipality may not be represented by a private law firm which had volunteered its services gratis, in collaboration with the municipal attorney and the fiscal, as such representations was violative of Sec. 1683 of the old Administrative Code. This strict coherence to the letter of the law appears to have been dictated by the fact that 'the municipality should not be burdened with expenses of hiring a private lawyer', and that the interests of the municipality would be best protected if a government lawyer handles its litigations.

Furthermore, it has already been ruled: The fact that the municipal attorney and the fiscal are supposed to collaborate with a private law firm does not legalize the latter's representation of the municipality of Hagonoy in Civil Case No. 5095-M. While a private prosecutor is allowed in criminal cases, an analogous arrangement is not allowed in civil cases wherein a municipality is the plaintiff.

As already stated, private lawyers may not represent municipalities on their own. Neither may they do so even in collaboration with authorized government lawyers. This is anchored on the principle that only accountable public officers may act for and in behalf of public entities and that public funds should not be expanded to hire private lawyers."

An example of a situation where there exists conflict of interest that allows a local government unit to hire private lawyers is when the dispute is between two (2) component municipalities that have no municipal attorneys. In this case, the provincial fiscal or attorney, who can legally represent any municipality, is disqualified on ground of conflict of interests. In disputes where the government lawyer himself, his wife, or child has pecuniary interest, he is likewise disqualified.

In cases that are within the original jurisdiction of the Supreme Court, however, the Solicitor General shall appear and represent the local government unit. These cases include petitions for *certiorari*, prohibition, *mandamus*, *quo warranto*, and *habeas corpus*.

Although only government lawyers can represent the local government unit, the proceedings that transpired while it was represented by a private lawyer may be adopted by the government lawyers. In the same case of *Ramos v. Court of Appeals*,¹² it was held that in the interest of substantial justice, a municipality may adopt the work already performed in good faith by the private lawyer, which work is beneficial to it: (1) *Provided*, That no injustice it thereby heaped on the adverse party; and (2) *Provided, further*, That no compensation in any guise is paid therefor by said municipality to the private lawyer. Unless so expressly adopted, the private lawyers work cannot bind the municipality.

But, do the above rulings equally apply to local government officials? In *Alinsug v. RTC, Br. 58, San Carlos City, Negros Occidental, 225 SCRA 559 (1993)*, the Supreme Court laid down the rule that, in resolving whether a local government official may secure the services of private counsel in an action filed against him in his official capacity, the nature of the action and the relief sought are to be considered. In *Albuera v. Torres, 192 Phil. 211 (1957)*, the Supreme Court approved the representation by private counsel of a provincial governor sued in his official capacity, where the complaint contained other allegations and a prayer for moral damages, which, if due from the defendants, must be satisfied by them in their private capacity. In *Province of Cebu v. Intermediate Appellate Court, 147 SCRA 447 (1987)*, the Supreme Court declared that where rigid adherence to the law on representation would deprive a party of his right to redress for a valid grievance, the hiring of private counsel would be proper.¹³

¹²*Ibid.*

¹³Edgardo Mancenido v. CA, G.R. No. 118605, April 12, 2000.

3. To have and use a corporate seal

Local government units may continue using, modifying, or changing their existing corporate seals. Newly established local government units or those without corporate seals may create their own corporate seals which shall be registered with the Department of Interior and Local Government, provided that any change of corporate seal shall also be registered as provided in the Code.¹⁴

4. To acquire and convey real or personal property

Like any entity with juridical personality, the corporate personality of the local government unit allows it to acquire and convey real and personal properties. It can have, for example a parcel of land registered in its name and convey the same in accordance with law.

A municipal corporation, in connection with its powers, may acquire property in its public or governmental powers and private or proprietary capacity.¹⁵

4.1. Public and Patrimonial Properties

The property of provinces, cities, and municipalities is divided into property for public use and patrimonial property.¹⁶

Local government units, therefore, hold properties in their (a) governmental capacity as for properties for public use, and (b) proprietary capacity as for properties deemed patrimonial.

Property for public use, in the provinces, cities, and municipalities, consists of the provincial roads, city streets, municipal streets, the squares, fountains, public waters, promenades, and public works for public service paid for by said provinces, cities, or municipalities. All other property possessed by any of them is patrimonial and shall be governed by the New Civil Code, without prejudice to the provisions of special laws.¹⁷

If the property is owned by the municipality in its public and governmental capacity, the property is public and Congress has absolute control over it. But if the property is owned in its private or proprietary capacity, then it is patrimonial and Congress has no absolute control.¹⁸

¹⁴Sec. 22, LGC of 1991.

¹⁵City of Manila v. IAC, 179 SCRA 428 (1989).

¹⁶Art. 423, New Civil Code of the Philippines.

¹⁷See Art. 424, New Civil Code of the Philippines.

¹⁸Province of Zamboanga del Norte v. City of Zamboanga, G.R. No. L-24440, March 28, 1968.

But, how does one tell whether the property is "public" or "patrimonial"?

Article 424 of the New Civil Code of the Philippines already identifies which property is public and which property is patrimonial. The manner by which it was acquired and the kind of fund used in acquiring the property may also serve as guides. The fact that the property is registered in the name of the local government unit is not controlling because even if it is in the name of the local government unit but it is in reality intended for public purpose, then it can be said just the same that the property is held "in trust" for the State.

The capacity in which the property is held is, however, dependent on the use to which it is intended and devoted. There are two (2) norms that may be used in classifying properties as public or private: 1) that of the Civil Code; and 2) that obtaining under the law of Municipal Corporations.¹⁹

The Civil Code classification is embodied in its Articles 423 and 424 which provide.

"ART. 423. The property of provinces, cities and municipalities, is divided into property for public use and patrimonial property."

"ART. 424. Property for public use, in the provinces, cities, and municipalities, consists of the provincial roads, city streets, municipal streets, the squares, fountains, public waters, promenades, and public works for public service paid for by said provinces, cities, or municipalities.

All other property possessed by any of them is patrimonial and shall be governed by this Code, without prejudice to the provisions of special laws."

Under the norms obtaining in the law on municipal corporations, to be considered public, it is enough that the property be held and devoted for governmental purposes like local administration, public education, public health, etc.²⁰

Knowing whether the property of the local government unit is held in its governmental or proprietary capacity is important in the following areas of concern, thus:

¹⁹*Ibid.*

²⁰*Ibid.*, citing Martin, *Public Corporations*, 5th Ed., 31-32; Gonzales, *Law on Public Corporations*, 1962 Ed., 29-30.

a. Property for public use is under the control of Congress because the local government unit in this instance is merely a political “agent” of the State/National Government. Local governments have no authority to control or regulate the use of public properties unless specific authority is vested upon them by Congress.²¹

Consequently, the principal may convert it to other uses with or without the consent of the local government unit and the latter cannot claim due process nor demand just compensation as a result thereof. There will be no “deprivation” of property as the local government unit holds the property “in trust” for the State. Conversely, patrimonial property can be used by the local government unit concerned without the consent of Congress and that if Congress uses it for some other purpose, due process and just compensation must be complied with because there will already be “deprivation” of property as the local government unit owns the property.

b. Property for public use cannot be the subject of a contract as it is beyond the commerce of man. Hence, properties found therein may be considered nuisance and may be removed at once without payment of just compensation. On the other hand, patrimonial property can be the subject of a contract and may be alienated.

c. Public property cannot be acquired by prescription against the state.

d. Public property cannot be the subject of attachment and execution.

e. Public property cannot be burdened by any voluntary easement.²²

In *Rabuco v. Villegas*,²³ the petitioners therein questioned the authority of respondent mayor to demolish their houses or eject them as tenants and *bona fide* occupants of a parcel of land in San Andres. This was done pursuant, apparently, to Republic Act No. 3120 which was questioned as in violation of the Constitutional prohibition against the deprivation of property without due process of law and

²¹Macasiano v. Diokno, 212 SCRA 464 (1992).

²²Rufus Rodriguez, *supra* (2003).

²³55 SCRA 656 (1974).

without just compensation. Republic Act No. 3120 converted the lot in question together with another lot in San Andres, Malate "which are reserved as communal property" into "disposable or alienable lands of the State to be placed under the administration and disposal of the Land Tenure Administration" for subdivision into small lots not exceeding 120 square meters per lot for sale on installment basis to the tenants or *bona fide* occupants thereof and expressly prohibited ejectment and demolition of petitioners' homes under Section 2 of the Act as quoted in the appellate court's certification resolution. The High Court therein reaffirmed the established general rule that "regardless of the source or classification of land in the possession of a municipality, excepting those acquired with its own funds in its private or corporate capacity, such property is held in trust for the State for the benefit of its inhabitants, whether it be for governmental or proprietary purposes. It holds such lands subject to the paramount power of the legislature to dispose of the same, for after all it owes its creation to it as an agent for the performance of a part of its public work, the municipality being but a subdivision or instrumentality thereof for purposes of local administration. Accordingly, the legal situation is the same as if the State itself holds the property and puts it to a different use" and stressed that "the property, as has been previously shown, was not acquired by the City of Manila with its own funds in its private or proprietary capacity. That it has in its name a registered title is not questioned, but this title should be deemed to be held in trust for the State as the land covered thereby was part of the territory of the City of Manila granted by the sovereign upon its creation."

The High Court also held that the Acts in question (R.A. 4118 in *Salas* and R.A. 3120 in the case at bar) were intended to implement the social justice policy of the Constitution and the government program of land for the landless and that they were not "intended to expropriate the property involved but merely to confirm its character as communal land of the State and to make it available for disposition by the National Government.... The subdivision of the land and conveyance of the resulting subdivision lots to the occupants by Congressional authorization does not operate as an exercise of the power of eminent domain without just compensation in violation of Section 1, subsection (2), Article III of the Constitution, but simply as a manifestation of its right and power to deal with state property." The challenge of respondents city officials against the constitutionality of Republic Act No. 3120 failed as the City was not found to have been deprived thereby of anything it owns

by acquisition with its private or corporate funds either under the due process clause or under the eminent domain provisions of the Constitution.

In *Villanueva v. Castañeda*,²⁴ petitioners therein claimed they have a right to remain in and conduct business in *talipapa* by virtue of a previous authorization granted to them by the municipal government. Therein respondents denied this and justify the demolition of their stalls as illegal constructions on public property. The basic contention of the petitioners therein was that the disputed area was under lease to them by virtue of contracts they had entered into with the municipal government, first in 1961 insofar as the original occupants were concerned, and later with them and the other petitioners by virtue of the space allocations made in their favor in 1971 for which they saw they are paying daily fees. The municipal government has denied making such agreements. It was argued that since the fees were collected daily, the leases, assuming their validity, could be terminated at will, or any day, as the claimed rentals indicated that the period of the leases was from day to day. It was held there that a public plaza is beyond the commerce of man and so cannot be the subject of lease or any other contractual undertaking. The Supreme Court said, thus:

"This is elementary. Indeed, this point was settled as early as in *Municipality of Cavite v. Rojas*, decided in 1915, where the Court declared as null and void the lease of a public plaza of the said municipality in favor of a private person.

x x x

In *Muyot v. de la Fuente*, it was held that the City of Manila could not lease a portion of a public sidewalk on Plaza Sta. Cruz, being likewise beyond the commerce of man.

x x x

Exactly in point is *Espiritu v. Municipal Council of Pozorrubio*, where the Supreme Court declared: "There is absolutely no question that the town plaza cannot be used for the construction of market stalls, specially of residences, and that such structures constitute a nuisance subject to abatement according to law. Town plazas are properties of public dominion, to be devoted to public use and to be made available to the public in general. They are outside the commerce of man and cannot be disposed of or even leased by the municipality to private parties."

²⁴154 SCRA 142 (1987).

Applying this well-settled doctrine, we rule that the petitioners had no right in the first place to occupy the disputed premises and cannot insist in remaining there now on the strength of their alleged lease contracts. They should have realized and accepted this earlier, considering that even before Civil Case No. 2040 was decided, the municipal council of San Fernando had already adopted Resolution No. 29, series of 1964, declaring the area as the parking place and public plaza of the municipality.

Since the occupation of the place in question in 1961 by the original 24 stallholders (whose number later ballooned to almost 200), it has deteriorated increasingly to the great prejudice of the community in general. The proliferation of stalls therein, most of them makeshift and of flammable materials, has converted it into a veritable fire trap, which, added to the fact that it obstructs access to and from the public market itself, has seriously endangered public safety. The filthy condition of the *talipapa*, where fish and other wet items are sold, has aggravated health and sanitation problems, besides pervading the place with a foul odor that has spread into the surrounding areas. The entire place is unsightly, to the dismay and embarrassment of the inhabitants, who want it converted into a showcase of the town of which they can all be proud. The vendors in the *talipapa* have also spilled into the street and obstruct the flow of traffic, thereby impairing the convenience of motorists and pedestrians alike. The regular stallholders in the public market, who pay substantial rentals to the municipality, are deprived of a sizable volume of business from prospective customers who are intercepted by the *talipapa* vendors before they can reach the market proper. On top of all these, the people are denied the proper use of the place as a public plaza, where they may spend their leisure in a relaxed and even beautiful environment and civic and other communal activities of the town can be held."

In *Dacanay v. Asistio*,²⁵ the question posed was whether or not public streets or thoroughfares may be leased or licensed to market stallholders by virtue of a city ordinance or resolution of the Metro Manila Commission. As the disputed areas from which the private respondents' market stalls were sought to be evicted were found to be public streets, as found by the trial court, it was held that a public street is property for public use, hence outside the commerce of man.

²⁵208 SCRA 404 (1992).

(Articles 420, 424, Civil Code) Being outside the commerce of man, it may not be the subject of lease or other contract. The Supreme Court ruled:

“As the stallholders pay fees to the City Government for the right to occupy portions of the public street, the City Government, contrary to law, has been leasing portions of the streets to them. Such leases or licenses are null and void for being contrary to law. The right of the public to use the city streets may not be bargained away through contract. The interests of a few should not prevail over the good of the greater number in the community whose health, peace, safety, good order and general welfare, the respondent city officials are under legal obligation to protect.

The Executive Order issued by Acting Mayor Robles authorizing the use of Heroes del '96 Street as a vending area for stallholders who were granted licenses by the city government contravenes the general law that reserves city streets and roads for public use. Mayor Robles' Executive Order may not infringe upon the vested right of the public to use city streets for the purpose they were intended to serve: *i.e.*, as arteries of travel for vehicles and pedestrians. As early as 1989, the public respondents had started to look for feasible alternative sites for flea markets. They have had more than ample time to relocate the street vendors.”

Properties for public use held by municipal corporations are not subject to levy and execution. In the case of *Viuda de Tantoco v. Municipal Council of Iloilo*²⁶ after citing *Manresa*, the works of McQuillin and Dillon on Municipal Corporations, and *Corpus Juris*, the Supreme Court has held that properties for public use like trucks used for sprinkling the streets, police patrol wagons, police stations, public markets, together with the land on which they stand are exempt from execution. Even public revenues of municipal corporations destined for the expenses of the municipality are also exempt from execution. The reason behind this exemption extended to properties for public use, and public municipal revenues is that they are held in trust for the people, intended and used for the accomplishment of the purposes for which municipal corporations are created, and that to subject said properties and public funds to execution would materially impede, even defeat and in some instances destroy said purpose.

²⁶49 Phil. 52 (1926).

Property, however, which is patrimonial and which is held by a municipality in its proprietary capacity is treated by great weight of authority as the private asset of the town and may be levied upon and sold under an ordinary execution. The same rule applies to municipal funds derived from patrimonial properties, for instance, it has been held that shares of stock held by a municipal corporation are subject to execution. If this is true, with more reason should income or revenue coming from these shares of stock, in the form of interest or dividends, be subject to execution.²⁷

In *Municipality of Paoay v. Manaois*,²⁸ the fishery or municipal waters of the town of Paoay, Ilocos Norte, were parceled out or divided into lots and later let out to private persons for fishing purposes at an annual rental. It was held that these fishery or municipal waters are clearly not subject to execution as they do not belong to the municipality but may well be regarded as property of the State. What the municipality of Paoay held was merely what may be considered the usufruct or the right to use said municipal waters, granted to it by Section 2321 of the Revised Administrative Code. But it was held, however, that the revenue or income coming from the renting of these fishery lots is certainly subject to execution.

It may be profitable, if not necessary, to distinguish this kind of revenue from that derived from taxes, municipal licenses and market fees are provided for and imposed by the law, they are intended primarily and exclusively for the purpose of financing the governmental activities and functions of municipal corporations. In fact, the real estate taxes collected by a municipality do not all go to it. A portion thereof goes to the province, in the proportion provided for by law. For the same reason, municipal markets are established not only to provide a place where the people may sell and buy commodities but also to provide public revenues for the municipality. To many towns, market fees constitute the bulk of their assets and incomes. These revenues are fixed and definite, so much so that the annual appropriations for the expenses of the municipalities are based on these revenues. Not so with the income derived from fisheries. In the first place, the usufruct over municipal waters was granted by the Legislature merely to help or bolster up the economy of municipal government. There are many towns in the

²⁷Eugene McQuillin, *The Law on Municipal Corporations*, Vol. II (2nd Ed.).

²⁸86 Phil. 629 (1950).

Philippines, especially in the interior, which do not have municipal waters for fishery purposes and yet without much source of revenue, they can function, which goes to prove that this kind of revenue is not indispensable for the performance of governmental functions. In the second place, the amount of this income is far from definite or fixed. It depends upon the amounts which prospective bidders or lessees are willing to pay. If fishing on these marine waters, lakes and rivers in the municipality is good, the bids would be high and the income would be substantial. If the fish in these waters is depleted or, if for some reasons or another, fishing is not profitable, then the income would be greatly reduced. In other words, to many municipalities engaged in this business of letting out municipal waters for fishing purposes, it is a sort of sideline, so that even without it the municipality may still continue functioning and perform its essential duties as such municipal corporations.²⁹

In this jurisdiction, well-settled is the rule that public funds are not subject to levy and execution, unless otherwise provided for by statute. (*Republic v. Palacio, supra*; *The Commissioner of Public Highways v. San Diego, G.R. No. L-30098, February 18, 1970, 31 SCRA 616*) More particularly, the properties of a municipality, whether real or personal, which are necessary for public use cannot be attached and sold at execution sale to satisfy a money judgment against the municipality. Municipal revenues derived from taxes, licenses and market fees, and which are intended primarily and exclusively for the purpose of financing the governmental activities and functions of the municipality, are exempt from execution.³⁰ (*See Viuda De Tan Toco v. The Municipal Council of Iloilo, 49 Phil. 52 [1926]*; *The Municipality of Paoay, Ilocos Norte v. Manaois, 86 Phil. 629 [1950]*; *Municipality of San Miguel, Bulacan v. Fernandez, G.R. No. 61744, June 25, 1984, 130 SCRA 56*)

However, where a municipality fails or refuses, without justifiable reason, to effect payment of a final money judgment rendered against it, the claimant may avail of the remedy of *mandamus* in order to compel the enactment and approval of the necessary appropriation ordinance, and the corresponding disbursement of municipal funds therefor.³¹

²⁹*Municipality of Paoay v. Manaois, 86 Phil. 629 (1950).*

³⁰*Municipality of Makati v. CA, 190 SCRA 206 (1990).*

³¹*See Viuda De Tan Toco v. The Municipal Council of Iloilo, supra*; *Baldivia v. Lota, 107 Phil. 1099 (1960); Yuviengco v. Gonzales, 108 Phil. 247 (1960).*

In *City of Angeles v. CA*,³² the issues were whether or not a donor of open spaces in a residential subdivision can validly impose conditions on the said donation and whether or not the city government as donee can build and operate a drug rehabilitation center on the donated land intended for open space and whether or not the said donation may be validly rescinded by the donor. It was held that any condition may be imposed in the donation, so long as the same is not contrary to law, morals, good customs, public order or public policy. The contention of petitioners therein that the donation should be unconditional because it is mandatory has no basis in law. Presidential Decree No. 1216 does not provide that the donation the open space for parks and playgrounds should be unconditional. To rule that it should be so is tantamount to unlawfully expanding, the provisions of the decree. In that case, one of the conditions imposed in the Amended Deed of Donation is that the donee should build a sports complex on the donated land. Since Presidential Decree No. 1216 clearly requires that the 3.5% to 9% of the gross area allotted for parks and playgrounds is "non-buildable," then the obvious question arises whether or not such condition was validly imposed and is binding on the donee. It is clear that the "non-buildable" character applies only to the 3.5% to 9% area set by law. If there is any excess land over and above the 3.5% to 9% required by the decree, which is also used or allocated for parks, playgrounds and recreational purposes, it is obvious that such excess area is not covered by the non-buildability restriction. If there be an excess, then the donee would not be barred from developing and operating a sports complex thereon, and the condition in the amended deed would then be considered valid and binding. It was finally held that there was no legal basis whatsoever to revoke the donation of the subject open space and to return the donated land to therein private respondent. The donated land should remain with the donee as the law clearly intended such open spaces to be perpetually part of the public domain, non-alienable and permanently devoted to public use as such parks, playgrounds or recreation areas.

However, properties (roads, open spaces, etc. which are for public use) donated to the local government unit pursuant to Presidential Decree No. 957 may be burdened with conditions stated in the Deed of Donation.

³²261 SCRA 90 (1996).

4.2. Submerged Lands, Foreshore Lands, and Reclaimed Lands

Submerged and foreshore lands belong to the State, and cannot therefore be alienated. These lands belong to the State's inalienable natural resources. However, after these lands of public domain are *actually reclaimed* and already declared alienable and disposable in accordance with law they will cease to become public properties and may thereafter be disposed of as patrimonial properties, unless these lands were reclaimed for public purpose.

In *Chavez v. PEA and Amari Coastal Bay Development Corporation*,³³ or simply the *Amari case*, the main issue was whether or not a private corporation (Amari) can lawfully acquire submerged and reclaimed submerged lands in Manila Bay. The Supplement to "Separate Opinion, Concurring and Dissenting" of Justice Josue N. Bellosillo Resolutions of the Supreme Court on February 3, 1965 and June 24, 1966 in G.R. No. L-21870 entitled, "*Manuel O. Ponce, et al. v. Hon. Amador Gomez, et al.*" and G.R. No. L-22669 entitled, "*Manuel O. Ponce, et al. v. The City of Cebu, et al.*" ("Ponce Cases") argued that these cases were applicable to *Amari*. In effect, the dissent in these cases claims that these two (2) Resolutions serve as authority that a single private corporation like *Amari* may acquire hundreds of hectares of submerged lands, as well as reclaimed submerged lands, within Manila Bay under the Amended Joint Venture Agreement ("Amended JVA").

The Supreme Court found the cited *Ponce cases* inapplicable to the *Amari case* and held, thus:

"First, as Justice Bellosillo himself states in his supplement to his dissent, the Ponce Cases admit that '**submerged lands still belong to the National Government.**' The correct formulation, however, is that **submerged lands are owned by the State and are inalienable.** Section 2, Article XII of the 1987 Constitution provides:

All lands of the public domain, waters, minerals, coal, petroleum, and other mineral oils, all forces of potential energy, fisheries, forests or timber, wildlife, flora and fauna, and other natural resources are owned by the State. With the exception of agricultural lands, all other natural resources shall not be alienated. x x x. (Emphasis supplied)

³³G.R. No. 133250, November 11, 2003.

Submerged lands, like the waters (sea or bay) above them, are part of the State's inalienable natural resources. Submerged lands are property of public dominion, absolutely inalienable and outside the commerce of man. This is also true with respect to foreshore lands. Any sale of submerged or foreshore lands is void being contrary to the Constitution.

This is why the Cebu City ordinance merely granted Essel, Inc. an 'irrevocable option' to purchase the foreshore lands after the reclamation and did not actually sell to Essel, Inc. the still to be reclaimed foreshore lands. Clearly, in the *Ponce Cases* the option to purchase referred to **reclaimed lands**, and not to foreshore lands which are inalienable. Reclaimed lands are no longer foreshore or submerged lands, and thus may qualify as alienable agricultural lands of the public domain provided the requirements of public land laws are met.

In the instant case, the bulk of the lands subject of the Amended JVA are still **submerged lands** even to this very day, and therefore inalienable and outside the commerce of man. Of the 750 hectares subject of the Amended JVA, 592.15 hectares or **78% of the total area are still submerged, permanently under the waters of Manila Bay**. Under the Amended JVA, the PEA conveyed to Amari the submerged lands even before their actual reclamation, although the documentation of the deed of transfer and issuance of the certificates of title would be made only after actual reclamation.

In the *Ponce Cases*, the City of Cebu retained ownership of the reclaimed foreshore lands and Essel, Inc. only had an 'irrevocable option' to purchase portions of the foreshore lands once actually reclaimed. In sharp contrast in the instant case, ownership of the reclamation area, including the submerged lands, was immediately transferred to the joint venture.... Amari's right to own the submerged lands is immediately effective upon the approval of the Amended JVA and not merely an option to be exercised in the future if and when the reclamation is actually realized. **The submerged lands, being inalienable and outside the commerce of man, could not be the subject of the commercial transactions specified in the Amended JVA.**"

In the same *Amari case*, the Supreme Court also reiterated the requirement of public bidding under Section 379 of the LGC of 1991 in any sale of government land, *viz.*:

“With the subsequent enactment of the Government Auditing Code (Presidential Decree No. 1445) on 11 June 1978, any sale of government land must be made only through public bidding. Thus, such an ‘irrevocable option’ to purchase government land would now be void being contrary to the requirement of public bidding expressly required in Section 79 of PD No. 1445. This requirement of public bidding is reiterated in Section 379 of the 1991 Local Government Code. Obviously, the ingenious reclamation scheme adopted in the Cebu City ordinance can no longer be followed in view of the requirement of public bidding in the sale of government lands. In the instant case, the Amended JVA is a negotiated contract which clearly contravenes Section 79 of PD No. 1445.

Republic Act No. 1899 authorized municipalities and chartered cities to reclaim **foreshore** lands. The two Resolutions in the *Ponce Cases* upheld the Cebu City ordinance only with respect to foreshore areas, and nullified the same with respect to submerged areas. Thus, the 27 June 1965 Resolution made the injunction of the trial court against the City of Cebu ‘permanent insofar x x x as the area outside or beyond the foreshore land proper is concerned.’

As we held in the 1998 case of *Republic Real Estate Corporation v. Court of Appeals*, citing the *Ponce Cases*, R.A. 1899 applies only to foreshore lands, not to **submerged** lands. In his concurring opinion in *Republic Real Estate Corporation*, Justice Reynato S. Puno stated that under Commonwealth Act No. 141, ‘foreshore and lands under water were not to be alienated and sold to private parties,’ and that such lands ‘remained property of the State.’ Justice Puno emphasized that ‘Commonwealth Act No. 141 has remained in effect at present.’ The instant case involves principally submerged lands within Manila Bay. On this score, the *Ponce Cases*, which were decided based on R.A. 1899, are not applicable to the instant case.” (*Chavez v. Public Estates Authority*, G.R. No. 133250, November 11, 2003)

4.3. Constitutional Ban on Acquisition of Alienable Public Lands and Public Corporation; End-user Government Agency Doctrine

A local government unit is a public corporation and is qualified, under the 1935, 1973, and 1987 Constitutions, to hold alienable or even inalienable lands of the public domain. There is no dispute that a public corporation is not covered by the constitutional ban on acquisition of alienable public lands. Both the July 9, 2002 Decision and the May 6, 2003 Resolution of the Supreme Court in *Chavez v. Public Estates Authority*³⁴ expressly recognized this. In that case, the Public Estate Authority (PEA) was considered not an end-user agency with respect to the reclaimed lands under the Amended JVA involved therein. As explained in its May 6, 2003 Resolution: PEA is the central implementing agency tasked to undertake reclamation projects nationwide.

The Supreme Court distinguished PEA from Cebu City in the *Ponce Cases* where it was held that Cebu City is an end user government agency, just like the Bases Conversion and Development Authority or the Department of Foreign Affairs. Thus, Congress may by law transfer public lands to the City of Cebu to be used for municipal purposes, which may be public or patrimonial. Lands thus acquired by the City of Cebu for a public purpose may not be sold to private parties. However, lands so acquired by the City of Cebu for a patrimonial purpose may be sold to private parties, including private corporations.

In *Philippine Fisheries Development Authority v. CA*,³⁵ it was held that the Iloilo Fishing Port Complex (IFPC) which was constructed by the State for public use and/or public service falls within the term “port” in Article 420 of the New Civil Code of the Philippines which provides that, “The following things are property of public dominion: (1) Those intended for public use, such as roads, canals, rivers, torrents, ports and bridges constructed by the State, banks, shores, roadsteads, and others of similar character; (2) Those which belong to the State, without being for public use, and are intended for some public service or for the development of the national wealth.”

³⁴*Supra.*

³⁵G.R. No. 169836, July 31, 2007.

In that case, it was held that being a property of public dominion, the port cannot be subject to execution or foreclosure sale. Whether there are improvements in the fishing port complex that should not be construed to be embraced within the term “port” involved evidentiary matters that were not addressed in that case. Since the Philippine Fisheries Development Authority is a national government instrumentality, the doubt on whether the entire IFPC may be levied upon to satisfy the tax delinquency was resolved against the City of Iloilo.

In the later case of *Philippine Fisheries Development Authority v. CA*,³⁶ it was likewise held that the Navotas Fishing Port Complex (NFPC) cannot be sold at public auction in satisfaction of the tax delinquency assessments made by the Municipality of Navotas on the entire complex. It was likewise held that the land on which the NFPC property sits is a reclaimed land, which belongs to the State. It may be recalled that in *Chavez v. Public Estates Authority (the Amari case)* the Court declared that reclaimed lands are lands of the public domain and cannot, without Congressional fiat, be subject of a sale, public or private.

➤ 5. To enter into contracts

As corporate body, municipal corporations can enter into contracts. These contracts must likewise be respected by Congress such that obligations arising out of municipal contracts cannot likewise be impaired by Congress.³⁷

Unless otherwise provided in the Code, no contract may be entered into by the local chief executive in behalf of the local government unit without prior authorization by the *sanggunian* concerned. A legible copy of such contract shall be posted at a conspicuous place in the provincial capitol or the city, municipal or *barangay* hall.³⁸

5.1. Requisites of a Valid Local Government Contract

The following are the conditions under which a local executive may enter into a contract in behalf of the government unit:

³⁶G.R. No. 150301, October 2, 2007.

³⁷See Roger W. Cooley, *supra*.

³⁸Sec. 22(c), LGC of 1991.

(a) The local government unit must have the **power** to enter into the particular contract;

(b) Pursuant to Section 22(c) of the LGC of 1991, there must be a **prior authorization by the *sanggunian*** concerned, and a legible copy of the contract shall be **posted** at a conspicuous place in the provincial capitol or the city, municipal or *barangay* hall;

(c) In accordance with Sections 46 and 47, Chapter 8, Subtitle B, Book V of the 1987 Administrative Code, if the contract involves the expenditure of public funds, there should be an **actual appropriation** and a **certificate of availability of funds** by the treasurer of the local government unit;

(d) The contract must conform with the **formal requisites** of written contracts prescribed by law;

(e) Pursuant to Section 2068 of the Revised Administrative Code, if a province is a party to a contract conveying title to real property, the contract must be approved by the **President**. Under Section 2196 of the Revised Administrative Code, if a municipality is a party to a contract conveying real property or any interest in it or creating a lien upon it, the contract must be approved by the provincial **Governor**.

It has also been ruled that statutes requiring public bidding apply to amendments of any contract already executed in compliance with the law where such amendments alter the original contract in some vital and essential particulars.³⁹

5.2. Meaning of “Prior Authorization by the *Sanggunian*”

In the landmark case of *Quisumbing v. Garcia*,⁴⁰ one of the questions resolved there was whether or not the appropriation ordinance referred to in Section 346 in relation to Section 306 of Republic Act No. 7160 is the same prior authorization required under Section 22(c) of the same law. Stated differently, the question was whether or not in the absence of a specific resolution authorizing

³⁹Rufus Rodriguez, *supra*, citing *Morse v. Boston*, 148 N.E. 813; 253 Mass. 247.

⁴⁰G.R. No. 175527, December 8, 2008; *see also* *Vercelles, Jr. v. COA*, G.R. No. 211553, September 13, 2016 and *Germar v. Legaspi*, G.R. No. 232532, October 1, 2018.

the Governor to enter into certain contracts a general appropriation ordinance covering the monetary obligations imposed by the projects involved in the contracts would suffice.

In that *Quisumbing case*, the *Sangguniang Panlalawigan* of Cebu Province failed to enact an appropriation ordinance for the year 2004 such that the previous year's budget was automatically reenacted pursuant to law. Governor Garcia insisted on the existence of appropriation ordinances that allegedly authorized her to enter into the questioned contracts. Apparently, the governor was referring to a reenacted ordinance, which, according to the Supreme Court should only cover the "annual appropriations for salaries and wages of existing positions, statutory and contractual obligations, and essential operating expenses authorized in the annual and supplemental budgets for the preceding year."

The Supreme Court ruled:

"The question of whether a *sanggunian* authorization separate from the appropriation ordinance is required should be resolved depending on the particular circumstances of the case. Resort to the appropriation ordinance is necessary in order to determine if there is a provision therein which specifically covers the expense to be incurred or the contract to be entered into. Should the appropriation ordinance, for instance, already contain in sufficient detail the project and cost of a capital outlay such that all that the local chief executive needs to do after undergoing the requisite public bidding is to execute the contract, no further authorization is required, the appropriation ordinance already being sufficient.

On the other hand, should the appropriation ordinance describe the projects in generic terms such as 'infrastructure projects,' 'inter-municipal waterworks, drainage and sewerage, flood control, and irrigation systems projects,' 'reclamation projects' or 'roads and bridges,' there is an obvious need for a covering contract for every specific project that in turn requires approval by the *sanggunian*. Specific *sanggunian* approval may also be required for the purchase of goods and services which are neither specified in the appropriation ordinance nor encompassed within the regular personal services and maintenance operating expenses."

5.3. Effects of Noncompliance with the Requisites

When a contract is entered into without compliance with (a) and (c) requisites above, the same is *ultra vires* and is null and void. Such contract cannot be ratified or validated. Ratification of defective municipal contracts is possible only when there is noncompliance with (b) and (d) requirements above. Ratification may either be express or implied. Thus, it had been held that an act which is outside of the municipality's jurisdiction is considered as a *void ultra vires act*, while an act attended only by an irregularity but remains within the municipality's power is considered as an *ultra vires act subject to ratification and/or validation*. To the former belongs municipal contracts which (a) are entered into beyond the express, implied or inherent powers of the LGU; and (b) do not comply with the substantive requirements of law *e.g.*, when expenditure of public funds is to be made, there must be an actual appropriation and certificate of availability of funds; while to the latter belongs those which (a) are entered into by the improper department, board, officer or agent; and (b) do not comply with the formal requirements of a written contract *e.g.*, the Statute of Frauds.⁴¹

The *Doctrine of Estoppel* will not apply to void contracts as when the LGU already received benefits because it will only validate an otherwise void contract. On the other hand, the *Doctrine of Implied Municipal Liability* applies to transactions without contracts but could have been valid had one been entered into, to the extent of the benefit received.⁴²

In *Quezon City v. Lexber, Inc.*,⁴³ a Tri-Partite Memorandum of Agreement was drawn between petitioner City of Quezon, represented by its then Mayor Brigido R. Simon, Jr., respondent Lexber, Inc. and the then Municipality of Antipolo, whereby a 26,010 square meter parcel of land located in Antipolo was to be used as a garbage dumping site by petitioner and other Metro Manila cities or municipalities authorized by the latter, for a five (5)-year period. Dumping commenced with Lexber, Inc. as the exclusive supplier of manpower, heavy equipment and engineering services for the dumpsite, but payment was later on withheld by the new administration on the ground that the contract was entered

⁴¹Land Bank v. Cacayuran, G.R. No. 191667, April 17, 2013.

⁴²*Ibid.*

⁴³G.R. No. 141616, March 15, 2001.

into without the prior appropriation by the City Council. It was held that the City of Quezon was liable to pay to Lexber, Inc. despite the absence of a prior authorization from the City Council. It was held that public funds may be disbursed not only pursuant to an appropriation law, but also in pursuance of other specific statutory authority, *i.e.*, Section 84 of Presidential Decree No. 1445, for example. Thus, when a contract was entered into by a city mayor pursuant to specific statutory authority, the law, *i.e.*, Presidential Decree No. 1445, allows the disbursement of funds from any public treasury or depository therefor. It can thus be plainly seen that the law invoked by petitioner Quezon City itself provides that an appropriation law is not the only authority upon which public funds shall be disbursed.

It was also observed that then Mayor Brigido Simon, Jr. did not enter into the subject contract without legal authority as the Local Government Code of 1983, or Batas Pambansa Blg. 337, which was then in force, specifically and exclusively empowered the city mayor to "represent the city in its business transactions, and sign all warrants drawn on the city treasury and all bonds, contracts and obligations of the city." Such power granted to the city mayor by Batas Pambansa Blg. 337 was not qualified nor restricted by any prior action or authority of the city council. The Court notes that while the subsequent Local Government Code of 1991, which took effect after the execution of the subject contracts, provides that the mayor's representation must be "upon authority of the *sangguniang panlungsod* or pursuant to law or ordinance," there was no such qualification under the old code.

Where, however, the City Mayor (under Section 455[b][1][vi] of LGC of 1991) or the Governor (under Section 465[b][1][vi] of LGC of 1991) is already authorized by "law" or "ordinance" to represent the city or the province, as the case may be, in its business transactions, no prior authorization by the *Sanggunian* concerned is required. These are the exceptions to Section 22(c) of the LGC of 1991.⁴⁴ Interestingly, there is no similar provision for Mayor of Municipality and *Punong Barangay*, where prior authorization by the *Sanggunian* appears to be always a requirement.⁴⁵

⁴⁴See DILG Opinion No. 20, s. 2006; DILG Opinion No. 3, s. 2015; DILG Opinion No. 39, s. 2019.

⁴⁵See Secs. 444(b)(1)(vi) and 389(b)(1)(2) of LGC of 1991.

 Power to Negotiate and Secure Grants

Local chief executives may, upon authority of the *sanggunian*, negotiate and secure financial grants or donations in kind, in support of the basic services or facilities enumerated under Section 17 of the LGC of 1991, from local and foreign assistance agencies without necessity of securing clearance or approval therefor from any department, agency, or office of the national government or from any higher local government unit. However, such projects financed by such grants or assistance with national security implications shall be approved by the national agency concerned, provided that when such national agency fails to act on the request for approval within 30 days from receipt thereof, the same shall be deemed approved. The local chief executive shall, within 30 days upon signing of such grant agreement or deed of donation, report the nature, amount, and terms of such assistance to both Houses of Congress and the President.⁴⁶

⁴⁶Sec. 23, LGC of 1991.

Chapter 15

LIABILITY FOR DAMAGES

-----> Liability for Defective Public Works

Provinces, cities and municipalities shall be liable for damages for the death of, or injuries suffered by, any person by reason of the defective condition of roads, streets, bridges, public buildings, and other public works under their control or supervision.¹ The extent of liability for damages shall be governed by the provisions of the Civil Code on *quasi-delicts*.²

Under Article 2189 of the Civil Code, it is not necessary for the liability therein established to attach that the defective roads or streets belong to the province, city or municipality from which responsibility is exacted. What said article requires is that the province, city or municipality has either “control or supervision” over said street or road. The law requires “control and supervision” only for liability to arise, regardless of “ownership.” The Civil Code, a general law in application, is specific on “defective conditions of roads, etc.”³

In ***Jimenez v. City of Manila***,⁴ the victim fell in an uncovered opening in a public market which was managed by a private corporation, Asiatic Integrated Corporation. Respondent City of Manila maintained that it cannot be held liable for the injuries sustained by the petitioner because under the Management and Operating Contract, Asiatic Integrated Corporation assumed all responsibility for damages which may be suffered by third persons for any cause attributable to it. It was held that under the Management and Operating Contract, however, the City of Manila continued to retain “supervisory powers” over the management and operation of

¹Art. 2189, New Civil Code of the Philippines.

²Art. 471, Rules and Regulations Implementing the LGC of 1991.

³*City of Manila v. Teotico*, 130 Phil. 244, 250 (1968).

⁴150 SCRA 510 (1987).

the public market. It was also held that under Article 2189 of the Civil Code, it is not necessary for the liability therein established to attach, that the defective public works belong to the province, city or municipality from which responsibility is exacted. What said article requires is that the province, city or municipality has either "control or supervision" over the public building in question. The fact of supervision and control of the City of Manila over the subject public market was admitted by Mayor Ramon Bagatsing in his letter to Secretary of Finance Cesar Virata. In fact, the City of Manila employed a market master for the Sta. Ana Public Market whose primary duty is to take direct supervision and control of that particular market, more specifically, to check the safety of the place for the public.

In *Guilatco v. City of Dagupan*,⁵ the victim, a court interpreter, fell in an open manhole in the sidewalk along Perez Boulevard in the City of Dagupan. The city contended that Perez Boulevard, where the fatal drainage hole is located, is a national road that is not under the control or supervision of the City of Dagupan, hence, no liability should attach to the city. It submitted that it was actually the Ministry of Public Highways that had control or supervision through the Highway Engineer which, by mere coincidence, is held concurrently by the same person who is also the City Engineer of Dagupan.

It was, once again, held that it is not necessary for the defective road or street to belong to the province, city or municipality for liability to attach because Article 2189 of the New Civil Code only requires that either control or supervision is exercised over the defective road or street. In that case, the control or supervision was provided for in the charter of Dagupan and was exercised through the City Engineer. The same charter of Dagupan also provided that the laying out, construction and improvement of streets, avenues and alleys and sidewalks, and regulation of the use thereof, may be legislated by the Municipal Board. Thus, the charter clearly indicated that the city indeed has supervision and control over the sidewalk where the open drainage hole is located.

In *Municipality of San Juan, Metro Manila v. CA*,⁶ a "Contract For Water Service Connections" was entered into by and between the MWSS and Kwok Cheung under which the former

⁵171 SCRA 382 (1989).

⁶G.R. No. 121920, August 9, 2005.

engaged the services of the latter to install water service connections. Only 3/4 of the job was finished in view of the fact that the workers were still required to re-excavate that particular portion for the tapping of pipes for the water connections to the concessionaires. Later, petitioner met an accident (humerus broken) since her car fell on a manhole where the workers of Kwek Cheung had earlier made excavations. It was argued that under Section 149(1)(z) of the LGC of 1991, a local government unit has control or supervision only over municipal and not national roads. It was held that under Par. (1)(bb) of Section 149, *supra*, of the LGC of 1991, the phrases "regulate the drilling and excavation of the ground for the laying of gas, water, sewer, and other pipes," and "adopt measures to ensure public safety against open canals, manholes, live wires and other similar hazards to life and property," are not modified by the term "municipal road." The municipality's liability for injuries caused by its failure to regulate the drilling and excavation of the ground for the laying of gas, water, sewer, and other pipes, attaches regardless of whether the drilling or excavation is made on a national or municipal road, for as long as the same is within its territorial jurisdiction.

➤ Liability for Torts (*Quasi-delict*)

Despite the clear language of Section 24, Republic Act No. 7160, it is still unclear whether liability will attach in case regular employees or officers of local government units who caused damage to another by negligence when the local government unit concerned is engaged in governmental functions. Supreme Court decisions, interpreting legal provisions existing prior to the effectivity of the LGC of 1991, had dichotomized the rule on this matter. It had been ruled that if the local government unit is engaged in governmental functions, it is not liable for such damages. But, if it is engaged in proprietary functions, the local government unit is liable.

In *Municipality of San Fernando (La Union) v. Firme*,⁷ the municipality was not held liable for torts committed by a regular employee, even if the dump truck used belonged to the municipality, inasmuch as the employee, the driver of the dump truck, was discharging governmental function (public works). It was there held that municipal corporations are generally not liable for torts committed by them in the discharge of governmental functions and can only be held answerable only if it can be shown that they

⁷195 SCRA 692 (1991).

were acting in proprietary capacity. In permitting such entities to be sued, the State merely gives the claimant the right to show that the defendant was not acting in governmental capacity when the injury was committed or that the case comes under the exceptions recognized by law, failing this, the claimant cannot recover.

However, under Section 24 of the LGC of 1991, local government units and their officials "are not exempt from liability for death or injury to persons or damage to property." No distinction is made whether the local government is performing a governmental or proprietary function. It is a cardinal principle in statutory construction that where the law does not distinguish courts should not distinguish.⁸

In the case of *Sps. Jayme v. Apostol*,⁹ the Supreme Court reiterated the doctrine laid down in *Municipality of San Fernando Case*. There, the driver assigned to the Mayor hit a minor, who was then crossing the national highway, while driving at a very high speed. It was held that while the Municipality (now City) of Koronadal may be held liable for the tortious act of the driver assigned to the Mayor, being the real employer of the driver, "the municipality may not be sued because it is an agency of the State engaged in governmental functions and, hence, immune from suit." It is here respectfully submitted that the Supreme Court may have referred to the "liability" and not "suability" of the local government unit, for indeed this is the ruling of the Supreme Court in the earlier *Municipality of San Fernando Case*. The decision, however, did not apply Section 24 of the LGC of 1991 as the incident took place on February 5, 1989.

As for the liability of the local government unit, Article 2180 of the New Civil Code is explicit that the obligation imposed by Article 2176 is demandable not only for one's own acts or omissions, but also for those of persons for whom one is responsible. The State is responsible in like manner when it acts through a special agent, but not when the damage has been caused by the official to whom the task done properly pertains, in which case what is provided in Article 2176 shall be applicable. The responsibility treated of in this article shall cease when the persons herein mentioned prove that they observed all the diligence of a good father of a family to prevent damage.

⁸De Villa v. Court of Appeals, G.R. No. 87416, April 8, 1991.

⁹G.R. No. 163609, November 27, 2008.

The responsibility of the state is limited to cases wherein it acts through a special agent (and a special agent, in the sense in which these words are employed, is one who receives a definite and fixed order or commission, foreign to the exercise of the duties of his office if he is a special official) so that in representation of the state and being bound to act as an agent thereof he executed the trust confided to him. This concept does not apply to any executive agent who is an employee of the active administration and who in his own responsibility performs the functions which are inherent in and naturally pertain to his office and which are regulated by law and the regulations.¹⁰

By consenting to be sued a state simply waives its immunity from suit. It does not thereby concede its liability to plaintiff, or create any cause of action in his favor, or extend its liability to any cause not previously recognized. It merely gives a remedy to enforce a preexisting liability and submits itself to the jurisdiction of the court, subject to its right to interpose any lawful defense.¹¹

Officers and agents of municipal corporations charged with the performance of governmental duties which are in their nature legislative, judicial, or quasi-judicial, are not liable for the consequences of their official act unless it be shown that they act willfully and maliciously, with the express purpose of inflicting injury upon the plaintiff. Officers of municipalities charged with the administration of patrimonial property of a municipal corporation are liable for mismanagement of its affairs as are directors or managing officers of private corporations; not for mere mistakes of judgment, but only when their acts are so far opposed to the true interests of the municipality as to lead to the clear inference that no one thus acting could have been influenced by any honest desire to secure such interests, but that they must have acted with an intent to subserve some outside purpose regardless of the consequences to the municipality and in a manner inconsistent with its interest. This is the ruling of the Supreme Court in *Mendoza v. de Leon*,¹² where the councilors therein were held personally liable for damages for their wrongful act of rescinding a valid contract of lease with therein plaintiff without lawful and justifiable grounds.

¹⁰Supreme Court of Spain, May 18, 1904; 98 Jur. Civ., 389, 390.

¹¹Meritt v. Government of PI, G.R. No. 11154, March 21, 1916.

¹²33 Phil. 508, G.R. No. 9596, February 11, 1916.

In the case of *Torio v. Fontanilla*,¹³ the Municipal Council of Malasiqui ordered the construction of a wooden stage for a play during a *fiesta* celebration. The stage, however, collapsed causing serious physical injuries to the participants. It was ruled that the municipality should be held liable for the incident as the holding of the *fiesta* was an exercise of a proprietary function. It was an act for the special benefit of the community and not for the general welfare of the public performed in pursuance of the policy of the state. The councilors were, however, absolved from liability. It was held that the councilors can be likened to the members of the board of directors of a private corporation enjoying separate and distinct personality, since the celebration of the town *fiesta* is not a governmental function. As such, they are not liable for damages for negligence of the agent and the employees of the municipality unless there is a showing of bad faith or gross negligence on their part.

In *City of Manila v. IAC*,¹⁴ it was held that in the absence of a special law, the North Cemetery is a patrimonial property of the City of Manila which was created by resolution of the Municipal Board of August 27, 1903 and January 7, 1904. It was observed that the administration and government of the cemetery were under the City Health Officer, and the order and police of the cemetery, the opening of graves, niches, or tombs, the exhuming of remains, and the purification of the same were under the charge and responsibility of the superintendent of the cemetery. The City of Manila furthermore prescribed the procedure and guidelines for the use and dispositions of burial lots and plots within the North Cemetery through Administrative Order No. 5, s. 1975. With the acts of dominion, there is, therefore no doubt that the North Cemetery was within the class of property which the City of Manila owns in its proprietary or private character. It was further observed that the burial lot was leased in favor of the private respondents. As the operation of the public cemetery was found to be a proprietary function of the City of Manila, the City was undoubtedly liable for the tortuous acts of its employees, under the principle of *respondet superior*.

¹³85 SCRA 599 (1978).

¹⁴179 SCRA 428 (1989).

-----> Liability for Contracts

A local government unit is a political body corporate and as such endowed with the faculties of municipal corporations to be exercised by and through its city government in conformity with law, and in its proper corporate name. It may sue and be sued, and contract and be contracted with. Its powers are two-fold in character — public, governmental or political on the one hand, and corporate, private and proprietary on the other. Governmental powers are those exercised in administering the powers of the state and promoting the public welfare, and they include the exercise of legislative, judicial, public and political functions. Municipal powers on the one hand are exercised for the special benefit and advantage of the community and include those which are ministerial, private and corporate.

In *McQuillin on Municipal Corporation*, the rule is stated thus: "A municipal corporation proper has . . . a public character as regards the state at large insofar as it is its agent in government, and private (so called) insofar as it is to promote local necessities and conveniences for its own community. (*Torio v. Fontanilla*, 85 SCRA 599 [1978]) In connection with the powers of a municipal corporation, it may acquire property in its public or governmental capacity, and private or proprietary capacity. The New Civil Code divides such properties into property for public use and patrimonial properties (Article 423), and further enumerates the properties for public use as provincial roads, city streets, municipal streets, the squares, fountains, public waters, promenades, and public works for public service paid for by said provisions, cities or municipalities, all other property is patrimonial without prejudice to the provisions of special laws. (*Article 424; Province of Zamboanga del Norte v. City of Zamboanga, et al.*, 22 SCRA 1334 [1968]) Thus, in *Torio v. Fontanilla*, *supra*, the Court declared that with respect to proprietary functions the settled rule is that a municipal corporation can be held liable to third persons *ex contractu* (*Municipality of Moncada v. Cajuigan, et al.*, 21 Phil. 184 [1912]) or *ex delicto* (*Mendoza v. de Leon*, 33 Phil. 508 [1916]).¹⁶

¹⁶*City of Manila v. IAC*, G.R. No. 71159, November 15, 1989.

1. Doctrine of Implied Municipal Liability

Under the **Doctrine of Implied Municipal Liability**, a municipality may become obligated upon an implied contract to pay the reasonable value of the benefits accepted or appropriated by it as to which it has the general power to contract. The doctrine of implied municipal liability has been said to apply to all cases where money or other property of a party is received under such circumstances that the general law, independent of express contract implies an obligation upon the municipality to do justice with respect to the same.¹⁶

This principle of liability rests upon the theory that the obligation implied by law to pay does not originate in the unlawful contract, but arises from considerations outside it. The measure of recovery is the benefit received by the municipal corporation. The amount of the loan, the value of the property or services, or the compensation specified in the contract, is not the measure. If the price named in the invalid contract is shown to be entirely fair and reasonable not only in view of the labor done, but also in reference to the benefits conferred, it may be taken as the true measure of recovery.¹⁷

Thus, in *Province of Cebu v. IAC*,¹⁸ it was held that the Province of Cebu cannot set up the plea that the contract it entered into was *ultra vires* in order to escape liability as it already retained benefits thereunder. Having regarded the contract as valid for purposes of reaping benefits, the Province of Cebu was considered estopped from questioning its validity for the purpose of denying answerability.

2. Doctrine of Estoppel, Not Applicable to Void Contracts

The Doctrine of Implied Municipal Liability, however, has limitations. Being an application of the **Doctrine of Estoppel**, it cannot be applied against a municipal corporation in order to validate a contract which the municipal corporation has no power to make or

¹⁶38 Am. Jur. Section 515, p. 193; *Argenti v. City of San Francisco*, 16 Cal. 255.

¹⁷*Ibid.*

¹⁸147 SCRA 44 (1987).

which it is authorized only to make under prescribed limitations or in a prescribed mode or manner — even if the municipal corporation has accepted benefits thereunder.¹⁹

A reason frequently assigned for this rule is that to apply the doctrine of estoppel against a municipality in such case would be to enable it to do indirectly what it cannot do directly. Also, where a contract is violative of public policy, the municipality executing it cannot be estopped to assert the invalidity on this ground; nor can it be estopped to assert the invalidity of a contract which has ceded away, controlled, or embarrassed its legislative or government powers.²⁰

Thus, in *San Diego v. Municipality of Naujan*,²¹ the Supreme Court rejected the *doctrine of estoppel*, because to apply the principle would enable the municipality to do indirectly what it cannot do directly. This case involved an original lease contract which was awarded to the highest bidder, but the reduction of the rental and the extension of the term of the lease appear to have been granted without previous public bidding. The case cited *Caltex (Phil.), Inc., et al. v. Delgado Bros., Inc., et al.*,²² which declared null and void the amendment to an arrastre contract which was made without previous public bidding.

-----> Liability for Illegal Dismissal of Employees

An illegally dismissed government employee who is later ordered reinstated is entitled to backwages and other monetary benefits from the time of his illegal dismissal up to his reinstatement. This is only fair and just because an employee who is reinstated after having been illegally dismissed is considered as not having left his office and should be given the corresponding compensation at the time of his reinstatement. But, who should be held liable for the backwages and other monetary benefits, the local government unit or the officer who effected the illegal dismissal?

¹⁹38 Am. Jur. pp. 202-204; see also *Favis v. Municipality of Sabangan*, 27 SCRA 92 (1969).

²⁰38 Am. Jur., pp. 202-204.

²¹107 Phil. 118 (1960).

²²96 Phil. 368 (1954).

1. Municipal Liability

In *Municipality of Jasaan v. Gentallan*,²³ Mayor Salcedo appointed Gentallan as Local Civil Registrar. The Civil Service Commission approved her appointment as permanent. But Asis, a research aide in the Office of the Local Civil Registrar, filed a protest on the ground that petitioner is not a qualified next-in-rank. The Civil Service Commission later on reviewed Gentallan's qualifications and eventually ruled that she was actually not qualified. The Mayor who followed Salcedo then ordered Gentallan to vacate the post as Local Civil Registrar and directed her to assume her former position as Assistant Registration Officer. Gentallan immediately filed a case for *Mandamus* and Damages which case was finally decided in her favor. It was held that as a permanent appointee to the position, Gentallan enjoyed security of tenure and that she was therefore entitled to all benefits, rights and privileges attached to the position.

On the issue of whether or not it was the Municipality of Jasaan or Gentallan's Superiors, who dismissed her, who should be held liable for damages, it was held that since there was no finding of malice or bad faith which attended the illegal dismissal and refusal to reinstate Gentallan by her superior officers, the latter cannot be held personally accountable for her back salaries. The municipal government was ordered to disburse funds to answer for Gentallan's claims resulting from dismissal.

Where, however, the local government unit has approved or permitted the illegal act of its officials in removing its employees, it may be held liable jointly and severally with the guilty public official. In *Laganapan v. Asedillo*,²⁴ after the summary dismissal of therein petitioner by respondent Mayor Asedillo on February 16, 1967, the Municipal Council of Kalayaan instead of opposing or at least protesting the petitioner's summary dismissal from his position, even abolished the appropriation for the salary of the Chief of Police of Kalayaan, Laguna. The Supreme Court considered this act of the Municipal Council of Kalayaan as an approval or confirmation of the act of respondent Mayor in summarily dismissing the petitioner, as to make said municipality equally liable as respondent Mayor for the reinstatement of petitioner and for the payment of his back

²³G.R. No. 154961, May 9, 2005.

²⁴G.R. No. 28353, September 30, 1987.

salaries. The Supreme Court also found no merit in the contention of the respondent Municipality of Kalayaan, Laguna that Mayor Elpidio Asedillo alone should be held liable for the back salaries of the petitioner, because the records show that the action was instituted against Mayor Asedillo, not personally, but in his capacity as Municipal Mayor of Kalayaan, Laguna, and he appeared and defended the action in such capacity.

➤ Enforcement of Monetary Judgment

One of the available remedies of a person who has obtained a favorable monetary judgment from the court in a case filed against a local government unit is to levy on the patrimonial properties of the local government unit.

In *Municipality of Paoay v. Manaois*,²⁵ the Supreme Court ruled that “property, however, which is patrimonial and which is held by a municipality in its proprietary capacity as treated by the great weight of authority as the private asset of the town and may be levied upon and sold under an ordinary execution.”

But, if the local government does not have patrimonial properties, the remedy of the judgment creditor is to file a petition for *mandamus* to compel it to appropriate money to satisfy the judgment. In *Municipality of Makati v. Court of Appeals*,²⁶ the Supreme Court said that “when a municipality fails or refuses, without justifiable reason, to effect payment of a final money judgment rendered against it, the claimant may avail of the remedy of *mandamus* in order to compel the enactment and approval of the necessary appropriation ordinance, and the corresponding disbursement of municipal funds therefor.”

As his other option, he can file the money claim with the Commission on Audit (COA).

However, the money of a local government unit in the bank cannot be garnished if it came from public funds. As held in *Municipality of Makati v. Court of Appeals*,²⁷ public funds are exempted from garnishment.

²⁵86 Phil. 629, 632 (1950).

²⁶190 SCRA 206, 213 (1990).

²⁷*Ibid.*

 Personal Liability of Officials

The general rule is that public officials can be held personally accountable for acts claimed to have been performed in connection with official duties where they have acted *ultra vires* or where there is a showing of bad faith.²⁸

Thus, in ***Rama v. CA***,²⁹ the governor, vice-governor, members of the *Sangguniang Panlalawigan*, provincial auditor, provincial treasurer and provincial engineer were ordered to pay, jointly and severally in their individual and personal capacity, damages to some 200 employees of the Province of Cebu who were eased out from their positions simply because of their party affiliations.

In ***Salcedo v. Court of Appeals***,³⁰ the municipal mayor was held liable for the back salaries of the Chief of Police he had dismissed, not only because the dismissal was arbitrary but also because the mayor refused to reinstate him in defiance of an order of the Commissioner of Civil Service to reinstate.

In ***Nemenzo v. Sabillano***,³¹ the municipal mayor was held personally liable for dismissing a police corporal who possessed the necessary civil service eligibility, the dismissal being done without justifiable cause and without any administrative investigation.

In ***Correa v. CFI of Bulacan***,³² Correa and Sarmiento, municipal mayor and municipal treasurer of Norzagaray, Bulacan, respectively, were ordered to personally pay the salaries which the removed employees failed to receive by reason of their illegal removal from office until they are actually reinstated. It was held that in the discharge of governmental functions, "municipal corporations are responsible for the acts of its officers, except if and when, and only to the extent that, they have acted by authority of the law, and in conformity with the requirements thereof." A public officer who commits a tort or other wrongful act, done in excess or beyond the scope of his duty, is not protected by his office and is personally liable therefor like any private individual. This principle of personal liability has been applied to cases where a public officer removes another officer or discharges an employee wrongfully, the reported

²⁸Chavez v. SB, G.R. No. 91391, January 24, 1991.

²⁹148 SCRA 496 (1987).

³⁰G.R. No. L-40846, January 31, 1978.

³¹G.R. No. L-20977, September 7, 1968.

³²92 SCRA 312 (1979).

cases saying that by reason of noncompliance with the requirements of law in respect to removal from office, the officials were acting outside their official authority.

In *Land Bank of the Philippines v. Cacayuran*,³³ it was held that while the subject loans therein cannot bind the Municipality for being *ultra vires*, the officers who authorized the passage of the subject resolutions are personally liable. Indeed, case law states that public officials can be held personally accountable for acts claimed to have been performed in connection with official duties where they have acted *ultra vires*.

However, legislative officers are not personally liable for the adoption of ordinances. They are of course exempt from individual liability for the passage of any ordinance within their authority, and their motives in reference thereto will not be inquired into; nor are they individually liable for the passage of any ordinance not authorized by their powers; for such ordinance is void, and need not be obeyed.³⁴

³³G.R. No. 191667, April 17, 2013.

³⁴John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), p. 918, citing *Jones v. Loving*, 55 Miss. 109.

Chapter 16

ELECTIVE OFFICIALS .

Qualifications and Elections

1. Qualifications

Section 39 of the LGC of 1991 lists the following as qualifications for local elective officials, thus:

(a) An elective local official must be a citizen of the Philippines; a registered voter in the *barangay*, municipality, city, or province or, in the case of a member of the *sangguniang panlalawigan*, *sangguniang panlungsod*, or *sangguniang bayan*, the district where he intends to be elected; a resident therein for at least one (1) year immediately preceding the day of the election; and able to read and write Filipino or any other local language or dialect.

(b) Candidates for the position of governor, vice-governor or member of the *sangguniang panlalawigan*, or mayor, vice-mayor or member of the *sangguniang panlungsod* of highly urbanized cities must be at least 23 years of age on election day.

(c) Candidates for the position of mayor or vice-mayor of independent component cities, component cities, or municipalities must be at least 21 years of age on election day.

(d) Candidates for the position of member of the *sangguniang panlungsod* or *sangguniang bayan* must be at least 18 years of age on election day.

(e) Candidates for the position of *punong barangay* or member of the *sangguniang barangay* must be at least 18 years of age on election day.

(f) Candidates for the *sangguniang kabataan* must be at least 15 years of age but not more than 21 years of age on election day.

1.1. Citizenship

While certain national officials like the President, Vice-President, members of Congress, etc. must be natural-born Filipinos, local elective officials need not be natural-born Filipinos. It is sufficient that they are citizens of the Philippines. Thus, a foreigner who has been validly naturalized may be qualified to be a local elective official. Natural-born citizens are those who are citizens of the Philippines from birth without having to perform any act to acquire or perfect their Philippine citizenship. Those who elect Philippine citizenship in accordance with Par. (3), Section 1, Article IV of the 1987 Constitution shall be deemed natural-born citizens.¹

An interesting question was resolved by the Supreme Court in the landmark case of *Frivaldo v. COMELEC*.² After having been declared earlier as a non-Filipino citizen, Frivaldo applied for repatriation on August 17, 1994. It was not immediately processed and granted as the Special Committee on Naturalization was made inactive at that time. When Frivaldo filed his Certificate of Candidacy for the May 1995 elections, his application for repatriation remained pending. Frivaldo was, however, overwhelmingly elected Governor of Sorsogon by a wide margin of 20,000 against his opponent. At this time, his application remained pending. At 2:00 in the afternoon of June 30, 1995, however, Frivaldo's application for repatriation was approved and completed.

It was argued that Frivaldo should have already possessed the citizenship qualification at least on the day he was elected. It was held that the citizenship qualification under Section 39 of the Local Government Code of 1991 was for "elective" officials, not for "candidates" such that the qualifications for local elective officials need only be possessed upon the taking of oath of office and upon the beginning of the term of the official concerned. It was also held that the repatriation of Frivaldo "retroacted" to the date of the filing of his application on August 17, 1994 such that at the time of the filing his certificate of candidacy and at the time he was overwhelmingly elected governor, he was deemed to have already re-acquired his Filipino citizenship.

¹Sec. 2, Art. IV, 1987 Constitution.

²257 SCRA 727 (1996).

The Supreme Court said:

"Philippine citizenship is an indispensable requirement for holding an elective public office, and the purpose of the citizenship qualification is none other than to ensure that no alien, *i.e.*, no person owing allegiance to another nation, shall govern our people and our country or a unit of territory thereof. Now, an official begins to govern or to discharge his functions only upon his proclamation *and on* the day the law mandates his term of office to begin. Since Frivaldo re-assumed his citizenship on June 30, 1995 — the very day the term of office of governor (and other elective officials) began — he was therefore already qualified to be proclaimed, to hold such office and to discharge the functions and responsibilities thereof as of said date. In short, at that time, he was already qualified to govern his native Sorsogon. This is the liberal interpretation that should give spirit, life and meaning to our law on qualifications consistent with the purpose for which such law was enacted. So too, even from a *literal* (as distinguished from *liberal*) construction, it should be noted that Section 39 of the Local Government Code speaks of '*Qualifications*' of 'ELECTIVE OFFICIALS,' *not of candidates*. Why then should such qualification be required at the time of election or at the time of the filing of the certificates of candidacies, as Lee insists? Literally, such qualifications — unless otherwise expressly conditioned, as in the case of age and residence — should thus be possessed when the 'elective [or elected] official' begins to govern, *i.e.*, at the time he is proclaimed *and at* the start of his term — in this case, on June 30, 1995. Paraphrasing this Court's ruling in *Vasquez v. Giapand Li Seng Giap & Sons*, if the purpose of the citizenship requirement is to ensure that our people and country do not end up being governed by aliens, *i.e.*, persons owing allegiance to another nation, that aim or purpose would *not be thwarted but instead achieved* by construing the citizenship qualification as applying to the time of proclamation of the elected official and at the start of his term."

"But perhaps the more difficult objection was the one raised during the oral argument to the effect that the citizenship qualification should be possessed at the time the candidate (or for that matter the elected official) registered as a voter. After all, Section 39, apart from requiring the official to be a citizen, also specifies as another item of qualification, that he be a 'registered voter.' And, under the law a 'voter' must be a citizen of the Philippines. So therefore, Frivaldo could not have been a voter — much less a *validly* registered one — if he was not a citizen at the time of such registration."

"The answer to this problem again lies in discerning the purpose of the requirement. If the law intended the *citizenship* qualification to be possessed prior to election consistent with the requirement of being a registered voter, then it would not have made citizenship a SEPARATE qualification. The law abhors a redundancy. It therefore stands to reason that the law intended CITIZENSHIP to be a qualification distinct from being a VOTER, even if being a voter presumes being a citizen first. It also stands to reason that the voter requirement was included as another qualification (aside from 'citizenship'), not to reiterate the need for nationality but to require that the official be registered as a voter IN THE AREA OR TERRITORY he seeks to govern, i.e., the law states: 'a registered voter in the *barangay*, municipality, city, or province x x x where he intends to be elected.' It should be emphasized that the Local Government Code requires an elective official to be a registered voter. It does not require him to vote *actually*. Hence, registration — not the actual voting — is the core of this 'qualification.' In other words, the law's purpose in this second requirement is to ensure that the prospective official is actually registered in the area he seeks to govern — and not anywhere else."

"Before this Court, Frivaldo has repeatedly emphasized — and Lee has not disputed — that he 'was and is a registered voter of Sorsogon, and his registration as a voter has been sustained as valid by judicial declaration x x x' In fact, he cast his vote in his precinct on May 8, 1995."

"So too, during the oral argument, his counsel steadfastly maintained that 'Mr. Frivaldo has always been a registered voter of Sorsogon. He has voted in 1987, 1988, 1992, then he voted again in 1995. In fact, his eligibility as a voter was questioned, but the court dismissed (*sic*) his eligibility as a voter and he was allowed to vote as in fact, he voted in all the previous elections including on May 8, 1995."

"It is thus clear that Frivaldo is a registered voter in the province where he intended to be elected."

"There is yet another reason why the prime issue of *citizenship* should be reckoned from the date of proclamation, not necessarily the date of election or date of filing of the certificate of candidacy. Section 253 of the Omnibus Election Code gives any voter, presumably including the defeated candidate, the opportunity to question the ELIGIBILITY (or the disloyalty) of a candidate. This is the only provision of the Code that authorizes a remedy on how to contest before the COMELEC an incumbent's ineligibility arising from failure to meet the qualifications enumerated under Sec. 39 of the Local

Government Code. Such remedy of *Quo Warranto* can be availed of 'within ten days after proclamation' of the winning candidate. Hence, it is *only at such time* that the issue of ineligibility may be taken cognizance of by the Commission. And since, at the very moment of Lee's proclamation (8:30 p.m., June 30, 1995), Juan G. Frivaldo was already and indubitably a citizen, having taken his oath of allegiance earlier in the afternoon of the same day, then he should have been the candidate proclaimed as he unquestionably garnered the highest number of votes in the immediately preceding elections and such oath had already cured his previous 'judicially-declared' alienage. Hence, at such time, he was no longer ineligible."

"But to remove all doubts on this important issue, we also hold that the repatriation of Frivaldo RETROACTED to the date of the filing of his application on August 17, 1994." (Citations omitted)

1.2. Residence

Residence, in its ordinary conception, implies the factual relationship of an individual to a certain place. It is the physical presence of a person in a given area, community or country. The essential distinction between residence and domicile in law is that residence involves the intent to leave when the purpose for which the resident has taken up his abode ends. One may seek a place for purposes such as pleasure, business, or health. If a person's intent be to remain, it becomes his domicile; if his intent is to leave as soon as his purpose is established it is residence. It is thus, quite perfectly normal for an individual to have different residences in various places. However, a person can only have a single domicile, unless, for various reasons, he successfully abandons his domicile in favor of another domicile of choice.³

"*Residence*" is used to indicate a place of abode, whether permanent or temporary; "*domicile*" denotes a fixed permanent residence to which, when absent, one has the intention of returning. A man may have a residence in one place and a domicile in another. Residence is not domicile, but domicile is residence coupled with the intention to remain for an unlimited time. A man can have but one domicile for the same purpose at any time, but he may have numerous places of residence. His place of residence is generally his place of domicile, but it is not by any means necessarily so since no

³See *Romualdez-Marcos v. COMELEC*, G.R. No. 119976, September 18, 1995; *Uytengsu v. Republic*, G.R. No. L-6379, September 29, 1954.

length of residence without intention of remaining will constitute domicile. For political purposes the concepts of residence and domicile are dictated by the peculiar criteria of political laws. As these concepts have evolved in our election law, what has clearly and unequivocally emerged is the fact that residence for election purposes is used synonymously with domicile.⁴

Indeed, while there is a legal distinction between residence and domicile, the term "*residence*" as used in the election law is synonymous with "*domicile*," which imports not only intention to reside in a fixed place but also personal presence in that place, coupled with conduct indicative of such intention.⁵

"Domicile" is a question of intention and circumstances. In the consideration of circumstances, three (3) rules must be borne in mind, namely: (1) that a man must have a residence or domicile somewhere; (2) when once established it remains until a new one is acquired; and (3) a man can have but one residence or domicile at a time.⁶

The manifest intent of the law in fixing a residence qualification is to exclude a stranger or newcomer, unacquainted with the conditions and needs of a community and not identified with the latter, from an elective office to serve that community.⁷ The Constitution and the law requires residence as a qualification for seeking and holding elective public office, in order to give candidates the opportunity to be familiar with the needs, difficulties, aspirations, potentials for growth and all matters vital to the welfare of their constituencies; likewise, it enables the electorate to evaluate the office seekers' qualifications and fitness for the job they aspire for.⁸

Thus, establishing residence in a community merely to meet an election law requirement defeats the purpose of representation: to elect through the assent of voters those most cognizant and sensitive to the need of the community. This purpose is "best met by individuals who have either had actual residence in the area for a given period or who have been domiciled in the same area for a given period or who have been domiciled in the same area either by origin or by choice."⁹

⁴*Ibid.*

⁵*Gallego v. Vera*, 73 Phil. 453 (1941).

⁶*Alcantara v. Secretary of Interior*, 61 Phil. 459, 465 (1935); *Domino v. COMELEC*, G.R. No. 134015, July 19, 1999.

⁷*Supra* note 5.

⁸*Torayno v. COMELEC*, 337 SCRA 574 (2000).

⁹*Ibid.*

In *Torayno v. COMELEC*,¹⁰ it was held that inasmuch as Vicente Y. Emano has proven that he, together with his family, (1) had actually resided in a house he bought in 1973 in Cagayan de Oro City; (2) had actually held office there during his three (3) terms as provincial governor of Misamis Oriental, the provincial capitol being located therein; and (3) had registered as voter in the city during the period required by law, he could not be deemed “a stranger or newcomer” when he ran for and was overwhelmingly voted as city mayor. Election laws must be liberally construed to give effect to the popular mandate. In other words, the actual, physical and personal presence of Vicente Y. Emano in Cagayan de Oro City is substantial enough to show his intention to fulfill the duties of mayor and for the voters to evaluate his qualifications for the mayorship. Petitioner’s very legalistic, academic and technical approach to the residence requirement does not satisfy this simple, practical and common-sense rationale for the residence requirement, said the Supreme Court.

A domicile of origin is acquired by every person at birth. It is usually the place where the child’s parents reside, and continues until the same is abandoned by acquisition of a new domicile (domicile of choice).¹¹

In *Coquilla v. COMELEC*,¹² petitioner therein, born of Filipino parents, joined the United States Navy, was subsequently naturalized as U.S. citizen, later applied for repatriation, and consequently took his oath as a citizen of the Philippines. When his residence was questioned, it was held that he lacked the requisite residency to qualify him for the mayorship of Oras, Eastern Samar. It was held that petitioner therein lost his domicile of origin in Oras by becoming a U.S. citizen after enlisting in the U.S. Navy. From then on and until the time when he acquired Philippine citizenship, petitioner was an alien without any right to reside in the Philippines save as the immigration laws may have allowed him to stay as a visitor or as a resident alien.

In order to acquire a domicile by choice, there must concur (1) residence or bodily presence in the new locality, (2) an intention to remain there, and (3) an intention to abandon the old domicile. In other words, there must be an *animus non-revertendi* and an

¹⁰*Supra.*

¹¹*Coquilla v. COMELEC*, G.R. No. 151914, July 31, 2002.

¹²*Ibid.*

animus manendi. The purpose to remain in or at the domicile of choice must be for an indefinite period of time. The acts of the person must conform with his purpose. The change of residence must be voluntary; the residence at the place chosen for the domicile must be actual; and to the fact of residence, there must be added the *animus manendi*.¹³

Mere absence from one's residence or origin — domicile — to pursue studies, engage in business, or practice a vocation, is not sufficient to constitute abandonment or loss of such residence. The determination of a person's legal residence or domicile largely depends upon intention which may be inferred from his acts, activities and utterances. The party who claims that a person has abandoned or left his residence or origin must show and prove preponderantly such abandonment or loss.

A citizen may leave the place of his birth to look for "greener pastures" as the saying goes, to improve his life, and that, of course, includes study in other places, practice of his vocation, or engaging in business. When an election is to be held, the citizen who left his birthplace to improve his lot may desire to return to his native town to cast his ballot but for professional or business reasons, or for any other reason, he may not absent himself from the place of his professional or business activities; so there he registers as voter as he has the qualifications to be one and is not willing to give up or lose the opportunity to choose the officials who are to run the government especially in national elections. Despite such registration, the *animus revertendi* to his home, to his domicile or residence of origin, has not forsaken him.¹⁴

While citizenship may be possessed even on the day the candidate assumes office, residency under Sections 39(a) of the LGC of 1991 requires that the candidate must have been a resident of the locality concerned "for at least one (1) year immediately preceding the day of the election."

In *Domino v. COMELEC*,¹⁵ the candidate, Mr. Domino, who was a permanent resident of Quezon City, rented a house and lot in Sarangani Province on January 15, 1997 in preparation for the 1998 local elections. The Supreme Court found that the lease contract

¹³Gallego v. Vera, *supra* note 5.

¹⁴Fayon v. Quirino, 96 Phil. 294 (1954).

¹⁵*Supra* note 6.

entered into sometime in January 1997, does not adequately support a change of domicile. The Supreme Court said that the lease contract may be indicative of the candidate's intention to reside in Sarangani but it does not engender the kind of permanency required to prove abandonment of one's original domicile. The mere absence of individual from his permanent residence, no matter how long, without the intention to abandon it does not result in loss or change of domicile. The date of the contract of lease of a house and lot located in the province of Sarangani, i.e., January 15, 1997, cannot be used, in the absence of other circumstances, as the reckoning period of the one (1)-year residence requirement.¹⁶

In *Svetlana Jalosjos v. COMELEC*,¹⁷ the Supreme Court also ruled that a temporary stay in a stranger's house cannot amount to residence for purposes of election laws and that approval of voter registration does not presuppose six (6)-month residency in the place prior to registration. These circumstances should be coupled with *animus manendi* as well.

It is not suggested, however, that for a candidate to comply with the residency requirement he must be the owner of the house where he lives because property ownership is not among the qualifications required of candidates for local election. It is enough that he should live in the locality, even in a rented house or that of a friend or relative.¹⁸ To use ownership of property in the district as the determinative indicium of permanence of domicile or residence implies that only the landed can establish compliance with the residency requirement.¹⁹ In *Perez v. COMELEC*,²⁰ the Supreme Court sustained the COMELEC when it considered as evidence tending to establish a candidate's domicile of choice the mere lease (rather than ownership) of an apartment by a candidate in the same province where he ran for the position of governor.

In sum, whether the candidate is merely renting an apartment or not is not by itself sufficient to determine whether or not he has

¹⁶*Ibid.*

¹⁷G.R. No. 193314, June 25, 2013.

¹⁸Jalover v. Osmeña, G.R. No. 209286, September 23, 2014.

¹⁹*Ibid.*

²⁰375 Phil. 1106 (1999).

established domicile in a particular locality. There should likewise be *animus manendi et revertendi* which is established by some other factors other than the character of the candidate's physical presence in that locality, factors that establish ties with the locality where the candidate is intending to run for public office. For instance, unlike in *Domino case*, Mr. Osmeña in *Jalover v. Osmeña*²¹ had already established ties with Toledo City prior to the 2012 local elections. Even prior to his actual transfer of residence to Ibo, Toledo City, in 2004, Mr. Osmeña had been able to establish ties with Toledo City in view of his family's business interests and his political linkages. In 1995, he bought a piece of land in Ibo, Toledo City, where he built two (2) houses from 1998 to 2002 and became a permanent resident thereof in 2004. Osmeña even became a registered voter of Toledo City in 2006 and that he leased at least two (2) properties in Toledo City for his headquarters. Thus, even if Mr. Osmeña may not have properties registered in his name at the time he ran for office in 2012, the same cannot be taken against him in view of the other circumstances aforementioned. That Mr. Osmeña could "hardly be seen" in Toledo City did not also negate his being a resident of Toledo City for the law does not require a person to be in his home 24 hours a day, seven (7) days a week, to fulfill the residency requirement.²²

Indeed, while physical presence, along with *animus manendi et revertendi*, is an essential requirement for the acquisition of a domicile of choice,²³ the law, however, does not require that physical presence be unbroken. In *Japzon v. COMELEC*,²⁴ the Supreme Court ruled that to be considered a resident of a municipality, the candidate is not required to stay and never leave the place for a full one (1)-year period prior to the date of the election. In *Sabili v. COMELEC*,²⁵ the Supreme Court again held that the law does not require a candidate to be at home 24 hours a day, seven (7) days a week to fulfill the residency requirement.²⁶

²¹*Supra* note 18.

²²*Fernandez v. HRET*, G.R. No. 187478, December 21, 2009.

²³*Limbona v. COMELEC*, 578 Phil. 364 (2008); *Domino v. COMELEC*, *supra* note 6.

²⁴596 Phil. 354 (2009).

²⁵686 Phil. 649 (2012).

²⁶*Dano v. COMELEC*, G.R. No. 210200, September 13, 2016.

2. Disqualifications

Under Section 40 of the LGC of 1991, the following persons are disqualified from running for any elective local position:

- (a) Those sentenced by final judgment for an offense involving moral turpitude or for an offense punishable by one (1) year or more of imprisonment, within two (2) years after serving sentence;
- (b) Those removed from office as a result of an administrative case;
- (c) Those convicted by final judgment for violating the oath of allegiance to the Republic;
- (d) Those with dual citizenship;
- (e) Fugitives from justice in criminal or non-political cases here or abroad;
- (f) Permanent residents in a foreign country or those who have acquired the right to reside abroad and continue to avail of the same right after the effectivity of this Code; and
- (g) The insane or feeble-minded.

2.1. Sentenced by Final Judgment of an Offense

To be a ground for disqualification, the judgment of conviction must be final and executory, that is, the parties have not anymore elevated the case in a higher court after the lapse of the period to appeal the case.

There are two (2) kinds of criminal offenses that may disqualify a local elective official: (a) an offense that involves moral turpitude and (b) an offense that carries the penalty of one (1) year or more of imprisonment. In the first type of offense, the penalty that the offense carries is irrelevant as it must only be one that involves moral turpitude. In the second type of offense, the nature of the offense is irrelevant as it only requires that the offense carries the penalty of one (1) year or more of imprisonment.

2.1.1. Meaning of “Moral Turpitude”

“**Moral turpitude**” has been defined as everything which is done contrary to justice, modesty, or good morals; an act of baseness, vileness or depravity in the private and social duties which a man owes his fellowmen, or to society in general.²⁷

In *Hanrieder v. De Rivera*²⁸ and *In Re: Conviction of Imelda B. Fortus, Clerk III, RTC Br. 40, Calapan City*,²⁹ the Supreme Court had characterized violation of Batas Pambansa Blg. 22 (Bouncing Checks Law) as a crime involving moral turpitude. In *De la Torre v. COMELEC*,³⁰ Violation of the Anti-Fencing Law was also considered a crime involving moral turpitude.

2.1.2. Effect of Probation on Disqualification

In the earlier case of *Dela Torre v. COMELEC*,³¹ the Supreme Court disqualified Dela Torre from running for public office despite having availed of probation.

However, in the recent case of *Moreno v. COMELEC*,³² the ruling of the Supreme Court in *Dela Torre* was clarified. In this *Moreno* case, a petition was filed seeking to disqualify Moreno from running for *Punong Barangay* on the ground that the latter was convicted by final judgment of the crime of Arbitrary Detention and was sentenced to suffer imprisonment of four (4) months and one (1) day to two (2) years and four (4) months by the Regional Trial Court, Branch 28 of Catbalogan, Samar on August 27, 1998. Moreno alleged that he was under probation and could not therefore be disqualified on the ground that the probation suspended his sentence. Clarifying the rules on this matter and explaining the doctrine laid down in *Dela Torre v. COMELEC*, the Supreme Court ruled in favor of *Moreno*, thus:

“In this sense, *Dela Torre v. COMELEC* is not squarely applicable. Our pronouncement therein that the grant of probation does not affect the disqualification under Sec. 40(a) of the Local Government Code was based primarily on the finding that the crime of fencing of which petitioner was convicted

²⁷*Soriano v. Dizon*, A.C. No. 6792, January 25, 2006; cited in *Teves v. COMELEC*, G.R. No. 180363, April 28, 2009.

²⁸A.M. P-05-2026, August 2, 2007.

²⁹A.M. P-04-1808, June 27, 2005.

³⁰G.R. No. 121592, July 5, 1996.

³¹*Ibid.*

³²G.R. No. 168550, August 10, 2006.

involves moral turpitude, a circumstance which does not obtain in this case. x x x

The Court's declaration on the effect of probation on Sec. 40(a) of the Local Government Code, we should add, ought to be considered an obiter in view of the fact that Dela Torre was not even entitled to probation because he appealed his conviction to the Regional Trial Court which, however, affirmed his conviction. It has been held that the perfection of an appeal is a relinquishment of the alternative remedy of availing of the Probation Law, the purpose of which is to prevent speculation or opportunism on the part of an accused who, although already eligible, did not at once apply for probation, but did so only after failing in his appeal.

Moreno argues, quite persuasively, that he should not have been disqualified because he did not serve the adjudged sentence having been granted probation and finally discharged by the trial court.

In *Baclayon v. Mutia*, the Court declared that an order placing defendant on probation is not a sentence but is rather, in effect, a suspension of the imposition of sentence. We held that the grant of probation to petitioner suspended the imposition of the principal penalty of imprisonment, as well as the accessory penalties of suspension from public office and from the right to follow a profession or calling, and that of perpetual special disqualification from the right of suffrage. We thus deleted from the order granting probation the paragraph which required that petitioner refrain from continuing with her teaching profession.

Applying this doctrine to the instant case, the accessory penalties of suspension from public office, from the right to follow a profession or calling, and that of perpetual special disqualification from the right of suffrage, attendant to the penalty of *arresto mayor* in its maximum period to *prision correccional* in its minimum period imposed upon Moreno were similarly suspended upon the grant of probation.

It appears then that during the period of probation, the probationer is not even disqualified from running for a public office because the accessory penalty of suspension from public office is put on hold for the duration of the probation.

Clearly, the period within which a person is under probation cannot be equated with service of the sentence adjudged. Sec. 4 of the Probation Law specifically provides that the grant of probation suspends the execution of the sentence. During the period of probation, the probationer does not serve the penalty

imposed upon him by the court but is merely required to comply with all the conditions prescribed in the probation order.

It is regrettable that the COMELEC and the OSG have misapprehended the real issue in this case. They focused on the fact that Moreno's judgment of conviction attained finality upon his application for probation instead of the question of whether his sentence had been served.

The COMELEC could have correctly resolved this case by simply applying the law to the letter. Sec. 40(a) of the Local Government Code unequivocally disqualifies only those who have been sentenced by final judgment for an offense punishable by imprisonment of one (1) year or more, within two (2) years after serving sentence.

This is as good a time as any to clarify that those who have not served their sentence by reason of the grant of probation which, we reiterate, should not be equated with service of sentence, should not likewise be disqualified from running for a local elective office because the two (2)-year period of ineligibility under Sec. 40(a) of the Local Government Code does not even begin to run.

The fact that the trial court already issued an order finally discharging Moreno fortifies his position. Sec. 16 of the Probation Law provides that '[t]he final discharge of the probationer shall operate to restore to him all civil rights lost or suspended as a result of his conviction and to fully discharge his liability for any fine imposed as to the offense for which probation was granted.' Thus, when Moreno was finally discharged upon the court's finding that he has fulfilled the terms and conditions of his probation, his case was deemed terminated and all civil rights lost or suspended as a result of his conviction were restored to him, including the right to run for public office.

It is important to note that the disqualification under Sec. 40(a) of the Local Government Code covers offenses punishable by one (1) year or more of imprisonment, a penalty which also covers probationable offenses. In spite of this, the provision does not specifically disqualify probationers from running for a local elective office. This omission is significant because it offers a glimpse into the legislative intent to treat probationers as a distinct class of offenders not covered by the disqualification.

On this score, we agree with Moreno that the Probation Law should be construed as an exception to the Local Government Code. While the Local Government Code is a later law which sets forth the qualifications and disqualifications of

local elective officials, the Probation Law is a special legislation which applies only to probationers. It is a canon of statutory construction that a later statute, general in its terms and not expressly repealing a prior special statute, will ordinarily not affect the special provisions of such earlier statute." (Emphasis added)

The phrase "within two (2) years after serving sentence" should have been interpreted and understood to apply both to those who have been sentenced by final judgment for an offense involving moral turpitude and to those who have been sentenced by final judgment for an offense punishable by one (1) year or more of imprisonment. The placing of the comma (,) in the provision means that the phrase modifies both parts of Section 40(a) of the LGC of 1991.³³

Since the disqualification in Section 40(a) of the LGC of 1991 is not permanent in character as the offender regains eligibility two (2) years after service of his sentence, the important question is whether this provision prevails over the penalty of perpetual disqualification to hold public office that is provided for in the Revised Penal Code (RPC) either as principal or accessory penalty. This question was resolved by the Supreme Court in *Jalosjos v. COMELEC*.³⁴ The Supreme Court said that while Section 40(a) of the LGC of 1991 allows a prior convict to run for local elective office after the lapse of two (2) years from the time he serves his sentence, the said provision should not be deemed to cover cases wherein the law imposes a penalty, either as principal or accessory, which has the effect of disqualifying the convict to run for elective office.

2.2. Removed from Office as a Result of Administrative Case

The provision of Section 40(b) of Republic Act No. 7160 as worded does not mention or even qualify the date of removal from office of the candidate in order for disqualification thereunder to attach. In *Grego v. COMELEC*,³⁵ petitioner therein argued that as long as a candidate was once removed from office due to an administrative case, regardless of whether it took place during or prior to the effectivity of the LGC of 1991, the disqualification applies. To him, this interpretation is made more evident by the

³³Moreno v. COMELEC, *supra*.

³⁴G.R. No. 205033, June 18, 2013.

³⁵G.R. No. 125955, June 19, 1997.

manner in which the provisions of Section 40 are couched. Since the past tense is used in enumerating the grounds for disqualification, petitioner therein strongly contended that the provision must have also referred to removal from office occurring prior to the effectivity of the Code. It was held that Section 40(b) cannot be given retroactive application.

This issue was in fact already settled in *Aguinaldo v. COMELEC*, which was also reiterated in the more recent cases of *Reyes v. COMELEC* and *Salalima v. Guingona, Jr.*³⁶ In these cases, the Supreme Court ruled that there is no provision in the statute that would clearly indicate that the same operates retroactively. That the provision of the Code in question does not qualify the date of a candidate's removal from office and that it is couched in the past tense should not deter us the application of the law prospectively. The basic tenet in legal hermeneutics is that laws operate only prospectively and not retroactively. A statute, despite the generality in its language, must not be so construed as to overreach acts, events or matters which transpired before its passage. *Lex prospicit, non respicit*. The law looks forward, not backward. Incidentally, Section 40(b) of the LGC of 1991 was not found in the old law as it is a new provision in the Code.

In *Osorio v. COMELEC*,³⁷ the term "office" was interpreted to mean any office whether appointive or elective as the provision states "removed from office" without any qualification, applying cardinal rule in statutory construction that when the law does not distinguish, we must not distinguish (*ubi lex non distinguit nec nos distinguere debemus*). What is important is that the official concerned was removed therefrom as a result of an administrative case during the effectivity of the Local Government Code of 1991.

It is noteworthy that at the time the *Aguinaldo* cases (applying Condonation Doctrine) were decided there was no provision similar to Section 40(b) which disqualifies any person from running for any elective position on the ground that he has been removed as a result of an administrative case.³⁸ The Local Government Code of 1991 could not be given retroactive effect.³⁹ Consequently, if an elective candidate committed misconduct prior to the effectivity of the LGC

³⁶257 SCRA 55 (1996).

³⁷G.R. No. 162892, May 6, 2004.

³⁸*Dimapilis v. COMELEC*, G.R. No. 227158, April 18, 2017.

³⁹*Ibid.*

of 1991 on January 1, 1992 but was removed from office as a result of an administrative case (with a final decision) after the effectivity of the LGC of 1991, he shall nonetheless be disqualified to hold local elective position notwithstanding that he may have been reelected at some point after he committed act of misconduct.

2.3. Convicted by Final Judgment for Violating the Oath of Allegiance to the Republic

The Revised Penal Code enumerates certain felonies that are considered **violations of fundamental laws of the land**. It would seem that violations of the oath of allegiance to the Republic consist of these crimes. In any case, it is the nature of the offense that controls whether the crime involved partakes of the nature of violation of the oath of allegiance to the Republic.

2.4. Dual Allegiance

While the LGC of 1991 speaks of "dual citizenship" as ground for disqualification, the Supreme Court has, however, interpreted this to mean "dual allegiance." Mere possession, therefore, of dual citizenship is not necessarily a ground for disqualification.

Dual citizenship is different from dual allegiance. The former arises when, as a result of the concurrent application of the different laws of two or more states, a person is simultaneously considered a national by the said states. For instance, such a situation may arise when a person whose parents are citizens of a state which adheres to the principle of *jus sanguinis* is born in a state which follows the doctrine of *jus soli*. Such a person, *ipso facto* and without any voluntary act on his part, is concurrently considered a citizen of both states. Considering the **citizenship clause (Article IV) of our Constitution**, it is possible for the following classes of citizens of the Philippines to possess **dual citizenship**: (1) **Those** born of Filipino fathers and/or mothers in foreign countries which follow the principle of *jus soli*; (2) **Those** born in the Philippines of Filipino mothers and alien fathers if by the laws of their fathers' country such children are citizens of that country; (3) **Those** who marry aliens if by the laws of the latter's country the former are considered citizens, unless by their act or omission they are deemed to have renounced Philippine citizenship. There may be other situations in which a citizen of the Philippines may, without performing any act, be also a citizen of another state; but the above cases are possible given

the constitutional provisions on citizenship. **Dual allegiance**, on the other hand, refers to the situation in which a person simultaneously owes, by some positive act, loyalty to two or more states. While dual citizenship is involuntary, dual allegiance is the result of an individual's volition. With respect to dual allegiance, Section 5, Article IV of the Constitution provides: "Dual allegiance of citizens is inimical to the national interest and shall be dealt with by law."⁴⁰

In including Section 5, Article IV on Citizenship, the concern of the Constitutional Commission was not with dual citizens *per se* but with naturalized citizens who maintain their allegiance to their countries of origin even after their naturalization. Hence, the phrase "dual citizenship" in Section 40(d), Republic Act No. 7160 and in Section 20, Republic Act No. 7854 must be understood as referring to "dual allegiance." Consequently, persons with mere dual citizenship do not fall under this disqualification. Unlike those with dual allegiance, who must, therefore, be subject to strict process with respect to the termination of their status, for candidates with dual citizenship, it should suffice if, upon the filing of their certificates of candidacy, they elect Philippine citizenship to terminate their status as persons with dual citizenship considering that their condition is the unavoidable consequence of conflicting laws of different states.⁴¹

As Fr. Joaquin G. Bernas, one of the most perceptive members of the Constitutional Commission, pointed out: "[D]ual citizenship is just a reality imposed on us because we have no control of the laws on citizenship of other countries. We recognize a child of a Filipino mother. But whether or not she is considered a citizen of another country is something completely beyond our control." By electing Philippine citizenship, such candidates at the same time forswear allegiance to the other country of which they are also citizens and thereby terminate their status as dual citizens. It may be that, from the point of view of the foreign state and of its laws, such an individual has not effectively renounced his foreign citizenship.⁴²

In **Maquiling v. COMELEC**,⁴³ the Supreme Court held that a candidate who had availed of Republic Act No. 9225 (Reacquisition and Retention of Citizenship Act of 2003) but who had been using his US passport after renouncing his American citizenship, is deemed

⁴⁰Mercado v. Manzano, G.R. No. 135083, May 26, 1996.

⁴¹*Ibid.*

⁴²*Ibid.*

⁴³G.R. No. 195649, April 16, 2013.

to have recanted the same Oath of Renunciation he took. Section 40(d) of the Local Government Code of 1991 applies to his situation. He is disqualified not only from holding the public office but even from becoming a candidate. His category of dual citizenship is that by which foreign citizenship is acquired through a positive act of applying for naturalization. This is distinct from those considered dual citizens by virtue of birth, who are not required by law to take the oath of renunciation as the mere filing of the certificate of candidacy already carries with it an implied renunciation of foreign citizenship. Dual citizens by naturalization, on the other hand, are required to take not only the Oath of Allegiance to the Republic of the Philippines but also to personally renounce foreign citizenship in order to qualify as a candidate for public office.⁴⁴

2.5. Fugitives from Justice in Criminal or Non-political Cases Here or Abroad

The term “fugitive from justice” refers not only to those who flee after conviction to avoid punishment but also to those who, after being charged, flee to avoid prosecution.⁴⁵

In *Marquez v. COMELEC*,⁴⁶ it was averred that at the time private respondent filed his certificate of candidacy, a criminal charge against the winning candidate (Rodriguez) for 10 counts of insurance fraud or grand theft of personal property was still pending before the Municipal Court of Los Angeles Judicial District, County of Los Angeles, State of California, U.S.A. A warrant issued by said court for his arrest, it was claimed, had yet to be served on private respondent on account of his alleged “flight” from that country. Incidentally, however, Article 73 of the of the Rules and Regulations Implementing the LGC of 1991 defines “fugitive from justice” as referring only to a person “who has been convicted by final judgment.” In this case, the Supreme Court declared said Article 73 as an “inordinate and undue circumscription of the law.” Here, the Supreme Court, through a separate opinion of Justice Davide, agreed with the contention of the Solicitor General that the term “fugitive from justice” refers not only to those who flee after conviction to avoid punishment but also to those who, after being charged, flee to avoid prosecution.

⁴⁴*Ibid.*

⁴⁵*Marquez v. COMELEC*, G.R. No. 112889, April 18, 1995.

⁴⁶*Ibid.*

In the later case of *Rodriguez v. COMELEC*,⁴⁷ the Supreme Court reiterated the *Marquez* ruling and also said that the definition of fugitive from justice in *Marquez* case indicates that the **intent to evade** is the compelling factor that animates one's flight from a particular jurisdiction. As there can only be an intent to evade prosecution or punishment **when there is knowledge** by the fleeing subject of an already instituted indictment, or of a promulgated judgment of conviction, the Supreme Court added that "intent to evade on the part of a candidate must therefore be established by proof that there has already been a conviction or at least, a charge has already been filed, at the time of flight."

Here in *Rodriguez*, the petitioner was not adjudged fugitive from justice because he arrived in the Philippines from the U.S. on June 25, 1985, while the filing of the case in the U.S. and the issuance of the arrest warrant by a U.S. court was made on November 12, 1985 or almost five (5) months after his arrival in the Philippines. The Supreme Court believed that it was impossible for Rodriguez to have known about the felony complaint and the arrest warrant at the time he left the U.S., as there was in fact no complaint and arrest warrant — much less conviction — to speak of yet at such time.

Indeed, intent to evade prosecution or punishment is the compelling factor that animates one's flight from a particular jurisdiction. Thus, where a candidate was merely not served a warrant of arrest because he was no longer in the hospital where he was earlier confined when the authorities attempted to serve the warrant, this fact alone cannot be considered conclusive of his "intent to evade" the authorities absent any other convincing evidence, especially when after leaving the hospital he remained in the same jurisdiction and never left to avoid being reached by the authorities.⁴⁸

⁴⁷G.R. No. 120099, July 24, 1996.

⁴⁸*Labao, Jr. v. COMELEC*, G.R. No. 212615, July, 2016.

2.6. Permanent Residents in a Foreign Country or Those who have Acquired the Right to Reside Abroad and Continue to Avail of the Same Right after the Effectivity of the LGC of 1991

The qualifications set forth in Article 39 of the LGC of 1991 are meant to be continuing. Thus, if an elected public official acquires permanent residence abroad, he is deemed to have abandoned his residency in the Philippines and must therefore be disqualified to continue to hold public office. It must be noted that a person can only have one domicile at a time. A person who acquires a new domicile necessarily abandons his current domicile. In election law, the term "residence" is synonymous with "domicile."

Example:
OFWs cannot
run but can
vote

What about those who became "immigrants" of foreign countries? Section 68 of the Omnibus Election Code covers both permanent residents and immigrants, thus: "Any person who is a permanent resident of or an immigrant to a foreign country shall not be qualified to run for any elective office under this Code, unless such person has waived his status as permanent resident or immigrant of a foreign country in accordance with the residence requirement provided for in the election laws." Section 40 of the LGC of 1991 does not mention of "immigrant," but it is submitted that immigrants come within the meaning of "permanent residents in a foreign country or those who have acquired the right to reside abroad." Immigration is the removing into one place from another; the act of immigrating, the entering into a country with the intention of residing in it. An immigrant is a person who removes into a country for the purpose of permanent residence.⁴⁹

To be "qualified to run for elective office" in the Philippines, the law requires that the candidate who is a green card holder must have "waived his status as a permanent resident or immigrant of a foreign country." Therefore, his act of filing a certificate of candidacy for elective office in the Philippines, did not of itself constitute a waiver of his status as a permanent resident or immigrant of the United States. The waiver of his green card should be manifested by some act or acts independent of and done prior to filing his candidacy for elective office in this country. Without such prior waiver, he was "disqualified to run for any elective office."⁵⁰

⁴⁹See *Caasi v. CA*, G.R. No. 88831, November 8, 1990.

⁵⁰See *Caasi v. CA*, *ibid.*; Sec. 68, Omnibus Election Code.

The law has reserved that privilege for its citizens who have cast their lot with our country "without mental reservations or purpose of evasion." The assumption is that those who are resident aliens of a foreign country are incapable of such entire devotion to the interest and welfare of their homeland for with one eye on their public duties here, they must keep another eye on their duties under the laws of the foreign country of their choice in order to preserve their status as permanent residents thereof.⁵¹

2.7. The Insane or Feeble-minded

For obvious reason, a person who is mentally impaired cannot effectively discharge the duties of a public official. Since the qualifications of local elective officials are meant to be continuing, an elected local government official who became insane or feeble-minded only during his incumbency must likewise be disqualified.

Eligibility of Ecclesiastics to a Local Elective Position

The case of *Pamil v. Teleron*,⁵² raised the novel question concerning the eligibility of an ecclesiastic to an elective municipal position. Private respondent therein, Father Margarito R. Gonzaga, was, in 1971, elected to the position of municipal mayor of Alburquerque, Bohol. He was thereafter proclaimed. A suit for *quo warranto* was then filed for his disqualification based on the old Administrative Code provision Section 2175 which stated: "In no case shall there be elected or appointed to a municipal office ecclesiastics, soldiers in active service, persons receiving salaries or compensation from provincial or national funds, or contractors for public works of the municipality."

After a lengthy and protracted deliberation, the Court was divided on the issue. Seven (7) members of the Court were of the view that the judgment should be affirmed as the challenged provision is no longer operative either because it was superseded by the 1935 Constitution or repealed. The other members of the Court were of the view that the overriding principle of the supremacy of the Constitution or, at the very least, the repeal of such provision, bars a reversal. The remaining five (5) members of the Court, Chief Justice Castro, Justices Barredo, Makasiar, Antonio, and Aquino,

⁵¹Caasi v. CA, *ibid.*

⁵²86 SCRA 413 (1978).

on the other hand, held the position that such a prohibition against an ecclesiastic running for elective office is not tainted with any constitutional infirmity. The vote was thus indecisive. While five (5) members of the Court constituted a minority, the vote of the remaining seven did not suffice to render the challenged provision ineffective. Section 2175 of the Revised Administrative Code, as far as ecclesiastics are concerned, was to be accorded respect.

It must be noted that the provision disqualifying ecclesiastics from holding local appointive or elective position refers to "municipal" positions only. Hence, there seems to be no controversy for an ecclesiastic to be elected Governor of a province like in the case of Roman Catholic Priest Eddie Panlilio of Pampanga.

Additional Disqualifications

Candidates for local elective positions are likewise subject to other disqualifications as may be provided for by law. Some of these other statutory disqualifications are found in Sections 8 and 9 of Republic Act No. 8295 (Lone Candidate Law in Special Election), thus:

"8. Any elective official who has resigned from his office by accepting an appointive office or for whatever reason which he previously occupied but has caused to become vacant due to his resignation; and

9. Any person who, directly or indirectly, coerces, bribes, threatens, harasses, intimidates or actually causes, inflicts or produces any violence, injury, punishment, torture, damage, loss or disadvantage to any person or persons aspiring to become a candidate or that of the immediate member of his family, his honor or property that is meant to eliminate all other potential candidate." kontra sa kandidato

Section 12 (on insane, incompetents, guilty of acts of disloyalty to the Government etc.), Section 68 (on vote buying, acts of terrorism, and other election offenses) and Section 69 (on nuisance candidates) of the Omnibus Election Code are the other additional disqualifications for local candidates.

In case the three (3)-term limit rule applies, the candidate shall likewise be disqualified. This matter is discussed in the later part of this book.

Manner of Elections

The governor, vice-governor, city mayor, city vice-mayor, municipal mayor, municipal vice-mayor, and *punong barangay* shall be elected at large in their respective units by the qualified voters therein. However, the *sangguniang kabataan chairman* for each *barangay* shall be elected by the registered voters of the *katipunan ng kabataan*, as provided in the LGC of 1991.

The regular members of the *sangguniang panlalawigan*, *sangguniang panlungsod*, and *sangguniang bayan* shall be elected by district, as may be provided for by law. *Sangguniang barangay* members shall be elected at large. The presidents of the leagues of *sanggunian* members of component cities and municipalities shall serve as *ex officio* members of the *sangguniang panlalawigan* concerned. The presidents of the *liga ng mga barangay* and the *pederasyon ng mga sangguniang kabataan* elected by their respective chapters, as provided in the LGC of 1991, shall serve as *ex officio* members of the *sangguniang panlalawigan*, *sangguniang panlungsod*, and *sangguniang bayan*. In addition, thereto, there shall be one (1) sectoral representative from the women, one (1) from the workers, and one (1) from any of the following sectors: the urban poor, indigenous cultural communities, disabled persons, or any other sector as may be determined by the *sanggunian* concerned within 90 days prior to the holding of the next local elections, as may be provided for by law. The COMELEC promulgates the rules and regulations to effectively provide for the election of such sectoral representatives.⁶³

The phrase “*shall not be qualified and entitled to vote in the election of the provincial governor and the members of the provincial board*” as found in the charter of an independent component city connotes two (2) prohibitions on the voters: 1) from running for provincial elective posts, and 2) from voting for provincial candidates.⁶⁴

In *Ceniza v. COMELEC*,⁶⁵ it was contended that Section 3 of Batas Pambansa Blg. 885, insofar as it classifies cities including Cebu City as highly urbanized as the only basis for not allowing its electorate to vote for the provincial officials, is “inherently and

⁶³Sec. 41, LGC of 1991.

⁶⁴See *Abella v. COMELEC*, G.R. No. 100710, September 3, 1991.

⁶⁵G.R. No. L-52304, January 28, 1980.

palpably unconstitutional in that such classification is not based on substantial distinctions germane to the purpose of the law which in effect provides for and regulates the exercise of the right of suffrage, and therefore such unreasonable classification amounts to a denial of equal protection.” The Supreme Court disagreed noting that Section 4(1), Article XI of the 1973 Constitution placed highly urbanized cities outside the supervisory power of the province where they are geographically located. According to the Supreme Court, this is as it should be because of the complex and varied problems in a highly urbanized city due to a bigger population and greater economic activity which require greater autonomy, thus, and corollary to independence, is the concomitant loss of the right to participate in provincial affairs, more particularly the selection of elective provincial officials since these provincial officials have ceased to exercise any governmental jurisdiction and authority over said city. The Supreme Court found that the classification of cities into highly urbanized cities and component cities on the basis of their regular annual income is based upon substantial distinction, *i.e.*, the revenue of a city would show whether or not it is capable of existence and development as a relatively independent social, economic, and political unit and it would also show whether the city has sufficient economic or industrial activity as to warrant its independence from the province where it is geographically situated.

The practice of allowing voters in one component city to vote for provincial officials and denying the same privilege to voters in another component city is a matter of legislative discretion which violates neither the Constitution nor the voter's right of suffrage. Neither can it be considered an infringement upon the petitioners' rights of suffrage since the Constitution confers no right to a voter in a city to vote for the provincial officials of the province where the city is located. Their right is limited to the right to vote for elective city officials in local elections which the questioned statutes neither withdraw nor restrict.⁵⁶

Date of Elections

Unless otherwise provided by law, the elections for local officials shall be held every three (3) years on the second Monday of May.⁵⁷

⁵⁶Ceniza v. COMELEC, *supra*.

⁵⁷Sec. 42, LGC of 1991.

While the Constitution does not expressly state that Congress has to synchronize national and local elections, the clear intent towards this objective can be gleaned from the Transitory Provisions (Article XVIII) of the Constitution, which show the extent to which the Constitutional Commission, by deliberately making adjustments to the terms of the incumbent officials, sought to attain synchronization of elections. The objective behind setting a common termination date for all elective officials, done among others through shortening the terms of the 12 winning senators with the least number of votes, is to synchronize the holding of all future elections — whether national or local — to once every three (3) years. This intention finds full support in the discussions during the Constitutional Commission deliberations. These Constitutional Commission exchanges, read with the provisions of the Transitory Provisions of the Constitution, all serve as patent indicators of the constitutional mandate to hold synchronized national and local elections, starting the second Monday of May 1992 and for all the following elections.⁵⁸

Although called regional elections, the ARMM elections should be included among the elections to be synchronized as it is a “local” election based on the wording and structure of the Constitution.⁵⁹

As can be gleaned from Section 8 of Article VI, Section 4(3) of Article VII, and Section 3 of Article X of the 1987 Constitution, the power to fix the date of the election is essentially legislative in nature. Thus, it was held that COMELEC does not have the power to order special elections. The authority of the COMELEC to postpone elections under Section 5 (Postponement of Elections) and Section 6 (Failure of Elections) of Batas Pambansa Blg. 881 (Omnibus Election Code) presupposes that Congress, by law, has already fixed the date of the elections and by reason of *force majeure*, violence, terrorism and other causes enumerated therein, there is need to postpone the date of election already fixed by law or schedule a new one where the one fixed by law has not been held.⁶⁰

⁵⁸Datu Michael Abas Kida v. Senate of the Philippines, G.R. No. 196271, October 18, 2011.

⁵⁹*Ibid.*

⁶⁰*Ibid.*

Term of Office

The word “term” in a legal sense means a fixed and definite period of time which the law describes that an officer may hold an office. According to Mechem, the term of office is the period during which an office may be held. Upon expiration of the officer’s term, unless he is authorized by law to holdover, his rights, duties and authority as a public officer must *ipso facto* cease. A later case, ***Gaminde v. Commission on Audit***, reiterated that the term means the time during which the officer may claim to hold office as of right, and fixes the interval after which the several incumbents shall succeed one another.⁶¹

The term of office of elective local officials, **except** *barangay* officials, which shall be determined by law, shall be three (3) years and no such official shall serve for more than three (3) consecutive terms. **Voluntary renunciation** of the office for any length of time shall **not** be considered as an interruption in the continuity of his service for the full term for which he was elected.⁶²

As can be observed, only the term of *barangay* officials is determined by law. This explains why there were times when *barangay* officials served for five (5) years instead of the usual three (3)-year term. Republic Act No. 8524 (1998) had set the term of *barangay* officials to five (5) years beginning 1997, while Republic Act No. 9164 (2002) fixed it to three (3) years. It was in this law also that Congress expressly limited the term of *barangay* officials to three (3) terms only and beginning in 1994. Republic Act No. 9340 (2005), however, extended the term of *barangay* officials (which ended on November 30, 2005) to November 30, 2007.

The term of office of all other elective officials has been constitutionally set and cannot, therefore, be changed by Congress.

The Three (3)-term Limit Rule

A consideration of the historical background of Section 8, Article X of the Constitution reveals that the members of the Constitutional Commission were as much concerned with preserving the freedom of choice of the people as they were with preventing the monopolization of political power. Indeed, they rejected a

⁶¹*Albania v. COMELEC*, G.R. No. 226792, June 6, 2017 (citing *Aldovino v. COMELEC*, G.R. No. 184836, December 23, 2009).

⁶²Sec. 8, Art. X, 1987 Constitution.

NO violation of the
3-term Limit Rule:

1. Rule of Succession
2. Recall election
3. De Facto (ousted 2mos prior to end of term due to an election protest) vs. ousted after serving full term
4. Dismissed by Ombudsman on his 3rd term (involuntary)

proposal put forth by Commissioner Edmundo F. Garcia that after serving three (3) consecutive terms or nine (9) years, there should be no further reelection for local and legislative officials. Instead, they adopted the alternative proposal of Commissioner Christian Monsod that such officials be simply barred from running for the same position in the succeeding election following the expiration of the third consecutive term. Monsod warned against “prescreening candidates [from] whom the people will choose” as a result of the proposed absolute disqualification, considering that the draft constitution contained provisions “recognizing people’s power.”⁶³

Supporting Commissioner Monsod’s proposal, Commissioner Blas F. Ople said:

“The principle involved is really whether this Commission shall impose a temporary or a perpetual disqualification on those who have served their terms in accordance with the limits on consecutive service as decided by the Constitutional Commission. I would be very wary about this Commission exercising a sort of omnipotent power in order to disqualify those who will already have served their terms from perpetuating themselves in office. I think the Commission achieves its purpose in establishing safeguards against the excessive accumulation of power as a result of consecutive terms. We do put a cap on consecutive service — in the case of the President, six years; in the case of the Vice-President, unlimited; and in the case of the Senators, one reelection. In the case of the Members of Congress, both from the legislative districts and from the party list and sectoral representation, this is now under discussion and later on the policy concerning local officials will be taken up by the Committee on Local Governments. The principle remains the same. I think we want to prevent future situations where, as a result of continuous service and frequent reelections, officials from the President down to the municipal mayor tend to develop a proprietary interest in their positions and to accumulate those powers and perquisites that permit them to stay on indefinitely or to transfer these posts to members of their families in a subsequent election. I think that is taken care of because we put a gap on the continuity or the unbroken service of all of these officials. But where we now decide to put these prospective servants of the people or politicians, if we want to use the coarser term, under a perpetual disqualification, I have a feeling

⁶³Borja v. COMELEC, G.R. No. 133495, September 3, 1998.

that we are taking away too much from the people, whereas we should be giving as much to the people as we can in terms of their own freedom of choice. . . .⁶⁴

The objective of imposing the three (3)-term limit rule was to avoid the evil of a single person accumulating excessive power over a particular territorial jurisdiction as a result of a prolonged stay in the same office.⁶⁵ After being elected and serving for three (3) consecutive terms, an elective local official cannot seek immediate reelection for the same office in the next regular election because he is ineligible.⁶⁶

The Constitutional Commission's deliberations on Section 8 of Article X of the 1987 Constitution show that the authority of Congress to legislate relates not only to the fixing of the term of office of *barangay* officials but also to the application of the three (3)-term limit. In *COMELEC v. Cruz*,⁶⁷ it was argued that while the term of *barangay* officials is not fixed in the constitution and is therefore to be fixed by law, Congress' authority in this matter should be limited only to fixing the term. It was, therefore, argued that the phrase "and no such official shall serve for more than three consecutive terms" found in Section 8 of Article X of the constitution shall not apply to *barangay* officials and Congress cannot pass a law applying the three (3)-term limit rule to *barangay* officials. The Supreme Court rejected this contention.

For the three (3)-term limit rule to apply, the following conditions must concur: 1) *that the official concerned has been elected for three (3) consecutive terms in the same local government post*; and 2) *that he has fully served three (3) consecutive terms*.⁶⁸

In *Borja v. COMELEC*,⁶⁹ private respondent Capco, Jr. was first elected as vice-mayor, but upon the death of the incumbent mayor, he occupied the latter's post for the unexpired term. He was, thereafter, elected for two (2) more terms. The Supreme Court held that when private respondent occupied the post of the

⁶⁴2 Record of the Constitutional Commission 239-240 (Session of July 25, 1986).

⁶⁵Talaga v. COMELEC, 696 Phil. 786 (2012).

⁶⁶Aratea v. COMELEC, 696 Phil. 700 (2012), cited in Albania v. COMELEC, *supra* note 61.

⁶⁷G.R. No. 186616, November 20, 2009.

⁶⁸See Lonzanida v. COMELEC, G.R. No. 135150, July 28, 1999.

⁶⁹*Ibid.*

mayor upon the incumbent's death and served for the remainder of the term, he cannot be construed as having served a full term as contemplated under the subject constitutional provision. According to the Supreme Court, the term served must be one "for which [the official concerned] was elected." It is not enough, therefore, that an individual has served three (3) consecutive terms in an elective local office, "he must also have been elected to the same position for the same number of times before the disqualification can apply." The Supreme Court added that a fundamental tenet of representative democracy is that the people should be allowed to choose those whom they please to govern them such that barring the election of a local official because he has already served three (3) terms, although the first as a result of succession by operation of law rather than election, would therefore be to violate this principle.

In *Lonzanida v. COMELEC*,⁷⁰ therein petitioner Lonzanida was elected and served two (2) consecutive terms as mayor of San Antonio, Zambales from 1988 to 1995. He then ran again for the same position in the May 1995 elections, won and discharged his duties as mayor. However, his opponent contested his proclamation before the RTC, which ruled that there was a failure of elections and declared the position of mayor vacant. The COMELEC affirmed this ruling and petitioner acceded to the order to vacate the post. During the May 1998 elections, petitioner therein again filed his certificate of candidacy for mayor. A petition to disqualify him was filed on the ground that he had already served three (3) consecutive terms. The Court ruled, however, that petitioner cannot be considered as having been duly elected to the post in the May 1995 elections, and that petitioner did not fully serve the 1995-1998 mayoral term by reason of involuntary relinquishment of office. The Supreme Court ruled that the two (2) requisites for the application of the three (3)-term rule in this case were absent, thus:

"First, the petitioner cannot be considered as having been duly elected to the post in the May 1995 elections, and second, the petitioner did not fully serve the 1995-1998 mayoral term by reason of involuntary relinquishment of office. After a re-appreciation and revision of the contested ballots the COMELEC itself declared by final judgment that petitioner Lonzanida lost in the May 1995 mayoralty elections and his previous proclamation

⁷⁰G.R. No. 135150, July 28, 1999.

as winner was declared null and void. His assumption of office as mayor cannot be deemed to have been by reason of valid election but by reason of a void proclamation. It has been repeatedly held by the Court that a proclamation subsequently declared void is no proclamation at all while a proclaimed candidate may assume office on the strength of the proclamation of the Board of Canvassers he is only a presumptive winner who assumes office subject to the final outcome of the election protest. Second, the petitioner cannot be deemed to have served the May 1995 to 1998 term because he was ordered to vacate his post before the expiration of the term. Therein respondents' contention that the petitioner should be deemed to have served one full term from May 1995-1998 because he served the greater portion of that term has no legal basis to support it; it disregarded the second requisite for the application of the disqualification, *i.e.*, that he had fully served three consecutive terms."

The case of *Adormeo v. COMELEC*⁷¹ offered a different angle in the application of the three (3)-term limit rule. The issue in that case was whether or not an assumption to office through a recall election should be considered as one term in applying the three (3)-term limit rule. Therein private respondent was elected and served for two (2) consecutive terms as mayor. He then ran for his 3rd term in the May 1998 elections, but lost to his opponent. In June 1998, his opponent faced recall proceedings and in the recall elections of May 2000, private respondent won and served for the unexpired term. For the May 2001 elections, private respondent filed his certificate of candidacy for the office of mayor. This was questioned. The Supreme Court held that private respondent cannot be construed as having been elected and served for three (3) consecutive terms. His loss in the May 1998 elections was considered by the Supreme Court as an "interruption in the continuity" of his service as mayor because for nearly two (2) years, private respondent therein lived as a private citizen. The Supreme Court said, thus:

"Neither can respondent's victory in the recall election be deemed a violation of Section 8, Article X of the Constitution as 'voluntary renunciation' for clearly it is not. In *Lonzanida v. COMELEC*, we said: The second sentence of the constitutional provision under scrutiny states, 'Voluntary renunciation of office for any length of time shall not be considered as an interruption

⁷¹G.R. No. 147927, February 4, 2002.

in the continuity of service for the full term for which he was elected.' The clear intent of the framers of the constitution to bar any attempt to circumvent the three-term limit by a voluntary renunciation of office and at the same time respect the people's choice and grant their elected official full service of a term is evident in this provision. Voluntary renunciation of a term does not cancel the renounced term in the computation of the three-term limit; conversely, involuntary severance from office for any length of time short of the full term provided by law amounts to an interruption of continuity of service. The petitioner vacated his post a few months before the next mayoral elections, not by voluntary renunciation but in compliance with the legal process of writ of execution issued by the COMELEC to that effect. Such involuntary severance from office is an interruption of continuity of service and thus, the petitioner did not fully serve the 1995-1998 mayoral term."

Another case that involved recall election and the three (3)-term limit rule is the case of *Socrates v. COMELEC*.⁷² The principal issue in that case was whether or not private respondent Hagedorn was qualified to run during the recall elections. Hagedorn had already served for three (3) consecutive terms as mayor from 1992 until 2001 and did not run in the immediately following regular elections in 2001. On July 2, 2002, the *barangay* officials of Puerto Princesa convened themselves into a Preparatory Recall Assembly (PRA) to initiate the recall of the incumbent mayor, Socrates. At that time, PRA as a mode of recall was still practiced. On August 23, 2002, Hagedorn filed his certificate of candidacy for mayor in the recall election. A petition for his disqualification was filed on the ground that he cannot run for the said post during the recall elections for he was disqualified from running for a 4th consecutive term. The Supreme Court ruled in favor of Hagedorn, holding that the principle behind the three (3)-term limit rule is to prevent consecutiveness of the service of terms, and that there was in his case a break in such consecutiveness after the end of his 3rd term and before the recall election. Here, the Supreme Court ruled, *viz.*:

"The clear intent is that involuntary severance from office for any length of time interrupts continuity of service and prevents the service before and after the interruption from being joined together to form a continuous service or consecutive

⁷²G.R. No. 154512, November 12, 2002.

terms. After three consecutive terms, an elective local official cannot seek immediate reelection for a fourth term. The prohibited election refers to the next regular election for the same office following the end of the third consecutive term. Any subsequent election, like a recall election, is no longer covered by the prohibition for two reasons. *First*, a subsequent election like a recall election is no longer an immediate reelection after three consecutive terms. *Second*, the intervening period constitutes an involuntary interruption in the continuity of service. Clearly, what the Constitution prohibits is an immediate reelection for a fourth term following three consecutive terms. The Constitution, however, does not prohibit a subsequent reelection for a fourth term as long as the reelection is not immediately after the end of the third consecutive term. A recall election mid-way in the term following the third consecutive term is a subsequent election but not an immediate reelection after the third term. Neither does the Constitution prohibit one barred from seeking immediate reelection to run in any other subsequent election involving the same term of office. What the Constitution prohibits is a consecutive fourth term."

What if a municipality has been converted into a city, may the Municipal Mayor who has already served for three (3) consecutive terms run for Mayor of the city?

This interesting question was answered in the case of *Latasa v. COMELEC*.⁷³ In that case, petitioner Arsenio A. Latasa, was elected mayor of the Municipality of Digos, Davao del Sur in the elections of 1992, 1995, and 1998. During petitioner's 3rd term, the Municipality of Digos was declared a component city, to be known as the City of Digos. On February 28, 2001, petitioner filed his certificate of candidacy for city mayor for the May 14, 2001 elections. He stated therein that he is eligible therefor, and likewise disclosed that he had already served for three (3) consecutive terms as mayor of the Municipality of Digos, and is now running for the first time for the position of city mayor. Private respondent Romeo M. Sunga, also a candidate for city mayor in the said elections, filed before the Commission on Elections (COMELEC) a Petition to Deny Due Course, Cancel Certificate of Candidacy and/or For Disqualification against petitioner Latasa. Respondent Sunga alleged that petitioner falsely represented in his certificate of candidacy that he is eligible to run as mayor of Digos City since he had already been elected and

⁷³G.R. No. 154829, December 10, 2003; *see also* Halili v. COMELEC, G.R. No. 231643, January 15, 2019.

served for three (3) consecutive terms as mayor from 1992 to 2001. The Supreme Court disqualified Latasa for having served three (3) consecutive terms already, thus:

"The fact that the new city acquired a new corporate existence separate and distinct from that of the municipality does not mean that for the purpose of applying Article X, Section 8 of the Constitution, the office of the municipal mayor would now be construed as a different local government post as that of the office of the city mayor. The territorial jurisdiction of the City of Digos is the same as that of the municipality. Consequently, the inhabitants of the municipality are the same as those in the city. The inhabitants are the same group of voters who elected petitioner Latasa to be their municipal mayor for three consecutive terms. They are also the same inhabitants over whom he held power and authority as their chief executive for nine years. The Court also stressed that the framers of the Constitution specifically included an exception to the people's freedom to choose those who will govern them in order to avoid the evil of a single person accumulating excessive power over a particular territorial jurisdiction as a result of a prolonged stay in the same office. To allow petitioner Latasa to vie for the position of city mayor after having served for three consecutive terms as a municipal mayor would obviously defeat the very intent of the framers when they wrote this exception. Should he be allowed another three consecutive terms as mayor of the City of Digos, petitioner would then be possibly holding office as chief executive over the same territorial jurisdiction and inhabitants for a total of eighteen consecutive years which is the very scenario sought to be avoided by the Constitution, if not abhorred by it."

In *Francis Ong v. Joseph Stanley Alegre*,⁷⁴ therein petitioner Ong was duly elected mayor of the Municipality of San Vicente in Camarines Norte in the May 1995 elections and again in the May 2001 elections and serving the June 30, 1995 to June 30, 1998 and the June 30, 2001 to June 30, 2004 terms in full. The controversy revolved around the 1998-2001 term. Ong ran for mayor of the same municipality in the May 1998 elections and actually served the 1998-2001 term by virtue of a proclamation initially declaring him mayor-elect of San Vicente. But after the term 1998-2001, it was declared that Ong was not the real winner in the elections. The question was

⁷⁴G.R. No. 163295, January 23, 2006.

whether or not Ong's assumption of office as Mayor of San Vicente from June 30, 1998 to June 30, 2001, may be considered as one (1) full term service. The Supreme Court held that such assumption of office constitutes, for Francis, "service for the full term," and should be counted as a full term served in contemplation of the three (3)-term limit prescribed by the constitutional and statutory provisions barring local elective officials from being elected and serving for more than three (3) consecutive terms for the same position. The Supreme Court reasoned:

"We hold that such assumption of office constitutes, for Francis, 'service for the full term,' and should be counted as a full term served in contemplation of the three-term limit prescribed by the constitutional and statutory provisions, *supra*, barring local elective officials from being elected and serving for more than three consecutive terms for the same position.

It is true that the RTC-Daet, Camarines Norte ruled in Election Protest Case No. 6850, 17 that it was Francis' opponent (Alegre) who 'won' in the 1998 mayoralty race and, therefore, was the legally elected mayor of San Vicente. However, that disposition, it must be stressed, was without practical and legal use and value, having been promulgated after the term of the contested office has expired. Petitioner Francis' contention that he was only a presumptive winner in the 1998 mayoralty derby as his proclamation was under protest did not make him less than a duly elected mayor. His proclamation by the Municipal Board of Canvassers of San Vicente as the duly elected mayor in the 1998 mayoralty election coupled by his assumption of office and his continuous exercise of the functions thereof from start to finish of the term, should legally be taken as service for a full term in contemplation of the three-term rule.

The absurdity and the deleterious effect of a contrary view is not hard to discern. Such contrary view would mean that Alegre would — under the three-term rule — be considered as having served a term by virtue of a veritably meaningless electoral protest ruling, when another actually served such term pursuant to a proclamation made in due course after an election."

The above ruling of the Supreme Court was reiterated in the subsequent case of *Atty. Rivera III v. COMELEC*⁷⁶ where the Supreme Court also said that Section 8, Article X of the Constitution

⁷⁶G.R. No. 167591, May 9, 2007.

is violated and its purpose defeated when an official serves in the same position for three (3) consecutive terms because, whether as “caretaker” or “*de facto*” officer, he exercises the powers and enjoys the perquisites of the office which enables him “to stay on indefinitely.”

Another scenario that calls for the difficult application of the “three (3)-term limit rule” was illustrated in the more recent 2013 case of *Abundo, Sr. v. COMELEC*.⁷⁶ The main issue in this case was whether or not the service of a term less than the full three (3) years by an elected official arising from his being declared as the duly elected official upon an election protest is considered as full service of the term for purposes of the application of the three (3) consecutive term limit for elective local officials. In this case, Abundo vied for the position of municipal mayor of Viga, Catanduanes for four (4) successive regular elections, namely, the 2001, 2004, 2007, and 2010 national and local elections. In both the 2001 and 2007 elections, Abundo emerged and was proclaimed as the winning mayoralty candidate and accordingly served the corresponding terms as mayor. In the 2004 election, however, the Viga municipal board of canvassers initially proclaimed as winner his opponent, Jose Torres, who, in due time, performed the functions of the office of mayor. Abundo protested Torres’ election and proclamation. Abundo was eventually declared the winner of the 2004 mayoralty electoral contest, paving the way for his assumption of office starting May 9, 2006 until the end of the 2004-2007 term on June 30, 2007, or for a period of a little over one (1) year and one (1) month. When Abundo ran again for Mayor in 2010, his candidacy was questioned on the ground that the 2010-2013 term in case he would be elected would already be Abundo’s 4th consecutive term.

The term 2004-2007 was not credited to Abundo. The Supreme Court reasoned that the consecutiveness of what otherwise would have been Abundo’s three (3) successive, continuous mayorship was effectively broken during the 2004-2007 term when he was initially deprived of title to, and was veritably disallowed to serve and occupy, an office to which he, after due proceedings, was eventually declared to have been the rightful choice of the electorate.

In the more complicated case of *Dizon v. COMELEC*,⁷⁷ therein private respondent (Morales) was elected Mayor of the municipality

⁷⁶G.R. No. 201716, January 8, 2013.

⁷⁷G.R. No. 182088, January 30, 2009.

of Mabalacat in 1995 and in 1998. He fully served these terms. However, a protest was filed against him after his 1998 elections. The protest was not yet finally resolved until Morales got elected for the third time in the 2001 Mayoralty elections. In July of 2001, the protest filed against him in 1998 was finally resolved against him but due to some procedural issues that confronted the controversy, the adverse decision was not immediately enforced. Morales, in the meantime, joined the 2004 Mayoralty race and won again. Although his certificate of candidacy was cancelled, Morales was however proclaimed winner in the 2004 elections. On May 17, 2007, Morales finally stepped down as ordered by the COMELEC. In the 2007 Mayoralty elections, Morales filed again a certificate of candidacy. In holding that Morales was not disqualified to run in the 2007 Mayoralty elections, the Supreme Court observed that Morales occupied the position of mayor of Mabalacat for the following periods: July 1, 1995 to June 30, 1998, July 1, 1998 to June 30, 2001, July 1, 2001 to June 30, 2004, and July 1, 2004 to May 16, 2007. Because of his disqualification, the Supreme Court noted that Morales was not the duly elected mayor for the 2004-2007 term and that neither did Morales hold the position of mayor of Mabalacat for the full term. The Supreme Court also said that Morales cannot be deemed to have served the full term of 2004-2007 because he was ordered to vacate his post before the expiration of the term and that Morales' occupancy of the position of mayor from July 1, 2004 to May 16, 2007 cannot be counted as a term for purposes of computing the three (3)-term limit. Indeed, the period from May 17, 2007 to June 30, 2007 served as a gap for purposes of the three (3)-term limit rule insofar as Morales is concerned such that the period July 1, 2007 to June 30, 2010 term was effectively Morales' first term for purposes of the three (3)-term limit rule.

Abandonment of an office in order to run for another position, like resignation, is voluntary and does not therefore interrupt the continuity of the full term for which the candidate was elected. This principle was applied in a case involving a *Punong Barangay* who was elected as such in 1994, 1997 and 2002 and who was elected as municipal councilor in 2004. When he ran again for *Punong Barangay* in 2007 (in the same *barangay* where he was *Punong Barangay* in 1994, 1997 and 2002) he was disqualified for violating the three (3)-term limit rule.⁷⁸

⁷⁸See *Bolos, Jr. v. COMELEC*, G.R. No. 184082, March 17, 2009.

Is the preventive suspension of an elected public official an interruption of his term of office for purposes of the three (3)-term limit rule? The case of *Aldovino v. COMELEC*⁷⁹ answered in the negative. According to the Supreme Court, “interruption” of a term exempting an elective official from the three (3)-term limit rule is one that involves no less than the involuntary loss of title to office such that an officer who is preventively suspended is simply barred from exercising the functions of his office but title to office is not lost.

What if the suspension imposed upon the official was in the form of a penalty, will the above *Aldovino doctrine* still apply? One may invoke Justice Mendoza’s opinion when he penned *Borja v. COMELEC* (1998). In explaining the Court’s decision, J. Mendoza used illustrations that included a Mayor who was twice suspended for misconduct for a total of one (1) year during a first term and who was subsequently elected and served for two consecutive terms. J. Mendoza opined that the Mayor’s suspension effectively interrupted the term of the Mayor concerned and he, therefore, has “not fully served three consecutive terms.” However, one may argue that the Court’s reasoning in *Aldovino*, which came after *Borja*, would still apply to suspension imposed as penalty. Firstly, J. Mendoza’s opinion in *Borja* may be treated as obiter.⁸⁰ Secondly, under the LGC of 1991, when a Mayor is suspended (as penalty), the Vice-mayor succeeds only in an “acting capacity,” indicating that the office of the Mayor was never vacated when the Mayor got suspended.

The 2013 case of *Abundo, Sr. v. COMELEC*⁸¹ summarized the prevailing jurisprudence on issues affecting consecutiveness of terms and/or involuntary interruption, as follows:

“1. When a permanent vacancy occurs in an elective position and the official merely assumed the position pursuant to the rules on succession under the LGC, then his service for the unexpired portion of the term of the replaced official cannot be treated as one full term as contemplated under the subject constitutional and statutory provision that service cannot be counted in the application of any term limit (*Borja, Jr.*). If the official runs again for the same position he held prior to his

⁷⁹G.R. No. 184836, December 23, 2009.

⁸⁰See DILG Opinion No. 2010-4, August 17, 2010.

⁸¹*Supra* note 76.

assumption of the higher office, then his succession to said position is by operation of law and is considered an involuntary severance or interruption (*Montebon, citing Borja, Jr.*).

2. An elective official, who has served for three (3) consecutive terms and who did not seek the elective position for what could be his 4th term, but later won in a recall election, had an interruption in the continuity of the official's service. For, he had become in the interim, *i.e.*, from the end of the 3rd term up to the recall election, a private citizen (*Adormeo and Socrates*).

3. The abolition of an elective local office due to the conversion of a municipality to a city does not, by itself, work to interrupt the incumbent official's continuity of service (*Latasa*).

4. Preventive suspension is not a term-interrupting event as the elective officer's continued stay and entitlement to the office remain unaffected during the period of suspension, although he is barred from exercising the functions of his office during this period (*Aldovino, Jr.*).

5. When a candidate is proclaimed as winner for an elective position and assumes office, his term is interrupted when he loses in an election protest and is ousted from office, thus disabling him from serving what would otherwise be the unexpired portion of his term of office had the protest been dismissed (*Lonzanida and Dizon*). The break or interruption need not be for a full term of three (3) years or for the major part of the three (3)-year term; an interruption for any length of time, provided the cause is involuntary, is sufficient to break the continuity of service (*Socrates, citing Lonzanida*).

6. When an official is defeated in an election protest and said decision becomes final after said official had served the full term for said office, then his loss in the election contest does not constitute an interruption since he has managed to serve the term from start to finish. His full service, despite the defeat, should be counted in the application of term limits because the nullification of his proclamation came after the expiration of the term (*Ong and Rivera*)."

Will the three (3)-term limit rule apply upon local elective officials in renamed and/or reapportioned districts? The Supreme Court answered this question in the affirmative in *Naval v. Comelec*,⁸² a case of first impression. In this case, Mr. Naval already served for two (2) consecutive terms (2007-2010) as member of the Provincial Board of Camarines Sur Second District. The second district consisted of 10 municipalities. A reapportionment law was thereafter passed creating a Third District which consisted of the eight (8) municipalities of the Second District. When Naval ran for the Third District for the same position of Member of the Provincial Board, the Supreme Court ruled that the three (3)-term limit rule should be applied to him.

In *Albania v. Comelec*,⁸³ while respondent therein ran as Governor of Camarines Norte in the 2007 elections, he did not win as such. It was only after he filed a petition for correction of manifest error that he was proclaimed as the duly-elected Governor. He assumed the post and served the unexpired term of his opponent from March 22, 2010 until June 30, 2010. Consequently, he did not hold the office for the full term of three (3) years to which he was supposedly entitled to. Thus, such period of time that respondent served as Governor did not constitute a complete and full service of his term. The period when he was out of office involuntarily interrupted the continuity of his service as Governor. As he had not fully served the 2007-2010 term, and had not been elected for three (3) consecutive terms as Governor, there was no violation of the three (3)-term limit rule when he ran again in the 2016 elections.

Another interesting question was raised in the 2019 case of *Tallado v. COMELEC*.⁸⁴ Tallado was duly elected as Governor of the Province of Camarines Norte in the 2010, 2013 and 2016 elections. He fully served his 2010-2013 and 2013-2016 terms. It was the turn of events in respect of Tallado's 2016-2019 term that has spawned the controversy that the Supreme Court had to resolve. It appears that on April 18, 2016, while Tallado was serving his 2013-2016 term, the Office of the Ombudsman found and declared him administratively liable and imposed upon him the penalty of dismissal from service, which decision was immediately implemented by the Department of Interior and Local Government (DILG) on November 8, 2016.

⁸²G.R. No. 207851, July 8, 2014.

⁸³*Supra* note 61.

⁸⁴G.R. No. 246679, September 10, 2019.

The DILG also directed the Vice-Governor, Pimentel, to assume the office of the Governor. Pimentel then took an oath of office as Governor of Camarines Norte and thereupon assumed office and exercised the functions of Governor. Based on record, however, Tallado was in fact able to timely appeal the decision of the Office of the Ombudsman ordering his dismissal. The question then was whether Tallado's removal from office despite the pendency of the appeal questioning the order of dismissal interrupted his 2013-2016 term. The Supreme Court ruled that once the order of the Office of the Ombudsman to dismiss an elective local official is executed, the dismissed official thereby loses title to the office even if he or she has filed a timely appeal assailing the dismissal which would have prevented it from attaining finality. The loss of title to the office constitutes an involuntary interruption of the official's service of his or her full term.

"Holdover Principle," Applicable to Barangay Officials

Section 5 of Republic Act No. 9164 provides that "all incumbent *barangay* officials and *sangguniang kabataan* officials shall remain in office unless sooner removed or suspended for cause until their successors shall have been elected and qualified." Republic Act No. 9164 is now the law that fixes the date of *barangay* and SK elections, prescribes the term of office of *barangay* and SK officials, and provides for the qualifications of candidates and voters for the SK elections. Therefore, in case of failure of election and until the actual election is held, *barangay* and SK officials can legally remain in office as officials of their respective *barangays* in a holdover capacity. They shall continue to discharge their powers and duties and enjoy the rights and privileges pertaining to the office. While it is true that Section 43(c) of the LGC of 1991 limits the term of elective *barangay* officials to three (3) years, Section 5 of Republic Act No. 9164 explicitly provides that incumbent *barangay* officials may continue in office in a holdover capacity until their successors are elected and qualified. It must be noted that unlike other local elective officials whose terms of office are fixed by the Constitution, *barangay* officials' term of office is to be determined by law.⁸⁸

⁸⁸Sec. 8, Art. X of the 1987 Constitution.

The application of the holdover principle preserves continuity in the transaction of official business and prevents a hiatus in government pending the assumption of a successor into office. Cases of extreme necessity justify the application of the holdover principle.⁸⁶

However, the holdover period does not constitute a separate term for purposes of the three (3)-term limit rule as it is merely a valid extension period during which an incumbent may legally perform the functions of his office pending the assumption of the successor.⁸⁷

Vacancies and Succession

1. Permanent Vacancies

Permanent vacancies in the offices of Governor, Vice-Governor, Mayor, Vice-Mayor, and Punong Barangay

If a permanent vacancy occurs in the office of the governor or mayor, the vice-governor or vice-mayor concerned shall become the governor or mayor. If a permanent vacancy occurs in the offices of the governor, vice-governor, mayor, or vice-mayor, the highest ranking *sanggunian* member or, in case of his permanent inability, the second highest ranking *sanggunian* member, shall become the governor, vice-governor, mayor or vice-mayor, as the case may be.⁸⁸ Subsequent vacancies in the said office shall be filled automatically by the other *sanggunian* members according to their ranking as defined in the LGC of 1991.

If a permanent vacancy occurs in the office of the *punong barangay*, the highest ranking *sangguniang barangay* member or, in case of his permanent inability, the second highest ranking *sanggunian* member, shall become the *punong barangay*.⁸⁹

A tie between or among the highest ranking *sanggunian* members shall be resolved by the drawing of lots. The successors shall serve only the unexpired terms of their predecessors.

⁸⁶Sambarani v. COMELEC, G.R. No. 160427, September 15, 2004.

⁸⁷DILG Opinion No. 145, s. 2010, November 22, 2010.

⁸⁸Sec. 44, LGC of 1991.

⁸⁹*Ibid.*

A "permanent vacancy" arises when an elective local official fills a higher vacant office, refuses to assume office, fails to qualify, dies, is removed from office, voluntarily resigns, or is otherwise permanently incapacitated to discharge the functions of his office. For purposes of succession "ranking" in the *sanggunian* shall be determined on the basis of the proportion of votes obtained by each winning candidate to the total number of registered voters in each district in the immediately preceding local election.⁹⁰

The rule on succession in Section 44 of LGC of 1991 cannot, however, apply in instances when a *de facto* officer is ousted from office and the *de jure* officer takes over. The ouster of a *de facto* officer cannot create a permanent vacancy as contemplated in the Local Government Code. There is no vacancy to speak of as the *de jure* officer, the rightful winner in the elections, has the legal right to assume the position.⁹¹

So, for instance, say X, Y and Z were the candidates for Mayor in Municipality of A. Y had earlier filed a petition for the cancellation of X's certificate of candidacy under Section 78 of the Omnibus Election Code (Material Misrepresentation) on the ground that X failed to comply with the six (6)-month residency requirement. During the election, and while the disqualification case was still pending, X received the highest number of votes followed by Y. Thereafter, the COMELEC disqualified X. W, the elected Vice-Mayor, insisted that he should become the Mayor. Should W be allowed to assume the office of the Mayor? Here, because the ground for disqualification affects the eligibility of X, he shall be deemed not a candidate at all. Hence, the "Rejection of the Second Placer Rule" will not apply in this particular case. X here is a *de facto* officer while Y is deemed the *de jure* officer. As *de jure* officer, Y will be declared the true winner. W, the Vice-Mayor cannot assume the position of the Mayor. Succession, therefore, does not take place in this instance.

Decisions holding that the 2nd placer cannot be proclaimed winner if the 1st placer is disqualified or declared ineligible (termed the "Rejection of the Second Placer Rule") should be limited to situations where the certificate of candidacy of the 1st placer was valid at the time of filing but subsequently had to be cancelled because of a violation of law that took place, or a legal impediment

⁹⁰*Ibid.*

⁹¹*Svetlana Jalosjos v. COMELEC, supra* note 17.

that took effect, after the filing of the certificate of candidacy. If the certificate of candidacy is *void ab initio*, then legally the person who filed such void certificate of candidacy was never a candidate in the elections at any time. All votes for such non-candidate are stray votes and should not be counted. Thus, such non-candidate can never be a 1st placer in the elections. In *Chua v. Comelec*,⁸² the Rejection of the Second Placer Rule was not applied as the ground for disqualification therein involved residency and citizenship requirements, which are substantive qualifying circumstances. The same reasoning was applied by the Supreme Court in *Diambrang v. Comelec*⁸³ where the candidate was found to be a fugitive from justice, a disqualification under the LGC of 1991. In both these cases, the Rejection of the Second Placer Rule was not applied and the supposed 2nd placer was declared winner instead.

Interestingly, the Supreme Court took a different line of reasoning in *Talaga v. COMELEC*.⁸⁴ In this case, the COMELEC disqualified the original candidate, Ramon Talaga, for violating the three (3)-term limit rule. The petitioner therein, Barbara Ruby Talaga, substituted Ramon before the election. The substitution by Barbara Ruby Talaga was consequently considered invalid because, as a matter of law, substitution of a candidate presupposes a valid candidate. And, since Ramon Talaga was disqualified on ground of ineligibility, his certificate of candidacy was deemed *void ab initio*, making him not a valid candidate who can be legally substituted. According to the Supreme Court, it cannot be said that the electorates in this case were aware of the ineligibility of the substitute such that the 2nd placer cannot be declared winner. The Supreme Court echoed what was said in *Labo v. COMELEC*⁸⁵ and *Grego v. COMELEC*⁸⁶ that the only time that a 2nd placer is allowed to take the place of a disqualified winning candidate is when two (2) requisites concur, namely: (a) the candidate who obtained the highest number of votes is disqualified; and (b) the electorate was fully aware in fact and in law of that candidate's disqualification as to bring such awareness within the realm of notoriety but the electorate still cast the plurality of the votes in favor of the ineligible candidate. And, because the Supreme Court was convinced that Barbara Ruby

⁸²G.R. No. 216607, April 5, 2016.

⁸³G.R. No. 201809, October 11, 2016.

⁸⁴G.R. No. 196804, October 9, 2012.

⁸⁵G.R. Nos. 105111 and 105384, July 3, 1992.

⁸⁶G.R. No. 125955, June 19, 1997.

Talaga's disqualification, her having substituted a disqualified candidate (Ramon Talaga) was not an apparent disqualification (as it is not a common or usual ground for disqualification) it could not have been said that the electorates were fully aware of Barbara Ruby's disqualification as to bring such awareness within the realm of notoriety. Thus, instead of proclaiming the "second placer" as winner, the Supreme Court allowed the Vice-Mayor to assume the position of the Mayor pursuant to the rule on succession.

However, in *Maquiling v. Comelec*,⁹⁷ the Supreme Court ruled that the element of "electorates' awareness" of the disqualification of the proclaimed candidate in order for the 2nd placer to be declared winner was a mere *obiter dictum* in *Labo case*. The Supreme Court said, thus:

"There is no need to apply the rule cited in *Labo v. COMELEC* that when the voters are well aware within the realm of notoriety of a candidate's disqualification and still cast their votes in favor said candidate, then the eligible candidate obtaining the next higher number of votes may be deemed elected. That rule is also a mere *obiter* that further complicated the rules affecting qualified candidates who placed second to ineligible ones.

The electorate's awareness of the candidate's disqualification is not a prerequisite for the disqualification to attach to the candidate. The very existence of a disqualifying circumstance makes the candidate ineligible. Knowledge by the electorate of a candidate's disqualification is not necessary before a qualified candidate who placed second to a disqualified one can be proclaimed as the winner. The second-placer in the vote count is actually the first-placer among the qualified candidates." (Emphasis added, Citations omitted)

Permanent Vacancies in the Sanggunian

Permanent vacancies in the *sanggunian* where automatic successions provided above do not apply shall be filled by appointment in the following manner:

⁹⁷*Supra* note 43; see also *Diambrang v. COMELEC*, *supra* note 93.

(1) The President, through the Executive Secretary, in the case of the *Sangguniang Panlalawigan* and the *Sangguniang Panlungsod* of highly urbanized cities and independent component cities;

(2) The governor, in the case of the *Sangguniang Panlungsod* of component cities and the *Sangguniang Bayan*;

(3) The city or municipal mayor, in the case of *Sangguniang Barangay*, upon recommendation of the *Sangguniang Barangay* concerned;

(4) Except for the *Sangguniang Barangay*, only the nominee of the political party under which the *Sanggunian* member concerned had been elected and whose elevation to the position next higher in rank created the last vacancy in the *Sanggunian* shall be appointed in the manner hereinabove provided. The appointee shall come from the same political party as that of the *Sanggunian* member who caused the vacancy and shall serve the unexpired term of the vacant office. In the appointment herein mentioned, a nomination and a certificate of membership of the appointee from the highest official of the political party concerned are conditions *sine qua non*, and any appointment without such nomination and certification shall be null and *void ab initio* and shall be a ground for administrative action against the official responsible therefor;

(5) In case the permanent vacancy is caused by a *Sanggunian* member who does not belong to any political party, the local chief executive shall, upon recommendation of the *Sanggunian* concerned, appoint a qualified person to fill the vacancy; and

(6) In case of vacancy in the representation of the youth and the *Barangay* in the *Sanggunian*, said vacancy shall be filled automatically by the official next in rank of the organization concerned.⁹⁸

It is the Commission on Elections (COMELEC) that is tasked to certify the ranking of the members of the *Sanggunian*, not the Department of Interior and Local Government (DILG).⁹⁹

⁹⁸Sec. 45, LGC of 1991.

⁹⁹DILG Opinion No. 27, s. 2018, May 29, 2018.

The rule on “ranking” was explained in *Victoria v. COMELEC*.¹⁰⁰ Petitioner in that case claimed that the ranking of the *Sanggunian* members should not only be based on the number of votes obtained in relation to the total number of registered voters, but also on the number of voters in the district who actually voted therein. He further argued that a district may have a large number of registered voters but only a few actually voted, in which case the winning candidate would register a low percentage of the number of votes obtained. Conversely, he added, a district may have a smaller number of registered voters but may have a big voters’ turnout, in which case the winning candidate would get a higher percentage of the votes. The Supreme Court disagreed with Petitioner as the law is clear that the ranking in the *Sanggunian* shall be determined on the basis of the “proportion of the votes obtained by each winning candidate to the total number of registered voters of each district.” The Supreme Court said that the law does not mention anything about factoring the numbers of voters who actually voted.

In case of a permanent vacancy in the *Sanggunian*, say in *Sangguniang Bayan*, caused by the cessation from office of a member who does not belong to any political party, who can appoint the replacement and in accordance with what procedure? The law speaks of “the local chief executive” as having the authority to make the appointment. The question, however, is who is this “local chief executive” referred to in the law? In case of a vacancy taking place in the *Sangguniang Bayan*, does the phrase “local chief executive” refer to the Governor or the Municipal Mayor?

These questions were answered in the case of *Fariñas v. Court of Appeals*.¹⁰¹ The Petitioners in *Fariñas* interpreted Section 45(a) of the LGC of 1991 to mean that it is the governor, with respect to vacancies in the *Sangguniang Panlungsod* of component cities and *Sangguniang Bayan*, or the mayor with respect to vacancies in the *Sangguniang Barangay*, who has the authority to appoint. The Supreme Court ruled:

“We think that the phrase ‘*sanggunian* concerned’ in §45(c) should more properly be understood as referring to the *Sanggunian* in which the vacancy is created. This is in keeping with the policy implicit in §45(a)(3).

¹⁰⁰G.R. No. 109005, January 10, 1994.

¹⁰¹G.R. No. 116763, April 19, 1996.

In other words, with the exception of the *Sangguniang Barangay* pars. (a) and (b) must be read as providing for the filling of vacancies in the various *Sanggunians* when these vacancies are created as a result of the cessation from office (other than expiration of term) of members who belong to political parties. On the other hand, §45(c) must be understood as providing for the filling of vacancies created by members who do not belong to any political party. Consequently, §45 must be construed to mean that:

I. Where the Permanent Vacancy is Caused by a Sanggunian Member Belonging to a Political Party

- A. *Sangguniang Panlalawigan and Sangguniang Panlungsod of highly urbanized cities and independent component cities* — The President, through the Executive Secretary, upon the nomination and certification of the political party to which the member who caused the vacancy belonged, as provided in §45(b).
- B. *Sangguniang Panlungsod of component cities and Sangguniang Bayan* — The Governor upon the nomination and certification of the political party to which the member who caused the vacancy belonged, as provided in §45(b).

II. Where the Vacancy is Caused by a Sanggunian Member Not Belonging to a Political Party

- A. *Sangguniang Panlalawigan and Sangguniang Panlungsod of highly urbanized and independent component cities* — The President, through the Executive Secretary, upon recommendation of the *Sangguniang Panlalawigan* or *Sangguniang Panlungsod* as the case may be.
- B. *Sangguniang Panlungsod of component cities and Sangguniang Bayan* — The Governor upon recommendation of the *Sangguniang Panlungsod* or *Sangguniang Bayan* as the case may be.

III. Where the Vacancy is caused by a Member of the Sangguniang Barangay — City or Municipal Mayor upon recommendation of the Sangguniang Barangay

There is only one rule governing appointments to the *Sangguniang Barangay*. Any vacancy therein caused by the cessation from office of a member must be made by the mayor

upon the recommendation of that *Sanggunian*. The reason is that members of the *Sangguniang Barangay* are not allowed to have party affiliations.

Is the appointing authority limited to the appointment of those "recommended" to him? We think an affirmative answer must be given to the question. The appointing authority is not bound to appoint anyone recommended to him by the *Sanggunian* concerned. The power of appointment is a discretionary power. On the other hand, neither is the appointing power vested with so large a discretion that he can disregard the recommendation of the *Sanggunian* concerned. Since the recommendation takes the place of nomination by political party, the recommendation must likewise be considered a condition *sine qua non* for the validity of the appointment, by analogy to the provision of §45(b)."

Another phrases in Section 45(b) that require interpretation are the phrases "*last vacancy*" and "*sanggunian member who caused the vacancy*." This is crucial because only the nominee of the political party under which the *Sanggunian* member concerned has been elected and whose elevation to the position next higher in rank created the "last vacancy" in the *Sanggunian* shall be appointed in the manner provided above. The appointee shall come from the political party as that of the "*sanggunian member who caused the vacancy*." The case of *Navarro v. CA*,¹⁰² resolved this matter, thus:

"The reason behind the right given to a political party to nominate a replacement where a permanent vacancy occurs in the *Sanggunian* is to maintain the party representation as willed by the people in the election.

With the elevation of petitioner Tamayo, who belonged to REFORMA-LM, to the position of Vice-Mayor, a vacancy occurred in the *Sanggunian* that should be filled up with someone who should belong to the political party of petitioner Tamayo. Otherwise, REFORMA-LM's representation in the *Sanggunian* would be diminished. To argue that the vacancy created was that formerly held by Rolando Lalas, a LAKAS-NUCD-Kampi member, would result in the increase of that party's representation in the *Sanggunian* at the expense of the REFORMA-LM. This interpretation is contrary to the letter and spirit of the law and thus violative of a fundamental rule in statutory construction which is to ascertain and give effect

¹⁰²G.R. No. 141307, March 28, 2001.

to the intent and purpose of the law. As earlier pointed out, the reason behind par. (b), Section 44 of the Local Government Code is the maintenance party representation in the *Sanggunian* in accordance with the will of the electorate.

The 'last vacancy' in the *Sanggunian* refers to that created by the elevation of the member formerly occupying the next higher in rank which in turn also had become vacant by any of the causes already enumerated. The term 'last vacancy' is thus used in Sec. 45(b) to differentiate it from the other vacancy previously created. The term by no means refers to the vacancy in the No. 8 position which occurred with the election of Rolando Lalas to the seventh position in the *Sanggunian*. Such construction will result in absurdity."

The conditions for the rule of succession under Section 45 of the LGC to apply are: 1. The appointee shall come from the same political party as that of the *Sanggunian* member who caused the vacancy; 2. The appointee must have a nomination and a Certificate of Membership (*bona fide* membership) from the highest official of the political party concerned.¹⁰³

Temporary Vacancy in the Office of the Local Chief Executive

When the governor, city or municipal mayor, or *punong barangay* is temporarily incapacitated to perform his duties for physical or legal reasons such as, but not limited to, leave of absence, travel abroad, and suspension from office, the vice-governor, city or municipal vice-mayor, or the highest ranking *sangguniang barangay* member shall automatically exercise the powers and perform the duties and functions of the local chief executive concerned, except the power to appoint, suspend, or dismiss employees which can only be exercised if the period of temporary incapacity exceeds 30 working days.¹⁰⁴

The said appointment, suspension or dismissal of employees, however, shall be made applicable only to plantilla positions.¹⁰⁵ Hence, the limitations therein will not apply to the appointment of casual or job order employees whose employment shall be governed by Section 77 of the LGC of 1991. Accordingly, hiring of job orders is not considered an appointment *per se*, thus, their services may be

¹⁰³Damasen v. Tumamao, G.R. No. 173165, February 17, 2010.

¹⁰⁴Sec. 46, LGC of 1991.

¹⁰⁵See DILG Opinion No. 50, s. 2019, August 29, 2019.

engaged regardless of whether or not the temporary vacancy in the office of the local chief executive exceeds 30 working days.¹⁰⁶

Said temporary incapacity shall terminate upon submission to the appropriate *sanggunian* of a written declaration by the local chief executive concerned that he has reported back to office. In cases where the temporary incapacity is due to legal causes, the local chief executive concerned shall also submit necessary documents showing that said legal causes no longer exist.¹⁰⁷

There is no vacancy whenever the office is occupied by a legally qualified incumbent. *A sensu contrario*, there is a vacancy when there is no person lawfully authorized to assume and exercise at present the duties of the office.¹⁰⁸ By virtue of the foregoing definition, it can be said that the designation, appointment or assumption of the vice-governor as the acting governor creates a corresponding temporary vacancy in the office of the vice-governor during such contingency. Considering the silence of the law on the matter, the mode of succession provided for permanent vacancies, under the new Code, in the office of the vice-governor may likewise be observed in the event of temporary vacancy occurring in the same office.¹⁰⁹

Confinement in a prison facility prevents an accused elective official from performing his duties and functions. Hence, he is deemed temporarily incapacitated to discharge his duties and functions, creating a temporary vacancy in his position. The Supreme Court ruled in *People v. Maceda*¹¹⁰ that as a matter of law, when a person indicted for an offense is arrested, he is deemed placed under the custody of the law. He is placed in actual restraint of liberty in jail so that he may be bound to answer for the commission of the offense. He must be detained in jail during the pendency of the case against him, unless he is authorized by the court to be released on bail or on recognizance. All prisoners whether under preventive detention or serving final sentence can not practice their profession nor engage in any business or occupation, or hold office, elective or appointive, while in detention. This is a necessary consequence of arrest and detention.

¹⁰⁶*Ibid.*

¹⁰⁷Sec. 46, LGC of 1991.

¹⁰⁸See *Stocking v. State*, 7 Ind. 326 cited in *Mechem. A Treatise on the Law on Public Offices and Officers*, p. 61 cited in *Menzon v. Petilla*, 197 SCRA 251, cited in *Gamboa v. Aguirre*, G.R. No. 134213, July 20, 1999.

¹⁰⁹*Menzon v. Petilla*, 197 SCRA 251, cited in *Gamboa v. Aguirre*, *supra*.

¹¹⁰G.R. No. 89591-96, January 24, 2000.

Temporary vacancy may also occur if the official holding the elective position has become a fugitive from justice. While being a fugitive from justice is a ground for disqualification to hold local elective position, when the official becomes so during his incumbency, this creates temporary vacancy in his office.¹¹¹

Other similar cases may also cause temporary vacancy as Section 46 of the LGC of 1991 uses the term “such as, but not limited to,” indicating that there can be other instances, physical or legal, that can cause temporary incapacity other than leave of absence, travel abroad and suspension.¹¹²

The case of *People v. Bustamante*¹¹³ resolved the issue that concerns the authority of a duly elected vice-mayor acting as mayor to solemnize marriage. The Supreme Court affirmed the authority of the vice-mayor as acting mayor to solemnize marriage for he discharges all the duties and wields the powers appurtenant to said office (citing *Laxamana v. Baltazar*, 148 Off. Gaz. No. 9, 3869 and Section 2195, Revised Administrative Code). This instance does not involve a question of title to the office, but the performance of the functions thereunto appertaining by one who is admitted to be temporarily vested with it.

An official who holds an office in an “acting capacity” only is not entitled to the salaries of the office he is temporarily holding. It is only an additional imposition of an obligation or a designation because the higher official is temporarily incapacitated or unable to perform his functions. Designation does not entitle the officer designated to receive the salary of the position.¹¹⁴

Officer-in-Charge (OIC)

When the incumbent local chief executive is traveling within the country but outside his territorial jurisdiction for a period not exceeding three (3) consecutive days, he may designate in writing the *officer-in-charge* of the said office. Such authorization shall specify the powers and functions that the local official concerned shall exercise in the absence of the local chief executive except the power to appoint, suspend, or dismiss employees.¹¹⁵

¹¹¹See DILG Opinion No. 3, s. 2016, January 21, 2016.

¹¹²DILG No. 20, s. 2013, May 24, 2013; DILG No. 18, s. 2013, May 21, 2013.

¹¹³105 Phil. 64 (1959).

¹¹⁴DILG Opinion No. 17, s. 2019, April 16, 2019.

¹¹⁵*Ibid.*

In the event, however, that the local chief executive concerned fails or refuses to issue such authorization, the vice-governor, the city or municipal vice-mayor, or the highest ranking *sangguniang barangay* member, as the case may be, shall have the right to assume the powers, duties, and functions of the said office on the 4th day of absence of the said local chief executive, subject to the limitations provided in subsection (c) of Section 46 of the LGC of 1991.¹¹⁶

Except as provided above, the local chief executive shall in no case authorize any local official to assume the powers, duties, and functions of the office, other than the vice-governor, the city or municipal vice-mayor, or the highest ranking *sangguniang barangay* member, as the case may be.¹¹⁷

It must be noted that a designation under acting capacity may be differentiated from a designation as Officer-in-Charge (OIC) in such a manner that an OIC enjoys limited powers which are confined to functions of administration and ensuring that the office continues its usual activities. The OIC may not be deemed to possess the power to appoint employees as the same involves the exercise of discretion which is beyond the power of an OIC. On the other hand, a designation in an acting capacity entails not only the exercise of the ministerial functions attached to the position but also the exercise of discretion. This is so considering that the person designated is deemed to be the incumbent of the position.¹¹⁸

The power to appoint resides exclusively in the appointing authority and is not deemed delegated to one who is merely an Officer-in-Charge. The designation of an OIC is nothing more than a temporary and convenient arrangement intended to avert paralyzation of the day to day operations of an office in the meantime that the chief or head of office is temporarily absent. The OIC has no power to appoint unless the designation issued by the proper appointing authority includes expressly the power to issue appointment. "Moreover, in the case of *Aytona v. Castillo, et al.*, (GR No. L-19313, January 19, 1962) it was ruled that a designated Officer-in-Charge is considered merely as a caretaker of the office while the regular incumbent is on leave of absence. An OIC does not possess the power to appoint, and if he does, such act is null and void *ab initio*. An Officer-in-Charge does not exercise powers involving

¹¹⁶*Ibid.*

¹¹⁷*Ibid.*

¹¹⁸Civil Service Commission Resolution No. 000778, March 24, 2000.

discretion of the regular incumbent. The rights and privileges of the latter do not normally descend upon the former unless specifically indicated or stated in the designation.¹¹⁹

Temporary Vacancies in the *Sanggunian*

A temporary vacancy in the position of local chief executive will be filled up by the Vice-Mayor or Vice Governor, as the case may be, in an acting capacity. However, the LGC of 1991 is bereft of any provision delineating the procedure in filling up temporary vacancy/vacancies in the *Sanggunian*. Section 45(a) of the LGC of 1991 pertains only to permanent vacancies in the *Sanggunian*.¹²⁰ However, in *Menzon v. Petilla*¹²¹ the Supreme Court held that the mode of succession provided for permanent vacancies may likewise be observed in case of temporary vacancy in the same office.¹²²

Approval of Leaves of Absence

Leaves of absence of local elective officials shall be approved as follows:

(1) Leaves of absence of the governor and the mayor of a highly urbanized city or an independent component city shall be approved by the President or his duly authorized representative;

(2) Leaves of absence of a vice-governor or a city or municipal vice-mayor shall be approved by the local chief executive concerned: *Provided*, That the leaves of absence of the members of the *sanggunian* and its employees shall be approved by the vice-governor or city or municipal vice-mayor concerned;

(3) Leaves of absence of the component city or municipal mayor shall be approved by the governor; and

(4) Leaves of absence of a *punong barangay* shall be approved by the city or municipal mayor: *Provided*, That leaves of absence of *sangguniang barangay* members shall be approved by the *punong barangay*.¹²³

¹¹⁹*Ibid.*

¹²⁰DILG Opinion No. 44, s. 2015, November 9, 2015.

¹²¹G.R. No. 90762, May 20, 1991.

¹²²*Supra* note 119.

¹²³Sec. 47, LGC of 1991.

Whenever the application for leave of absence hereinabove specified is not acted upon within five (5) working days after receipt thereof, the application for leave of absence shall be deemed approved.

Office Hours of Elective Officials

Neither the LGC of 1991 nor any regulation has fixed the office hours of elective officials. The rationale for this is understandable for it would violate the very nature of the work of elective officials who are considered on call anytime of the day. Fixing their working hours would unnecessarily delimit their services to the prejudice of their constituents and ultimately, the public service.¹²⁴

¹²⁴DILG Opinion No. 24, s. 2010, March 8, 2010.

Chapter 17

DISCIPLINARY ACTIONS

Aside from the Ombudsman Act of 1989,¹ the LGC of 1991 also provides for a mechanism of discipline on erring local government officials. It is the choice on the part of the aggrieved party to either initiate a proceeding before the Office of the Ombudsman applying the Anti-Graft and Corrupt Practices Act and other related laws or to initiate disciplinary proceeding before the concerned body or office under the LGC of 1991.

In administrative cases involving the concurrent jurisdiction of two (2) or more disciplining authorities, the body where the complaint is filed first, and which opts to take cognizance of the case, acquires jurisdiction to the exclusion of other tribunals exercising concurrent jurisdiction. Thus, where a complaint against a *barangay* official was initially filed with the Office of the Ombudsman, the Ombudsman's exercise of jurisdiction over the case excluded the *Sangguniang Bayan* from exercising its concurrent jurisdiction.²

Administrative complaints commenced under the Ombudsman Act are distinct from those initiated under the LGC of 1991. In fact, the Ombudsman can preventively suspend all officials under investigation by his office, regardless of the branch of government in which they are employed, excepting, of course, those removable by impeachment, members of Congress and the Judiciary.³

Grounds for Disciplinary Actions

An elective local official may be disciplined, suspended, or removed from office on any of the following grounds:

- (a) Disloyalty to the Republic of the Philippines;
- (b) Culpable violation of the Constitution;

¹R.A. 6770.

²Alejandro v. Office of the Ombudsman, G.R. No. 173121, April 3, 2013.

³See Garcia v. Mojica, G.R. No. 139043, September 10, 1999.

(c) Dishonesty, oppression, misconduct in office, gross negligence, or dereliction of duty;

(d) Commission of any offense involving moral turpitude or an offense punishable by at least *prision mayor*;

(e) Abuse of authority;

(f) Unauthorized absence for 15 consecutive working days, except in the case of members of the *sangguniang panlalawigan*, *sangguniang panlungsod*, *sangguniang bayan*, and *sangguniang barangay*;

(g) Application for, or acquisition of, foreign citizenship or residence or the status of an immigrant of another country; and

(h) Such other grounds as may be provided in the LGC of 1991 and other laws.

An elective local official may be removed from office on the grounds enumerated above by order of the proper court.⁴

It is clear from the last paragraph of the aforecited provision that the penalty of dismissal from service upon an erring elective local official may be decreed only by a court of law. It is beyond cavil, therefore, that the power to remove erring elective local officials from service is lodged exclusively with the courts. Hence, Article 124(b), Rule XIX, of the Rules and Regulations Implementing the LGC of 1991, insofar as it vests power on the "disciplining authority" to remove from office erring elective local officials, is void for being repugnant to the last paragraph of Section 60 of the LGC of 1991. The law on suspension or removal of elective public officials must be strictly construed and applied, and the authority in whom such power of suspension or removal is vested must exercise it with utmost good faith, for what is involved is not just an ordinary public official but one chosen by the people through the exercise of their constitutional right of suffrage. Their will must not be put to naught by the caprice or partisanship of the disciplining authority. Where the disciplining authority is given only the power to suspend and not the power to remove, it should not be permitted to manipulate the law by usurping the power to remove.⁵

⁴Sec. 60, LGC of 1991.

⁵*Pablico v. Villapando*, G.R. No. 147870, July 31, 2002.

Form and Filing of Complaint

The LGC of 1991 requires a verified complaint against any erring local elective official which shall be prepared as follows:

(a) A complaint against any elective official of a province, a highly urbanized city, an independent component city or component city shall be filed before the Office of the President;

(b) A complaint against any elective official of a municipality shall be filed before the *sangguniang panlalawigan* whose decision may be appealed to the Office of the President; and

(c) A complaint against any elective barangay official shall be filed before the *sangguniang panlungsod* or *sangguniang bayan* concerned whose decision shall be final and *executory*.⁶

Notice of Hearing

Within seven (7) days after the administrative complaint is filed, the Office of the President or the *sanggunian* concerned, as the case may be, shall require the respondent to submit his verified answer within 15 days from receipt thereof, and commence the investigation of the case within 10 days after receipt of such answer of the respondent.⁷

When the respondent is an elective official of a province or highly urbanized city, such hearing and investigation shall be conducted in the place where he renders or holds office. For all other local elective officials, the venue shall be the place where the *sanggunian* concerned is located.⁸

However, no investigation shall be held within 90 days immediately prior to any local election, and no preventive suspension shall be imposed within the said period. If preventive suspension has been imposed prior to the 90-day period immediately preceding local election, it shall be deemed automatically lifted upon the start of aforesaid period.⁹

⁶Sec. 61, LGC of 1991.

⁷Sec. 62(a), LGC of 1991.

⁸Sec. 62(b), LGC of 1991.

⁹Sec. 62(c), LGC of 1991.

Preventive Suspension

The sole objective of an administrative suspension is "to prevent the accused from hampering the normal course of the investigation with his influence and authority over possible witnesses or to keep him off the records and other evidence" and "to assist prosecutors in firming up a case, if any, against an erring local official."¹⁰

Preventive suspension may be imposed:

- (1) By the President, if the respondent is an elective official of a province, a highly urbanized or an independent component city;
- (2) By the governor, if the respondent is an elective official of a component city or municipality; or
- (3) By the mayor, if the respondent is an elective official of the *barangay*.¹¹

Preventive suspension may be imposed at any time after the issues are joined, when the evidence of guilt is strong, and given the gravity of the offense, there is great probability that the continuance in office of the respondent could influence the witnesses or pose a threat to the safety and integrity of the records and other evidence: *Provided, That*, any single preventive suspension of local elective officials shall not extend beyond 60 days: *Provided, further, That* in the event that several administrative cases are filed against an elective official, he cannot be preventively suspended for more than 90 days within a single year on the same ground or grounds existing and known at the time of the first suspension.¹²

The shorter period of suspension under the LGC of 1991 is intended to limit the period of suspension that may be imposed by a mayor, a governor, or the President, who may be motivated by partisan political considerations. In contrast the Ombudsman, who can impose a longer period of preventive suspension, is not likely to be similarly motivated because it is a constitutional body.¹³ Political color could taint the exercise of the power to suspend local

¹⁰*Bunye v. Escareal*, G.R. No. 110216, September 10, 1993, citing *Ganzon v. CA*, 200 SCRA 271, 272 (1991).

¹¹Sec. 63(a), LGC of 1991.

¹²Sec. 63(b), LGC of 1991.

¹³*Garcia v. Mojica*, G.R. No. 139043, September 10, 1999.

officials by the mayor, governor, or President's office. In contrast the Ombudsman, considering the constitutional origin of his Office, always ought to be insulated from the vagaries of politics, as respondents would have the Supreme Court believe.¹⁴

In *Joson III v. CA*,¹⁵ the Supreme Court enumerated the following as the requisites for the imposition of preventive suspension, namely: (a) after the issues are joined; (b) when the evidence of guilt is strong; and (c) given the gravity of the offense, there is great probability that the continuance in office of the respondent could influence the witnesses or pose a threat to the safety and integrity of the records and other evidence. Issues are considered joined when the complaint has been answered and there are no longer any substantial preliminary issues that remain to be threshed out.

Upon expiration of the preventive suspension, the suspended elective official shall be deemed reinstated in office without prejudice to the continuation of the proceedings against him, which shall be terminated within 120 days from the time he was formally notified of the case against him. However, if the delay in the proceedings of the case is due to his fault, neglect, or request, other than the appeal duly filed, the duration of such delay shall not be counted in computing the time of termination of the case.¹⁶

Any abuse of the exercise of the power of preventive suspension shall be penalized as abuse of authority.¹⁷

Salary of Respondent Pending Preventive Suspension

The respondent official preventively suspended from office shall receive no salary or compensation during such suspension; but, upon subsequent exoneration and reinstatement, he shall be paid full salary or compensation including such emoluments accruing during such suspension.¹⁸

¹⁴*Ibid.*

¹⁵421 Phil. 281 (2001).

¹⁶Sec. 63(c), LGC of 1991.

¹⁷Sec. 63(d), LGC of 1991.

¹⁸Sec. 64, LGC of 1991.

Rights of Respondent

The respondent shall be accorded full opportunity to appear and defend himself in person or by counsel, to confront and cross-examine the witnesses against him, and to require the attendance of witnesses and the production of documentary evidence in his favor through the compulsory process of subpoena or *subpoena duces tecum*.¹⁹

Penalty: Effects

(a) The investigation of the case shall be terminated within 90 days from the start thereof. Within 30 days after the end of the investigation, the Office of the President or the *sanggunian* concerned shall render a decision in writing stating clearly and distinctly the facts and the reasons for such decision. Copies of said decision shall immediately be furnished the respondent and all interested parties.

(b) The penalty of suspension shall not exceed the unexpired term of the respondent or a period of six (6) months for every administrative offense, nor shall said penalty be a bar to the candidacy of the respondent so suspended as long as he meets the qualifications required for the office.

(c) The penalty of removal from office as a result of an administrative investigation shall be considered a bar to the candidacy of the respondent for any elective position.²⁰

Administrative Appeals

Decisions in administrative cases may, within 30 days from receipt thereof, be appealed to the following:

(a) The *Sangguniang Panlalawigan*, in the case of decisions of the *Sangguniang Panlungsod* of component cities and the *Sangguniang Bayan*; and

¹⁹Sec. 65, LGC of 1991.

²⁰Sec. 66, LGC of 1991.

(b) The Office of the President, in the case of decisions of the *Sangguniang Panlalawigan* and the *Sangguniang Panlungsod* of highly urbanized cities and independent component cities. Decisions of the Office of the President shall be final and executory.²¹

Execution Pending Appeal

An appeal shall not prevent a decision from becoming final or executory. The respondent shall be considered as having been placed under preventive suspension during the pendency of an appeal in the event he wins such appeal. In the event the appeal results in an exoneration, he shall be paid his salary and such other emoluments during the pendency of the appeal.²²

Obviously, the LGC of 1991 does not preclude the taking of an appeal. On the contrary, it specifically allows a party to appeal to the Office of the President. The phrases “final and executory,” and “final or executory” in Sections 67 and 68, respectively, of the LGC of 1991, are not indicative of the appropriate mode of relief from the decision of the *Sanggunian* concerned. These phrases simply mean that the administrative appeals will not prevent the enforcement of the decisions.²³ The decision is immediately executory but the respondent may nevertheless appeal the adverse decision to the Office of the President or to the *Sangguniang Panlalawigan*, as the case may be.²⁴

The “Aguinaldo Doctrine” (or Principle of Condonation)

In 1992, the Supreme Court rendered a decision that soon became the “Aguinaldo Doctrine.” Although such decision was actually a reiteration of previous Supreme Court decisions concerning the effects of reelection of a local elective official on misconduct committed during a prior term, jurisprudence has referred to this decision in *Aguinaldo v. Santos*,²⁵ very often as it was in fact the first decision on the matter after the effectivity of the 1987 Constitution and the LGC of 1991.

²¹Sec. 67, LGC of 1991.

²²Sec. 68, LGC of 1991.

²³Aquilino Pimentel, *The LGC of 1991: The Key to National Development*, 1993 edition, p. 182, as cited in *Mendoza v. Laxina, Sr.*, G.R. No. 146875, July 14, 2003.

²⁴*Lapid v. Court of Appeals*, G.R. No. 142261, June 29, 2000; also cited in *Mendoza v. Laxina, Sr.*, *supra*.

²⁵G.R. No. 94115, August 21, 1992.

The *Aguinaldo Doctrine*, applying the so-called "*Principle of Condonation*" simply states that a public official cannot be removed for administrative misconduct committed during a prior term, since his reelection to office operates as a condonation of the officer's previous misconduct to the extent of cutting off the right to remove him therefor.

Shortly after the December 1989 *coup d'etat* was crushed, the Secretary of Local Government sent a telegram and a letter, both dated December 4, 1989, to Aguinaldo, then Governor of Cagayan, requiring him to show cause why he should not be suspended or removed from office for disloyalty to the Republic, within 48 hours from receipt thereof. Aguinaldo, however, was reelected in 1992. In this *Aguinaldo case*, the Supreme Court ruled:

"Petitioner's reelection to the position of Governor of Cagayan has rendered the administrative case pending before Us moot and academic. It appears that after the canvassing of votes, petitioner garnered the most number of votes among the candidates for governor of Cagayan province.

Offenses committed, or acts done, during a previous term are generally held not to furnish cause for removal and this is especially true where the Constitution provides that the penalty in proceeding for removal shall not extend beyond the removal from office, and disqualification from holding office for a term for which the officer was elected or appointed.

"The underlying theory is that each term is separate from other terms, and that the reelection to office operates as a condonation of the officer's misconduct to the extent of cutting off the right to remove him therefor.' (43 Am. Jur. p. 45)

"The Court should never remove a public officer for acts done prior to his present term of office. To do otherwise would be to deprive the people of their right to elect their officers. When the people have elected a man to office, it must be assumed that they did this with knowledge of his life and character, and that they disregarded or forgave his fault or misconduct, if he had been guilty of any. It is not for the court, by reason of such fault or misconduct, to practically overrule the will of the people.' (*Lizares v. Hechanova, et al.*, 17 SCRA 58, 59-60 [1966]) (See also *Oliveros v. Villaluz*, 57 SCRA 163 [1974])

Clearly then, the rule is that a public official cannot be removed for administrative misconduct committed during a prior term, since his reelection to office operates as a condonation of the officer's previous misconduct to the extent of cutting off the right to remove him therefor. The foregoing rule, however, finds no application to criminal cases pending against petitioner for acts he may have committed during the failed *coup*."

Since *Aguinaldo*, a number of cases have repeatedly held that a reelected local official may not be held administratively accountable for misconduct committed during his prior term of office.

Again, the rationale for this holding is that when the electorate put him back into office, it is presumed that it did so with full knowledge of his life and character, including his past misconduct. If, armed with such knowledge, it still reelects him, then such reelection is considered a condonation of his past misdeeds.²⁶

Interestingly, in *Garcia v. Mojica*,²⁷ respondents therein pointed out that the alleged irregular contract entered into by petitioner (Garcia) was signed just four (4) days before the date of the elections. Arguing that the *Aguinaldo Doctrine* cannot be applied to Garcia, respondents argued that his misconduct (the signing of an irregular contract) was not made an issue during the election, and so the electorate could not be said to have voted for him "with knowledge of this particular aspect of his life and character."

Here in *Garcia*, the Supreme Court still applied the *Aguinaldo Doctrine*. It said: "That the people voted for an official with knowledge of his character is presumed, precisely to eliminate the need to determine, in factual terms, the extent of this knowledge. Such an undertaking will obviously be impossible. Our rulings on the matter do not distinguish the precise timing or period when the misconduct was committed, reckoned from the date of the official's reelection, except that it must be prior to said date."²⁸

Since administrative cases are independent from criminal cases (and in civil cases as well), the ruling in *Aguinaldo* which forbids the removal from office of a public official for administrative

²⁶See also *Valencia v. Sandiganbayan*, G.R. No. 141336, June 29, 2004.

²⁷*Garcia v. Mojica*, G.R. No. 139043, September 10, 1999.

²⁸*Ibid*.

misconduct committed during a prior term, finds no application to criminal cases, pending against said public officer, applying the Three-fold Liability Rule.²⁹

Principle of Condonation, Abandoned

In *Carpio-Morales v. Court of Appeals*,³⁰ however, a case decided on **November 10, 2015**, the Principle of Condonation has been declared no longer controlling. The Supreme Court said:

“Overall, the foregoing data clearly contravenes the preliminary conclusion in Pascual that there is a “weight of authority” in the US on the condonation doctrine. In fact, without any cogent exegesis to show that Pascual had accounted for the numerous factors relevant to the debate on condonation, an outright adoption of the doctrine in this jurisdiction would not have been proper.

At any rate, these US cases are only of persuasive value in the process of this Court’s decision-making. Note that the doctrine of stare decisis does not preclude this Court from revisiting existing doctrine.

In this case, the Court agrees with the Ombudsman that since the time Pascual was decided, the legal landscape has radically shifted. Again, Pascual was a 1959 case decided under the 1935 Constitution which dated provisions do not reflect the experience of the Filipino People under the 1973 and 1987 Constitutions. Therefore, the plain difference in setting, including, of course, the sheer impact of the condonation doctrine on public accountability, calls for Pascual’s judicious re-examination.”

Abandonment of Principle of Condonation, Prospective Application

It should be noted, however, that the abandonment of condonation doctrine can only be given a prospective application. Thus, it would still be proper to treat the condonation doctrine as “good law” when, for instance, the COMELEC’s petition was commenced on October 29, 2013 (prior to *Carpio-Morales case*), and when petitioner filed his Verified Answer *cum* Memorandum invoking the same, as illustrated in *Dimapilis v. COMELEC*.³¹

²⁹People v. Toledano, G.R. No. 110220, May 18, 2000.

³⁰G.R. Nos. 217126-27, November 10, 2015.

³¹G.R. No. 227158, April 18, 2017.

That the abandonment of the principle of condonation should only be given prospective application was also reiterated in *Giron v. Ochoa, Jr.*³² There, and quite interestingly, the Supreme Court also ruled that the principle of condonation applies to a public official elected to another office as each term is deemed separate from other terms.

Removal of Local Elective Officials

The disciplining authorities, *i.e.*, Office of the President or the *Sangguniang Panlalawigan*, as the case may be, may impose penalties short of removal from office. This is a new provision in the LGC of 1991. Now, as provided for in the last paragraph of Section 60 of the LGC of 1991, only the courts can effect the removal of a local elective official, unlike in the old Local Government Code.

In *Salalima v. Guingona*,³³ the Supreme Court held that “[t]he Office of the President is without any power to remove elected officials, since such power is exclusively vested in the proper courts as expressly provided for in the last paragraph of the aforementioned Section 60.”

Thus, it was also held that while Section 61 of the Local Government Code provides for the procedure for the filing of an administrative case against an erring elective *barangay* official before the *Sangguniang Panlungsod* or *Sangguniang Bayan*, the *Sangguniang Panlungsod* or *Sangguniang Bayan* cannot, however, order the removal of an erring elective *barangay* official from office, as the courts are exclusively vested with this power under Section 60 of the Local Government Code. Hence, if the acts allegedly committed by the *barangay* official are of a grave nature and, if found guilty, would merit the penalty of removal from office, the case should be filed with the Regional Trial Court. Once the court assumes jurisdiction, it retains jurisdiction over the case even if it would be subsequently apparent during the trial that a penalty less than removal from office is appropriate. On the other hand, the most extreme penalty that the *Sangguniang Panlungsod* or *Sangguniang Bayan* may impose on the erring elective *barangay* official is suspension; if it deems that the removal of the official from

³²G. R. No. 218463, March 1, 2017.

³³G.R. Nos. 117589-92, May 22, 1996.

service is warranted, then it can resolve that the proper charges be filed in court.³⁴

The rule which confers to the proper courts the power to remove an elective local official from office is intended as a check against any capriciousness or partisan activity by the disciplining authority. Vesting the local legislative body with the power to decide whether or not a local chief executive may be removed from office, and only relegating to the courts a mandatory duty to implement the decision, would still not free the resolution of the case from the capriciousness or partisanship of the disciplining authority.³⁵

That the removal of an elected official is now a judicial function seems to deviate from the very nature of *amotion*. Dillon believes that the exercise of the power to remove an officer is essentially administrative in its nature.³⁶ In any case, it seems that insulating the removal process from capriciousness or partisanship of the disciplining authority becomes more paramount.

³⁴Sangguniang Barangay of Don Mariano Marcos v. Martinez, G.R. No. 170626, March 3, 2008.

³⁵*Ibid.*

³⁶Dillon, *supra*, p. 784.

Chapter 18

RECALL

Meaning and Nature

Recall is a mode of removal of a public officer by the people before the end of his term of office.¹

The people's prerogative to remove a public officer is an incident of their sovereign power and in the absence of constitutional restraint, the power is implied in all governmental operations. Such power has been held to be indispensable for the proper administration of public affairs.² Not undeservedly, it is frequently described as a fundamental right of the people in a representative democracy.³

Specifically, it refers to the power of the electorate (registered voters) to remove a local elected official for loss of confidence through the holding of a special election called "recall election."

The right to recall is complementary to the right to elect or appoint. It is included in the right of suffrage. It is based on the theory that the electorate must maintain a direct and elastic control over public functionaries. It is also predicated upon the idea that a public office is "burdened" with public interests and that the representatives of the people holding public offices are simply agents or servants of the people with definite powers and specific duties to perform and to follow if they wish to remain in their respective offices.⁴

¹Garcia v. COMELEC, 227 SCRA 100 (1993).

²67 CJS 480, cited in Garcia v. COMELEC, *ibid.*

³*Ibid.*

⁴Antonio Orendain, *Philippine Local Government Annotated* (1983) cited in *Evardone v. COMELEC*, 204 SCRA 464 (1991), citing *Paredes v. Executive Secretary*, G.R. No. 55628, March 2, 1984, 128 SCRA 6.

The provisions (Sections 70 and 71, Chapter 5, Title One, Book I) on recall under the LGC of 1991 were amended by Republic Act No. 9244 which eliminated the Preparatory Recall Assembly (PRA) as a mode of instituting recall of elective local officials. Now, there is only one mode of initiating recall, *i.e.*, directly by the registered voters.

The power of recall for loss of confidence shall be exercised by the registered voters of a local government unit to which the local elective official subject to such recall belongs.⁶

"Loss of confidence" is the formal withdrawal by an electorate of their trust in a person's ability to discharge his office previously bestowed on him by the same electorate.⁶

The power to remove an official, called in English common law as the power of "*amotion*" or the power to *amove* a corporate officer from his office, for reasonable and just cause, is one of the common-law incidents of all corporations.⁷ It must, therefore, be considered as inherent and does not need any statutory or constitutional grant.

Initiation of the Process

Upon the enactment of the LGC of 1991, there were two (2) methods of initiating the recall process, namely: (1) Preparatory Recall Assembly (PRA) and (2) Petition by the Registered Voters. The PRA only consisted of locally elected officials convened to initiate the recall process. It was later observed that the PRA was abused by politicians especially those who lost in the elections and used the PRA as tool to cause the removal of an elected public official who does not belong to major political parties controlling the locality. It was later on abolished by Republic Act No. 9244 which was passed on February 19, 2004.

The removal of the PRA as a mode of initiating recall was imperative. For Dillon,⁸ the power to *amove*, like every other incidental power, is incident to the corporation at large, and not to any select body or particular part of it, and unless delegated to a select body or part, it must be exercised by the whole corporation,

⁶Sec. 69, LGC of 1991.

⁶Antonio Orendain, *supra*.

⁷John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), p. 781 citing *Rex v. Richardson*, 1 Burr. 517.

⁸*Ibid.*

and at a corporate assembly regularly and duly convened.⁹ The power to hold such an assembly is, however, implied in the power of *amotion*.¹⁰

The Recall of any elective provincial, city, municipal or *barangay* official shall now be commenced by a petition of a registered voter in the local government unit concerned and supported by the registered voters in the local government unit concerned during the election in which the local official sought to be recalled was elected subject to the following percentage requirements:

1. At least 25% in the case of local government units with a voting population of not more than 20,000;

2. At least 20% in the case of local government units with a voting population of at least 20,000 but not more than 75,000: *Provided*, That in no case shall the required petitioners be less than 5,000;

3. At least 15% in the case of local government units with a voting population of at least 75,000 but not more than 300,000: *Provided, however*, That in no case shall the required number of petitioners be less than 15,000; and

4. At least 10% in the case of local government units with a voting population of over 300,000: *Provided, however*, That in no case shall the required petitioners be less than 45,000.¹¹

Our legislators did not peg the voter requirement at 25% out of caprice or in a vacuum. They knew that this is the requirement under a majority of the constitutions and recall statutes in various American states to the same extent that they were aware of the rationale therefor. While recall was intended to be an effective and speedy remedy to remove an official who is not giving satisfaction to the electorate regardless of whether or not he is discharging his full duty to the best of his ability and as his conscience dictates, it is a

⁹John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), pp. 781-782, citing Lord Bruce's case, 2 Stra. 819.

¹⁰*Ibid.*, citing Fane's Case, Doug. 153.

¹¹Sec. 1, R.A. 9244.

power granted to the people who, in concert, desire to change their leaders for reasons only they, as a collective, can justify. Recall must be pursued by the people, not just by one disgruntled loser in the elections or a small percentage of disenchanted electors. Otherwise, its purposes as a direct remedy of the people shall be defeated by the ill motives of a few among them whose selfish resort to recall would destabilize the community and seriously disrupt the running of government.¹²

Procedure

The process of recall shall be effected in accordance with the following procedure:

1. A written petition for recall duly signed by the representatives of the petitioners before the election registrar or his representative, shall be filed with the COMELEC through its office in the local government unit concerned.
2. The petition to recall shall contain the following:
 - a. The names and addresses of the petitioners written in legible form and their signatures;
 - b. The *barangay*, city or municipality, local legislative district and the province to which the petitioners belong;
 - c. The name of the official sought to be recalled; and
 - d. A brief narration of the reasons and justifications therefore.¹³

The COMELEC shall, within 15 days from the filing of the petition, certify to the sufficiency of the required number of signatures. Failure to obtain the required number of signatures automatically nullifies the petition.¹⁴

If the petition is found to be sufficient in form, the COMELEC or its duly authorized representative shall, within three (3) days from the issuance of the certification, provide the official sought to

¹²Angobung v. COMELEC, G.R. No. 126571, March 5, 1997.

¹³Sec. 1, R.A. 9244.

¹⁴*Ibid.*

be recalled a copy of the petition, cause its publication in a national newspaper of general circulation and a newspaper of general circulation in the locality, once a week for three (3) consecutive weeks at the expense of the petitioners and at the same time post copies thereof in public and conspicuous places for a period of not less than 10 days nor more than 20 days, for the purpose of allowing interested parties to examine and verify the validity of the petition and the authenticity of the signatures contained therein.¹⁵

The COMELEC or its duly authorized representatives shall, upon issuance of certification, proceed independently with the verification and authentication of the signatures of the petitioners and registered voters contained therein. Representatives of the petitioners and the official sought to be recalled shall be duly notified and shall have the right to participate therein as mere observers. The filing of any challenge or protest shall be allowed within the period provided in the immediately preceding paragraph and shall be ruled upon with finality within 15 days from the date of filing of such protest or challenge.¹⁶

Upon the lapse of the aforesaid period, the COMELEC or its duly authorized representative shall announce the acceptance of candidates to the positive and thereafter prepare the list of candidates which shall include the name of the official sought to be recalled.¹⁷

Election

Upon the filing of a valid petition for recall with the appropriate local office of the COMELEC, the COMELEC or its duly authorized representative shall set the date of the election or recall, which shall not be later than 30 days upon the completion of the procedure outlined in the preceding article, in the case of the *barangay*, city or municipal officials, and 45 days in the case of provincial officials. The officials sought to be recalled shall automatically be considered as duly registered candidate or candidates to the pertinent positions and, like other candidates, shall be entitled to be voted upon.¹⁸

¹⁵*Ibid.*

¹⁶*Ibid.*

¹⁷*Ibid.*

¹⁸Sec. 2, R.A. 9244.

Effectivity

The recall of an elective local official shall be effective only upon the election and proclamation of a successor in the person of the candidate receiving the highest number of votes cast during the election on recall. Should the official sought to be recalled receive the highest number of votes, confidence in him is thereby affirmed, and he shall continue in office.¹⁹

A Manifestation by certain registered voters that their signatures were forged in the Petition for Recall may, however, be deemed mooted by the actual conduct of the recall election where a winner had already been proclaimed.²⁰

Prohibition from Resignation

The elective local official sought to be recalled shall not be allowed to resign while the recall process is in progress.²¹

Limitations

Any elective local official may be the subject of a recall election only once during his term of office for loss of confidence.²²

No recall shall likewise take place within one (1) year from the date of the official's assumption to office or one (1) year immediately preceding a regular local election.²³

The evident intent of Section 74 is to subject an elective local official to recall election once during his term of office. Par. (b) construed together with par. (a) merely designates the period when such elective local official may be subject of a recall election, that is, during the second year of his term of office.²⁴

Recall election is potentially disruptive of the normal working of the local government unit necessitating additional expenses, hence the prohibition against the conduct of recall election one (1) year immediately preceding the regular local election. The proscription is due to the proximity of the next regular election for the office

¹⁹Sec. 72, LGC of 1991.

²⁰Javarez v. COMELEC, G.R. No. 217620, October 11, 2016.

²¹Sec. 73, LGC of 1991.

²²Sec. 74, LGC of 1991.

²³*Ibid.*

²⁴Paras v. COMELEC, G.R. No. 123169, November 4, 1996.

of the local elective official concerned. The electorate could choose the official's replacement in the said election who certainly has a longer tenure in office than a successor elected through a recall election. It would, therefore, be more in keeping with the intent of the recall provision of the Code to construe regular local election as one referring to an election where the office held by the local elective official sought to be recalled will be contested and be filled by the electorate.²⁵

The term "*recall*" in par. (b) refers only to the recall election, excluding the preliminary proceedings to initiate recall such as the filing of a petition for recall with the COMELEC or the gathering of the signatures of at least 25% of the voters for a petition for recall. As long as the recall election is not held before the official concerned has completed one (1) year in office, he will not be judged on his performance prematurely.²⁶

²⁵*Ibid.*

²⁶See Claudio v. COMELEC, G.R. Nos. 140560/140714, May 4, 2000.

Chapter 19

HUMAN RESOURCES AND DEVELOPMENT

Structure and Staffing Section

Every local government unit shall design and implement its own organizational structure and staffing pattern taking into consideration its service requirements and financial capability, subject to the minimum standards and guidelines prescribed by the Civil Service Commission.¹

Responsibility for Human Resources

The chief executive of every local government unit shall be responsible for human resources and development in his unit and shall take all personnel actions in accordance with the Constitutional provisions on civil service, pertinent laws, and rules and regulations thereon, including such policies, guidelines and standards as the Civil Service Commission may establish: *Provided*, That the local chief executive may employ emergency or casual employees or laborers paid on a daily wage or piecework basis and hired through job orders for local projects authorized by the *sanggunian* concerned, without need of approval or attestation by the Civil Service Commission: *Provided, further*, That the period of employment of emergency or casual laborers as provided above shall not exceed six (6) months.²

Appointments of Local Officials and Employees

To promote further local autonomy, the local chief executive now has the power to appoint all officials and employees of the local government unit: (1) whose salaries and wages are wholly or mainly paid out of the funds of his local government unit and are not otherwise provided for in the Code; (2) those he may be authorized

¹Sec. 76, LGC of 1991.

²Sec. 77, LGC of 1991.

by law to appoint.³ However, the municipal, city and provincial treasurers are to be appointed by the Secretary of Finance from a list of at least three (3) ranking and eligible recommendees of the governor or the mayor, as the case may be.⁴

In the case of *barangays*, it is a two (2)-step process. The *punong barangay* must secure the approval of a majority of all the members of the *sangguniang barangay* prior to appointing or replacing the *barangay* treasurer, the *barangay* secretary, and other appointive *barangay* officials.⁵

Limitations on Appointment and Nepotism

Appointments are subject to civil service law, rules and regulations.⁶

No person shall, however, be appointed in the career service of the local government if he is related within the 4th civil degree of consanguinity or affinity to the appointing or recommending authority.⁷ Nepotism under the Administrative Code of the Philippines, however, refers to an appointment issued in favor of a relative within the third civil degree of consanguinity or affinity of any of the following: (1) appointing authority; (2) recommending authority; (3) chief of the bureau or office; and (4) person exercising immediate supervision over the appointee.⁸ By way of exception, the following shall not be covered by the prohibition: (1) persons employed in a confidential capacity; (2) teachers; (3) physicians; and (4) members of the Armed Forces of the Philippines.⁹

It should be noted, however, that the prohibition on nepotism under Section 79 of the LGC of 1991 applies only to appointments involving positions "in the career service." Under Civil Service Law, elective officials are considered and embraced in the non-career service. Thus, the appointment by a Municipal Mayor of his son in

³See Secs. 444(b)(1)(v), 455(b)(1)(v) and 465(b)(1)(v), LGC of 1991 cited in Joseph Emmanuel Angeles, *supra*.

⁴See Sec. 470(a), LGC of 1991.

⁵Joseph Emmanuel Angeles, *supra*, citing Sec. 389(b)(5), LGC of 1991.

⁶See Sec. 3(c), LGC of 1991.

⁷Sec. 79, LGC of 1991.

⁸Sec. 59, Chapter I, Title A, Book V, Revised Administrative Code of the Philippines (1987); *see also* Civil Service Commission v. Cortes, G.R. No. 200103, April 23, 2014.

⁹*Ibid.*

order the fill up a permanent vacancy created in the *Sangguniang Barangay* is not covered by the law on nepotism as the position of a *Sangguniang Barangay* Member is an elective position that does not belong to the career service.¹⁰

Resignation of Elective Local Officials

Resignations by elective local officials shall be deemed effective only upon acceptance by the following authorities:

- (1) The President, in the case of governors, vice-governors, and mayors and vice-mayors of highly urbanized cities and independent component cities;
- (2) The governor, in the case of municipal mayors, municipal vice-mayors, city mayors and city vice-mayors of component cities;
- (3) The *sanggunian* concerned, in the case of *sanggunian* members; and
- (4) The city or municipal mayor, in the case of *barangay* officials.

Copies of the resignation letters of elective local officials, together with the action taken by the aforesaid authorities, shall be furnished the Department of Interior and Local Government. The resignation shall be deemed accepted if not acted upon by the authority concerned within 15 working days from receipt thereof.

Irrevocable resignations by *Sangguniang* members shall be deemed accepted upon presentation before an open session of the *Sanggunian* concerned and duly entered in its records. However, this does not apply to *Sanggunian* members who are subject to recall elections or to cases where existing laws prescribe the manner of acting upon such resignations.¹¹

However, resignation need not always be expressed. It may also be implied. When residence, for example, is a qualification for a municipal office, an officer vacates his office by removing beyond the corporate limits.¹² So, likewise, when he accepts and assumes an incompatible office.¹³

¹⁰DILG Opinion No. 18, s. 2010.

¹¹See Sec. 82, LGC of 1991.

¹²Roger W. Cooley, *supra*, citations omitted.

¹³*Ibid.*

But where resignation is express, it must be in writing since the Code requires that copies of resignation letters shall be furnished to the Department of Interior and Local Government.¹⁴

Grievance Procedure Section

In every local government unit, the local chief executive shall establish a procedure to inquire into, act upon, resolve or settle complaints and grievances presented by local government employees.¹⁵

Administrative Discipline

Investigation and adjudication of administrative complaints against appointive local officials and employees as well as their suspension and removal shall be in accordance with the civil service law and rules and other pertinent laws. The results of such administrative investigations shall be reported to the Civil Service Commission.¹⁶

Preventive Suspension of Appointive Local Officials and Employees

The local chief executives may preventively suspend, for a period not exceeding 60 days, any subordinate official or employee under his authority pending investigation if the charge against such official or employee involves dishonesty, oppression or grave misconduct or neglect in the performance of duty, or if there is reason to believe that the respondent is guilty of the charges which would warrant his removal from the service.

Upon expiration of the preventive suspension, the suspended official or employee shall be automatically reinstated in office without prejudice to the continuation of the administrative proceedings against him until its termination. If the delay in the proceedings of the case is due to the fault, neglect or request of the respondent, the time of the delay shall not be counted in computing the period of suspension.¹⁷

¹⁴Sec. 82(b), LGC of 1991.

¹⁵Sec. 83, LGC of 1991.

¹⁶Sec. 84, LGC of 1991.

¹⁷Sec. 85, LGC of 1991.

Administrative Investigation

In any local government unit, administrative investigation may be conducted by a person or a committee duly authorized by the local chief executive. Said person or committee shall conduct hearings on the cases brought against appointive local officials and employees and submit their findings and recommendations to the local chief executive concerned within 15 days from the conclusion of the hearings. The administrative cases herein mentioned shall be decided within 90 days from the time the respondent is formally notified of the charges.¹⁸

Disciplinary Jurisdiction

Except as otherwise provided by law, the local chief executive may impose the penalty of removal from service, demotion in rank, suspension for not more than one (1) year without pay, fine in an amount not exceeding six (6) months' salary, or reprimand and otherwise discipline subordinate officials and employees under his jurisdiction. If the penalty imposed is suspension without pay for not more than 30 days, his decision shall be final. If the penalty imposed is heavier than suspension of 30 days, the decision shall be appealable to the Civil Service Commission, which shall decide the appeal within 30 days from receipt thereof.¹⁹

Execution Pending Appeal

An appeal shall not prevent the execution of a decision of removal or suspension of a respondent-appellant. In case the respondent-appellant is exonerated, he shall be reinstated to his position with all the rights and privileges appurtenant thereto from the time he had been deprived thereof.²⁰

Prohibited Business and Pecuniary Interest

It shall be unlawful for any local government official or employee, directly or indirectly, to:

- (1) Engage in any business transaction with the local government unit in which he is an official or employee or over which he has the power of supervision, or with any of

¹⁸Sec. 86, LGC of 1991.

¹⁹Sec. 87, LGC of 1991.

²⁰Sec. 88, LGC of 1991.

its authorized boards, officials, agents, or attorneys, whereby money is to be paid, or property or any other thing of value is to be transferred, directly or indirectly, out of the resources of the local government unit to such person or firm;

(2) Hold such interests in any cockpit or other games licensed by a local government unit;

(3) Purchase any real estate or other property forfeited in favor of such local government unit for unpaid taxes or assessment, or by virtue of a legal process at the instance of the said local government unit;

(4) Be a surety for any person contracting or doing business with the local government unit for which a surety is required; and

(5) Possess or use any public property of the local government unit for private purposes.

All other prohibitions governing the conduct of national public officers relating to prohibited business and pecuniary interest so provided for under Republic Act No. 6713 otherwise known as the "Code of Conduct and Ethical Standards for Public Officials and Employees" and other laws shall also be applicable to local government officials and employees.²¹

Practice of Profession

All governors, city and municipal mayors are prohibited from practicing their profession or engaging in any occupation other than the exercise of their functions as local chief executives.

Sanggunian members may practice their professions, engage in any occupation, or teach in schools except during session hours. However, *Sanggunian* members who are also members of the Bar are subject to certain limitations when they practice law. They shall not:

(1) Appear as counsel before any court in any civil case wherein a local government unit or any office, agency, or instrumentality of the government is the adverse party;

²¹Sec. 89, LGC of 1991.

(2) Appear as counsel in any criminal case wherein an officer or employee of the national or local government is accused of an offense committed in relation to his office;

(3) Collect any fee for their appearance in administrative proceedings involving the local government unit of which he is an official; and

(4) Use property and personnel of the government except when the *Sanggunian* member concerned is defending the interest of the government.

Doctors of medicine may practice their profession even during official hours of work only on occasions of emergency: *Provided*, That the officials concerned do not derive monetary compensation therefrom.²²

Senator Pimentel opines that the difference in treatment between governors and mayors on one hand, and *Sanggunian* members on the other is that the office of governor or mayor is a full time job; on the other hand, the regular sessions of *Sanggunian* members are held once a week.²³

Punong Barangays or *Barangay* Captains are not specifically prohibited by the LGC of 1991 from practicing their professions. *Expressio unius est exclusio alterius*. Apparently, the position of a *Punong Barangay* is not meant to be a full time job as the *barangay* council is required to hold sessions twice a month only. However, as required by civil service laws, a *Punong Barangay* must obtain permission from the head of his office if he intends to practice his profession, in his case, the head of the DILG.²⁴

For those officials authorized to practice their profession, they do not need to seek the permission from other person or office in order to practice their profession,²⁵ provided that they comply with the restrictions provided for by law.

²²Sec. 90, LGC of 1991.

²³Joseph Emmanuel Angeles, *supra*, citing Aquilino Pimentel, *supra*, p. 204.

²⁴*Catu v. Relloso*, A.C. No. 5738, February 19, 2008.

²⁵*Ibid.*; see also DILG Opinion No. 61, s. 2019, September 20, 2019.

Statement of Assets and Liabilities

Officials and employees of local government units shall file sworn statements of assets, liabilities and net worth, lists of relatives within the 4th civil degree of consanguinity or affinity in government service, financial and business interests, and personnel data sheets as required by law.²⁶

Prohibition Against Partisan Political Activity

Any local official or employee in the career civil service shall not engage directly or indirectly in any partisan political activity or take part in any election, initiative, referendum, plebiscite, or recall, except to vote, nor shall he use his official authority or influence to cause the performance of any political activity by any person or body. He may, however, express his views on current issues, or mention the names of certain candidates for public office whom he supports.²⁷

Elective local officials may take part in partisan political and electoral activities, but it shall be unlawful for them to solicit contributions from their subordinates or subject these subordinates to any of the prohibited acts under the Omnibus Election Code.²⁸

Prohibition Against Appointment of Elective and Appointive Local Officials and Against Appointment of Candidates Who Lost in an Election

Any elective or appointive local official shall not be eligible for appointment or designation in any capacity to any public office or position during his tenure.²⁹

Unless otherwise allowed by law or by the primary functions of his position, any elective or appointive local official shall not hold any other office or employment in the government or any subdivision, agency or instrumentality thereof, including government-owned or -controlled corporations or their subsidiaries.³⁰

²⁶Sec. 91, LGC of 1991.

²⁷See Sec. 93, LGC of 1991.

²⁸*Ibid.*

²⁹See Sec. 94, LGC of 1991.

³⁰*Ibid.*

Except for losing candidates in *barangay* elections, no candidate who lost in any election shall, within one (1) year after such election, be appointed to any office in the government or any government-owned or -controlled corporations or in any of their subsidiaries.³¹ This prohibition encompasses both national and local offices or agencies and regardless of whether the position is an elective or appointive post. Without this prohibition, the people's rejection of a candidate in the last election will simply be disregarded by the mere expedience of an appointment.³² Indeed, the rationale behind the one (1)-year prohibition is the extirpation of the "spoils system," considering that the prohibition is directed against the so-called "political lame ducks."³³

In *De Rama v. CA*,³⁴ the Supreme Court clarified that Section 15, Article VII of the 1987 Constitution which prohibits "midnight appointments" applies only to presidential appointments. In fact, there is no law that expressly prohibits local elective officials from making appointments during the last days of his or her tenure. This kind of appointment, however, is subject to Civil Service Rules that generally prohibit "en masse" appointments before the expiration of term of the appointing official.

Prohibition Against Additional or Double Compensation

An elective or appointive local official or employee shall not receive additional, double, or indirect compensation, unless specifically authorized by law, nor accept without the consent of Congress, any present, emoluments, office, or title of any kind from any foreign government. Pensions or gratuities shall not be considered as additional, double, or indirect compensation.³⁵

Permission to Leave Station

Provincial, city, municipal, and *barangay* appointive officials going on official travel shall apply and secure written permission from their respective local chief executives before departure. The application shall specify the reasons for such travel, and the permission shall be given or withheld based on considerations of

³¹*Ibid.*

³²DILG Opinion No. 3, s. 2017, January 23, 2017.

³³*Ibid.*

³⁴G.R. No. 131136, February 28, 2001.

³⁵See Sec. 95, LGC of 1991.

public interest, financial capability of the local government unit concerned and urgency of the travel.

Should the local chief executive concerned fail to act upon such application within four (4) working days from receipt thereof, it shall be deemed approved.

Mayors of component cities and municipalities shall secure the permission of the governor concerned for any travel outside the province.

Local government officials traveling abroad shall notify their respective *Sanggunian*: *Provided*, That when the period of travel extends to more than three (3) months, during periods of emergency or crisis or when the travel involves the use of public funds, permission from the Office of the President shall be secured.

Field officers of national agencies or offices assigned in provinces, cities, and municipalities shall not leave their official stations without giving prior written notice to the local chief executive concerned. Such notice shall state the duration of travel and the name of the officer whom he shall designate to act for and in his behalf during his absence.³⁶

³⁶Sec. 96, LGC of 1991.

Chapter 20

LOCAL LEGISLATIONS

Ordinances and Resolutions

While the enactment of both ordinances and resolutions follow almost the same process, there is a difference between an ordinance and a resolution in that the former has the force and effect of laws while the latter is merely an expression of the sentiment of the local legislative body.

A resolution is an order of the council of a special and temporary character, while an ordinance prescribes a permanent rule of conduct of government.¹

Further, as observed by the Supreme Court in *Municipality of Parañaque v. V.M. Realty*,² an ordinance takes effect after three (3) readings while a mere resolution can take effect after two (2) readings only.

As a general rule, only ordinances may be the subject of the veto power of the local chief executive (except *Punong Barangay*, who does not have veto power). However, resolutions adopting local development plans and public investment programs may also be vetoed by the local chief executive under Section 55(b) of the LGC of 1991.³ The reason for this is that resolutions of that kind involve the investment of public money and are in effect ordinances.⁴ Conversely, therefore, while all ordinances require the approval of the local chief executive, the same is not true to all resolutions. Only those resolutions that adopt local development plans and public investment programs require the approval of the local chief executive.⁵

¹John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), p. 893.

²*Supra*.

³See DILG Opinion No. 53, s. 2019, August 30, 2019.

⁴*Ibid.*, citing Pimentel, Aquilino Q., *The Local Government Code of 1991: The Key to National Development* (1992), p. 165.

⁵*Ibid.*

However, mere form will not affect the validity of the action of the council if its adoption be attended by all the solemnities which the law requires in the case of an act complying with the prescribed form. Thus, when a statute declares that the action of the council shall be evidenced by a resolution, the fact that it is embodied in an ordinance does not affect its validity. The ordinance has all the essential elements of the resolution, and, in addition, is adopted by a more formal and deliberative procedure than a resolution.⁶ And a resolution concerning a subject which is inherently legislative in its character and for which an ordinance is required, will, if adopted with all the formalities required in the case of an ordinance, be regarded as an ordinance and given effect accordingly. The substance, and not the form, of the corporate act is what governs.⁷ But if the charter requires the act to be done by ordinance, a resolution cannot receive effect as an ordinance if it is not affirmatively established that it was passed with all the formalities and published in the same manner as an ordinance.⁸

It was, however, also stated that when the statute requires that an act of a municipality be done in the form of an ordinance, if such requirement is implied by necessary or clear inference, the act can only be done in that form, or perhaps its legal equivalent, and a resolution, especially if not adopted with all the formalities of an ordinance, is not sufficient.⁹

Local Legislative Process

The following rules shall govern the enactment of ordinances and resolutions:

- (a) Legislative actions of a general and permanent character shall be enacted in the form of ordinances, while those which are of temporary character shall be passed in the form of resolutions. Matters relating to proprietary functions and to private concerns shall also be acted upon by resolution.

⁶John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), p. 895, citing *Los Angeles v. Waldron*, 65 Cal. 283.

⁷John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), p. 895, citing *Alma v. Guaranty Sav. Bank*, 60 Fed. Rep. 203; *see also* DILG Opinion No. 46, s. 2018, July 30, 2018 where the DILG opined that "a resolution which undergone three (3) readings has the force and effect of an ordinance."

⁸John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), p. 896.

⁹John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), pp. 896-897, citing *Nat. Bank of Commerce v. Grenada*, 44 Fed. Rep. 262.

(b) Proposed ordinances and resolutions shall be in writing and shall contain an assigned number, a title or caption, an enacting or ordaining clause, and the date of its proposed effectivity. In addition, every proposed ordinance shall be accompanied by a brief explanatory note containing the justification for its approval. It shall be signed by the author or authors and submitted to the secretary to the *Sanggunian* who shall report the same to the *Sanggunian* at its next meeting.

(c) A resolution shall be enacted in the same manner prescribed for an ordinance, except that it need not go through a third reading for its final consideration unless decided otherwise by a majority of all the *Sanggunian* members.

(d) No ordinance or resolution shall be considered on second reading in any regular meeting unless it has been reported out by the proper committee to which it was referred or certified as urgent by the local chief executive.

(e) Any legislative matter duly certified by the local chief executive as urgent, whether or not it is included in the calendar of business, may be presented and considered by the body at the same meeting without need of suspending the rules.

(f) The secretary to the *Sanggunian* of the province, city or municipality shall prepare copies of the proposed ordinance or resolution in the form it was passed on second reading, and shall distribute to each *Sanggunian* member a copy thereof, except that a measure certified by the local chief executive concerned as urgent may be submitted for final voting immediately after debate or amendment during the second reading.

(g) No ordinance or resolution passed by the *Sanggunian* in a regular or special session duly called for the purpose shall be valid unless approved by a majority of the members present, there being a quorum. Any ordinance or resolution authorizing or directing the payment of money or creating liability, shall require the affirmative vote of a majority of all the *Sanggunian* members for its passage.

(h) Upon the passage of all ordinances and resolutions directing the payment of money or creating liability, and at the request of any member, of any resolution or motion, the *Sanggunian* shall record the *ayes* and *nays*. Each approved ordinance or resolution shall be stamped with the seal of the *Sanggunian* and recorded in a book kept for the purpose.¹⁰

There is nothing in the law, however, which prohibits that the three (3) readings of a proposed ordinance be held in just one (1) session day.¹¹

Requisites for the Validity of Ordinances

An ordinance may be void not only for want of corporate power to enact it, or for the failure to observe the prescribed procedure essential to its validity, but also because it is contrary to certain well-established doctrines of the law in regard to such regulations.¹²

A long line of decisions has held that to be valid, an ordinance must conform to the following substantive requirements:

- 1) It must not contravene the constitution or any statute.
- 2) It must not be unfair or oppressive.
- 3) It must not be partial or discriminatory.
- 4) It must not prohibit but may regulate trade.
- 5) It must be general and consistent with public policy.
- 6) It must not be unreasonable.¹³

An ordinance passed pursuant to the local government's police power must pass a *two-pronged test*: the **formal** (*i.e.*, whether the ordinance is enacted within the corporate powers of the local government unit, and whether it is passed in accordance with the procedure prescribed by law); and the **substantive** (*i.e.*, involving inherent merit, like the conformity of the ordinance with the limitations under the Constitution and the statutes, as well as with the requirements of fairness and reason, and its consistency with

¹⁰Art. 107, Rules and Regulations Implementing the LGC of 1991.

¹¹*Malonzo v. Zamora*, 323 SCRA 875 (2000).

¹²*Roger W. Cooley, supra*.

¹³*Magtajas v. Pryce Properties*, 234 SCRA 255 (1994).

public policy). The formalities in enacting an ordinance are laid down in Section 53 and Section 54 of The Local Government Code.¹⁴

Section 335 of Republic Act No. 7160 is clear and specific that no public money or property shall be appropriated or applied for private purposes. This is in consonance with the fundamental principle in local fiscal administration that local government funds and monies shall be spent solely for public purposes.¹⁵

In *Pascual v. Secretary of Public Works*,¹⁶ the Supreme Court laid down the test of validity of a public expenditure: *it is the essential character of the direct object of the expenditure which must determine its validity and not the magnitude of the interests to be affected nor the degree to which the general advantage of the community, and thus the public welfare, may be ultimately benefited by their promotion. Incidental advantage to the public or to the State resulting from the promotion of private interests and the prosperity of private enterprises or business does not justify their aid by the use of public money.*

In *Pascual*, the validity of Republic Act No. 920 ("An Act Appropriating Funds for Public Works") which appropriated P85,000 for the construction, repair, extension and improvement of feeder roads within a privately-owned subdivision was questioned. The Supreme Court there held that where the land on which the projected feeder roads were to be constructed belonged to a private person, an appropriation made by Congress for that purpose was null and void.¹⁷ The same rule should apply to local government expenditures.

In another case of *Young v. City of Manila*,¹⁸ the City of Manila undertook the filling of low-lying streets of the Antipolo Subdivision, a privately-owned subdivision. The Supreme Court ruled that as long as the private owner retained title and ownership of the subdivision, he was under the obligation to reimburse to the city government the expenses incurred in land-filling the streets.

¹⁴*Legaspi v. City of Cebu*, G.R. No. 159110, December 10, 2013; *Mosqueda v. Pilipino Banana Growers and Exporters Association, Inc.*, G.R. 189185, August 16, 2016.

¹⁵*Albon v. Bayani Fernando*, G.R. No. 148357, June 30, 2006.

¹⁶110 Phil. 331 (1960), also cited in *Albon v. Fernando*, *supra*.

¹⁷*Albon v. Fernando*, *supra* note 15.

¹⁸73 Phil. 537 (1941).

The use of LGU funds for the widening and improvement of privately-owned sidewalks is unlawful as it directly contravenes Section 335 of Republic Act No. 7160. This conclusion finds further support from the language of Section 17 of Republic Act No. 7160 which mandates LGUs to efficiently and effectively provide basic services and facilities. The law speaks of infrastructure facilities intended primarily to service the needs of the residents of the LGU and “which are funded out of municipal funds.” It particularly refers to “municipal roads and bridges” and “similar facilities.”¹⁹

Collateral Attack of Ordinances

A municipal ordinance is not subject to collateral attack. The validity of the Ordinance cannot be assailed *via* a petition for *mandamus* as that would be a collateral attack on a law. Public policy forbids collateral impeachment of legislative acts²⁰ as this would run counter to the principles of due process and the presumption in favor of constitutionality.²¹

It has been held that when a municipal corporation has the power to enact an ordinance but does so in an unauthorized mode, the Ordinance is still legally binding until judicially held otherwise.²² The validity of the Ordinance cannot be questioned collaterally as a matter of defense to an action under it. A separate action would afford the proper parties the opportunity to prove the validity of the Ordinance in an appropriate proceeding. Until thus resolved, the Ordinance in question enjoys a presumption of validity and may be implemented by the local chief executive.²³

Local Legislative Bodies

Local legislative power shall be exercised by the *Sangguniang Panlalawigan* for the province; the *Sangguniang Panlungsod* for the city; the *Sangguniang Bayan* for the municipality; and the *Sangguniang Barangay* for the *barangay*.²⁴

¹⁹Albon v. Fernando, *supra* note 15.

²⁰San Miguel Brewery, Inc. v. Magno, G.R. No. L-21879, September 29, 1967.

²¹Mayor Norberto M. Mendoza v. De Guzman, G.R. Nos. 156697-98, October 9, 2007; *see also* DILG Opinion No. 2, s. 2013, January 17, 2013.

²²Treasurer of City of Camden v. Mulford, 26 N.J.L. 49; *see also* DILG Opinion No. 2, s. 2013, January 17, 2013.

²³*Ibid.*

²⁴Sec. 48, LGC of 1991.

Where there is a council or governing body, the inhabitants or voters, in their natural capacity, have no power to act for or to bind the corporation, but the corporation must act, and can be bound only through the medium of this body. Therefore, authorized acts done by the council are not their acts, but those of the corporation.²⁵

The council is a body which is constantly changing; it is simply the agent of the corporation. But its members, it has been observed, are not only not the municipal corporation, but are not even a corporation.²⁶

Presiding Officer

The vice-governor shall be the presiding officer of the *Sangguniang Panlalawigan*; the city vice-mayor, of the *Sangguniang Panlungsod*; the municipal vice-mayor, of the *Sangguniang Bayan*; and the *Punong Barangay*, of the *Sangguniang Barangay*. The presiding officer shall vote only to break a tie.

In the event of the inability of the regular Presiding officer to preside at a *Sanggunian* session, the members present and constituting a quorum shall elect from among themselves a temporary presiding officer. He shall certify within 10 days from the passage of ordinances enacted and resolutions adopted by the *Sanggunian* in the session over which he temporarily presided.²⁷

With Republic Act No. 7160, the union of legislative and executive powers in the office of the local chief executive under the Batas Pambansa Blg. 337 has been disbanded, so that either department now comprises different and non-intermingling official personalities with the end in view of ensuring a better delivery of public service and provide a system of check and balance between the two.²⁸

Senator Aquilino Pimentel, the principal author of Republic Act No. 7160, explained that "the Vice-Governor is now the presiding officer of the *Sangguniang Panlalawigan*. The City Vice-Mayor presides at meetings of the *Sangguniang Panlungsod* and the Municipal Vice-Mayor at the sessions of the *Sangguniang Bayan*.

²⁵John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), p. 825.

²⁶*Ibid.*

²⁷Sec. 49, LGC of 1991.

²⁸*Atienza v. Villarosa*, G.R. No. 161081, May 10, 2005.

The idea is to distribute powers among elective local officials so that the legislative, which is the *Sanggunian*, can properly check the executive, which is the Governor or the Mayor and vice versa and exercise their functions without any undue interference from one by the other."²⁹

Even in American jurisprudence the mayor is not necessarily a constituent part of the legislative power of the municipality. His functions are intended to be, and usually are, of an executive or administrative character, and whatever power he may at any time exercise in the legislative functions of a municipal government is never to be implied, but must find its authority in some positive statute.³⁰

The case of *Gamboa v. Aguirre*³¹ settled the issue on whether or not an incumbent Vice-Governor, while concurrently the Acting Governor, can continue to preside over the sessions of the *Sangguniang Panlalawigan* (SP). In this case, the Supreme Court ruled in effect that for purposes of exercising his legislative prerogatives and powers, the Vice-Governor, who is acting as Governor, is deemed as a non-member of the SP for the time being. The Supreme Court noted that under Republic Act No. 7160, unlike in the old law, the Governor was already deprived of the power to preside over the SP as he is not a member thereof.

Hence, being the Acting Governor, the Vice-Governor cannot continue to simultaneously exercise the duties of the latter office since the nature and duties of the Provincial Governor call for a full-time occupant to discharge them. Indeed, the creation of a temporary vacancy in the office of the Governor creates a corresponding temporary vacancy in the office of the Vice-Governor whenever the latter acts as Governor by virtue of such temporary vacancy. It was then held that this event constitutes an inability on the part of the regular presiding officer (Vice-Governor) to preside during the SP sessions, which thus calls for the operation of the remedy set in Article 49(b) of the Local Government Code concerning the election of a temporary presiding officer. The continuity of the Acting Governor's (Vice-Governor) powers as presiding officer of the SP is

²⁹Aquilino Pimentel, *The LGC of 1991: The Key to National Development*, p. 155, cited in *Atienza v. Villarosa*, *supra*.

³⁰John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), p. 835.

³¹310 SCRA 867 (1999).

suspended so long as he is in such capacity. Under Section 49(b), in the event of the inability of the regular presiding officer to preside during the SP session, the members present and constituting a quorum shall elect from among themselves a temporary presiding officer.³²

Whether or not the presiding officer (Vice-Mayor or Vice-Governor) can chair a regular committee in the *Sanggunian* will largely depend on the *sanggunian's* internal rules of procedure (IRP) because the LGC of 1991 is silent on this point. However, under settled parliamentary practice, a presiding officer is not allowed to hold or chair a regular but may be allowed to hold or chair a special or *ad hoc* committee for special purpose.³³

A perusal of Section 445 (a)(1) of the LGC of 1991, in relation to the Supreme Court's ruling in *Atienza v. Villarosa*,³⁴ would show that it is the vice mayor who exercises administrative control over the *Sangguniang Bayan's* funds as presiding officer thereof. Therefore, the approval of the mayor in relation to travel orders chargeable to the *Sangguniang Bayan's* funds is only ministerial and may be disregarded upon the mayor's unjustified refusal to do so.³⁵

Internal Rules of Procedure

On the first regular session following the election of its members and within 90 days thereafter, the *Sanggunian* concerned shall adopt or update its existing rules of procedure.

The rules of procedure shall provide for the following:

- (1) The organization of the *Sanggunian* and the election of its officers as well as the creation of standing committees which shall include, but shall not be limited to, the committees on appropriations, women and family, human rights, youth and sports development, environmental protection, and cooperatives; the general jurisdiction of each committee; and the election of the chairman and members of each committee;
- (2) The order and calendar of business for each session;

³²Gamboa v. Aguirre, *supra*.

³³DILG Opinion No. 19, s. 2020, January 31, 2020.

³⁴497 Phil. 689 (2005).

³⁵Maulana v. Pangansayan, G.R. Nos. 243910-15 (Notice), March 27, 2019.

(3) The legislative process;

(4) The parliamentary procedures which include the conduct of members during sessions;

(5) The discipline of members for disorderly behavior and absences without justifiable cause for four (4) consecutive sessions, for which they may be censured, reprimanded, or excluded from the session, suspended for not more than 60 days, or expelled: *Provided*, That the penalty of suspension or expulsion shall require the concurrence of at least 2/3 vote of all the *Sanggunian* members: *Provided, further*, That a member convicted by final judgment to imprisonment of at least one (1) year for any crime involving moral turpitude shall be automatically expelled from the *Sanggunian*; and

(6) Such other rules as the *Sanggunian* may adopt.³⁶

The law, however, does not require the completion of the updating or adoption of the internal rules of procedure before the *Sanggunian* could act on any other matter like the enactment of an ordinance. It simply requires that the matter of adopting or updating the internal rules of procedure be taken up during the first day of session.³⁷

Compulsory Process

Unlike Congress, the *Sanggunian* cannot issue subpoena to non-members and punish them for disobedience. While the Constitution does not expressly vest Congress with the power to punish non-members for legislative contempt, the power has nevertheless been invoked by the legislative body as a means of preserving its authority and dignity in the same way that courts wield an inherent power to "enforce their authority, preserve their integrity, maintain their dignity, and ensure the effectiveness of the administration of justice." The exercise by the legislature of the contempt power is a matter of self-preservation as that branch of the government vested with the legislative power, independently of the judicial branch, asserts its authority and punishes contempt thereof. *The contempt power of the legislature is, therefore, sui generis, and local legislative bodies cannot correctly claim to possess*

³⁶Sec. 50, LGC of 1991.

³⁷*Malonzo v. Zamora*, 323 SCRA 875 (2000).

it for the same reasons that the national legislature does. The power attaches not to the discharge of legislative functions *per se* but to the character of the legislature as one of the three independent and coordinate branches of government. The same thing cannot be said of local legislative bodies which are creations of law. Besides, there is no express provision either in the 1973 Constitution or in the LGC of 1991 (B.P. 337) granting local legislative bodies, the power to subpoena witnesses and the power to punish non-members for contempt. Absent a constitutional or legal provision for the exercise of these powers, the only possible justification for the issuance of a subpoena and for the punishment of non-members for contumacious behavior would be for said power to be deemed implied in the statutory grant of delegated legislative power. *But, the contempt power and the subpoena power partake of a judicial nature. They cannot be implied in the grant of legislative power.* Neither can they exist as mere incidents of the performance of legislative functions. To allow local legislative bodies or administrative agencies to exercise these powers without express statutory basis would run afoul of the doctrine of separation of powers.³⁸

It is well to note, however, that the *sanggunians*, except the *Sangguniang Barangay* which exercises only legislative functions, are invested with dual functions, namely: (1) as a legislative body and (2) as a quasi-judicial body. The latter function relates to the power of the *Sanggunian* to discipline local officials under its jurisdiction (e.g., *Sangguniang Panlalawigan* has the power to discipline elected municipal officials). In the latter case, the *Sanggunian* may now issue subpoena to compel the attendance of witnesses and the production of documents pursuant to Section 65 of the LGC of 1991 which grants the respondent in the proceeding "full opportunity to appear and defend himself in person or by counsel, to confront and cross-examine the witnesses against him, and to require the attendance of witnesses and the production of documentary evidence in his favor through the compulsory process of subpoena or *subpoena duces tecum*."³⁹

Also, and pursuant to the duty of the Mayor under Section 455(b)(1)(iv) and Section 444(b)(1)(iv) of LGC of 1991 or of the Governor under Section 465(b)(1)(iv) of the LGC of 1991 to "provide

³⁸Negros Oriental II Electric Cooperative, Inc. v. Sangguniang Panlungsod of Dumaguete, 155 SCRA 421 (1987).

³⁹See DILG Opinion No. 25, s. of 2020, January 31, 2020.

such information and data needed or requested by said *sanggunian* in the performance of its legislative functions,” the *Sanggunian* concerned may exact that duty from the Mayor or Governor, as the case may be, by requiring him or his duly authorized representative to be present in any session to present the information and data requested by the *Sanggunian*.⁴⁰

Let it be noted, however, that in case the subpoena so issued is not obeyed, the *Sanggunian* cannot punish any person for contempt. Instead, it can invoke the aid of the Regional Trial Court to cite the defiant person in contempt pursuant to Rule 71 of the Rules of Court.⁴¹

Full Disclosure of Financial or Business Interest of Members of the *Sanggunian*

Every *Sanggunian* member shall, upon assumption to office, make a full disclosure of his business and financial interests. He shall also disclose any business, financial, or professional relationship or any relation by affinity or consanguinity within the 4th civil degree, which he may have with any person, firm, or entity affected by any ordinance or resolution under consideration by the *Sanggunian* of which he is a member, which relationship may result in conflict of interest. Such relationship shall include:

- (1) Ownership of stock or capital, or investment, in the entity or firm to which the ordinance or resolution may apply; and

- (2) Contracts or agreements with any person or entity which the ordinance or resolution under consideration may affect. In the absence of a specific constitutional or statutory provision applicable to this situation, “conflict of interest” refers in general to one where it may be reasonably deduced that a member of a *Sanggunian* may not act in the public interest due to some private, pecuniary, or other personal considerations that may tend to affect his judgment to the prejudice of the service or the public.⁴²

⁴⁰*Ibid.*

⁴¹*Ibid.*

⁴²Sec. 51, LGC of 1991.

The disclosure shall be made in writing and submitted to the secretary of the *Sanggunian* or the secretary of the committee of which he is a member. The disclosure shall, in all cases, form part of the record of the proceedings and shall be made in the following manner:

(1) Disclosure shall be made before the member participates in the deliberations on the ordinance or resolution under consideration: *Provided, That*, if the member did not participate during the deliberations, the disclosure shall be made before voting on the ordinance or resolution on second and third readings; and

(2) Disclosure shall be made when a member takes a position or makes a privilege speech on a matter that may affect the business interest, financial connection, or professional relationship described herein.⁴³

The term "*conflict of interest*" refers in general to one where it may be reasonably deduced that a member of a *Sanggunian* may not act in the public interest due to some private, pecuniary, or other personal considerations that may tend to affect his judgment to the prejudice of the service or the public.

Sessions

It is a well-settled rule that when municipal councils or boards of any kind are called upon to perform legislative acts or acts involving discretion and judgment in administering the public affairs, they can only act at authorized meetings duly held. The council or board must meet and act as a board or council. The members cannot make a valid determination binding upon the corporation by their assent separately and individually expressed.⁴⁴

Pursuant to the above rule, the *Sanggunian* is naturally required to hold sessions in order to lawfully transact business or decide on matters affecting the public. The following rules must be observed:

On the first day of the session immediately following the election of its members, the *Sanggunian* shall, by resolution, fix

⁴³Sec. 51, LGC of 1991.

⁴⁴John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), p. 825.

the day, time, and place of its regular sessions. The minimum number of regular sessions shall be once a week for the *Sangguniang Panlalawigan*, *Sangguniang Panlungsod*, and *Sangguniang Bayan*, and twice a month for the *Sangguniang Barangay*.

When public interest so demands, special sessions may be called by the local chief executive or by a majority of the members of the *Sanggunian*.

All *Sanggunian* sessions shall be open to the public unless a closed-door session is ordered by an affirmative vote of a majority of the members present, there being a quorum, in the public interest or for reasons of security, decency, or morality. No two (2) sessions, regular or special, may be held in a single day.

In the case of special sessions of the *Sanggunian*, a written notice to the members shall be served personally at the member's usual place of residence at least 24 hours before the special session is held. Unless otherwise concurred in by 2/3 vote of the *Sanggunian* members present, there being a quorum, no other matters may be considered at a special session except those stated in the notice.

Each *Sanggunian* shall keep a journal and record of its proceedings which may be published upon resolution of the *Sanggunian* concerned.⁴⁵

Quorum

The "*quorum of a body*" has been defined to be that number of the body which, when assembled in their proper place, will enable them to transact their proper business, or in other words that number that makes the lawful body, and gives them the power to pass a law or ordinance.⁴⁶

For the *Sanggunian* to officially transact business, there should be a quorum. A majority of all the members of the *Sanggunian* who have been elected and qualified shall constitute a quorum to transact official business. Should a question of quorum be raised

⁴⁵Sec. 52, LGC of 1991.

⁴⁶John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Volume II (1911), p. 845.

during a session, the presiding officer shall immediately proceed to call the roll of the members and thereafter announce the results.⁴⁷

“Majority” has been defined by the Supreme Court in *Santiago v. Guingona, et al.*⁴⁸ as that which is greater than half of the membership of the body or that number which is 50% + 1 of the entire membership. For instance, if there are 11 members of the *Sanggunian* (10 regular members plus the presiding officer), the quorum shall be six (6) members ($11/2 = 5.5$; $5.5 + 1 = 6.5$, or simply 6).⁴⁹

Where there is no quorum, the presiding officer may declare a recess until such time as a quorum is constituted, or a majority of the members present may adjourn from day to day and may compel the immediate attendance of any member absent without justifiable cause by designating a member of the *Sanggunian*, to be assisted by a member or members of the police force assigned in the territorial jurisdiction of the local government unit concerned, to arrest the absent member and present him at the session.⁵⁰

If there is still no quorum despite the enforcement of the immediately preceding subsection, no business shall be transacted. The presiding officer, upon proper motion duly approved by the members present, shall then declare the session adjourned for lack of quorum.⁵¹

1. Presiding Officer, Included in Determining Quorum

In the case of *Zamora v. Governor Caballero*,⁵² the Supreme Court interpreted Section 53 of Republic Act No. 7160 to mean that “the entire membership must be taken into account in computing the quorum of the *Sangguniang Panlalawigan*.” In stating that there were 14 members of the *Sanggunian*, the Supreme Court in the said *Zamora case* included the Vice-Governor, as presiding officer, as part of the entire membership of the *Sangguniang Panlalawigan* which must be taken into account in computing the quorum. The Supreme Court observed that unlike the provision in the Constitution affecting the House, where it states that “majority of each House shall constitute a quorum,” Section 53 of the LGC

⁴⁷Sec. 53, LGC of 1991.

⁴⁸G.R. No. 134577, November 18, 1998.

⁴⁹DILG Opinion No. 56, s. 2019, August 17, 2019.

⁵⁰Sec. 53, LGC of 1991.

⁵¹Sec. 53, LGC of 1991.

⁵²464 Phil. 471 (2004).

of 1991 is more exacting as it requires that the “majority of all members of the *Sanggunian* ... elected and qualified” shall constitute a quorum. Thus, a regular *Sanggunian* member, who filed a leave of absence and whose alleged departure overseas was not proved, should be considered in determining whether there was quorum at the time the *Sanggunian* transacted official business.

In *La Carlota City, Negros Occidental v. Atty. Rex G. Rojo*,⁶³ the Supreme Court was again confronted with the issue of whether or not the vice-mayor as the presiding officer is included in the count in determining the majority of all the members of the *Sangguniang Panlungsod* to validly transact business. The Supreme Court, applying *Zamora case*, ruled that the vice-mayor shall be included in the computation of the quorum because under the Local Government Code of 1991, the *Sangguniang Panlungsod* “shall be composed of the city vice-mayor as presiding officer, the regular *sanggunian* members, the president of the city chapter of the *liga ng mga barangay*, the president of the *panlungsod na pederasyon ng mga sangguniang kabataan*, and the sectoral representatives, as members.”

2. Presiding Officer, Excluded in Determining Majority Vote

However, while the presiding officer shall be considered a part of the *Sanggunian* for purposes of ascertaining if a quorum exists, he is excluded in determining the number which constitutes as the majority vote. The presiding officer's right to vote is merely contingent and arises only when there is a tie to break. This was the ruling of the Supreme Court in *Javier v. Cadiao*,⁶⁴ where the concurring opinion of Justice A. Brion in *La Carlota case* was quoted, thus:

“If the voting level required would engage the *entirety* of the *sanggunian* as a collegial body, making the quorum requirement least significant, there is no rhyme or reason to include the presiding officer's personality at all. The possibility of that one instance where he may be allowed to vote is nil. To include him in *sanggunian* membership without this qualification would adversely affect the statutory rule that generally prohibits him from voting.

⁶³G.R. No. 181367, April 24, 2012.

⁶⁴G.R. No. 185369 (Resolution), August 3, 2016.

To illustrate, in disciplining members of the *sanggunian* where the penalty involved is suspension or expulsion, the LGC requires the concurrence of two-thirds (2/3) of all the members of the *sanggunian*. If the Sanggunian has thirteen (13) regular members (excluding the presiding officer), the votes needed to impose either of the penalty is eight. However, should the presiding officer be also included, therefore raising the membership to fourteen (14), — on the premise that he is also *sanggunian* member — even if he cannot vote in this instance, an additional one vote is required — *i.e.*, nine votes are required — before the penalty is imposed. The presiding officer's innocuous inclusion as *sanggunian* member negatively impacts on the prohibition against him from voting since his mere inclusion affects the numerical value of the required voting level on a matter where generally and by law he has no concern." (Citation omitted)

In sum, the Presiding Officer is counted in the determination of the quorum but during the counting of votes for the passage of a resolution or ordinance, his/her vote should not be counted, unless there is a tie.⁵⁵

Simple Majority and Qualified Majority

Generally, ordinary measures require for its enactment only the approval of a *simple majority* of the *Sanggunian* members present, there being a quorum. These pertain to the normal transactions of the *Sanggunian* which are approved by the *Sanggunian* through a vote of simple majority of those present (*e.g.*, passage of a police power ordinance or an appropriation ordinance⁵⁶).

On the other hand, there are certain measures where the LGC of 1991 requires for its approval the vote of majority of all the members who were duly elected and qualified (*e.g.*, authority given to the local chief executive to enter into contracts that create indebtedness or liability⁵⁷). This is what we call approval by the *qualified majority* of the *Sanggunian*.⁵⁸

⁵⁵DILG Opinion No. 51, s. 2019, August 29, 2019.

⁵⁶Art. 107(g), IRR of LGC of 1991.

⁵⁷*Ibid.*

⁵⁸DILG Opinion No. 13, s. 2010, February 9, 2010.

Approval of Ordinances

Every ordinance enacted by the *Sangguniang Panlalawigan*, *Sangguniang Panlungsod*, or *Sangguniang Bayan* shall be presented to the provincial governor or city or municipal mayor, as the case may be. If the local chief executive concerned approves the same, he shall affix his signature on each and every page thereof; otherwise, he shall veto it and return the same with his objections to the *Sanggunian*, which may proceed to reconsider the same. The *Sanggunian* concerned may override the veto of the local chief executive by 2/3 vote of all its members, thereby making the ordinance or resolution effective for all legal intents and purposes.

The veto shall be communicated by the local chief executive concerned to the *Sanggunian* within 15 days in the case of a province, and 10 days in the case of a city or a municipality; otherwise, the ordinance shall be deemed approved as if he had signed it.

Ordinances enacted by the *Sangguniang Barangay* shall, upon approval by the majority of all its members, be signed by the *Punong Barangay*.⁵⁹

Legislative officers are not personally liable for the adoption of ordinances. They are of course exempt from individual liability for the passage of any ordinance within their authority, and their motives in reference thereto will not be inquired into; nor are they individually liable for the passage of any ordinance not authorized by their powers; for such ordinance is void, and need not be obeyed.⁶⁰

Veto Power of Local Chief Executive

The local chief executive may veto any ordinance of the *Sangguniang Panlalawigan*, *Sangguniang Panlungsod*, or *Sangguniang Bayan* on the ground that it is *ultra vires* or prejudicial to the public welfare, stating his reasons therefor in writing.

The local chief executive, except the *Punong Barangay*, shall have the power to veto any particular item or items of an appropriations ordinance, an ordinance or resolution adopting a local development plan and public investment program, or an ordinance directing the payment of money or creating liability. In such a case, the veto shall not affect the item or items which are not

⁵⁹Sec. 54, LGC of 1991.

⁶⁰John Forest Dillon, *Commentaries on the Law of Municipal Corporations*, Vol. II (1911), p. 918, citing *Jones v. Loving*, 55 Miss. 109.

objected to. The vetoed item or items shall not take effect unless the *Sanggunian* overrides the veto in the manner provided by the Code, otherwise, the item or items in the appropriations ordinance of the previous year corresponding to those vetoed, if any, shall be deemed reenacted.

The local chief executive may veto an ordinance or resolution only once. The *Sanggunian* may override the veto of the local chief executive concerned by 2/3 vote of all its members, thereby making the ordinance effective even without the approval of the local chief executive concerned.⁶¹

The grant of veto power confers authority beyond the simple mechanical act of signing an ordinance or resolution, as a prerequisite to its enforceability. Such power accords the local chief executive the discretion to sustain the resolution or ordinance in the first instance or to veto it and return it with his objections to the *Sanggunian*, which may proceed to reconsider the same.⁶²

Review of Ordinances

1. Component City and Municipal Ordinances

Within three (3) days after approval, the secretary to the *Sangguniang Panlungsod* or *Sangguniang Bayan* shall forward to the *Sangguniang Panlalawigan* for review, copies of approved ordinances and the resolutions approving the local development plans and public investment programs formulated by the local development councils.

Within 30 days after receipt of copies of such ordinances and resolutions, the *Sangguniang Panlalawigan* shall examine the documents or transmit them to the provincial attorney, or if there be none, to the provincial prosecutor for prompt examination. The provincial attorney or provincial prosecutor shall, within a period of 10 days from receipt of the documents, inform the *Sangguniang Panlalawigan* in writing of his comments or recommendations, which may be considered by the *Sangguniang Panlalawigan* in making its decision.

If the *Sangguniang Panlalawigan* finds that such an ordinance or resolution is beyond the power conferred upon the *Sangguniang*

⁶¹Sec. 55, LGC of 1991.

⁶²*De los Reyes v. SB*, 281 SCRA 631 (1997).

Panlungsod or *Sangguniang Bayan* concerned, it shall declare such ordinance or resolution invalid in whole or in part. The *Sangguniang Panlalawigan* shall enter its action in the minutes and shall advise the corresponding city or municipal authorities of the action it has taken.

If no action has been taken by the *Sangguniang Panlalawigan* within 30 days after submission of such an ordinance or resolution, the same shall be presumed consistent with law and therefore valid.⁶³

The phrase “action” has been interpreted to mean legislative action in the form of a Resolution containing the approval or disapproval in whole or in part of any ordinance or resolution (approving local development plans and public investment programs) submitted to the *Sanggunian* for review. It is not enough that they deliberated, debated and voted on the measure ought to be reviewed. Thus, after the lapse of the 30-day period, and no Resolution which shall contain the findings of the *Sangguniang Panlalawigan* on review of a municipal ordinance is issued, it can be validly stated that the *Sangguniang Panlalawigan* failed to act within 30 days and the ordinance under review can be presumed consistent in law and therefore valid.⁶⁴

There is no provision in the LGC of 1991 requiring that the action of the *Sangguniang Panlalawigan* shall be submitted to the Provincial Governor for approval. Said review is an action that only the *Sangguniang Panlalawigan* may take.⁶⁵

2. *Barangay Ordinances*

Within 10 days after its enactment, the *Sangguniang Barangay* shall furnish copies of all barangay ordinances to the *Sangguniang Panlungsod* or *Sangguniang Bayan* concerned for review as to whether the ordinance is consistent with law and city or municipal ordinances.

If the *Sangguniang Panlungsod* or *Sangguniang Bayan*, as the case may be, fails to take action on *barangay* ordinances within 30 days from receipt thereof, the same shall be deemed approved.

⁶³Sec. 56, LGC of 1991.

⁶⁴DILG Opinion No. 20, s. 2019; see also *Acaac v. Azcuna, Jr.*, G.R. No. 187378, September 30, 2013.

⁶⁵DILG Opinion No. 44, s. 2019, August 7, 2019.

If the *Sangguniang Panlungsod* or *Sangguniang Bayan*, as the case may be, finds the *barangay* ordinances inconsistent with law or city or municipal ordinances, the *Sanggunian* concerned shall, within 30 days from receipt thereof, return the same with its comments and recommendations to the *Sangguniang Barangay* concerned for adjustment, amendment, or modification; in which case, the effectivity of the *barangay* ordinance is suspended until such time as the revision called for is effected.⁶⁶

Enforcement of Disapproved Ordinances

Any attempt to enforce any ordinance or any resolution approving the local development plan and public investment program, after the disapproval thereof, shall be sufficient ground for the suspension or dismissal of the official or employee concerned.⁶⁷

Public Hearing

Not all ordinances require the conduct of public hearing. Under the LGC of 1991, prior public hearings are required in the following instances:

1. Transfer of local government sites, offices and facilities (pars. B and C, Section 11);
2. Reclassification of agricultural lands (Section 20);
3. Contribution of funds, real estate, equipment, and other kinds of property and appointment and assignment of personnel in support of undertakings commonly beneficial to local government units which have grouped themselves, consolidated or coordinated their efforts, services and resources (Section 33);
4. Levy of taxes, fees or charges on any base or subject not otherwise specially enumerated in the Local Government Code or taxed under the NIRC, as amended, or other applicable laws (Section 186), and
5. Enactment of local tax ordinance and revenue measures (Section 187)⁶⁸

⁶⁶Sec. 57, LGC of 1991.

⁶⁷Sec. 58, LGC of 1991.

⁶⁸See DILG Opinion No. 19, s. 2018, April 19, 2018.

Effectivity of Ordinances and Resolutions

Unless otherwise stated in the ordinance or the resolution approving the local development plan and public investment program, the same shall take effect after 10 days from the date a copy thereof is posted in a bulletin board at the entrance of the provincial capitol or city, municipal, or *barangay* hall, as the case may be, and in at least two (2) other conspicuous places in the local government unit concerned.

The secretary to the *Sanggunian* concerned shall cause the posting of an ordinance or resolution in the bulletin board at the entrance of the provincial capitol and the city, municipal, or *barangay* hall in at least two (2) conspicuous places in the local government unit concerned not later than five (5) days after approval thereof.

The text of the ordinance or resolution shall be disseminated and posted in Filipino or English and in the language or dialect understood by the majority of the people in the local government unit concerned, and the secretary to the *Sanggunian* shall record such fact in a book kept for the purpose, stating the dates of approval and posting.

The gist of all ordinances with penal sanctions shall be published in a newspaper of general circulation within the province where the local legislative body concerned belongs. In the absence of any newspaper of general circulation within the province, posting of such ordinances shall be made in all municipalities and cities of the province where the *Sanggunian* of origin is situated.

In the case of highly urbanized and independent component cities, the main features of the ordinance or resolution duly enacted or adopted shall, in addition to being posted, be published once in a local newspaper of general circulation within the city, provided, that in the absence thereof the ordinance or resolution shall be published in any newspaper of general circulation.⁶⁸

Ordinances with penal sanctions shall be posted at conspicuous places in the provincial capitol, or city, municipal or *barangay* hall, as the case may be, for a minimum period of three (3) consecutive weeks. Such ordinances shall also be published in a newspaper of general

⁶⁸Sec. 59, LGC of 1991.

circulation, where available, within the territorial jurisdiction of the LGU concerned, except in the case of *barangay* ordinances. Unless otherwise provided therein, said ordinances shall take effect on the day following its publication, or at the end of the period of posting, whichever occurs later.⁷⁰

Strict observance of said procedural requirement is the only safeguard against any unjust and unreasonable exercise of the local government unit's power by ensuring that the people affected are notified through publication of the existence of the measure, and are therefore able to voice out their views or objections to said measure.⁷¹

Any public officer or employee who violates an ordinance may be meted administrative disciplinary action, without prejudice to the filing of the appropriate civil or criminal action.⁷²

The secretary of the *Sanggunian* concerned shall transmit official copies of such ordinances to the chief executive officer of the Official Gazette within seven (7) days following the approval of said ordinance for publication. The Official Gazette may publish ordinances with penal sanctions for archival and reference purposes.⁷³

The enforcement of an ordinance by the local chief executive may be compelled by *mandamus* as this is ministerial on his part. This is the ruling of the Supreme Court in *Social Justice Society v. Atienza*.⁷⁴ Indeed, the LGC of 1991 imposes upon the local chief executive the duty to "enforce all laws and ordinances relative to the governance of the city."

⁷⁰Sec. 511(a), LGC of 1991; Art. 114, Rules and Regulations Implementing the LGC of 1991.

⁷¹Municipality of Tupi v. Faustino, G.R. No. 231896, August 20, 2019.

⁷²Sec. 511, LGC of 1991.

⁷³Sec. 511, LGC of 1991.

⁷⁴G.R. No. 156052, March 7, 2007.

Chapter 21

LOCAL INITIATIVE AND REFERENDUM

Meaning

Local initiative is the legal process whereby the registered voters of a local government unit may directly propose, enact, or amend any ordinance.¹

Local referendum, on the other hand, is the legal process whereby the registered voters of the local government units may approve, amend or reject any ordinance enacted by the *Sanggunian*.²

Justice Isagani A. Cruz defines initiative as the “power of the people to propose bills and laws, and to enact or reject them at the polls independent of the legislative assembly.” On the other hand, he explains that referendum “is the right reserved to the people to adopt or reject any act or measure which has been passed by a legislative body and which in most cases would without action on the part of electors become a law.”³

In republican systems, there are generally two (2) kinds of legislative power, original and derivative. *Original legislative power* is possessed by the sovereign people. *Derivative legislative power* is that which has been delegated by the sovereign people to legislative bodies and is subordinate to the original power of the people.⁴

The system of initiative and referendum enables the people to exercise an all-important original power to legislate, a manifestation of adopting at the local level the system of direct democracy.

¹Sec. 120, LGC of 1991.

²Sec. 126, LGC of 1991.

³*Philippine Political Law*, 1991 Ed., p. 169.

⁴*Constitutional Structure and Powers of Government*, Bernas, J., 1991 Ed., p. 39.

Kinds of Initiative and Referendum in General

In the Philippines, there are at least three (3) kinds of initiative, namely: (1) Initiative on the Constitution which refers to a petition proposing amendments to the Constitution;⁵ (2) Initiative on statutes which refers to a petition proposing to enact a national legislation;⁶ and (3) Initiative on local legislation which refers to a petition proposing to enact a regional, provincial, city, municipal, or *barangay* law, resolution or ordinance.⁷

Referendum may be of two (2) classes, namely: (1) Referendum on statutes which refers to a petition to approve or reject an act or law, or part thereof, passed by Congress; and (2) Referendum on local law which refers to a petition to approve or reject a law, resolution or ordinance enacted by regional assemblies and local legislative bodies.⁸

Scope

The Constitution clearly includes not only ordinances but also resolutions as appropriate subjects of a local initiative. Section 32 of Article VI provides in luminous language: "The Congress shall, as early as possible, provide for a system of initiative and referendum, and the exceptions therefrom, whereby the people can directly propose and enact laws or approve or reject any act or law or part thereof passed by the Congress, or local legislative body . . ." An act includes a resolution.⁹

Section 120, Chapter 2, Title IX Book I of the LGC of 1991, which speaks only of "*ordinance*," merely defines the concept of local initiative as the legal process whereby the registered voters of a local government unit may directly propose, enact, or amend any ordinance. It does not, however, deal with the subjects or matters that can be taken up in a local initiative. It is Section 124 of the same Code which does. Section 124 states that, "Initiative shall extend only to subjects or matters which are within the legal powers of the *Sanggunians* to enact." Certainly, a resolution is within the legal powers of any *Sanggunian* to enact.

⁵Sec. 2, Art. XVII of the 1987 Constitution.

⁶Sec. 32, Art. VI of the 1987 Constitution.

⁷LGC of 1991; *see also* R.A. 6735.

⁸R.A. 6735.

⁹*Garcia v. COMELEC*, 237 SCRA 279, September 30, 1994.

Local Initiative

The power of local initiative and referendum may be exercised by all registered voters of the provinces, cities, municipalities, and *barangays*.¹⁰

1. Procedure

Not less than 1,000 registered voters in case of provinces and cities, 100 in case of municipalities, and 50 in case of *barangays*, may file a petition with the *Sanggunian* concerned proposing the adoption, enactment, repeal, or amendment of an ordinance.

If no favorable action thereon is taken by the *Sanggunian* concerned within 30 days from its presentation, the proponents, through their duly authorized and registered representatives, may invoke their power of initiative, giving notice thereof to the *Sanggunian* concerned.

The proposition shall be numbered serially starting from Roman numeral I. The COMELEC or its designated representative shall extend assistance in the formulation of the proposition.

Two (2) or more propositions may be submitted in an initiative.

Proponents shall have 90 days in case of provinces and cities, 60 days in case of municipalities, and 30 days in case of *Barangays*, from notice mentioned in subsection (b) hereof to collect the required number of signatures.

The petition shall be signed before the election registrar, or his designated representatives, in the presence of a representative of the proponent, and a representative of the *Sanggunian* concerned in a public place in the local government unit, as the case may be. Stations for collecting signatures may be established in as many places as may be warranted.

Upon the lapse of the period provided by the Code, the COMELEC, through its office in the local government unit concerned, shall certify as to whether or not the required number of signatures has been obtained. Failure to obtain the required number defeats the proposition.

¹⁰Sec. 121, LGC of 1991.

If the required number of signatures is obtained, the COMELEC shall then set a date for the initiative during which the proposition shall be submitted to the registered voters in the local government unit concerned for their approval within 60 days from the date of certification by the COMELEC, as provided in subsection (g) of Section 122 of the Code, in case of provinces and cities, 45 days in case of municipalities, and 30 days in case of *Barangays*. The initiative shall then be held on the date set, after which the results thereof shall be certified and proclaimed by the COMELEC.¹¹

It can be gathered that initiative is resorted to (or initiated) by the people directly either because the law-making body fails or refuses to enact the law, ordinance, resolution or act that they desire or because they want to amend or modify one already existing. Under Section 13 of Republic Act No. 6735, the local legislative body is given the opportunity to enact the proposal. If it refuses/neglects to do so within 30 days from its presentation, the proponents through their duly-authorized and registered representatives may invoke their power of initiative, giving notice thereof to the local legislative body concerned. Should the proponents be able to collect the number of signed conformities with the period granted by said statute, the Commission on Elections “shall then set a date for the initiative (not referendum) at which the proposition shall be submitted to the registered voters in the local government unit concerned.”¹²

Inasmuch as the COMELEC also has quasi-judicial and administrative functions, it is the COMELEC which has the power to determine whether the propositions in an initiative petition are within the powers of a concerned *sanggunian* to enact.¹³

2. Effectivity of Local Propositions

If the proposition is approved by a majority of the votes cast, it shall take effect 15 days after certification by the COMELEC as if affirmative action thereon had been made by the *Sanggunian* and local chief executive concerned. If it fails to obtain said number of votes, the proposition is considered defeated.¹⁴

¹¹Sec. 122, LGC of 1991.

¹²*Subic Bay Metropolitan Authorities v. COMELEC*, G.R. No. 125416, September 26, 1996.

¹³*Marmeto v. COMELEC*, G.R. No. 213953, September 26, 2017.

¹⁴Sec. 123, LGC of 1991.

3. Limitations on Local Initiative

The power of local initiative shall not be exercised more than once a year.

Initiative shall extend only to subjects or matters which are within the legal powers of the *Sanggunians* to enact.

If at any time before the initiative is held, the *Sanggunian* concerned adopts *in toto* the proposition presented and the local chief executive approves the same, the initiative shall be canceled. However, those against such action may, if they so desire, apply for initiative in the manner herein provided.¹⁵

4. Limitations upon *Sanggunians*

Any proposition or ordinance approved through the system of initiative and referendum shall not be repealed, modified or amended by the *Sanggunian* concerned within six (6) months from the date of the approval thereof, and may be amended, modified or repealed by the *Sanggunian* within three (3) years thereafter by a vote of 3/4 of all its members. In case of *barangays*, the period shall be 18 months after the approval thereof.¹⁶

Local Referendum

The local referendum shall be held under the control and direction of the COMELEC within 60 days in case of provinces and cities, 45 days in case of municipalities and 30 days in case of *barangays*. The COMELEC shall certify and proclaim the results of the said referendum.¹⁷

In a local referendum, the law-making body submits to the registered voters of its territorial jurisdiction, for approval or rejection, any ordinance or resolution which is duly enacted or approved by such law-making authority. Said referendum shall be conducted also under the control and direction of the Commission on Elections.¹⁸

¹⁵Sec. 124, LGC of 1991.

¹⁶Sec. 125, LGC of 1991.

¹⁷Sec. 126, LGC of 1991.

¹⁸*Subic Bay Metropolitan Authority v. COMELEC*, *supra* note 12.

Distinction between Initiative and Referendum

While initiative is entirely the work of the electorate, referendum is begun and consented to by the law-making body. *Initiative* is a process of law-making by the people themselves without the participation and against the wishes of their elected representatives, while *referendum* consists merely of the electorate approving or rejecting what has been drawn up or enacted by a legislative body. Hence, the process and the voting in an initiative are understandably more complex than in a referendum where expectedly the voters will simply write either "Yes" or "No" in the ballot.¹⁹

¹⁹*Supra.*

Chapter 22

THE KATARUNGANG PAMBARANGAY

As compared to Presidential Decree No. 1508, the earlier Katarungang Pambarangay Law, the Revised Katarungang Pambarangay Law under the LGC of 1991 has at least three (3) new significant features, *to wit*:

1. It increased the authority of the lupon in criminal offenses from those punishable by imprisonment not exceeding 30 days or a fine not exceeding P200 in Presidential Decree No. 1508 to those offenses punishable by imprisonment not exceeding one (1) year or a fine not exceeding P5,000.

2. As to venue, it provides that disputes arising at the workplace where the contending parties are employed or at the institution where such parties are enrolled for study, shall be brought in the barangay where such workplace or institution is located.

3. It provides for the suspension of the prescriptive periods of offenses during the pendency of the mediation, conciliation, or arbitration process. Par. (c) of Section 410 of the law, however, suffers from some ambiguity when it provides that the prescriptive periods "shall resume upon receipt by the complainant of the complaint or the certificate of repudiation or of the certification to file action issued by the lupon or pangkat secretary." What is referred to as receipt by the complainant of the complaint is unclear; obviously, it could have been a drafting oversight.¹

Accordingly, in the above quoted Section 11 of the Rules and Regulations issued by the Secretary of Justice, the phrase "the complaint or" is not found, such that the resumption of the running of the prescriptive period shall, properly, be from receipt by the

¹Felicidad Uy v. Hon. Maximo Contreras, G.R. Nos. 111416-17, September 26, 1994.

complainant of the certificate of repudiation or the certification to file action issued by the lupon or the pangkat secretary. Such suspension, however, shall not exceed 60 days.

The *first feature* has necessarily broadened the jurisdiction of the *lupon* and if the mediation and conciliation process at that level would be effectively pursued, few cases would reach the regular courts, justice would be achieved at less expense to the litigants, cordial relationships among protagonists in a small community would be restored, and peace and order therein enhanced.²

The *second feature*, which is covered by par. (d), Section 409 of the LGC of 1991, also broadens the authority of the *lupon* in the sense that appropriate civil and criminal cases arising from incidents occurring in workplaces or institutions of learning shall be brought in the *barangay* where such workplace or institution is located. That *barangay* may not be the appropriate venue in either par. (a) or par. (b) of the said section. This rule provides convenience to the parties. Procedural rules including those relating to venue are designed to insure a fair and convenient hearing to the parties with complete justice between them as a result. Elsewise stated, convenience is the *raison d'être* of the rule on venue.³

The *third feature* is aimed at maximizing the effectiveness of the mediation, conciliation, or arbitration process. It discourages any intentional delay of the referral to a date close to the expiration of the prescriptive period and then invoking the proximity of such expiration as the reason for immediate recourse to the courts. It also affords the parties sufficient time to cool off and face each other with less emotionalism and more objectivity which are essential ingredients in the resolution of their dispute. The 60-day suspension of the prescriptive period could spell the difference between peace and a full-blown, wearisome, and expensive litigation between the parties.⁴

Indeed, the primordial objective of a prior *barangay* conciliation is to reduce the number of court litigations and prevent the deterioration of the quality of justice which has been brought by the indiscriminate filing of cases in courts.⁵

²*Supra.*

³*Ibid.*

⁴*Ibid.*

⁵*Lansangan v. Caisip*, G.R. No. 212987, August 6, 2018.

While Presidential Decree No. 1508 has been repealed by the LGC of 1991, the jurisprudence built thereon regarding prior referral to the *lupon* as a pre-condition to the filing of an action in court remains applicable because its provisions on prior referral were substantially reproduced in the Code.⁶

Lupong Tagapamayapa

The LGC of 1991 created in each *barangay* a *Lupong Tagapamayapa*, referred to as the "*Lupon*," which is composed of the *Punong Barangay* as chairman and 10 to 20 members. The *lupon* shall be constituted every three (3) years in the manner provided for in the Code.

Any person actually residing or working in the *barangay*, not otherwise expressly disqualified by law, and possessing integrity, impartiality, independence of mind, sense of fairness, and reputation for probity, may be appointed a member of the *lupon*.

Before the *lupon* can function as such, it must first be constituted by the *Punong Barangay*. A notice to constitute the *lupon*, which shall include the names of proposed members who have expressed their willingness to serve, shall be prepared by the *Punong Barangay* within the first 15 days from the start of his term of office. Such notice shall be posted in three (3) conspicuous places in the *barangay* continuously for a period of not less than three (3) weeks.

The *Punong Barangay*, taking into consideration any opposition to the proposed appointment or any recommendations for appointments as may have been made within the period of posting, shall within 10 days thereafter, appoint as members those whom he determines to be suitable therefor. Appointments shall be in writing, signed by the *Punong Barangay*, and attested to by the *barangay* secretary. The list of appointed members shall be posted in three (3) conspicuous places in the *barangay* for the entire duration of their term of office. In *barangays* where majority of the inhabitants are members of indigenous cultural communities, local systems of settling disputes through their councils of *datus* or elders shall be recognized without prejudice to the applicable provisions of the Code.⁷

⁶*Ibid.*

⁷Sec. 399, LGC of 1991.

1. Functions of the *Lupon*

The *lupon* shall exercise administrative supervision over the conciliation panels to be created. The *lupon* shall meet regularly once a month to provide a forum for exchange of ideas among its members and the public on matters relevant to the amicable settlement of disputes, and to enable various conciliation panel members to share with one another their observations and experiences in effecting speedy resolution of disputes. It shall exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.⁸

The *barangay* secretary shall concurrently serve as the secretary of the *lupon*. He shall record the results of mediation proceedings before the *Punong Barangay* and shall submit a report thereon to the proper city or municipal courts. He shall also receive and keep the records of proceedings submitted to him by the various conciliation panels.⁹

Pangkat ng Tagapagkasundo

For each dispute brought before the *lupon*, there shall be constituted a conciliation panel to be known as the *pangkat ng tagapagkasundo*, referred to as the "*Pangkat*," consisting of three (3) members who shall be chosen by the parties to the dispute from the list of members of the *lupon*. Should the parties fail to agree on the *pangkat* membership, the same shall be determined by lots drawn by the *lupon* chairman.

The three (3) members constituting the *pangkat* shall elect from among themselves the chairman and the secretary. The secretary shall prepare the minutes of the *pangkat* proceedings and submit a copy duly attested to by the chairman to the *lupon* secretary and to the proper city or municipal court. He shall issue and cause to be served notices to the parties concerned. The *lupon* secretary shall issue certified true copies of any public record in his custody that is not by law otherwise declared confidential.¹⁰

⁸Sec. 402, LGC of 1991.

⁹Sec. 403, LGC of 1991.

¹⁰Sec. 404, LGC of 1991.

Subject Matter for Amicable Settlement; Exceptions

The *lupon* of each *barangay* shall have authority to bring together the parties actually residing in the same city or municipality for amicable settlement of all disputes **except**:

(a) Where one party is the government, or any subdivision or instrumentality thereof;

(b) Where one party is a public officer or employee, and the dispute relates to the performance of his official functions;

(c) Offenses punishable by imprisonment exceeding one (1) year or a fine exceeding P5,000;

(d) Offenses where there is no private offended party;

(e) Where the dispute involves real properties located in different cities or municipalities unless the parties thereto agree to submit their differences to amicable settlement by an appropriate *lupon*;

(f) Disputes involving parties who actually reside in *barangays* of different cities or municipalities, except where such *barangay* units adjoin each other and the parties thereto agree to submit their differences to amicable settlement by an appropriate *lupon*;

(g) Such other classes of disputes which the President may determine in the interest of justice or upon the recommendation of the Secretary of Justice. The court in which non-criminal cases not falling within the authority of the *lupon* under this Code are filed may, at any time before trial, *motu proprio* refer the case to the *lupon* concerned for amicable settlement.¹¹

Except in the instances enumerated in Sections 2 and 6 of the *Katarungang Pambarangay Law* (P.D. 1508), the *lupon* has the authority to settle amicably all types of disputes involving parties who actually reside in the same city or municipality. The law, as written, makes no distinction whatsoever with respect to the classes of civil disputes that should be compromised at the *barangay* level, in contradistinction to the limitation imposed upon the *lupon* by par. (3), Section 2 thereof as regards its authority over criminal cases.¹²

¹¹Sec. 408, LGC of 1991.

¹²Sps. Morata v. Sps. Go, G.R. No. L-62339, October 27, 1983.

However, the following matters cannot be compromised under the New Civil Code of the Philippines:

- 1) Civil status of persons;
- 2) The validity of a marriage or legal separation;
- 3) Any ground for legal separation;
- 4) Future support;
- 5) The jurisdiction of courts;
- 6) Future legitime; and
- 7) Criminal liability.¹³

Compromise agreements on these matters shall be null and void.¹⁴

It bears stressing that only individuals may be parties to *barangay* conciliation proceedings either as complainants or respondents. Complaints by or against corporations, partnerships or other juridical entities may not be filed with, received or acted upon by the *barangay* for conciliation. This includes an estate of a deceased, which is a juridical entity that has a personality separate and distinct from that of the heirs.¹⁵

It should also be noted that the rules requiring prior *barangay* conciliation in disputes between “parties” of the same city or municipality are applicable to “actual residents.” Hence, where a plaintiff in a complaint is represented by an attorney-in-fact who resides in a city or municipality different from that of the defendant but the plaintiff himself resides in the same city or municipality as that of the defendant, prior *barangay* conciliation is still required. Conversely, where the plaintiff, the real party in interest, is not an actual resident of the *barangay* where the defendant respondent resides, the local *lupon* has no jurisdiction over their dispute, hence, prior referral to it for conciliation is not a pre-condition to its filing in court. To construe the express statutory requirement of “actual residency” as applicable to the attorney-in-fact of the party-plaintiff

¹³Arts. 2035, 2034, New Civil Code of the Philippines.

¹⁴Arts. 1409(1), 2035, as cited in Joseph Emmanuel, *Restatement on the Law on Local Governments* (2005), p. 401.

¹⁵Uy v. Estate of Vipa Fernandez, G.R. No. 200612, April 5, 2017.

would abrogate the meaning of a real party in interest as defined in Section 2 of Rule 3 of the 1997 Rules of Court *vis-à-vis* Section 3 of the same Rule.¹⁶

Venue

Disputes between persons actually residing in the same *barangay* shall be brought for amicable settlement before the *lupon* of said *barangay*.

Those involving actual residents of different *barangays* within the same city or municipality shall be brought in the *barangay* where the respondent or any of the respondents actually resides, at the election of the complainant.

All disputes involving real property or any interest therein shall be brought in the *barangay* where the real property or the larger portion thereof is situated.

Those arising at the workplace where the contending parties are employed or at the institution where such parties are enrolled for study, shall be brought in the *barangay* where such workplace or institution is located. Objections to venue shall be raised in the mediation proceedings before the *Punong Barangay*; otherwise, the same shall be deemed waived. Any legal question which may confront the *Punong Barangay* in resolving objections to venue herein referred to may be submitted to the Secretary of Justice, or his duly designated representative, whose ruling thereon shall be binding.¹⁷

Procedure for Amicable Settlement

1. Initiation

Upon payment of the appropriate filing fee, any individual who has a cause of action against another individual involving any matter within the authority of the *lupon* may complain, orally or in writing, to the *lupon* chairman of the *barangay*.¹⁸

¹⁶Pascual v. Pascual, G.R. No. 157830, November 17, 2005.

¹⁷Sec. 409, LGC of 1991.

¹⁸Sec. 410, LGC of 1991.

Again, only individuals shall be parties to these proceedings either as complainants or respondents. No complaint by or against corporations, partnerships or other juridical entities shall be filed, received, or acted upon.¹⁹

2. Mediation by *Lupon* Chairman

Upon receipt of the complaint, the *lupon* chairman shall within the next working day summon the respondent(s), with notice to the complainant(s) for them and their witnesses to appear before him for a mediation of their conflicting interests. If he fails in his mediation effort within 15 days from the first meeting of the parties before him, he shall forthwith set a date for the constitution of the *pangkat* in accordance with the provisions of the Code.²⁰

However, *lupon* conciliation alone, without the proceeding before the *Pangkat ng Tagapagkasundo*, may still be considered consistent with the law on *Katarungang Pambarangay*. Section 412(a) of the LGC of 1991 clearly provides that, as a precondition to filing a complaint in court, the parties shall go through the conciliation process either before the *Lupon* Chairman or the *Pangkat*.²¹ In *Diu v. Court of Appeals*,²² it was held that notwithstanding the mandate in Section 410(b) of Republic Act No. 7160 that the *Barangay* Chairman shall constitute a *Pangkat* if he fails in his mediation efforts, the same Section 410(b) should be construed together with Section 412(a) of the same law, as well as the circumstances obtaining in and peculiar to the case. Thus, in one case, while the *Pangkat* was not constituted, but the parties already met *nine (9) times* at the Office of the *Barangay* Chairman for conciliation and the parties still failed to settle the dispute, the immediate issuance of a certificate to file action was in order.²³

3. Suspension of Prescriptive Period of Offenses

While the dispute is under mediation, conciliation, or arbitration, the prescriptive periods for offenses and cause of action under existing laws shall be interrupted upon filing of the complaint

¹⁹Sec. 1, Rule VI, *Katarungang Pambarangay* Rules Implementing the *Katarungang Pambarangay* Law; *Universal Robina Sugar Milling Corporation v. Heirs of Angel Teves*, 389 SCRA 316 (2002); *Uy v. Estate of Vipa Fernandez*, *supra* note 15.

²⁰Sec. 410, LGC of 1991.

²¹*Zamora v. Heirs of Izquierdo*, G.R. No. 146195, November 18, 2004.

²²G.R. No. 115213, December 19, 1995.

²³*Zamora v. Heirs of Izquierdo*, *supra* note 21.

with the *Punong Barangay*. The prescriptive periods shall resume upon receipt by the complainant of the complaint or the certificate of repudiation or of the certification to file action issued by the *lupon* or *pangkat* secretary. Such interruption, however, shall not exceed 60 days from the filing of the complaint with the *Punong Barangay*.²⁴

4. Issuance of Summons; Hearing; Grounds for Disqualification

The *pangkat* shall convene not later than three (3) days from its constitution, on the day and hour set by the *lupon* chairman, to hear both parties and their witnesses, simplify issues, and explore all possibilities for amicable settlement. For this purpose, the *pangkat* may issue summons for the personal appearance of parties and witnesses before it. In the event that a party moves to disqualify any member of the *pangkat* by reason of relationship, bias, interest, or any other similar grounds discovered after the constitution of the *pangkat*, the matter shall be resolved by the affirmative vote of the majority of the *pangkat* whose decision shall be final. Should disqualification be decided upon, the resulting vacancy shall be filled as herein provided for.²⁵

5. Period to Arrive at a Settlement

The *pangkat* shall arrive at a settlement or resolution of the dispute within 15 days from the day it convenes in accordance with this section. This period shall, at the discretion of the *pangkat*, be extendible for another period which shall not exceed 15 days, except in clearly meritorious cases.²⁶

Form of Settlement

All amicable settlements shall be in writing, in a language or dialect known to the parties, signed by them, and attested to by the *lupon* chairman or the *pangkat* chairman, as the case may be. When the parties to the dispute do not use the same language or dialect, the settlement shall be written in the language or dialect known to them.²⁷

²⁴*Ibid.*

²⁵*Ibid.*

²⁶*Ibid.*

²⁷Sec. 411, LGC of 1991.

Conciliation as Pre-condition to Filing of Complaint in Court

No complaint, petition, action, or proceeding involving any matter within the authority of the *lupon* shall be filed or instituted directly in court or any other government office for adjudication, unless there has been a confrontation between the parties before the *lupon* chairman or the *pangkat*, and that no conciliation or settlement has been reached as certified by the *lupon* secretary or *pangkat* secretary as attested to by the *lupon* or *pangkat* chairman or unless the settlement has been repudiated by the parties thereto.²⁸

In *Peregrina v. Panis*,²⁹ which ruling is still applicable, the Supreme Court held that Presidential Decree No. 1508 makes the conciliation process at the *Barangay* level a condition precedent for the filing of a complaint in Court. Noncompliance with that condition precedent could effect the sufficiency of the plaintiff's cause of action and make his complaint vulnerable to dismissal on the ground of lack of cause of action or prematurity. The condition is analogous to exhaustion of administrative remedies, or the lack of earnest efforts to compromise suits between family members, lacking which the case can be dismissed.

As already stated, the compulsory process of conciliation is a precondition for the filing of the complaint in court. Where the complaint (a) did not state that it was one of excepted cases, or (b) did not allege prior availment of said conciliation process, or (c) did not have a certification that no conciliation had been reached by the parties, the case should be dismissed.³⁰ Failure to comply with the barangay conciliation proceedings renders the complaint vulnerable to a motion to dismiss for prematurity³¹ under Section 1(j), Rule 16 of the Rules of Court.³²

Prior recourse to the conciliation procedure required under Presidential Decree No. 1508 is not, however, a jurisdictional requirement such that noncompliance therewith would still not deprive a court of its jurisdiction either over the subject matter or over the person of the defendant.³³ Thus, it may therefore be

²⁸Sec. 412, LGC of 1991.

²⁹133 SCRA 72, 75 (1984).

³⁰*Heirs of Orito v. Montesclaros*, G.R. No. 168935, March 13, 2013.

³¹*Lansangan v. Caisip*, *supra* note 5.

³²*Spouses Belvis v. Spouses Erola*, G.R. No. 239727, July 24, 2019.

³³*Supra* note 27; *Aquino v. Aure*, 569 Phil. 403 (2008); *Banares II v. Balising*, 384 Phil. 567 (2000).

deemed waived if not raised seasonably in a motion to dismiss or in a responsive pleading.³⁴ Where, however, the fact of noncompliance with and non-observance of such procedure has been seasonably raised as an issue before the court first taking cognizance of the complaint, dismissal of the action is proper.³⁵

But, what is compulsory under the *Katarungang Pambarangay Law* is not that the parties should enter into settlement at the *barangay* level. What is required is that there be a “confrontation” between the parties before the *Lupon* Chairman or the *Pangkat* and that a “certification” be issued that no conciliation or settlement has been reached, as attested to by the *Lupon* or *Pangkat* Chairman, before a case falling within the authority of the *Lupon* may be instituted in court or any other government office for adjudication. Thus, it is error for the regular court to compulsorily remand a case pending before it where there is already a certification by the *Lupon* or *Pangkat* that no settlement has been reached.³⁶

When Parties May Go Directly to Court

As a rule, unless they are not covered by the *Katarungang Pambarangay Law* (e.g., when one of the parties is a public officer or where there is no private offended party), a party must undergo conciliation proceeding first before he can commence a case in regular courts. However, in the following cases, the parties may go directly to court:

- (1) Where the accused is under detention;
- (2) Where a person has otherwise been deprived of personal liberty calling for *habeas corpus* proceedings;
- (3) Where actions are coupled with provisional remedies such as preliminary injunction, attachment, delivery of personal property, and support *pendente lite*; and
- (4) Where the action may otherwise be barred by the statute of limitations.³⁷

³⁴*Supra* note 26; *Junson v. Martinez*, G.R. No. 141324, July 8, 2003; *Spouses Belvis v. Spouses Erola*, G.R. No. 239727, July 24, 2019.

³⁵*Felicidad Uy v. Hon. Maximo Contreras*, *supra* note 1.

³⁶*Pang-et v. Dao-as*, G.R. No. 167261, March 2, 2007.

³⁷Sec. 412, LGC of 1991.

The customs and traditions of indigenous cultural communities shall be applied in settling disputes between members of the cultural communities.³⁸

Actions coupled with provisional remedies, such as preliminary injunction, are not automatically exempt from the ambit of the *Katarungang Pambarangay Law*. Where resort to prayer for provisional remedies is clearly but a ploy to avoid conciliation proceeding, the complaint is still covered by the requirement of prior conciliation proceeding. For instance, where there was no recital of the basis of extreme urgency of the provisional remedy sought for or showing of grave and irreparable injury, that is, injury that would warrant the issuance of a preliminary injunction, making therefore the prayer for preliminary injunction a mere recitation of general allegations, it has been ruled to be a mere ploy to avoid going under the ambit of the *Katarungang Pambarangay Law*.³⁹

Arbitration

The parties may, at any stage of the proceedings, agree in writing that they shall abide by the arbitration award of the *lupon* chairman or the *pangkat*. Such agreement to arbitrate may be repudiated within five (5) days from the date thereof for the same grounds and in accordance with the procedure hereinafter prescribed. The arbitration award shall be made after the lapse of the period for repudiation and within 10 days thereafter.

The arbitration award shall be in writing in a language or dialect known to the parties. When the parties to the dispute do not use the same language or dialect, the award shall be written in the language or dialect known to them.⁴⁰

Effects of Amicable Settlement and Arbitration Award

The amicable settlement and arbitration award shall have the force and effect of a final judgment of a court upon the expiration of 10 days from the date thereof, unless repudiation of the settlement

³⁸*Ibid.*

³⁹*Duran v. Inoferio, Sr.*, G.R. Nos. 217608 and 217609 (Notice), December 10, 2018.

⁴⁰Sec. 413, LGC of 1991.

has been made or a petition to nullify the award has been filed before the proper city or municipal court. However, this rule shall not apply to court cases settled by the *lupon* under the last paragraph of Section 408 of the LGC of 1991, in which case the compromise settlement agreed upon by the parties before the *lupon* chairman or the *pangkat* chairman shall be submitted to the court and upon approval thereof, have the force and effect of a judgment of said court.⁴¹

The amicable settlement which is not repudiated within the period therefor may be enforced by execution by the *lupon* through the *Punong Barangay* within a timeline of six (6) months, and if the settlement is not so enforced by the *lupon* after the lapse of the said period, it may be enforced only by an action in the proper city or municipal court as provided for in Section 417 of the LGC of 1991, as amended.⁴²

Generally, the rule is that where no repudiation was made during the 10-day period, the amicable settlement attains the status of finality and it becomes the ministerial duty of the court to implement and enforce it. However, such rule is not inflexible for it admits of certain exceptions. In *Santos v. Judge Isidro*,⁴³ the Court observed that special and exceptional circumstances, the imperatives of substantial justice, or facts that may have transpired after the finality of judgment which would render its execution unjust, may warrant the suspension of execution of a decision that has become final and executory.⁴⁴ For instance, since an amicable settlement partakes of the nature of a contract, and therefore subject to the same legal provisions providing for the validity, enforcement, rescission or annulment of ordinary contracts,⁴⁵ the court may not enforce or implement a contract that it finds void or otherwise unenforceable. Similarly, the rules on reformation of contracts will apply to amicable settlements such that the court may allow an aggrieved party to have an amicable settlement reformed, if one of the grounds for reformation is present.⁴⁶

⁴¹Sec. 416, LGC of 1991.

⁴²*Ma. Teresa Vidal, et al. v. Ma. Teresa O. Escueta, et al.*, G.R. No. 156228, December 10, 2003.

⁴³*Citing Philippine Veterans Bank v. Intermediate Appellate Court*, 178 SCRA 645 (1989).

⁴⁴*Proceso Quiros v. Marcelo Arjona*, G.R. No. 158901, March 9, 2004.

⁴⁵*Quiros v. Arjona*, G.R. No. 158901, March 9, 2004.

⁴⁶*Ibid.*

Repudiation

Any party to the dispute may, within 10 days from the date of the settlement, repudiate the same by filing with the *lupon* chairman a statement to that effect sworn to before him, where the consent is vitiated by fraud, violence, or intimidation. Such repudiation shall be sufficient basis for the issuance of the certification for filing a complaint as hereinabove provided.⁴⁷

The 10-day period must be adhered to strictly. A party who fails to repudiate the settlement within this period should face the consequence of abiding by the arbitration award and he cannot anymore file an action in court to redress his grievances arising from the settlement.⁴⁸ Section 14, Rule VI of the *Katarungang Pambarangay* Implementing Rules states that the party's failure to repudiate the settlement within the period of 10 days shall be deemed a waiver of the right to challenge the settlement on the ground that his/her consent was vitiated by fraud, violence or intimidation.⁴⁹

Transmittal of Award to the Court

The secretary of the *lupon* shall transmit the settlement or the arbitration award to the appropriate city or municipal court within five (5) days from the date of the award or from the lapse of the 10-day period repudiating the settlement and shall furnish copies thereof to each of the parties to the settlement and the *lupon* chairman.⁵⁰

Execution

The amicable settlement or arbitration award may be enforced by execution by the *lupon* within six (6) months from the date of the settlement. After the lapse of such time, the settlement may be enforced by action in the appropriate city or municipal court.⁵¹

The timeline in Section 417 should be construed to mean that if the obligation in the settlement to be enforced is due and demandable on the date of the settlement, the six (6)-month period

⁴⁷Sec. 418, LGC of 1991.

⁴⁸*Cabbigat v. Dumulag*, G.R. No. 219645, September 21, 2016.

⁴⁹*See also* *Sebastian v. Lagmay-Ng*, G.R. No. 164594, April 22, 2015.

⁵⁰Sec. 419, LGC of 1991.

⁵¹Sec. 417, LGC of 1991.

should be counted from the date of the settlement; otherwise, if the obligation to be enforced is due and demandable on a date other than the date of the settlement, the six (6)-month period should be counted from the date the obligation becomes due and demandable.⁶²

Section 417 of the LGC of 1991 provides a mechanism for the enforcement of a settlement of the parties before the *Lupon*. It provides for a two (2)-tiered mode of enforcement of an amicable settlement executed by the parties before the *Lupon*, namely, (a) by execution of the *Punong Barangay* which is quasi-judicial and summary in nature on mere motion of the party/parties entitled thereto; and (b) by an action in regular form, which remedy is judicial. Under the first remedy, the proceedings are covered by the LGC of 1991 and the *Katarungang Pambarangay* Implementing Rules and Regulations. The *Punong Barangay* is called upon during the hearing to determine solely the fact of noncompliance of the terms of the settlement and to give the defaulting party another chance at voluntarily complying with his obligation under the settlement. Under the second remedy, the proceedings are governed by the Rules of Court, as amended. The cause of action is the amicable settlement itself, which, by operation of law, has the force and effect of a final judgment.⁶³

The law, as written, unequivocally speaks of the “*appropriate city or municipal court*” as the forum for the execution of the settlement or arbitration award issued by the *Lupon*. Notably, in expressly conferring authority over these courts, Section 417 of the LGC of 1991 made no distinction with respect to the amount involved or the nature of the issue involved. Thus, there can be no question that the law’s intendment was to grant jurisdiction over the enforcement of settlement/arbitration awards to the city or municipal courts *regardless of the amount*.⁶⁴

For the specific procedure in the execution of settlement or award before the *lupon*, see Sections 3-7, Rule VII, *Katarungang Pambarangay* Rules.

⁶²Ma. Teresa Vidal, *et al.* v. Ma. Teresa O. Escueta, *et al.*, *supra* note 42.

⁶³*Ibid.*

⁶⁴Sebastian v. Lagmay-Ng, *supra* note 49.

Personal Appearance of Parties without Assistance of Counsel or Agent

In all *katarungang pambarangay* proceedings, the parties must appear in person without the assistance of counsel or representative, except for minors and incompetents who may be assisted by their next-of-kin who are not lawyers.⁶⁵

The above-quoted provision clearly requires the personal appearance of the parties in *katarungang pambarangay* conciliation proceedings, unassisted by counsel or representative. The rationale behind the personal appearance requirement is to enable the *lupon* to secure first hand and direct information about the facts and issues, the exception being in cases where minors or incompetents are parties. There can be no quibbling that laymen of goodwill can easily agree to conciliate and settle their disputes between themselves without what sometimes is the unsettling assistance of lawyers whose presence could sometimes obfuscate and confuse issues. Worse still, the participation of lawyers with their penchant to use their analytical skills and legal knowledge tend to prolong instead of expedite settlement of the case.⁶⁶

As stated in the case of *Ledesma v. Court of Appeals*,⁶⁷ personal confrontation of the parties is mandatory because a personal confrontation between the parties without the intervention of a counsel or representative would generate spontaneity and a favorable disposition to amicable settlement on the part of the disputants. Moreover, pursuant to the familiar maxim in statutory construction dictating that '*expressio unius est exclusio alterius*,' the express exceptions made regarding minors and incompetents must be construed as exclusive of all others not mentioned.⁶⁸ And, a lawyer who breaches this mandatory prohibition offends Rule 1.01 of Canon 1 of the Code of Professional Responsibility (CPR) and may thus be disciplined accordingly.⁶⁹ Of course, the rule that lawyers cannot appear in barangay conciliations does not apply when the lawyer himself/herself is the party to the case.⁶⁹

⁶⁵Sec. 415, LGC of 1991.

⁶⁶Atty. Evelyn J. Magno v. Atty. Olivia Velasco-Jacoba, A.C. No. 6296, November 22, 2005.

⁶⁷286 Phil. 917 (1992).

⁶⁸Malecdan v. Baldo, A.C. No. 12121, June 27, 2018.

⁶⁹*Ibid.*

⁶⁹Sec. 415, LGC of 1991; Nuyda, Jr. v. Josen, A.C. No. 11814 (Notice), April 23, 2018.

**Effect of Refusal or Failure of Any Party or Witness to Appear
before the *Lupon* or *Pangkat***

Refusal or willful failure of any party or witness to appear before the *lupon* or *pangkat* in compliance with summons issued pursuant to the provisions on the *Katarungang Pambarangay* under Chapter 7, Title One of Book III of the Code may be punished by the city or municipal court as for indirect contempt of court upon application filed therewith by the *lupon* chairman, the *pangkat* chairman, or by any of the contending parties. Such refusal or willful failure to appear shall be reflected in the records of the *lupon* secretary or in the minutes of the *pangkat* secretary and shall bar the complainant who fails to appear, from seeking judicial recourse for the same cause of action, and the respondent who refuses to appear, from filing any counterclaim arising out of, or necessarily connected with the complaint. A *pangkat* member who serves as such shall be entitled to an honorarium, the amount of which is to be determined by the *Sanggunian* concerned, subject to the provisions in the Code cited above.⁶¹

⁶¹Sec. 515, LGC of 1991.

APPENDIX "A"

REPUBLIC ACT NO. 9009

AN ACT AMENDING SECTION 450 OF REPUBLIC ACT NO. 7160, OTHERWISE KNOWN AS THE LOCAL GOVERNMENT CODE OF 1991, BY INCREASING THE AVERAGE ANNUAL INCOME REQUIREMENT FOR A MUNICIPALITY OR CLUSTER OF BARANGAYS TO BE CONVERTED INTO A COMPONENT CITY

SECTION 1. Section 450 of Republic Act No. 7160, otherwise known as the Local Government Code of 1991, is hereby amended to read as follows:

"Section 450. Requisites for Creation. — (a) A municipality or a cluster of barangays may be converted into a component city if it has a locally generated average annual income, as certified by the Department of Finance, of at least One hundred million pesos (P100,000,000.00) for the last two (2) consecutive years based on 2000 constant prices, and if it has either of the following requisites:

(i) a contiguous territory of at least one hundred (100) square kilometers, as certified by the Land Management Bureau; or

(ii) a population of not less than one hundred fifty thousand (150,000) inhabitants, as certified by the National Statistics Office.

The creation thereof shall not reduce the land area, population and income of the original unit or units at the time of said creation to less than the minimum requirements prescribed herein.

(b) The territorial jurisdiction of a newly-created city shall be properly identified by metes and bounds. The

requirement on land area shall not apply where the city proposed to be created is composed of one (1) or more islands. The territory need not be contiguous if it comprises two (2) or more islands.

(c) The average annual income shall include the income accruing to the general fund, exclusive of special funds, transfers, and non-recurring income.”

SECTION 2. *Repealing Clause.* — All laws, decrees, orders, rules and regulations, and other issuances or parts thereof, which are inconsistent with this Act, are hereby repealed or modified accordingly.

SECTION 3. *Effectivity Clause.* — This Act shall take effect on June 30, 2001 following its complete publication in at least two (2) national newspapers of general circulation.

Published in The Manila Times and the Daily Tribune on March 2, 2001. Published in the Official Gazette, Vol. 97 No. 22, page 3220 on May 28, 2001.

APPENDIX "B"

REPUBLIC ACT NO. 8553

AN ACT AMENDING SECTION 41(B) OF REPUBLIC ACT NO. 7160, OTHERWISE KNOWN AS THE LOCAL GOVERNMENT CODE OF 1991

SECTION 1. Section 41(b) of Republic Act No. 7160, otherwise known as the Local Government Code of 1991, is hereby amended to read as follows:

"(b) The regular members of the sangguniang panlalawigan, sangguniang panlungsod, and sangguniang bayan shall be elected by district as follows:

"First and second-class provinces shall have ten (10) regular members; third and fourth-class provinces, eight (8); and fifth and sixth-class provinces, six (6): *Provided*, That in provinces having more than five (5) legislative districts, each district shall have two (2) sangguniang panlalawigan members, without prejudice to the provisions of Section 2 of Republic Act No. 6637. Sangguniang barangay members shall be elected at large. The presidents of the leagues of sanggunian members of component cities and municipalities shall serve as *ex officio* members of the sangguniang panlalawigan concerned. The presidents of the liga ng mga barangay and the pederasyon ng mga sangguniang kabataan elected by their respective chapters, as provided in this Code, shall serve as *ex officio* members of the sangguniang panlalawigan, sangguniang panlungsod, and sangguniang bayan."

SECTION 2. Upon the petition of the provincial board, the election for any additional regular member to the sangguniang panlalawigan as provided for under this Act, shall be held not earlier than six (6) months after the May 11, 1998 national and local elections.

SECTION 3. The Commission on Elections shall issue appropriate rules and regulations to implement the provisions of this Act.

SECTION 4. All laws, acts, decrees, executive orders, administrative regulations, or part or parts thereof inconsistent with this Act are hereby repealed or modified accordingly.

SECTION 5. This Act shall take effect upon publication in at least two (2) newspapers of national circulation.

Approved: February 25, 1998

Published in Malaya and Manila Times on March 7, 1998.
Published in the Official Gazette, Vol. 94 No. 28, 82 Supp., on July 13, 1998.

APPENDIX "C"

REPUBLIC ACT NO. 9244

AN ACT ELIMINATING THE PREPARATORY RECALL ASSEMBLY AS A MODE OF INSTITUTING RECALL OF ELECTIVE LOCAL GOVERNMENT OFFICIALS, AMENDING FOR THE PURPOSE SECTIONS 70 AND 71, CHAPTER 5, TITLE ONE, BOOK I OF REPUBLIC ACT NO. 7160, OTHERWISE KNOWN AS THE "LOCAL GOVERNMENT CODE OF 1991", AND FOR OTHER PURPOSES

SECTION 1. Section 70, Chapter 5, Title One, Book I of Republic Act No. 7160, otherwise known as the Local Government Code of 1991, is hereby amended to read as follows:

"Section 70. Initiation of the Recall Process. —

(a) The Recall of any elective provincial, city, municipal or barangay official shall be commenced by a petition of a registered voter in the local government unit concerned and supported by the registered voters in the local government unit concerned during the election in which the local official sought to be recalled was elected subject to the following percentage requirements:

(1) At least twenty-five percent (25%) in the case of local government units with a voting population of not more than twenty thousand (20,000);

(2) At least twenty percent (20%) in the case of local government units with a voting population of at least twenty thousand (20,000) but not more than seventy-five thousand (75,000): *Provided*, That in no case shall the required petitioners be less than five thousand (5,000);

(3) At least fifteen percent (15%) in the case of local government units with a voting population of at least seventy-five thousand (75,000) but not more than

three hundred thousand (300,000): *Provided, however,* That in no case shall the required number of petitioners be less than fifteen thousand (15,000); and

(4) At least ten percent (10%) in the case of local government units with a voting population of over three hundred thousand (300,000): *Provided, however,* That in no case shall the required petitioners be less than forty-five thousand (45,000).

(b) The process of recall shall be effected in accordance with the following procedure:

(1) A written petition for recall duly signed by the representatives of the petitioners before the election registrar or his representative, shall be filed with the Comelec through its office in the local government unit concerned.

(2) The petition to recall shall contain the following:

(a) The names and addresses of the petitioners written in legible form and their signatures;

(b) The barangay, city or municipality, local legislative district and the province to which the petitioners belong;

(c) The name of the official sought to be recalled; and

(d) A brief narration of the reasons and justifications therefor.

(3) The Comelec shall, within fifteen (15) days from the filing of the petition, certify to the sufficiency of the required number of signatures. Failure to obtain the required number of signatures automatically nullifies the petition;

(4) If the petition is found to be sufficient in form, the Comelec or its duly authorized representative shall, within three (3) days from the issuance of the certification, provide the official sought to be recalled a copy of the petition, cause its publication in a national newspaper of general circulation and a newspaper of general circulation

in the locality, once a week for three (3) consecutive weeks at the expense of the petitioners and at the same time post copies thereof in public and conspicuous places for a period of not less than ten (10) days nor more than twenty (20) days, for the purpose of allowing interested parties to examine and verify the validity of the petition and the authenticity of the signatures contained therein.

(5) The Comelec or its duly authorized representatives shall, upon issuance of certification, proceed independently with the verification and authentication of the signatures of the petitioners and registered voters contained therein. Representatives of the petitioners and the official sought to be recalled shall be duly notified and shall have the right to participate therein as mere observers. The filing of any challenge or protest shall be allowed within the period provided in the immediately preceding paragraph and shall be ruled upon with finality within fifteen (15) days from the date of filing of such protest or challenge;

(6) Upon the lapse of the aforesaid period, the Comelec or its duly authorized representative shall announce the acceptance of candidates to the position and thereafter prepare the list of candidates which shall include the name of the official sought to be recalled."

SECTION 2. Section 71, Chapter 5, Title One, Book I of the Republic Act No. 7160, "Local Government Code of 1991", is hereby amended to read as follows:

(1) "SEC. 71. *Election on Recall*. — Upon the filing of a valid petition for recall with the appropriate local office of the Comelec, the Comelec or its duly authorized representative shall set the date of the election or recall, which shall not be later than thirty (30) days upon the completion of the procedure outlined in the preceding article, in the case of the barangay, city or municipal officials, and forty-five (45) days in the case of provincial officials. The officials sought to be recalled shall automatically be considered as duly registered candidate or candidates to the pertinent positions and, like other candidates, shall be entitled to be voted upon."

SECTION 3. All pending petitions for recall initiated through the Preparatory Recall Assembly shall be considered dismissed upon the effectivity of this Act.

SECTION 4. All laws, presidential decrees, executive orders, issuances, and rules and regulations, and parts thereof, which are inconsistent with the provisions of this Act, are hereby repealed or modified accordingly.

SECTION 5. This Act shall take effect fifteen (15) days after its publication in the Official Gazette or in at least two (2) national newspapers of general circulation.

Approved: February 19, 2004

Published in the Daily Tribune and the Manila Times on March 1, 2004.

APPENDIX "D"

REPUBLIC ACT NO. 8185

AN ACT AMENDING SECTION 324(d) of REPUBLIC ACT NO. 7160, OTHERWISE KNOWN AS THE LOCAL GOVERNMENT CODE OF 1991

SECTION 1. Section 324(d) of Republic Act No. 7160 is hereby amended to read as follows:

"(d) Five percent (5%) of the estimated revenue from regular sources shall be set aside as annual lump sum appropriations for relief, rehabilitation, reconstruction and other works or services in connection with calamities which may occur during the budget year. *Provided, however,* That such fund shall be used only in the area, or a portion thereof, of the local government unit or other areas affected by a disaster or calamity, as determined and declared by the local sanggunian concerned.

"Calamity shall be defined as a state of extreme distress or misfortune, produced by some adverse circumstance or event or any great misfortune or cause or loss or misery caused by natural forces.

"In case of fire or conflagration, the calamity fund shall be utilized only for relief operations.

"The local development council shall more monitor the use and disbursement of the calamity fund."

SECTION 2. The Oversight Committee on the Local Government Code, in coordination with concerned agencies, shall prepare and issue the implementing rules and regulation within thirty (30) days from the effectivity of this Act.

SECTION 3. The provisions of existing laws, decrees, issuances, rules and regulations, or portions thereof, which are inconsistent herewith are hereby repealed, modified, or amended accordingly.

SECTION 4. This Act shall take effect fifteen (15) days after its publication in at least two (2) newspapers of general circulation.

This Act, which in a consolidation of Senate Bill No. 1220 and House Bill No. 4874 was finally passed by the Senate and the House of Representatives on June 6, 1996 and June 5, 1996, respectively.

Approved: June 11, 1996

Published in Malaya and the Manila Times on June 20, 1996. Published in the Official Gazette, Vol. 92 No. 33 page 5075 on August 12, 1996.

APPENDIX "E"

REPUBLIC ACT NO. 9640

AN ACT AMENDING SECTION 140(A) OF REPUBLIC ACT NO. 7160, OTHERWISE KNOWN AS "THE LOCAL GOVERNMENT CODE OF 1991"

SECTION 1. Section 140 of Republic Act No. 7160, otherwise known as "The Local Government Code of 1991," is hereby amended to read as follows:

"SEC. 140. *Amusement Tax*. — (a) The province may levy an amusement tax to be collected from the proprietors, lessees, or operators of theaters, cinemas, concert halls, circuses, boxing stadia, and other places of amusement at a rate of not more than ten percent (10%) of the gross receipts from admission fees.

"(b) In the case of theaters or cinemas, the tax shall first be deducted and withheld by their proprietors, lessees, or operators and paid to the provincial treasurer before the gross receipts are divided between said proprietors, lessees, or operators and the distributors of the cinematographic films.

"(c) The holding of operas, concerts, dramas, recitals, painting and art exhibitions, flower shows, musical programs, literary and oratorical presentations, except pop, rock, or similar concerts shall be exempt from the payment of the tax herein imposed.

"(d) The sangguniang panlalawigan may prescribe the time, manner, terms and conditions for the payment of tax. In case of fraud or failure to pay the tax, the sangguniang panlalawigan may impose such surcharges, interests and penalties as it may deem appropriate.

“(e) The proceeds from the amusement tax shall be shared equally by the province and the municipality where such amusement places are located.”

SECTION 2. *Repealing Clause.* — All laws, executive orders, presidential decrees, ordinances, rules and regulations or parts thereof which are inconsistent with any of the provisions of this Act are hereby repealed or modified accordingly.

SECTION 3. *Effectivity Clause.* — This Act shall take effect (15) days after its complete publication in the Official Gazette or in at least two (2) national newspapers of general circulation.

*Lapsed into law on May 21, 2009 without the signature of the President, in accordance with Article VI Section 27 (1) of the Constitution.

Published in the Manila Standard Today on June 18, 2009.

APPENDIX "F"

BOOK II (R.A. 7160)

LOCAL TAXATION AND FISCAL MATTERS

TITLE IX.

Local Government Taxation

CHAPTER I

General Provisions

SECTION 128. *Scope.* — The provisions herein shall govern the exercise by provinces, cities, municipalities, and barangays of their taxing and other revenue-raising powers.

SECTION 129. *Power to Create Sources of Revenue.* — Each local government unit shall exercise its power to create its own sources of revenue and to levy taxes, fees, and charges subject to the provisions herein, consistent with the basic policy of local autonomy. Such taxes, fees, and charges shall accrue exclusively to the local government units.

SECTION 130. *Fundamental Principles.* — The following fundamental principles shall govern the exercise of the taxing and other revenue-raising powers of local government units:

(a) Taxation shall be uniform in each local government unit;

(b) Taxes, fees, charges and other impositions shall:

(1) be equitable and based as far as practicable on the taxpayer's ability to pay;

(2) be levied and collected only for public purposes;

(3) not be unjust, excessive, oppressive, or confiscatory;

(4) not be contrary to law, public policy, national economic policy, or in restraint of trade;

(c) The collection of local taxes, fees, charges and other impositions shall in no case be let to any private person;

(d) The revenue collected pursuant to the provisions of this Code shall inure solely to the benefit of, and be subject to the disposition by, the local government unit levying the tax, fee, charge or other imposition unless otherwise specifically provided herein; and,

(e) Each local government unit shall, as far as practicable, evolve a progressive system of taxation.

SECTION 131. *Definition of Terms.* — When used in this Title, the term:

(a) “*Agricultural Product*” includes the yield of the soil, such as corn, rice, wheat, rye, hay, coconuts, sugarcane, tobacco, root crops, vegetables, fruits, flowers, and their by-products; ordinary salt; all kinds of fish; poultry; and livestock and animal products, whether in their original form or not.

The phrase “whether in their original form or not” refers to the transformation of said products by the farmer, fisherman, producer or owner through the application of processes to preserve or otherwise to prepare said products for market such as freezing, drying, salting, smoking, or stripping for purposes of preserving or otherwise preparing said products for market;

(b) “*Amusement*” is a pleasurable diversion and entertainment. It is synonymous to relaxation, avocation, pastime, or fun;

(c) “*Amusement Places*” include theaters, cinemas, concert halls, circuses and other places of amusement where one seeks admission to entertain oneself by seeing or viewing the show or performances;

(d) “*Business*” means trade or commercial activity regularly engaged in as a means of livelihood or with a view to profit;

(e) “*Banks and other financial institutions*” include non-bank financial intermediaries, lending investors, finance and investment companies, pawnshops, money shops, insurance companies, stock markets, stock brokers and dealers in securities and foreign exchange, as defined under applicable laws, or rules and regulations thereunder;

(f) "*Capital Investment*" is the capital which a person employs in any undertaking, or which he contributes to the capital of a partnership, corporation, or any other juridical entity or association in a particular taxing jurisdiction;

(g) "*Charges*" refers to pecuniary liability, as rents or fees against persons or property;

(h) "*Contractor*" includes persons, natural or juridical, not subject to professional tax under Section 139 of this Code, whose activity consists essentially of the sale of all kinds of services for a fee, regardless of whether or not the performance of the service calls for the exercise or use of the physical or mental faculties of such contractor or his employees.

As used in this section, the term "*contractor*" shall include general engineering, general building and specialty contractors as defined under applicable laws; filling, demolition and salvage works contractors; proprietors or operators of mine drilling apparatus; proprietors or operators of dockyards; persons engaged in the installation of water system, and gas or electric light, heat, or power; proprietors or operators of smelting plants, engraving, plating, and plastic lamination establishments; proprietors or operators of establishments for repairing, repainting, upholstering, washing or greasing of vehicles, heavy equipment, vulcanizing, recapping and battery charging; proprietors or operators of furniture shops and establishments for planning or surfacing and recutting of lumber, and sawmills under contract to saw or cut logs belonging to others; proprietors or operators of dry cleaning or dyeing establishments, steam laundries, and laundries using washing machines; proprietors or owners of shops for the repair of any kind of mechanical and electrical devices, instruments, apparatus, or furniture and shoe repairing by machine or any mechanical contrivance; proprietors or operators of establishments or lots for parking purposes; proprietors or operators of tailor shops, dress shops, milliners and hatters, beauty parlors, barbershops, massage clinics, sauna, Turkish and Swedish baths, slenderizing and building salons and similar establishments; photographic studios; funeral parlors; proprietors or operators of hotels, motels, and lodging houses; proprietors or operators of arrastre and stevedoring, warehousing, or forwarding establishments; master plumbers, smiths, and house or sign painters; printers, bookbinders, lithographers; publishers except those engaged in the publication or printing of any newspaper,

magazine, review or bulletin which appears at regular intervals with fixed prices for subscription and sale and which is not devoted principally to the publication and advertisements; business agents, private detective or watchman agencies, commercial and immigration brokers, and cinematographic film owners, lessors and distributors.

(i) "*Corporation*" includes partnerships, no matter how created or organized, joint-stock companies, joint accounts (*cuentas en participacion*), associations or insurance companies but does not include general professional partnerships and a joint venture or consortium formed for the purpose of undertaking construction projects or engaging in petroleum, coal, geothermal, and other energy operations pursuant to an operating or consortium agreement under a service contract with the government. General professional partnerships are partnerships formed by persons for the sole purpose of exercising their common profession, no part of the income of which is derived from engaging in any trade or business.

The term "*resident foreign*" when applied to a corporation means a foreign corporation not otherwise organized under the laws of the Philippines but engaged in trade or business within the Philippines;

(j) "*Countryside and Barangay Business Enterprise*" refers to any business entity, association, or cooperative registered under the provisions of Republic Act Numbered Sixty-eight hundred ten (R.A. No. 6810), otherwise known as "Magna Carta For Countryside And Barangay Business Enterprises (Kalakalan 20)";

(k) "*Dealer*" means one whose business is to buy and sell merchandise, goods, and chattels as a merchant. He stands immediately between the producer or manufacturer and the consumer and depends for his profit not upon the labor he bestows upon his commodities but upon the skill and foresight with which he watches the market;

(l) "*Fee*" means a charge fixed by law or ordinance for the regulation or inspection of a business or activity;

(m) "*Franchise*" is a right or privilege, affected with public interest which is conferred upon private persons or corporations, under such terms and conditions as the government and its political subdivisions may impose in the interest of public welfare, security, and safety;

(n) "*Gross Sales or Receipts*" include the total amount of money or its equivalent representing the contract price, compensation or service fee, including the amount charged or materials supplied with the services and deposits or advance payments actually or constructively received during the taxable quarter for the services performed or to be performed for another person excluding discounts if determinable at the time of sales, sales return, excise tax, and value-added tax (VAT);

(o) "*Manufacturer*" includes every person who, by physical or chemical process, alters the exterior texture or form or inner substance of any raw material or manufactured or partially manufactured product in such manner as to prepare it for special use or uses to which it could not have been put in its original condition, or who by any such process, alters the quality of any such raw material or manufactured or partially manufactured products so as to reduce it to marketable shape or prepare it for any of the use of industry, or who by any such process, combines any such raw material or manufactured or partially manufactured products with other materials or products of the same or of different kinds and in such manner that the finished products of such process or manufacture can be put to a special use or uses to which such raw material or manufactured or partially manufactured products in their original condition could not have been put, and who in addition, alters such raw material or manufactured or partially manufactured products, or combines the same to produce such finished products for the purpose of their sale or distribution to others and not for his own use or consumption;

(p) "*Marginal Farmer or Fisherman*" refers to an individual engaged in subsistence farming or fishing which shall be limited to the sale, barter or exchange of agricultural or marine products produced by himself and his immediate family;

(q) "*Motor Vehicle*" means any vehicle propelled by any power other than muscular power using the public roads, but excluding road rollers, trolley cars, street-sweepers, sprinklers, lawn mowers, bulldozers, graders, fork-lifts, amphibian trucks, and cranes if not used on public roads, vehicles which run only on rails or tracks, and tractors, trailers, and traction engines of all kinds used exclusively for agricultural purposes;

(r) "*Municipal Waters*" includes not only streams, lakes, and tidal waters within the municipality, not being the subject of private ownership and not comprised within the national parks, public forest, timber lands, forest reserves or fishery reserves, but also marine waters included between two lines drawn perpendicularly to the general coastline from points where the boundary lines of the municipality or city touch the sea at low tide and a third line parallel with the general coastline and fifteen (15) kilometers from it. Where two (2) municipalities are so situated on the opposite shores that there is less than fifteen (15) kilometers of marine waters between them, the third line shall be equally distant from opposite shores of their respective municipalities;

(s) "*Operator*" includes the owner, manager, administrator, or any other person who operates or is responsible for the operation of a business establishment or undertaking;

(t) "*Peddler*" means any person who, either for himself or on commission, travels from place to place and sells his goods or offers to sell and deliver the same. Whether a peddler is a wholesale peddler or a retail peddler of a particular commodity shall be determined from the definition of wholesale dealer or retail dealer as provided in this Title;

(u) "*Persons*" means every natural or juridical being, susceptible of rights and obligations or of being the subject of legal relations;

(v) "*Residents*" refer to natural persons who have their habitual residence in the province, city, or municipality where they exercise their civil rights and fulfill their civil obligations, and to juridical persons for which the law or any other provision creating or recognizing them fixes their residence in a particular province, city, or municipality. In the absence of such law, juridical persons are residents of the province, city, or municipality where they have their legal residence or principal place of business or where they conduct their principal business or occupation;

(w) "*Retail*" means a sale where the purchaser buys the commodity for his own consumption, irrespective of the quantity of the commodity sold;

(x) "*Vessel*" includes every type of boat, craft, or other artificial contrivance used, or capable of being used, as a means of transportation on water;

(y) "*Wharfage*" means a fee assessed against the cargo of a vessel engaged in foreign or domestic trade based on quantity, weight, or measure received and/or discharged by vessel; and

(z) "*Wholesale*" means a sale where the purchaser buys or imports the commodities for resale to persons other than the end user regardless of the quantity of the transaction.

SECTION 132. *Local Taxing Authority.* — The power to impose a tax, fee, or charge or to generate revenue under this Code shall be exercised by the sanggunian of the local government unit concerned through an appropriate ordinance.

SECTION 133. *Common Limitations on the Taxing Powers of Local Government Units.* — Unless otherwise provided herein, the exercise of the taxing powers of provinces, cities, municipalities, and barangays shall not extend to the levy of the following:

(a) Income tax, except when levied on banks and other financial institutions;

(b) Documentary stamp tax;

(c) Taxes on estates, inheritance, gifts, legacies and other acquisitions *mortis causa*, except as otherwise provided herein;

(d) Customs duties, registration fees of vessel and wharfage on wharves, tonnage dues, and all other kinds of customs fees, charges and dues except wharfage on wharves constructed and maintained by the local government unit concerned;

(e) Taxes, fees, and charges and other impositions upon goods carried into or out of, or passing through, the territorial jurisdictions of local government units in the guise of charges for wharfage, tolls for bridges or otherwise, or other taxes, fees, or charges in any form whatsoever upon such goods or merchandise;

(f) Taxes, fees or charges on agricultural and aquatic products when sold by marginal farmers or fishermen;

(g) Taxes on business enterprises certified to by the Board of Investments as pioneer or non-pioneer for a period of six (6) and four (4) years, respectively from the date of registration;

(h) Excise taxes on articles enumerated under the National Internal Revenue Code, as amended, and taxes, fees or charges on petroleum products; cassia

(i) Percentage or value-added tax (VAT) on sales, barter or exchanges or similar transactions on goods or services except as otherwise provided herein;

(j) Taxes on the gross receipts of transportation contractors and persons engaged in the transportation of passengers or freight by hire and common carriers by air, land or water, except as provided in this Code;

(k) Taxes on premiums paid by way of reinsurance or retrocession;

(l) Taxes, fees or charges for the registration of motor vehicles and for the issuance of all kinds of licenses or permits for the driving thereof, except tricycles;

(m) Taxes, fees, or other charges on Philippine products actually exported, except as otherwise provided herein;

(n) Taxes, fees, or charges, on Countryside and Barangay Business Enterprises and cooperatives duly registered under R.A. No. 6810 and Republic Act Numbered Sixty-nine hundred thirty-eight (R.A. No. 6938) otherwise known as the "Cooperative Code of the Philippines" respectively; and

(o) Taxes, fees or charges of any kind on the National Government, its agencies and instrumentalities, and local government units.

CHAPTER II

Specific Provisions on the Taxing and Other Revenue-Raising Powers of Local Government Units

ARTICLE I

Provinces

SECTION 134. *Scope of Taxing Powers.* — Except as otherwise provided in this Code, the province may levy only the taxes, fees, and charges as provided in this Article.

SECTION 135. *Tax on Transfer of Real Property Ownership.*
— (a) The province may impose a tax on the sale, donation, barter, or on any other mode of transferring ownership or title of real property at the rate of not more than fifty percent (50%) of the one percent (1%) of the total consideration involved in the acquisition

of the property or of the fair market value in case the monetary consideration involved in the transfer is not substantial, whichever is higher. The sale, transfer or other disposition of real property pursuant to R.A. No. 6657 shall be exempt from this tax.

(b) For this purpose, the Register of Deeds of the province concerned shall, before registering any deed, require the presentation of the evidence of payment of this tax. The provincial assessor shall likewise make the same requirement before cancelling an old tax declaration and issuing a new one in place thereof. Notaries public shall furnish the provincial treasurer with a copy of any deed transferring ownership or title to any real property within thirty (30) days from the date of notarization.

It shall be the duty of the seller, donor, transferor, executor or administrator to pay the tax herein imposed within sixty (60) days from the date of the execution of the deed or from the date of the decedent's death.

SECTION 136. *Tax on Business of Printing and Publication.* — The province may impose a tax on the business of persons engaged in the printing and/or publication of books, cards, posters, leaflets, handbills, certificates, receipts, pamphlets, and others of similar nature, at a rate not exceeding fifty percent (50%) of one percent (1%) of the gross annual receipts for the preceding calendar year.

In the case of a newly started business, the tax shall not exceed one-twentieth (1/20) of one percent (1%) of the capital investment. In the succeeding calendar year, regardless of when the business started to operate, the tax shall be based on the gross receipts for the preceding calendar year, or any fraction thereof, as provided herein.

The receipts from the printing and/or publishing of books or other reading materials prescribed by the Department of Education, Culture and Sports as school texts or references shall be exempt from the tax herein imposed.

SECTION 137. *Franchise Tax.* — Notwithstanding any exemption granted by any law or other special law, the province may impose a tax on businesses enjoying a franchise, at a rate not exceeding fifty percent (50%) of one percent (1%) of the gross annual receipts for the preceding calendar year based on the incoming receipt, or realized, within its territorial jurisdiction.

In the case of a newly started business, the tax shall not exceed one-twentieth (1/20) of one percent (1%) of the capital investment. In the succeeding calendar year, regardless of when the business started to operate, the tax shall be based on the gross receipts for the preceding calendar year, or any fraction thereon, as provided herein.

SECTION 138. *Tax on Sand, Gravel and Other Quarry Resources.* — The province may levy and collect not more than ten percent (10%) of fair market value in the locality per cubic meter of ordinary stones, sand, gravel, earth, and other quarry resources, as defined under the National Internal Revenue Code, as amended, extracted from public lands or from the beds of seas, lakes, rivers, streams, creeks, and other public waters within its territorial jurisdiction.

The permit to extract sand, gravel and other quarry resources shall be issued exclusively by the provincial governor, pursuant to the ordinance of the sangguniang panlalawigan.

The proceeds of the tax on sand, gravel and other quarry resources shall be distributed as follows:

- (1) Province — Thirty percent (30%);
- (2) Component City or Municipality where the sand, gravel, and other quarry resources are extracted — Thirty percent (30%); and
- (3) Barangay where the sand, gravel, and other quarry resources are extracted — Forty percent (40%).

SECTION 139. *Professional Tax.* — (a) The province may levy an annual professional tax on each person engaged in the exercise or practice of his profession requiring government examination at such amount and reasonable classification as the sangguniang panlalawigan may determine but shall in no case exceed Three hundred pesos (P300.00).

(b) Every person legally authorized to practice his profession shall pay the professional tax to the province where he practices his profession or where he maintains his principal office in case he practices his profession in several places: *Provided, however,* That such person who has paid the corresponding professional tax shall be entitled to practice his profession in any part of the Philippines without being subjected to any other national or local tax, license, or fee for the practice of such profession.

(c) Any individual or corporation employing a person subject to professional tax shall require payment by that person of the tax on his profession before employment and annually thereafter.

(d) The professional tax shall be payable annually, on or before the thirty-first (31st) day of January. Any person first beginning to practice a profession after the month of January must, however, pay the full tax before engaging therein. A line of profession does not become exempt even if conducted with some other profession for which the tax has been paid. Professionals exclusively employed in the government shall be exempt from the payment of this tax.

(e) Any person subject to the professional tax shall write in deeds, receipts, prescriptions, reports, books of account, plans and designs, surveys and maps, as the case may be, the number of the official receipt issued to him.

SECTION 140. Amusement Tax. — (a) The province may levy an amusement tax to be collected from the proprietors, lessees, or operators of theaters, cinemas, concert halls, circuses, boxing stadia, and other places of amusement at a rate of not more than thirty percent (30%) of the gross receipts from admission fees.

(b) In the case of theaters or cinemas, the tax shall first be deducted and withheld by their proprietors, lessees, or operators and paid to the provincial treasurer before the gross receipts are divided between said proprietors, lessees, or operators and the distributors of the cinematographic films.

(c) The holding of operas, concerts, dramas, recitals, painting and art exhibitions, flower shows, musical programs, literary and oratorical presentations, except pop, rock, or similar concerts shall be exempt from the payment of the tax hereon imposed.

(d) The sangguniang panlalawigan may prescribe the time, manner, terms and conditions for the payment of tax. In case of fraud or failure to pay the tax, the sangguniang panlalawigan may impose such surcharges, interest and penalties as it may deem appropriate.

(e) The proceeds from the amusement tax shall be shared equally by the province and the municipality where such amusement places are located.

SECTION 141. *Annual Fixed Tax for Every Delivery Truck or Van of Manufacturers or Producers, Wholesalers of, Dealers, or Retailers in, Certain Products.* — (a) The province may levy an annual fixed tax for every truck, van or any vehicle used by manufacturers, producers, wholesalers, dealers or retailers in the delivery or distribution of distilled spirits, fermented liquors, soft drinks, cigars and cigarettes, and other products as may be determined by the sangguniang panlalawigan, to sales outlets, or consumers, whether directly or indirectly, within the province in an amount not exceeding Five hundred pesos (P500.00).

(b) The manufacturers, producers, wholesalers, dealers and retailers referred to in the immediately foregoing paragraph shall be exempt from the tax on peddlers prescribed elsewhere in this Code.

ARTICLE II

Municipalities

SECTION 142. *Scope of Taxing Powers.* — Except as otherwise provided in this Code, municipalities may levy taxes, fees, and charges not otherwise levied by provinces.

SECTION 143. *Tax on Business.* — The municipality may impose taxes on the following businesses:

(a) On manufacturers, assemblers, repackers, processors, brewers, distillers, rectifiers, and compounders of liquors, distilled spirits, and wines or manufacturers of any article of commerce of whatever kind or nature, in accordance with the following schedule:

x x x

(b) On wholesalers, distributors, or dealers in any article of commerce of whatever kind or nature in accordance with the following schedule:

x x x

(c) On exporters, and on manufacturers, millers, producers, wholesalers, distributors, dealers or retailers of essential commodities enumerated hereunder at a rate not exceeding one-half ($\frac{1}{2}$) of the rates prescribed under subsection (a), (b) and (d) of this Section:

- (1) Rice and corn;
- (2) Wheat or cassava flour, meat, dairy products, locally manufactured, processed or preserved food, sugar, salt and other agricultural, marine, and fresh water products, whether in their original state or not;
- (3) Cooking oil and cooking gas;
- (4) Laundry soap, detergents, and medicine;
- (5) Agricultural implements, equipment and post-harvest facilities, fertilizers, pesticides, insecticides, herbicides and other farm inputs;
- (6) Poultry feeds and other animal feeds;
- (7) School supplies; and
- (8) Cement.

(d) On retailers.

With gross sales or receipts

Rate of Tax for the preceding calendar year of: Per Annum

P400,000.00 or less 2%

more than P400,000.00 1%

Provided, however, That barangays shall have the exclusive power to levy taxes, as provided under Section 152 hereof, on gross sales or receipts of the preceding calendar year of Fifty thousand pesos (P50,000.00) or less, in the case of cities, and Thirty thousand pesos (P30,000.00) or less, in the case of municipalities.

(e) On contractors and other independent contractors, in accordance with the following schedule:

x x x

(f) On banks and other financial institutions, at a rate not exceeding fifty percent (50%) of one percent (1%) on the gross receipts of the preceding calendar year derived from interest, commissions and discounts from lending activities, income from financial leasing, dividends, rentals on property and profit from exchange or sale of property, insurance premium.

(g) On peddlers engaged in the sale of any merchandise or article of commerce, at a rate not exceeding Fifty pesos (P50.00) per peddler annually.

(h) On any business, not otherwise specified in the preceding paragraphs, which the sanggunian concerned may deem proper to tax: *Provided*, That on any business subject to the excise, value-added or percentage tax under the National Internal Revenue Code, as amended, the rate of tax shall not exceed two percent (2%) of gross sales or receipts of the preceding calendar year.

The sanggunian concerned may prescribe a schedule of graduated tax rates but in no case to exceed the rates prescribed herein.

SECTION 144. *Rates of Tax within the Metropolitan Manila Area.* — The municipalities within the Metropolitan Manila Area may levy taxes at rates which shall not exceed by fifty percent (50%) the maximum rates prescribed in the preceding section.

SECTION 145. *Retirement of Business.* — A business subject to tax pursuant to the preceding sections shall, upon termination thereof, submit a sworn statement of its gross sales or receipts for the current year. If the tax paid during the year be less than the tax due on said gross sales or receipts of the current year, the difference shall be paid before the business is considered officially retired.

SECTION 146. *Payment of Business Taxes.* — (a) The taxes imposed under Section 143 shall be payable for every separate or distinct establishment or place where business subject to the tax is conducted and one line of business does not become exempt by being conducted with some other businesses for which such tax has been paid. The tax on a business must be paid by the person conducting the same.

(b) In cases where a person conducts or operates two (2) or more of the businesses mentioned in Section 143 of this Code which are subject to the same rate of tax, the tax shall be computed on the combined total gross sales or receipts of the said two (2) or more related businesses.

(c) In cases where a person conducts or operates two (2) or more businesses mentioned in Section 143 of this Code which are subject to different rates of tax, the gross sales or receipts of each business shall be separately reported for the purpose of computing the tax due from each business.

SECTION 147. *Fees and Charges.* — The municipality may impose and collect such reasonable fees and charges on business and occupation and, except as reserved to the province in Section 139 of this Code, on the practice of any profession or calling, commensurate with the cost of regulation, inspection and licensing before any person may engage in such business or occupation, or practice such profession or calling.

SECTION 148. *Fees for Sealing and Licensing of Weights and Measures.* — (a) The municipality may levy fees for the sealing and licensing of weights and measures at such reasonable rates as shall be prescribed by the sangguniang bayan.

(b) The sangguniang bayan shall prescribe the necessary regulations for the use of such weights and measures, subject to such guidelines as shall be prescribed by the Department of Science and Technology. The sanggunian concerned shall, by appropriate ordinance, penalize fraudulent practices and unlawful possession or use of instruments of weights and measures and prescribe the criminal penalty therefor in accordance with the provisions of this Code. *Provided, however,* That the sanggunian concerned may authorize the municipal treasurer to settle an offense not involving the commission of fraud before a case therefor is filed in court, upon payment of a compromise penalty of not less than Two hundred pesos (P200.00).

SECTION 149. *Fishery Rentals, Fees and Charges.* — (a) Municipalities shall have the exclusive authority to grant fishery privileges in the municipal waters and impose rentals, fees or charges therefor in accordance with the provisions of this section.

(b) The sangguniang bayan may:

(1) Grant fishery privileges to erect fish corrals, oysters, mussels or other aquatic beds or bangus fry areas, within a definite zone of the municipal waters, as determined by it: *Provided, however,* That duly registered organizations and

cooperatives of marginal fishermen shall have the preferential right to such fishery privileges: *Provided, further*, That the sangguniang bayan may require a public bidding in conformity with and pursuant to an ordinance for the grant of such privileges: *Provided, finally*, That in the absence of such organizations and cooperatives or their failure to exercise their preferential right, other parties may participate in the public bidding in conformity with the above cited procedure.

(2) Grant the privilege to gather, take or catch bangus fry, prawn fry or kawag-kawag or fry of other species and fish from the municipal waters by nets, traps or other fishing gears to marginal fishermen free of any rental, fee, charge or any other imposition whatsoever.

(3) Issue licenses for the operation of fishing vessels of three (3) tons or less for which purpose the sangguniang bayan shall promulgate rules and regulations regarding the issuances of such licenses to qualified applicants under existing laws; *Provided, however*, That the sanggunian concerned shall, by appropriate ordinance, penalize the use of explosives, noxious or poisonous substances, electricity, *muro-ami*, and other deleterious methods of fishing and prescribe a criminal penalty therefor in accordance with the provisions of this Code: *Provided, finally*, That the sanggunian concerned shall have the authority to prosecute any violation of the provisions of applicable fishery laws.

SECTION 150. *Situs of the Tax.* — (a) For purposes of collection of the taxes under Section 143 of this Code, manufacturers, assemblers, repackers, brewers, distillers, rectifiers and compounders of liquor, distilled spirits and wines, millers, producers, exporters, wholesalers, distributors, dealers, contractors, banks and other financial institutions, and other businesses, maintaining or operating branch or sales outlet elsewhere shall record the sale in the branch or sales outlet making the sale or transaction, and the tax thereon shall accrue and shall be paid to the municipality where such branch or sales outlet is located. In cases where there is no such branch or sales outlet in the city or municipality where the sale or transaction is made, the sale shall be duly recorded in the principal office and the taxes due shall accrue and shall be paid to such city or municipality.

(b) The following sales allocation shall apply to manufacturers, assemblers, contractors, producers, and exporters with factories, project offices, plants, and plantations in the pursuit of their business:

(1) Thirty percent (30%) of all sales recorded in the principal office shall be taxable by the city or municipality where the principal office is located; and

(2) Seventy percent (70%) of all sales recorded in the principal office shall be taxable by the city or municipality where the factory, project office, plant, or plantation is located.

(c) In case of a plantation located at a place other than the place where the factory is located, said seventy percent (70%) mentioned in subparagraph (b) of subsection (2) above shall be divided as follows:

(1) Sixty percent (60%) to the city or municipality where the factory is located; and

(2) Forty percent (40%) to the city or municipality where the plantation is located.

(d) In cases where a manufacturer, assembler, producer, exporter or contractor has two (2) or more factories, project offices, plants, or plantations located in different localities, the seventy percent (70%) sales allocation mentioned in subparagraph (b) of subsection (2) above shall be prorated among the localities where the factories, project offices, plants, and plantations are located in proportion to their respective volumes of production during the period for which the tax is due.

(e) The foregoing sales allocation shall be applied irrespective of whether or not sales are made in the locality where the factory, project office, plant, or plantation is located.

ARTICLE III

Cities

SECTION 151. *Scope of Taxing Powers.* — Except as otherwise provided in this Code, the city, may levy the taxes, fees, and charges which the province or municipality may impose: *Provided, however,* That the taxes, fees and charges levied and collected by highly urbanized and independent component cities shall accrue to them and distributed in accordance with the provisions of this Code.

The rates of taxes that the city may levy may exceed the maximum rates allowed for the province or municipality by not more than fifty percent (50%) except the rates of professional and amusement taxes.

ARTICLE IV

Barangays

SECTION 152. *Scope of Taxing Powers.* — The barangays may levy taxes, fees, and charges, as provided in this Article, which shall exclusively accrue to them:

(a) *Taxes* — On stores or retailers with fixed business establishments with gross sales or receipts of the preceding calendar year of Fifty thousand pesos (P50,000.00) or less, in the case of cities and Thirty thousand pesos (P30,000.00) or less, in the case of municipalities, at a rate not exceeding one percent (1%) on such gross sales or receipts.

(b) *Service Fees or Charges.* — Barangays may collect reasonable fees or charges for services rendered in connection with the regulations or the use of barangay-owned properties or service facilities such as palay, copra, or tobacco dryers.

(c) *Barangay Clearance.* — No city or municipality may issue any license or permit for any business or activity unless a clearance is first obtained from the barangay where such business or activity is located or conducted. For such clearance, the sangguniang barangay may impose a reasonable fee. The application for clearance shall be acted upon within seven (7) working days from the filing thereof. In the event that the clearance is not issued within the said period, the city or municipality may issue the said license or permit.

(d) *Other fees and Charges.* — The barangay may levy reasonable fees and charges:

(1) On commercial breeding of fighting cocks, cockfights and cockpits;

(2) On places of recreation which charge admission fees; and

(3) On billboards, signboards, neon signs, and outdoor advertisements.

ARTICLE V

Common Revenue-Raising Powers

SECTION 153. *Service Fees and Charges.* — Local government units may impose and collect such reasonable fees and charges for services rendered.

SECTION 154. *Public Utility Charges.* — Local government units may fix the rates for the operation of public utilities owned, operated and maintained by them within their jurisdiction.

SECTION 155. *Toll Fees or Charges.* — The sanggunian concerned may prescribe the terms and conditions and fix the rates for the imposition of toll fees or charges for the use of any public road, pier, or wharf, waterway, bridge, ferry or telecommunication system funded and constructed by the local government unit concerned: *Provided,* That no such toll fees or charges shall be collected from officers and enlisted men of the Armed Forces of the Philippines and members of the Philippine National Police on mission, post office personnel delivering mail, physically-handicapped, and disabled citizens who are sixty-five (65) years or older.

When public safety and welfare so requires, the sanggunian concerned may discontinue the collection of the tolls, and thereafter the said facility shall be free and open for public use.

ARTICLE VI

Community Tax

SECTION 156. *Community Tax.* — Cities or municipalities may levy a community tax in accordance with the provisions of this Article.

SECTION 157. *Individuals Liable to Community Tax.* — Every inhabitant of the Philippines eighteen (18) years of age or over who has been regularly employed on a wage or salary basis for at least thirty (30) consecutive working days during any calendar year, or who is engaged in business or occupation, or who owns real property with an aggregate assessed value of One thousand pesos (P1,000.00) or more, or who is required by law to file an income tax return shall pay an annual additional tax of Five pesos (P5.00) and an annual additional tax of One peso (P1.00) for every One thousand pesos

(P1,000.00) of income regardless of whether from business, exercise of profession or from property which in no case shall exceed Five thousand pesos (P5,000.00).

In the case of husband and wife, the additional tax herein imposed shall be based upon the total property owned by them and the total gross receipts or earnings derived by them.

SECTION 158. *Juridical Persons Liable to Community Tax.* — Every corporation no matter how created or organized, whether domestic or resident foreign, engaged in or doing business in the Philippines shall pay an annual community tax of Five hundred pesos (P500.00) and an annual additional tax, which, in no case, shall exceed Ten thousand pesos (P10,000.00) in accordance with the following schedule:

x x x

The dividends received by a corporation from another corporation however shall, for the purpose of the additional tax, be considered as part of the gross receipts or earnings of said corporation.

SECTION 159. *Exemptions.* — The following are exempt from the community tax:

- (1) Diplomatic and consular representatives; and
- (2) Transient visitors when their stay in the Philippines does not exceed three (3) months.

SECTION 160. *Place of Payment.* — The community tax shall be paid in the place of residence of the individual, or in the place where the principal office of the juridical entity is located.

SECTION 161. *Time for Payment; Penalties for Delinquency.* — (a) The community tax shall accrue on the first (1st) day of January of each year which shall be paid not later than the last day of February of each year. If a person reaches the age of eighteen (18) years or otherwise loses the benefit of exemption on or before the last day of June, he shall be liable for the community tax on the day he reaches such age or upon the day the exemption ends. However, if a person reaches the age of eighteen (18) years or loses the benefit of exemption on or before the last day of March, he shall have twenty (20) days to pay the community tax without becoming delinquent.

Persons who come to reside in the Philippines or reach the age of eighteen (18) years on or after the first (1st) day of July of any year, or who cease to belong to an exempt class on or after the same date, shall not be subject to the community tax for that year.

(b) Corporations established and organized on or before the last day of June shall be liable for the community tax for that year. But corporations established and organized on or before the last day of March shall have twenty (20) days within which to pay the community tax without becoming delinquent. Corporations established and organized on or after the first day of July shall not be subject to the community tax for that year.

If the tax is not paid within the time prescribed above, there shall be added to the unpaid amount an interest of twenty-four percent (24%) per annum from the due date until it is paid.

SECTION 162. *Community Tax Certificate.* — A community tax certificate shall be issued to every person or corporation upon payment of the community tax. A community tax certificate may also be issued to any person or corporation not subject to the community tax upon payment of One peso (P1.00).

SECTION 163. *Presentation of Community Tax Certificate On Certain Occasions.* — (a) When an individual subject to the community tax acknowledges any document before a notary public, takes the oath of office upon election or appointment to any position in the government service; receives any license, certificate, or permit from any public authority; pays any tax or fee; receives any money from any public fund; transacts other official business; or receives any salary or wage from any person or corporation, it shall be the duty of any person, officer, or corporation with whom such transaction is made or business done or from whom any salary or wage is received to require such individual to exhibit the community tax certificate.

The presentation of community tax certificate shall not be required in connection with the registration of a voter.

(b) When, through its authorized officers, any corporation subject to the community tax receives any license, certificate, or permit from any public authority, pays any tax or fee, receives money from public funds, or transacts other official business, it shall be the duty of the public official with whom such transaction is made or business done, to require such corporation to exhibit the community tax certificate.

(c) The community tax certificate required in the two preceding paragraphs shall be the one issued for the current year, except for the period from January until the fifteenth (15th) of April each year, in which case, the certificate issued for the preceding year shall suffice.

SECTION 164. *Printing of Community Tax Certificates and Distribution of Proceeds.* — (a) The Bureau of Internal Revenue shall cause the printing of community tax certificates and distribute the same to the cities and municipalities through the city and municipal treasurers in accordance with prescribed regulations.

The proceeds of the tax shall accrue to the general funds of the cities, municipalities and barangays except a portion thereof which shall accrue to the general fund of the National Government to cover the actual cost of printing and distribution of the forms and other related expenses. The city or municipal treasurer concerned shall remit to the national treasurer the said share of the National Government in the proceeds of the tax within ten (10) days after the end of each quarter.

(b) The city or municipal treasurer shall deputize the barangay treasurer to collect the community tax in their respective jurisdictions: *Provided, however,* That said barangay treasurer shall be bonded in accordance with existing laws.

(c) The proceeds of the community tax actually and directly collected by the city or municipal treasurer shall accrue entirely to the general fund of the city or municipality concerned. However, proceeds of the community tax collected through the barangay treasurers shall be apportioned as follows:

(1) Fifty percent (50%) shall accrue to the general fund of the city or municipality concerned; and

(2) Fifty percent (50%) shall accrue to the barangay where the tax is collected.

CHAPTER III

Collection of Taxes

SECTION 165. *Tax Period and Manner of Payment.* — Unless otherwise provided in this Code, the tax period of all local taxes, fees and charges shall be the calendar year. Such taxes, fees and charges may be paid in quarterly installments.

SECTION 166. *Accrual of Tax.* — Unless otherwise provided in this Code, all local taxes, fees, and charges shall accrue on the first (1st) day of January of each year. However, new taxes, fees or charges, or changes in the rates thereof, shall accrue on the first (1st) day of the quarter next following the effectivity of the ordinance imposing such new levies or rates.

SECTION 167. *Time of Payment.* — Unless otherwise provided in this Code, all local taxes, fees, and charges shall be paid within the first twenty (20) days of January or of each subsequent quarter, as the case may be. The sanggunian concerned may, for a justifiable reason or cause, extend the time for payment of such taxes, fees, or charges without surcharges or penalties, but only for a period not exceeding six (6) months.

SECTION 168. *Surcharges and Penalties on Unpaid Taxes, Fees, or Charges.* — The sanggunian may impose a surcharge not exceeding twenty-five percent (25%) of the amount of taxes, fees or charges not paid on time and an interest at the rate not exceeding two percent (2%) per month of the unpaid taxes, fees or charges including surcharges, until such amount is fully paid but in no case shall the total interest on the unpaid amount or portion thereof exceed thirty-six (36) months.

SECTION 169. *Interests on Other Unpaid Revenues.* — Where the amount of any other revenue due a local government unit, except voluntary contributions or donations, is not paid on the date fixed in the ordinance, or in the contract, expressed or implied, or upon the occurrence of the event which has given rise to its collection, there shall be collected as part of that amount an interest thereon at the rate not exceeding two percent (2%) per month from the date it is due until it is paid, but in no case shall the total interest on the unpaid amount or a portion thereof exceed thirty-six (36) months.

SECTION 170. *Collection of Local Revenue by Treasurer.* — All local taxes, fees, and charges shall be collected by the provincial, city, municipal, or barangay treasurer, or their duly authorized deputies.

The provincial, city or municipal treasurer may designate the barangay treasurer as his deputy to collect local taxes, fees, or charges. In case a bond is required for the purpose, the provincial, city or municipal government shall pay the premiums thereon in addition to the premiums of bond that may be required under this Code.

SECTION 171. *Examination of Books of Accounts and Pertinent Records of Businessmen by Local Treasurer.* — The provincial, city, municipal or barangay treasurer may, by himself or through any of his deputies duly authorized in writing, examine the books, accounts, and other pertinent records of any person, partnership, corporation, or association subject to local taxes, fees and charges in order to ascertain, assess, and collect the correct amount of the tax, fee, or charge. Such examination shall be made during regular business hours, only once for every tax period, and shall be certified to by the examining official. Such certificate shall be made of record in the books of accounts of the taxpayer examined.

In case the examination herein authorized is made by a duly authorized deputy of the local treasurer, the written authority of the deputy concerned shall specifically state the name, address, and business of the taxpayer whose books, accounts, and pertinent records are to be examined, the date and place of such examination and the procedure to be followed in conducting the same.

For this purpose, the records of the revenue district office of the Bureau of Internal Revenue shall be made available to the local treasurer, his deputy or duly authorized representative.

CHAPTER IV

Civil Remedies for Collection of Revenues

SECTION 172. *Application of Chapter.* — The provisions of this Chapter and the remedies provided herein may be availed of for the collection of any delinquent local tax, fee, charge, or other revenue.

SECTION 173. *Local Government's Lien.* — Local taxes, fees, charges and other revenues constitute a lien, superior to all liens, charges or encumbrances in favor of any person, enforceable by appropriate administrative or judicial action, not only upon any property or rights therein which may be subject to the lien but also upon property used in business, occupation, practice of profession or calling, or exercise of privilege with respect to which the lien is imposed. The lien may only be extinguished upon full payment of the delinquent local taxes, fees and charges including related surcharges and interest.

SECTION 174. *Civil Remedies.* — The civil remedies for the collection of local taxes, fees, or charges, and related surcharges and interest resulting from delinquency shall be:

(a) By administrative action through distraint of goods, chattels, or effects, and other personal property of whatever character, including stocks and other securities, debts, credits, bank accounts, and interest in and rights to personal property, and by levy upon real property and interest in or rights to real property; and

(b) By judicial action.

Either of these remedies or all may be pursued concurrently or simultaneously at the discretion of the local government unit concerned.

SECTION 175. *Distraint of Personal Property.* — The remedy by distraint shall proceed as follows:

(a) *Seizure* — Upon failure of the person owing any local tax, fee, or charge to pay the same at the time required, the local treasurer or his deputy may, upon written notice, seize or confiscate any personal property belonging to that person or any personal property subject to the lien in sufficient quantity to satisfy the tax, fee, or charge in question, together with any increment thereto incident to delinquency and the expenses of seizure. In such case, the local treasurer or his deputy shall issue a duly authenticated certificate based upon the records of his office showing the fact of delinquency and the amounts of the tax, fee, or charge and penalty due. Such certificate shall serve as sufficient warrant for the distraint of personal property aforementioned, subject to the taxpayer's right to claim exemption under the provisions of existing laws. Distrainted personal property shall be sold at public auction in the manner herein provided for.

(b) *Accounting of distrainted goods.* — The officer executing the distraint shall make or cause to be made an account of the goods, chattels or effects distrainted, a copy of which signed by himself shall be left either with the owner or person from whose possession the goods, chattels or effects are taken, or at the dwelling or place of business of that person and with someone of suitable age and discretion, to which list shall be added a statement of the sum demanded and a note of the time and place of sale.

(c) *Publication* — The officer shall forthwith cause a notification to be exhibited in not less than three (3) public and conspicuous places in the territory of the local government unit where the distraint is made, specifying the time and place of sale, and the articles distrained. The time of sale shall not be less than twenty (20) days after notice to the owner or possessor of the property as above specified and the publication or posting of the notice. One place for the posting of the notice shall be at the office of the chief executive of the local government unit in which the property is distrained.

(d) *Release of distrained property upon payment prior to sale* — If at any time prior to the consummation of the sale, all the proper charges are paid to the officer conducting the sale, the goods or effects distrained shall be restored to the owner.

(e) *Procedure of sale* — At the time and place fixed in the notice, the officer conducting the sale shall sell the goods or effects so distrained at public auction to the highest bidder for cash. Within five (5) days after the sale, the local treasurer shall make a report of the proceedings in writing to the local chief executive concerned.

Should the property distrained be not disposed of within one hundred and twenty (120) days from the date of distraint, the same shall be considered as sold to the local government unit concerned for the amount of the assessment made thereon by the Committee on Appraisal and to the extent of the same amount, the tax delinquencies shall be cancelled.

Said Committee on Appraisal shall be composed of the city or municipal treasurer as chairman, with a representative of the Commission on Audit and the city or municipal assessor as members.

(f) *Disposition of proceeds* — The proceeds of the sale shall be applied to satisfy the tax, including the surcharges, interest, and other penalties incident to delinquency, and the expenses of the distraint and sale. The balance over and above what is required to pay the entire claim shall be returned to the owner of the property sold. The expenses chargeable upon the seizure and sale shall embrace only the actual expenses of seizure and preservation of the property pending the sale, and no charge shall be imposed for the services of the local officer or his deputy. Where the proceeds of the sale are insufficient to satisfy the claim, other property may, in like manner, be distrained until the full amount due, including all expenses, is collected.

SECTION 176. *Levy on Real Property.* — After the expiration of the time required to pay the delinquent tax, fee, or charge, real property may be levied on before, simultaneously, or after the distraint of personal property belonging to the delinquent taxpayer. To this end, the provincial, city or municipal treasurer, as the case may be, shall prepare a duly authenticated certificate showing the name of the taxpayer and the amount of the tax, fee, or charge, and penalty due from him. Said certificate shall operate with the force of a legal execution throughout the Philippines. Levy shall be effected by writing upon said certificate the description of the property upon which levy is made. At the same time, written notice of the levy shall be mailed to or served upon the assessor and the Register of Deeds of the province or city where the property is located who shall annotate the levy on the tax declaration and certificate of title of the property, respectively, and the delinquent taxpayer or, if he be absent from the Philippines, to his agent or the manager of the business in respect to which the liability arose, or if there be none, to the occupant of the property in question.

In case the levy on real property is not issued before or simultaneously with the warrant of distraint on personal property, and the personal property of the taxpayer is not sufficient to satisfy his delinquency, the provincial, city or municipal treasurer, as the case may be, shall within thirty (30) days after execution of the distraint, proceed with the levy on the taxpayer's real property.

A report on any levy shall, within ten (10) days after receipt of the warrant, be submitted by the levying officer to the sanggunian concerned.

SECTION 177. *Penalty for Failure to Issue and Execute Warrant.* — Without prejudice to criminal prosecution under the Revised Penal Code and other applicable laws, any local treasurer who fails to issue or execute the warrant of distraint or levy after the expiration of the time prescribed, or who is found guilty of abusing the exercise thereof by competent authority shall be automatically dismissed from the service after due notice and hearing.

SECTION 178. *Advertisement and Sale.* — Within thirty (30) days after the levy, the local treasurer shall proceed to publicly advertise for sale or auction the property or a usable portion thereof as may be necessary to satisfy the claim and cost of sale; and such advertisement shall cover a period of at least thirty (30) days. It shall be effected by posting a notice at the main entrance of the municipal

building or city hall, and in a public and conspicuous place in the barangay where the real property is located, and by publication once a week for three (3) weeks in a newspaper of general circulation in the province, city or municipality where the property is located. The advertisement shall contain the amount of taxes, fees or charges, and penalties due thereon, and the time and place of sale, the name of the taxpayer against whom the taxes, fees, or charges are levied, and a short description of the property to be sold. At any time before the date fixed for the sale, the taxpayer may stay the proceedings by paying the taxes, fees, charges, penalties and interests. If he fails to do so, the sale shall proceed and shall be held either at the main entrance of the provincial, city or municipal building, or on the property to be sold, or at any other place as determined by the local treasurer conducting the sale and specified in the notice of sale.

Within thirty (30) days after the sale, the local treasurer or his deputy shall make a report of the sale to the sanggunian concerned, and which shall form part of his records. After consultation with the sanggunian, the local treasurer shall make and deliver to the purchaser a certificate of sale, showing the proceedings of the sale, describing the property sold, stating the name of the purchaser and setting out the exact amount of all taxes, fees, charges, and related surcharges, interests, or penalties: *Provided, however,* That any excess in the proceeds of the sale over the claim and cost of sales shall be turned over to the owner of the property.

The local treasurer may, by ordinance duly approved, advance an amount sufficient to defray the costs of collection by means of the remedies provided for in this Title, including the preservation or transportation in case of personal property, and the advertisement and subsequent sale, in cases of personal and real property including improvements thereon.

SECTION 179. *Redemption of Property Sold.* — Within one (1) year from the date of sale, the delinquent taxpayer or his representative shall have the right to redeem the property upon payment to the local treasurer of the total amount of taxes, fees, or charges, and related surcharges, interests or penalties from the date of delinquency to the date of sale, plus interest of not more than two percent (2%) per month on the purchase price from the date of purchase to the date of redemption. Such payment shall invalidate the certificate of sale issued to the purchaser and the owner shall be entitled to a certificate of redemption from the provincial, city or municipal treasurer or his deputy.

The provincial, city or municipal treasurer or his deputy, upon surrender by the purchaser of the certificate of sale previously issued to him, shall forthwith return to the latter the entire purchase price paid by him plus the interest of not more than two percent (2%) per month herein provided for, the portion of the cost of sale and other legitimate expenses incurred by him, and said property thereafter shall be free from the lien of such taxes, fees, or charges, related surcharges, interests, and penalties.

The owner shall not, however, be deprived of the possession of said property and shall be entitled to the rentals and other income thereof until the expiration of the time allowed for its redemption.

SECTION 180. *Final Deed to Purchaser.* — In case the taxpayer fails to redeem the property as provided herein, the local treasurer shall execute a deed conveying to the purchaser so much of the property as has been sold, free from liens of any taxes, fees, charges, related surcharges, interests, and penalties. The deed shall succinctly recite all the proceedings upon which the validity of the sale depends.

SECTION 181. *Purchase of Property By the Local Government Units for Want of Bidder.* — In case there is no bidder for the real property advertised for sale as provided herein, or if the highest bid is for an amount insufficient to pay the taxes, fees, or charges, related surcharges, interests, penalties and costs, the local treasurer conducting the sale shall purchase the property in behalf of the local government unit concerned to satisfy the claim and within two (2) days thereafter shall make a report of his proceedings which shall be reflected upon the records of his office. It shall be the duty of the Registrar of Deeds concerned upon registration with his office of any such declaration of forfeiture to transfer the title of the forfeited property to the local government unit concerned without the necessity of an order from a competent court.

Within one (1) year from the date of such forfeiture, the taxpayer or any of his representative, may redeem the property by paying to the local treasurer the full amount of the taxes, fees, charges, and related surcharges, interests, or penalties, and the costs of sale. If the property is not redeemed as provided herein, the ownership thereof shall be fully vested on the local government unit concerned.

SECTION 182. *Resale of Real Estate Taken for Taxes, Fees, or Charges.* — The sanggunian concerned may, by ordinance duly approved, and upon notice of not less than twenty (20) days, sell and

dispose of the real property acquired under the preceding section at public auction. The proceeds of the sale shall accrue to the general fund of the local government unit concerned.

SECTION 183. *Collection of Delinquent Taxes, Fees, Charges or other Revenues through Judicial Action.* — The local government unit concerned may enforce the collection of delinquent taxes, fees, charges or other revenues by civil action in any court of competent jurisdiction. The civil action shall be filed by the local treasurer within the period prescribed in Section 194 of this Code.

SECTION 184. *Further Distraint or Levy.* — The remedies by distraint and levy may be repeated if necessary until the full amount due, including all expenses, is collected.

SECTION 185. *Personal Property Exempt from Distraint or Levy.* — The following property shall be exempt from distraint and levy, attachment or execution thereof for delinquency in the payment of any local tax, fee or charge, including the related surcharge and interest:

(a) Tools and implements necessarily used by the delinquent taxpayer in his trade or employment;

(b) One (1) horse, cow, carabao, or other beast of burden, such as the delinquent taxpayer may select, and necessarily used by him in his ordinary occupation;

(c) His necessary clothing, and that of all his family;

(d) Household furniture and utensils necessary for house-keeping and used for that purpose by the delinquent taxpayer, such as he may select, of a value not exceeding Ten thousand pesos (P10,000.00);

(e) Provisions, including crops, actually provided for individual or family use sufficient for four (4) months;

(f) The professional libraries of doctors, engineers, lawyers and judges;

(g) One fishing boat and net, not exceeding the total value of Ten thousand pesos (P10,000.00), by the lawful use of which a fisherman earns his livelihood; and

(h) Any material or article forming part of a house or improvement of any real property.

CHAPTER V

Miscellaneous Provisions

SECTION 186. *Power to Levy Other Taxes, Fees or Charges.*

— Local government units may exercise the power to levy taxes, fees or charges on any base or subject not otherwise specifically enumerated herein or taxed under the provisions of the National Internal Revenue Code, as amended, or other applicable laws: *Provided*, That the taxes, fees, or charges shall not be unjust, excessive, oppressive, confiscatory or contrary to declared national policy: *Provided, further*, That the ordinance levying such taxes, fees or charges shall not be enacted without any prior public hearing conducted for the purpose.

SECTION 187. *Procedure for Approval and Effectivity of Tax Ordinances and Revenue Measures; Mandatory Public Hearings.*

— The procedure for approval of local tax ordinances and revenue measures shall be in accordance with the provisions of this Code: *Provided*, That public hearings shall be conducted for the purpose prior to the enactment thereof: *Provided, further*, That any question on the constitutionality or legality of tax ordinances or revenue measures may be raised on appeal within thirty (30) days from the effectivity thereof to the Secretary of Justice who shall render a decision within sixty (60) days from the date of receipt of the appeal: *Provided, however*, That such appeal shall not have the effect of suspending the effectivity of the ordinance and the accrual and payment of the tax, fee, or charge levied therein: *Provided, finally*, That within thirty (30) days after receipt of the decision or the lapse of the sixty-day period without the Secretary of Justice acting upon the appeal, the aggrieved party may file appropriate proceedings with a court of competent jurisdiction.

SECTION 188. *Publication of Tax Ordinances and Revenue Measures.* — Within ten (10) days after their approval, certified true copies of all provincial, city, and municipal tax ordinances or revenue measures shall be published in full for three (3) consecutive days in a newspaper of local circulation: *Provided, however*, That in provinces, cities and municipalities where there are no newspapers of local circulation, the same may be posted in at least two (2) conspicuous and publicly accessible places.

SECTION 189. *Furnishing of Copies of Tax Ordinances and Revenue Measures.* — Copies of all provincial, city, and municipal and barangay tax ordinances and revenue measures shall be furnished the respective local treasurers for public dissemination.

SECTION 190. *Attempt to Enforce Void or Suspended Tax Ordinances and Revenue Measures.* — The enforcement of any tax ordinance or revenue measure after due notice of the disapproval or suspension thereof shall be sufficient ground for administrative disciplinary action against the local officials and employees responsible therefor.

SECTION 191. *Authority of Local Government Units to Adjust Rates of Tax Ordinances.* — Local government units shall have the authority to adjust the tax rates as prescribed herein not oftener than once every five (5) years, but in no case shall such adjustment exceed ten percent (10%) of the rates fixed under this Code.

SECTION 192. *Authority to Grant Tax Exemption Privileges.* — Local government units may, through ordinances duly approved, grant tax exemptions, incentives or reliefs under such terms and conditions as they may deem necessary.

SECTION 193. *Withdrawal of Tax Exemption Privileges.* — Unless otherwise provided in this Code, tax exemptions or incentives granted to, or presently enjoyed by all persons, whether natural or juridical, including government-owned or -controlled corporations, except local water districts, cooperatives duly registered under R.A. No. 6938, non-stock and non-profit hospitals and educational institutions, are hereby withdrawn upon the effectivity of this Code.

CHAPTER VI

Taxpayer's Remedies

SECTION 194. *Periods of Assessment and Collection.* — (a) Local taxes, fees, or charges shall be assessed within five (5) years from the date they became due. No action for the collection of such taxes, fees, or charges, whether administrative or judicial, shall be instituted after the expiration of such period: *Provided*, That taxes, fees or charges which have accrued before the effectivity of this Code may be assessed within a period of three (3) years from the date they became due.

(b) In case of fraud or intent to evade the payment of taxes, fees, or charges, the same may be assessed within ten (10) years from discovery of the fraud or intent to evade payment.

(c) Local taxes, fees, or charges may be collected within five (5) years from the date of assessment by administrative or judicial action. No such action shall be instituted after the expiration of said period: *Provided, however,* That taxes, fees or charges assessed before the effectivity of this Code may be collected within a period of three (3) years from the date of assessment.

(d) The running of the periods of prescription provided in the preceding paragraphs shall be suspended for the time during which:

(1) The treasurer is legally prevented from making the assessment of collection;

(2) The taxpayer requests for a reinvestigation and executes a waiver in writing before expiration of the period within which to assess or collect; and

(3) The taxpayer is out of the country or otherwise cannot be located.

SECTION 195. *Protest of Assessment.* — When the local treasurer or his duly authorized representative finds that correct taxes, fees, or charges have not been paid, he shall issue a notice of assessment stating the nature of the tax, fee, or charge, the amount of deficiency, the surcharges, interests and penalties. Within sixty (60) days from the receipt of the notice of assessment, the taxpayer may file a written protest with the local treasurer contesting the assessment; otherwise, the assessment shall become final and executory. The local treasurer shall decide the protest within sixty (60) days from the time of its filing. If the local treasurer finds the protest to be wholly or partly meritorious, he shall issue a notice cancelling wholly or partially the assessment. However, if the local treasurer finds the assessment to be wholly or partly correct, he shall deny the protest wholly or partly with notice to the taxpayer. The taxpayer shall have thirty (30) days from the receipt of the denial of the protest or from the lapse of the sixty (60)-day period prescribed herein within which to appeal with the court of competent jurisdiction otherwise the assessment becomes conclusive and unappealable.

SECTION 196. *Claim for Refund of Tax Credit.* — No case or proceeding shall be maintained in any court for the recovery of any tax, fee, or charge erroneously or illegally collected until a written claim for refund or credit has been filed with the local treasurer. No case or proceeding shall be entertained in any court after the expiration of two (2) years from the date of the payment of such tax, fee, or charge, or from the date the taxpayer is entitled to a refund or credit.

TITLE I.

Real Property Taxation

CHAPTER I

General Provisions

SECTION 197. *Scope.* — This Title shall govern the administration, appraisal, assessment, levy and collection of real property tax.

SECTION 198. *Fundamental Principles.* — The appraisal, assessment, levy and collection of real property tax shall be guided by the following fundamental principles:

(a) Real property shall be appraised at its current and fair market value;

(b) Real property shall be classified for assessment purposes on the basis of its actual use;

(c) Real property shall be assessed on the basis of a uniform classification within each local government unit;

(d) The appraisal, assessment, levy and collection of real property tax shall not be let to any private person; and

(e) The appraisal and assessment of real property shall be equitable.

SECTION 199. *Definition of Terms.* — When used in this Title, the term:

(a) "*Acquisition Cost*" for newly-acquired machinery not yet depreciated and appraised within the year of its purchase, refers to the actual cost of the machinery to its present owner, plus the cost of transportation, handling, and installation at the present site;

(b) "*Actual Use*" refers to the purpose for which the property is principally or predominantly utilized by the person in possession thereof;

(c) "*Ad Valorem Tax*" is a levy on real property determined on the basis of a fixed proportion of the value of the property;

(d) "*Agricultural Land*" is land devoted principally to the planting of trees, raising of crops, livestock and poultry, dairying, salt making, inland fishing and similar aquacultural activities, and other agricultural activities, and is not classified as mineral, timber, residential, commercial or industrial land;

(e) "*Appraisal*" is the act or process of determining the value of property as of a specified date for a specific purpose;

(f) "*Assessment*" is the act or process of determining the value of a property, or proportion thereof subject to tax, including the discovery, listing, classification, and appraisal of properties;

(g) "*Assessment Level*" is the percentage applied to the fair market value to determine the taxable value of the property;

(h) "*Assessed Value*" is the fair market value of the real property multiplied by the assessment level. It is synonymous to taxable value;

(i) "*Commercial Land*" is land devoted principally for the object of profit and is not classified as agricultural, industrial, mineral, timber, or residential land;

(j) "*Depreciated Value*" is the value remaining after deducting depreciation from the acquisition cost;

(k) "*Economic Life*" is the estimated period over which it is anticipated that a machinery or equipment may be profitably utilized;

(l) "*Fair Market Value*" is the price at which a property may be sold by a seller who is not compelled to sell and bought by a buyer who is not compelled to buy;

(m) "*Improvement*" is a valuable addition made to a property or an amelioration in its condition, amounting to more than a mere repair or replacement of parts involving capital expenditures and labor, which is intended to enhance its value, beauty or utility or to adapt it for new or further purposes;

(n) "*Industrial Land*" is land devoted principally to industrial activity as capital investment and is not classified as agricultural, commercial, timber, mineral or residential land;

(o) "*Machinery*" embraces machines, equipment, mechanical contrivances, instruments, appliances or apparatus which may or may not be attached, permanently or temporarily, to the real property. It includes the physical facilities for production, the installations and appurtenant service facilities, those which are mobile, self-powered or self-propelled, and those not permanently attached to the real property which are actually, directly, and exclusively used to meet the needs of the particular industry, business or activity and which by their very nature and purpose are designed for, or necessary to its manufacturing, mining, logging, commercial, industrial or agricultural purposes;

(p) "*Mineral Lands*" are lands in which minerals, metallic or non-metallic, exist in sufficient quantity or grade to justify the necessary expenditures to extract and utilize such materials;

(q) "*Reassessment*" is the assigning of new assessed values to property, particularly real estate, as the result of a general, partial, or individual reappraisal of the property;

(r) "*Remaining Economic Life*" is the period of time expressed in years from the date of appraisal to the date when the machinery becomes valueless;

(s) "*Remaining Value*" is the value corresponding to the remaining useful life of the machinery;

(t) "*Replacement or Reproduction Cost*" is the cost that would be incurred on the basis of current prices, in acquiring an equally desirable substitute property, or the cost of reproducing a new replica of the property on the basis of current prices with the same or closely similar material; and

(u) "*Residential Land*" is land principally devoted to habitation.

SECTION 200. *Administration of the Real Property Tax.* — The provinces and cities, including the municipalities within the Metropolitan Manila Area, shall be primarily responsible for the proper, efficient and effective administration of the real property tax.

CHAPTER II

Appraisal and Assessment of Real Property

SECTION 201. *Appraisal of Real Property.* — All real property, whether taxable or exempt, shall be appraised at the current and fair market value prevailing in the locality where the property is situated. The Department of Finance shall promulgate the necessary rules and regulations for the classification, appraisal, and assessment of real property pursuant to the provisions of this Code.

SECTION 202. *Declaration of Real Property by the Owner or Administrator.* — It shall be the duty of all persons, natural or juridical, owning or administering real property, including the improvements therein, within a city or municipality, or their duly authorized representative, to prepare, or cause to be prepared, and file with the provincial, city or municipal assessor, a sworn statement declaring the true value of their property, whether previously declared or undeclared, taxable or exempt, which shall be the current and fair market value of the property, as determined by the declarant. Such declaration shall contain a description of the property sufficient in detail to enable the assessor or his deputy to identify the same for assessment purposes. The sworn declaration of real property herein referred to shall be filed with the assessor concerned once every three (3) years during the period from January first (1st) to June thirtieth (30th) commencing with the calendar year 1992.

SECTION 203. *Duty of Person Acquiring Real Property or Making Improvement Thereon.* — It shall also be the duty of any person, or his authorized representative, acquiring at any time real property in any municipality or city or making any improvement on real property, to prepare, or cause to be prepared, and file with the provincial, city or municipal assessor, a sworn statement declaring the true value of subject property, within sixty (60) days after the acquisition of such property or upon completion or occupancy of the improvement, whichever comes earlier.

SECTION 204. *Declaration of Real Property by the Assessor.* — When any person, natural or juridical, by whom real property is required to be declared under Section 202 hereof, refuses or fails for any reason to make such declaration within the time prescribed, the provincial, city or municipal assessor shall himself declare the property in the name of the defaulting owner, if known, or against an

unknown owner, as the case may be, and shall assess the property for taxation in accordance with the provision of this Title. No oath shall be required of a declaration thus made by the provincial, city or municipal assessor.

SECTION 205. *Listing of Real Property in the Assessment Rolls.* — (a) In every province and city, including the municipalities within the Metropolitan Manila Area, there shall be prepared and maintained by the provincial, city or municipal assessor an assessment roll wherein shall be listed all real property, whether taxable or exempt, located within the territorial jurisdiction of the local government unit concerned. Real property shall be listed, valued and assessed in the name of the owner or administrator, or anyone having legal interest in the property.

(b) The undivided real property of a deceased person may be listed, valued and assessed in the name of the estate or of the heirs and devisees without designating them individually; and undivided real property other than that owned by a deceased may be listed, valued and assessed in the name of one or more co-owners: *Provided, however,* That such heir, devisee, or co-owner shall be liable severally and proportionately for all obligations imposed by this Title and the payment of the real property tax with respect to the undivided property.

(c) The real property of a corporation, partnership, or association shall be listed, valued and assessed in the same manner as that of an individual.

(d) Real property owned by the Republic of the Philippines, its instrumentalities and political subdivisions, the beneficial use of which has been granted, for consideration or otherwise, to a taxable person, shall be listed, valued and assessed in the name of the possessor, grantee or of the public entity if such property has been acquired or held for resale or lease.

SECTION 206. *Proof of Exemption of Real Property from Taxation.* — Every person by or for whom real property is declared, who shall claim tax exemption for such property under this Title shall file with the provincial, city or municipal assessor within thirty (30) days from the date of the declaration of real property sufficient documentary evidence in support of such claim including corporate charters, title of ownership, articles of incorporation, by-laws, contracts, affidavits, certifications and mortgage deeds, and similar documents.

If the required evidence is not submitted within the period herein prescribed, the property shall be listed as taxable in the assessment roll. However, if the property shall be proven to be tax exempt, the same shall be dropped from the assessment roll.

SECTION 207. *Real Property Identification System.* — All declarations of real property made under the provisions of this Title shall be kept and filed under a uniform classification system to be established by the provincial, city or municipal assessor.

SECTION 208. *Notification of Transfer of Real Property Ownership.* — Any person who shall transfer real property ownership to another shall notify the provincial, city or municipal assessor concerned within sixty (60) days from the date of such transfer. The notification shall include the mode of transfer, the description of the property alienated, the name and address of the transferee.

SECTION 209. *Duty of Registrar of Deeds to Apprise Assessor of Real Property Listed in Registry.* — (a) To ascertain whether or not any real property entered in the Registry of Property has escaped discovery and listing for the purpose of taxation, the Registrar of Deeds shall prepare and submit to the provincial, city or municipal assessor, within six (6) months from the date of effectivity of this Code and every year thereafter, an abstract of his registry, which shall include brief but sufficient description of the real properties entered therein, their present owners, and the dates of their most recent transfer or alienation accompanied by copies of corresponding deeds of sale, donation, or partition or other forms of alienation.

(b) It shall also be the duty of the Registrar of Deeds to require every person who shall present for registration a document of transfer, alienation, or encumbrance of real property to accompany the same with a certificate to the effect that the real property subject of the transfer, alienation, or encumbrance, as the case may be, has been fully paid of all real property taxes due thereon. Failure to provide such certificate shall be a valid cause for the Registrar of Deeds to refuse the registration of the document.

SECTION 210. *Duty of Official Issuing Building Permit or Certificate of Registration of Machinery to Transmit Copy to Assessor.* — Any public official or employee who may now or hereafter be required by law or regulation to issue to any person a permit for the construction, addition, repair, or renovation of a building, or permanent improvement on land, or a certificate of registration for

any machinery, including machines, mechanical contrivances, and apparatus attached or affixed on land or to another real property, shall transmit a copy of such permit or certificate within thirty (30) days of its issuance, to the assessor of the province, city or municipality where the property is situated.

SECTION 211. *Duty of Geodetic Engineers to Furnish Copy of Plans to Assessor.* — It shall be the duty of all geodetic engineers, public or private, to furnish free of charge to the assessor of the province, city or municipality where the land is located with a white or blue print copy of each of all approved original or subdivision plans or maps of surveys executed by them within thirty (30) days from receipt of such plans from the Lands Management Bureau, the Land Registration Authority, or the Housing and Land Use Regulatory Board, as the case may be.

SECTION 212. *Preparation of Schedule of Fair Market Values.* — Before any general revision of property assessment is made pursuant to the provisions of this Title, there shall be prepared a schedule of fair market values by the provincial, city and municipal assessors of the municipalities within the Metropolitan Manila Area for the different classes of real property situated in their respective local government units for enactment by ordinance of the sanggunian concerned. The schedule of fair market values shall be published in a newspaper of general circulation in the province, city or municipality concerned, or in the absence thereof, shall be posted in the provincial capitol, city or municipal hall and in two (2) other conspicuous public places therein.

SECTION 213. *Authority of Assessor to Take Evidence.* — For the purpose of obtaining information on which to base the market value of any real property, the assessor of the province, city or municipality or his deputy may summon the owners of the properties to be affected or persons having legal interest therein and witnesses, administer oaths, and take deposition concerning the property, its ownership, amount, nature, and value.

SECTION 214. *Amendment of Schedule of Fair Market Values.* — The provincial, city or municipal assessor may recommend to the sanggunian concerned amendments to correct errors in valuation in the schedule of fair market values. The sanggunian concerned shall, by ordinance, act upon the recommendation within ninety (90) days from receipt thereof.

SECTION 215. *Classes of Real Property for Assessment Purposes.* — For purposes of assessment, real property shall be classified as residential, agricultural, commercial, industrial, mineral, timberland or special.

The city or municipality within the Metropolitan Manila Area, through their respective sanggunian, shall have the power to classify lands as residential, agricultural, commercial, industrial, mineral, timberland, or special in accordance with their zoning ordinances.

SECTION 216. *Special Classes of Real Property.* — All lands, buildings, and other improvements thereon actually, directly and exclusively used for hospitals, cultural, or scientific purposes, and those owned and used by local water districts, and government-owned or -controlled corporations rendering essential public services in the supply and distribution of water and/or generation and transmission of electric power shall be classified as special.

SECTION 217. *Actual Use of Real Property as Basis for Assessment.* — Real property shall be classified, valued and assessed on the basis of its actual use regardless of where located, whoever owns it, and whoever uses it.

SECTION 218. *Assessment Levels.* — The assessment levels to be applied to the fair market value of real property to determine its assessed value shall be fixed by ordinances of the sangguniang panlalawigan, sangguniang panlungsod or sangguniang bayan of a municipality within the Metropolitan Manila Area, at the rates not exceeding the following:

x x x

SECTION 219. *General Revision of Assessments and Property Classification.* — The provincial, city or municipal assessor shall undertake a general revision of real property assessments within two (2) years after the effectivity of this Code and every three (3) years thereafter.

SECTION 220. *Valuation of Real Property.* — In cases where (a) real property is declared and listed for taxation purposes for the first time; (b) there is an ongoing general revision of property classification and assessment; or (c) a request is made by the person in whose name the property is declared, the provincial, city or municipal assessor or his duly authorized deputy shall, in accordance

with the provisions of this Chapter, make a classification, appraisal and assessment of the real property listed and described in the declaration irrespective of any previous assessment or taxpayer's valuation thereon: *Provided, however,* That the assessment of real property shall not be increased oftener than once every three (3) years except in case of new improvements substantially increasing the value of said property or of any change in its actual use.

SECTION 221. *Date of Effectivity of Assessment or Reassessment.* — All assessments or reassessments made after the first (1st) day of January of any year shall take effect on the first (1st) day of January of the succeeding year: *Provided, however,* That the reassessment of real property due to its partial or total destruction, or to a major change in its actual use, or to any great and sudden inflation or deflation of real property values, or to the gross illegality of the assessment when made or to any other abnormal cause, shall be made within ninety (90) days from the date any such cause or causes occurred, and shall take effect at the beginning of the quarter next following the reassessment.

SECTION 222. *Assessment of Property Subject to Back Taxes.* — Real property declared for the first time shall be assessed for taxes for the period during which it would have been liable but in no case for more than ten (10) years prior to the date of initial assessment: *Provided, however,* That such taxes shall be computed on the basis of the applicable schedule of values in force during the corresponding period.

If such taxes are paid on or before the end of the quarter following the date the notice of assessment was received by the owner or his representative, no interest for delinquency shall be imposed thereon; otherwise, such taxes shall be subject to an interest at the rate of two percent (2%) per month or a fraction thereof from the date of the receipt of the assessment until such taxes are fully paid.

SECTION 223. *Notification of New or Revised Assessment.* — When real property is assessed for the first time or when an existing assessment is increased or decreased, the provincial, city or municipal assessor shall within thirty (30) days give written notice of such new or revised assessment to the person in whose name the property is declared. The notice may be delivered personally or by registered mail or through the assistance of the punong barangay to the last known address of the person to be served.

SECTION 224. *Appraisal and Assessment of Machinery.* —

(a) The fair market value of a brand-new machinery shall be the acquisition cost. In all other cases, the fair market value shall be determined by dividing the remaining economic life of the machinery by its estimated economic life and multiplied by the replacement or reproduction cost.

(b) If the machinery is imported, the acquisition cost includes freight, insurance, bank and other charges, brokerage, arrastre and handling, duties and taxes, plus cost of inland transportation, handling, and installation charges at the present site. The cost in foreign currency of imported machinery shall be converted to peso cost on the basis of foreign currency exchange rates as fixed by the Central Bank.

SECTION 225. *Depreciation Allowance for Machinery.* — For purposes of assessment, a depreciation allowance shall be made for machinery at a rate not exceeding five percent (5%) of its original cost or its replacement or reproduction cost, as the case may be, for each year of use: *Provided, however,* That the remaining value for all kinds of machinery shall be fixed at not less than twenty percent (20%) of such original, replacement, or reproduction cost for so long as the machinery is useful and in operation.

CHAPTER III

Assessment Appeals

SECTION 226. *Local Board of Assessment Appeals.* — Any owner or person having legal interest in the property who is not satisfied with the action of the provincial, city or municipal assessor in the assessment of his property may, within sixty (60) days from the date of receipt of the written notice of assessment, appeal to the Board of Assessment Appeals of the province or city by filing a petition under oath in the form prescribed for the purpose, together with copies of the tax declarations and such affidavits or documents submitted in support of the appeal.

SECTION 227. *Organization, Powers, Duties, and Functions of the Local Board of Assessment Appeals.* — (a) The Board of Assessment Appeals of the province or city shall be composed of the Registrar of Deeds, as Chairman, the provincial or city prosecutor and the provincial, or city engineer as members, who shall serve as such in an *ex officio* capacity without additional compensation.

(b) The chairman of the Board shall have the power to designate any employee of the province or city to serve as secretary to the Board also without additional compensation.

(c) The chairman and members of the Board of Assessment Appeals of the province or city shall assume their respective positions without need of further appointment or special designation immediately upon effectivity of this Code. They shall take oath or affirmation of office in the prescribed form.

(d) In provinces and cities without a provincial or city engineer, the district engineer shall serve as member of the Board. In the absence of the Registrar of Deeds, or the provincial or city prosecutor, or the provincial or city engineer, or the district engineer, the persons performing their duties, whether in an acting capacity or as a duly designated officer-in-charge, shall automatically become the chairman or member, respectively, of the said Board, as the case may be.

SECTION 228. *Meetings and Expenses of the Local Board of Assessment Appeals.* — (a) The Board of Assessment Appeals of the province or city shall meet once a month and as often as may be necessary for the prompt disposition of appealed cases. No member of the Board shall be entitled to per diems or traveling expenses for his attendance in Board meetings, except when conducting an ocular inspection in connection with a case under appeal.

(b) All expenses of the Board shall be charged against the general fund of the province or city, as the case may be. The sanggunian concerned shall appropriate the necessary funds to enable the Board in their respective localities to operate effectively.

SECTION 229. *Action by the Local Board of Assessment Appeals.* — (a) The Board shall decide the appeal within one hundred twenty (120) days from the date of receipt of such appeal. The Board, after hearing, shall render its decision based on substantial evidence or such relevant evidence on record as a reasonable mind might accept as adequate to support the conclusion.

(b) In the exercise of its appellate jurisdiction, the Board shall have the power to summon witnesses, administer oaths, conduct ocular inspection, take depositions, and issue subpoena and subpoena duces tecum. The proceedings of the Board shall be conducted solely for the purpose of ascertaining the facts without necessarily adhering to technical rules applicable in judicial proceedings.

(c) The secretary of the Board shall furnish the owner of the property or the person having legal interest therein and the provincial or city assessor with a copy of the decision of the Board. In case the provincial or city assessor concurs in the revision or the assessment, it shall be his duty to notify the owner of the property or the person having legal interest therein of such fact using the form prescribed for the purpose. The owner of the property or the person having legal interest therein or the assessor who is not satisfied with the decision of the Board, may, within thirty (30) days after receipt of the decision of said Board, appeal to the Central Board of Assessment Appeals, as herein provided. The decision of the Central Board shall be final and executory.

SECTION 230. *Central Board of Assessment Appeals.* — The Central Board of Assessment Appeals shall be composed of a chairman and two (2) members to be appointed by the President, who shall serve for a term of seven (7) years, without reappointment. Of those first appointed, the chairman shall hold office for seven (7) years, one member for five (5) years, and the other member for three (3) years. Appointment to any vacancy shall be only for the unexpired portion of the term of the predecessor. In no case shall any member be appointed or designated in a temporary or acting capacity. The chairman and the members of the Board shall be Filipino citizens, at least forty (40) years old at the time of their appointment, and members of the Bar or Certified Public Accountants for at least ten (10) years immediately preceding their appointment. The chairman of the Board of Assessment Appeals shall have the salary grade equivalent to the rank of Director III under the Salary Standardization Law exclusive of allowances and other emoluments. The members of the Board shall have the salary grade equivalent to the rank of Director II under the Salary Standardization Law exclusive of allowances and other emoluments. The Board shall have appellate jurisdiction over all assessment cases decided by the Local Board of Assessment Appeals.

There shall be Hearing Officers to be appointed by the Central Board of Assessment Appeals pursuant to civil service laws, rules and regulations, one each for Luzon, Visayas and Mindanao, who shall hold office in Manila, Cebu City and Cagayan de Oro City, respectively, and who shall serve for a term of six (6) years, without reappointment until their successors have been appointed and qualified. The Hearing Officers shall have the same qualifications as that of the Judges of the Municipal Trial Courts.

The Hearing Officers shall each have the salary grade equivalent to the rank of Director I under the Salary Standardization Law exclusive of allowances and other emoluments. The Hearing Officers shall try and receive evidences on the appealed assessment cases as may be directed by the Board.

The Central Board Assessment Appeals, in the performance of its powers and duties, may establish and organize staffs, offices, units, prescribe the titles, functions and duties of their members and adopt its own rules and regulations.

Unless otherwise provided by law, the annual appropriations for the Central Board of Assessment Appeals shall be included in the budget of the Department of Finance in the corresponding General Appropriations Act.

SECTION 231. *Effect of Appeal on the Payment of Real Property Tax.* — Appeal on assessments of real property made under the provisions of this Code shall, in no case, suspend the collection of the corresponding realty taxes on the property involved as assessed by the provincial or city assessor, without prejudice to subsequent adjustment depending upon the final outcome of the appeal.

CHAPTER IV

Imposition of Real Property Tax

SECTION 232. *Power to Levy Real Property Tax.* — A province or city or a municipality within the Metropolitan Manila Area may levy an annual ad valorem tax on real property such as land, building, machinery, and other improvement not hereinafter specifically exempted.

SECTION 233. *Rates of Levy.* — A province or city or a municipality within the Metropolitan Manila Area shall fix a uniform rate of basic real property tax applicable to their respective localities as follows:

(a) In the case of a province, at the rate not exceeding one percent (1%) of the assessed value of real property; and

(b) In the case of a city or a municipality within the Metropolitan Manila Area, at the rate not exceeding two percent (2%) of the assessed value of real property.

SECTION 234. *Exemptions from Real Property Tax.* — The following are exempted from payment of the real property tax:

(a) Real property owned by the Republic of the Philippines or any of its political subdivisions except when the beneficial use thereof has been granted, for consideration or otherwise, to a taxable person;

(b) Charitable institutions, churches, parsonages or convents appurtenant thereto, mosques, non-profit or religious cemeteries and all lands, buildings, and improvements actually, directly, and exclusively used for religious, charitable or educational purposes;

(c) All machineries and equipment that are actually, directly and exclusively used by local water districts and government-owned or -controlled corporations engaged in the supply and distribution of water and/or generation and transmission of electric power;

(d) All real property owned by duly registered cooperatives as provided for under R.A. No. 6938; and

(e) Machinery and equipment used for pollution control and environmental protection.

Except as provided herein, any exemption from payment of real property tax previously granted to, or presently enjoyed by, all persons, whether natural or juridical, including all government-owned or -controlled corporations are hereby withdrawn upon the effectivity of this Code.

CHAPTER V

Special Levies on Real Property

SECTION 235. *Additional Levy on Real Property for the Special Education Fund (SEF).* — A province or city, or a municipality within the Metropolitan Manila Area, may levy and collect an annual tax of one percent (1%) on the assessed value of real property which shall be in addition to the basic real property tax. The proceeds thereof shall exclusively accrue to the Special Education Fund (SEF).

SECTION 236. *Additional Ad Valorem Tax on Idle Lands.* — A province or city, or a municipality within the Metropolitan Manila Area, may levy an annual tax on idle lands at the rate not exceeding five percent (5%) of the assessed value of the property which shall be in addition to the basic real property tax.

SECTION 237. *Idle Lands, Coverage.* — For purposes of real property taxation, idle lands shall include the following: (a) Agricultural lands, more than one (1) hectare in area, suitable for cultivation, dairying, inland fishery, and other agricultural uses, one-half (1/2) of which remain uncultivated or unimproved by the owner of the property or person having legal interest therein. Agricultural lands planted to permanent or perennial crops with at least fifty (50) trees to a hectare shall not be considered idle lands. Lands actually used for grazing purposes shall likewise not be considered idle lands.

(b) Lands, other than agricultural, located in a city or municipality, more than one thousand (1,000) square meters in area one-half (1/2) of which remain unutilized or unimproved by the owner of the property or person having legal interest therein.

Regardless of land area, this section shall likewise apply to residential lots in subdivisions duly approved by proper authorities, the ownership of which has been transferred to individual owners, who shall be liable for the additional tax: *Provided, however,* That individual lots of such subdivisions, the ownership of which has not been transferred to the buyer shall be considered as part of the subdivision, and shall be subject to the additional tax payable by subdivision owner or operator.

SECTION 238. *Idle Lands Exempt from Tax.* — A province or city or a municipality within the Metropolitan Manila Area may exempt idle lands from the additional levy by reason of force majeure, civil disturbance, natural calamity or any cause or circumstance which physically or legally prevents the owner of the property or person having legal interest therein from improving, utilizing or cultivating the same.

SECTION 239. *Listing of Idle Lands by the Assessor.* — The provincial, city or municipal assessor shall make and keep an updated record of all idle lands located within his area of jurisdiction. For purposes of collection, the provincial, city or municipal assessor shall furnish a copy thereof to the provincial or city treasurer who shall notify, on the basis of such record, the owner of the property or person having legal interest therein of the imposition of the additional tax.

SECTION 240. *Special Levy by Local Government Units.* — A province, city or municipality may impose a special levy on the lands comprised within its territorial jurisdiction specially benefited by public works projects or improvements funded by the local government unit concerned: *Provided, however,* That the special

levy shall not exceed sixty percent (60%) of the actual cost of such projects and improvements, including the costs of acquiring land and such other real property in connection therewith: *Provided, further,* That the special levy shall not apply to lands exempt from basic real property tax and the remainder of the land portions of which have been donated to the local government unit concerned for the construction of such projects or improvements.

SECTION 241. *Ordinance Imposing a Special Levy.* — A tax ordinance imposing a special levy shall describe with reasonable accuracy the nature, extent, and location of the public works projects or improvements to be undertaken, state the estimated cost thereof, specify the metes and bounds by monuments and lines and the number of annual installments for the payment of the special levy which in no case shall be less than five (5) nor more than ten (10) years. The sanggunian concerned shall not be obliged, in the apportionment and computation of the special levy, to establish a uniform percentage of all lands subject to the payment of the tax for the entire district, but it may fix different rates for different parts or sections thereof, depending on whether such land is more or less benefited by the proposed work.

SECTION 242. *Publication of Proposed Ordinance Imposing a Special Levy.* — Before the enactment of an ordinance imposing a special levy, the sanggunian concerned shall conduct a public hearing thereon; notify in writing the owners of the real property to be affected or the persons having legal interest therein as to the date and place thereof and afford the latter the opportunity to express their positions or objections relative to the proposed ordinance.

SECTION 243. *Fixing the Amount of Special Levy.* — The special levy authorized herein shall be apportioned, computed, and assessed according to the assessed valuation of the lands affected as shown by the books of the assessor concerned, or its current assessed value as fixed by said assessor if the property does not appear of record in his books. Upon the effectivity of the ordinance imposing special levy, the assessor concerned shall forthwith proceed to determine the annual amount of special levy assessed against each parcel of land comprised within the area especially benefited and shall send to each landowner a written notice thereof by mail, personal service or publication in appropriate cases.

SECTION 244. *Taxpayer's Remedies Against Special Levy.* — Any owner of real property affected by a special levy or any person

having a legal interest therein may, upon receipt of the written notice of assessment of the special levy, avail of the remedies provided for in Chapter 3, Title Two, Book II of this Code.

SECTION 245. *Accrual of Special Levy.* — The special levy shall accrue on the first day of the quarter next following the effectivity of the ordinance imposing such levy.

CHAPTER VI

Collection of Real Property Tax

SECTION 246. *Date of Accrual of Tax.* — The real property tax for any year shall accrue on the first (1st) day of January and from that date it shall constitute a lien on the property which shall be superior to any other lien, mortgage, or encumbrance of any kind whatsoever, and shall be extinguished only upon the payment of the delinquent tax.

SECTION 247. *Collection of Tax.* — The collection of the real property tax with interest thereon and related expenses, and the enforcement of the remedies provided for in this Title or any applicable laws, shall be the responsibility of the city or municipal treasurer concerned.

The city or municipal treasurer may deputize the barangay treasurer to collect all taxes on real property located in the barangay: *Provided*, That the barangay treasurer is properly bonded for the purpose: *Provided, further*, That the premium on the bond shall be paid by the city or municipal government concerned.

SECTION 248. *Assessor to Furnish Local Treasurer with Assessment Roll.* — The provincial, city or municipal assessor shall prepare and submit to the treasurer of the local government unit, on or before the thirty-first (31st) day of December each year, an assessment roll containing a list of all persons whose real properties have been newly assessed or reassessed and the values of such properties.

SECTION 249. *Notice of Time for Collection of Tax.* — The city or municipal treasurer shall, on or before the thirty-first (31st) day of January each year, in the case of the basic real property tax and the additional tax for the Special Education Fund (SEF) or any other date to be prescribed by the sanggunian concerned in the case of any other tax levied under this Title, post the notice of the dates

when the tax may be paid without interest at a conspicuous and publicly accessible place at the city or municipal hall. Said notice shall likewise be published in a newspaper of general circulation in the locality once a week for two (2) consecutive weeks.

SECTION 250. *Payment of Real Property Taxes in Installments.*

– The owner of the real property or the person having legal interest therein may pay the basic real property tax and the additional tax for Special Education Fund (SEF) due thereon without interest in four (4) equal installments: the first installment to be due and payable on or before the thirty-first (31st) of March; the second installment, on or before the thirty (30th) of June; the third installment, on or before the thirtieth (30th) of September; and the last installment on or before the thirty-first (31st) of December, except the special levy the payment of which shall be governed by ordinance of the sanggunian concerned.

The date for the payment of any other tax imposed under this Title without interest shall be prescribed by the sanggunian concerned.

Payments of real property taxes shall first be applied to prior years delinquencies, interests, and penalties, if any, and only after said delinquencies are settled may tax payments be credited for the current period.

SECTION 251. *Tax Discount for Advanced Prompt Payment.*

– If the basic real property tax and the additional tax accruing to the Special Education Fund (SEF) are paid in advance in accordance with the prescribed schedule of payment as provided under Section 250, the sanggunian concerned may grant a discount not exceeding twenty percent (20%) of the annual tax due.

SECTION 252. *Payment Under Protest.* – (a) No protest shall be entertained unless the taxpayer first pays the tax. There shall be annotated on the tax receipts the words "paid under protest". The protest in writing must be filed within thirty (30) days from payment of the tax to the provincial, city treasurer or municipal treasurer, in the case of a municipality within Metropolitan Manila Area, who shall decide the protest within sixty (60) days from receipt.

(b) The tax or a portion thereof paid under protest shall be held in trust by the treasurer concerned.

(c) In the event that the protest is finally decided in favor of the taxpayer, the amount or portion of the tax protested shall be refunded to the protestant, or applied as tax credit against his existing or future tax liability.

(d) In the event that the protest is denied or upon the lapse of the sixty-day period prescribed in subparagraph (a), the taxpayer may avail of the remedies as provided for in Chapter 3, Title II, Book II of this Code.

SECTION 253. *Repayment of Excessive Collections.* — When an assessment of basic real property tax, or any other tax levied under this Title, is found to be illegal or erroneous and the tax is accordingly reduced or adjusted, the taxpayer may file a written claim for refund or credit for taxes and interests with the provincial or city treasurer within two (2) years from the date the taxpayer is entitled to such reduction or adjustment.

The provincial or city treasurer shall decide the claim for tax refund or credit within sixty (60) days from receipt thereof. In case the claim for tax refund or credit is denied, the taxpayer may avail of the remedies as provided in Chapter 3, Title II, Book II of this Code.

SECTION 254. *Notice of Delinquency in the Payment of the Real Property Tax.* — (a) When the real property tax or any other tax imposed under this Title becomes delinquent, the provincial, city or municipal treasurer shall immediately cause a notice of the delinquency to be posted at the main entrance of the provincial capitol, or city or municipal hall and in a publicly accessible and conspicuous place in each barangay of the local government unit concerned. The notice of delinquency shall also be published once a week for two (2) consecutive weeks, in a newspaper of general circulation in the province, city, or municipality.

(b) Such notice shall specify the date upon which the tax became delinquent and shall state that personal property may be distrained to effect payment. It shall likewise state that at any time before the distraint of personal property, payment of the tax with surcharges, interests and penalties may be made in accordance with the next following section, and unless the tax, surcharges and penalties are paid before the expiration of the year for which the tax is due, except when the notice of assessment or special levy is contested administratively or judicially pursuant to the provisions of Chapter 3, Title II, Book II of this Code, the delinquent real

property will be sold at public auction, and the title to the property will be vested in the purchaser, subject, however, to the right of the delinquent owner of the property or any person having legal interest therein to redeem the property within one (1) year from the date of sale.

SECTION 255. *Interests on Unpaid Real Property Tax.* — In case of failure to pay the basic real property tax or any other tax levied under this Title upon the expiration of the periods as provided in Section 250, or when due, as the case may be, shall subject the taxpayer to the payment of interest at the rate of two percent (2%) per month on the unpaid amount or a fraction thereof, until the delinquent tax shall have been fully paid: *Provided, however,* That in no case shall the total interest on the unpaid tax or portion thereof exceed thirty-six (36) months.

SECTION 256. *Remedies for the Collection of Real Property Tax.* — For the collection of the basic real property tax and any other tax levied under this Title, the local government unit concerned may avail of the remedies by administrative action through levy on real property or by judicial action.

SECTION 257. *Local Government's Lien.* — The basic real property tax and any other tax levied under this Title constitute a lien on the property subject to tax, superior to all liens, charges or encumbrances in favor of any person, irrespective of the owner or possessor thereof, enforceable by administrative or judicial action, and may only be extinguished upon payment of the tax and the related interests and expenses.

SECTION 258. *Levy on Real Property.* — After the expiration of the time required to pay the basic real property tax or any other tax levied under this Title, real property subject to such tax may be levied upon through the issuance of a warrant on or before, or simultaneously with, the institution of the civil action for the collection of the delinquent tax. The provincial or city treasurer, or a treasurer of a municipality within the Metropolitan Manila Area, as the case may be, when issuing a warrant of levy shall prepare a duly authenticated certificate showing the name of the delinquent owner of the property or person having legal interest therein, the description of the property, the amount of the tax due and the interest thereon. The warrant shall operate with the force of a legal execution throughout the province, city or a municipality within the Metropolitan Manila Area. The warrant shall be mailed to or

served upon the delinquent owner of the real property or person having legal interest therein, or in case he is out of the country or cannot be located, the administrator or occupant of the property. At the same time, written notice of the levy with the attached warrant shall be mailed to or served upon the assessor and the Registrar of Deeds of the province, city or municipality within the Metropolitan Manila Area where the property is located, who shall annotate the levy on the tax declaration and certificate of title of the property, respectively.

The levying officer shall submit a report on the levy to the sanggunian concerned within ten (10) days after receipt of the warrant by the owner of the property or person having legal interest therein.

SECTION 259. *Penalty for Failure to Issue and Execute Warrant.* — Without prejudice to criminal prosecution under the Revised Penal Code and other applicable laws, any local treasurer or his deputy who fails to issue or execute the warrant of levy within one (1) year from the time the tax becomes delinquent or within thirty (30) days from the date of the issuance thereof, or who is found guilty of abusing the exercise thereof in an administrative or judicial proceeding shall be dismissed from the service.

SECTION 260. *Advertisement and Sale.* — Within thirty (30) days after service of the warrant of levy, the local treasurer shall proceed to publicly advertise for sale or auction the property or a usable portion thereof as may be necessary to satisfy the tax delinquency and expenses of sale. The advertisement shall be effected by posting a notice at the main entrance of the provincial, city or municipal building, and in a publicly accessible and conspicuous place in the barangay where the real property is located, and by publication once a week for two (2) weeks in a newspaper of general circulation in the province, city or municipality where the property is located. The advertisement shall specify the amount of the delinquent tax, the interest due thereon and expenses of sale, the date and place of sale, the name of the owner of the real property or person having legal interest therein, and a description of the property to be sold. At any time before the date fixed for the sale, the owner of the real property or person having legal interest therein may stay the proceedings by paying the delinquent tax, the interest due thereon and the expenses of sale. The sale shall be held either at the main entrance of the provincial, city or municipal building, or on the property to be sold, or at any other place as specified in the notice of the sale.

Within thirty (30) days after the sale, the local treasurer or his deputy shall make a report of the sale to the sanggunian concerned, and which shall form part of his records. The local treasurer shall likewise prepare and deliver to the purchaser a certificate of sale which shall contain the name of the purchaser, a description of the property sold, the amount of the delinquent tax, the interest due thereon, the expenses of sale and a brief description of the proceedings: *Provided, however,* That proceeds of the sale in excess of the delinquent tax, the interest due thereon, and the expenses of sale shall be remitted to the owner of the real property or person having legal interest therein.

The local treasurer may, by ordinance duly approved, advance an amount sufficient to defray the costs of collection through the remedies provided for in this Title, including the expenses of advertisement and sale.

SECTION 261. *Redemption of Property Sold.* — Within one (1) year from the date of sale, the owner of the delinquent real property or person having legal interest therein, or his representative, shall have the right to redeem the property upon payment to the local treasurer of the amount of the delinquent tax, including the interest due thereon, and the expenses of sale from the date of delinquency to the date of sale, plus interest of not more than two percent (2%) per month on the purchase price from the date of sale to the date of redemption. Such payment shall invalidate the certificate of sale issued to the purchaser and the owner of the delinquent real property or person having legal interest therein shall be entitled to a certificate of redemption which shall be issued by the local treasurer or his deputy.

From the date of sale until the expiration of the period of redemption, the delinquent real property shall remain in the possession of the owner or person having legal interest therein who shall be entitled to the income and other fruits thereof.

The local treasurer or his deputy, upon receipt from the purchaser of the certificate of sale, shall forthwith return to the latter the entire amount paid by him plus interest of not more than two percent (2%) per month. Thereafter, the property shall be free from the lien of such delinquent tax, interest due thereon and expenses of sale.

SECTION 262. *Final Deed to Purchaser.* — In case the owner or person having legal interest therein fails to redeem the delinquent property as provided herein, the local treasurer shall execute a deed conveying to the purchaser said property, free from lien of the delinquent tax, interest due thereon and expenses of sale. The deed shall briefly state the proceedings upon which the validity of the sale rests.

SECTION 263. *Purchase of Property by the Local Government Units for Want of Bidder.* — In case there is no bidder for the real property advertised for sale as provided herein, or if the highest bid is for an amount insufficient to pay the real property tax and the related interest and costs of sale the local treasurer conducting the sale shall purchase the property in behalf of the local government unit concerned to satisfy the claim and within two (2) days thereafter shall make a report of his proceedings which shall be reflected upon the records of his office. It shall be the duty of the Registrar of Deeds concerned upon registration with his office of any such declaration of forfeiture to transfer the title of the forfeited property to the local government unit concerned without the necessity of an order from a competent court.

Within one (1) year from the date of such forfeiture, the taxpayer or any of his representative, may redeem the property by paying to the local treasurer the full amount of the real property tax and the related interest and the costs of sale. If the property is not redeemed as provided herein, the ownership thereof shall be vested on the local government unit concerned.

SECTION 264. *Resale of Real Estate Taken for Taxes, Fees, or Charges.* — The sanggunian concerned may, by ordinance duly approved, and upon notice of not less than twenty (20) days, sell and dispose of the real property acquired under the preceding section at public auction. The proceeds of the sale shall accrue to the general fund of the local government unit concerned.

SECTION 265. *Further Distraint or Levy.* — Levy may be repeated if necessary until the full amount due, including all expenses, is collected.

SECTION 266. *Collection of Real Property Tax Through the Courts.* — The local government unit concerned may enforce the collection of the basic real property tax or any other tax levied under this Title by civil action in any court of competent jurisdiction. The civil action shall be filed by the local treasurer within the period prescribed in Section 270 of this Code.

SECTION 267. *Action Assailing Validity of Tax Sale.* — No court shall entertain any action assailing the validity of any sale at public auction of real property or rights therein under this Title until the taxpayer shall have deposited with the court the amount for which the real property was sold, together with interest of two percent (2%) per month from the date of sale to the time of the institution of the action. The amount so deposited shall be paid to the purchaser at the auction sale if the deed is declared invalid but it shall be returned to the depositor if the action fails.

Neither shall any court declare a sale at public auction invalid by reason of irregularities or informalities in the proceedings unless the substantive rights of the delinquent owner of the real property or the person having legal interest therein have been impaired.

SECTION 268. *Payment of Delinquent Taxes on Property Subject of Controversy.* — In any action involving the ownership or possession of, or succession to, real property, the court may, *motu proprio* or upon representation of the provincial, city, or municipal treasurer or his deputy, award such ownership, possession, or succession to any party to the action upon payment to the court of the taxes with interest due on the property and all other costs that may have accrued, subject to the final outcome of the action.

SECTION 269. *Treasurer to Certify Delinquencies Remaining Uncollected.* — The provincial, city or municipal treasurer or his deputy shall prepare a certified list of all real property tax delinquencies which remained uncollected or unpaid for at least one (1) year in his jurisdiction, and a statement of the reason or reasons for such non-collection or non-payment, and shall submit the same to the sanggunian concerned on or before the thirty-first (31st) of December of the year immediately succeeding the year in which the delinquencies were incurred, with a request for assistance in the enforcement of the remedies for collection provided herein.

SECTION 270. *Periods Within Which to Collect Real Property Taxes.* — The basic real property tax and any other tax levied under this Title shall be collected within five (5) years from the date they become due. No action for the collection of the tax, whether administrative or judicial, shall be instituted after the expiration of such period. In case of fraud or intent to evade payment of the tax, such action may be instituted for the collection of the same within ten (10) years from the discovery of such fraud or intent to evade payment.

The period of prescription within which to collect shall be suspended for the time during which:

(1) The local treasurer is legally prevented from collecting the tax;

(2) The owner of the property or the person having legal interest therein requests for reinvestigation and executes a waiver in writing before the expiration of the period within which to collect; and

(3) The owner of the property or the person having legal interest therein is out of the country or otherwise cannot be located.

CHAPTER VII

Disposition of Proceeds

SECTION 271. *Distribution of Proceeds.* — The proceeds of the basic real property tax, including interest thereon, and proceeds from the use, lease or disposition, sale or redemption of property acquired at a public auction, in accordance with the provisions of this Title, by the province or city or a municipality within the Metropolitan Manila Area shall be distributed as follows:

(a) In the case of provinces:

(1) Province — Thirty-five percent (35%) shall accrue to the general fund;

(2) Municipality — Forty percent (40%) to the general fund of the municipality where the property is located; and

(3) Barangay — Twenty-five percent (25%) shall accrue to the barangay where the property is located.

(b) In the case of cities:

(1) City — Seventy percent (70%) shall accrue to the general fund of the city; and

(2) Barangay — Thirty percent (30%) shall be distributed among the component barangays of the cities where the property is located in the following manner:

(i) Fifty percent (50%) shall accrue to the barangay where the property is located;

(ii) Fifty percent (50%) shall accrue equally to all component barangays of the city; and

(c) In the case of a municipality within the Metropolitan Manila Area:

(1) Metropolitan Manila Authority — Thirty-five percent (35%) shall accrue to the general fund of the Authority;

(2) Municipality — Thirty-five percent (35%) shall accrue to the general fund of the municipality where the property is located;

(3) Barangays — Thirty percent (30%) shall be distributed among the component barangays of the municipality where the property is located in the following manner:

(i) Fifty percent (50%) shall accrue to the barangay where the property is located; and

(ii) Fifty percent (50%) shall accrue equally to all component barangays of the municipality.

(d) The share of each barangay shall be released, without need of any further action, directly to the barangay treasurer on a quarterly basis within five (5) days after the end of each quarter and shall not be subject to any lien or holdback for whatever purpose.

SECTION 272. *Application of Proceeds of the Additional One Percent SEF Tax.* — The proceeds from the additional one percent (1%) tax on real property accruing to the Special Education Fund (SEF) shall be automatically released to the local school boards: *Provided, That, in case of provinces, the proceeds shall be divided equally between the provincial and municipal school boards: Provided, however, That the proceeds shall be allocated for the operation and maintenance of public schools, construction and repair of school buildings, facilities and equipment, educational research, purchase of books and periodicals, and sports development as determined and approved by the local school board.*

SECTION 273. *Proceeds of the Tax on Idle Lands.* — The proceeds of the additional real property tax on idle lands shall accrue to the respective general fund of the province or city where the land is located. In the case of a municipality within the Metropolitan Manila Area, the proceeds shall accrue equally to the Metropolitan Manila Authority and the municipality where the land is located.

SECTION 274. *Proceeds of the Special Levy.* — The proceeds of the special levy on lands benefited by public works, projects and other improvements shall accrue to the general fund of the local government unit which financed such public works, projects or other improvements.

CHAPTER VIII

Special Provisions

SECTION 275. *General Assessment Revision; Expenses Incident Thereto.* — The sanggunian of provinces, cities and municipalities within the Metropolitan Manila Area shall provide the necessary appropriations to defray the expenses incident to the general revision of real property assessment.

All expenses incident to a general revision of real property assessments shall, by ordinance of the sangguniang panlalawigan, be apportioned between the province and the municipality on the basis of the taxable area of the municipality concerned.

SECTION 276. *Condonation or Reduction of Real Property Tax and Interest.* — In case of a general failure of crops or substantial decrease in the price of agricultural or agribased products, or calamity in any province, city or municipality, the sanggunian concerned, by ordinance passed prior to the first (1st) day of January of any year and upon recommendation of the Local Disaster Coordinating Council, may condone or reduce, wholly or partially, the taxes and interest thereon for the succeeding year or years in the city or municipality affected by the calamity.

SECTION 277. *Condonation or Reduction of Tax by the President of the Philippines.* — The President of the Philippines may, when public interest so requires, condone or reduce the real property tax and interest for any year in any province or city or a municipality within the Metropolitan Manila Area.

SECTION 278. *Duty of Registrar of Deeds and Notaries Public to Assist the Provincial, City or Municipal Assessor.* — It shall be the duty of the Registrar of Deeds and notaries public to furnish the provincial, city or municipal assessor with copies of all contracts selling, transferring, or otherwise conveying, leasing, or mortgaging real property received by, or acknowledged before them.

SECTION 279. *Insurance Companies to Furnish Information.* — Insurance companies are hereby required to furnish the provincial, city or municipal assessor copies of any contract or policy insurance on buildings, structures, and improvements insured by them or such other documents which may be necessary for the proper assessment thereof.

SECTION 280. *Fees in Court Actions.* — All court actions, criminal or civil, instituted at the instance of the provincial, city or municipal treasurer or assessor under the provisions of this Code, shall be exempt from the payment of court and sheriff's fees.

SECTION 281. *Fees in Registration of Papers or Documents on Sale of Delinquent Real Property to Province, City or Municipality.* — All certificates, documents, and papers covering the sale of delinquent property to the province, city or municipality, if registered in the Registry of Property, shall be exempt from the documentary stamp tax and registration fees.

SECTION 282. *Real Property Assessment Notices or Owner's Copies of Tax Declarations to be Exempt from Postal Charges or Fees.* — All real property assessment notices or owner's copies of tax declaration sent through the mails by the assessor shall be exempt from the payment of postal charges or fees.

SECTION 283. *Sale and Forfeiture Before Effectivity of Code.* — Tax delinquencies incurred, and sales and forfeitures of delinquent real property effected, before the effectivity of this Code shall be governed by the provisions of applicable laws then in force.

TITLE II.

Shares of Local Government Units in the Proceeds of National Taxes

CHAPTER I

Allotment of Internal Revenue

SECTION 284. *Allotment of Internal Revenue Taxes.* — Local government units shall have a share in the national internal revenue taxes based on the collection of the third fiscal year preceding the current fiscal year as follows:

- (a) On the first year of the effectivity of this Code, thirty percent (30%);
- (b) On the second year, thirty-five percent (35%); and
- (c) On the third year and thereafter, forty percent (40%).

Provided, That in the event that the National Government incurs an unmanageable public sector deficit, the President of the Philippines is hereby authorized, upon the recommendation of

Secretary of Finance, Secretary of Interior and Local Government, and Secretary of Budget and Management, and subject to consultation with the presiding officers of both Houses of Congress and the presidents of the "liga", to make the necessary adjustments in the internal revenue allotment of local government units but in no case shall the allotment be less than thirty percent (30%) of the collection of national internal revenue taxes of the third fiscal year preceding the current fiscal year: *Provided, further*, That in the first year of the effectivity of this Code, the local government units shall, in addition to the thirty percent (30%) internal revenue allotment which shall include the cost of devolved functions for essential public services, be entitled to receive the amount equivalent to the cost of devolved personal services.

SECTION 285. *Allocation to Local Government Units.* — The share of local government units in the internal revenue allotment shall be allocated in the following manner:

- (a) Provinces — Twenty-three percent (23%);
- (b) Cities — Twenty-three percent (23%);
- (c) Municipalities — Thirty-four percent (34%); and
- (d) Barangays — Twenty percent (20%)

Provided, however, That the share of each province, city, and municipality shall be determined on the basis of the following formula:

- (a) Population — Fifty percent (50%);
- (b) Land Area — Twenty-five percent (25%); and
- (c) Equal sharing — Twenty-five percent (25%)

Provided, further, That the share of each barangay with a population of not less than one hundred (100) inhabitants shall not be less than Eighty thousand (P80,000.00) per annum chargeable against the twenty percent (20%) share of the barangay from the internal revenue allotment, and the balance to be allocated on the basis of the following formula:

- (a) On the first year of the effectivity of this Code:
 - (1) Population — Forty percent (40%); and
 - (2) Equal Sharing — Sixty percent (60%)

- (b) On the second year:
 - (1) Population — Fifty percent (50%); and
 - (2) Equal Sharing — Fifty percent (50%)
- (c) On the third year and thereafter:
 - (1) Population — Sixty percent (60%); and
 - (2) Equal sharing — Forty percent (40%).

Provided, finally, That the financial requirements of barangays created by local government units after the effectivity of this Code shall be the responsibility of the local government unit concerned.

SECTION 286. *Automatic Release of Shares.* — (a) The share of each local government unit shall be released, without need of any further action, directly to the provincial, city, municipal or barangay treasurer, as the case may be, on a quarterly basis within five (5) days after the end of each quarter, and which shall not be subject to any lien or holdback that may be imposed by the National Government for whatever purpose.

(b) Nothing in this Chapter shall be understood to diminish the share of local government units under existing laws.

SECTION 287. *Local Development Projects.* — Each local government unit shall appropriate in its annual budget no less than twenty percent (20%) of its annual internal revenue allotment for development projects. Copies of the development plans of local government units shall be furnished the Department of Interior and Local Government.

SECTION 288. *Rules and Regulations.* — The Secretary of Finance, in consultation with the Secretary of Budget and Management, shall promulgate the necessary rules and regulations for a simplified disbursement scheme designed for the speedy and effective enforcement of the provisions of this Chapter.

CHAPTER II

Share of Local Government Units in the National Wealth

SECTION 289. *Share in the Proceeds from the Development and Utilization of the National Wealth.* — Local government units shall have an equitable share in the proceeds derived from the utilization and development of the national wealth within their

respective areas, including sharing the same with the inhabitants by way of direct benefits.

SECTION 290. *Amount of Share of Local Government Units.*

— Local government units shall, in addition to the internal revenue allotment, have a share of forty percent (40%) of the gross collection derived by the national government from the preceding fiscal year from mining taxes, royalties, forestry and fishery charges, and such other taxes, fees, or charges, including related surcharges, interests, or fines, and from its share in any co-production, joint venture or production sharing agreement in the utilization and development of the national wealth within their territorial jurisdiction.

SECTION 291. *Share of the Local Governments from any Government Agency or Government-Owned or -Controlled Corporation.* — Local government units shall have a share based on the preceding fiscal year from the proceeds derived by any government agency or government-owned or -controlled corporation engaged in the utilization and development of the national wealth based on the following formula whichever will produce a higher share for the local government unit:

(a) One percent (1%) of the gross sales or receipts of the preceding calendar year; or

(b) Forty percent (40%) of the mining taxes, royalties, forestry and fishery charges and such other taxes, fees or charges, including related surcharges, interests, or fines the government agency or government-owned or -controlled corporation would have paid if it were not otherwise exempt.

SECTION 292. *Allocation of Shares.* — The share in the preceding section shall be distributed in the following manner:

(a) Where the natural resources are located in the province:

(1) Province — Twenty percent (20%);

(2) Component City/Municipality — Forty-five percent (45%); and

(3) Barangay — Thirty-five percent (35%)

Provided, however, That where the natural resources are located in two (2) or more provinces, or in two (2) or more component cities or municipalities or in two (2) or more barangays, their respective shares shall be computed on the basis of:

(1) Population — Seventy percent (70%); and

(2) Land area — Thirty percent (30%)

(b) Where the natural resources are located in a highly urbanized or independent component city:

(1) City — Sixty-five percent (65%); and

(2) Barangay — Thirty-five percent (35%)

Provided, however, That where the natural resources are located in such two (2) or more cities, the allocation of shares shall be based on the formula on population and land area as specified in paragraph (a) of this section.

SECTION 293. *Remittance of the Share of Local Government Units.* — The share of local government units from the utilization and development of national wealth shall be remitted in accordance with Section 286 of this Code: *Provided, however,* That in the case of any government agency or government-owned or -controlled corporation engaged in the utilization and development of the national wealth, such share shall be directly remitted to the provincial, city, municipal or barangay treasurer concerned within five (5) days after the end of each quarter.

SECTION 294. *Development and Livelihood Projects.* — The proceeds from the share of local government units pursuant to this chapter shall be appropriated by their respective sanggunian to finance local development and livelihood projects: *Provided, however,* That at least eighty percent (80%) of the proceeds derived from the development and utilization of hydrothermal, geothermal, and other sources of energy shall be applied solely to lower the cost of electricity in the local government unit where such a source of energy is located.

TITLE IV.

Credit Financing

SECTION 295. *Scope.* — This Title shall govern the power of local government units to create indebtedness and to enter into credit and other financial transactions.

SECTION 296. *General Policy.* — (a) It shall be the basic policy that any local government unit may create indebtedness, and avail

of credit facilities to finance local infrastructure and other socio-economic development projects in accordance with the approved local development plan and public investment program.

(b) A local government unit may avail of credit lines from government or private banks and lending institutions for the purpose of stabilizing local finances.

SECTION 297. *Loans, Credits, and Other Forms of Indebtedness of Local Government Units.* — (a) A local government unit may contract loans, credits, and other forms of indebtedness with any government or domestic private bank and other lending institutions to finance the construction, installation, improvement, expansion, operation, or maintenance of public facilities, infrastructure facilities, housing projects, the acquisition of real property, and the implementation of other capital investment projects, subject to such terms and conditions as may be agreed upon by the local government unit and the lender. The proceeds from such transactions shall accrue directly to the local government unit concerned.

(b) A local government unit may likewise secure from any government bank and lending institution short-, medium- and long-term loans and advances against security of real estate or other acceptable assets for the establishment, development, or expansion of agricultural, industrial, commercial, house financing and livelihood projects, and other economic enterprises.

(c) Government financial and other lending institutions are hereby authorized to grant loans, credits, and other forms of indebtedness out of their loanable funds to local government units for purposes specified above.

SECTION 298. *Deferred-Payment and Other Financial Schemes.* — Provincial, city and municipal governments may likewise acquire property, plant, machinery, equipment, and such necessary accessories under a supplier's credit, deferred payment plan, or other financial scheme.

SECTION 299. *Bonds and Other Long-Term Securities.* — Subject to the rules and regulations of the Central Bank and the Securities and Exchange Commission, provinces, cities, and municipalities are hereby authorized to issue bonds, debentures, securities, collaterals, notes and other obligations to finance self-liquidating, income-producing development or livelihood projects pursuant to the priorities established in the approved local

development plan or the public investment program. The sanggunian concerned shall, through an ordinance approved by a majority of all its members, declare and state the terms and conditions of the bonds and the purpose for which the proposed indebtedness is to be incurred.

SECTION 300. *Inter-Local Government Loans, Grants, and Subsidies.* — Provinces, cities, and municipalities may, upon approval of the majority of all members of the sanggunian concerned and in amounts not exceeding their surplus funds, extend loans, grants, or subsidies to other local government units under such terms and conditions as may be agreed upon by the contracting parties.

Local government units may, upon approval of their respective sanggunians, jointly or severally contract loans, credits, and other forms of indebtedness for purposes mutually beneficial to them.

SECTION 301. *Loans from Funds Secured by the National Government from Foreign Sources.* — (a) The President or his duly authorized representative may, through any government financial or other lending institution, relend to any province, city, municipality, or barangay, the proceeds of loans contracted with foreign financial institutions or other international funding agencies for the purpose of financing the construction, installation, improvement, expansion, operation, or maintenance of public utilities and facilities, infrastructure facilities, or housing projects, the acquisition of real property, and the implementation of other capital investment projects, subject to such terms and conditions as may be agreed upon by the President and the local government unit. The proceeds from such loans shall accrue directly to the local government concerned.

(b) The President may likewise authorize the relending to local government units the proceeds of grants secured from foreign sources, subject to the provisions of existing laws and the applicable grant agreements.

(c) Repayment or amortization of loans, including accrued interest thereon, may be financed partly from the income of the projects or services and from the regular income of the local government unit, which must be provided for and appropriated regularly in its annual budget until the loan and the interest thereon shall have been fully paid.

SECTION 302. *Financing, Construction, Maintenance, Operation, and Management of Infrastructure Projects by the Private Sector.* — (a) Local government units may enter into contracts with any duly prequalified individual contractor, for the financing, construction, operation, and maintenance of any financially viable infrastructure facilities, under the build-operate-transfer agreement, subject to the applicable provisions of Republic Act Numbered Sixty-nine hundred fifty-seven (R.A. No. 6957) authorizing the financing, construction, operation and maintenance of infrastructure projects by the private sector and the rules and regulations issued thereunder and such terms and conditions provided in this section.

(b) Local government units shall include in their respective local development plans and public investment programs priority projects that may be financed, constructed, operated and maintained by the private sector under this section. It shall be the duty of the local government unit concerned to disclose to the public all projects eligible for financing under this section, including official notification of duly registered contractors and publication in newspapers of general or local circulation and in conspicuous and accessible public places. Local projects under the build-operate-and-transfer agreement shall be confirmed by the local development councils.

(c) Projects implemented under this section shall be subject to the following terms and conditions:

(1) The provincial, city or municipal engineer, as the case may be, upon formal request in writing by the local chief executive, shall prepare the plans and specifications for the proposed projects, which shall be submitted to the sanggunian for approval.

(2) Upon approval by the sanggunian of the project plans and specifications, the provincial, city, or municipal engineer shall, as the case may be, cause to be published once every week, for two (2) consecutive weeks in at least one (1) local newspaper which is circulated in the region, province, city or municipality in which the project is to be implemented, a notice inviting all duly qualified contractors to participate in a public bidding for the projects so approved. The conduct of public bidding and award of contracts for local government projects under this section shall be in accordance with this Code and other applicable laws, rules and regulations.

In the case of a build-operate-and-transfer agreement, the contract shall be awarded to the lowest complying bidder whose offer is deemed most advantageous to the local government and based on the present value of its proposed tolls, fees, rentals, and charges over a fixed term for the facility to be constructed, operated, and maintained according to the prescribed minimum design and performance standards, plans, and specifications. For this purpose, the winning contractor shall be automatically granted by the local government unit concerned the franchise to operate and maintain the facility, including the collection of tolls, fees, rentals, and charges in accordance with subsection (c-4) hereof.

In the case of a build-operate-and-transfer agreement, the contract shall be awarded to the lowest complying bidder based on the present value of its proposed schedule of amortization payments for the facility to be constructed according to the prescribed minimum design and performance standards, plans, and specifications.

(3) Any contractor who shall undertake the prosecution of any project under this section shall post the required bonds to protect the interest of the province, city, or municipality, in such amounts as may be fixed by the sanggunian concerned and the provincial, city or municipal engineer shall not, as the case may be, allow any contractor to initiate the prosecution of projects under this section unless such contractor presents proof or evidence that he has posted the required bond.

(4) The contractor shall be entitled to a reasonable return of its investment in accordance with its bid proposal as accepted by the local government unit concerned.

In the case of a build-operate-and-transfer agreement, the repayment shall be made by authorizing the contractor to charge and collect reasonable tolls, fees, rentals, and charges for the use of the project facility not exceeding those proposed in the bid and incorporated in the contract: *Provided*, That the local government unit concerned shall, based on reasonableness and equity, approve the tolls, fees, rentals and charges: *Provided, further*, That the imposition and collection of tolls, fees, rentals and charges shall be for a fixed period as proposed in the bid and incorporated in the contract which shall in no case exceed fifty (50) years: *Provided, finally*, That during the

lifetime of the contract, the contractor shall undertake the necessary maintenance and repair of the facility in accordance with standards prescribed in the bidding documents and in the contract.

In the case of a build-operate-and-transfer agreement, the repayment shall be made through amortization payments in accordance with the schedule proposed in the bid and incorporated in the contract.

In case of land reclamation or construction of industrial estates, the repayment plan may consist of the grant of a portion or percentage of the reclaimed land or the industrial estate constructed.

(5) Every infrastructure project undertaken under this section shall be constructed, operated, and maintained by the contractor under the technical supervision of the local government unit and in accordance with the plans, specifications, standards, and costs approved by it.

(d) The provincial, city, or municipal legal officer shall, as the case may be, review the contracts executed pursuant to this section to determine their legality, validity, enforceability and correctness of form.

SECTION 303. Remedies and Sanctions. — Local government unit shall appropriate in their respective annual budgets such amounts as are sufficient to pay the loans and other indebtedness incurred or redeem or retire bonds, debentures, securities, notes and other obligations issued under this Title: *Provided*, That failure to provide the appropriations herein required shall render their annual budgets inoperative.

TITLE V.

Local Fiscal Administration

CHAPTER I

General Provisions

SECTION 304. Scope. — This Title shall govern the conduct and management of financial affairs, transactions, and operations of provinces, cities, municipalities, and barangays.

SECTION 305. *Fundamental Principles.* — The financial affairs, transactions, and operations of local government units shall be governed by the following fundamental principles:

(a) No money shall be paid out of the local treasury except in pursuance of an appropriations ordinance or law;

(b) Local government funds and monies shall be spent solely for public purposes;

(c) Local revenue is generated only from sources expressly authorized by law or ordinance, and collection thereof shall at all times be acknowledged properly;

(d) All monies officially received by a local government officer in any capacity or on any occasion shall be accounted for as local funds, unless otherwise provided by law;

(e) Trust funds in the local treasury shall not be paid out except in fulfillment of the purpose for which the trust was created or the funds received;

(f) Every officer of the local government unit whose duties permit or require the possession or custody of local funds shall be properly bonded, and such officer shall be accountable and responsible for said funds and for the safekeeping thereof in conformity with the provisions of law;

(g) Local governments shall formulate sound financial plans, and local budgets shall be based on functions, activities, and projects, in terms of expected results;

(h) Local budget plans and goals shall, as far as practicable, be harmonized with national development plans, goals, and strategies in order to optimize the utilization of resources and to avoid duplication in the use of fiscal and physical resources;

(i) Local budgets shall operationalize approved local development plans;

(j) Local government units shall ensure that their respective budgets incorporate the requirements of their component units and provide for equitable allocation of resources among these component units;

(k) National planning shall be based on local planning to ensure that the needs and aspirations of the people as articulated by the local government units in their respective local development plans are considered in the formulation of budgets of national line agencies or offices;

(l) Fiscal responsibility shall be shared by all those exercising authority over the financial affairs, transactions, and operations of the local government units; and

(m) The local government unit shall endeavor to have a balanced budget in each fiscal year of operation.

SECTION 306. *Definition of Terms.* — When used in this Title, the term:

(a) “*Annual Budget*” refers to a financial plan embodying the estimates of income and expenditures for one (1) fiscal year;

(b) “*Appropriation*” refers to an authorization made by ordinance, directing the payment of goods and services from local government funds under specified conditions or for specific purposes;

(c) “*Budget Document*” refers to the instrument used by the local chief executive to present a comprehensive financial plan to the sanggunian concerned;

(d) “*Capital Outlays*” refers to appropriations for the purchase of goods and services, the benefits of which extend beyond the fiscal year and which add to the assets of the local government unit concerned, including investments in public utilities such as public markets and slaughterhouses;

(e) “*Continuing Appropriation*” refers to an appropriation available to support obligations for a specified purpose or projects, such as those for the construction of physical structures or for the acquisition of real property or equipment, even when these obligations are incurred beyond the budget year;

(f) “*Current Operating Expenditures*” refers to appropriations for the purchase of goods and services for the conduct of normal local government operations within the fiscal year, including goods and services that will be used or consumed during the budget year;

(g) “*Expected Results*” refers to the services, products, or benefits that shall accrue to the public, estimated in terms of performance measures or physical targets;

(h) "*Fund*" refers to a sum of money, or other assets convertible to cash, set aside for the purpose of carrying out specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations, and constitutes an independent fiscal and accounting entity;

(i) "*Income*" refers to all revenues and receipts collected or received forming the gross accretions of funds of the local government unit;

(j) "*Obligations*" refers to an amount committed to be paid by the local government unit for any lawful act made by an accountable officer for and in behalf of the local government unit concerned;

(k) "*Personal Services*" refers to appropriations for the payment of salaries, wages and other compensation of permanent, temporary, contractual, and casual employees of the local government unit;

(l) "*Receipts*" refers to income realized from operations and activities of the local government or are received by it in the exercise of its corporate functions, consisting of charges for services rendered, conveniences furnished, or the price of a commodity sold, as well as loans, contributions or aids from other entities, except provisional advances for budgetary purposes; and

(m) "*Revenue*" refers to income derived from the regular system of taxation enforced under authority of law or ordinance, and, as such, accrue more or less regularly every year.

CHAPTER II

Local and Other Special Funds

ARTICLE I

Receipts, Safekeeping Article and Disposition of Local Funds

SECTION 307. *Remittance of Government Monies to the Local Treasury.* — Officers of the local government authorized to receive and collect monies arising from taxes, revenues, or receipts of any kind shall remit the full amount received and collected to the treasury of such local government unit which shall be credited to the particular account or accounts to which the monies in question properly belong.

SECTION 308. *Local Funds.* — Every local government unit shall maintain a General Fund which shall be used to account for such monies and resources as may be received by and disbursed from the local treasury. The General Fund shall consist of monies and resources of the local government which are available for the payment of expenditures, obligations or purposes not specifically declared by law as accruing and chargeable to, or payable from, any other fund.

SECTION 309. *Special Funds.* — There shall be maintained in every provincial, city, or municipal treasury the following special funds:

(a) Special Education Fund (SEF) which shall consist of the respective shares of provinces, cities, municipalities and barangays in the proceeds of the additional tax on real property to be appropriated for purposes prescribed in Section 272 of this Code; and

(b) Trust funds shall consist of private and public monies which have officially come into the possession of the local government or of a local government official as trustee, agent or administrator, or which have been received as a guaranty for the fulfillment of some obligation. A trust fund shall only be used for the specific purpose for which it was created or for which it came into the possession of the local government unit.

SECTION 310. *Separation of Books and Depository Accounts.* — Local accountants and treasurers shall maintain separate books and depository accounts, respectively, for each fund in their custody or administration under such rules and regulations as the Commission on Audit may prescribe.

SECTION 311. *Depository Accounts.* — Local treasurers shall maintain depository accounts in the name of their respective local government units with banks, preferably government-owned, located in or nearest to their respective areas of jurisdiction. Earnings of each depository account shall accrue exclusively thereto.

SECTION 312. *Separation of Personal Money from Public Funds.* — Local treasurers and other accountable officers shall keep personal monies separate and distinct from local public funds in their custody and shall not make profit out of public money or otherwise apply the same to any use not authorized by law or ordinance.

ARTICLE II

Special Accounts

SECTION 313. *Special Accounts to be Maintained in the General Fund.* — Local government units shall maintain special accounts in the general fund for the following:

- (a) Public utilities and other economic enterprises;
- (b) Loans, interests, bond issues, and other contributions for specific purposes; and
- (c) Development projects funded from the share of the local government unit concerned in the internal revenue allotment and such other special accounts which may be created by law or ordinance.

Receipts, transfers, and expenditures involving the foregoing special accounts shall be properly taken up thereunder.

Profits or income derived from the operation of public utilities and other economic enterprises, after deduction for the cost of improvement, repair and other related expenses of the public utility or economic enterprise concerned, shall first be applied for the return of the advances or loans made therefor. Any excess shall form part of the general fund of the local government unit concerned.

CHAPTER III

Budgeting

ARTICLE I

Local Government Budgets

SECTION 314. *Form and Content.* — (a) Local government budgets shall primarily consists of two (2) parts:

- (1) The estimates of income; and
 - (2) The total appropriations covering the current operating expenditures and capital outlays.
- (b) The budget document shall contain:
- (1) A budget message of the local chief executive setting forth in brief the significance of the executive budget, particularly in relation to the approved local development plan;

(2) A brief summary of the functions, projects, and activities to be accomplished in pursuit of the goals and objectives of the local government unit for the ensuing fiscal year, specifically the delivery of basic services or facilities enumerated under Section 17 of this Code;

(3) Summary of financial statements setting forth:

(i) The actual income and expenditures during the immediately preceding year;

(ii) The actual income and expenditures of the first two (2) quarters and the estimates of income and expenditures for the last two (2) quarters of the current fiscal year;

(iii) The estimates of income for the ensuing fiscal year from ordinances and laws existing at the time the proposed budget is transmitted, together with other revenue-raising proposals;

(iv) The estimated expenditures necessary to carry out the functions, projects, and activities of the local government unit for the ensuing fiscal year;

(v) All essential facts regarding the bonded and other long-term obligations and indebtedness of the local government unit, if any;

(vi) Summary statement of all statutory and contractual obligations due; and

(vii) Such other financial statements and data as are deemed necessary or desirable in order to disclose in all practicable detail the financial condition of the local government unit.

SECTION 315. *Submission of Detailed Statements of Income and Expenditures.* — (a) On or before the fifteenth (15th) day of July of each year, local treasurers shall submit to their respective local chief executives a certified statement covering the income and expenditures of the preceding fiscal year, the actual income and expenditures of the first two (2) quarters of the current year, and the estimated income and expenditures for the last two (2) quarters of the current year.

SECTION 316. *Local Finance Committee.* — There is hereby created in every province, city or municipality a local finance committee to be composed of the local planning and development officer, the local budget officer, and the local treasurer. It shall exercise the following functions:

(a) Determine the income reasonably projected as collectible for the ensuing fiscal year;

(b) Recommend the appropriate tax and other revenue measures or borrowings which may be appropriate to support the budget;

(c) Recommend to the local chief executive concerned the level of the annual expenditures and the ceilings of spending for economic, social, and general services based on the approved local development plans;

(d) Recommend to the local chief executive concerned the proper allocation of expenditures for each development activity between current operating expenditures and capital outlays;

(e) Recommend to the local chief executive concerned the amount to be allocated for capital outlay under each development activity or infrastructure project;

(f) Assist the sangguniang panlalawigan in the review and evaluation of budget of component cities and municipalities in the case of provincial finance committee, the barangay budgets in the case of city or municipal finance committee, and recommend the appropriate action thereon;

(g) Assist the sanggunian concerned in the analysis and review of annual regular and supplemental budgets of the respective local government unit to determine compliance with statutory and administrative requirements; and

(h) Conduct semi-annual review and general examination of cost and accomplishments against performance standards applied in undertaking development projects.

A copy of this report shall be furnished the local chief executive and the sanggunian concerned, and shall be posted in conspicuous and publicly accessible places in the provinces, cities, municipalities and barangays.

SECTION 317. *Submission of Budget Proposals by Heads of Departments or Offices.* — (a) Each head of department or office shall submit a budget proposal for his department or office to the local chief executive on or before the fifteenth (15th) of July of each year: *Provided*, That the budget proposal of each department or office shall be categorized under either economic, social or general services: *Provided, further*, That each service shall be covered by the budget of at least one (1) department or office of the local government unit concerned.

The said budget proposal shall be prepared in accordance with such policy and program guidelines as the local chief executive concerned may issue in conformity with the local development plan, the budgetary ceilings prescribed by the local finance committee, and the general requirements prescribed in this Title.

(b) Budget proposals of departments or offices shall be divided into two (2) primary categories, namely: the current operating expenditures and the capital outlays. Such budget proposals shall contain the following information:

(1) Objectives, functions, and projects showing the general character and relative importance of the work to be accomplished or the services to be rendered, and the cost thereof;

(2) Organizational charts and staffing patterns indicating the list of plantilla positions with their corresponding salaries, and proposals for reclassification of positions and salary changes, as well as the creation of new positions with their proposed salary grade, duly supported by proper justification;

(3) Brief description of the functions, projects and activities for the ensuing fiscal year, expected results for each function, project and activity, and the nature of work to be performed, including the objects of expenditure for each function, project and activity;

(4) Relation of the work and financial proposals to approved local development plans;

(5) Estimated current operating expenditures and capital outlays with comparative data for the last two (2) preceding, current, and ensuing fiscal years; and

(6) Accomplishment reports for the last two (2) preceding and current fiscal years.

SECTION 318. *Preparation of the Budget by the Local Chief Executive.* — Upon receipt of the statements of income and expenditures from the treasurer, the budget proposals of the heads of departments and offices, and the estimates of income and budgetary ceilings from the local finance committee, the local chief executive shall prepare the executive budget for the ensuing fiscal year in accordance with the provisions of this Title.

The local chief executive shall submit the said executive budget to the sanggunian concerned not later than the sixteenth (16th) of October of the current fiscal year. Failure to submit such budget on the date prescribed herein shall subject the local chief executive to such criminal and administrative penalties as provided for under this Code and other applicable laws.

SECTION 319. *Legislative Authorization of the Budget.* — On or before the end of the current fiscal year, the sanggunian concerned shall, through an ordinance, the annual budget of the local government unit for the ensuing fiscal year on the basis of the estimates of income and expenditures submitted by the local chief executive.

SECTION 320. *Effectivity of Budgets.* — The ordinance enacting the annual budget shall take effect at the beginning of the ensuing calendar year. An ordinance enacting a supplemental budget, however, shall take effect upon its approval or on the date fixed therein.

The responsibility for the execution of the annual and supplemental budgets and the accountability therefor shall be vested primarily in the local chief executive concerned.

SECTION 321. *Changes in the Annual Budget.* — All budgetary proposals shall be included and considered in the budget preparation process. After the local chief executive concerned shall have submitted the executive budget to the sanggunian, no ordinance providing for a supplemental budget shall be enacted, except when supported by funds actually available as certified by the local treasurer or by new revenue sources.

A supplemental budget may also be enacted in times of public calamity by way of budgetary realignment to set aside appropriations for the purchase of supplies and materials or the payment of services which are exceptionally urgent or absolutely indispensable to prevent

imminent danger to, or loss of, life or property, in the jurisdiction of the local government unit or in other areas declared in a state of calamity by the President. Such ordinance shall clearly indicate the sources of funds available for appropriations, as certified under oath by the local treasurer and local accountant and attested to by the local chief executive, and the various items of appropriations affected and the reasons for the change.

SECTION 322. *Reversion of Unexpended Balances of Appropriations, Continuing Appropriations.* — Unexpended balances of appropriations authorized in the annual appropriations ordinance shall revert to the unappropriated surplus of the general fund at the end of the fiscal year and shall not thereafter be available for the expenditure except by subsequent enactment. However, appropriations for capital outlays shall continue and remain valid until fully spent, reverted or the project is completed. Reversions of continuing appropriations shall not be allowed unless obligations therefor have been fully paid or otherwise settled.

The balances of continuing appropriations shall be reviewed as part of the annual budget preparation and the sanggunian concerned may approve, upon recommendation of the local chief executive, the reversion of funds no longer needed in connection with the activities funded by said continuing appropriations subject to the provisions of this section.

SECTION 323. *Failure to Enact the Annual Appropriations.* — In case the sanggunian concerned fails to pass the ordinance authorizing the annual appropriations at the beginning of the ensuing fiscal year, it shall continue to hold sessions, without additional remuneration for its members, until such ordinance is approved, and no other business may be taken up during such sessions. If the sanggunian still fails to enact such ordinance after ninety (90) days from the beginning of the fiscal year, the ordinance authorizing the appropriations of the preceding year shall be deemed reenacted and shall remain in force and effect until the ordinance authorizing the proposed appropriations is passed by the sanggunian concerned. However, only the annual appropriations for salaries and wages of existing positions, statutory and contractual obligations, and essential operating expenses authorized in the annual and supplemental budgets for the preceding year shall be deemed reenacted and disbursement of funds shall be in accordance therewith.

In the implementation of such reenacted ordinance, the local treasurer concerned shall exclude from the estimates of income for the preceding fiscal year those realized from nonrecurring sources, like national aids, proceeds from loans, sale of assets, prior year adjustments, and other analogous sources of income. No ordinance authorizing supplemental appropriations shall be passed in place of the annual appropriations.

In case the revised income estimates be less than the aggregate reenacted appropriations, the local treasurer concerned shall accordingly advise the sanggunian concerned which shall, within ten (10) days from the receipt of such advice, make the necessary adjustments or reductions. The revised appropriations authorized by the sanggunian concerned shall then be the basis for disbursements.

SECTION 324. *Budgetary Requirements.* — The budgets of local government units for any fiscal year shall comply with the following requirements:

(a) The aggregate amount appropriated shall not exceed the estimates of income;

(b) Full provision shall be made for all statutory and contractual obligations of the local government unit concerned: *Provided, however,* That the amount of appropriations for debt servicing shall not exceed twenty percent (20%) of the regular income of the local government unit concerned;

(c) In the case of provinces, cities, and municipalities, aid to component barangays shall be provided in amounts of not less than One thousand pesos (P1,000.00) per barangay; and

(d) Five percent (5%) of the estimated revenue from regular sources shall be set aside as an annual lump sum appropriation for unforeseen expenditures arising from the occurrence of calamities: *Provided, however,* That such appropriation shall be used only in the area, or a portion thereof, of the local government unit or other areas declared in a state of calamity by the President.

SECTION 325. *General Limitations.* — The use of the provincial, city, and municipal funds shall be subject to the following limitations:

(a) The total appropriations, whether annual or supplemental, for personal services of a local government unit for one (1) fiscal year shall not exceed forty-five percent (45%) in the case of first to third class provinces, cities and municipalities, and fifty-five

percent (55%) in the case of fourth class or lower, of the total annual income from regular sources realized in the next preceding fiscal year. The appropriations for salaries, wages, representation and transportation allowances of officials and employees of the public utilities and economic enterprises owned, operated, and maintained by the local government unit concerned shall not be included in the annual budget or in the computation of the maximum amount for personal services. The appropriations for the personal services of such economic enterprises shall be charged to their respective budgets;

(b) No official or employee shall be entitled to a salary rate higher than the maximum fixed for his position or other positions of equivalent rank by applicable laws or rules and regulations issued thereunder;

(c) No local fund shall be appropriated to increase or adjust salaries or wages of officials and employees of the national government, except as may be expressly authorized by law;

(d) In cases of abolition of positions and the creation of new ones resulting from the abolition of existing positions in the career service, such abolition or creation shall be made in accordance with pertinent provisions of this Code and the civil service law, rules and regulations;

(e) Positions in the official plantilla for career positions which are occupied by incumbents holding permanent appointments shall be covered by adequate appropriations;

(f) No changes in designation or nomenclature of positions resulting in a promotion or demotion in rank or increase or decrease in compensation shall be allowed, except when the position is actually vacant, and the filling of such positions shall be strictly made in accordance with the civil service law, rules and regulations;

(g) The creation of new positions and salary increases or adjustments shall in no case be made retroactive; and

(h) The annual appropriations for discretionary purposes of the local chief executive shall not exceed two percent (2%) of the actual receipts derived from basic real property tax in the next preceding calendar year. Discretionary funds shall be disbursed only for public purposes to be supported by appropriate vouchers and subject to such guidelines as may be prescribed by law. No amount shall be appropriated for the same purpose except as authorized under this section.

SECTION 326. *Review of Appropriation Ordinances of Provinces, Highly-Urbanized Cities, Independent Component Cities, and Municipalities within the Metropolitan Manila Area.* — The Department of Budget and Management shall review ordinances authorizing the annual or supplemental appropriations of provinces, highly-urbanized cities, independent component cities, and municipalities within the Metropolitan Manila Area in accordance with the immediately succeeding section.

SECTION 327. *Review of Appropriation Ordinances of Component Cities and Municipalities.* — The sangguniang panlalawigan shall review the ordinance authorizing annual or supplemental appropriations of component cities and municipalities in the same manner and within the same period prescribed for the review of other ordinances.

If within ninety (90) days from receipt of copies of such ordinance, the sangguniang panlalawigan takes no action thereon, the same shall be deemed to have been reviewed in accordance with law and shall continue to be in full force and effect. If within the same period, the sangguniang panlalawigan shall have ascertained that the ordinance authorizing annual or supplemental appropriations has not complied with the requirements set forth in this Title, the sangguniang panlalawigan shall, within the ninety-day period hereinabove prescribed, declare such ordinance inoperative in its entirety or in part. Items of appropriation contrary to limitations prescribed in this Title or in excess of the amounts prescribed herein shall be disallowed or reduced accordingly.

The sangguniang panlalawigan shall, within the same period, advise the sangguniang panlungsod or sangguniang bayan concerned, through the local chief executive, of any action on the ordinance under review. Upon receipt of such advice, the city or municipal treasurer concerned shall not make further disbursements of funds from any of the items of appropriation declared inoperative, disallowed or reduced.

SECTION 328. *Duration of Appropriation.* — Appropriations for ordinary administrative purposes not duly obligated shall terminate with the fiscal year and all unexpended balances thereof shall be automatically reverted on the thirty-first (31st) day of December of each year to the general fund of the local government unit.

ARTICLE II

Barangay Budgets

SECTION 329. *Barangay Funds.* — Unless otherwise provided in this Title, all the income of the barangay from whatever source shall accrue to its general fund and shall, at the option of the barangay concerned, be kept as trust fund in the custody of the city or municipal treasurer or be deposited in a bank, preferably government-owned, situated in or nearest to its area of jurisdiction. Such funds shall be disbursed in accordance with the provisions of this Title. Ten percent (10%) of the general fund of the barangay shall be set aside for the sangguniang kabataan.

SECTION 330. *Submission of Detailed Statements of Income and Expenditures for the Barangay Budgets.* — On or before the fifteenth (15th) day of September of each year, the barangay treasurer shall submit to the punong barangay a statement covering the estimates of income and expenditures for the ensuing fiscal year, based on a certified statement issued by the city or municipal treasurer covering the estimates of income from local sources for the barangay concerned.

SECTION 331. *Preparation of the Barangay Budget.* — (a) Upon receipt of the statement of income and expenditures from the barangay treasurer, the punong barangay shall prepare the barangay budget for the ensuing fiscal year in the manner and within the period prescribed in this Title and submit the annual barangay budget to the sangguniang barangay for legislative enactment.

(b) The total annual appropriations for personal services of a barangay for one (1) fiscal year shall not exceed fifty-five percent (55%) of the total annual income actually realized from local sources during the next preceding fiscal year.

(c) The barangay budget shall likewise be subject to the same budgetary requirements and limitations hereinabove prescribed.

SECTION 332. *Effectivity of Barangay Budgets.* — The ordinance enacting the annual budget shall take effect at the beginning of the ensuing calendar year. An ordinance enacting a supplemental budget, however, shall take effect upon its approval or on the date fixed therein.

The responsibility for the execution of the annual and supplemental budgets and the accountability therefor shall be vested primarily in the punong barangay concerned.

SECTION 333. *Review of the Barangay Budget.* — (a) Within ten (10) days from its approval, copies of the barangay ordinance authorizing the annual appropriations shall be furnished the sangguniang panlungsod or the sangguniang bayan, as the case may be, through the city or municipal budget officer. The sanggunian concerned shall have the power to review such ordinance in order to ensure that the provisions of this Title are complied with. If within sixty (60) days after the receipt of the ordinance, the sanggunian concerned takes no action thereon, the same shall continue to be in full force and effect. If within the same period, the sanggunian concerned shall have ascertained that the ordinance contains appropriations in excess of the estimates of the income duly certified as collectible, or that the same has not complied with the budgetary requirements set forth in this Title, the said ordinance shall be declared inoperative in its entirety or in part. Items of appropriation contrary to, or in excess of, any of the general limitations or the maximum amount prescribed in this Title shall be disallowed or reduced accordingly.

(b) Within the period hereinabove fixed, the sangguniang panlungsod or sangguniang bayan concerned shall return the barangay ordinance, through the city or municipal budget officer, to the punong barangay with the advice of action thereon for proper adjustments, in which event, the barangay shall operate on the ordinance authorizing annual appropriations of the preceding fiscal year until such time that the new ordinance authorizing annual appropriations shall have met the objections raised. Upon receipt of such advice, the barangay treasurer or the city or municipal treasurer who has custody of the funds shall not make further disbursement from any item of appropriation declared inoperative, disallowed, or reduced.

SECTION 334. *Barangay Financial Procedures.* — (a) The barangay treasurer shall collect all taxes, fees, and other charges due and contributions accruing to the barangay for which he shall issue official receipts, and shall deposit all collections with the city or municipal treasury or in the depository account maintained in the name of the barangay within five (5) days after receipt thereof. He may collect real property taxes and such other taxes as may be imposed by a province, city or municipality that are due in his barangay only after being deputized by the local treasurer concerned for the purpose.

(b) The barangay treasurer may be authorized by the sangguniang barangay to make direct purchases amounting to not more than One thousand pesos (P1,000.00) at any time for the ordinary and essential needs of the barangay. The petty cash that the barangay treasurer may be authorized to hold for the purpose shall not exceed twenty percent (20%) of the funds available and to the credit of the barangay treasury.

(c) The financial records of the barangay shall be kept in the office of the city or municipal accountant in simplified manner as prescribed by the Commission on Audit (COA). Representatives of the COA shall audit such accounts annually or as often as may be necessary and make a report of the audit to the sangguniang panlungsod or sangguniang bayan, as the case may be. The COA shall prescribe and put into effect simplified procedures for barangay finances within six (6) months following the effectivity of this Code.

CHAPTER IV

Expenditures, Disbursements, Accounting and Accountability

SECTION 335. *Prohibitions Against Expenditures for Religious or Private Purposes.* — No public money or property shall be appropriated or applied for religious or private purposes.

SECTION 336. *Use of Appropriated Funds and Savings.* — Funds shall be available exclusively for the specific purpose for which they have been appropriated. No ordinance shall be passed authorizing any transfer of appropriations from one item to another. However, the local chief executive or the presiding officer of the sanggunian concerned may, by ordinance, be authorized to augment any item in the approved annual budget for their respective offices from savings in other items within the same expense class of their respective appropriations.

SECTION 337. *Restriction Upon Limit of Disbursements.* — Disbursements in accordance with appropriations in the approved annual budget may be made from any local fund in the custody of the treasurer, but the total disbursements from any local fund shall in no case exceed fifty percent (50%) of the uncollected estimated revenue accruing to such local fund in addition to the actual collections: *Provided, however,* That no cash overdraft in any local fund shall be incurred at the end of the fiscal year.

In case of emergency arising from a typhoon, earthquake, or any other calamity, the sanggunian concerned may authorize the local treasurer to continue making disbursements from any local fund in his possession in excess of the limitations herein provided, but only for such purposes and amounts included in the approved annual budgets.

Any overdraft which may be incurred at the end of the year in any local fund by virtue of the provisions hereof shall be covered with the first collections of the immediately succeeding fiscal year accruing to such local fund.

SECTION 338. *Prohibitions Against Advance Payments.* — No money shall be paid on account of any contract under which no services have been rendered or goods delivered.

SECTION 339. *Cash Advances.* — No cash advance shall be granted to any local official or employee, elective or appointive, unless made in accordance with the rules and regulations as the COA may prescribe.

SECTION 340. *Persons Accountable for Local Government Funds.* — Any officer of the local government unit whose duty permits or requires the possession or custody of local government funds shall be accountable and responsible for the safekeeping thereof in conformity with the provisions of this Title. Other local officers who, though not accountable by the nature of their duties, may likewise be similarly held accountable and responsible for local government funds through their participation in the use or application thereof.

SECTION 341. *Prohibitions Against Pecuniary Interest.* — Without prejudice to criminal prosecution under applicable laws, any local treasurer, accountant, budget officer, or other accountable local officer having any pecuniary interest, direct or indirect, in any contract, work or other business of the local government unit of which he is an accountable officer shall be administratively liable therefor.

SECTION 342. *Liability for Acts Done Upon Direction of Superior Officer, or Upon Participation of Other Department Heads or Officers of Equivalent Rank.* — Unless he registers his objection in writing, the local treasurer, accountant, budget officer, or other accountable officer shall not be relieved of liability for illegal or improper use or application or deposit of government funds or property

by reason of his having acted upon the direction of a superior officer, elective or appointive, or upon participation of other department heads or officers of equivalent rank. The superior officer directing, or the department head participating in such illegal or improper use or application or deposit of government funds or property, shall be jointly and severally liable with the local treasurer, accountant, budget officer, or other accountable officer for the sum or property so illegally or improperly used, applied or deposited.

SECTION 343. *Prohibition Against Expenses for Reception and Entertainment.* — No money shall be appropriated, used, or paid for entertainment or reception except to the extent of the representation allowances authorized by law or for the reception of visiting dignitaries of foreign governments or foreign missions, or when expressly authorized by the President in specific cases.

SECTION 344. *Certification on, and Approval of, Vouchers.* — No money shall be disbursed unless the local budget officer certifies to the existence of appropriation that has been legally made for the purpose, the local accountant has obligated said appropriation, and the local treasurer certifies to the availability of funds for the purpose. Vouchers and payrolls shall be certified to and approved by the head of the department or office who has administrative control of the fund concerned, as to validity, propriety, and legality of the claim involved. Except in cases of disbursements involving regularly recurring administrative expenses such as payrolls for regular or permanent employees, expenses for light, water, telephone and telegraph services, remittances to government creditor agencies such as GSIS, SSS, LBP, DBP, National Printing Office, Procurement Service of the DBM and others, approval of the disbursement voucher by the local chief executive himself shall be required whenever local funds are disbursed.

In cases of special or trust funds, disbursements shall be approved by the administrator of the fund.

In case of temporary absence or incapacity of the department head or chief of office, the officer next-in-rank shall automatically perform his function and he shall be fully responsible therefor.

SECTION 345. *Officials Authorized to Draw Checks in Settlement of Obligations.* — Checks in settlement of obligations shall be drawn by the local treasurer and countersigned by the local administrator.

In case of temporary absence or incapacity of the foregoing officials, these duties shall devolve upon their immediate assistants.

SECTION 346. *Disbursements of Local Funds and Statement of Accounts.* — Disbursements shall be made in accordance with the ordinance authorizing the annual or supplemental appropriations without the prior approval of the sanggunian concerned. Within thirty (30) days after the close of each month, the local accountant shall furnish the sanggunian with such financial statements as may be prescribed by the COA. In the case of the year-end statement of accounts, the period shall be sixty (60) days after the thirty-first (31st) of December.

SECTION 347. *Rendition of Accounts.* — Local treasurers, accountants and other local accountable officers shall render their accounts within such time, in such form, style, and content and under such regulations as the COA may prescribe.

Provincial, city, and municipal auditors shall certify the balances arising in the accounts settled by them to the Chairman of the COA and to the local treasurer, accountant, and other accountable officers. Copies of the certification shall be prepared and furnished other local officers who may be held jointly and severally liable for any loss or illegal, improper or unauthorized use or misappropriation of local funds or property.

SECTION 348. *Auditorial Visitation.* — The books, accounts, papers, and cash of local treasurer, accountant, budget officer, or other accountable officers shall at all times be open for inspection of the COA or its duly authorized representative.

In case an examination of the accounts of a local treasurer discloses a shortage in cash which should be on hand, it shall be the duty of the examining officer to seize the office and its contents and notify the COA, the local chief executive concerned, and the local accountant. Thereupon, the examining officer shall immediately turn over to the accountable officer next-in-rank in the local treasury service, unless the said officer is likewise under investigation, the office of the treasurer and its contents, and close and render his accounts on the date of turnover. In case the accountable officer next in rank is under investigation, the auditor shall take full possession of the office and its contents, close and render his accounts on the date of taking possession, and temporarily continue the public business of such office until such time that the local treasurer is restored

or a successor has been duly designated. The local treasurer or accountable officer found with such shortage shall be automatically suspended from office.

SECTION 349. *Accounting for Revenues.* — Estimated revenues which remain unrealized at the close of the fiscal year shall not be booked or credited to the unappropriated surplus or any other account.

SECTION 350. *Accounting for Obligations.* — All lawful expenditures and obligations incurred during a fiscal year shall be taken up in the accounts of that year.

SECTION 351. *General Liability for Unlawful Expenditures.* — Expenditures of funds or use of property in violation of this Title and other laws shall be a personal liability of the official or employee responsible therefor.

SECTION 352. *Posting of the Summary of Income and Expenditures.* — Local treasurers, accountants, budget officers, and other accountable officers shall, within thirty (30) days from the end of each fiscal year, post in at least three (3) publicly accessible and conspicuous places in the local government unit a summary of all revenues collected and funds received including the appropriations and disbursements of such funds during the preceding fiscal year.

SECTION 353. *The Official Fiscal Year.* — The official fiscal year of local government units shall be the period beginning with the first (1st) day of January and ending with the thirty-first (31st) day of December of the same year.

SECTION 354. *Administrative Issuances; Budget Operations Manual.* — The Secretary of Budget and Management jointly with the Chairman of the COA shall, within one (1) year from the effectivity of this Code, promulgate a Budget Operations Manual for local government units to improve and systematize methods, techniques, and procedures employed in budget preparation, authorization, execution, and accountability.

Property and Supply Management in the Local Government Units

SECTION 355. *Scope.* — This Title shall govern the procurement, care, utilization, custody, and disposal of supplies, as defined herein, by local government units and the other aspects of supply management at the local levels.

SECTION 356. *General Rule in Procurement or Disposal.* — Except as otherwise provided herein, acquisition of supplies by local government units shall be through competitive public bidding. Supplies which have become unserviceable or no longer needed shall be sold, whenever applicable, at public auction, subject to applicable rules and regulations.

SECTION 357. *Definition of Terms.* — When used in this Title, the term:

(a) "*Lowest Complying and Responsible Bid*" refers to the proposal of one who offers the lowest price, meets all the technical specifications and requirements of the supplies desired and, as a dealer in the line of supplies involved, maintains a regular establishment, and has complied consistently with previous commitments;

(b) "*Suitable Substitute*" refers to that kind of article which would serve substantially the same purpose or produce substantially the same results as the brand, type, or make of article originally desired or requisitioned;

(c) "*Supplies*" includes everything, except real property, which may be needed in the transaction of public business or in the pursuit of any undertaking, project, or activity, whether in the nature of equipment, furniture, stationary materials for construction or personal property of any sort, including non-personal or contractual services such as the repair and maintenance of equipment and furniture, as well as trucking, hauling, janitorial, security, and related services; and

(d) "*Terms and Conditions*" refer to other requirements not affecting the technical specifications and requirements of the required supplies desired such as bonding, terms of delivery and payment, and related preferences.

SECTION 358. *Requirement of Requisition.* — Any order for supplies shall be filled by the provincial or city general services officer or the municipal or barangay treasurer concerned, as the case may be, for any office or department of a local government unit only upon written requisition as hereinafter provided.

SECTION 359. *Officers Having Authority to Draw Requisitions.* — Requisitions shall be prepared by the head of office or department needing the supplies, who shall certify as to their necessity for official use and specify the project or activity where the supplies are to be used.

SECTION 360. *Certification by the Local Budget Officer, Accountant, and Treasurer.* — Every requisition must be accompanied by a certificate signed by the local budget officer, the local accountant, and the local treasurer showing that an appropriation therefor exists, the estimated amount of such expenditure has been obligated, and the funds are available for the purpose, respectively.

SECTION 361. *Approval of Requisitions.* — Approval of the requisition by the head of office or department concerned who has administrative control of the appropriation against which the proposed expenditure is chargeable is deemed sufficient, except in case of requisition for supplies to be carried in stock which shall be approved by the local chief executive concerned: *Provided*, That such supplies are listed or included in the annual procurement plan and the maximum quantity thereof does not exceed the estimated consumption corresponding to a programmed three-month period: *Provided, further*, That nothing herein contained shall be held as authorizing the purchase of furniture and equipment for stock purposes.

SECTION 362. *Call for Bids.* — When procurement is to be made by local government units, the provincial or city general services officer or the municipal or barangay treasurer shall call bids for open public competition. The call for bids shall show the complete specifications and technical descriptions of the required supplies and shall embody all terms and conditions of participation and award, terms of delivery and payment, and all other covenants affecting the transaction. In all calls for bids, the right to waive any defect in the tender as well as the right to accept the bid most advantageous to the government shall be reserved. In no case, however, shall failure to meet the specifications or technical requirements of the supplies desired be waived.

SECTION 363. *Publication of Call for Bids.* — The call for bids shall be given the widest publicity possible, sending, by mail or otherwise, any known prospective participant in the locality, of copies of the call and by posting copies of the same in at least three (3) publicly accessible and conspicuous places in the provincial capitol or city, municipal, or barangay hall, as the case may be.

The notice of the bidding may likewise be published in a newspaper of general circulation in the territorial jurisdiction of the local government unit concerned when the provincial or city general services officer or the municipal or barangay treasurer, as the case may be, deems it necessary in order to obtain the lowest responsible and complying bid.

The opening of bids shall only be made in the presence of the provincial or city auditor or his duly authorized representative who shall initial and secure copies of the bids and certify the abstract of the bidding.

SECTION 364. *The Committee on Awards.* — There shall be in every province, city or municipality a Committee on Awards to decide the winning bids and questions of awards on procurement and disposal of property.

The Committee on Awards shall be composed of the local chief executive as chairman, the local treasurer, the local accountant, the local budget officer, the local general services officer, and the head of office or department for whose use the supplies are being procured, as members. In case a head of office or department would sit in a dual capacity, a member of the sanggunian elected from among its members shall sit as a member. The Committee on Awards at the barangay level shall be the sangguniang barangay. No national official shall sit as a member of the Committee on Awards.

The results of the bidding shall be made public by conspicuously posting the same in the provincial capitol or city, municipal, or barangay hall.

SECTION 365. *Rule on Awards.* — Awards in the procurement of supplies shall be given to the lowest complying and responsible bid which meets all the terms and conditions of the contract or undertaking.

SECTION 366. *Procurement Without Public Bidding.* — Procurement of supplies may be made without the benefit of public bidding under any of the following modes:

- (a) Personal canvass of responsible merchants;
- (b) Emergency purchase;
- (c) Negotiated purchase;
- (d) Direct purchase from manufacturers or exclusive distributors; and
- (e) Purchase from other government entities.

SECTION 367. *Procurement through Personal Canvass.* — Upon approval by the Committee on Awards, procurement of supplies may be effected after personal canvass of at least three (3) responsible suppliers in the locality by a committee of three (3)

composed of the local general services officer or the municipal or barangay treasurer, as the case may be, the local accountant, and the head of office or department for whose use the supplies are being procured. The award shall be decided by the Committee on Awards.

Purchases under this section shall not exceed the amounts specified hereunder for all items in any one (1) month for each local government unit:

Provinces and Cities and Municipalities within the Metropolitan Manila Area:

First and Second Class — One hundred fifty thousand pesos (P150,000.00)

Third and Fourth Class — One hundred thousand pesos (P100,000.00)

Fifth and Sixth Class — Fifty thousand pesos (P50,000.00)

Municipalities:

First Class — Sixty thousand pesos (P60,000.00)

Second and Third Class — Forty thousand pesos (P40,000.00)

Fourth Class and Below — Twenty thousand pesos (P20,000.00)

SECTION 368. *Emergency Purchase.* — In cases of emergency where the need for the supplies is exceptionally urgent or absolutely indispensable and only to prevent imminent danger to, or loss of, life or property, local government units may, through the local chief executive concerned, make emergency purchases or place repair orders, regardless of amount, without public bidding. Delivery of purchase orders or utilization of repair orders pursuant to this section shall be made within ten (10) days after placement of the same. Immediately after the emergency purchase or repair order is made, the chief of office or department making the emergency purchase or repair order shall draw a regular requisition to cover the same which shall contain the following:

(a) A complete description of the supplies acquired or the work done or to be performed;

(b) By whom furnished or executed;

(c) Date of placing the order and the date and time of delivery or execution;

(d) The unit price and the total contract price;

(e) A brief and concise explanation of the circumstances why procurement was of such urgency that the same could not be done through the regular course without involving danger to, or loss of, life or property;

(f) A certification of the provincial or city general services or the municipal or barangay treasurer, as the case may be, to the effect that the price paid or contracted for was the lowest at the time of procurement; and

(g) A certification of the local budget officer as to the existence of appropriations for the purpose, the local accountant as to the obligation of the amount involved, and the local treasurer as to the availability of funds.

The goods or services procured under this section must be utilized or availed of within fifteen (15) days from the date of delivery or availability.

Without prejudice to criminal prosecution under applicable laws, the local chief executive, the head of department, or the chief of office making the procurement shall be administratively liable for any violation of this section and shall be a ground for suspension or dismissal from service.

SECTION 369. *Negotiated Purchase.* — (a) In cases where public biddings have failed for two (2) consecutive times and no suppliers have qualified to participate or win in the biddings, local government units may, through the local chief executive concerned, undertake the procurement of supplies by negotiated purchase, regardless of amount, without public bidding: *Provided, however,* That the contract covering the negotiated purchase shall be approved by the sanggunian concerned. Delivery of purchase orders or utilization of repair orders pursuant to this section shall be made within seven (7) days after placement of the same. Immediately after the negotiated purchase or repair order is made, the local chief executive concerned shall draw a regular requisition to cover the same which shall contain the following:

(1) A complete description of the supplies acquired or the work done or to be performed;

(2) By whom furnished or executed;

(3) Date of placing the order and the date and time of delivery or execution;

(4) The unit price and the total contract price;

(5) A certification of the provincial or city general services of the municipal or barangay treasurer, as the case may be, to the effect that the price paid or contracted for was the lowest at the time of procurement;

(6) A certification to the effect that the price paid or contracted for was the lowest at the time of procurement; and

(7) A certification of the local budget officer as to the existence of appropriations for the purpose, the local accountant as to the obligation of the amount involved, and the local treasurer as to the availability of funds.

(b) In case of repeat orders for regular supplies, procurement may be made by negotiated purchase: *Provided*, That the repeat order is made within three (3) months from the last procurement of the same item: *Provided, further*, That the same terms and conditions of sale are obtained for the said repeat order.

SECTION 370. *Procurement from Duly Licensed Manufacturer.*

— Procurement may be made directly from duly licensed manufacturers in cases of supplies of Philippine manufacture or origin and in case there are two (2) or more manufacturers of the required supplies, canvass of the known manufacturers shall be conducted to obtain the lowest price for the quality of the said supplies.

SECTION 371. *Procurement from Exclusive Philippine Agents or Distributors.* — Procurement may, in the case of supplies of foreign origin, preferably be made directly from the exclusive or reputable Philippine distributors or agents, subject to the following conditions:

(a) That the Philippine distributor has no subdealers selling at lower prices; and

(b) That no suitable substitutes of substantially the same quality are available at lower prices.

SECTION 372. *Procurement from Government Entities.* — Procurement may be made directly from the government entities producing the required supplies, including units or agencies of foreign governments with which the Philippines maintains diplomatic relations. In the latter case, prior authority from the Office of the President shall be required.

SECTION 373. *Annual Procurement Program.* — (a) On or before the fifteenth (15th) day of July each year, the local chief executive shall prepare an annual procurement program for the ensuing fiscal year which shall contain an itemized list of the estimated quantity of supplies needed for such year, a complete description thereof as to kind, quality, estimated cost, and balance on hand: *Provided, however,* That the total estimated cost of the approved annual procurement program shall not exceed the total appropriations authorized for the acquisition of supplies. The local government units may augment the supplies and equipment provided by the Supreme Court to the lower courts located in their respective jurisdictions.

(b) Except in emergency cases or where urgent indispensable needs could not have been reasonably anticipated, no purchase of supplies shall be made unless included in, or covered by, the approved procurement program.

(c) The conversion of excess cash into supplies stock is hereby prohibited except to the extent of the kind and quantity specified in the approved annual procurement plan.

A violation of this section shall be a ground for suspension or dismissal of any official or employee responsible therefor.

SECTION 374. *Establishment of an Archival System.* — Every local government unit shall provide for the establishment of an archival system to ensure the safety and protection of all government property, public documents or records such as records of births, marriages, property inventory, land assessments, land ownership, tax payments, tax accounts, and business permits, and such other records or documents of public interest in the various departments and offices of the provincial, city, or municipal government concerned.

SECTION 375. *Primary and Secondary Accountability for Government Property.* — (a) Each head of department or office of a province, city, municipality or barangay shall be primarily accountable for all government property assigned or issued to his department or office. The person or persons entrusted with the possession or custody of government property under the accountability of any head of department or office shall be immediately accountable to such officer.

(b) The head of a department or office primarily accountable for government property may require any person in possession of

the property or having custody and control thereof under him to keep such records and make reports as may be necessary for his own information and protection.

(c) Buildings and other physical structures shall be under the accountability and responsibility of the provincial or city general services officer or the municipal mayor or punong barangay, as the case may be.

(d) Every officer primarily accountable for government property shall keep a complete record of all properties under his charge and render his accounts therefor semiannually to the provincial or city general services officer or the municipal mayor or punong barangay, as the case may be.

SECTION 376. *Responsibility for Proper Use and Care of Government Property.* — The person in actual physical possession of government property or entrusted with its custody and control shall be responsible for its proper use and care and shall exercise due diligence in the utilization and safekeeping thereof.

SECTION 377. *Measure of Liability of Persons Accountable for Government Property.* — (a) The person immediately accountable for government property shall be liable for its money value in case of the illegal, improper or unauthorized use or misapplication thereof, by himself or any other person for whose acts he may be responsible, and he shall be liable for all loss, damage, or deterioration occasioned by negligence in the keeping or use of such property unless it is proved that he has exercised due diligence and care in the utilization and safekeeping thereof.

(b) Unless he registers his objection in writing, an accountable person shall not be relieved from liability by reason of his having acted under the direction of a superior officer in using property with which he is chargeable; but the officer directing any illegal, unauthorized or improper use of property shall first be required to answer therefor.

(c) In cases of loss, damage, or deterioration of government property arising from, or attributable to, negligence in security, the head of the security agency shall be held liable therefor.

SECTION 378. *Credit for Loss Occurring in Transit or Due to Casualty.* — When a loss of government property occurs while the same is in transit or is caused by fire, theft, force majeure, or other

casualty, the officer accountable therefor or having custody thereof shall immediately notify the provincial or city auditor concerned within thirty (30) days from the date the loss occurred or for such longer period as the provincial, city or municipal auditor, as the case may be, may in the particular case allow, and he shall present his application for relief, with the available evidence in support thereof. An officer who fails to comply with this requirement shall not be relieved of liability or allowed credit for any such loss in the settlement of his accounts.

A provincial, city or municipal auditor shall not allow credit for these losses unless so expressly authorized by the Chairman of the Commission on Audit, to be exercised only if the loss is not in excess of Fifty thousand pesos (P50,000.00). In any case when the allowance of credit is not within the competence of the provincial, city or municipal auditor, the application and evidence, with the recommendation of the auditor concerned, shall be forwarded to the Chairman of the Commission on Audit for his appropriate action.

SECTION 379. *Property Disposal.* — When property of any local government unit has become unserviceable for any cause or is no longer needed, it shall, upon application of the officer accountable therefor, be inspected and appraised by the provincial, city or municipal auditor, as the case may be, or his duly authorized representative or that of the Commission on Audit and, if found valueless or unusable, shall be destroyed in the presence of the inspecting officer.

If found valuable, the same shall be sold at public auction to the highest bidder under the supervision of the Committee on Awards and in the presence of the provincial, city or municipal auditor or his duly authorized representative. Notice of the public auction shall be posted in at least three (3) publicly accessible and conspicuous places, and if the acquisition cost exceeds One hundred thousand pesos (P100,000.00) in the case of provinces and cities, and Fifty thousand pesos (P50,000.00) in the case of municipalities, notice of auction shall be published at least two (2) times within a reasonable period in a newspaper of general circulation in the locality.

SECTION 380. *Negotiated Sale of Property.* — Property no longer needed may also be disposed of at a private sale at such price as may be determined by the Committee on Awards, subject

to the approval of the Commission on Audit or its duly authorized representative when the acquisition or transfer cost of the property exceeds Fifty thousand pesos (P50,000.00) in the case of provinces and cities, and Twenty-five thousand pesos (P25,000.00) in the case of municipalities and barangays.

In case of real property, the disposal shall be subject to the approval of the Commission on Audit regardless of the value or cost involved.

SECTION 381. *Transfer Without Cost.* — Property which has become unserviceable or is no longer needed may be transferred without cost to another office, agency, subdivision or instrumentality of the national government or another local government unit at an appraised valuation determined by the local Committee on Awards. Such transfer shall be subject to the approval of the sanggunian concerned making the transfer and by the head of the office, agency, subdivision, instrumentality or local government unit receiving the property.

SECTION 382. *Tax Exemption Privileges of Local Government Units.* — Local government units shall be exempt from the payment of duties and taxes for the importation of heavy equipment or machineries which shall be used for the construction, improvement, repair, and maintenance of roads, bridges and other infrastructure projects, as well as garbage trucks, fire trucks, and other similar equipment: *Provided, however,* That such equipment or machineries shall not be disposed of, either by public auction or negotiated sale as hereinabove provided, within five (5) years from the importation thereof. In case the machinery or equipment is sold within the five-year period, the purchasers or recipients shall be considered the importers thereof, and shall be liable for duties and taxes computed on the book value of such importation.

SECTION 383. *Implementing Rules and Regulations.* — The Chairman of the Commission on Audit shall promulgate the rules and regulations necessary to effectively implement the provisions of this Title, including requirements as to testing, inspection, and standardization of supply and property.

APPENDIX "G"

LOCAL GOVERNMENT OFFICIALS/OFFICES

POWERS AND FUNCTIONS

Barangay Officials and Offices

SECTION 387. *Chief Officials and Offices.* — (a) There shall be in each barangay a punong barangay, seven (7) sangguniang barangay members, the sangguniang kabataan chairman, a barangay secretary, and a barangay treasurer.

(b) There shall also be in every barangay a lupong tagapamayapa. The sangguniang barangay may form community brigades and create such other positions or offices as may be deemed necessary to carry out the purposes of the barangay government in accordance with the needs of public service, subject to the budgetary limitations on personal services prescribed under Title Five, Book II of this Code.

SECTION 388. *Persons in Authority.* — For purposes of the Revised Penal Code, the punong barangay, sangguniang barangay members, and members of the lupong tagapamayapa in each barangay shall be deemed as persons in authority in their jurisdictions, while other barangay officials and members who may be designated by law or ordinance and charged with the maintenance of public order, protection and security of life and property, or the maintenance of a desirable and balanced environment, and any barangay member who comes to the aid of persons in authority, shall be deemed agents of persons in authority.

The Punong Barangay

SECTION 389. *Chief Executive: Powers, Duties, and Functions.*
— (a) The punong barangay, as the chief executive of the barangay government, shall exercise such powers and perform such duties and functions, as provided by this Code and other laws.

(b) For efficient, effective and economical governance, the purpose of which is the general welfare of the barangay and its inhabitants pursuant to Section 16 of this Code, the punong barangay shall:

(1) Enforce all laws and ordinances which are applicable within the barangay;

(2) Negotiate, enter into, and sign contracts for and in behalf of the barangay, upon authorization of the sangguniang barangay;

(3) Maintain public order in the barangay and, in pursuance thereof, assist the city or municipal mayor and the sanggunian members in the performance of their duties and functions;

(4) Call and preside over the sessions of the sangguniang barangay and the barangay assembly, and vote only to break a tie;

(5) Upon approval by a majority of all the members of the sangguniang barangay, appoint or replace the barangay treasurer, the barangay secretary, and other appointive barangay officials;

(6) Organize and lead an emergency group whenever the same may be necessary for the maintenance of peace and order or on occasions of emergency or calamity within the barangay;

(7) In coordination with the barangay development council, prepare the annual executive and supplemental budgets of the barangay;

(8) Approve vouchers relating to the disbursement of barangay funds;

(9) Enforce laws and regulations relating to pollution control and protection of the environment;

(10) Administer the operation of the katarungang pambarangay in accordance with the provisions of this Code;

(11) Exercise general supervision over the activities of the sangguniang kabataan;

(12) Ensure the delivery of basic services as mandated under Section 17 of this Code;

(13) Conduct an annual palamong barangay which shall feature traditional sports and disciplines included in national and international games, in coordination with the Department of Education, Culture and Sports;

(14) Promote the general welfare of the barangay; and

(15) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

(c) In the performance of his peace and order functions, the punong barangay shall be entitled to possess and carry the necessary firearm within his territorial jurisdiction, subject to appropriate rules and regulations.

The Sangguniang Barangay

SECTION 390. *Composition.* — The sangguniang barangay, the legislative body of the barangay, shall be composed of the punong barangay as presiding officer, and the seven (7) regular sangguniang barangay members elected at large and sangguniang kabataan chairman, as members.

SECTION 391. *Powers, Duties, and Functions.* — (a) The sangguniang barangay, as the legislative body of the barangay, shall:

(1) Enact ordinances as may be necessary to discharge the responsibilities conferred upon it by law or ordinance and to promote the general welfare of the inhabitants therein;

(2) Enact tax and revenue ordinances, subject to the limitations imposed in this Code;

(3) Enact annual and supplemental budgets in accordance with the provisions of this Code;

(4) Provide for the construction and maintenance of barangay facilities and other public works projects chargeable to the general fund of the barangay or such other funds actually available for the purpose;

(5) Submit to the sangguniang panlungsod or sangguniang bayan such suggestions or recommendations as it may see fit for the improvement of the barangay or for the welfare of the inhabitants thereof;

(6) Assist in the establishment, organization, and promotion of cooperative enterprises that will improve the economic condition and well-being of the residents;

(7) Regulate the use of multi-purpose halls, multi-purpose pavements, grain or copra dryers, patios and other post-harvest facilities, barangay waterworks, barangay markets, parking areas or other similar facilities constructed with government funds within the jurisdiction of the barangay and charge reasonable fees for the use thereof;

(8) Solicit or accept monies, materials and voluntary labor for specific public works and cooperative enterprises of the barangay from residents, land owners, producers and merchants in the barangay; monies from grants-in-aid, subsidies, contributions, and revenues made available to the barangays from national, provincial, city or municipal funds; and monies from other private agencies and individuals: *Provided, however,* That monies or properties donated by private agencies and individuals for specific purposes shall accrue to the barangay as trust fund;

(9) Solicit or accept, in any or all the foregoing public works and cooperative enterprises, such cooperation as is made available by national, provincial, city, or municipal agencies established by law to render financial, technical, and advisory assistance to barangays and to barangay residents: *Provided, however,* That in soliciting or accepting such cooperation, the sangguniang barangay need not pledge any sum of money for expenditure in excess of amounts currently in the barangay treasury or encumbered for other purposes;

(10) Provide compensation, reasonable allowances or per diems as well as travel expenses for sangguniang barangay members and other barangay officials, subject to the budgetary limitations prescribed under Title Five, Book II of this Code: *Provided, however,* That no increase in the compensation or honoraria of the sangguniang barangay members shall take effect until after the expiration of the full term of all members of the sangguniang barangay approving such increase;

(11) Hold fund-raising activities for barangay projects without the need of securing permits from any national or local office or agency. The proceeds from such activities shall be tax-exempt and shall accrue to the general fund of the

barangay: *Provided*, That in the appropriation thereof, the specific purpose for which such fund-raising activity has been held shall be first satisfied: *Provided, further*, That no fund-raising activities shall be held within a period of sixty (60) days immediately preceding and after a national or local election, recall, referendum, or plebiscite: *Provided, finally*, That said fund-raising activities shall comply with national policy standards and regulations on morals, health, and safety of the persons participating therein. The sangguniang barangay, through the punong barangay, shall render a public accounting of the funds raised at the completion of the project for which the fund-raising activity was undertaken;

(12) Authorize the punong barangay to enter into contracts in behalf of the barangay, subject to the provisions of this Code;

(13) Authorize the barangay treasurer to make direct purchases in an amount not exceeding One thousand pesos (P1,000.00) at any one time for the ordinary and essential administrative needs of the barangay;

(14) Prescribe fines in amounts not exceeding One thousand pesos (P1,000.00) for violation of barangay ordinances;

(15) Provide for the administrative needs of the lupong tagapamayapa and the pangkat ng tagapagkasundo;

(16) Provide for the organization of community brigades, barangay tanod, or community service units as may be necessary;

(17) Organize regular lectures, programs, or fora on community problems such as sanitation, nutrition, literacy, and drug abuse, and convene assemblies to encourage citizen participation in government;

(18) Adopt measures to prevent and control the proliferation of squatters and mendicants in the barangay;

(19) Provide for the proper development and welfare of children in the barangay by promoting and supporting activities for the protection and total development of children, particularly those below seven (7) years of age;

(20) Adopt measures towards the prevention and eradication of drug abuse, child abuse, and juvenile delinquency;

(21) Initiate the establishment of a barangay high school, whenever feasible, in accordance with law;

(22) Provide for the establishment of a non-formal education center in the barangay whenever feasible, in coordination with the Department of Education, Culture and Sports;

(23) Provide for the delivery of basic services; and

(24) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

SECTION 392. *Other Duties of Sangguniang Barangay Members.* — In addition to their duties as members of the sangguniang barangay, sangguniang barangay members may:

(a) Assist the punong barangay in the discharge of his duties and functions;

(b) Act as peace officers in the maintenance of public order and safety; and

(c) Perform such other duties and functions as the punong barangay may delegate.

Barangay Assembly

SECTION 397. *Composition; Meetings.* — (a) There shall be a barangay assembly composed of all persons who are actual residents of the barangay for at least six (6) months, fifteen (15) years of age or over, citizens of the Philippines, and duly registered in the list of barangay assembly members.

(b) The barangay assembly shall meet at least twice a year to hear and discuss the semestral report of the sangguniang barangay concerning its activities and finances as well as problems affecting the barangay. Its meetings shall be held upon call of the punong barangay or of at least four (4) members of the sangguniang barangay, or upon written petition of at least five percent (5%) of the assembly members.

(c) No meeting of the barangay assembly shall take place unless a written notice is given one (1) week prior to the meeting except on matters involving public safety or security, in which case notice within a reasonable time shall be sufficient. The punong barangay, or in his absence, the sangguniang barangay member

acting as punong barangay, or any assembly member selected during the meeting, shall act as presiding officer in all the meetings of the assembly. The barangay secretary, or in his absence, any member designated by the presiding officer to act as secretary, shall discharge the duties of secretary of the barangay assembly.

SECTION 398. *Powers of the Barangay Assembly.* — The barangay assembly shall:

(a) Initiate legislative processes by recommending to the sangguniang barangay the adoption of measures for the welfare of the barangay and the city or municipality concerned;

(b) Decide on the adoption of initiative as a legal process whereby the registered voters of the barangay may directly propose, enact, or amend any ordinance; and

(c) Hear and pass upon the semestral report of the sangguniang barangay concerning its activities and finances.

Katarungang Barangay

(See Chapter 22)

Sangguniang Kabataan

SECTION 423. *Creation and Election.* — (a) There shall be in every barangay a sangguniang kabataan to be composed of a chairman, seven (7) members, a secretary, and a treasurer.

(b) A sangguniang kabataan official who, during his term of office, shall have passed the age of twenty-one (21) years shall be allowed to serve the remaining portion of the term for which he was elected.

SECTION 424. *Katipunan ng Kabataan.* — The katipunan ng kabataan shall be composed of all citizens of the Philippines actually residing in the barangay for at least six (6) months, who are fifteen (15) but not more than twenty-one (21) years of age, and who are duly registered in the list of the sangguniang kabataan or in the official barangay list in the custody of the barangay secretary.

SECTION 425. *Meetings of the Katipunan ng Kabataan.* — The katipunan ng kabataan shall meet at least once every three (3) months, or at the call of the chairman of the sangguniang kabataan or upon written petition of at least one-twentieth (1/20) of its members, to decide on important issues affecting the youth of the barangay.

SECTION 426. *Powers and Functions of the Sangguniang Kabataan.* — The sangguniang kabataan shall:

(a) Promulgate resolutions necessary to carry out the objectives of the youth in the barangay in accordance with the applicable provisions of this Code;

(b) Initiate programs designed to enhance the social, political, economic, cultural, intellectual, moral, spiritual, and physical development of the members;

(c) Hold fund-raising activities, the proceeds of which shall be tax-exempt and shall accrue to the general fund of the sangguniang kabataan: *Provided, however,* That in the appropriation thereof, the specific purpose for which such activity has been held shall be first satisfied;

(d) Create such bodies or committees as it may deem necessary to effectively carry out its programs and activities;

(e) Submit annual and end-of-term reports to the sangguniang barangay on their projects and activities for the survival and development of the youth in the barangay;

(f) Consult and coordinate with all youth organizations in the barangay for policy formulation and program implementation;

(g) Coordinate with the appropriate national agency for the implementation of youth development projects and programs at the national level;

(h) Exercise such other powers and perform such other duties and functions as the sangguniang barangay may determine or delegate or as may be prescribed by law or ordinance.

SECTION 427. *Meetings of the Sangguniang Kabataan.* — The sangguniang kabataan shall meet regularly once a month on the date, time, and place to be fixed by the said sanggunian. Special meetings may be called by the sangguniang kabataan chairman or any three (3) of its members by giving written notice to all members of the date, time, place and agenda of the meeting at least one (1) day in advance. Notices of regular or special meetings shall be furnished the punong barangay and the sangguniang barangay.

A majority of the members of the sangguniang kabataan shall constitute a quorum.

SECTION 428. *Qualifications.* — An elective official of the sangguniang kabataan must be a citizen of the Philippines, a qualified voter of the katipunan ng kabataan, a resident of the barangay for at least one (1) year immediately prior to election, at least fifteen (15) years but not more than twenty-one (21) years of age on the day of his election, able to read and write Filipino, English, or the local dialect, and must not have been convicted of any crime involving moral turpitude.

SECTION 429. *Term of Office.* — The sangguniang kabataan chairman and members shall hold office for a period of three (3) years, unless sooner removed for cause as provided by law, permanently incapacitated, die or resign from office.

SECTION 430. *Sangguniang Kabataan Chairman.* — The registered voters of the katipunan ng kabataan shall elect the chairman of the sangguniang kabataan who shall automatically serve as an ex officio member of the sangguniang barangay upon his assumption to office. As such, he shall exercise the same powers, discharge the same duties and functions, and enjoy the same privileges as the regular sangguniang barangay members, and shall be the chairman of the committee on youth and sports development in the said sanggunian.

SECTION 431. *Powers and Duties of the Sangguniang Kabataan Chairman.* — In addition to the duties which may be assigned to him by the sangguniang barangay, the sangguniang kabataan chairman shall:

(a) Call and preside over all meetings of the katipunan ng kabataan and the sangguniang kabataan;

(b) Implement policies, programs, and projects within his jurisdiction in coordination with the sangguniang barangay;

(c) Exercise general supervision over the affairs and activities of the sangguniang kabataan and the official conduct of its members, and such other officers of the sangguniang kabataan within his jurisdiction;

(d) With the concurrence of the sangguniang kabataan, appoint from among the members of the sangguniang kabataan, the secretary and treasurer and such other officers as may be deemed necessary; and

(e) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

SECTION 432. *Sangguniang Kabataan Secretary.* — The sangguniang kabataan secretary shall:

- (a) Keep all records of the katipunan ng kabataan and sangguniang kabataan;
- (b) Prepare and keep the minutes of all meetings of the katipunan ng kabataan and sangguniang kabataan;
- (c) Prepare all forms necessary for the conduct of registrations, elections, initiatives, referenda, or plebiscites, in coordination with the barangay secretary and the COMELEC; and
- (d) Perform such other duties and discharge such other functions as the chairman of the sangguniang kabataan may prescribe or direct.

SECTION 433. *Sangguniang Kabataan Treasurer.* — The sangguniang kabataan treasurer shall:

- (a) Take custody of all sangguniang kabataan property and funds not otherwise deposited with the city or municipal treasurer;
- (b) Collect and receive contributions, monies, materials, and all other resources intended for the sangguniang kabataan and the katipunan ng kabataan;
- (c) Disburse funds in accordance with an approved budget of the sangguniang kabataan;
- (d) Certify to the availability of funds whenever necessary;
- (e) Submit to the sangguniang kabataan and to the sangguniang barangay certified and detailed statements of actual income and expenditures at the end of every month; and
- (f) Perform such other duties and discharge such other functions as the chairman of the sangguniang kabataan may direct.

SECTION 434. *Privileges of Sangguniang Kabataan Officials.* — The sangguniang kabataan chairman shall have the same privileges enjoyed by other sangguniang barangay officials under this Code subject to such requirements and limitations provided herein. During their incumbency, sangguniang kabataan officials shall be exempt from payment of tuition and matriculation fees while enrolled in public tertiary schools, including state colleges and universities. The National Government shall reimburse said college or university the amount of the tuition and matriculation

fees: *Provided, That*, to qualify for the privilege, the said officials shall enroll in a state college or university within or nearest their area of jurisdiction.

SECTION 435. *Succession and Filling of Vacancies.* — (a) In case a sangguniang kabataan chairman refuses to assume office, fails to qualify, is convicted of a felony, voluntarily resigns, dies, is permanently incapacitated, is removed from office, or has been absent without leave for more than three (3) consecutive months, the sangguniang kabataan member who obtained the next highest number of votes in the election immediately preceding shall assume the office of the chairman for the unexpired portion of the term, and shall discharge the powers and duties, and enjoy the rights and privileges appurtenant to the office. In case the said member refuses to assume the position or fails to qualify, the sangguniang kabataan member obtaining the next highest number of votes shall assume the position of the chairman for the unexpired portion of the term.

(b) Where two (2) or more sangguniang kabataan members obtained the same next highest number of votes, the other sangguniang kabataan members shall conduct an election to choose the successor to the chairman from among the said members.

(c) After the vacancy shall have been filled, the sangguniang kabataan chairman shall call a special election to complete the membership of said sanggunian. Such sangguniang kabataan member shall hold office for the unexpired portion of the term of the vacant seat.

(d) In case of suspension of the sangguniang kabataan chairman, the successor, as determined in subsections (a) and (b) of this section shall assume the position during the period of such suspension.

Pederasyon ng mga Sangguniang Kabataan

SECTION 436. *Pederasyon ng mga Sangguniang Kabataan.* — (a) There shall be an organization of all the pederasyon ng mga sangguniang kabataan to be known as follows:

(1) In municipalities, pambayang pederasyon ng mga sangguniang kabataan;

(2) In cities, panlungsod na pederasyon ng mga sangguniang kabataan;

(3) In provinces, panlalawigang pederasyon ng mga sangguniang kabataan;

(4) In special metropolitan political subdivisions, pangmetropolitang pederasyon ng mga sangguniang kabataan; and

(5) On the national level, pambansang pederasyon ng mga sangguniang kabataan.

(b) The pederasyon ng mga sangguniang kabataan shall, at all levels, elect from among themselves the president, vice-president and such other officers as may be necessary and shall be organized in the following manner:

(1) The panlungsod and pambayang pederasyon shall be composed of the sangguniang kabataan chairmen of barangays in the city or municipality, respectively;

(2) The panlalawigang pederasyon shall be composed of presidents of the panlungsod and pambayang pederasyon;

(3) The pangmetropolitang pederasyon shall be composed of presidents of the panlungsod and pambayang pederasyon;

(c) The elected presidents of the pederasyon at the provincial, highly urbanized city, and metropolitan political subdivision levels shall constitute the pambansang katipunan ng mga sangguniang kabataan.

SECTION 437. *Constitution and By-Laws.* — The term of office, manner of election, removal and suspension of the officers of the pederasyon ng mga sangguniang kabataan at all levels shall be governed by the constitution and by-laws of the pederasyon in conformity with the provisions of this Code and national policies on youth.

SECTION 438. *Membership in the Sanggunian.* — (a) A sangguniang kabataan chairman shall, upon certification of his election by the COMELEC and during his tenure of office is elected as pederasyon president, serve as an *ex officio* member of the sangguniang panlalawigan, sangguniang panlungsod, and sangguniang bayan, as the case may be, without need of further appointment.

(b) The vice-president of the pederasyon whose president has been elected as president of a higher pederasyon shall serve as ex officio member of the sanggunian concerned without need of further appointment.

(c) The pederasyon president or vice-president, as the case may be, shall be the chairman of the committee on youth and sports development of the sanggunian concerned.

The Municipality

Municipal Officials in General

SECTION 443. *Officials of the Municipal Government.* — (a) There shall be in each municipality a municipal mayor, a municipal vice-mayor, sangguniang bayan members, a secretary to the sangguniang bayan, a municipal treasurer, a municipal assessor, a municipal accountant, a municipal budget officer, a municipal planning and development coordinator, a municipal engineer/building official, a municipal health officer and a municipal civil registrar.

(b) In addition thereto, the mayor may appoint a municipal administrator, a municipal legal officer, a municipal agriculturist, a municipal environment and natural resources officer, a municipal social welfare and development officer, a municipal architect, and a municipal information officer.

(c) The sangguniang bayan may:

(1) Maintain existing offices not mentioned in subsections (a) and (b) hereof;

(2) Create such other offices as may be necessary to carry out the purposes of the municipal government; or

(3) Consolidate the functions of any office with those of another in the interest of efficiency and economy.

(d) Unless otherwise provided herein, heads of departments and offices shall be appointed by the municipal mayor with the concurrence of the majority of all the sangguniang bayan members, subject to civil service law, rules and regulations. The sangguniang bayan shall act on the appointment within fifteen (15) days from the date of its submission; otherwise, the same shall be deemed confirmed.

(e) Elective and appointive municipal officials shall receive such compensation, allowances and other emoluments as may be determined by law or ordinance, subject to the budgetary limitations on personal services as prescribed in Title Five, Book Two of this Code: *Provided*, That no increase in compensation of the mayor, vice-mayor, and sangguniang bayan members shall take effect until after the expiration of the full term of all the elective local officials approving such increase.

The Municipal Mayor

SECTION 444. *The Chief Executive: Powers, Duties, Functions and Compensation.* — (a) The municipal mayor, as the chief executive of the municipal government, shall exercise such powers and performs such duties and functions as provided by this Code and other laws.

(b) For efficient, effective and economical governance the purpose of which is the general welfare of the municipality and its inhabitants pursuant to Section 16 of this Code, the municipal mayor shall:

(1) Exercise general supervision and control over all programs, projects, services, and activities of the municipal government, and in this connection, shall:

(i) Determine the guidelines of municipal policies and be responsible to the sangguniang bayan for the program of government;

(ii) Direct the formulation of the municipal development plan, with the assistance of the municipal development council, and upon approval thereof by the sangguniang bayan, implement the same;

(iii) At the opening of the regular session of the sangguniang bayan for every calendar year and, as may be deemed necessary, present the program of government and propose policies and projects for the consideration of the sangguniang bayan as the general welfare of the inhabitants and the needs of the municipal government may require;

(iv) Initiate and propose legislative measures to the sangguniang bayan and, from time to time as the situation may require, provide such information and data needed or requested by said sanggunian in the performance of its legislative functions;

(v) Appoint all officials and employees whose salaries and wages are wholly or mainly paid out of municipal funds and whose appointments are not otherwise provided for in this Code, as well as those he may be authorized by law to appoint;

(vi) Upon authorization by the sangguniang bayan, represent the municipality in all its business transactions and sign on its behalf all bonds, contracts, and obligations, and such other documents made pursuant to law or ordinance;

(vii) Carry out such emergency measures as may be necessary during and in the aftermath of man-made and natural disasters and calamities;

(viii) Determine, according to law or ordinance, the time, manner and place of payment of salaries or wages of the officials and employees of the municipality;

(ix) Allocate and assign office space to municipal and other officials and employees who, by law or ordinance, are entitled to such space in the municipal hall and other buildings owned or leased by the municipal government;

(x) Ensure that all executive officials and employees of the municipality faithfully discharge their duties and functions as provided by law and this Code, and cause to be instituted administrative or judicial proceedings against any official or employee of the municipality who may have committed an offense in the performance of his official duties;

(xi) Examine the books, records and other documents of all offices, officials, agents or employees of the municipality and in aid of his executive powers and authority, require all national officials and employees stationed in or assigned to the municipality to make available to him such books, records, and other documents in their custody, except those classified by law as confidential;

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(xii) Furnish copies of executive orders issued by him to the provincial governor within seventy-two (72) hours after their issuance: *Provided*, That municipalities of Metropolitan Manila Area and that of any metropolitan political subdivision shall furnish copies of said executive orders to the metropolitan authority council chairman and to the Office of the President;

(xiii) Visit component barangays of the municipality at least once every six (6) months to deepen his understanding of problems and conditions therein, listen and give appropriate counsel to local officials and inhabitants, inform the component barangay officials and inhabitants of general laws and ordinances which especially concern them, and otherwise conduct visits and inspections to the end that the governance of the municipality will improve the quality of life of the inhabitants;

(xiv) Act on leave applications of officials and employees appointed by him and the commutation of the monetary value of leave credits according to law;

(xv) Authorize official trips outside of the municipality of municipal officials and employees for a period not exceeding thirty (30) days;

(xvi) Call upon any national official or employee stationed in or assigned to the municipality to advise him on matters affecting the municipality and to make recommendations thereon, or to coordinate in the formulation and implementation of plans, programs and projects, and when appropriate, initiate an administrative or judicial action against a national government official or employee who may have committed an offense in the performance of his official duties while stationed in or assigned to the local government unit concerned;

(xvii) Subject to availability of funds, authorize payment of medical care, necessary transportation, subsistence, hospital or medical fees of municipal officials and employees who are injured while in the performance of their official duties and functions;

(xviii) Solemnize marriages, any provision of law to the contrary notwithstanding;

(xix) Conduct a palarong bayan, in coordination with the Department of Education, Culture and Sports, as an annual activity which shall feature traditional sports and disciplines included in national and international games; and

(xx) Submit to the provincial governor the following reports: an annual report containing a summary of all matters pertaining to the management, administration and development of the municipality and all information and data relative to its political, social and economic conditions; and supplemental reports when unexpected events and situations arise at any time during the year, particularly when man-made or natural disasters or calamities affect the general welfare of the municipality, province, region or country. Mayors of municipalities of the Metropolitan Manila Area and other metropolitan political subdivisions shall submit said reports to their respective metropolitan council chairmen and to the Office of the President;

(2) Enforce all laws and ordinances relative to the governance of the municipality and the exercise of its corporate powers provided for under Section 22 of this Code, implement all approved policies, programs, projects, services and activities of the municipality and, in addition to the foregoing, shall:

(i) Ensure that the acts of the municipality's component barangays and of its officials and employees are within the scope of their prescribed powers, functions, duties and responsibilities;

(ii) Call conventions, conferences, seminars or meetings of any elective and appointive officials of the municipality, including provincial officials and national officials and employees stationed in or assigned to the municipality at such time and place and on such subject as he may deem important for the promotion of the general welfare of the local government unit and its inhabitants;

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(iii) Issue such executive orders as are necessary for the proper enforcement and execution of laws and ordinances;

(iv) Be entitled to carry the necessary firearm within his territorial jurisdiction;

(v) Act as the deputized representative of the National Police Commission, formulate the peace and order plan of the municipality and upon its approval, implement the same and exercise general and operational control and supervision over the local police forces in the municipality in accordance with R.A. No. 6975;

(vi) Call upon the appropriate law enforcement agencies to suppress disorder, riot, lawless violence, rebellion or sedition or to apprehend violators of the law when public interest so requires and the municipal police forces are inadequate to cope with the situation or the violators;

(3) Initiate and maximize the generation of resources and revenues, and apply the same to the implementation of development plans, program objectives and priorities as provided for under Section 18 of this Code, particularly those resources and revenues programmed for agro-industrial development and country-wide growth and progress, and relative thereto, shall:

(i) Require each head of an office or department to prepare and submit an estimate of appropriations for the ensuing calendar year, in accordance with the budget preparation process under Title Five, Book II of this Code;

(ii) Prepare and submit to the sanggunian for approval the executive and supplemental budgets of the municipality for the ensuing calendar year in the manner provided for under Title Five, Book II of this Code;

(iii) Ensure that all taxes and other revenues of the municipality are collected, and that municipal funds are applied in accordance with law or ordinance to the payment of expenses and settlement of obligations of the municipality;

(iv) Issue licenses and permits and suspend or revoke the same for any violation of the conditions upon which said licenses or permits had been issued, pursuant to law or ordinance;

(v) Issue permits, without need of approval therefor from any national agency, for the holding of activities for any charitable or welfare purpose, excluding prohibited games of chance or shows contrary to law, public policy and public morals;

(vi) Require owners of illegally constructed houses, buildings or other structures to obtain the necessary permit, subject to such fines and penalties as may be imposed by law or ordinance, or to make necessary changes in the construction of the same when said construction violates any law or ordinance, or to order the demolition or removal of said house, building or structure within the period prescribed by law or ordinance;

(vii) Adopt adequate measures to safeguard and conserve land, mineral, marine, forest, and other resources of the municipality;

(viii) Provide efficient and effective property and supply management in the municipality; and protect the funds, credits, rights and other properties of the municipality; and

(ix) Institute or cause to be instituted administrative or judicial proceedings for violation of ordinances in the collection of taxes, fees or charges, and for the recovery of funds and property; and cause the municipality to be defended against all suits to ensure that its interests, resources and rights shall be adequately protected;

(4) Ensure the delivery of basic services and the provision of adequate facilities as provided for under Section 17 of this Code and, in addition thereto, shall:

(i) Ensure that the construction and repair of roads and highways funded by the National Government shall be, as far as practicable, carried out in a spatially contiguous manner and in coordination with the construction and repair of the roads and bridges of the municipality and the province; and

(ii) Coordinate the implementation of technical services rendered by national and provincial offices, including public works and infrastructure programs in the municipality; and

(5) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

(c) During his incumbency, the municipal mayor shall hold office in the municipal hall.

(d) The municipal mayor shall receive a minimum monthly compensation corresponding to Salary Grade twenty-seven (27) as prescribed under R.A. No. 6758 and the implementing guidelines issued pursuant thereto.

The Vice Mayor

SECTION 445. Powers, Duties and Compensation. — (a) The vice-mayor shall:

(1) Be the presiding officer of the sangguniang bayan and sign all warrants drawn on the municipal treasury for all expenditures appropriated for the operation of the sangguniang bayan;

(2) Subject to civil service law, rules and regulations, appoint all officials and employees of the sangguniang bayan, except those whose manner of appointment is specifically provided in this Code;

(3) Assume the office of the municipal mayor for the unexpired term of the latter in the event of permanent vacancy as provided for in Section 44, Book I of this Code;

(4) Exercise the powers and perform the duties and functions of the municipal mayor in cases of temporary vacancy as provided for in Section 46, Book I of this Code; and

(5) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

(b) The vice-mayor shall receive a monthly compensation corresponding to Salary Grade twenty-five (25) as prescribed under R.A. No. 6758 and the implementing guidelines issued pursuant thereto.

The Sangguniang Bayan

SECTION 446. *Composition.* — (a) The sangguniang bayan, the legislative body of the municipality, shall be composed of the municipal vice mayor as the presiding officer, the regular sanggunian members, the president of the municipal chapter of the liga ng mga barangay, the president of the pambayang pederasyon ng mga sangguniang kabataan, and the sectoral representatives, as members.

(b) In addition thereto, there shall be three (3) sectoral representatives: one (1) from the women; and as shall be determined by the sanggunian concerned within ninety (90) days prior to the holding of local elections, one (1) from the agricultural or industrial workers, and one (1) from other sectors, including the urban poor, indigenous cultural communities, or disabled persons.

(c) The regular members of the sangguniang bayan and the sectoral representatives shall be elected in the manner as may be provided for by law.

SECTION 447. *Powers, Duties, Functions and Compensation.* — (a) The sangguniang bayan, as the legislative body of the municipality, shall enact ordinances, approve resolutions and appropriate funds for the general welfare of the municipality and its inhabitants pursuant to Section 16 of this Code and in the proper exercise of the corporate powers of the municipality as provided for under Section 22 of this Code, and shall:

(1) Approve ordinances and pass resolutions necessary for an efficient and effective municipal government, and in this connection shall:

(i) Review all ordinances approved by the sangguniang barangay and executive orders issued by the punong barangay to determine whether these are within the scope of the prescribed powers of the sanggunian and of the punong barangay;

(ii) Maintain peace and order by enacting measures to prevent and suppress lawlessness, disorder, riot, violence, rebellion or sedition and impose penalties for the violation of said ordinances;

(iii) Approve ordinances imposing a fine not exceeding Two thousand five hundred pesos (P2,500.00) or an imprisonment for a period not exceeding six (6) months, or both in the discretion of the court, for the violation of a municipal ordinance;

(iv) Adopt measures to protect the inhabitants of the municipality from the harmful effects of man-made or natural disasters and calamities and to provide relief services and assistance for victims during and in the aftermath of said disasters or calamities and their return to productive livelihood following said events;

(v) Enact ordinances intended to prevent, suppress and impose appropriate penalties for habitual drunkenness in public places, vagrancy, mendicancy, prostitution, establishment and maintenance of houses of ill repute, gambling and other prohibited games of chance, fraudulent devices and ways to obtain money or property, drug addiction, maintenance of drug dens, drug pushing, juvenile delinquency, the printing, distribution or exhibition of obscene or pornographic materials or publications, and such other activities inimical to the welfare and morals of the inhabitants of the municipality;

(vi) Protect the environment and impose appropriate penalties for acts which endanger the environment, such as dynamite fishing and other forms of destructive fishing, illegal logging and smuggling of logs, smuggling of natural resources products and of endangered species of flora and fauna, slash and burn farming, and such other activities which result in pollution, acceleration of eutrophication of rivers and lakes, or of ecological imbalance;

(vii) Subject to the provisions of this Code and pertinent laws, determine the powers and duties of officials and employees of the municipality;

(viii) Determine the positions and salaries, wages, allowances and other emoluments and benefits of officials and employees paid wholly or mainly from municipal funds and provide for expenditures necessary for the proper conduct of programs, projects, services, and activities of the municipal government;

(ix) Authorize the payment of compensation to a qualified person not in the government service who fills up a temporary vacancy or grant honorarium to any qualified official or employee designated to fill a temporary vacancy in a concurrent capacity at the rate authorized by law;

(x) Provide a mechanism and the appropriate funds therefor, to ensure the safety and protection of all municipal government property, public documents, or records such as those relating to property inventory, land ownership, records of births, marriages, deaths, assessments, taxation, accounts, business permits, and such other records and documents of public interest in the offices and departments of the municipal government;

(xi) When the finances of the municipal government allow, provide for additional allowances and other benefits to judges, prosecutors, public elementary and high school teachers, and other national government officials stationed in or assigned to the municipality;

(xii) Provide for legal assistance to barangay officials who, in the performance of their official duties or on the occasion thereof, have to initiate judicial proceedings or defend themselves against legal action; and

(xiii) Provide for group insurance or additional insurance coverage for barangay officials, including members of barangay tanod brigades and other service units, with public or private insurance companies, when the finances of the municipal government allow said coverage.

(2) Generate and maximize the use of resources and revenues for the development plans, program objectives and priorities of the municipality as provided for under Section 18 of this Code with particular attention to agro-industrial development and countryside growth and progress, and relative thereto, shall:

(i) Approve the annual and supplemental budgets of the municipal government and appropriate funds for specific programs, projects, services and activities of the municipality, or for other purposes not contrary to law, in order to promote the general welfare of the municipality and its inhabitants;

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(ii) Subject to the provisions of Book II of this Code and applicable laws and upon the majority vote of all the members of the sangguniang bayan, enact ordinances levying taxes, fees and charges, prescribing the rates thereof for general and specific purposes, and granting tax exemptions, incentives or reliefs;

(iii) Subject to the provisions of Book II of this Code and upon the majority vote of all the members of the sangguniang bayan, authorize the municipal mayor to negotiate and contract loans and other forms of indebtedness;

(iv) Subject to the provisions of Book II of this Code and applicable laws and upon the majority vote of all the members of the sangguniang bayan, enact ordinances authorizing the floating of bonds or other instruments of indebtedness, for the purpose of raising funds to finance development projects;

(v) Appropriate funds for the construction and maintenance or the rental of buildings for the use of the municipality and, upon the majority vote of all the members of the sangguniang bayan, authorize the municipal mayor to lease to private parties such public buildings held in a proprietary capacity, subject to existing laws, rules and regulations;

(vi) Prescribe reasonable limits and restraints on the use of property within the jurisdiction of the municipality;

(vii) Adopt a comprehensive land use plan for the municipality: *Provided*, That the formulation, adoption, or modification of said plan shall be in coordination with the approved provincial comprehensive land use plan;

(viii) Reclassify land within the jurisdiction of the municipality, subject to the pertinent provisions of this Code;

(ix) Enact integrated zoning ordinances in consonance with the approved comprehensive land use plan, subject to existing laws, rules and regulations; establish fire limits or zones, particularly in populous centers; and regulate the construction, repair or modification of buildings within said fire limits or zones in accordance with the provisions of the Fire Code;

(x) Subject to national law, process and approve subdivision plans for residential, commercial, or industrial purposes and other development purposes, and collect processing fees and other charges, the proceeds of which shall accrue entirely to the municipality: *Provided, however,* That, where approval by a national agency or office is required, said approval shall not be withheld for more than thirty (30) days from receipt of the application. Failure to act on the application within the period stated above shall be deemed as approval thereof;

(xi) Subject to the provisions of Book II of this Code, grant the exclusive privilege of constructing fish corrals or fish pens, or the taking or catching of *bangus* fry, prawn fry or *kawag-kawag* of fry of any species or fish within the municipal waters;

(xii) With the concurrence of at least two-thirds (2/3) of all the members of the sangguniang bayan, grant tax exemptions, incentives or reliefs to entities engaged in community growth-inducing industries, subject to the provisions of Chapter 5, Title I, Book II of this Code.

(xiii) Grant loans or provide grants to other local government units or to national, provincial and municipal charitable, benevolent or educational institutions: *Provided,* That said institutions are operated and maintained within the municipality;

(xiv) Regulate the numbering of residential, commercial and other buildings; and

(xv) Regulate the inspection, weighing and measuring of articles of commerce.

(3) Subject to the provisions of Book II of this Code, grant franchises, enact ordinances authorizing the issuance of permits or licenses, or enact ordinances levying taxes, fees and charges upon such conditions and for such purposes intended to promote the general welfare of the inhabitants of the municipality, and pursuant to this legislative authority shall:

(i) Fix and impose reasonable fees and charges for all services rendered by the municipal government to private persons or entities;

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(ii) Regulate any business, occupation, or practice of profession or calling which does not require government examination within the municipality and the conditions under which the license for said business or practice of profession may be issued or revoked;

(iii) Prescribe the terms and conditions under which public utilities owned by the municipality shall be operated by the municipal government or leased to private persons or entities, preferably cooperatives;

(iv) Regulate the display of and fix the license fees for signs, signboards, or billboards at the place or places where the profession or business advertised thereby is, in whole or in part, conducted;

(v) Any law to the contrary notwithstanding, authorize and license the establishment, operation, and maintenance of cockpits, and regulate cockfighting and commercial breeding of gamecocks: *Provided*, That existing rights should not be prejudiced;

(vi) Subject to the guidelines prescribed by the Department of Transportation and Communications, regulate the operation of tricycles and grant franchises for the operation thereof within the territorial jurisdiction of the municipality;

(vii) Upon approval by a majority vote of all the members of the sangguniang bayan, grant a franchise to any person, partnership, corporation, or cooperative to establish, construct, operate and maintain ferries, wharves, markets or slaughterhouses, or such other similar activities within the municipality as may be allowed by applicable laws: *Provided*, That cooperatives shall be given preference in the grant of such a franchise.

(4) Regulate activities relative to the use of land, buildings and structures within the municipality in order to promote the general welfare and for said purpose shall:

(i) Declare, prevent or abate any nuisance;

(ii) Require that buildings and the premises thereof and any land within the municipality be kept and maintained in a sanitary condition; impose penalties for any violation thereof, or upon failure to comply with said

requirement, have the work done and require the owner, administrator or tenant concerned to pay the expenses of the same; or require the filling up of any land or premises to a grade necessary for proper sanitation;

(iii) Regulate the disposal of clinical and other wastes from hospitals, clinics and other similar establishments;

(iv) Regulate the establishment, operation and maintenance of cafes, restaurants, beerhouses, hotels, motels, inns, pension houses, lodging houses, and other similar establishments, including tourist guides and transports;

(v) Regulate the sale, giving away or dispensing of any intoxicating malt, vino, mixed or fermented liquors at any retail outlet;

(vi) Regulate the establishment and provide for the inspection of steam boilers or any heating device in buildings and the storage of inflammable and highly combustible materials within the municipality;

(vii) Regulate the establishment, operation, and maintenance of entertainment or amusement facilities, including theatrical performances, circuses, billiards pools, public dancing schools, public dance halls, sauna baths, massage parlors, and other places of entertainment or amusement; regulate such other events or activities for amusement or entertainment, particularly those which tend to disturb the community or annoy the inhabitants, or require the suspension or suppression of the same; or prohibit certain forms of amusement or entertainment in order to protect the social and moral welfare of the community;

(viii) Provide for the impounding of stray animals; regulate the keeping of animals in homes or as part of a business, and the slaughter, sale or disposition of the same; and adopt measures to prevent and penalize cruelty to animals; and

(ix) Regulate the establishment, operation, and maintenance of funeral parlors and the burial or cremation of the dead, subject to existing laws, rules and regulations.

(5) Approve ordinances which shall ensure the efficient and effective delivery of the basic services and facilities as provided for under Section 17 of this Code, and in addition to said services and facilities, shall:

(i) Provide for the establishment, maintenance, protection, and conservation of communal forests and watersheds, tree parks, greenbelts, mangroves, and other similar forest development projects;

(ii) Establish markets, slaughterhouses or animal corrals and authorize the operation thereof, and regulate the construction and operation of private markets, talipapas or other similar buildings and structures;

(iii) Authorize the establishment, maintenance and operation of ferries, wharves, and other structures, and marine and seashore or offshore activities intended to accelerate productivity;

(iv) Regulate the preparation and sale of meat, poultry, fish, vegetables, fruits, fresh dairy products, and other foodstuffs for public consumption;

(v) Regulate the use of streets, avenues, alleys, sidewalks, bridges, parks and other public places and approve the construction, improvement, repair and maintenance of the same; establish bus and vehicle stops and terminals or regulate the use of the same by privately-owned vehicles which serve the public; regulate garages and the operation of conveyances for hire; designate stands to be occupied by public vehicles when not in use; regulate the putting up of signs, signposts, awnings and awning posts on the streets; provide for the lighting, cleaning and sprinkling of streets and public places;

(vi) Regulate traffic on all streets and bridges, prohibit the putting up of encroachments or obstacles thereon, and, when necessary in the interest of public welfare, authorize the removal of encroachments and illegal constructions in public places;

(vii) Subject to existing laws, provide for the establishment, operation, maintenance, and repair of an efficient waterworks system to supply water for the inhabitants; regulate the construction, maintenance,

repair and use of hydrants, pumps, cisterns and reservoirs; protect the purity and quantity of the water supply of the municipality and, for this purpose, extend the coverage of appropriate ordinances over all territory within the drainage area of said water supply and within one hundred (100) meters of the reservoir, conduit, canal, aqueduct, pumping station, or watershed used in connection with the water service; and regulate the consumption, use or wastage of water;

(viii) Regulate the drilling and excavation of the ground for the laying of water, gas, sewer, and other pipes and the construction, repair and maintenance of public drains, sewers, cesspools, tunnels and similar structures; regulate the placing of poles and the use of crosswalks, curbs, and gutters; adopt measures to ensure public safety against open canals, manholes, live wires and other similar hazards to life and property; and regulate the construction and use of private water closets, privies and other similar structures in buildings and homes;

(ix) Regulate the placing, stringing, attaching, installing, repair and construction of all gas mains, electric, telegraph and telephone wires, conduits, meters and other apparatus; and, provide for the correction, condemnation or removal of the same when found to be dangerous, defective or otherwise hazardous to the welfare of the inhabitants;

(x) Subject to the availability of funds and to existing laws, rules and regulations, establish and provide for the operation of vocational and technical schools and similar post-secondary institutions and, with the approval of the Department of Education, Culture and Sports, fix and collect reasonable fees and other school charges on said institutions, subject to existing laws on tuition fees;

(xi) Establish a scholarship fund for poor but deserving students residing within the municipality in schools located within its jurisdiction;

(xii) Approve measures and adopt quarantine regulations to prevent the introduction and spread of diseases;

(xiii) Provide for an efficient and effective system of solid waste and garbage collection and disposal and prohibit littering and the placing or throwing of garbage, refuse and other filth and wastes;

(xiv) Provide for the care of paupers, the aged, the sick, persons of unsound mind, disabled persons, abandoned minors, juvenile delinquents, drug dependents, abused children and other needy and disadvantaged persons, particularly children and youth below eighteen (18) years of age and, subject to availability of funds, establish and provide for the operation of centers and facilities for said needy and disadvantaged persons;

(xv) Establish and provide for the maintenance and improvement of jails and detention centers, institute sound jail management programs, and appropriate funds for the subsistence of detainees and convicted prisoners in the municipality;

(xvi) Establish a municipal council whose purpose is the promotion of culture and the arts, coordinate with government agencies and non-governmental organizations and, subject to the availability of funds, appropriate funds for the support and development of the same; and

(xvii) Establish a municipal council for the orderly which shall formulate policies and adopt measures mutually beneficial to the elderly and to the community; provide incentives for non-governmental agencies and entities and, subject to the availability of funds, appropriate funds to support programs and projects for the benefit of the elderly; and

(6) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

(b) The members of the sangguniang bayan shall receive a minimum monthly compensation corresponding to Salary Grade twenty-four (24) as prescribed under R.A. No. 6758 and the implementing guidelines issued pursuant thereto: *Provided, That*, in municipalities in Metropolitan Manila Area and other metropolitan political subdivisions, members of the sangguniang bayan shall receive a minimum monthly compensation corresponding to Salary Grade twenty-five (25).

The City

City Officials in General

SECTION 454. *Officials of the City Government.* — (a) There shall be in each city a mayor, a vice-mayor, sangguniang panlungsod members, a secretary to the sangguniang panlungsod, a city treasurer, a city assessor, a city accountant, a city budget officer, a city planning and development coordinator, a city engineer, a city health officer, a city civil registrar, a city administrator, a city legal officer, a city veterinarian, a city social welfare and development officer, and a city general services officer.

(b) In addition thereto, the city mayor may appoint a city architect, a city information officer, a city agriculturist, a city population officer, a city environment and natural resources officer, and a city cooperatives officer.

The appointment of a city population officer shall be optional in the city: *Provided, however,* That cities which have existing population offices shall continue to maintain such offices for a period of five (5) years from the date of the effectivity of this Code, after which said offices shall become optional.

(c) The sangguniang panlungsod may:

(1) Maintain existing offices not mentioned in subsections (a) and (b) hereof;

(2) Create such other offices as may be necessary to carry out the purposes of the city government; or

(3) Consolidate the functions of any office with those of another in the interest of efficiency and economy.

(d) Unless otherwise provided herein, heads of departments and offices shall be appointed by the city mayor with the concurrence of the majority of all the sangguniang panlungsod members, subject to civil service law, rules and regulations. The sangguniang panlungsod shall act on the appointment within fifteen (15) days from the date of its submission, otherwise the same shall be deemed confirmed.

(e) Elective and appointive city officials shall receive such compensation, allowances, and other emoluments as may be determined by law or ordinance, subject to the budgetary limitations on personal services prescribed under Title Five, Book II of this Code: *Provided,* That no increase in compensation of the mayor,

vice-mayor and sangguniang panlungsod members shall take effect until after the expiration of the full term of the said local officials approving such increase.

The City Mayor

SECTION 455. *Chief Executive; Powers, Duties and Compensation.* — (a) The city mayor, as chief executive of the city government, shall exercise such powers and perform such duties and functions as provided by this Code and other laws.

(b) For efficient, effective and economical governance the purpose of which is the general welfare of the city and its inhabitants pursuant to Section 16 of this Code, the city mayor shall:

(1) Exercise general supervision and control over all programs, projects, services, and activities of the city government, and in this connection, shall:

(i) Determine the guidelines of city policies and be responsible to the sangguniang panlungsod for the program of government;

(ii) Direct the formulation of the city development plan, with the assistance of the city development council, and upon approval thereof by the sangguniang panlungsod, implement the same;

(iii) Present the program of government and propose policies and projects for the consideration of the sangguniang panlungsod at the opening of the regular session of the sangguniang panlungsod every calendar year and as often as may be deemed necessary as the general welfare of the inhabitants and the needs of the city government may require;

(iv) Initiate and propose legislative measures to the sangguniang panlungsod and as often as may be deemed necessary, provide such information and data needed or requested by said sanggunian in the performance of its legislative functions;

(v) Appoint all officials and employees whose salaries and wages are wholly or mainly paid out of city funds and whose appointments are not otherwise provided for in this Code, as well as those he may be authorized by law to appoint;

(vi) Represent the city in all its business transactions and sign in its behalf all bonds, contracts, and obligations, and such other documents upon authority of the sangguniang panlungsod or pursuant to law or ordinance;

(vii) Carry out such emergency measures as may be necessary during and in the aftermath of man-made and natural disasters and calamities;

(viii) Determine the time, manner and place of payment of salaries or wages of the officials and employees of the city, in accordance with law or ordinance;

(ix) Allocate and assign office space to city and other officials and employees who, by law or ordinance, are entitled to such space in the city hall and other buildings owned or leased by the city government;

(x) Ensure that all executive officials and employees of the city faithfully discharge their duties and functions as provided by law and this Code, and cause to be instituted administrative or judicial proceedings against any official or employee of the city who may have committed an offense in the performance of his official duties;

(xi) Examine the books, records and other documents of all offices, officials, agents or employees of the city and, in aid of his executive powers and authority, require all national officials and employees stationed in or assigned to the city to make available to him such books, records, and other documents in their custody, except those classified by law as confidential;

(xii) Furnish copies of executive orders issued by him, to the provincial governor in the case of component city mayors, to the Office of the President in the case of highly-urbanized city mayors, and to their respective metropolitan council chairmen in the case of mayors of cities in the Metropolitan Manila Area and other metropolitan political subdivisions, within seventy-two (72) hours after their issuance;

(xiii) Visit component barangays of the city at least once every six (6) months to deepen his understanding of problems and conditions, listen and give appropriate counsel to local officials and inhabitants, inform the component barangay officials and inhabitants of general laws and ordinances which especially concern them, and otherwise conduct visits and inspections to ensure that the governance of the city will improve the quality of life of the inhabitants;

(xiv) Act on leave applications of officials and employees appointed by him and the commutation of the monetary value of their leave credits in accordance with law;

(xv) Authorize official trips of city officials and employees outside of the city for a period not exceeding thirty (30) days;

(xvi) Call upon any national official or employee stationed in or assigned to the city to advise him on matters affecting the city and to make recommendations thereon; coordinate with said official or employee in the formulation and implementation of plans, programs and projects; and, when appropriate, initiate an administrative or judicial action against a national government official or employee who may have committed an offense in the performance of his official duties while stationed in or assigned to the city;

(xvii) Authorize payment for medical care, necessary transportation, subsistence, hospital or medical fees of city officials and employees who are injured while in the performance of their duties and functions, subject to availability of funds;

(xviii) Solemnize marriages, any provision of law to the contrary notwithstanding;

(xix) Conduct an annual palamong panlungsod, which shall feature traditional sports and disciplines included in national and international games, in coordination with the Department of Education, Culture and Sports; and

(xx) Submit to the provincial governor, in the case of component cities; to the Office of the President, in the case of highly-urbanized cities; to their respective metropolitan authority council chairmen and to the Office of the President, in the case of cities of the Metropolitan Manila Area and other metropolitan political subdivisions, the following reports: an annual report containing a summary of all matters pertinent to the management, administration and development of the city and all information and data relative to its political, social and economic conditions; and supplemental reports when unexpected events and situations arise at any time during the year, particularly when man-made or natural disasters or calamities affect the general welfare of the city, province, region or country;

(2) Enforce all laws and ordinances relative to the governance of the city and in the exercise of the appropriate corporate powers provided for under Section 22 of this Code, implement all approved policies, programs, projects, services and activities of the city and, in addition to the foregoing, shall:

(i) Ensure that the acts of the city's component barangays and of its officials and employees are within the scope of their prescribed powers, duties and functions;

(ii) Call conventions, conferences, seminars, or meetings of any elective and appointive officials of the city, including provincial officials and national officials and employees stationed in or assigned to the city, at such time and place and on such subject as he may deem important for the promotion of the general welfare of the local government unit and its inhabitants;

(iii) Issue such executive orders for the faithful and appropriate enforcement and execution of laws and ordinances;

(iv) Be entitled to carry the necessary firearm within his territorial jurisdiction;

(v) Act as the deputized representative of the National Police Commission, formulate the peace and order plan of the city and upon its approval, implement the same; and as such exercise general and operational

control and supervision over the local police forces in the city, in accordance with R.A. No. 6975;

(vi) Call upon the appropriate law enforcement agencies to suppress disorder, riot, lawless violence, rebellion or sedition, or to apprehend violators of the law when public interest so requires and the city police forces are inadequate to cope with the situations or the violators;

(3) Initiate and maximize the generation of resources and revenues, and apply the same to the implementation of development plans, program objectives and priorities as provided for under Section 18 of this Code, particularly those resources and revenues programmed for agro-industrial development and countryside growth and progress and, relative thereto, shall:

(i) Require each head of an office or department to prepare and submit an estimate of appropriations for the ensuing calendar year, in accordance with the budget preparation process under Title Five, Book II of this Code;

(ii) Prepare and submit to the sanggunian for approval the executive and supplemental budgets of the city for the ensuing calendar year in the manner provided for under Title Five, Book II of this Code;

(iii) Ensure that all taxes and other revenues of the city are collected, and that city funds are applied to the payment of expenses and settlement of obligations of the city, in accordance with law or ordinance;

(iv) Issue licenses and permits and suspend or revoke the same for any violation of the conditions upon which said licenses or permits had been issued, pursuant to law or ordinance;

(v) Issue permits, without need of approval therefor from any national agency, for the holding of activities for any charitable or welfare purpose, excluding prohibited games of chance or shows contrary to law, public policy and public morals;

(vi) Require owners of illegally constructed houses, buildings or other structures to obtain the necessary permit, subject to such fines and penalties as may be

imposed by law or ordinance, or to make necessary changes in the construction of the same when said construction violates any law or ordinance, or to order the demolition or removal of said house, building or structure within the period prescribed by law or ordinance;

(vii) Adopt adequate measures to safeguard and conserve land, mineral, marine, forest, and other resources of the city;

(viii) Provide efficient and effective property and supply management in the city; and protect the funds, credits, rights and other properties of the city; and

(ix) Institute or cause to be instituted administrative or judicial proceedings for violation of ordinances in the collection of taxes, fees or charges, and for the recovery of funds and property; and cause the city to be defended against all suits to ensure that its interests, resources and rights shall be adequately protected;

(4) Ensure the delivery of basic services and the provision of adequate facilities as provided for under Section 17 of this Code and, in addition thereto, shall:

(i) Ensure that the construction and repair of roads and highways funded by the national government shall be, as far as practicable, carried out in a spatially contiguous manner and in coordination with the construction and repair of the roads and bridges of the city, and in the case of component cities, of the city and of the province; and

(ii) Coordinate the implementation of technical services, including public works and infrastructure programs, rendered by national offices in the case of highly urbanized and independent component cities, and by national and provincial offices in the case of component cities; and

(5) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

(c) During his incumbency, the city mayor shall hold office in the city hall.

(d) The city mayor shall receive a minimum monthly compensation corresponding to Salary Grade Thirty (30) as prescribed under R.A. No. 6758 and the implementing guidelines issued pursuant thereto.

The City Vice-Mayor

SECTION 456. *Powers, Duties and Compensation.* — (a) The city vice-mayor shall:

(1) Be the presiding officer of the sangguniang panlungsod and sign all warrants drawn on the city treasury for all expenditures appropriated for the operation of the sangguniang panlungsod;

(2) Subject to civil service law, rules and regulations, appoint all officials and employees of the sangguniang panlungsod, except those whose manner of appointment is specifically provided in this Code;

(3) Assume the office of the city mayor for the unexpired term of the latter in the event of permanent vacancy as provided for in Section 44, Book I of this Code;

(4) Exercise the powers and perform the duties and functions of the city mayor in cases of temporary vacancy as provided for in Section 46, Book I of this Code; and

(5) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

(b) The city vice-mayor shall receive a monthly compensation corresponding to Salary Grade twenty-eight (28) for a highly urbanized city and Salary Grade twenty-six (26) for a component city, as prescribed under R.A. No. 6758 and the implementing guidelines issued pursuant thereto.

The Sangguniang Panlungsod

SECTION 457. *Composition.* — (a) The sangguniang panlungsod, the legislative body of the city, shall be composed of the city vice-mayor as presiding officer, the regular sanggunian members, the president of the city chapter of the liga ng mga barangay, the president of the panlungsod na pederasyon ng mga sangguniang kabataan, and the sectoral representatives, as members.

(b) In addition thereto, there shall be three (3) sectoral representatives: one (1) from the women; and as shall be determined by the sanggunian concerned within ninety (90) days prior to the holding of the local elections, one (1) from the agricultural or industrial workers; and one (1) from the other sectors, including the urban poor, indigenous cultural communities, or disabled persons.

(c) The regular members of the sangguniang panlungsod and the sectoral representatives shall be elected in the manner as may be provided for by law.

SECTION 458. *Powers, Duties, Functions and Compensation.*

– (a) The sangguniang panlungsod, as the legislative body of the city, shall enact ordinances, approve resolutions and appropriate funds for the general welfare of the city and its inhabitants pursuant to Section 16 of this Code and in the proper exercise of the corporate powers of the city as provided for under Section 22 of this Code, and shall:

(1) Approve ordinances and pass resolutions necessary for an efficient and effective city government, and in this connection, shall:

(i) Review all ordinances approved by the sangguniang barangay and executive orders issued by the punong barangay to determine whether these are within the scope of the prescribed powers of the sanggunian and of the punong barangay;

(ii) Maintain peace and order by enacting measures to prevent and suppress lawlessness, disorder, riot, violence, rebellion or sedition and impose penalties for violation of said ordinances;

(iii) Approve ordinances imposing a fine not exceeding Five thousand pesos (P5,000.00) or an imprisonment for a period not exceeding one (1) year, or both in the discretion of the court, for the violation of a city ordinance;

(iv) Adopt measures to protect the inhabitants of the city from the harmful effects of man-made or natural disasters and calamities, and to provide relief services and assistance for victims during and in the aftermath of said disasters or calamities and their return to productive livelihood following said events;

(v) Enact ordinances intended to prevent, suppress and impose appropriate penalties for habitual drunkenness in public places, vagrancy, mendicancy, prostitution, establishment and maintenance of houses of ill repute, gambling and other prohibited games of chance, fraudulent devices and ways to obtain money or property, drug addiction, maintenance of drug dens, drug pushing, juvenile delinquency, the printing, distribution or exhibition of obscene or pornographic materials or publications, and such other activities inimical to the welfare and morals of the inhabitants of the city.

(vi) Protect the environment and impose appropriate penalties for acts which endanger the environment, such as dynamite fishing and other forms of destructive fishing, illegal logging and smuggling of logs, smuggling of natural resources products and of endangered species of flora and fauna, slash and burn farming, and such other activities which result in pollution, acceleration of eutrophication of rivers and lakes, or of ecological imbalance;

(vii) Subject to the provisions of this Code and pertinent laws, determine the powers and duties of officials and employees of the city;

(viii) Determine the positions and the salaries, wages, allowances and other emoluments and benefits of officials and employees paid wholly or mainly from city funds and provide for expenditures necessary for the proper conduct of programs, projects, services, and activities of the city government;

(ix) Authorize the payment of compensation to a qualified person not in the government service who fills up a temporary vacancy or grant honorarium to any qualified official or employee designated to fill a temporary vacancy in a concurrent capacity, at the rate authorized by law;

(x) Provide a mechanism and the appropriate funds therefor, to ensure the safety and protection of all city government property, public documents, or records such as those relating to property inventory, land ownership, records of births, marriages, deaths, assessments, taxation, accounts, business permits, and such other records and documents of public interest in the offices and departments of the city government;

(xi) When the finances of the city government allow, provide for additional allowances and other benefits to judges, prosecutors, public elementary and high school teachers, and other national government officials stationed in or assigned to the city;

(xii) Provide legal assistance to barangay officials who, in the performance of their official duties or on the occasion thereof, have to initiate judicial proceedings or defend themselves against legal action; and

(xiii) Provide for group insurance or additional insurance coverage for all barangay officials, including members of barangay tanod brigades and other service units, with public or private insurance companies, when the finances of the city government allow said coverage;

(2) Generate and maximize the use of resources and revenues for the development plans, program objectives and priorities of the city as provided for under Section 18 of this Code, with particular attention to agro-industrial development and city-wide growth and progress, and relative thereto, shall:

(i) Approve the annual and supplemental budgets of the city government and appropriate funds for specific programs, projects, services and activities of the city, or for other purposes not contrary to law, in order to promote the general welfare of the city and its inhabitants;

(ii) Subject to the provisions of Book II of this Code and applicable laws and upon the majority vote of all the members of the sangguniang panlungsod, enact ordinances levying taxes, fees and charges, prescribing the rates thereof for general and specific purposes, and granting tax exemptions, incentives or reliefs;

(iii) Subject to the provisions of Book II of this Code and upon the majority vote of all the members of the sangguniang panlungsod, authorize the city mayor to negotiate and contract loans and other forms of indebtedness;

(iv) Subject to the provisions of Book II of this Code and applicable laws and upon the majority vote of all the members of the sangguniang panlungsod, enact ordinances authorizing the floating of bonds or other

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instruments of indebtedness, for the purpose of raising funds to finance development projects;

(v) Appropriate funds for the construction and maintenance or the rental of buildings for the use of the city; and, upon the majority vote of all the members of the sangguniang panlungsod, authorize the city mayor to lease to private parties such public buildings held in a proprietary capacity, subject to existing laws, rules and regulations;

(vi) Prescribe reasonable limits and restraints on the use of property within the jurisdiction of the city;

(vii) Adopt a comprehensive land use plan for the city: *Provided*, That in the case of component cities, the formulation, adoption or modification of said plan shall be in coordination with the approved provincial comprehensive land use plan;

(viii) Reclassify land within the jurisdiction of the city, subject to the pertinent provisions of this Code;

(ix) Enact integrated zoning ordinances in consonance with the approved comprehensive land use plan, subject to existing laws, rules and regulations; establish fire limits or zones, particularly in populous centers; and regulate the construction, repair or modification of buildings within said fire limits or zones in accordance with the provisions of the Fire Code;

(x) Subject to national law, process and approve subdivision plans for residential, commercial, or industrial purposes and other development purposes, and to collect processing fees and other charges, the proceeds of which shall accrue entirely to the city: *Provided, however*, That where approval of a national agency or office is required, said approval shall not be withheld for more than thirty (30) days from receipt of the application. Failure to act on the application within the period stated above shall be deemed as approval thereof;

(xi) Subject to the provisions of Book II of this Code, grant the exclusive privilege of constructing fish corrals or fish pens, or the taking or catching of bangus fry, prawn fry or kawag-kawag, or fry of any species or fish within the city waters;

(xii) With the concurrence of at least two-thirds (2/3) of all the members of the sangguniang panlungsod, grant tax exemptions, incentives or reliefs to entities engaged in community growth-inducing industries, subject to the provisions of Chapter 5, Title I, Book II of this Code;

(xiii) Grant loans or provide grants to other local government units or to national, provincial, and city charitable, benevolent or educational institutions: *Provided*, That, said institutions are operated and maintained within the city;

(xiv) Regulate the numbering of residential, commercial and other buildings; and

(xv) Regulate the inspection, weighing and measuring of articles of commerce.

(3) Subject to the provisions of Book II of this Code, enact ordinances granting franchises and authorizing the issuance of permits or licenses, upon such conditions and for such purposes intended to promote the general welfare of the inhabitants of the city and pursuant to this legislative authority shall:

(i) Fix and impose reasonable fees and charges for all services rendered by the city government to private persons or entities;

(ii) Regulate or fix license fees for any business or practice of profession within the city and the conditions under which the license for said business or practice of profession may be revoked and enact ordinances levying taxes thereon;

(iii) Provide for and set the terms and conditions under which public utilities owned by the city shall be operated by the city government, and prescribe the conditions under which the same may be leased to private persons or entities, preferably cooperatives;

(iv) Regulate the display of and fix the license fees for signs, signboards, or billboards at the place or places where the profession or business advertised thereby is, in whole or in part, conducted;

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(v) Any law to the contrary notwithstanding, authorize and license the establishment, operation, and maintenance of cockpits, and regulate cockfighting and commercial breeding of gamecocks: *Provided*, That existing rights should not be prejudiced;

(vi) Subject to the guidelines prescribed by the Department of Transportation and Communications, regulate the operation of tricycles and grant franchises for the operation thereof within the territorial jurisdiction of the city; and

(vii) Upon approval by a majority vote of all the members of the sangguniang panlungsod: grant a franchise to any person, partnership, corporation, or cooperative to do business within the city; establish, construct, operate and maintain ferries, wharves, markets or slaughterhouses; or undertake such other activities within the city as may be allowed by existing laws: *Provided*, That, cooperatives shall be given preference in the grant of such franchise.

(4) Regulate activities relative to the use of land, buildings and structures within the city in order to promote the general welfare and for said purpose shall:

(i) Declare, prevent or abate any nuisance;

(ii) Require that buildings and the premises thereof and any land within the city be kept and maintained in a sanitary condition; impose penalties for any violation thereof; or, upon failure to comply with said requirement, have the work done at the expense of the owner, administrator or tenant concerned; or require the filling up of any land or premises to a grade necessary for proper sanitation;

(iii) Regulate the disposal of clinical and other wastes from hospitals, clinics and other similar establishments;

(iv) Regulate the establishment, operation and maintenance of cafes, restaurants, beerhouses, hotels, motels, inns, pension houses, lodging houses, and other similar establishments, including tourist guides and transports;

(v) Regulate the sale, giving away or dispensing of any intoxicating malt, vino, mixed or fermented liquors at any retail outlet;

(vi) Regulate the establishment and provide for the inspection of steam boilers or any heating device in buildings and the storage of inflammable and highly combustible materials within the city;

(vii) Regulate the establishment, operation, and maintenance of any entertainment or amusement facilities, including theatrical performances, circuses, billiard pools, public dancing schools, public dance halls, sauna baths, massage parlors, and other places for entertainment or amusement; regulate such other events or activities for amusement or entertainment, particularly those which tend to disturb the community or annoy the inhabitants, or require the suspension or suppression of the same; or prohibit certain forms of amusement or entertainment in order to protect the social and moral welfare of the community;

(viii) Provide for the impounding of stray animals; regulate the keeping of animals in homes or as part of a business, and the slaughter, sale or disposition of the same; and adopt measures to prevent and penalize cruelty to animals; and

(ix) Regulate the establishment, operation and maintenance of funeral parlors and the burial or cremation of the dead, subject to existing laws, rules and regulations.

(5) Approve ordinances which shall ensure the efficient and effective delivery of the basic services and facilities as provided for under Section 17 of this Code, and in addition to said services and facilities, shall:

(i) Provide for the establishment, maintenance, protection, and conservation of communal forests and watersheds, tree parks, greenbelts, mangroves, and other similar forest development projects;

(ii) Establish markets, slaughterhouses or animal corrals and authorize the operation thereof by the city government; and regulate the construction and operation

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of private markets, talipapas or other similar buildings and structures;

(iii) Authorize the establishment, maintenance and operation by the city government of ferries, wharves, and other structures intended to accelerate productivity related to marine and seashore or offshore activities;

(iv) Regulate the preparation and sale of meat, poultry, fish, vegetables, fruits, fresh dairy products, and other foodstuffs for public consumption;

(v) Regulate the use of streets, avenues, alleys, sidewalks, bridges, parks and other public places and approve the construction, improvement, repair and maintenance of the same; establish bus and vehicle stops and terminals or regulate the use of the same by privately-owned vehicles which serve the public; regulate garages and the operation of conveyances for hire; designate stands to be occupied by public vehicles when not in use; regulate the putting up of signs, signposts, awnings and awning posts on the streets; and provide for the lighting, cleaning and sprinkling of streets; and public places;

(vi) Regulate traffic on all streets and bridges; prohibit encroachments or obstacles thereon, and when necessary in the interest of public welfare, authorize the removal or encroachments and illegal constructions in public places;

(vii) Subject to existing laws, establish and provide for the maintenance, repair and operation of an efficient waterworks system to supply water for the inhabitants and to purify the source of the water supply; regulate the construction, maintenance, repair and use of hydrants, pumps, cisterns and reservoirs; protect the purity and quantity of the water supply of the city and, for this purpose, extend the coverage of appropriate ordinances over all territory within the drainage area of said water supply and within one hundred (100) meters of the reservoir, conduit, canal, aqueduct, pumping station, or watershed used in connection with the water service; and regulate the consumption, use or wastage of water and fix and collect charges therefor;

(viii) Regulate the drilling and excavation of the ground for the laying of water, gas, sewer, and other pipes and the construction, repair and maintenance of public drains, sewers, cesspools, tunnels and similar structures; regulate the placing of poles and the use of crosswalks, curbs, and gutters; adopt measures to ensure public safety against open canals, manholes, live wires and other similar hazards to life and property; and regulate the construction and use of private water closets, privies and other similar structures in buildings and homes;

(ix) Regulate the placing, stringing, attaching, installing, repair and construction of all gas mains, electric, telegraph and telephone wires, conduits, meters and other apparatus; and provide for the correction, condemnation or removal of the same when found to be dangerous, defective, or otherwise hazardous to the welfare of the inhabitants;

(x) Subject to the availability of funds and to existing laws, rules and regulations, establish and provide for the operation of vocational and technical schools and similar post-secondary institutions and, with the approval of the Department of Education, Culture and Sports and subject to existing law on tuition fees, fix and collect reasonable tuition fees and other school charges in educational institutions supported by the city government;

(xi) Establish a scholarship fund for poor but deserving students in schools located within its jurisdiction or for students residing within the city;

(xii) Approve measures and adopt quarantine regulations to prevent the introduction and spread of diseases;

(xiii) Provide for an efficient and effective system of solid waste and garbage collection and disposal; prohibit littering and the placing or throwing of garbage, refuse and other filth and wastes;

(xiv) Provide for the care of disabled persons, paupers, the aged, the sick, persons of unsound mind, abandoned minors, juvenile delinquents, drug dependents, abused children and other needy and disadvantaged persons, particularly children and youth below eighteen (18) years

of age; and subject to availability of funds, establish and provide for the operation of centers and facilities for said needy and disadvantaged persons;

(xv) Establish and provide for the maintenance and improvement of jails and detention centers, institute a sound jail management program, and appropriate funds for the subsistence of detainees and convicted prisoners in the city;

(xvi) Establish a city council whose purpose is the promotion of culture and the arts, coordinate with government agencies and non-governmental organizations and, subject to the availability of funds, appropriate funds for the support and development of the same; and

(xvii) Establish a city council for the elderly which shall formulate policies and adopt measures mutually beneficial to the elderly and to the community; provide incentives for non-governmental agencies and entities and, subject to the availability of funds, appropriate funds to support programs and projects for the benefit of the elderly; and

(6) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

(b) The members of the sangguniang panlungsod of component cities shall receive a minimum monthly compensation corresponding to Salary Grade twenty-five (25) and members of the sangguniang panlungsod of highly-urbanized cities shall receive a minimum monthly compensation corresponding to Salary Grade twenty-seven (27), as prescribed under Republic Act No. 6758 and the implementing guidelines issued pursuant thereto.

The Province

Provincial Officials in General

SECTION 463. *Officials of the Provincial Government.* —

(a) There shall be in each province a governor, a vice-governor, members of the sangguniang panlalawigan, a secretary to the sangguniang panlalawigan, a provincial treasurer, a provincial assessor, a provincial accountant, a provincial engineer, a provincial budget officer, a provincial planning and development coordinator,

a provincial legal officer, a provincial administrator, a provincial health officer, a provincial social welfare and development officer, a provincial general services officer, a provincial agriculturist, and a provincial veterinarian.

(b) In addition thereto, the governor may appoint a provincial population officer, a provincial natural resources and environment officer, a provincial cooperative officer, a provincial architect, and a provincial information officer.

The appointment of a provincial population officer shall be optional in the province: *Provided, however,* That provinces which have existing population offices shall continue to maintain such offices for a period of five (5) years from the date of the effectivity of this Code, after which said offices shall become optional.

(c) The sangguniang panlalawigan may:

(1) Maintain existing offices not mentioned in subsections (a) and (b) hereof;

(2) Create such other offices as may be necessary to carry out the purposes of the provincial government; or

(3) Consolidate the functions of any office with those of another in the interest of efficiency and economy;

(d) Unless otherwise provided herein, heads of departments and offices shall be appointed by the governor with the concurrence of the majority of all the sangguniang panlalawigan members, subject to civil service law, rules and regulations. The sangguniang panlalawigan shall act on the appointment within fifteen (15) days from the date of its submission; otherwise the same shall be deemed confirmed;

(e) Elective and appointive provincial officials shall receive such compensation, allowances, and other emoluments as may be determined by law or ordinance, subject to the budgetary limitations on personal services prescribed under Title Five, Book II of this Code: *Provided,* That no increase in compensation shall take effect until after the expiration of the full term of all the elective officials approving such increase.

SECTION 464. *Residence and Office.* — During the incumbency of the governor, he shall have his official residence in the capital of the province. All elective and appointive provincial officials shall

hold office in the provincial capital: *Provided*, That, upon resolution of the sangguniang panlalawigan, elective and appointive provincial officials may hold office in any component city or municipality within the province for a period of not more than seven (7) days for any given month.

The Provincial Governor

SECTION 465. *The Chief Executive: Powers, Duties, Functions, and Compensation.* — (a) The provincial governor, as the chief executive of the provincial government, shall exercise such powers and perform such duties and functions as provided by this Code and other laws.

(b) For efficient, effective and economical governance the purpose of which is the general welfare of the province and its inhabitants pursuant to Section 16 of this Code, the provincial governor shall:

(1) Exercise general supervision and control over all programs, projects, services, and activities of the provincial government, and in this connection, shall:

(i) Determine the guidelines of provincial policies and be responsible to the sangguniang panlalawigan for the program of government;

(ii) Direct the formulation of the provincial development plan, with the assistance of the provincial development council, and upon approval thereof by the sangguniang panlalawigan, implement the same;

(iii) Present the program of government and propose policies and projects for the consideration of the sangguniang panlalawigan at the opening of the regular session of the sangguniang panlalawigan every calendar year and as often as may be deemed necessary as the general welfare of the inhabitants and the needs of the provincial government may require;

(iv) Initiate and propose legislative measures to the sangguniang panlalawigan and as often as may be deemed necessary, provide such information and data needed or requested by said sanggunian in the performance of its legislative functions;

(v) Appoint all officials and employees whose salaries and wages are wholly or mainly paid out of provincial funds and whose appointments are not otherwise provided for in this Code, as well as those he may be authorized by law to appoint;

(vi) Represent the province in all its business transactions and sign in its behalf all bonds, contracts, and obligations, and such other documents upon authority of the sangguniang panlalawigan or pursuant to law or ordinance;

(vii) Carry out such emergency measures as may be necessary during and in the aftermath of man-made and natural disasters and calamities;

(viii) Determine the time, manner and place of payment of salaries or wages of the officials and employees of the province, in accordance with law or ordinance;

(ix) Allocate and assign office space to provincial and other officials and employees who, by law or ordinance, are entitled to such space in the provincial capitol and other buildings owned or leased by the provincial government;

(x) Ensure that all executive officials and employees of the province faithfully discharge their duties and functions as provided by law and this Code, and cause to be instituted administrative or judicial proceedings against any official or employee of the province who may have committed an offense in the performance of his official duties;

(xi) Examine the books, records and other documents of all offices, officials, agents or employees of the province and, in aid of his executive powers and authority, require all national officials and employees stationed in the province to make available to him such books, records, and other documents in their custody, except those classified by law as confidential;

(xii) Furnish copies of executive orders issued by him to the Office of the President within seventy-two (72) hours after their issuance;

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(xiii) Visit component cities and municipalities of the province at least once every six (6) months to deepen his understanding of problems and conditions, listen and give appropriate counsel to local officials and inhabitants, inform the officials and inhabitants of component cities and municipalities of general laws and ordinances which especially concern them, and otherwise conduct visits and inspections to ensure that the governance of the province will improve the quality of life of the inhabitants;

(xiv) Act on leave applications of officials and employees appointed by him and the commutation of the monetary value of leave credits in accordance with law;

(xv) Authorize official trips of provincial officials and employees outside of the province for a period not exceeding thirty (30) days;

(xvi) Call upon any national official or employee stationed in or assigned to the province to advise him on matters affecting the province and to make recommendations thereon; coordinate with said official or employee in the formulation and implementation of plans, programs and projects; and when appropriate, initiate an administrative or judicial action against a national government official or employee who may have committed an offense in the performance of his official duties while stationed in or assigned to the province;

(xvii) Authorize payment for medical care, necessary transportation, subsistence, hospital or medical fees of provincial officials and employees who are injured while in the performance of their official duties and functions, subject to availability of funds;

(xviii) Represent the province in inter-provincial or regional sports councils or committees, and coordinate the efforts of component cities or municipalities in the regional or national palaro or sports development activities;

(xix) Conduct an annual palarong panlalawigan, which shall feature traditional sports and disciplines included in national and international games in coordination with the Department of Education, Culture and Sports; and

(xx) Submit to the Office of the President the following reports: an annual report containing a summary of all matters pertinent to the management, administration and development of the province and all information and data relative to its political, social and economic conditions; and supplemental reports when unexpected events and situations arise at any time during the year, particularly when man-made or natural disasters or calamities affect the general welfare of the province, region or country;

(2) Enforce all laws and ordinances relative to the governance of the province and the exercise of the appropriate corporate powers provided for under Section 22 of this Code, implement all approved policies, programs, projects, services and activities of the province and, in addition to the foregoing, shall:

(i) Ensure that the acts of the component cities and municipalities of the province and of its officials and employees are within the scope of their prescribed powers, duties and functions;

(ii) Call conventions, conferences, seminars, or meetings of any elective and appointive officials of the province and its component cities and municipalities, including national officials and employees stationed in or assigned to the province, at such time and place and on such subject as he may deem important for the promotion of the general welfare of the province and its inhabitants;

(iii) Issue such executive orders for the faithful and appropriate enforcement and execution of laws and ordinances;

(iv) Be entitled to carry the necessary firearm within his territorial jurisdiction;

(v) In coordination with the mayors of component cities and municipalities and the National Police Commission, formulate the peace and order plan of the province and upon its approval, implement the same in accordance with R.A. No. 6975;

(vi) Call upon the appropriate national law enforcement agencies to suppress disorder, riot, lawless violence, rebellion or sedition or to apprehend violators

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of the law when public interest so requires and the police forces of the component city or municipality where the disorder or violation is happening are inadequate to cope with the situation or the violators;

(3) Initiate and maximize the generation of resources and revenues, and apply the same to the implementation of development plans, program objectives and priorities as provided for under Section 18 of this Code, particularly those resources and revenues programmed for agro-industrial development and country-wide growth and progress and, relative thereto, shall:

(i) Require each head of an office or department to prepare and submit an estimate of appropriations for the ensuing calendar year, in accordance with the budget preparation process under Title Five, Book II of this Code;

(ii) Prepare and submit to the sanggunian for approval the executive and supplemental budgets of the province for the ensuing calendar year in the manner provided for under Title Five, Book II of this Code;

(iii) Ensure that all taxes and other revenues of the province are collected, and that provincial funds are applied to the payment of expenses and settlement of obligations of the province, in accordance with law or ordinance;

(iv) Issue licenses and permits and suspend or revoke the same for any violation of the conditions upon which said licenses or permits had been issued, pursuant to law or ordinance;

(v) Adopt adequate measures to safeguard and conserve land, mineral, marine, forest and other resources of the province, in coordination with the mayors of component cities and municipalities;

(vi) Provide efficient and effective property and supply management in the province; and protect the funds, credits, rights, and other properties of the province; and

(vii) Institute or cause to be instituted administrative or judicial proceedings for violation of ordinances in the collection of taxes, fees or charges, and for the recovery of funds and property, and cause the province to be defended against all suits to ensure that its interests, resources and rights shall be adequately protected.

(4) Ensure the delivery of basic services and the provision of adequate facilities as provided for under Section 17 of this Code, and in addition thereto, shall:

(i) Ensure that the construction and repair of roads and highways funded by the national government shall be, as far as practicable, carried out in a spatially contiguous manner and in coordination with the construction and repair of the roads and bridges of the province and of its component cities and municipalities; and

(ii) Coordinate the implementation of technical services by national offices for the province and its component cities and municipalities, including public works and infrastructure programs of the provincial government and its component cities and municipalities;

(5) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

(c) The provincial governor shall receive a minimum monthly compensation corresponding to Salary Grade thirty (30) prescribed under R.A. No. 6758 and the implementing guidelines issued pursuant thereto.

The Provincial Vice-Governor

SECTION 466. Powers, Duties, and Compensation. — (a) The vice-governor shall:

(1) Be the presiding officer of the sangguniang panlalawigan and sign all warrants drawn on the provincial treasury for all expenditures appropriated for the operation of the sangguniang panlalawigan;

(2) Subject to civil service law, rules and regulations, appoint all officials and employees of the sangguniang panlalawigan, except those whose manner of appointment is specially provided in this Code;

(3) Assume the office of the governor for the unexpired term of the latter in the event of permanent vacancy as provided for in Section 44, Book I of this Code;

(4) Exercise the powers and perform the duties and functions of the governor in cases of temporary vacancy as provided for in Section 46, Book I of this Code; and

(5) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

(b) The vice-governor shall receive a monthly compensation corresponding to Salary Grade twenty-eight (28) as prescribed under R.A. No. 6758 and the implementing guidelines issued pursuant thereto.

The Sangguniang Panlalawigan

SECTION 467. *Composition.* — (a) The sangguniang panlalawigan, the legislative body of the province, shall be composed of the provincial vice-governor as presiding officer, the regular sanggunian members, the president of the provincial chapter of the liga ng mga barangay, the president of the panlalawigang pederasyon ng mga sangguniang kabataan, the president of the provincial federation of sanggunian members of municipalities and component cities, and the sectoral representatives, as members.

(b) In addition thereto, there shall be three (3) sectoral representatives: one (1) from the women; and as shall be determined by the sanggunian concerned within ninety (90) days prior to the holding of the local elections, one (1) from the agricultural or industrial workers; and one (1) from other sectors including the urban poor, indigenous cultural communities, or disabled persons.

(c) The regular members of the sangguniang panlalawigan and the sectoral representatives shall be elected in the manner as may be provided for by law.

SECTION 468. *Powers, Duties, Functions and Compensation.*

— (a) The sangguniang panlalawigan, as the legislative body of the province, shall enact ordinances, approve resolutions and appropriate funds for the general welfare of the province and its inhabitants pursuant to Section 16 of this Code in the proper exercise of the corporate powers of the province as provided for under Section 22 of this Code, and shall:

(1) Approve ordinances and pass resolutions necessary for an efficient and effective provincial government and, in this connection, shall:

(i) Review all ordinances approved by the sanggunians of component cities and municipalities and executive orders issued by the mayors of said component units to determine whether these are within the scope of the prescribed powers of the sanggunian and of the mayor;

(ii) Maintain peace and order by enacting measures to prevent and suppress lawlessness, disorder, riot, violence, rebellion or sedition and impose penalties for the violation of said ordinances;

(iii) Approve ordinances imposing a fine not exceeding Five thousand pesos (P5,000.00) or imprisonment not exceeding one (1) year, or both in the discretion of the court, for the violation of a provincial ordinance;

(iv) Adopt measures to protect the inhabitants of the province from harmful effects of man-made or natural disasters and calamities, and to provide relief services and assistance for victims during and in the aftermath of said disasters and calamities and in their return to productive livelihood following said events;

(v) Enact ordinances intended to prevent, suppress and impose appropriate penalties for habitual drunkenness in public places, vagrancy, mendicancy, prostitution, establishment and maintenance of houses of ill repute, gambling and other prohibited games of chance, fraudulent devices and ways to obtain money or property, drug addiction, maintenance of drug dens, drug pushing, juvenile delinquency, the printing, distribution

or exhibition of obscene or pornographic materials or publications, and other activities inimical to the welfare and morals of the inhabitants of the province;

(vi) Protect the environment and impose appropriate penalties for acts which endanger the environment, such as dynamite fishing and other forms of destructive fishing, illegal logging and smuggling of logs, smuggling of natural resources products and of endangered species of flora and fauna, slash and burn farming, and such other activities which result in pollution, acceleration of eutrophication of rivers and lakes, or of ecological imbalance;

(vii) Subject to the provisions of this Code and pertinent laws, determine the powers and duties of officials and employees of the province;

(viii) Determine the positions and the salaries, wages, allowances and other emoluments and benefits of officials and employees paid wholly or mainly from provincial funds and provide for expenditures necessary for the proper conduct of programs, projects, services, and activities of the provincial government;

(ix) Authorize the payment of compensation to a qualified person not in the government service who fills up a temporary vacancy, or grant honorarium to any qualified official or employee designated to fill a temporary vacancy in a concurrent capacity, at the rate authorized by law;

(x) Provide a mechanism and the appropriate funds therefor, to ensure the safety and protection of all provincial government property, public documents, or records such as those relating to property inventory, land ownership, records of births, marriages, deaths, assessments, taxation, accounts, business permits, and such other records and documents of public interest in the offices and departments of the provincial government; and

(xi) When the finances of the provincial government allow, provide for additional allowances and other benefits to judges, prosecutors, public elementary and high school teachers, and other national government officials stationed or assigned to the province.

(2) Generate and maximize the use of resources and revenues for the development plans, program objectives and priorities of the province as provided for under Section 18 of this Code, with particular attention to agro-industrial development and country-wide growth and progress and relative thereto, shall:

(i) Enact the annual and supplemental appropriations of the provincial government and appropriate funds for specific programs, projects, services and activities of the province, or for other purposes not contrary to law, in order to promote the general welfare of the province and its inhabitants;

(ii) Subject to the provisions of Book II of this Code and applicable laws and upon the majority vote of all the members of the sangguniang panlalawigan, enact ordinances levying taxes, fees and charges, prescribing the rates thereof for general and specific purposes, and granting tax exemptions, incentives or reliefs;

(iii) Subject to the provisions of Book II of this Code and applicable laws and upon the majority vote of all the members of the sangguniang panlalawigan, authorize the provincial governor to negotiate and contract loans and other forms of indebtedness;

(iv) Subject to the provisions of Book II of this Code and applicable laws and upon the majority vote of all the members of the sangguniang panlalawigan, enact ordinances authorizing the floating of bonds or other instruments of indebtedness, for the purpose of raising funds to finance development projects;

(v) Appropriate funds for the construction and maintenance or the rental of buildings for the use of the province; and upon the majority vote of all the members of the sangguniang panlalawigan, authorize the provincial governor to lease to private parties such public buildings held in a proprietary capacity, subject to existing laws, rules and regulations;

(vi) Prescribe reasonable limits and restraints on the use of property within the jurisdiction of the province;

(vii) Review the comprehensive land use plans and zoning ordinances of component cities and municipalities and adopt a comprehensive provincial land use plan, subject to existing laws; and

(viii) Adopt measures to enhance the full implementation of the national agrarian reform program in coordination with the Department of Agrarian Reform;

(3) Subject to the provisions of Book II of this Code, grant franchises, approve the issuance of permits or licenses, or enact ordinances levying taxes, fees and charges upon such conditions and for such purposes intended to promote the general welfare of the inhabitants of the province, and pursuant to this legislative authority, shall:

(i) Fix and impose reasonable fees and charges for all services rendered by the provincial government to private persons or entities; and

(ii) Regulate and fix the license fees for such activities as provided for under this Code.

(4) Approve ordinances which shall ensure the efficient and effective delivery of basic services and facilities as provided for under Section 17 of this Code, and, in addition to said services and facilities, shall:

(i) Adopt measures and safeguards against pollution and for the preservation of the natural ecosystem in the province, in consonance with approved standards on human settlements and environmental sanitation;

(ii) Subject to applicable laws, facilitate or provide for the establishment and maintenance of a waterworks system or district waterworks for supplying water to inhabitants of component cities and municipalities;

(iii) Subject to the availability of funds and to existing laws, rules and regulations, provide for the establishment and operation of vocational and technical schools and similar post-secondary institutions; and, with the approval of the Department of Education, Culture and Sports and subject to existing laws on tuition fees, fix reasonable tuition fees and other school charges in educational institutions supported by the provincial government;

(iv) Establish a scholarship fund for the poor but deserving students in schools located within its jurisdiction or for students residing within the province;

(v) Approve measures and adopt quarantine regulations to prevent the introduction and spread of diseases within its territorial jurisdiction;

(vi) Provide for the care of paupers, the aged, the sick, persons of unsound mind, abandoned minors, abused children, disabled persons, juvenile delinquents, drug dependents, and other needy and disadvantaged persons, particularly children and youth below eighteen (18) years of age; subject to availability of funds, establish and support the operation of centers and facilities for said needy and disadvantaged persons; and facilitate efforts to promote the welfare of families below the poverty threshold, the disadvantaged, and the exploited;

(vii) Establish and provide the maintenance and improvement of jails and detention centers, institute a sound jail management program, and appropriate funds for the subsistence of detainees and convicted prisoners in the province;

(viii) Establish a provincial council whose purpose is the promotion of culture and the arts, coordinate with government agencies and non-governmental organizations and, subject to the availability of funds, appropriate funds for the support and development of the same;

(ix) Establish a provincial council for the elderly which shall formulate policies and adopt measures mutually beneficial to the elderly and to the province; and subject to the availability of funds, appropriate funds to support programs and projects for the elderly; and provide incentives for non-governmental agencies and entities to support the programs and projects of the elderly; and

(5) Exercise such other powers and perform such other duties and functions as may be prescribed by law or ordinance.

(b) The members of the sangguniang panlalawigan shall receive a minimum monthly compensation corresponding to Salary Grade twenty-seven (27) as prescribed under R.A. No. 6758 and the implementing guidelines issued pursuant thereto.